CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[831 NE2d 960, 798 NYS2d 715]

DEBORAH BUCHHOLZ, Individually and as Executrix of DOUGLAS BUCHHOLZ, Deceased, Appellant, v TRUMP 767 FIFTH AVENUE, LLC, Respondent.

Argued May 3, 2005; decided June 9, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 17, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Paula J. Omansky, J.), which had denied defendant's motion for summary judgment dismissing the complaint, (2) granted the motion, and (3) dismissed the complaint.

Buchholz v Trump 767 Fifth Ave., 4 AD3d 178, affirmed.

HEADNOTES

Negligence — Violation of Statutory Duty

1. In wrongful death action arising out of plaintiff's decedent's fall through the center panel of a three-panel bay window on the 13th floor of defendant's building, Administrative Code of the City of New York § 27-651, which requires a glass panel of the type and dimension of the window at issue to be a certain thickness and protected by a pushbar or protective grille, was inapplicable as a matter of law. Section 27-651 addresses doors, door-like panels and "similar installations," which are pushed or pulled or are otherwise subject to human contact when someone tries to enter or exit through them. The term "similar installations" does not encompass a fixed exterior window panel.

Negligence — Maintenance of Premises

2. In a wrongful death action arising out of plaintiff's decedent's fall through his 13th floor office window in defendant's building, the conclusory testimony of plaintiff's expert that decedent's accidental death would have been averted ''[i]f the glass was properly tempered and/or a protective bar introduced across the window'' was insufficient to raise a question of fact as to whether defendant breached its duty to maintain its property in a reasonably safe condition. Plaintiff's expert cited no authority, treatise, standard, building code, article or other corroborating evidence to support his assertion that good and accepted engineering and building safety practices called for the installation of tempered glass in the building when it was erected in 1968, or for defendant to retrofit the 50-story tower's nontempered glass windows with bars after acquiring the building in 1998.

Negligence — Foreseeability

3. In a wrongful death action, plaintiff's decedent's fall through his 13th floor office window in defendant's building was unforeseeable as a matter of law. Police reports indicated that decedent was pushed against and through the window as a consequence of rough ''play fighting,'' and the Medical Examiner's report classified the death as a homicide. Moreover, in the building's roughly 31 years of occupancy prior to plaintiff's accident, there were no remotely similar occurrences such as glass popping or slipping out of a window, or a window panel breaking when someone came into contact with it. The third-party act of pushing decedent into the window was sufficiently extraordinary to supersede any alleged negligence on defendant's part.

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By the Publisher's Editorial Staff

Am Jur 2d, Buildings §§ 20, 39, 44; Am Jur 2d, Negligence §§ 124–126, 606, 607; Am Jur 2d, Premises Liability §§ 37, 39, 41, 42, 52–56.

NY Jur 2d, Buildings, Zoning, and Land Controls § 14; NY Jur 2d, Negligence §§ 13–15, 53, 56, 58, 59, 172, 174; NY Jur 2d, Premises Liability §§ 24–26, 28, 29, 81–83, 183–185, 263, 266.

New York Pattern Jury Instructions—Civil, PJI 2:29, PJI 2:72, PJI 2:91.

Prosser and Keeton, Torts (5th ed) §§ 42–44, 63.

ANNOTATION REFERENCE

Liability of owner or proprietor for injury or death caused by collision with glass door, panel, or wall. 41 ALR3d 176.

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Query: fell /s window /p death & protective & accepted

POINTS OF COUNSEL

Kramer, Dillof, Livingston & Moore, New York City (*Matthew Gaier* and *Norman Bard* of counsel), for appellant. I. Summary judgment is improper because defendant failed to demonstrate the absence of issues of fact with respect to common-law negligence, proximate causation or a violation of the Building Code. (*Ugarriza v Schmieder,* 46 NY2d 471; *Sillman v Twentieth Century-Fox Film Corp.,* 3 NY2d 395; *Giuffrida v Citibank Corp.,* 100 NY2d 72; *Lesocovich v 180 Madison Ave. Corp.,* 81 NY2d 982; *Alvarez v Prospect Hosp.,* 68 NY2d 320; *Zuckerman v City of New York,* 49 NY2d 557; *Friends of Animals v Associated Fur Mfrs.,* 46 NY2d 1065; *Winegrad v New York Univ. Med. Ctr.,* 64 NY2d 851; *Westmount Intl. Hotels v Sear-Brown Assoc.,* 65 NY2d 618; *Borough Hall-Oxford Tobacco Corp. v Central Off. Alarm Co.,* 35 AD2d 523.) II. The evidence submitted by plaintiff establishes issues of fact with respect to defendant's negligence at common law and causation, which require that defendant's motion be denied on the issue of common-law negligence. (*Kellman v 45 Tiemann Assoc.,* 87 NY2d 871; *McCummings v New York City Tr. Auth.,* 81 NY2d 923; *Atkins v Glens Falls City School Dist.,* 53 NY2d 325; *Ugarriza v Schmieder,* 46 NY2d 471; *Basso v Miller,* 40 NY2d 233; *Caldwell v Village of Island Park,* 304 NY 268; *Andre v Pomeroy,* 35 NY2d 361; *Gordon v City of New York,* 70 NY2d 839; *Danielenko v Kinney Rent A Car,* 57 NY2d 198; *Yahudah v Metro N. Riverview House,* 129 AD2d 429.) III. There are issues of fact as to whether defendant was negligent in failing to comply with New York City Administrative Code § 27-651. (*Pappalardo v New York Health & Racquet Club,* 279 AD2d 134; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York,* 41 NY2d 205; *Buchbinder, Tyunick & Co. v Tax Appeals Trib. of City of N.Y.,* 100 NY2d 389; *Matter of New York Yankees Partnership v O'Cleireacain,* 83 NY2d 550; *Matter of De Peyster,* 210 NY 216; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *People v Hedgeman,* 70 NY2d 533; *Price v Price,* 69 NY2d 8; *People v Ryan,* 274 NY 149.)

Hoey, King, Toker & Epstein, New York City (*H. Leonard Toker, Harold Kenneth King, Jr.,* and *Danielle M. Regan* of counsel), for respondent. I. The Appellate Division correctly held that New York City Administrative Code § 27-651, ''Panels subject to human impact loads,'' which pertains to glass ''in prime and storm doors, interior doors, fixed glass panels that may be mistaken for means of egress or ingress,'' did not apply to a 13th floor exterior window and that the lower court improperly allowed appellant's expert's conclusory opinion to usurp the court's function as the sole determiner of law. (*New York Yankees Partnership v O'Cleireacain,* 83 NY2d 550; *Rodri-*

guez v New York City Hous. Auth., 209 AD2d 260; *Ross v Manhattan Chelsea Assoc.,* 194 AD2d 332; *Marquart v Yeshiva Machezikel Torah D'Chasidel Belz of N.Y.,* 53 AD2d 688; *Amatulli v Delhi Constr. Corp.,* 77 NY2d 525; *Diaz v New York Downtown Hosp.,* 99 NY2d 542; *Daubert v Merrell Dow Pharms., Inc.,* 509 US 579; *Pappalardo v New York Health & Racquet Club,* 279 AD2d 134.) II. The Appellate Division properly granted respondent's motion for summary judgment where appellant has offered no competent evidence that the 13th floor exterior window through which appellant's decedent was thrown was defective or a departure from good and accepted engineering and building safety practices. (*Pappalardo v New York Health & Racquet Club,* 279 AD2d 134; *Pena v Schur,* 245 AD2d 206; *Bradley v Smithtown Cent. School Dist.,* 265 AD2d 283; *Diaz v New York Downtown Hosp.,* 99 NY2d 542; *Amatulli v Delhi Constr. Corp.,* 77 NY2d 525.)

OPINION OF THE COURT

READ, J.

The events precipitating this lawsuit took place on St. Patrick's Day, 1999. After lunching and watching the St. Patrick's Day Parade, decedent Douglas Buchholz and three coworkers returned to their employer's offices on the thirteenth floor of the full-block, 50-story General Motors tower at 767 Fifth Avenue in Manhattan. Decedent, who weighed over 200 pounds, and one of his three coworkers eventually got caught up in "play fighting." Shortly after 7:00 P.M., decedent was "pushed" and "fell through" the center panel of a three-panel bay window. He plunged to his death, landing on the roof of the building's three-story high showroom.[1]

The bay window's center panel measured 37 inches wide by roughly 88 inches high, was fitted with quarter-inch-thick nontempered bronze plate glass, and was flanked by two 12-inch-wide by 88-inch-high side panels. The base of the bay window

1. Decedent's death was ruled a homicide by the Medical Examiner; no criminal charges were ever filed. There is no eyewitness account of the events immediately preceding decedent's death; the three coworkers refused to testify in this action. What we know derives principally from two Unusual Occurrence Reports prepared by the detective from the New York City Police Department who interviewed witnesses and investigated, as well as a Complaint Report form. These documents, from which the quotations in the text are taken, were completed in the early morning hours of March 18, 1999. The Complaint Report indicates the presence of "bottles [and] glasses" at the scene of decedent's fatal accident.

rested atop a 24-inch-deep convector cover, which was approximately 16 inches tall.[2]

The General Motors tower was erected in 1968 for its namesake automotive company; defendant Trump 767 Fifth Avenue, LLC acquired the building in 1998. The building's general manager since 1979 testified that he had no knowledge of ''any problem with the [tower's] window glass,'' or of ''any incidents . . . where glass popped out of windows or . . . slipped out of windows.'' Prior to March 1999 there had been ''occasional damage to glass'' causing it to crack, but this was a ''very, very low level of concern.'' The building manager was not aware of ''anybody breaking a glass from falling up against it'' prior to March 1999, or of any other incident in his ''many years in the building where glass . . . shattered'' upon human impact.

When the building manager arrived at the scene of decedent's fatal accident at about 8:30 P.M., he saw shards of glass in the center window panel's frame; the side panels were undamaged. A sheetrock wall adjacent to the window was marred by ''indentations'' or ''creases . . . where it was caved in.'' Because the frame of the center window panel was intact and undamaged, it was not removed or repaired when the glass was later replaced.

Plaintiff Deborah Buchholz, decedent's wife, commenced this action against defendant both individually and as executrix of decedent's estate. Plaintiff alleges that defendant was negligent in its ownership and control of the premises, leading to decedent's death. More specifically, plaintiff's bills of particulars claim that defendant neglected to furnish shatterproof glass windows and a safety rail across the window's face, and failed to comply with applicable regulations, including New York City Administrative Code § 27-651.

Following joinder of issue and discovery, defendant moved for summary judgment to dismiss the complaint, arguing that there was no evidence that defendant was negligent and that section 27-651 did not apply to the window. In opposition, plaintiff submitted the affidavit of her expert, a registered architect and licensed professional engineer, who inspected the scene of the accident on April 18, 2002.

Plaintiff's expert averred that the window's ''very low sill'' made it ''highly susceptible to accidental human contact.'' He

2. This latter measurement was furnished by plaintiff's expert. According to defendant, the convector cover upon which the bay window's base rested was roughly 20 inches tall.

opined that the window was a ''similar installation[ ]'' under section 27-651 of the New York City Administrative Code ''because the glass panel was highly susceptible to human impact loads as are the other installations in [this] code provision,'' which requires outfitting those glass panels subject to it with a pushbar or grille. Accordingly,

> ''good and accepted engineering and building safety practices dictated that a protective barrier bar be installed between 34 to 38 inches above the floor capable of withstanding a horizontal load of 50 pounds per linear foot without contracting [*sic*] the glass and that the barrier be a minimum of 1-$^{1}/_{2}$ inches thick.''

Plaintiff's expert opined that the failure to install this protective barrier violated section 27-651; departed from good and accepted engineering and building safety practices at the time the tower was built; was readily discoverable when defendant purchased the building and inspected the windows in 1998; and should have been remedied before decedent's accident.

Plaintiff's expert continued that the tower's ''non-tempered glass was [also] hazardous because [this glass] is not resistant to horizontal human impact loads and is highly susceptible to shattering and breaking into sharp dangerous shards,'' and that defendant should have recognized this danger. Further, ''good engineering and building safety practices dictated that all the windows with non-tempered glass should have been safeguarded with a protective bar.'' Plaintiff's expert concluded that decedent's death was ''directly due to non-compliance with N.Y.C Building Code Section 27-651 and accepted engineering and building code practice.'' Specifically, ''[i]f the glass was properly tempered and/or a protective bar introduced across the window, . . . this accident which resulted in decedent's death would have been avoided.''

Supreme Court denied defendant's motion for summary judgment, stating that ''[a]lthough . . . the window could not have been confused as a door or some other means of egress,'' she was ''unable to determine, as a matter of law, whether the placement of the window sill created a situation where a person could easily stumble, and fall through the glass pane, necessitating the protections required by section 27-651 of the Administrative Code.'' Moreover, plaintiff's expert had ''raised an issue of fact as to whether the construction/installation of the window was a serious deviation and departure from the standard and proper practice for office buildings in the City of New York.''

The Appellate Division reversed, granted defendant's motion and dismissed the complaint. The Court concluded that as a matter of law section 27-651 does not apply to ''exterior windows, whatever their location or dimensions'' (4 AD3d 178, 178 [1st Dept 2004]). Further, the Court found that plaintiff's expert's testimony was conclusory and unsupported, and ''since the question of the applicability of [section 27-651] is a purely legal one, the motion court should not have allowed the expert to usurp its function as the sole determiner of law'' (4 AD3d at 179 [citations omitted]). We granted plaintiff leave to appeal, and now affirm.

New York City Administrative Code § 27-643 (''Scope'') sets forth the scope of subchapter 10, article 12 (''Glass Panels'') of the Building Code as follows:

> ''The provisions of sections 27-644 through 27-648 of this article [12] shall apply to the use of glass in the exterior wall of a building and shall be limited to exterior application wherein the glass would not be subjected to any loads normal to the face of glass other than those due to wind. For applications involving human impact, the provisions of section 27-651 of this article shall apply. For other cases, the strength and mode of installation of glass shall conform to accepted industry standards.''

Thus, exterior windows normally subject only to wind loads are covered by sections 27-644 through 27-648, while glass applications involving human impact are governed by section 27-651.

Section 27-651 (''Panels subject to human impact loads''), in turn, provides that,

> ''[g]lass in prime and storm doors, interior doors, fixed glass panels that may be mistaken for means of egress or ingress, shower doors and tub enclosures, or in similar installations wherein one or more of the following criteria apply, shall meet the requirements set forth in table 10-9, or by comparative tests shall be proven to produce equivalent performance:
>
> ''(a) openings are located in regularly occupied spaces.
>
> ''(b) lowest point of panel is less than eighteen inches above finished floor.

> ''(c) minimum dimension of panel is larger than eighteen inches.''

The portion of table 10-9 applicable to a glass panel of the type and dimension of the bay window's center panel (regular plate, over six square feet) specifies glass ''[n]ot less than 3/16 in. thick'' (as was the case here) and ''protected by a push-bar or protective grille firmly attached on each exposed side, if not divided by a muntin'' (as was not the case here). Thus, this appeal essentially reduces to whether the center window panel is a ''similar installation[ ]'' within the meaning of section 27-651 and thus subject to the specifications in table 10-9.

[1] Plaintiff contends that the bay window's center panel is a ''similar installation[ ]'' because its size, configuration and location in regularly occupied space rendered it highly susceptible to accidental human contact. By its plain, very specific language, however, section 27-651 addresses only doors and door-like panels (''Glass in prime and storm *doors*, interior *doors*, fixed glass panels that may be *mistaken for means of egress or ingress*, shower *doors* and tub *enclosures*'' [emphasis added]), which are pushed or pulled or are otherwise subject to human contact when someone tries to enter or exit through them. We therefore conclude that the term ''similar installations'' in section 27-651 encompasses only doors and door-like panels—not a fixed exterior window panel.

Based on her expert's opinion that the window was unsafe, plaintiff also argues that the Appellate Division erred in rejecting her common-law negligence claim. Plaintiff's expert opined that good and accepted engineering and building safety practices dictated installation of tempered glass in the window or, alternatively, a $1^1/_2$-inch-thick protective barrier bar placed between 34 to 38 inches above the floor and capable of withstanding a horizontal load of 50 pounds per linear foot without contacting the glass. Further, plaintiff's expert opined that decedent's accidental death would have been averted ''[i]f the glass was properly tempered and/or a protective bar introduced across the window.''

[2] This conclusory testimony was insufficient to raise a question of fact as to whether defendant breached its duty to ''maintain[ ] [its] property in a reasonably safe condition in view of all the circumstances, including the likelihood of injury to others, the seriousness of the injury, and the burden of avoiding the risk'' (*Basso v Miller*, 40 NY2d 233, 241 [1976] [citation and internal quotation marks omitted]). Plaintiff's expert cited no authority, treatise, standard, building code, article or other corroborating evidence to support his assertion that good and accepted engineering and building safety practices called for the installation of tempered glass in the General Motors building when it was erected in 1968, or for defendant to retrofit this 50-story tower's nontempered glass windows with bars after acquiring the building in 1998.

Plaintiff's expert cited only section 27-651 of the New York City Administrative Code—which we have held to be inapplicable as a matter of law—to support his opinion that protective barrier bars should have been installed across the face of the building's nontempered glass windows either in 1968 or after 1998. He provided no authority for his very particular specifications (i.e., thickness, height above the floor, horizontal load capacity) for such bars, or any basis for his view that tempered glass and/or a bar would have prevented decedent's accident, especially in light of the absence of any information about the height at which or the force with which decedent struck the bay window's center panel. ''Where the expert's ultimate assertions are speculative or unsupported by any evidentiary foundation . . . the opinion should be given no probative force and is insufficient to withstand summary judgment'' (*Diaz v New York Downtown Hosp.*, 99 NY2d 542, 544 [2002]).

[3] Here, the police reports indicate that decedent was pushed against and through the window as a consequence of rough ''play fighting,'' and the Medical Examiner's report classifies the death as a homicide. Moreover, in the tower's roughly 31 years of occupancy prior to March 17, 1999, there were no remotely similar occurrences such as glass popping or slipping out of a window, or a window panel breaking when someone came into contact with it. In light of these circumstances, decedent's accident was not foreseeable as a matter of law (*see Tagle v Jakob*, 97 NY2d 165, 168 [2001]; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339, 344 [1928] [''(t)he risk reasonably to be perceived defines the duty to be obeyed'']). Concomitantly, the third-party act of pushing decedent into the window was sufficiently extraordinary to supersede any alleged negligence on defendant's part (*see Kush v City of Buffalo*, 59 NY2d 26, 33 [1983]; *see also Pena v Schur*, 245 AD2d 206, 207 [1st Dept 1997], *lv denied* 91 NY2d 811 [1998]; *Hyman v Queens County Bancorp, Inc.*, 3 NY3d 743 [2004] [holding that lack of second safety rail in bank was only speculatively the cause of plaintiff's injury]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order affirmed, with costs.

[832 NE2d 26, 799 NYS2d 170]

EBC I, Inc., Formerly Known as eToys, Inc., by the Official Committee of Unsecured Creditors of EBC I, Inc., Respondent, v Goldman, Sachs & Co., Appellant.

Argued March 29, 2005; decided June 7, 2005

SUMMARY

Appeal, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court entered May 20, 2004, as corrected June 2, 2004. The Appellate Division (1) modified, on the law, an order of the Supreme Court, New York County (Karla Moskowitz, J.), which had granted defendant's motion to dismiss the complaint for failure to state a cause of action to the extent of dismissing the second, third, fourth and fifth causes of action, the modification consisting of denying the motion with respect to the second, fourth and fifth causes of action, and (2) (a) reversed an order (denominated judgment) of that Supreme Court, which had dismissed the second, third, fourth and fifth causes of action and severed and continued the first cause of action, and (b) vacated the order in view of its disposition of the appeal from the initial Supreme Court order. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court entered on May 2, 2003 (Appeal No. 3308) and which unanimously reversed the order (denominated judgment) of Supreme Court entered on May 13, 2003 (Appeal No. 3309), properly made?"

EBC I, Inc. v Goldman Sachs & Co., 7 AD3d 418, modified.

HEADNOTES

Pleading — Sufficiency of Pleading — Breach of Fiduciary Duty

1. Plaintiff adequately stated a cause of action for breach of fiduciary duty against defendant, the lead managing underwriter of plaintiff's initial public stock offering, where it was alleged that plaintiff relied on defendant for its expertise as to pricing the initial public offering and that defendant gave advice to plaintiff without disclosing its divided loyalty arising from its profit-sharing arrangements with clients. A fiduciary relationship exists when one person is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation, and a cause of action for breach of fiduciary duty may survive, for pleading purposes, where the complaining party sets forth allegations that, apart from the terms of the contract, the underwriter and issuer created a relationship of higher trust than would arise from the underwriting agreement alone. Recognition of a fiduciary duty to this limited extent—requiring disclosure of defendant's compensation ar-

rangements with its customers—was not in conflict with an underwriter's general duty to investors under the Securities Act of 1933 to exercise due diligence in the preparation of a registration statement. The contention that there could be no fiduciary duty because the parties functioned as a typical seller and buyer was unavailing in view of the parties' agreement to a fixed profit from the selling of the securities.

Contracts — Breach or Performance of Contract

2. In an action against defendant, the lead managing underwriter of plaintiff's initial public stock offering, arising out of the parties' underwriting agreement, no cause of action for breach of contract was stated in the absence of an allegation that defendant breached any provision of the underwriting agreement. It was undisputed that defendant fulfilled its commitments as set forth in the parties' contract, purchasing all of the available shares and reselling them to the public.

Pleading — Sufficiency of Pleading — Breach of Implied Covenant of Good Faith and Fair Dealing

3. Plaintiff failed to state a cause of action for breach of an implied covenant of good faith and fair dealing in an action arising out of the parties' underwriting agreement against defendant, the lead managing underwriter of plaintiff's initial public stock offering. The complaint did not adequately allege that defendant injured plaintiff's right to receive the benefits of their agreement. The principal purposes of the public offering were to increase working capital, to create a public market for the common stock, to facilitate future access to public markets and to increase plaintiff's visibility in the retail marketplace. There was no dispute that the contractual objectives were achieved as a result of defendant's underwriting services, and the complaint failed to allege otherwise.

Pleading — Sufficiency of Pleading — Professional Malpractice

4. Plaintiff failed to state a cause of action for professional malpractice in an action arising out of the parties' underwriting agreement against defendant, the lead managing underwriter of plaintiff's initial public stock offering. Plaintiff alleged that defendant engaged in intentional misconduct by underpricing its shares, not that the investment firm acted negligently in failing to exercise a particular level of skill.

Equity — Unjust Enrichment

5. Plaintiff failed to state a cause of action for unjust enrichment in an action arising out of the parties' underwriting agreement against defendant, the lead managing underwriter of plaintiff's initial public stock offering. The existence of a valid contract governing the subject matter generally precludes recovery in quasi contract for events arising out of the same subject matter.

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Am Jur 2d, Contracts §§ 611–620; Am Jur 2d, Corporations § 368; Am Jur 2d, Equity §§ 30, 37.

Calamari and Perillo, Contracts (5th ed) §§ 1.8, 11.38.

NY Jur 2d, Contracts §§ 343–346, 351, 354, 355, 408, 420, 509, 512, 514, 525, 586, 593, 594; NY Jur 2d, Malpractice §§ 1–3.

PROSSER AND KEETON, TORTS (5th ed) § 32.
WILLISTON ON CONTRACTS (4th ed) §§ 1.6, 8.1, 55:28, 63:22, 68:1, 68:5, 68:9.

ANNOTATION REFERENCE

Bank's liability for breach of implied contract of good faith and fair dealing. 55 ALR4th 1026.

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POINTS OF COUNSEL

Sullivan & Cromwell LLP, New York City (*John L. Warden, Penny Shane, David M.J. Rein, Jeremy C. Bates* and *Matthew D. Dunn* of counsel), for appellant. I. The Appellate Division's fiduciary duty, professional malpractice and fraud holdings lack any support in the law of New York or otherwise. (*Horn v 440 E. 57th Co.,* 151 AD2d 112; *Scalp & Blade v Advest, Inc.,* 281 AD2d 882; *Northeast Gen. Corp. v Wellington Adv.,* 82 NY2d 158; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144; *Polonetsky v Better Homes Depot,* 97 NY2d 46; *Caniglia v Chicago Tribune-N.Y. News Syndicate,* 204 AD2d 233; *CIBC Bank & Trust Co. [Cayman] v Credit Lyonnais,* 270 AD2d 138; *Schachter v Citibank,* 193 AD2d 593; *Meinhard v Salmon,* 249 NY 458; *SNS Bank v Citibank,* 7 AD3d 352.) II. The decision below threatens Goldman, Sachs & Co.'s role as gatekeeper to capital markets and creates uncertainty for those who choose New York law to govern underwritings. (*Chris-Craft Indus., Inc. v Piper Aircraft Corp.,* 480 F2d 341, 430 US 1; *Intercontinental Planning v Daystrom, Inc.,* 24 NY2d 372; *Ehrlich-Bober & Co. v University of Houston,* 49 NY2d 574.) III. The creditors' other claims are also flawed and the First Department has erred in reviving them. (*Kirke La Shelle Co. v Armstrong Co.,* 263 NY 79; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144; *Dalton v Educational Testing Serv.,* 87 NY2d 384; *Chrysler Credit Corp. v Dioguardi Jeep Eagle,* 192 AD2d 1066; *Maxon Intl. v International Harvester Co.,* 82 AD2d 1006; *Paramount Film Distrib. Corp. v State of New York,* 30 NY2d 415; *Clark v Daby,* 300 AD2d 732; *Wiener v Lazard Freres & Co.,* 241 AD2d 114; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.,* 70 NY2d 382; *LaBarte v Seneca Resources Corp.,* 285 AD2d 974.)

Pomerantz Haudek Block Grossman & Gross LLP, New York

City (*Stanley M. Grossman, Shaheen Rushd* and *Murielle J. Steven* of counsel), *Wachtel & Masyr LLP* (*William B. Wachtel* of counsel) and *Traub, Bonacquist & Fox LLP (Paul Traub, Michael S. Fox* and *Susan F. Balaschak* of counsel) for respondent. I. The First Department properly sustained plaintiff's claim for breach of fiduciary duty. (*Xpedior Creditor Trust v Credit Suisse First Boston [USA] Inc.,* 341 F Supp 2d 258; *MDCM Holdings, Inc. v Credit Suisse First Boston Corp.,* 216 F Supp 2d 251; *Kern v Currie Assoc.,* 220 AD2d 255; *Wiener v Lazard Freres & Co.,* 241 AD2d 114; *Conte v U.S. Alliance Fed. Credit Union,* 303 F Supp 2d 220; *LaBarte v Seneca Resources Corp.*, 285 AD2d 974; *FLS Group v Goldinger,* 6 Misc 3d 1003[A]; *Frydman & Co. v Credit Suisse First Boston Corp.,* 272 AD2d 236; *JHH Pictures v Rawkus Entertainment,* 291 AD2d 356; *Societe Nationale D'Exploitation Industrielle Des Tabacs Et Allumettes v Salomon Bros. Intl.,* 251 AD2d 137.) II. The First Department properly reinstated plaintiff's claim for professional malpractice. (*Chase Scientific Research v NIA Group,* 96 NY2d 20; *Bestolife Corp. v American Amicable Life,* 5 AD3d 211; *In re Initial Pub. Offering Antitrust Litig.,* 287 F Supp 2d 497; *Dymm v Cahill,* 730 F Supp 1245; *Castle Oil Corp. v Thompson Pension Empl. Plans,* 299 AD2d 513; *Exeter Bancorporation, Inc. v Kemper Sec. Group, Inc.,* 58 F3d 1306; *Smith v Arthur Andersen L.L.P.,* 175 F Supp 2d 1180; *In re Daisy Sys. Corp.,* 97 F3d 1171; *Cristallina S.A. v Christie, Manson & Woods Intl.,* 117 AD2d 284; *Channel Master Corp. v Aluminium Ltd. Sales,* 4 NY2d 403.) III. The First Department correctly reinstated the fraud claim predicated on Goldman, Sachs & Co.'s receipt of undisclosed illicit compensation. (*Jered Contr. Corp. v New York City Tr. Auth.,* 22 NY2d 187; *Lanzi v Brooks,* 43 NY2d 778; *Virginia Bankshares, Inc. v Sandberg,* 501 US 1083; *Eisenberg v Gagnon,* 766 F2d 770; *Oxford Health Plans [NY] v BetterCare Health Care Pain Mgt. & Rehab,* 305 AD2d 223; *Foley v D'Agostino,* 21 AD2d 60; *Bernstein v Kelso & Co.,* 231 AD2d 314; *Auguston v Spry,* 282 AD2d 489; *Federal Ins. Co. v Specialty Paper Box Co.,* 222 AD2d 254; *Banner Indus. v Schwartz,* 181 AD2d 479.) IV. The First Department properly revived plaintiff's claim of unjust enrichment. (*Clark v Daby,* 300 AD2d 732, 100 NY2d 503; *Todd v Pearl Woods,* 20 AD2d 911, 15 NY2d 817; *Marks v CDW Computer Ctrs., Inc.,* 122 F3d 363; *McGrath v Hilding,* 41 NY2d 625; *Simonds v Simonds,* 45 NY2d 233; *Carriafielio-Diehl & Assoc., Inc. v D&M Elec. Contr., Inc.,* 12 AD3d 478; *Smith v Chase Manhattan Bank, USA,* 293 AD2d 598; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.,* 70 NY2d 382; *Farash v Sykes Datatron-*

ics, 59 NY2d 500; *Schuler-Haas Elec. Corp. v Wager Constr. Corp.,* 57 AD2d 707.) V. The First Department correctly reinstated the claim for breach of the implied covenant of good faith and fair dealing. (*Kirke La Shelle Co. v Armstrong Co.,* 263 NY 79; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144; *MDCM Holdings, Inc. v Credit Suisse First Boston Corp.,* 216 F Supp 2d 251; *Zurakov v Register.Com, Inc.,* 304 AD2d 176; *Havel v Kelsey-Hayes Co.,* 83 AD2d 380; *LaBarte v Seneca Resources Corp.,* 285 AD2d 974; *Richbell Info. Servs. v Jupiter Partners,* 309 AD2d 288; *Paz v Singer Co.,* 151 AD2d 234.) VI. The First Department erred in dismissing plaintiff's claim for breach of the express terms of the underwriting agreement. (*Chrysler Credit Corp. v Dioguardi Jeep Eagle,* 192 AD2d 1066; *Maxon Intl. v International Harvester Co.,* 82 AD2d 1006, 56 NY2d 879; *William C. Atwater & Co. v Panama R.R. Co.,* 246 NY 519.) VII. The First Department properly upheld plaintiff's claim for bankruptcy-related damages. (*Kenford Co. v County of Erie,* 67 NY2d 257; *Associated Textile Rental Servs. v Xerox Corp.,* 2 AD3d 1301; *Gibbs v Breed, Abbott & Morgan,* 271 AD2d 180; *Derdiarian v Felix Contr. Corp.,* 51 NY2d 308; *Steitz v Gifford,* 280 NY 15; *American Fed. Group, Ltd. v Rothenberg,* 136 F3d 897; *Balemian v LB Real Estate Dev. Corp.,* 226 AD2d 223; *Ashland Mgt. v Janien,* 82 NY2d 395; *Lamborn v Dittmer,* 873 F2d 522; *Emergent Capital Inv. Mgt., LLC v Stonepath Group, Inc.,* 343 F3d 189.)

Cleary, Gottlieb, Steen & Hamilton, New York City (*Mitchell A. Lowenthal, Lewis J. Liman, David H. Herrington, Nancy I. Ruskin, Stuart N. Mast* and *Amy Chung* of counsel), for Securities Industry Association, amicus curiae. I. Imposing an extracontractual fiduciary duty dramatically rewrites the actual agreement struck by the parties in the underwriting agreement. (*Abiele Contr. v New York City School Constr. Auth.,* 91 NY2d 1; *Northeast Gen. Corp. v Wellington Adv.,* 82 NY2d 158; *Quantum Chem. Corp. v Reliance Group,* 180 AD2d 548; *Savage Records Group v Jones,* 247 AD2d 274; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Red Apple Group,* 281 AD2d 296; *Carnegie v H&R Block,* 269 AD2d 145; *Prestige Foods v Whale Sec. Co.,* 243 AD2d 281; *V. Ponte & Sons v American Fibers Intl.,* 222 AD2d 271; *Oursler v Women's Interart Ctr.,* 170 AD2d 407; *Blue Grass Partners v Bruns, Nordeman, Rea & Co.,* 75 AD2d 791.) II. Imposing a fiduciary duty is contrary to the business realities of the underwriter-issuer relationship. (*In re Wicat Sec. Litig.,* 600 F Supp 1236; *Birnbaum v Birnbaum,* 73 NY2d 461; *Drucker v Mige Assoc. II,* 225 AD2d 427; *Hasbrouck v*

Rymkevitch, 25 AD2d 187.) III. Imposing a fiduciary duty on underwriters is at odds with the regulatory framework of the federal securities laws. (*Chris-Craft Indus., Inc. v Piper Aircraft Corp.,* 480 F2d 341, 430 US 1; *Escott v BarChris Constr. Corp.,* 283 F Supp 643; *Feit v Leasco Data Processing Equip. Corp.,* 332 F Supp 544.) IV. The breach of fiduciary duty claim should have been dismissed as a matter of law. (*National Union Fire Ins. Co. of Pittsburgh, Pa. v Red Apple Group,* 281 AD2d 296; *Carnegie v H&R Block,* 269 AD2d 145; *Savage Records Group v Jones,* 247 AD2d 274.)

OPINION OF THE COURT

CIPARICK, J.

Plaintiff, the Official Committee of Unsecured Creditors of EBC I, Inc., formerly known as eToys, Inc., brought this action against defendant Goldman, Sachs & Co., the lead managing underwriter of its initial public stock offering, alleging five causes of action related to the underwriting agreement: breach of fiduciary duty, breach of contract, fraud, professional malpractice and unjust enrichment. We hold that plaintiff's complaint fails to state claims for breach of contract, professional malpractice and unjust enrichment. We therefore modify the Appellate Division order to dismiss these claims and, as modified, affirm to allow the fiduciary duty cause of action to proceed. Leave to replead the fraud cause of action was correctly granted; plaintiff has filed an amended complaint, but the sufficiency of that pleading is not before us on this appeal.

I.

This case involves the underwriting process by which investment banks help take securities to the market in an initial public offering (IPO). Companies may decide to make such an offering for several reasons, including a desire to raise new capital and to create a public market for their shares (*see* 1 Thomas Lee Hazen, Securities Regulation § 3.1 [2] [5th ed]; *see also* Larry D. Soderquist, Understanding the Securities Law § 2:2 *et seq*. [Practising Law Institute 4th ed]). A "firm commitment underwriting," at issue here, typically involves an agreement whereby the "issuer"—or company seeking to issue the security (*see* Securities Act of 1933 [48 US Stat 74, as amended] § 2 [codified at 15 USC § 77b (a) (4)])—sells an entire allotment of shares to an investment firm who purchases the shares with a view to sell them to the public (*see* Securities Act of 1933 § 2 [15

USC § 77b (a) (11)] [defining an ''underwriter'']; *see also* 1 Hazen, Securities Regulation § 2.1 [2] [B]; Louis Loss and Joel Seligman, Fundamentals of Securities Regulation ch 2A [3d ed]).

As underwriter, the functions of the investment firm include negotiating an initial public offering price for the securities with the issuer, purchasing the securities from the issuer at a discount and reselling them on the market at the public offering price. The difference or ''spread'' between the amount the underwriter pays for the securities and the price at which the securities are sold to the public makes up the underwriter's compensation for its services. Because in a firm commitment underwriting the underwriter owns, and is obligated to pay the issuer for the securities regardless of whether it can resell them, it may assemble a group of underwriters, known as a syndicate, to help absorb the risk.[1]

As stated in plaintiff's complaint, in the late 1990's, eToys, Inc., an Internet retailer specializing in the sale of products for children, sought to go public in order to obtain financing necessary to further implement its business plan. In January 1999, eToys retained Goldman Sachs as lead managing underwriter of its initial public offering.[2]

Within the context of its engagement, Goldman Sachs met with potential investors, responded to inquiries about eToys' business and gauged investors' indications of interest in eToys' shares. On April 19, 1999, eToys and Goldman Sachs finalized the underwriting agreement. eToys agreed to sell 8,320,000 shares of its stock to Goldman Sachs and the other underwriters for $18.65 per share with the option to buy an additional 1,248,000 shares at the same price to cover overallotments. The agreement also provided that Goldman Sachs would offer the shares for public sale upon the terms and conditions set forth in the prospectus, which fixed the initial offering price at $20 per

1. *See* William J. Grant, Jr., *Overview of the Underwriting Process*, in Securities Underwriting: A Practitioner's Guide, at 25-45 (Bialkin and Grant editors, 1985); John S. D'Alimonte, *The Letter of Intent and the Basic Structure of An Offering,* in Securities Underwriting, *supra* at 85-98; David B. Rea and William J. Grant, Jr., *The Syndication and Marketing Process*, in Securities Underwriting, *supra* at 277-291; Samuel N. Allen, *A Lawyer's Guide to the Operation of Underwriting Syndicates*, 26 New Eng L Rev 319, 320-321 (1991).

2. Three other comanaging underwriters were BancBoston Robertson Stephens Inc., Donaldson, Lufkin & Jenrette Securities Corp., and Merrill Lynch, Pierce, Fenner & Smith, Inc., who formed the underwriting syndicate, later joined by additional firms. Plaintiff has filed a separate action against the other syndicate underwriters alleging substantially the same claims as here.

share. Thus, Goldman Sachs' potential profit was $1.35 per share or 6.75% of the offering proceeds. Goldman Sachs was to receive a total of at most $12,916,800 from the sale.

On May 20, 1999, the first day of trading, the stock opened at $79 per share, rose as high as $85 per share and closed at $76.56. By the end of the year, however, the stock closed at $25. Soon thereafter, it fell below $20 and never rose above the initial offering price. Eventually, in March 2001, eToys filed a voluntary petition for reorganization under chapter 11 of the United States Bankruptcy Code in the District of Delaware. The Bankruptcy Court appointed the Official Committee of Unsecured Creditors and authorized the committee to bring this action on behalf of eToys, now known as EBC I, Inc.

The complaint alleges that eToys relied on Goldman Sachs for its expertise as to pricing the IPO, and that Goldman Sachs gave advice to eToys without disclosing that it had a conflict of interest. Specifically, the complaint alleges that Goldman Sachs entered into arrangements ''whereby its customers were obligated to kick back to Goldman a portion of any profits that they made'' from the sale of eToys securities subsequent to the initial public offering. Because a lower IPO price would result in a higher profit to these clients upon the resale of the securities and thus a higher payment to Goldman Sachs for the allotment, plaintiff alleges Goldman Sachs had an incentive to advise eToys to underprice its stock. As a result of this undisclosed scheme, Goldman Sachs was allegedly paid 20% to 40% of the clients' profits from trading the eToys securities.

Relying on these allegations, plaintiff brought five causes of action against Goldman Sachs: breach of fiduciary duty (first), breach of contract (second), fraud (third), professional malpractice (fourth) and unjust enrichment (fifth).[3] In response, Goldman Sachs moved to dismiss the complaint in its entirety for failure to state any cause of action.

Supreme Court in two orders (one denominated judgment) granted the motion to the extent of dismissing the second, third (with leave to replead), fourth and fifth causes of action. The court denied that part of the motion seeking to dismiss the first cause of action for breach of fiduciary duty, finding that ''[a]l-

3. Plaintiff also claimed additional damages incurred by eToys as a result of Goldman Sachs' misconduct causing the failure of the business and its eventual bankruptcy. The Appellate Division ruled that the ''proximate cause of the damages claimed is an issue of fact inappropriate for determination at this juncture'' (7 AD3d 418, 421 [2004]). We agree.

though the contract did not establish a formal fiduciary relationship . . . the pleading sufficiently raises an issue as [to] the existence of an informal one,'' and noting that Goldman Sachs had also advised eToys in connection with a preferred stock offering.

The Appellate Division modified the initial order of Supreme Court, opining that the breach of fiduciary duty claim was correctly sustained upon allegations showing a preexisting relationship between eToys, Inc. and Goldman Sachs that justified eToys' alleged trust in pricing the shares. The Court further held that the trial court properly dismissed the fraud cause of action with leave to replead, reasoning that plaintiff did not allege with sufficient particularity who made the purported misrepresentations to eToys, Inc. The Appellate Division, however, disagreed with the Supreme Court as to the breach of contract, professional malpractice and unjust enrichment causes of action, reinstating all three.

Goldman Sachs appeals by leave of the Appellate Division on a certified question. We now modify the order of the Appellate Division by dismissing the second, fourth and fifth causes of action. We agree with the trial court and Appellate Division that the pleading of the fiduciary duty claim is sufficient and that leave to replead the fraud claim was proper.

II.

[1] In the context of a motion to dismiss pursuant to CPLR 3211, the court must afford the pleadings a liberal construction, take the allegations of the complaint as true and provide plaintiff the benefit of every possible inference (*see Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326 [2002]). Whether a plaintiff can ultimately establish its allegations is not part of the calculus in determining a motion to dismiss. Applying this standard, we conclude that plaintiff's allegations of breach of fiduciary duty survive Goldman Sachs' motion to dismiss.

A fiduciary relationship ''exists between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation'' (Restatement [Second] of Torts § 874, Comment *a*). Such a relationship, necessarily fact-specific, is grounded in a higher level of trust than normally present in the marketplace between those involved in arm's length business transactions (*see Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158, 162 [1993]). Generally, where parties have entered into a contract, courts look to that agreement ''to discover . . . the nexus of [the parties'] relationship and the particular contractual expression establishing the parties' interdependency'' (*see id.* at 160). ''If the parties . . . do not create their own relationship of higher trust, courts should not ordinarily transport them to the higher realm of relationship and fashion the stricter duty for them'' (*id.* at 162). However, it is fundamental that fiduciary ''liability is not dependent solely upon an agreement or contractual relation between the fiduciary and the beneficiary but results from the relation'' (Restatement [Second] of Torts § 874, Comment *b*).

Goldman Sachs argues that the relationship between an issuer and underwriter is an arm's length commercial relation from which fiduciary duties may not arise. It may well be true that the underwriting contract, in which Goldman Sachs agreed to buy shares and resell them, did not in itself create any fiduciary duty. However, a cause of action for breach of fiduciary duty may survive, for pleading purposes, where the complaining party sets forth allegations that, apart from the terms of the contract, the underwriter and issuer created a relationship of higher trust than would arise from the underwriting agreement alone.

Here, the complaint alleges an advisory relationship that was independent of the underwriting agreement. Specifically, plaintiff alleges eToys was induced to and did repose confidence in Goldman Sachs' knowledge and expertise to advise it as to a fair IPO price and engage in honest dealings with eToys' best interest in mind. Essentially, according to the complaint, eToys hired Goldman Sachs to give it advice for the benefit of the company, and Goldman Sachs thereby had a fiduciary obligation to disclose any conflict of interest concerning the pricing of the IPO. Goldman Sachs breached this duty by allegedly concealing from eToys its divided loyalty arising from its profit-sharing arrangements with clients.

Contrary to Goldman Sachs' contention, recognition of a fiduciary duty to this limited extent—requiring disclosure of Goldman Sachs' compensation arrangements with its customers—is not in conflict with an underwriter's general duty to investors under the Securities Act of 1933 to exercise due diligence in the preparation of a registration statement.[4] An obligation not to conceal from the issuer private arrangements made with a group of potential investors does not compromise Goldman Sachs' charge to be truthful in its public disclosure regarding the issuer's business. For similar reasons, we do not share the dissent's concern that upholding an issuer's fiduciary duty claim against an underwriter ''potentially conflicts with a highly complex regulatory framework designed to safeguard investors'' (dissenting op at 23). Recognizing a common-law remedy, under these circumstances, will not hinder the efforts being expended to regulate in this area.

Goldman Sachs' additional argument that there could be no fiduciary duty in this case because eToys and Goldman Sachs functioned as a typical seller and buyer is also unavailing. Generally, a buyer purchases a seller's goods at a wholesale price and attempts to resell those goods at the highest possible profit. Such a transaction would negate any fiduciary duty concerning pricing advice as no rational seller would place trust in a buyer's pricing given the parties' opposing interests. Here, in contrast, Goldman Sachs and eToys allegedly agreed to a fixed profit from the selling of the securities—Goldman Sachs was to receive about 7% of the offering proceeds. Thus eToys allegedly believed its interests and those of Goldman Sachs were aligned: the higher the price, the higher Goldman Sachs' 7% profit. Consequently, eToys allegedly had a further reason to trust that Goldman Sachs would act in eToys' interest when advising eToys on the IPO price.

Goldman Sachs warns that to find a fiduciary relationship in this case may have a significant impact on the underwriting industry. We think its concern is overstated. To the extent that underwriters function, among other things, as expert advisors to their clients on market conditions, a fiduciary duty may exist. We stress, however, that the fiduciary duty we recognize is limited to the underwriter's role as advisor. We do not suggest that underwriters are fiduciaries when they are engaged in

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4. The underwriter's responsibility with regard to a registration statement is to provide full and adequate information to investors concerning the distribution of the securities and the issuing company (*see* Securities Act of 1933 § 7 [15 USC § 77g] [providing in part that any registration statement shall contain information and documents ''necessary or appropriate in the public interest or for the protection of investors'']; *see also* Securities Act of 1933 schedule A [15 USC § 77aa] [schedule of information required in registration statement]; § 11 [15 USC § 77k] [establishing civil liability on account of false registration statement]).

activities other than rendering expert advice. When they do render such advice, the requirement to disclose to the issuers any material conflicts of interest that render the advice suspect should not burden them unduly.

Accepting the complaint's allegations as true, as the Court must at this stage, plaintiff has sufficiently stated a claim for breach of fiduciary duty. This holding is not at odds with the general rule that fiduciary obligations do not exist between commercial parties operating at arm's length—even sophisticated counseled parties—and we intend no damage to that principle. Under the complaint here, however, the parties are alleged to have created their own relationship of higher trust beyond that which arises from the underwriting agreement alone, which required Goldman Sachs to deal honestly with eToys and disclose its conflict of interest—the alleged profit-sharing arrangement with prospective investors in the IPO.[5]

III.

[2] Moving next to plaintiff's other causes of action, we hold that the courts below properly dismissed the claim for breach of contract in the absence of an allegation that Goldman Sachs breached any provisions of the underwriting agreement. It is undisputed that Goldman Sachs fulfilled its commitments as set forth in the parties' contract, purchasing all of the available shares at a total of $178.4 million paid to eToys and reselling them to the public at the initial offering price of $20 per share.

[3] Relatedly, plaintiff has also failed to plead a cause of action for breach of an implied covenant of good faith and fair dealing sufficient to survive dismissal under CPLR 3211. The complaint does not adequately allege that Goldman Sachs injured eToys' right to receive the benefits of their agreement (*see 511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144, 153 [2002]; *see also Dalton v Educational Testing Serv.*, 87 NY2d 384, 389-390 [1995]). As stated in the Prospectus, the principal purposes of the public offering were to increase work-

5. Other jurisdictions interpreting New York law have allowed similar pleadings to go forward and have held that the question of whether an underwriter had fiduciary obligations to the issuer of an IPO is a fact-specific determination to be made by the factfinder (*see Breakaway Solutions, Inc. v Morgan Stanley & Co. Inc.*, 2004 WL 1949300, 2004 Del Ch LEXIS 125 [Del Ct Ch, Aug. 27, 2004]; *Xpedior Creditor Trust v Credit Suisse First Boston [USA] Inc.*, 341 F Supp 2d 258 [US Dist Ct, SD NY 2004]; *MDCM Holdings, Inc. v Credit Suisse First Boston Corp.*, 216 F Supp 2d 251 [US Dist Ct, SD NY 2002]).

ing capital, to create a public market for the common stock, to facilitate future access to public markets, and to increase eToys' visibility in the retail marketplace. There is no dispute that the contractual objectives were achieved as a result of Goldman Sachs' underwriting services, and the complaint fails to allege otherwise.

Because this case arises from defendant's appeal, the issue with respect to plaintiff's fraud claim is limited to whether the courts below abused their discretion in granting plaintiff leave to replead. We find no abuse of discretion as plaintiff's allegations, if accompanied by sufficient detail, would be adequate to support a fraud claim at this juncture (*see Lama Holding Co. v Smith Barney*, 88 NY2d 413, 421 [1996]; *see also CPC Intl. v McKesson Corp.*, 70 NY2d 268, 285 [1987]).

[4] Next is the cause of action for professional malpractice. The essence of plaintiff's allegations in this regard is that Goldman Sachs engaged in intentional misconduct by underpricing its shares, not that the investment firm acted negligently in failing to exercise a particular level of skill. Thus, we hold that the malpractice claim was properly dismissed as insufficiently pleaded and leave open the question whether a financial advisor or underwriter may ever be treated as a professional for purposes of such liability (*see Chase Scientific Research v NIA Group*, 96 NY2d 20, 29-30 [2001]).

[5] Lastly, plaintiff fails to state a cause of action for unjust enrichment as the existence of a valid contract governing the subject matter generally precludes recovery in quasi contract for events arising out of the same subject matter (*see Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.,* 70 NY2d 382, 388 [1987]).

Accordingly, the order of the Appellate Division should be modified, without costs, by dismissing the second, fourth and fifth causes of action and as so modified, affirmed. The certified question should be answered in the negative.

READ, J. (dissenting in part). The majority today holds that the lead managing underwriter in a firm commitment underwriting owes a fiduciary duty to the issuer to disclose conflicts of interest in connection with the pricing of securities. This new fiduciary obligation wars against our precedent and potentially conflicts with a highly complex regulatory framework designed to safeguard investors. I therefore respectfully dissent.

"Unless statutory language or public policy dictates otherwise, the terms of a written agreement define the rights and obligations of the parties'' (*Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1, 9 [1997]). We have faithfully—that is, until today—declined to second-guess or interpolate unbargained-for provisions into contracts that are ''the product of an arms-length transaction between sophisticated businessmen, ably represented'' (*JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373, 382 [2005]; *see also South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272, 277 [2005] [the ''instrument was negotiated between sophisticated, counseled business people negotiating at arm's length'' (quoting *Matter of Wallace v 600 Partners Co.*, 86 NY2d 543, 548 [1995] and *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004])]; *Fiore v Oakwood Plaza Shopping Ctr.*, 78 NY2d 572, 581 [1991] [''Defendants were sophisticated parties involved in an arm's length commercial transaction . . . . The purchase price of the land alone was well in excess of $1 million, indicating the magnitude of the project. Furthermore, the parties were represented by counsel in negotiating the terms of the agreement'']; *Chimart Assoc. v Paul*, 66 NY2d 570, 574 [1986] [''the contract at issue is part of a multimillion dollar transaction involving sophisticated, counseled parties dealing at arm's length'']).

More particularly, we have—again, until today—refrained from injecting fiduciary obligations into sophisticated, counseled parties' arm's length commercial dealings. In refusing to fashion a ''newly-notched fiduciary-like duty'' for finders in *Northeast Gen. Corp. v Wellington Adv.* (82 NY2d 158, 161 [1993]), we remarked that ''[i]f the parties find themselves or place themselves in the milieu of the 'workaday' mundane marketplace, and if they do not create their own relationship of higher trust, courts should not ordinarily transport them to the higher realm of relationship and fashion the stricter duty for them.'' (*Id.* at 162.)

Plaintiff, the committee of unsecured creditors of the bankrupt eToys, Inc., claims that Goldman, Sachs & Co., the lead managing underwriter of eToys' initial public offering (IPO),[1]

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1. An IPO is the first public issuance of a stock from a company that has not previously been traded publicly. In a ''hot'' IPO, like eToys', the stock immediately trades at a premium in the aftermarket, the trading that takes place after termination of the price and trading restrictions governing the offering.

duped eToys into underpricing its stock at $20 a share.[2] Goldman allegedly carried out this deception so that it might profit from secret side deals with preferred customers who ''were obligated to kick back to Goldman a portion of any profits that they made on after[ ]market sales of eToys['] securities allocated to them at the IPO.''[3] While the pleading does not spell out exactly how underpricing worked in Goldman's favor, plaintiff's theory has to be that Goldman, whose underwriting compensation was a percentage (6.75%) of aggregate offering proceeds, stood to make more money on kickbacks from these secret side deals than it would have earned on its increased compensation from selling shares at some higher, theoretically ''correct'' price. Plaintiff further alleges that ''[b]ased on communications with

2. ''Underpricing'' refers to the difference between the price at which stock is sold to the public in an IPO and the price in the aftermarket. That IPOs are underpriced is ''as shocking a surprise as Claude Rains' discovery in 'Casablanca' that gambling was in progress at Rick's Café,'' since the ''systematic underpricing of IPO shares is probably the most thoroughly documented empirical fact about IPOs'' (Coffee, Corporate Securities, *The IPO Allocation Probe: Who Is the Victim?*, NYLJ, Jan. 18, 2001, at 5, col 1; *see generally* Ritter, *The Long-Run Performance of Initial Public Offerings*, 46 J Fin 3 [1991] [citing studies showing that IPOs produce 16.4% average positive initial return as measured from the offering price to the market price at the end of the first day of trading, and that extent of underpricing is highly cyclical, with much higher positive initial returns evident during ''hot issue'' markets; and, using a sample of 1,526 IPOs that went public in the United States in the 1975-1984 period, documenting third ''anomaly,'' which is that in the long run IPOs appear to be overpriced]; *see also* Griffith, *Spinning and Underpricing: Legal and Economic Analysis of the Preferential Allocation of Shares in Initial Public Offerings*, 69 Brook L Rev 583, 590-630 [Winter 2004] [examining various theories to explain underpricing]). During the heyday of the Internet stock bubble, when eToys' public offering took place, very large ''pops'' in first-day IPO prices were commonplace, reaching a zenith (or nadir, depending upon your point of view) with the IPO of VA Linux Systems in December 1999. VA Linux—which, like eToys is now bankrupt—was priced at $30 a share, opened at $300 a share and closed at $242.375 a share, thus soaring 698% in opening day Nasdaq trading (*see* Fisher, *A Tiny Company Without Profits Goes Public With a Bang*, New York Times, Dec. 10, 1999; *see also* Baker, *Who Wants to Be a Millionaire? Law Firms Investing in Hot High-Tech IPOs Are Making a Fortune, But Some Critics Worry the Stock Craze is Clouding Ethics Matters*, 86 Feb ABA J 36 [''The fact that VA Linux hadn't turned a dime in profits and had no expectation of doing so did little to deter trading. Investors pushed the price upward on a gamble that the public would see the fledgling company . . . as a rival to Microsoft'']).

3. The practices alleged in the complaint are commonly referred to as ''spinning'' and ''flipping.'' Spinning refers to the preferential allocation of the right to buy shares in an IPO, often to company managers or venture capitalists, who may quickly resell or ''flip'' these shares in the aftermarket for large profits.

Goldman, it was eToys' understanding that the offering price for eToys' common shares was to be set primarily by reference to then current market conditions and the anticipated demand for eToys' shares.''

In allowing plaintiff's claim for breach of fiduciary duty to go forward, the majority disregards that eToys was a sophisticated, well-counseled business entity. eToys' major stockholders included important venture-capital and corporate investors; its largest single stockholder, Idealab, styles itself as an incubator for successful technology companies (*see* <http://www.idealab.com>, cached at <http://www.courts.state.ny.us/reporter/webdocs/idealab.htm>). eToys was represented by the Venture Law Group, P.C., which ''specializes in representing high potential technology companies from before their creation through their public offering or acquisition and beyond,'' and which in 1999 handled ''the fourth largest number of initial public offerings for technology companies in the country'' (<http://www.venlaw.com/About>, cached at <http://www.courts.state.ny.us/reporter/webdocs/Venture_Law_Group.htm>).

Further, the offering price was a key term in the underwriting agreement, a purchase contract between eToys, the issuer/seller, and Goldman, the underwriter/buyer, who represented all the underwriters in the syndicate.[4] How may a buyer ever owe a duty of the highest trust and confidence to a seller regarding a negotiated purchase price? The interests of a buyer and seller are inevitably not the same. Indeed, it is a longstanding principle of contract law that a buyer may make a binding contract to buy something that it knows its seller undervalues (*Laidlaw v Organ*, 2 Wheat [15 US] 178 [1817]).

Here, eToys' prospectus acknowledged that the ''initial public offering price for the common stock *has been negotiated* among eToys and the representatives of the underwriters'' (emphasis added). Contrary to plaintiff's allegation, eToys also represented in the prospectus that the offering price was not driven by anticipated demand alone. The other factors that came into play were ''eToys' historical performance, estimates of eToys' business potential and earnings prospects, an assessment of eToys' management and the consideration of the above factors in rela-

4. The syndicate was the ad hoc group of underwriters who banded together to underwrite—that is, purchase—from eToys, the issuer/seller, at a fixed price less the discount (6.75%) and to distribute eToys' new securities.

tion to market valuation of companies in related businesses.'' Further, eToys' prospectus identified four ''principal purposes'' for the IPO: to increase working capital, create a public market for its stock, facilitate future access to the public capital markets, and increase visibility in the retail marketplace. By selling only 8.2% of its outstanding common stock at $20 a share, eToys raised the capital called for by its business plan.

In short, the offering price was not ''set'' by Goldman, it was negotiated by sophisticated, represented parties—the issuer/seller and the underwriter/buyer; the offering price was negotiated with reference to more than ''then current market conditions'' and ''anticipated demand''; and eToys did not seek to negotiate an offering price solely to maximize the proceeds raised in the offering. Documentary evidence in the record confirms all these points, and the nature of the contractual relationship between an issuer and an underwriter is long-established and well-understood (*see United States v Morgan*, 118 F Supp 621, 635-655 [SD NY 1953]). While plaintiffs may have alleged ''an advisory relationship that was independent of the underwriting agreement'' (majority op at 20), conclusory allegations are insufficient to survive a motion to dismiss (*see e.g. Caniglia v Chicago Tribune-N.Y. News Syndicate*, 204 AD2d 233, 233-234 [1st Dept 1994] [on motion to dismiss, facts pleaded are presumed to be true and accorded every favorable inference, but ''allegations consisting of bare legal conclusions, as well as factual claims inherently incredible or flatly contradicted by documentary evidence are not entitled to such consideration'']).

Finally, I am less sanguine than the majority about the consequences of recognizing ''a fiduciary duty . . . requiring disclosure of [a lead underwriter's] compensation arrangements with its customers'' (majority op at 20). The excesses of the market in the days of the Internet high-tech mania did not go unnoticed by regulators. In addition to a flurry of enforcement actions at the state and federal levels, the Securities and Exchange Commission (SEC) in 2002 asked the two major self-regulatory organizations (SROs),[5] the New York Stock Exchange, Inc. (NYSE) and the National Association of Securities Dealers,

5. SROs are quasi-governmental entities with ''a duty to promulgate and enforce rules governing the conduct of [their] members'' (*Barbara v New York Stock Exch., Inc.*, 99 F3d 49, 51 [2d Cir 1996]; *see* 15 USC § 78c [a] [26]; § 78f [b]; § 78s [g]). The SEC must approve or reject any rule, practice, policy or interpretation proposed by an SRO (*see* 15 USC § 78s [b]; *Barbara*, 99 F3d at 51

(n. cont'd)

Inc. (NASD), to convene a high-level group of business and academic leaders to review the IPO process in light of the experience of the 1990's, and to recommend ways to cure the problems exposed during that period and to improve the underwriting process going forward. This group produced a report in May 2003 (*see* NYSE/NASD IPO Advisory Committee, Report and Recommendations of a committee convened by the New York Stock Exchange, Inc. and NASD at the request of the US Securities and Exchange Commission [May 2003], published on the Internet at <http://www.nasd.com/web/groups/rules_regs/documents/rules_regs/nasdw_010373.pdf>, cached at <http://www.courts.state.ny.us/reporter/webdocs/nasdw_010373.pdf>), directly leading, among other things, to pending proposed NYSE rule 470 and NASD rule 2712 (*see* 69 Fed Reg 77,804 [Dec. 28, 2004]; *see also* 70 Fed Reg 19,672 [Apr. 13, 2005]). These rather complicated proposed rules govern allocations and distributions of shares in IPOs.[6] How our new fiduciary duty for underwrit-

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[describing the role of SROs in enforcement of federal securities laws and SRO rules or regulations]).

6. Specifically, the proposed rules would (1) prohibit IPO allocations as a consideration or inducement for the receipt of compensation that is excessive in relation to the services provided by the member or member organization (so-called ''quid pro quo'' allocations); (2) prohibit the awarding of IPO shares to executive officers and directors and their household members of issuers that have, or will have, an investment banking relationship with the member or member organization on the condition that such officers and directors, on behalf of the issuer, direct future investment banking business to the member or member organization (i.e., spinning); (3) prohibit the imposition of a flipping penalty (a ''penalty bid'') on associated persons whose customers flipped IPO shares unless such penalty is imposed on the entire underwriting syndicate; and (4) require the book-running lead manager, who is responsible for assembling pre-price indications of interest in an underwritten transaction, to provide the issuer's pricing committee (or, if the issuer has no pricing committee, its board of directors) with (a) a regular report of indications of interest, including the names of interested institutional investors and the number of shares indicated by each, and a report of aggregate demand from retail investors (which the SROs characterized as conforming the rules to existing practices); and (b) a report on final allocations within a reasonable time after the IPO's settlement date. These proposed rules would also extend lock-up agreements (i.e., formal restrictions on resale of securities) to officers' and directors' issuer-directed shares (e.g., so-called ''friends and family'' programs) and require the book-running lead manager to notify the issuer and the public (through a major news service) at least two days prior to the release or waiver of any lock-up or other restriction on the transfer of the issuer's shares; specify how the book-running lead manager and other syndicate members must deal with returned shares; and prohibit members from accepting market orders to purchase IPO shares in the aftermarket for one trading day following an IPO (*see also* 69 Fed Reg, at 77,813-77,814 [discussing three

(n. cont'd)

ers may fit into or conflict with the developing regulatory scheme is impossible to predict. We have, however, at the very least introduced uncertainty into a complex subject of enormous importance to investors. This subject is, in my view, better dealt with by specialized regulators than by the evolving common law.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and R.S. SMITH concur with Judge CIPARICK; Judge READ dissents in part in a separate opinion.

Order modified, etc.

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possible new approaches for regulating unseasoned issuers, whose stocks experienced dramatic run-ups and declines in price during the late 1990's and 2000, and the factors, both objective and subjective, that bear upon establishing an offering price]).

[832 NE2d 38, 799 NYS2d 182]

In the Matter of Best Payphones, Inc., Appellant, v Department of Information Technology and Telecommunications of the City of New York, Respondent.

Argued April 27, 2005; decided June 9, 2005

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 24, 2003. The Appellate Division affirmed so much of an order and judgment (one paper) of the Supreme Court, Kings County (David B. Vaughan, J.), entered in a proceeding pursuant to CPLR article 78 to review a determination of respondent that denied petitioner a public payphone franchise, as had granted respondent's cross motion to dismiss the petition and dismissed the petition.

Matter of Best Payphones v Department of Info. Tech. & Telecom. of City of N.Y., 1 AD3d 592, affirmed.

HEADNOTE

Limitation of Actions — Four-Month Statute of Limitations

A CPLR article 78 proceeding must be brought "within four months after the determination to be reviewed becomes final and binding upon the petitioner" (CPLR 217 [1]). Agency action is "final and binding upon a petitioner" when the agency has reached a definitive position on the issue that inflicts actual, concrete injury and when the injury inflicted may not be prevented or significantly ameliorated by further administrative action or by steps available to the complaining party. Inasmuch as respondent agency's action with respect to petitioner's payphone franchise, notifying petitioner by letter that it had to execute a franchise agreement as proposed, sell the business to an approved entity or remove the phones, was final and binding upon petitioner on January 13, 2000, its article 78 petition filed in July was untimely.

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Am Jur 2d, Administrative Law §§ 533, 535; Am Jur 2d, Limitation of Actions §§ 74, 147, 148.

Carmody-Wait 2d, Limitation of Actions § 13:329; Carmody-Wait 2d, Proceeding Against a Body or Officer §§ 145:192, 145:194.

McKinney's, CPLR 217 (1).

NY Jur 2d, Article 78 and Related Proceedings §§ 159, 161; NY Jur 2d, Limitations and Laches §§ 59, 194.

SIEGEL, NY PRAC § 35.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Limitation of Actions.

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POINTS OF COUNSEL

Mayne Miller, New York City, for appellant. I. The letter of Bruce Regal dated January 13, 2000 was neither final nor binding within the meaning of CPLR 217 and therefore cannot have started the running of the statute of limitations for the within CPLR article 78 proceeding. (*Matter of Village of Westbury v Department of Transp. of State of N.Y.,* 146 AD2d 578, 75 NY2d 62; *Matter of Raffaele v Town of Orangetown,* 224 AD2d 430; *Church of St. Paul & St. Andrew v Barwick,* 67 NY2d 510, 479 US 985; *Williamson County Regional Planning Commn. v Hamilton Bank of Johnson City,* 473 US 172; *Matter of Essex County v Zagata,* 91 NY2d 447; *Legal Aid Socy. v City of New York,* 242 AD2d 423; *Matter of Mateo v Board of Educ. of City of N.Y.,* 285 AD2d 552; *Matter of Alterra Healthcare Corp. v Novello,* 306 AD2d 787; *Matter of Main Seneca Corp. v Erie County Indus. Dev. Agency,* 125 AD2d 930; *Matter of Queensborough Community Coll. of City Univ. of N.Y. v State Human Rights Appeal Bd.,* 41 NY2d 926.) II. Petitioner's submission of the franchise agreement with a reservation of rights satisfied the conditions of the resolution of the Franchise and Concession Review Committee, entitling petitioner to issuance of a payphone franchise. (*TCG N.Y., Inc. v City of White Plains,* 305 F3d 67.) III. Inasmuch as the statute of limitations for a CPLR article 78 proceeding did not begin to run on January 13, 2000, the service of the petition acknowledged by respondent was not untimely, and there is no need to remand the proceeding for a traverse hearing. IV. The Appellate Division erred by considering the question of the statute of limitations raised in dictum in the judgment of the court below before addressing whether there was a viable proceeding at all in view of the lower court's dismissal for lack of personal jurisdiction without holding a traverse hearing. (*Banco do Brasil v Madison S.S. Corp.,* 61 Misc 2d 1028; *Matter of Walker v State of N.Y., Dept. of Taxation*

& Fin., 300 AD2d 958; *Bell v New York Higher Educ. Assistance Corp.,* 129 Misc 2d 169, 119 AD2d 473; *527 Madison Ave. Co. v DeLoy Exec. Serv.,* 36 AD2d 502.)

Michael A. Cardozo, Corporation Counsel, New York City (*Suzanne K. Colt, Pamela Seider Dolgow* and *Michael S. Adler* of counsel), for respondent. I. The Appellate Division properly affirmed the Supreme Court's finding that petitioner's claims, having accrued by January 13, 2000, are time-barred pursuant to CPLR 217, requiring dismissal of those claims. Specifically as to petitioner's claim regarding the May 2000 removal of its payphones, petitioner's failure to timely challenge the conditions set forth in the January 13, 2000 letter also required dismissal of that claim. (*Matter of Waldeck v New York City Employees' Retirement Sys.,* 81 NY2d 804; *Matter of McDermott v Forsythe,* 188 AD2d 173; *Matter of Waterside Assoc. v New York State Dept. of Envtl. Conservation,* 72 NY2d 1009; *Matter of Crescent Estates Water Co. v Public Serv. Commn. of State of N.Y.,* 77 NY2d 611; *Matter of Tottey v Varvayanis,* 307 AD2d 652, 1 NY3d 501; *Matter of Village of Westbury v Department of Transp. of State of N.Y.,* 75 NY2d 62; *Matter of Johnson v New York City Employees' Retirement Sys.,* 277 AD2d 136; *Parker v Fahey,* 74 AD2d 669; *Feraca v Town of Esopus,* 63 AD2d 771; *Matter of Simmons v Popolizio*, 160 AD2d 368, 78 NY2d 917.) II. Even assuming arguendo that the petition is not entirely time-barred, the Supreme Court properly found that the petition was not served timely. The record contained persuasive evidence that the petition had been served a full month late, which was not refuted by any probative contrary proof from petitioner. (*Matter of Eldor Contr. Corp. v Town of Islip,* 277 AD2d 233; *Horowitz v Incorporated Vil. of Roslyn*, 144 AD2d 639, 74 NY2d 835; *Sutherland v Village of Suffern,* 139 AD2d 728; *Mariano v Steinberg,* 87 AD2d 606; *Le Fevre v Cole,* 92 AD2d 720; *Mrwik v Mrwik,* 49 AD2d 750; *Hoerning v Stihl Am.,* 70 AD2d 696; *Flick v Stewart-Warner Corp.,* 76 NY2d 50; *Turkish v Turkish,* 126 AD2d 436.)

OPINION OF THE COURT

Chief Judge Kaye.

At issue before us is the date when an administrative determination became ''final and binding upon the petitioner,'' so as to trigger the four-month limitations period for CPLR article 78 review (CPLR 217 [1]).

Petitioner, Best Payphones, Inc., owned and operated sidewalk payphones in New York City. Respondent, the New York City

Department of Information Technology and Telecommunications (DOITT), regulates pay telephone operations on city streets. On August 11, 1999, the City approved petitioner's payphone franchise, subject to certain conditions, including the execution and delivery of a Franchise Agreement.

On January 13, 2000, DOITT notified petitioner that, because it did not submit executed copies of the Franchise Agreement and other required closing documents, it "failed to meet an essential condition of [city] approval, and the [City] can therefore be deemed to have determined not to approve a franchise for Best." The letter went on to state that Best had 60 days to enter into an agreement to sell its payphones to an entity that had been awarded a public pay telephone franchise by the City, or to remove its public pay telephones from the City's property, or to submit executed copies of the Franchise Agreement and all required closing documents. If petitioner failed within 60 days to pursue one of those courses, the letter continued, its phones would be subject to removal from city property and Best would be considered for all purposes a nonholder of a city franchise.

Best took none of the three options within the 60-day period. Thus, in early May 2000, the City issued notices of violation for illegal maintenance of such phones and began removing petitioner's phones from city property. On May 10, 2000, petitioner executed and delivered the Franchise Agreement to DOITT. On June 19, 2000, the City notified petitioner that it was unlawfully maintaining public telephones on city property.

On July 11, 2000, Best filed this article 78 petition seeking to compel DOITT to accept the executed Franchise Agreement, compel DOITT to allow it to sell its assets to another entity and, if necessary, to compel DOITT to allow petitioner to reapply for a franchise. Petitioner alleged that DOITT selectively imposed unlawful and discriminatory procedures and arbitrary deadlines on it, which resulted in the denial of a franchise. DOITT sought an order dismissing the petition pursuant to CPLR 217 and 306-b on the grounds that all but one of Best's claims were barred by the statute of limitations and that service of process was untimely as to all claims.

Supreme Court dismissed the petition on the ground of improper service. Although stating that it need not even reach the statute of limitations issue, the court found petitioner's claims barred by the four-month statute of limitations, reasoning that petitioner's claims accrued at the latest on January 13, 2000.* The Appellate Division affirmed on the statute of limitations ground alone, agreeing that the agency determination became final and binding on January 13, and the petition was therefore untimely. We agree.

An article 78 proceeding must be brought ''within four months after the determination to be reviewed becomes final and binding upon the petitioner'' (CPLR 217 [1]). A strong public policy underlies the abbreviated statutory time frame: the operation of government agencies should not be unnecessarily clouded by potential litigation (*see Solnick v Whalen*, 49 NY2d 224, 232 [1980]).

This Court has identified two requirements for fixing the time when agency action is ''final and binding upon the petitioner.'' First, the agency must have reached a definitive position on the issue that inflicts actual, concrete injury and second, the injury inflicted may not be prevented or significantly ameliorated by further administrative action or by steps available to the complaining party (*see e.g. Stop-The-Barge v Cahill*, 1 NY3d 218, 223 [2003]; *Matter of Essex County v Zagata*, 91 NY2d 447, 453 [1998]; *see also Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510, 519, 521 [1986], *cert denied* 479 US 985 [1986] [ripeness for review]).

In *Essex*, for example, we found agency action final when petitioner was notified that it was required to file a new application for its landfill proposal with the Adirondack Park Agency (APA) (91 NY2d at 451). At that point, the agency ''left no doubt that there would be no further administrative action and that the expenditure of additional litigation expense and effort before the APA would do nothing to change the agency's position or alleviate appellants' injury'' (*id.* at 454). Here, similarly, DOITT's January 13, 2000 letter left no doubt that the agency had reached a definitive position regarding petitioner's payphones that inflicted actual, concrete injury on Best. DOITT notified petitioner that it had to execute the agreement as proposed, sell the business to an approved entity or remove the phones. The 60-day grace period offered petitioner no opportunity to ameliorate the injury, or to avoid it, except by agreeing to the agency's demands. The January 13 letter held out no

* The City did not challenge, as time-barred, petitioner's claim that the City improperly removed its payphones in May 2000. The trial court, however, correctly found that claim untenable based on the lack of timeliness of the other claims.

hope of further administrative action, or change in the agency's position, but left petitioner only with the choice of accepting DOITT's position or initiating suit. Thus, DOITT's action was final and binding upon petitioner on January 13, and its article 78 petition filed in July was untimely.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges G.B. Smith, Ciparick, Rosenblatt, Graffeo, Read and R.S. Smith concur.

Order affirmed, with costs.

[832 NE2d 1169, 799 NYS2d 753]

In the Matter of TOWN OF RIVERHEAD, Appellant, et al., Petitioner, v NEW YORK STATE BOARD OF REAL PROPERTY SERVICES et al., Respondents.

Argued May 3, 2005; decided June 9, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 20, 2004, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to RPTL 1218). The Appellate Division dismissed the petition to review a determination of respondent State Board of Real Property Services which had set a segment special equalization rate for a portion of respondent Town of Southampton located in respondent Riverhead Central School District.

Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs., 7 AD3d 934, affirmed.

HEADNOTE

Parties — Capacity to Sue

Petitioner town, which was part of a school district, lacked capacity to bring a proceeding contesting the segment special equalization rate set by the State Board of Real Property Services for another municipality in the same school district. RPTL 1218, which authorizes judicial review of state equalization rates ''upon application of the county, city, town or village for which the rate or rates were established,'' applies not only to state equalization rates but also to segment special equalization rates, which are a subset of state equalization rates. RPTL 1218 specifically limits the capacity to challenge the State Board's determination to the municipality ''for which the rate or rates were established.''

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AM JUR 2d, State and Local Taxation §§ 727, 732.

CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes §§ 146:42, 146:43.

MCKINNEY'S, RPTL 1218.

NY JUR 2d, Taxation and Assessment §§ 493, 497, 501.

NEW YORK REAL PROPERTY SERVICE § 60.30.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Taxes.

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POINTS OF COUNSEL

Scott DeSimone, Peconic, for appellant. Appellant Town of Riverhead has capacity and standing to seek judicial review of respondent New York State Board of Real Property Services' determination establishing a segment special equalization rate for the Town of Southampton segment of the Riverhead Central School District. (*Matter of Graziano v County of Albany,* 3 NY3d 475; *City of New York v State of New York,* 86 NY2d 286; *Community Bd. 7 of Borough of Manhattan v Schaffer,* 84 NY2d 148; *Matter of City of New York v City Civ. Serv. Commn.,* 60 NY2d 436; *Matter of Board of Educ. of Roosevelt Union Free School Dist. v Board of Trustees of State Univ. of N.Y.,* 282 AD2d 166; *Matter of Hellerstein v Assessor of Town of Islip,* 37 NY2d 1; *Matter of Colella v Board of Assessors of County of Nassau,* 95 NY2d 401; *Matter of Transactive Corp. v New York State Dept. of Social Servs.,* 92 NY2d 579; *Matter of Schulz v State of New York,* 81 NY2d 336; *Boryszewski v Brydges,* 37 NY2d 361.)

Eliot Spitzer, Attorney General, Albany (*Robert M. Goldfarb, Caitlin J. Halligan, Daniel Smirlock* and *Nancy A. Spiegel* of counsel), for New York State Board of Real Property Services, respondent. I. RPTL 1218 governs judicial review of the New York State Board of Real Property Services' determination of a segment special equalization rate. (*Matter of Town of Greenburgh v New York State Bd. of Real Prop. Servs.,* 275 AD2d 787; *Matter of Town of Middletown v State Bd. of Real Prop. Servs.,* 272 AD2d 657, 95 NY2d 761; *Matter of Nolan v Lungen,* 61 NY2d 788; *Matter of Fry v Village of Tarrytown,* 89 NY2d 714; *Matter of Majestic Collectibles v Spitzer,* 307 AD2d 296; *Matter of Reitman v Sobol,* 225 AD2d 823.) II. Petitioner Town of Riverhead lacks capacity and standing to sue under RPTL 1218 to challenge the New York State Board of Real Property Services' determination of a segment special equalization rate for a different municipality. (*Matter of Graziano v County of Albany,* 3 NY3d 475; *City of New York v State of New York,* 86 NY2d 286; *Community Bd. 7 of Borough of Manhattan v Schaffer,* 84 NY2d 148; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York,* 41 NY2d 205; *People v Brancoccio,* 83 NY2d 638; *Matter of Colella v Board of Assessors of County of Nassau,* 95 NY2d 401; *Matter of City of New York v City Civ. Serv. Commn.,* 60 NY2d

436; *Matter of Board of Educ. of Roosevelt Union Free School Dist. v Board of Trustees of State Univ. of N.Y.,* 282 AD2d 166; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Matter of Axelrod v Sobol,* 78 NY2d 112.)

Eileen A. Powers, Town Attorney, Southampton, for Town of Southampton, respondent. Appellant Town of Riverhead lacks both capacity and standing to seek judicial review of respondent New York State Board of Real Property Services' determination establishing a special segment equalization rate for that segment of the Town of Southampton which is located within the Riverhead Central School District. (*Community Bd. 7 of Borough of Manhattan v Schaffer,* 84 NY2d 148; *County of Albany v Hooker,* 204 NY 1; *Matter of Colella v Board of Assessors of County of Nassau,* 95 NY2d 401; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Matter of Dairylea Coop. v Walkley,* 38 NY2d 6; *Matter of Axelrod v Sobol,* 78 NY2d 112; *Boryszewski v Brydges,* 37 NY2d 361; *Matter of Schulz v State of New York,* 81 NY2d 336; *Matter of Transactive Corp. v New York State Dept. of Social Servs.,* 92 NY2d 579.)

Riverhead Central School District, respondent precluded.

David O. Wright, Yorktown Heights, for Sheldon Feiner and others, amici curiae. I. One town has standing to challenge another town's equalization rate under RPTL 1314. (*Matter of Town of Smithtown v Moore,* 11 NY2d 238; *Matter of Wisseman v New York State Bd. of Equalization & Assessment,* 212 AD2d 196, 87 NY2d 804; *Matter of City of Oswego v New York State Bd. of Real Prop. Servs.,* 280 AD2d 99, 96 NY2d 711.) II. Individual taxpayers have standing. (*Matter of Colella v Board of Assessors of County of Nassau,* 95 NY2d 401; *Matter of Dudley v Kerwick,* 52 NY2d 542.) III. Not allowing standing in this context raises constitutional questions. (*Killeen v New York State Off. of Real Prop. Servs.,* 253 AD2d 792; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *Stuart v Palmer,* 74 NY 183; *Foss v City of Rochester,* 65 NY2d 247.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case to determine whether a town that is part of a school district may contest the segment special equalization rate set by the State Board of Real Property Services for another municipality in the same school district. Based on our review of the relevant statutes, we conclude that the

Town of Riverhead lacks capacity to bring this proceeding and therefore affirm the dismissal of the petition.

The levy and collection of school taxes for the support of public school districts is governed by the Real Property Tax Law. Where the boundaries of a school district are coterminous with a municipality, school authorities levy taxes based on the valuations of real property from the latest assessment roll of that city or town (*see* RPTL 1302 [1]).[1] But most of the school districts in New York State include all or portions of several municipalities. Hence, these school districts collect taxes from municipalities or segments of municipalities that may have varying levels of assessments. To effectuate the fair allocation of taxes among these municipalities, the State Board of Real Property Services is required annually to establish a state equalization rate for each municipality in the state (*see* RPTL 202 [1] [b]).[2] The state equalization rate is the ratio of the locally-determined assessed value of taxable real property within a municipality to the State Board's estimate of the true market value of that property (*see* RPTL 102 [19]; 1202 [1] [a]). In other words, the state equalization rate represents the percentage of true market value at which a municipality assesses its real property.

In order to apportion tax levies for a school district encompassing more than one municipality, the Real Property Tax Law directs a district superintendent to determine the full valuation of real property for each segment of the municipalities included in the school district by dividing the taxable assessed valuation of the real property in that part of the municipality by the state equalization rate established for the entire municipality (*see* RPTL 1314 [1] [a]). Where a municipality's state equalization rate does not accurately reflect the level of assessment within a particular segment of a school district (thereby resulting in a disproportionate tax burden), the State Board is authorized to calculate a special equalization rate for that segment (*see* RPTL 1226, 1314 [2]). The State Board may undertake such an adjust-

1. In New York, each municipality is authorized to assess property at market value or at some fraction of market value. Regardless of the level of assessment a municipality chooses, all assessments within the municipality are required to be a uniform percentage of market value (*see* RPTL 305 [2]).

2. State equalization rates are used for purposes other than the determination of school taxes, such as the distribution of state aid and the establishment of debt limits (*see* Office of Real Property Services, *Understanding the Equalization Rate* <http://www.orps.state.ny.us/pamphlet/under_eqrates.pdf> [last updated Nov. 21, 2003], cached at <http://www.courts.state.ny.us/reporter/webdocs/under_eqrates.pdf>).

ment only where there would ''be at least a 10 percent change in the share of the levy of at least one segment of the taxing jurisdiction as the result of the use of the segment special equalization rate in place of the equalization rate which would otherwise be used for purposes of apportionment'' (9 NYCRR 186-5.5 [a]).

In this case, the Riverhead Central School District is comprised of portions of the towns of Riverhead, Southampton and Brookhaven. In May 2002, the Town of Southampton applied to the State Board for a segment special equalization rate.[3] In its application, Southampton indicated that residential property in other parts of the town had been assessed at a significantly lower percentage of market value than residential property in the Riverhead school district segment. This disparity occurred because market values in the segment had not increased as dramatically as values in other parts of the town since Southampton's previous reassessment in 1992. Southampton further explained that it was planning to conduct a reassessment for its 2004 assessment roll and that the requested segment special equalization rate would be a temporary measure to ensure equitable apportionment of school taxes until the reassessment process was completed.

The State Office of Real Property Services (ORPS) analyzed the application and agreed with Southampton, finding that ''the ratio of assessed value to sales price for the residential property in the Riverhead School District segment of the town is significantly higher than the ratio in the town as a whole.''[4] Recognizing that the state equalization rate for Southampton was 2.37% in 2001, ORPS recommended that the State Board establish a segment special equalization rate of 3.01% for that portion of Southampton in the Riverhead Central School Dis-

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3. An aggrieved taxpayer or a municipality in which the segment lies may submit a request to the State Board for a segment special equalization rate (*see* 9 NYCRR 186-5.3 [b]). The request must contain, among other things, ''information sufficient to support a determination that application of the State equalization rate for the prior roll or a special equalization rate for the current roll to the segment would be inequitable'' (9 NYCRR 186-5.3 [b] [3]). The State Board may also initiate a review process to determine whether a segment special equalization rate is warranted (*see* 9 NYCRR 186-5.3 [a]).

4. ORPS is the agency that carries out the policies and programs of the five-member State Board (*see* RPTL 201 [1]). The State Board is authorized to delegate a number of its functions to ORPS, including the evaluation of a request for a segment special equalization rate (*see* RPTL 202 [2] [b]).

trict.[5] ORPS found that application of the new segment special equalization rate would reduce the share of the tax levy for the Southampton segment of the school district by 17.9%, thereby satisfying the 10% threshold. Concomitantly, the new rate would increase the revenue share to be raised from the Brookhaven and Riverhead portions of the school district by 4.3%. After providing Brookhaven and Riverhead with notice and an opportunity to be heard at State Board meetings held to consider Southampton's application—during which Riverhead offered testimony and written submissions—the State Board approved the 3.01% special equalization rate for the Southampton segment.

In November 2002, the Town of Riverhead and Edward Densieski, an owner of real property in the Riverhead segment of the school district, commenced a CPLR article 78 proceeding in Supreme Court seeking to annul the State Board's segment special equalization rate determination. The court dismissed the proceeding for lack of subject matter jurisdiction, concluding that the proceeding should have been initiated in the Appellate Division in accordance with RPTL 1218.[6]

Riverhead and Densieski then brought this article 78 proceeding in the Appellate Division. The State Board and Southampton opposed the petition, arguing that Riverhead lacked both capacity and standing to sue, and that Densieski lacked standing. The Appellate Division agreed and dismissed the proceeding. We granted Riverhead leave to appeal.[7]

Capacity to sue is a threshold question involving the authority of a litigant to present a grievance for judicial review. The issue of capacity often arises when a governmental entity seeks to bring suit (*see Matter of Graziano v County of Albany*, 3 NY3d 475, 478-479 [2004]). "Being artificial creatures of statute, such entities have neither an inherent nor a common-law right to sue. Rather, their right to sue, if it exists at all, must be derived from the relevant enabling legislation or some other concrete

5. To illustrate, application of Southampton's state equalization rate of 2.37% to a parcel situated in the school district segment assessed at $2,370 would indicate a market value of $100,000 ($2,370 divided by .0237). In contrast, utilization of the segment special equalization rate of 3.01% for the same property results in a market value of $78,737 ($2,370 divided by .0301).

6. Although Riverhead and Densieski filed a notice of appeal from this order, they failed to perfect the appeal.

7. Densieski did not seek leave to appeal to this Court. Hence, we have no occasion to address whether he had standing to commence this proceeding.

statutory predicate'' (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148, 155-156 [1994]). An express grant of authority is not always necessary. Rather, capacity may be inferred as a necessary implication from the powers and responsibilities of a governmental entity, ''provided, of course, that there is no clear legislative intent negating review'' (*id.* at 156 [citation and internal quotation marks omitted]).

Relevant to this controversy, section 1218 of the Real Property Tax Law, the sole statute authorizing judicial review of equalization rates, provides, in part:

> ''A final determination of the state board relating to state equalization rates may be reviewed by commencing an action in the appellate division of the supreme court in the manner provided by article seventy-eight of the civil practice law and rules upon application of the county, city, town or village for which the rate or rates were established.''

Contrary to Riverhead's contentions, we conclude that RPTL 1218 applies not only to state equalization rates but also to segment special equalization rates. Section 1218 broadly authorizes review of State Board determinations ''relating to'' state equalization rates. Segment special equalization rates are a subset of state equalization rates—both reflect the percentage of full value at which real property situated in a given locale is assessed. Furthermore, the statute contemplates review of ''the rate or rates'' established for a specific municipality. Inasmuch as each municipality is assigned a single state equalization rate, the reference to ''rates'' evinces an intent that section 1218 apply to all species of state equalization rates, including segment special equalization rates (*see Matter of Town of Rye v New York State Bd. of Real Prop. Servs.*, 5 AD3d 783 [2d Dept 2004]; *Matter of City of Oswego v New York State Bd. of Real Prop. Servs.*, 280 AD2d 99, 101 [3d Dept 2001], *lv denied* 96 NY2d 711 [2001]).

Because RPTL 1218 specifically limits the capacity to challenge the State Board's determination to the municipality ''for which the rate or rates were established,'' Riverhead necessarily lacks capacity to challenge the State Board determination granting Southampton a segment special equalization rate.[8] ''[W]here a law expressly describes a particular act, thing or

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8. Section 65 of the Town Law also does not aid Riverhead. That statute generally provides a town with the capacity to bring a proceeding ''for the benefit or protection of the town, in any of its rights or property'' (Town Law

(n. cont'd)

person to which it shall apply, an irrefutable inference must be drawn that what is omitted or not included was intended to be omitted or excluded'' (McKinney's Cons Laws of NY, Book 1, Statutes § 240, Comment, at 411-412; *see also Community Bd. No. 4 [Manhattan] v Board of Estimate of City of N.Y.*, 88 AD2d 832, 833 [1st Dept 1982], *affd for reasons stated* 57 NY2d 846 [1982]). In light of the express limitation set forth in RPTL 1218, the necessary implication doctrine advanced by Riverhead is not applicable.

Inasmuch as we conclude that Riverhead lacks capacity to challenge Southampton's segment special equalization rate, we have no need to address whether Riverhead has standing under the facts and circumstances of this case.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

Chief Judge Kaye and Judges G.B. Smith, Ciparick, Rosenblatt, Read and R.S. Smith concur.

Judgment affirmed, with costs.

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§ 65 [1]). Here, although application of Southampton's segment special equalization rate will ultimately shift some of the overall tax burden to property owners in the Riverhead segment of the school district, no property or right of the town itself appears to be at stake (*County of Albany v Hooker*, 204 NY 1, 16-17 [1912]; *People v Ingersoll*, 58 NY 1, 29 [1874]; *Matter of Esopus Prop. Holders Residing Within New Paltz Cent. School Dist. v Potter*, 60 AD2d 948 [3d Dept 1978]). In any event, RPTL 1218, the more specific statute, takes precedence over section 65 of the Town Law, a general provision.

[832 NE2d 1174, 799 NYS2d 758]

PARVIZ ROBERT MOHASSEL, Respondent, v LILA FENWICK, Appellant.

Argued May 5, 2005; decided June 16, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 13, 2004. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Barbara R. Kapnick, J.), which, in an action by plaintiff tenant against defendant landlord to enforce a judgment entered pursuant to a rent overcharge award of treble damages by the State Division of Housing and Community Renewal (DHCR), granted defendant's motion to vacate the judgment to the extent of vacating so much thereof as awarded legal interest on the award subsequent to DHCR's order denying defendant's petition for administrative review (PAR), and directed the Clerk to recalculate the amount of interest accordingly. The modification consisted of denying in its entirety the motion to vacate the judgment. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: ''Was the order of this Court, which modified the order of the Supreme Court, properly made?''

Mohassel v Fenwick, 6 AD3d 234, affirmed.

HEADNOTES

Interest — Prejudgment Interest — Rent Overcharge Proceeding — Treble Damage Award

1. In a rent overcharge proceeding, the rent stabilized tenant was properly granted prejudgment interest on a treble damages award. Rent Stabilization Law § 26-516 (a) provides that an owner who has collected rent in excess of that authorized by statute is liable to the tenant for a penalty equal to three times the amount of such overcharge, unless the owner demonstrates that the overcharge was not willful. While treble damages are imposed in lieu of interest from the date of the monthly overcharge to the date of the Rent Administrator's decision, nothing in the rent stabilization scheme restricts the grant of interest from the date of the Rent Administrator's decision. Section 26-516 (a) (4) is open-ended, authorizing an interest award equivalent to that imposed in a civil action. To interpret the Rent Stabilization Law as authorizing prejudgment interest where treble damages are not awarded (because the overcharge was not willful) but precluding it when the overcharge was willful would permit willful violators to delay paying meritorious claims while enjoying interest-free use of tenants' money. The imposition of prejudgment interest ensures that injured tenants will be made whole and encourages both willful and nonwillful violators to make prompt repayment.

Interest — Prejudgment Interest — Rent Overcharge Proceeding — Treble Damage Award — Delay in Entry of Judgment — Laches

2. In a rent overcharge proceeding in which the rent stabilized tenant was granted prejudgment interest on a treble damages award, defendant owner's contention that the prejudgment interest award should have been vacated because it punished her for the delay in entry of the judgment, which she attributed to the Division of Housing and Community Renewal's failure to timely resolve the administrative appeal and the tenant's failure to timely enter a judgment, was rejected. During the period that the owner pursued an administrative appeal and a judicial challenge she had the use of the tenant's money while the tenant was deprived of it. Interest, in the context of a lump sum compensatory damages award against a private party, represents the cost of having the use of another person's money for a specified period. There was no support in the record for the owner's claim that the tenant was guilty of laches for failure to enter the judgment at an earlier point in the process.

Administrative Law — Judicial Review

3. In a rent overcharge proceeding, defendant owner's argument that the Division of Housing and Community Renewal erred, or that plaintiff tenant engaged in fraud, when the overcharge award was granted in plaintiff's name alone without joinder of plaintiff's cotenant, was not reviewable by the Court of Appeals. The contention should have been asserted in the administrative appeal from the Rent Administrator's decision—at a time when the underlying circumstances could have been explored and any apportionment error timely corrected.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Landlord and Tenant § 1075.
Carmody-Wait 2d, Judgments § 63:90.
NY Jur 2d, Landlord and Tenant §§ 490, 494.
New York Real Property Service §§ 74:183–74:185.

ANNOTATION REFERENCE

Right to prejudgment interest on punitive or multiple damages awards. 9 ALR5th 63.

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POINTS OF COUNSEL

Ivan S. Feldman, New York City, for appellant. I. Prejudgment interest cannot be charged against a landlord (defendant-appellant) after a Division of Housing and Community Renewal treble damages award for rent overcharges. (*Davis v Waidmann Realty Corp.,* 223 AD2d 453; *Abend v Argo Corp.,* 208 AD2d 476, 85 NY2d 882; *H & P Research, Inc. v Liza Realty Corp.,* 943 F Supp 328; *Negron v Goldman,* 195 Misc 2d 425; *Gersten v Levin,* 150 Misc 2d 594; *Purpura v Purpura,* 261 AD2d 595, 94 NY2d 850.) II. It is a violation of due process or equal protection under the law for an administrative statute or regulation or the enforcement thereof, in this case Division of Housing and Community Renewal rent overcharge matters, not to specify a statute of limitations or establish a laches period after which time a judgment cannot be entered. (*Feldman v New York City Tr. Auth.,* 171 AD2d 473; *Matter of Barabash,* 31 NY2d 76; *Matter of Lukin v New York State Div. of Hous. & Community Renewal,* 264 AD2d 341; *Matter of Windsor Place Corp. v State Div. of Hous. & Community Renewal, Off. of Rent Admin.,* 161 AD2d 279.) III. One cotenant (plaintiff-respondent) cannot get the benefit of a full Division of Housing and Community Renewal (DHCR) award that the DHCR had a duty, by law, to apportion between all cotenants and failed or neglected to do so and/or which award said cotenant knew or should have known did not fully belong to him; and this Court cannot permit entry of the resulting erroneous judgment or deny the landlord (defendant-appellant) the right to seek to overturn or modify said judgment. (*Matter of Hoston v New York State Dept. of Health,* 203 AD2d 826, 84 NY2d 803; *Baker v Board of Educ., Hoosick Falls Cent. School Dist.,* 3 AD3d 678; *Davidson Pipe Supply Co. v Wyoming County Indus. Dev. Agency,* 156 Misc 2d 989, 196 AD2d 240, 85 NY2d 281; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Matter of Jemrock Realty Co. v Roldan,* 256 AD2d 122, 89 NY2d 804; *Parker v Blauvelt Volunteer Fire Co.,* 93 NY2d 343; *Ryan v New York Tel. Co.,* 62 NY2d 494.)

Beranbaum Menken Ben-Asher & Bierman LLP, New York City (*Mark H. Bierman* of counsel), for respondent. I. The sole issue that this Court should address within its proper constitutional authority is whether the Appellate Division's modification of the Supreme Court's order reinstating interest from the date of the final agency order to the date of the judgment was correct. (*Price v Price,* 69 NY2d 8; *Mohrmann v Kob,* 291 NY 181.) II. This Court should certify in the affirmative the question of the Appellate Division as to whether it properly modified the order of the Supreme Court by reinstating prejudgment interest for the period from the final agency order until entry of the judgment, and requiring that postjudgment interest be included. (*Abend v Argo Corp.,* 208 AD2d 476, 85 NY2d 882; *Davis v Waidmann Realty Corp.,* 223 AD2d 453; *Love v State of New York,* 78 NY2d 540; *Matter of Aurecchione v New York State

Div. of Human Rights, 98 NY2d 21; *Spodek v Park Prop. Dev. Assoc.,* 96 NY2d 577; *J.B. Preston Co. v Funkhouser,* 261 NY 140; *Miner v City of Glens Falls,* 999 F2d 655; *McMahon v New York & Erie R.R. Co.,* 20 NY 463; *Matter of State Div. of Human Rights v Gissha White Plains Corp.,* 107 AD2d 750; *Matter of Lian [First Asset Mgt.],* 273 AD2d 163.) III. This Court should certify in the affirmative the question of the Appellate Division as to whether it properly modified the order of the Supreme Court by reinstating interest from the date that the first judgment was entered to the date of the amended judgment. (*Majid v Commissioner of Social Servs.,* 244 AD2d 187; *Purpura v Purpura,* 261 AD2d 595, 94 NY2d 850.) IV. Defendant's constitutional arguments are not properly raised on this appeal and are entirely without merit. (*Tumolillo v Tumolillo,* 51 NY2d 790; *Bingham v New York City Tr. Auth.,* 99 NY2d 355; *Matter of Jemrock Realty Co. v Roldan,* 256 AD2d 122; *Matter of Plaza Realty Invs. v Aponte,* 198 AD2d 164; *Matter of David Frankel Realty Co. v New York State Div. of Hous. & Community Renewal,* 176 AD2d 617, 79 NY2d 754; *Matter of Sea New Rochelle Assoc. v State of N.Y. Div. of Hous. & Community Renewal, Off. of Rent Admin.,* 140 AD2d 610; *Melahn v Hearn,* 60 NY2d 944; *Parker v Blauvelt Volunteer Fire Co.,* 93 NY2d 343; *O'Brien v City of Syracuse,* 54 NY2d 353; *Matter of McGee v Korman,* 70 NY2d 225.) V. Defendant lacks standing to challenge a judgment entered in the amount stated in a final agency award on the ground that it does not include a second individual, and defendant is otherwise barred from raising that argument. (*Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Tennessee Power Co. v Tennessee Val. Auth.,* 306 US 118; *Association of Data Processing Serv. Orgs., Inc. v Camp,* 397 US 150; *Matter of Dairylea Coop. v Walkley,* 38 NY2d 6; *Schlesinger v Reservists Comm. to Stop the War,* 418 US 208; *Cuomo v Long Is. Light. Co.,* 71 NY2d 349; *Becarie v Union Bank of Switzerland,* 272 AD2d 162.)

OPINION OF THE COURT

Graffeo, J.

In this rent overcharge proceeding, the issue is whether a rent stabilized tenant was properly granted prejudgment interest on a treble damages award. We conclude that he was.

In 1984, Parviz Robert Mohassel commenced a rent overcharge proceeding with the Division of Housing and Community Renewal (DHCR) relating to his Manhattan apartment, alleging that building owner Lila Fenwick was collecting rent in excess of that authorized under the New York City Rent Stabilization Law. A cotenant was also named in the petition. After the owner failed to comply with repeated agency requests for rent history documentation, in November 1989 the Rent Administrator issued a decision finding a rent overcharge in the amount of approximately $300 per month between 1984 and 1989, totaling $26,106.72. Because the violation was determined to be willful, the tenant was granted treble damages. Taking into account the treble damages award plus other related overcharges, the Rent Administrator ruled that Fenwick owed Mohassel $81,303.53. There was no reference to the cotenant in the Rent Administrator's decision.

The owner challenged the award in an administrative appeal to DHCR by filing a petition for administrative review (PAR). In March 1997, DHCR upheld the Rent Administrator's decision and noted that the tenant was entitled to interest on the overcharge award from the date of the Rent Administrator's decision to the date of the DHCR determination.

Unsuccessful before the administrative agency, the owner commenced a CPLR article 78 proceeding against DHCR without naming the tenant as a party respondent. The article 78 petition was denied on the merits in May 1998. The owner apparently filed a notice of appeal but the appeal was never perfected.

In October 2001, DHCR notified the tenant that the owner's judicial challenge to the overcharge determination had been denied, forwarding a ''Notice of Rent Stabilized Tenant Concerning Payment of Penalties Which Landlord Has Been Directed to Pay By An Administrator's Order.'' The notice advised the tenant of two options for collecting the rent overcharge: a deduction could be made from future monthly rent payments in an amount no greater than 20% of the overcharge or a judgment could be obtained against the owner by filing a notice with the County Clerk. Because Mohassel no longer resided in an apartment owned by Fenwick, his only available option was to obtain a judgment. Thus, Mohassel filed the necessary documentation with the County Clerk and a judgment was entered against Fenwick in April 2002. In the judgment, the clerk calculated prejudgment interest on the $81,303.53 overcharge from the date of the Rent Administrator's decision to the date of entry of the judgment. With interest, the judgment totaled $172,238.74.

Soon after entry of the judgment, the owner brought this CPLR 5015 motion to vacate the judgment in Supreme Court, obtaining a stay of enforcement pending the proceeding. Fenwick argued that Mohassel was not entitled to the full judgment because the overcharge proceeding had been initiated in the name of Mohassel and a cotenant, contending that Mohassel's attempt to collect the entire overcharge himself amounted to ''fraud.'' She also alleged that the judgment should be vacated under the equitable doctrine of laches due to the tenant's failure to enter it within a reasonable time period. Finally, she asserted that the tenant was not entitled to prejudgment interest on the rent overcharge because such interest is not appropriate when treble damages are awarded.

Supreme Court rejected the fraud and laches arguments and declined to vacate the judgment but concluded that the interest award should be reduced, although not on the grounds asserted by the owner. Noting that the DHCR determination explicitly directed interest from the date of the Rent Administrator's decision to the issuance of the determination, Supreme Court concluded that the tenant was not entitled to interest thereafter. In other words, Supreme Court interpreted DHCR's silence on the question of postdetermination interest as precluding such an award. The court therefore directed that the judgment be recalculated to delete the interest award covering the period from March 1997 to April 2002, and an amended judgment was entered.

On appeal, the Appellate Division modified by reinstating the original judgment.[1] The Court noted that the tenant was entitled to postdetermination interest under the Rent Stabilization Law, declining to interpret DHCR's failure to address postdetermination interest as a finding that such interest was not warranted. The Appellate Division granted the owner leave to appeal to this Court and we now affirm.[2]

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1. The Appellate Division also clarified that the tenant was entitled to postjudgment interest during the pendency of the appeal. The owner has not contested the propriety of postjudgment interest and it is clearly authorized under the rent stabilization scheme (*see* Rent Stabilization Law [Administrative Code of City of NY] § 26-516 [a] [5]; 9 NYCRR 2526.1 [e]) and CPLR 5003.

2. In granting leave, the Appellate Division certified the question: ''Was the order of this Court, which modified the order of the Supreme Court, properly made?'' The tenant contends that this was a limited certification, authorizing this Court to review only the propriety of the appellate court's

(n. cont'd)

Although the owner raises a number of issues on appeal, we begin with the question of whether the tenant was entitled to prejudgment interest on the treble damages award. Our decision is informed by Rent Stabilization Law § 26-516 (a) and the regulations promulgated thereunder. Although section 26-516 (a) has been amended since the Rent Administrator issued its 1989 decision, the amendments have not substantively altered the provisions addressing prejudgment interest on rent overcharge awards. Under section 26-516 (a), if DHCR finds that an owner has collected rent in excess of that authorized by statute, the owner ''shall be liable to the tenant for a penalty equal to three times the amount of such overcharge,'' unless the owner demonstrates that the overcharge was not willful. In the absence of willfulness, DHCR ''shall establish the penalty as the amount of the overcharge plus interest'' (Rent Stabilization Law § 26-516 [a]). The implementing regulation similarly authorizes either a treble damages award on the overcharge or interest ''from the date of the first overcharge . . . at the rate of interest payable on a judgment pursuant to section 5004 of the [CPLR]'' (Rent Stabilization Code [9 NYCRR] § 2526.1 [a] [1]). In addition, Rent Stabilization Law § 26-516 (a) (4) states that an owner who is found to have overcharged rent ''may be assessed the reasonable costs and attorney's fees of the proceeding and interest from the date of the overcharge at the rate of interest payable on a judgment pursuant to section five thousand four of the [CPLR].''

[1] These provisions are designed to discourage violations of the Rent Stabilization Law and, where a violation occurs, to compensate the tenant, particularly when the violation is willful. Interest on a rent overcharge award is generally authorized from the date of the initial monthly overpayment, except when treble damages are warranted. In those circumstances, treble damages are imposed in lieu of interest from the date of the monthly overcharge to the date of the Rent Administrator's decision. But nothing in the rent stabilization scheme restricts the grant of interest from the date of the Rent Administrator's decision forward. To the contrary, section 26-516 (a) (4) is open-ended, authorizing an interest award equivalent to that imposed in a civil action (*see* CPLR 5002, 5003).

Here, after determining that the owner's conduct was willful, the Rent Administrator imposed treble damages and did not

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interest modification. We interpret the question as broadly certifying the entire case to this Court for review.

grant the tenant interest from the date of each monthly rent overpayment. Because no interest was awarded for the five-year period prior to the Rent Administrator's 1989 decision, the interest calculation in the original judgment was in accord with Rent Stabilization Law § 26-516 (a) and 9 NYCRR 2526.1 (a) (1).

The owner does not dispute that prejudgment interest is authorized when there is no treble damages award but asserts that, even though more than 15 years have elapsed and the tenant has yet to collect any of the rent he overpaid, the 1989 treble damages order in this case forever prohibited subsequent prejudgment interest. We are unpersuaded. To interpret the Rent Stabilization Law as the owner suggests—authorizing prejudgment interest in cases where treble damages are not awarded (because the overcharge was not willful) but precluding it when the overcharge was willful—would turn the statutory scheme on its head, allowing willful violators to delay paying meritorious claims while enjoying interest-free use of tenants' money. Such an analysis would be inconsistent with the purpose of overcharge proceedings to fully compensate tenants when owners fail to comply with rent stabilization requirements, especially when noncompliance is willful. The imposition of prejudgment interest ensures that injured tenants will be made whole and encourages both willful and nonwillful violators to make prompt repayment.

[2] The owner also argues that the prejudgment interest award should be vacated because it punishes her for the delay in entry of the judgment, which she attributes to DHCR's failure to timely resolve the administrative appeal[3] and the tenant's failure to timely enter a judgment. This contention misapprehends the purpose of interest in the context of a lump sum compensatory damages award against a private party.

> ''Specifically, interest is not a punishment arbitrarily levied upon a culpable party. Instead, an award of interest is simply a means of indemnifying an aggrieved person. It represents the cost of having the use of another person's money for a specified period'' (*Matter of Aurecchione v New York State Div. of*

3. As noted in *Matter of Gilman v New York State Div. of Hous. & Community Renewal* (99 NY2d 144, 152 n 1 [2002] [Graffeo, J., dissenting]), during the period this administrative appeal was pending, DHCR had a substantial backlog of cases.

> *Human Rights*, 98 NY2d 21, 27 [2002] [citation and internal quotation marks omitted]).

As of November 1989, the owner owed the tenant $81,303.53. Instead of paying the tenant at that time, the owner pursued an administrative appeal and a judicial challenge, both of which were unsuccessful. Although the owner was certainly entitled to chart this course, the fact remains that she had the use of the tenant's money during this time period while the tenant was deprived of it. The owner,

> ''has presumably used the money to its benefit and, consequently, has realized some profit, tangible or otherwise, from having it in hand during the pendency of the litigation. There is thus nothing unfair about requiring the [owner] to pay over this 'profit' in the form of interest to the . . . party who was entitled to the funds from the date . . . liability was fixed'' (*Love v State of New York*, 78 NY2d 540, 545 [1991]).

This rationale applies regardless of whether the delay was attributable to the party who had use of the money. For example, in *Aurecchione*, we rejected the notion that an agency's 11-year administrative delay in resolving a controversy between an employee and a private employer relieved the employer of its obligation to pay predetermination interest on a back pay award.

Although the owner claims that the tenant was guilty of laches for failing to enter the judgment at an earlier point in the process, that argument finds no support in the record. Mohassel sought entry of the judgment within six months of being informed by DHCR that the article 78 challenge had concluded. Since he was not a party to the judicial proceeding, the tenant cannot be faulted for awaiting word from DHCR before obtaining a judgment. Indeed, the tenant's conduct was consistent with DHCR's written instructions, which indicate that a judgment should not be filed until DHCR certifies ''that the owner has not filed a PAR or a proceeding for judicial review, or, if filed, that those proceedings have concluded.'' (DHCR Fact Sheet No. 16, Collecting Overcharges in Rent Stabilized Apartments in New York City.) Under these circumstances, the courts below properly rejected the owner's laches claim.

[1] In sum, nothing in the governing rent stabilization provisions prohibited the grant of prejudgment interest in this case. We agree with the Appellate Division's conclusion that DHCR's silence on the question of postdetermination interest should not have been interpreted as precluding it. DHCR's failure to address the issue in its March 1997 determination is understandable since it had no reason to presume that the owner would commence a judicial proceeding rather than paying what was owed at that time. Had the owner repaid the tenant when the administrative appeal was denied, there would have been no occasion for postdetermination interest.

[3] None of the owner's remaining arguments are reviewable in this Court. Fenwick's due process claim that the statutory scheme is flawed because it fails to restrict the time frame for entry of a judgment on an overcharge award is unpreserved for review because she failed to raise the issue in Supreme Court. The argument that DHCR erred, or that Mohassel engaged in fraud, when the overcharge award was granted in Mohassel's name alone without joinder of the cotenant should have been asserted in the administrative appeal from the Rent Administrator's decision—at a time when the underlying circumstances could have been explored and any apportionment error timely corrected.[4]

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, etc.

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4. The record does not reveal why the cotenant was not named in the Rent Administrator's decision. While the cotenant is named on the lease for the relevant time frame, rent registration documents suggest that she may not have resided in the apartment in 1986, 1987, 1988, or 1989. Mohassel vacated the apartment in late 1989, which marked the end of the overcharge period reflected in this judgment. At oral argument, his counsel asserted that Mohassel and the cotenant were a married couple who separated and later divorced. Counsel further represented that Mohassel had paid all the overcharged rent. Had the owner timely raised the issue before DHCR, these facts could have been clarified and made part of the administrative record.

[832 NE2d 707, 799 NYS2d 433]

GEORGE KRALIK et al., Appellants, v 239 EAST 79TH STREET OWNERS CORP., Respondent.

Argued May 5, 2005; decided June 16, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 10, 2004. The Appellate Division affirmed so much of an order of the Supreme Court, New York County (Marylin G. Diamond, J.), as had granted defendant's motion for summary judgment, (1) declaring that plaintiffs were not ''holders of unsold shares'' in defendant cooperative corporation and were therefore required to first obtain defendant's consent in order to sublet the subject apartment and, if that consent was granted, to pay all applicable subject fees, and (2) dismissing plaintiffs' claims for monetary damages.

Kralik v 239 E. 79th St. Owners Corp., 4 AD3d 144, reversed.

HEADNOTE

Condominiums and Cooperatives — Proprietary Lease — Unsold Shares

In an action by plaintiffs, who purchased a cooperative apartment from defendant cooperative corporation's sponsor and claimed that as holders of unsold shares allocated to the apartment they were entitled under the proprietary lease and the cooperative's governing documents to sublet the apartment without the cooperative board's approval and without paying a sublet fee, plaintiffs' rights were to be determined solely by applying ordinary contract principles to interpret the terms of the documents defining their contractual relationship with defendant. Plaintiffs' compliance with regulations promulgated by the Attorney General under article 23-A of the General Business Law (Martin Act) and codified at 13 NYCRR part 18 was not required unless and until they offered the apartment's shares for sale to the public, and, in that event, only the Attorney General may enforce part 18's requirements.

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AM JUR 2d, Condominiums and Cooperative Apartments §§ 66, 68, 75.

MCKINNEY'S, General Business Law art 23–A.

13 NYCRR part 18.

NY JUR 2d, Condominiums and Cooperative Apartments §§ 1, 12, 154, 155.

New York Real Property Service §§ 53:24, 54:26.

ANNOTATION REFERENCE

See ALR Index under Condominiums and Cooperative Apartments.

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Query: co-operative /2 apartment & right /3 sublet /s breach! interfer!

POINTS OF COUNSEL

Finder Novick Kerrigan LLP, New York City (*Thomas P. Kerrigan* and *Christina DeVillacian* of counsel), for appellants. I. The sponsor disclosure obligations promulgated by the New York State Attorney General in 13 NYCRR 18.3 may not be used to create additional substantive obligations for entitlement to holder of unsold share status in cooperative apartment buildings. (*Council for Owner Occupied Hous. v Abrams,* 133 Misc 2d 574, 125 AD2d 10, 72 NY2d 553; *Matter of Whalen v Lefkowitz,* 36 NY2d 75; *Matter of 44 W. 96th St. Assoc. v Abrams,* 85 AD2d 563, 56 NY2d 649; *People v Lexington Sixty-First Assoc.,* 38 NY2d 588; *All Seasons Resorts v Abrams,* 68 NY2d 81; *Clark v Cuomo,* 66 NY2d 185; *Pacella v 107 W. 25th St. Corp.,* 271 AD2d 342; *Riggin v Balfour Owners Corp.,* 137 AD2d 799; *Craig v Riverview E. Owners,* 156 AD2d 157; *Thompson v 490 W. End Apts. Corp.,* 252 AD2d 430.) II. The sponsor disclosure regulations promulgated in 13 NYCRR 18.3 may not be used by a private party to avoid contractual obligations since enforcement of the regulations is vested solely in the office of the New York State Attorney General. (*CPC Intl. v McKesson Corp.,* 70 NY2d 268.) III. Even if 13 NYCRR 18.3 (w) is held to properly create additional requirements for holder of unsold share status and the corporation is held to have the power to enforce such regulations, the corporation cannot void George and Sara Kralik's rights as holders of the unsold shares under the proprietary lease since the Kraliks are in fact in compliance with all applicable regulations.

Gallet Dreyer & Berkey, LLP, New York City (*David L. Berkey, Morrell I. Berkowitz, Beatrice Lesser* and *Michelle P. Quinn* of counsel), and *Rosenberg & Pittinsky, LLP (Laurence D. Pittinsky* of counsel) for respondent. I. The proprietary lease must be interpreted to give effect to the cooperative's and George and

Sara Kralik's reasonable expectations in light of the law that existed when the contract was made. (*Fe Bland v Two Trees Mgt. Co.,* 66 NY2d 556; *Mionis v Bank Julius Baer & Co.,* 301 AD2d 104; *Corhill Corp. v S.D. Plants, Inc.,* 9 NY2d 595; *Trump-Equitable Fifth Ave. Co. v H.R.H. Constr. Corp.,* 106 AD2d 242, 66 NY2d 779; *Sutton v East Riv. Sav. Bank,* 55 NY2d 550; *Goldfarb v Goldfarb,* 86 AD2d 459; *Dolman v United States Trust Co. of N.Y.,* 2 NY2d 110; *CPC Intl. v McKesson Corp.,* 70 NY2d 268; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144; *Craig v Riverview E. Owners,* 156 AD2d 157.) II. George and Sara Kralik failed to show that they complied with any of the obligations required of a holder of unsold shares; basic principles of contract law and equity bar them from enjoying the benefits of a holder of unsold shares. (*Williams v Fitzhugh,* 37 NY 444; *Westwood v Cole,* 66 Misc 53; *Pacella v 107 W. 25th St. Corp.,* 271 AD2d 342; *Spiegel v 1065 Park Ave. Corp.,* 305 AD2d 204; *Fe Bland v Two Trees Mgt. Co.,* 66 NY2d 556.) III. The decision below should be affirmed because the express wording of the proprietary lease shows that George and Sara Kralik were never holders of unsold shares. (*Mionis v Bank Julius Baer & Co.,* 301 AD2d 104.) IV. George and Sara Kralik's complaint should have been dismissed because the claims were barred by the statute of limitations. (*Merritt Hill Vineyards v Windy Hgts. Vineyard,* 61 NY2d 106; *Boyce v Rinehart,* 263 AD2d 377; *Town of Massena v Niagara Mohawk Power Corp.,* 45 NY2d 482.)

Eliot Spitzer, Attorney General, New York City (*Michelle Aronowitz* and *Julie M. Loughran* of counsel), amicus curiae. I. The courts below misapplied 13 NYCRR 18.3 (w) to George and Sara Kralik. (*Council for Owner Occupied Hous. v Abrams,* 72 NY2d 553; *Vermeer Owners v Guterman,* 78 NY2d 1114; *Craig v Riverview E. Owners,* 156 AD2d 157; *Gorbatov v Gardens 75th St. Owners Corp.,* 247 AD2d 440; *Pacella v 107 W. 25th St. Corp.,* 271 AD2d 342; *Riggin v Balfour Owners Corp.,* 137 AD2d 799.) II. The Court should employ ordinary contract principles to resolve the parties' dispute, without resort to 13 NYCRR 18.3. (*Fe Bland v Two Trees Mgt. Co.,* 66 NY2d 556; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144; *Ludwig v 25 Plaza Tenants Corp.,* 184 AD2d 623; *Brickman v Brickman Estate at Point,* 6 AD3d 474; *Greenfield v Philles Records,* 98 NY2d 562; *Vermont Teddy Bear Co. v 538 Madison Realty Co.,* 1 NY3d 470; *R/S Assoc. v New York Job Dev. Auth.,* 98 NY2d 29; *Matter of Wallace v 600 Partners Co.,* 86 NY2d 543; *Vanderveer v Callanan Indus.,* 97 AD2d 916; *Matter of Siwek v Mahoney,* 39 NY2d 159.)

OPINION OF THE COURT

READ, J.

Defendant owns the building located at 239 East 79th Street in Manhattan, which was converted to cooperative ownership in 1983. This appeal stems from a longstanding dispute over the rights of plaintiffs George and Sara Kralik as proprietary lessees and owners of the shares of the corporation purchased from the cooperative's sponsor as unsold shares. We conclude that whether plaintiffs are holders of unsold shares should be determined solely by applying ordinary contract principles to interpret the terms of the documents defining their contractual relationship with the cooperative corporation.

I.

Plaintiffs became the proprietary lessees of apartment 16E on May 16, 1985 by an assignment of proprietary lease from the cooperative's sponsor. According to plaintiffs, they purchased apartment 16E for investment purposes,[1] understanding that they were holders of unsold shares exempt from some of the restrictions applicable to residential tenants—most relevantly, a restriction on sublets without approval or fee. Consistent with this status, plaintiffs apparently sublet apartment 16E from June 1, 1986 through May 31, 1988 without approval of the cooperative's Board of Directors or payment of a sublet fee. In June 1988, however, the Board insisted that plaintiffs pay a sublet fee ''under threat of exclusion'' of their second subtenant. Plaintiffs paid this fee and another fee in 1989 ''under duress,'' and then stopped paying. In 1992, plaintiffs received a notice of default from the Board, which threatened lease termination.

After a six-year standoff, in 1998 plaintiffs acted to resolve their dispute with the Board by commencing this lawsuit. Plaintiffs asked for a declaration that they were holders of unsold shares and therefore entitled to sublet apartment 16E without obtaining the Board's consent or paying a sublet fee. They also sought damages for breach of fiduciary duty and lost rental income allegedly caused by defendant's interference with their right to sublet.

After issue was joined, defendant moved for summary judgment on the ground that, as a matter of law, plaintiffs were not

1. Plaintiffs are also proprietary lessees and shareholders of apartments 11N (their residence) and 1A (where plaintiff George Kralik conducts his dental practice).

holders. Specifically, defendant claimed that this was so because plaintiffs failed to comply with various requirements of 13 NYCRR part 18 (''Occupied Cooperatives''). Defendant did not dispute that plaintiffs never intended to occupy and never actually resided in apartment 16E.

Supreme Court granted defendant summary judgment and declared that plaintiffs were not holders because neither ''they [n]or the sponsor complied with a number of . . . prerequisites for acquiring that status,'' including 13 NYCRR 18.3 (w) (3) and (4) (sponsor must guarantee payment of all maintenance charges and assessments and make certain financial representations with respect to unsold shares) and 13 NYCRR 18.3 (w) (11) (holder must amend the cooperative's offering plan to provide specified information). Supreme Court cited *Pacella v 107 W. 25th St. Corp.* (271 AD2d 342 [1st Dept 2000]) and *Gorbatov v Gardens 75th St. Owners Corp.* (247 AD2d 440 [2d Dept 1998]) to support the proposition underpinning its holding—that plaintiffs were not holders, regardless of their rights under the cooperative's governing documents, unless they also complied with regulations promulgated by the Attorney General under article 23-A of the General Business Law (the Martin Act) and codified at 13 NYCRR part 18.

The Appellate Division affirmed, holding that, ''as a matter of law,'' plaintiffs never became holders (4 AD3d 144 [1st Dept 2004]). The Court determined that, contrary to plaintiffs' contentions, they were not holders merely by virtue of their compliance with paragraph 38 (a) of the proprietary lease. ''[S]uch a provision, alone, 'does not create rights . . . it merely extinguishes them' '' (*id.* [quoting *Craig v Riverview E. Owners*, 156 AD2d 157, 158 (1st Dept 1989)]). ''There must also be compliance with regulatory requirements pertaining to such holders'' (*id.* [citing *Pacella*]), some of which plaintiffs concededly did not fulfill. We subsequently granted leave to appeal, and now reverse.

II.

The Martin Act governs the offer and sale of securities in and from New York State, including securities representing ''participation interests'' in cooperative apartment buildings. The Attorney General bears sole responsibility for implementing and enforcing the Martin Act, which grants both regulatory and remedial powers aimed at detecting, preventing and stopping fraudulent securities practices (*see CPC Intl. v McKesson Corp.*, 70 NY2d 268 [1987]). According to the Attorney General, who filed an amicus brief in this case, his duties under the Martin Act with respect to cooperative apartments are twofold. First, he reviews the disclosures required by General Business Law § 352-e for sufficiency. Second, he may investigate and initiate civil or criminal actions where he believes there is fraud (*see* General Business Law §§ 352, 352-c, 353, 354).

To carry out his responsibilities under section 352-e, the Attorney General has promulgated 13 NYCRR part 18 (*see* General Business Law § 352-e [6] [b] [empowering Attorney General to ''adopt, promulgate, amend and rescind suitable rules and regulations'' relating generally to General Business Law § 352-e]). Because section 352-e is ''a disclosure statute, designed to protect the public from fraudulent exploitation in the sale of real estate securities'' (*Council for Owner Occupied Hous. v Abrams*, 72 NY2d 553, 557 [1988]), part 18 is similarly limited and only applies to disclosures made in a public offering. Thus, part 18 does not apply to plaintiffs unless and until they offer apartment 16E's shares for sale to the public, and, in that event, only the Attorney General may enforce part 18's requirements (*see Vermeer Owners v Guterman*, 78 NY2d 1114 [1991] [no private cause of action under General Business Law § 352-e]).

In short, the terms of the controlling documents—not part 18—determine whether plaintiffs are holders of unsold shares.[2] Plaintiffs' status must be decided by applying the usual rules of contract interpretation to those documents (*see e.g. Fe Bland v Two Trees Mgt. Co.*, 66 NY2d 556, 563 [1985] [''The relationship between the shareholder/lessees of a cooperative corporation and the corporation is determined by the certificate of incorporation, the corporation's bylaws and the proprietary lease under which a particular apartment is occupied, subject, of course to applicable statutory and decisional law'']).

Accordingly, the order of the Appellate Division should be reversed, without costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

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2. *Craig*, *Gorbatov*, *Pacella* and any other decisions relying on them are incorrect to the extent they suggest that the requirements of 13 NYCRR part 18 apply where no shares are offered for sale.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order reversed, etc.

[833 NE2d 194, 800 NYS2d 51]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WILLIAM RIVERA, Appellant.

Argued April 26, 2005; decided June 9, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 8, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Michael A. Gary, J.), which had convicted defendant, upon a jury verdict, of unauthorized use of a vehicle in the second degree and sentenced defendant as a persistent felony offender.

People v Rivera, 2 AD3d 543, affirmed.

HEADNOTE

Crimes — Sentence — Persistent Felony Offender

The discretionary persistent felony offender sentence enhancement provisions, set forth in Penal Law § 70.10 and CPL 400.20 (5), are constitutional. Penal Law § 70.10 (1) (a) defines a persistent felony offender as a person convicted of a felony who has two or more prior felony convictions. CPL 400.20 (5) provides that the sentencing court may review the history, character and criminality factors of such a person to determine whether to impose a recidivism sentence. Pursuant to this statutory framework, the prior felony convictions are the *sole determinant* of whether a defendant is subject to recidivist sentencing as a persistent felony offender. A judge may find the fact of a defendant's prior conviction without violating the Sixth Amendment. Further, CPL 400.20, by authorizing a hearing on facts relating to the defendant's history and character, does not grant defendants a legal entitlement to have those facts receive controlling weight in influencing the court's opinion. A defendant adjudicated as a persistent felony offender has a statutory right to present evidence that might influence the court to exercise its discretion to hand down a sentence as if no recidivism finding existed, while the People retain the burden to show that the defendant deserves the higher sentence. Nevertheless, once a defendant is adjudged a persistent felony offender, a recidivism sentence cannot be held erroneous as a matter of law, unless the sentencing court acts arbitrarily or irrationally.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 19, 38, 48, 51, 52.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:4008–172:4015, 172:4018, 172:4019.

LaFave, et al., Criminal Procedure (3d ed) § 26.6.
McKinney's, CPL 400.20; Penal Law § 70.10.
NY Jur 2d, Criminal Law §§ 2931–2936, 2940, 2944–2946.

ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders.

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POINTS OF COUNSEL

Erica Horwitz, New York City, and *Lynn W.L. Fahey* for appellant. Appellant was deprived of his due process and United States Constitution Sixth Amendment jury trial rights when, after conviction by a jury of unauthorized use of a vehicle in the second degree, a class E felony, he was adjudicated and sentenced as a persistent felony offender, over specific constitutional objection, based on numerous facts not found by a jury beyond a reasonable doubt, in violation of *Apprendi v New Jersey* (530 US 466 [2000]). (*Ring v Arizona,* 536 US 584; *McMillan v Pennsylvania,* 477 US 79; *Harris v United States,* 536 US 545; *People v Rosen,* 96 NY2d 329, 534 US 899; *Walton v Arizona,* 497 US 639; *Brown v Greiner,* 258 F Supp 2d 68; *People v Perry,* 161 AD2d 1156; *Almendarez-Torres v United States,* 523 US 224; *People v Besser,* 96 NY2d 136; *People v Hobson,* 39 NY2d 479.)

Charles J. Hynes, District Attorney, Brooklyn (*Jane S. Meyers, Leonard Joblove* and *Ann Bordley* of counsel), for respondent. The trial court sentenced defendant in conformity with the ruling of the United States Supreme Court in *Apprendi v New Jersey* (530 US 466 [2000]), as applied in *Ring v Arizona* (536 US 584 [2002]) and *Blakely v Washington* (542 US 296 [2004]). (*People v Rosen,* 96 NY2d 329, 534 US 899; *Williams v New York,* 337 US 241; *Harris v United States,* 536 US 545; *United States v Tucker,* 404 US 443; *Almendarez-Torres v United States,* 523 US 224; *Jones v United States,* 526 US 227; *People v Frey,* 100 AD2d 728; *Brown v Greiner,* 258 F Supp 2d 68; *United States v Kempis-Bonola,* 287 F3d 699, 537 US 914; *United States v Davis,* 260 F3d 965.)

Mischel, Neuman & Horn, P.C., New York City (*James E.

Neuman of counsel), and *Richard D. Willstatter* for New York State Criminal Defense Lawyers and another, amici curiae. The persistent felony offender statutes violate the Sixth Amendment of the United States Constitution and article I, §§ 2 and 6 of the New York State Constitution. (*Apprendi v New Jersey,* 530 US 466; *Ring v Arizona,* 536 US 584; *Almendarez-Torres v United States,* 523 US 224; *People v Mason,* 277 AD2d 170, 96 NY2d 785; *People v Oliver,* 96 AD2d 1104, 63 NY2d 973; *People v Blackwell,* 32 AD2d 732; *People v Ortiz,* 180 Misc 2d 783; *People v Saracina,* 298 AD2d 953, 99 NY2d 564; *People v Brown,* 268 AD2d 593, 94 NY2d 945; *People v Garcia,* 267 AD2d 247, 94 NY2d 919.)

OPINION OF THE COURT

ROSENBLATT, J.

Defendant asks us to overrule *People v Rosen* (96 NY2d 329 [2001]), in which we sustained the constitutionality of Penal Law § 70.10 and Criminal Procedure Law § 400.20 (5), the persistent felony offender statutes. After studying the Supreme Court's recent cases derived from *Apprendi v New Jersey* (530 US 466 [2000]), we uphold *Rosen*, the statutes and defendant's sentence as a persistent felony offender.

Procedural Background

A jury convicted defendant of unauthorized use of a vehicle in the second degree, a class E felony (Penal Law § 165.06), which carries a maximum sentence of four years imprisonment (Penal Law § 70.00 [2] [e]). The People moved for a persistent felony offender sentence, so as to treat defendant's class E conviction as a class A-I felony (Penal Law § 70.10 [2]). This enhancement authorizes an indeterminate sentence with a maximum of life imprisonment (Penal Law § 70.00 [2] [a]; [3] [a] [i]). Defendant objected that the sentencing procedure violated his jury-trial rights under *Apprendi*. Relying on *Rosen*, the court overruled defendant's objection and held a hearing, at which the People presented evidence of the defendant's prior felony convictions. After the court was satisfied beyond a reasonable doubt that defendant had been previously convicted of at least two felonies, it declared defendant a persistent felony offender (CPL 400.20 [5]).

The court then began the next phase of the proceeding, in which it heard argument concerning defendant's history and character, and the nature and circumstances of his criminal conduct, to determine whether ''extended incarceration and lifetime supervision of the defendant are warranted to best serve the public interest'' (CPL 400.20 [1]). Both sides submitted presentence reports regarding defendant's history and character. In arguing for a recidivist sentence, the People presented evidence that defendant had three prior felony convictions and 14 misdemeanor convictions, in addition to the two felonies that underlay his persistent felony offender status. The People also contended that defendant had used multiple aliases, had failed many times to comply with probation and parole conditions, had an ongoing drug addiction and would be unlikely ever to give up the lifestyle he supported by crime.

In opposition, defense counsel argued that defendant was not actively abusing drugs and that his history of substance abuse mitigated his prior crimes. Defense counsel also relied on the nonviolent aspect of defendant's criminal history, arguing that a recidivist sentence is too harsh for thefts.

The court then gave defendant a chance to speak on his own behalf, and explained the two-part nature of the proceeding:

> ''[J]ust so you are clear, what you are addressing is the issue of your sentencing, both as a second felony offender as well as my discretionary determination as to whether or not I wish to sentence you as a persistent felony offender. That's the entire issue before me in terms of sentence. And of course, as you know, up to now, I have already made a finding that you qualify as a persistent felony offender. And the issue that we are addressing in that respect is whether or not your history, character, the nature and circumstances of your criminal conduct are such that extended incarceration and lifetime supervision of you is warranted to best serve the public's interest.''

Defendant then addressed the court, expressing remorse, admitting his drug addiction problem, mentioning the death of his parents early in his life and asking for leniency.

The court reviewed some of defendant's convictions, noting they were uniformly connected with theft. It then pointed out that in defendant's presentence report, he described his violent abuse by his father, but in a much older probation report he claimed to have had a good father and a peaceful home. The court further found inconsistency between defendant's assertion of a life-long drug dependency and his stable employment history. Next, the court reviewed the effect of the theft on the victim and defendant's apparent attempt to distract police so that the other occupant of the stolen vehicle could escape. The court also noted that the police found burglary tools in the vehicle. Having explained on the record why it felt that defendant deserved the recidivism sentence, the court imposed a term of 15 years to life imprisonment.

Defendant appealed, and the Appellate Division unanimously affirmed, relying on our holding in *Rosen*. A Judge of this Court granted leave to appeal and we now affirm.

The United States Constitution's Sixth Amendment provides every person accused of a crime the right to ''trial, by an impartial jury.''[1] Defendant asserts that our persistent felony offender statute (Penal Law § 70.10)[2] and the procedures for applying it (CPL 400.20)[3] violate the Sixth Amendment because a judge, rather than a jury, determines whether to hand down the maximum sentence of 25 years to life or something less.[4] The question before us is whether any facts beyond those essential

1. The federal right to a jury trial is binding on New York through the Fourteenth Amendment of the United States Constitution (*see Duncan v Louisiana*, 391 US 145, 149 [1968]).

2. This statute defines a ''persistent felony offender'' as one who ''stands convicted of a felony after having previously been convicted of two or more felonies'' and specifies that the prior felonies must have resulted in a sentence of ''imprisonment in excess of one year, or a sentence to death'' (Penal Law § 70.10 [1]). The statute further authorizes a court to sentence such an offender as if the crime were a class A-I felony (thereby permitting an indeterminate sentence with a maximum term of life imprisonment), ''when [the court] is of the opinion that the history and character of the defendant and the nature and circumstances of his criminal conduct indicate that extended incarceration and life-time supervision will best serve the public interest'' (§ 70.10 [2]).

3. This statute declares that the recidivist sentence may be imposed when ''the court (a) has found that the defendant is a persistent felony offender as defined in . . . the penal law, and (b) is of the opinion that the history and character of the defendant and the nature and circumstances of his criminal conduct are such that extended incarceration and lifetime supervision of the defendant are warranted to best serve the public interest'' (CPL 400.20 [1]). The law goes on to require a hearing or hearings, at which the People must prove to the court, beyond a reasonable doubt, the fact of defendant's prior convictions, and either party may offer evidence (subject to a preponderance-of-the-evidence standard) bearing on the court's exercise of discretion as to whether a recidivist sentence is warranted (CPL 400.20 [5]-[9]).

4. Defendant also asserts that the facts that, in his view, must be found by the jury must also be alleged in the indictment (*see Jones v United States*, 526 US 227, 243 n 6 [1999]; *Apprendi v New Jersey*, 530 US 466, 476 [2000]). This argument turns on the same question as the jury-trial argument, and we reject it for the same reasons.

to the jury's verdict (other than prior convictions or admissions) were necessary for the trial judge to impose the persistent felony offender sentence (*see Blakely v Washington*, 542 US 296, 303-304 [2004]).

The *Sole Determinant* for Whether Defendant is Subject to Persistent Felony Offender Sentencing is the Prior Convictions.

In *Rosen*, this Court held that after the People have proved that a defendant is a twice-prior convicted felon, the sentencing court may review the history, character and criminality factors (CPL 400.20 [5]) to determine whether to impose a recidivist sentence. Most pertinently, we further held that this statutory framework makes it clear that the prior felony convictions are the *sole determinant* of whether a defendant is subject to recidivist sentencing as a persistent felony offender (*Rosen*, 96 NY2d at 335). This is in keeping with Penal Law § 70.10 (1) (a), which defines a persistent felony offender simply as a defendant with two prior felony convictions. The statute authorizes indeterminate sentencing once the court finds persistent felony offender status. Penal Law § 70.10 (2), which says that a recidivist sentence may be imposed when the court ''is of the opinion that the history and character of the defendant and the nature and circumstances of his criminal conduct indicate that extended incarceration and life-time supervision will best serve the public interest,'' describes the exercise of judicial discretion characteristic of indeterminate sentencing schemes.

Criminal Procedure Law § 400.20 (1) provides that a defendant may not be sentenced as a persistent felony offender until the court has made the requisite judgment as to the defendant's character and the criminality.[5] That statute implements, but does not change, the Penal Law § 70.10 definition of who is—and may be sentenced as—a persistent felony offender.

5. Even before the relevant statutes were adopted, the Commission on the Revision of the Penal Law and Criminal Code asserted that only the predicate felonies would be essential to a persistent felony offender sentence, and that the history and character determination merely guided the sentencing court's discretion (*see* Commn Staff Notes, reprinted following CLS, Book 7E, CPL 400.20, at 122 [1996] [''The Penal Law does not require proof of any background factor as a prerequisite for use of the special sentence. Under the Penal Law, if the defendant is shown to be a persistent felony offender, use of the special sentence is within the discretion of the court. Thus the procedure set forth in the CPL with respect to background factors other than prior convictions, gives the defendant rights to which he would otherwise not be entitled.'']).

We could have decided *Rosen* differently by reading the statutes to require judicial factfinding as to the defendant's character and criminal acts *before* he became eligible for a persistent felony offender sentence. If we had construed the statutes to require the court to find additional facts about the defendant before imposing a recidivism sentence, the statutes would violate *Apprendi*. But we did not read the law that way. Under our interpretation of the relevant statutes, defendants are eligible for persistent felony offender sentencing based *solely* on whether they had two prior felony convictions. Thus, as we held in *Rosen*, no further findings are required. This conclusion takes defendant's sentence outside the scope of the violations described in *Apprendi* and its progeny.

The Supreme Court has held that a judge (as opposed to a jury) may find the fact of a defendant's prior conviction without violating the Sixth Amendment (*see Almendarez-Torres v United States*, 523 US 224, 226-227 [1998]). Defendant does not argue to the contrary. We are bound by this holding, which the Supreme Court has repeatedly reaffirmed (*see Apprendi*, 530 US at 487-490; *Blakely*, 542 US at 301; *United States v Booker*, 543 US 220, 244 [2005]). Although a majority of the present Justices of the Supreme Court have expressed disagreement with *Almendarez-Torres* (*see Shepard v United States*, 544 US 13, —, 125 S Ct 1254, 1264 [2005] [Thomas, J., concurring]), we recognize that Court's obvious prerogative to overrule its own decisions and we therefore follow *Almendarez-Torres* until the Supreme Court rules otherwise (*cf. Roper v Simmons*, 543 US 551, 594 [2005] [O'Connor, J., dissenting]). Here, the trial judge committed no Sixth Amendment violation by finding as fact that defendant had twice before suffered felony convictions.

After determining defendant's status as a persistent felony offender, the court went on to consider other facts in weighing whether to impose the authorized persistent felony offender sentence. In deciding against a lighter sentence, the trial court rejected defendant's contentions in favor of the People's. If, based on all it heard, the court's view of the facts surrounding defendant's history and character were different, the court might well have exercised its discretion to impose a less severe sentence.

Nevertheless, the relevant question under the United States Constitution is not whether those facts were essential to the trial court's opinion (CPL 400.20 [1] [b]), but whether there are any facts other than the predicate convictions that must be found to make recidivist sentencing possible (*see Blakely*, 542 US at 303-304). Our answer is no. As we explained in *Rosen*, the predicate felonies are both necessary and sufficient conditions for imposition of the authorized sentence for recidivism; that is why we pointedly called the predicate felonies the ‘‘sole’’ determinant (96 NY2d at 335).[6] By this unequivocal statement, we meant, and today confirm, that Criminal Procedure Law § 400.20, by authorizing a hearing on facts relating to the defendant's history and character, does not grant defendants a legal entitlement to have those facts receive controlling weight in influencing the court's opinion. The statutory language requiring the sentencing court to consider the specified factors and to articulate the reason for the chosen sentence grants defendants a right to an airing and an explanation, not a result.

In this respect, our statutes are quite similar to the federal sentencing statute, which requires federal sentencing courts to consider various factors, including ‘‘the history and characteristics of the defendant’’ (18 USC § 3553 [a] [1]). The Supreme Court recently upheld the statutory demand for sentencing courts to consider those factors, which do not require any jury factfinding (*see Booker*, 543 US at 245-246 [op of Breyer, J.]).

To reiterate our analysis in *Rosen*, a defendant adjudicated as a persistent felony offender has a statutory right to present evidence that might influence the court to exercise its discretion to hand down a sentence as if no recidivism finding existed, while the People retain the burden to show that the defendant deserves the higher sentence. Nevertheless, once a defendant is adjudged a persistent felony offender, a recidivism sentence cannot be held erroneous as a matter of law, unless the sentencing court acts arbitrarily or irrationally.

The court's opinion is, of course, subject to appellate review, as is any exercise of discretion. The Appellate Division, in its own discretion, may conclude that a persistent felony offender sentence is too harsh or otherwise improvident. In this way, the Appellate Division can and should mitigate inappropriately severe applications of the statute. A determination of that kind, however, is based not on the law but as an exercise of the Appel-

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6. The Appellate Division understood our *Rosen* holding correctly in *People v Nelson* (16 AD3d 1172 [4th Dept 2005]), where it held that the prior felony convictions alone were enough to justify defendant's sentence as a persistent felony offender.

late Division's discretion in the interest of justice as reserved uniquely to that Court (CPL 470.20 [6]).[7]

In practical terms, the legislative command that sentencing courts consider the defendant's ''history and character'' and the ''nature and circumstances'' of the defendant's criminal conduct merely makes explicit what sentencing courts have always done in deciding where, within a range, to impose a sentence. The mandatory consideration and articulation of these factors is important in New York because, under Criminal Procedure Law § 470.20 (6), the Appellate Division itself exercises discretion in reviewing sentences and ameliorating harshness, even when those sentences are justified as a matter of law. The components of our statutes that require a sentencing court, in reaching its opinion under Criminal Procedure Law § 400.20 (1) (b), to consider the specified factors and explain why that consideration led the court to impose a recidivist sentence allows more complete review by the Appellate Division in the interest of justice. The practice, however, falls squarely within the most traditional discretionary sentencing role of the judge.[8]

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7. *See e.g. People v Williams*, 239 AD2d 269, 269-270 (1st Dept 1997) (reducing a persistent felony offender sentence in the interest of justice, based on defendant's rehabilitation); *People v Evans*, 212 AD2d 626, 627 (2d Dept 1995) (setting persistent felony offender sentences for multiple counts to run concurrently rather than consecutively, because the sentence would otherwise be ''harsh and excessive''). Some intermediate appellate decisions have reversed persistent felony offender sentences where the statutory procedures were not followed (*see e.g. People v Wilson*, 64 AD2d 782, 783 [3d Dept 1978]), but such decisions should not be read as requiring judicial factfinding as a necessary component to a persistent felony offender sentence. Rather, they insist that the sentencing court exercise its discretion according to legislatively-prescribed procedural rules that facilitate the exercise of the Appellate Division's discretion in the interests of justice. We note that there appears to be no analogue in the federal judiciary to our Appellate Division's authority to vacate or modify a sentence based on the interest of justice as opposed to on the law.

8. In New York, the exercise of this type of discretion has never fallen to juries, except in the unusual context of capital cases. In *Apprendi*, the challenged judicial finding concerned the defendant's motive for the crime, which was racial animus (*see Apprendi*, 530 US at 469-470). In *Ring*, the defendant was sentenced based on the judge's finding that (1) Ring was the actual killer, (2) Ring committed the crime in exchange for something of pecuniary value, and (3) Ring acted in an especially heinous, cruel way (*see Ring*, 536 US at 594-595). In *Blakely*, the judge found as fact that Blakely had committed the crime with deliberate cruelty (*see Blakely*, 542 US at 303). In *Booker*, the sentencing judge determined the quantity of drugs sold by Booker and that Booker had obstructed justice (*see Booker*, 543 US at 227). All of these prohibited judicial findings relate to the crime for which the

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A number of federal trial courts have awarded (or have recommended awarding) writs of habeas corpus to state prisoners under a different view of our statutes.[9] These courts believed that our statutes would not permit the imposition of a recidivist sentence until the trial justice found facts about the defendant's history and character beyond the prior convictions. These courts might be correct, if their interpretation of our statutes were correct.[10] As we explained in *Rosen*, however, *no* additional factfinding beyond the fact of two prior felony convictions is required under Penal Law § 70.10 or under Criminal Procedure Law § 400.20. If, for example, a defendant had an especially long and disturbing history of criminal convictions, a persistent

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defendant was on trial and, as quintessential fact questions, would properly have been subject to proof before the jury, in stark contrast to traditional sentencing analysis of factors like the defendant's difficult childhood, remorse or self-perceived economic dependence on a life of crime (*cf. State v Rivera*, 106 Haw 146, 160, 102 P3d 1044, 1058 [2004] [distinguishing between ''intrinsic'' aspects of the crime itself, which must be proved to the jury, and ''extrinsic'' characteristics of the defendant, which are subject to judicial determination]).

Although we do not rest our decision on it, we note that the prohibited findings in these Supreme Court cases are thus readily distinguishable from the subjective determination by the sentencing court operating under our recidivism statutes in this case. Our statutes contemplate that the sentencing court—after it has adjudicated the defendant a persistent felony offender—will consider holistically the defendant's entire circumstances and character, including traits touching upon the need for deterrence, retribution and rehabilitation unrelated to the crime of conviction. This is different from the type of factfinding involved in *Apprendi*. In this respect, we note that in *Brown v Greiner* (409 F3d 523, 534 [2d Cir 2005]), the United States Court of Appeals for the Second Circuit described the contested second phase of our sentencing procedure as ''a vague, amorphous assessment'' of whether the public interest would be served through imposition of the recidivist sentence.

9. *See Hernandez v Conway*, 2005 US Dist LEXIS 6826 (SD NY, Apr. 13, 2005, No. 03 Civ 0535) (decision pending before the District Court); *Kaua v Frank*, 350 F Supp 2d 848 (D Haw 2004); *Besser v Walsh*, 2003 WL 22801952, 2003 US Dist LEXIS 21474 (SD NY, Nov. 26, 2003, No. 02 Civ 6775) (decision pending before the District Court); *Brown v Greiner*, 258 F Supp 2d 68 (ED NY 2003), *revd* 409 F3d 523 (2005); *see also* Christopher H. Lindstrom, Note, *In the Shadow of Apprendi: People v. Rosen Reveals the Impractical Nature and Uncertain Future of Apprendi v. New Jersey*, 36 Colum JL & Soc Probs 103 (2002).

10. The United States Court of Appeals for the Second Circuit's rejection of the habeas petitions in *Brown* (409 F3d 523 [2005]) confirms that *Rosen* was correctly decided based on *Apprendi*, but does not directly address the issue we consider today: whether *Rosen* remains good law in light of *Apprendi*'s progeny. As we have discussed, we hold that none of the United States Supreme Court's cases after *Apprendi* cast doubt on the continuing vitality of *Rosen*.

felony offender sentence might well be within the trial justice's discretion even with no further factual findings. Once the defendant is adjudicated a persistent felony offender, the requirement that the sentencing justice reach an opinion as to the defendant's history and character is merely another way of saying that the court should exercise its discretion.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE (dissenting). I begin by stating two points of agreement with the majority.

First, I agree that *People v Rosen* (96 NY2d 329 [2001]) was correct at the time it was decided. The defendant in *Rosen* brought his challenge on the basis of *Apprendi v New Jersey* (530 US 466, 490 [2000]), in which the Supreme Court held that ''[o]ther than the fact of a prior conviction, any fact that increases the penalty for a crime beyond the prescribed statutory maximum must be submitted to a jury, and proved beyond a reasonable doubt.'' Since it was the fact of two prior convictions ''that initially subjected defendant to enhanced sentencing'' (*Rosen*, 96 NY2d at 334), we held that there was no violation of *Apprendi*, concluding that *Apprendi* required a jury to decide only those facts (other than recidivism) that determine a defendant's threshold eligibility for an increased sentence.

Apprendi made clear that sentencing courts may continue to exercise their discretion in imposing sentence within the range of sentences prescribed by the statute defining an offense (*see* 530 US at 481). We reasoned that since a defendant becomes eligible for persistent felony offender treatment based on prior felony convictions, a judge may, consistent with *Apprendi*, find the facts that must then be established before an increased sentence may be imposed.

Since *Apprendi*, however, the Supreme Court has periodically revisited its holding (*see e.g. Ring v Arizona*, 536 US 584 [2002]; *Blakely v Washington*, 542 US 296 [2004]). Most significantly, in *Ring* the Court overruled its decision in *Walton v Arizona* (497 US 639 [1990]), which at the time of *Apprendi*—and *Rosen*—was still good law.[1] The Arizona capital sentencing scheme upheld in *Walton* had allowed a judge, sitting without a jury, to find an aggravating circumstance that was statutorily necessary

1. Indeed, in *Rosen*, the Attorney General argued to us that the New York persistent felony offender statute was functionally identical to the Arizona capital sentencing scheme, at that time held constitutional in *Walton*.

for imposition of the death penalty. This scheme was thought not to violate the constitutional right to a jury trial because a defendant sentenced by a judge to death had been rendered initially eligible for that penalty upon conviction by a jury of first-degree murder. Since the Arizona statute specified that the only available sentencing options for a defendant convicted of first-degree murder were either death or life imprisonment, a defendant sentenced by a judge to death had thus been sentenced ‘‘within the range’’ of punishment authorized for the crime by the jury verdict, as *Apprendi* permits (*see Apprendi*, 530 US at 481 [sentencing judges may ‘‘exercise discretion—taking into consideration various factors relating both to offense and offender—in imposing a [sentence] *within the range* prescribed by statute’’]). That being so, there was no violation of the *Apprendi* rule that any fact that increases the penalty for a crime *beyond the prescribed statutory maximum* must be submitted to a jury.

In *Ring*, however, the Supreme Court, in overruling *Walton*, rejected this reasoning, for the first time making clear that *all* facts (other than recidivism) that must be found in order to increase a sentence beyond the maximum—regardless of whether they relate to the defendant’s threshold eligibility for the increased sentence—must be found by a jury beyond a reasonable doubt.[2] Thus, inasmuch as *Walton* was not overruled until *Ring*, the decision in *Rosen* neither was contrary to, nor involved an unreasonable application of, *Apprendi* at the time it was decided (*see Brown v Greiner*, 409 F3d 523 [2d Cir 2005]).

Second, I agree that the statutory scheme the Court describes would pass constitutional muster. The problem, though, is that the statute as construed by the majority was not before today the law in New York.[3] The language of the statute is plain, and reflects the intent of the Legislature, that not every two-time

2. An additional point deserves mention. *Rosen* was correct when it was decided, and based on the Court’s decision here, remains good law today. But even if it were not, state trial courts are bound to follow existing precedent of a higher court, even though they may disagree (*cf. People v West*, 2 Misc 3d 332, 336 [Sup Ct, NY County 2003], *revd* 12 AD3d 152 [1st Dept 2004]; *People v Cephas*, 2003 NY Slip Op 51068[U], *9 [Sup Ct, NY County, May 23, 2003]).

3. The statutes at issue here involve only ‘‘persistent felony offenders’’—defendants with respect to whom at least one of the relevant prior or current felonies is nonviolent. Sentencing ranges for ‘‘persistent violent felony offenders’’—defendants with two prior and one current violent felony offense—are separately provided for in Penal Law § 70.08, which is not challenged here and

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(nonviolent) recidivist is eligible, without more, to be sentenced to an indeterminate life term. Only some are.

True, a persistent felony offender is defined ''simply as a defendant with two prior felony convictions'' (majority op at 66; *see* Penal Law § 70.10 [1]). But under the statute a defendant's classification as a persistent felon does not in and of itself subject the offender to enhanced punishment. Fitting the definition of a persistent felony offender under Penal Law § 70.10 (1) is necessary but not sufficient to render a defendant eligible for enhanced sentencing under CPL 400.20. Rather, an enhanced sentence is available only for those who additionally are found to be of such history and character, and to have committed their criminal conduct under such circumstances, that extended incarceration and lifetime supervision will best serve the public interest (*see* Penal Law § 70.10 [2]). The persistent felony offender statute thus stands in stark contrast to Penal Law § 70.08, which requires that all three-time violent felons be sentenced to an indeterminate life term on the basis of the prior convictions alone.

I cannot agree that the second prerequisite is merely optional. The statutory command is clear: Enhanced punishment ''may not be imposed'' unless the court makes two findings—that is, unless the court (1) has found the necessary prior convictions, *and* (2) is of the opinion that the history and character of the defendant and the nature and circumstances of his or her criminal conduct indicate that extended incarceration and lifetime supervision will best serve the public interest (CPL 400.20 [1]). Each finding must be ''based upon evidence in the record of a hearing held pursuant to'' CPL 400.20 (*id.*). The reasons for the court's conclusion must be set forth in the record (*see* Penal Law § 70.10 [2]).

That the statute calls this finding of fact an ''opinion'' is of no moment. *Blakely* makes clear that *any factfinding* essential to sentence enhancement must be decided by a jury, even if it is general and unspecified in nature,[4] and even if the ultimate sentencing determination is discretionary. ''Whether the judge's authority to impose an enhanced sentence depends on finding a

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is, in any event, clearly constitutional under *Almendarez-Torres v United States* (523 US 224 [1998]).

4. Thus, the statute held unconstitutional in *Blakely* authorized the sentencing court to impose an enhanced sentence if it found ''substantial and compelling reasons justifying an exceptional sentence'' (542 US at 299).

specified fact (as in *Apprendi*), one of several specified facts (as in *Ring*), or *any* aggravating fact (as here), it remains the case that the jury's verdict alone does not authorize the sentence. The judge acquires that authority only upon finding some additional fact'' (542 US at 305). ''Nor does it matter that the judge must, after finding aggravating facts, make a judgment that they present a compelling ground for departure. He cannot make that judgment without finding some facts to support it beyond the bare elements of the offense. Whether the judicially determined facts *require* a sentence enhancement or merely *allow* it, the verdict alone does not authorize the sentence'' (542 US at 305 n 8).

Under CPL 400.20, the court's conclusion must be based on factfindings made after a hearing at which the People have the burden of proof by a preponderance of the evidence[5] —a statutory requirement the majority minimizes. Further, after determining that the defendant qualifies as a persistent felony offender on the basis of prior convictions, the court ''*must* then make such findings of fact as it deems relevant to the question of whether a persistent felony offender sentence is warranted'' (CPL 400.20 [9] [emphasis added]).[6] The majority nevertheless construes the statute as requiring ''*no* additional factfinding beyond the fact of two prior felony convictions'' (majority op at 70). I cannot agree with the Court that the Legislature's ''must'' means ''need not.''

Indeed, the Appellate Division has repeatedly vacated persistent felony offender sentences for failure to follow the procedures or make the findings mandated by CPL 400.20 (*see e.g. People v Wilson*, 64 AD2d 782, 782-783 [3d Dept 1978]; *People v Perry*, 161 AD2d 1156, 1157 [4th Dept 1990]; *People v Smith*, 232 AD2d 586, 586-587 [2d Dept 1996]; *People v Garcia*, 267 AD2d 247, 247-248 [2d Dept 1999]). The Court erroneously

5. ''Upon any hearing held pursuant to this section the burden of proof is upon the people. . . . Matters pertaining to the defendant's history and character and the nature and circumstances of his criminal conduct may be established by any relevant evidence, not legally privileged, regardless of admissibility under the exclusionary rules of evidence, and the standard of proof with respect to such matters shall be a preponderance of the evidence'' (CPL 400.20 [5]; *see also* Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 400.20, at 274 [1994] [''the district attorney is required to present evidence to support the allegations of bad character'']).

6. Indeed, if the hearing is terminated without a finding, ''the defendant *may not* be sentenced as a persistent felony offender'' unless the court ''recommences the proceedings and makes the necessary findings'' (CPL 400.20 [10] [emphasis added]).

implies that these reversals must have been made in the interest of justice (*see* majority op at 68-69, 69 n 7), but the Appellate Division thought otherwise (*see Wilson*, 64 AD2d at 783 [modifying ''on the law and the facts'']; *Perry*, 161 AD2d at 1156 [''on the law'']; *Smith*, 232 AD2d at 586 [''on the law'']; *Garcia*, 267 AD2d at 247 [''on the law'']; *see also* Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 400.20, at 274 [1994] [''enhanced sentence must be based not only upon the requisite predicate offenses; but also upon facts regarding the overall history and character of the defendant''; ''findings of fact with regard thereto'' are required]; Association of Justices of the Supreme Court of the State of New York, Bench Book for Trial Judges—New York § 60 [D] [1] [d] [1] [''court must make findings of fact relevant to whether persistent felony sentence is warranted'']).

The Court declares that the prohibited judicial findings in *Apprendi*, *Ring*, *Blakely* and *United States v Booker* (543 US 220 [2005])—which ''relate[d] to the crime for which the defendant was on trial'' (majority op at 69 n 8)—are ''readily distinguishable from the subjective determination by the sentencing court operating under our recidivism statutes in this case'' (*id.* at 70 n 8). In doing so, however, the Court focuses exclusively on the ''history and character'' prong of the sentencing court's ''opinion,'' while downplaying the statutory requirement that a judge also make findings as to the ''nature and circumstances of [the defendant's] criminal conduct.''

Here, in support of his determination that enhanced punishment was warranted, the sentencing Judge made a number of findings that related to the crime for which defendant was on trial. Specifically, although defendant was not charged with the theft of the vehicle that he used without authorization, the Judge found that its owner had been deprived for four days of his work van and tools—and therefore of his ability to earn a livelihood during those days—thus making findings about the extent of the harm to the victim. The Judge further found that defendant ran a red light while driving the van; that, after being stopped by the police, he aided in the escape of his passenger and resisted his own arrest; and that he possessed burglar's tools. None of these facts—all of them relating to the crime charged—was found by the jury.[7] On the basis of these and other findings, defendant—who would otherwise have been subject to a maximum sentence of 2 to 4 years' imprisonment for the class E nonviolent felony of which he was convicted—received a sentence of 15 years to life.

In recasting the statute as one in which a defendant bears the burden of demonstrating that an enhanced sentence is *not* warranted, the Court ignores both the language and the intent of the law. By requiring that a court hold a hearing and make findings before it could impose a persistent felony sentence, the Legislature sought to limit the availability of enhanced punishment to a subclass of persistent offenders. Today, however, the majority announces that every three-time nonviolent felon is automatically eligible, without more, for a potential life sentence. That decision is for the Legislature, not the Court.

CIPARICK, J. (dissenting). Because I believe that *Apprendi v New Jersey* (530 US 466 [2000]), as reaffirmed and clarified by *Ring v Arizona* (536 US 584 [2002]), *Blakely v Washington* (542 US 296 [2004]), and *United States v Booker* (543 US 220 [2005]), compels a different result, I respectfully dissent from the majority opinion.

The majority offers an interpretation of our discretionary persistent felony offender sentencing statute that purportedly does not violate a defendant's Sixth Amendment constitutional rights. However, the description as proffered is not consistent with the plain language of Penal Law § 70.10 and CPL 400.20 nor does it comply with the mandates of recent United States Supreme Court holdings. In essence, the majority has rewritten the statute.

My discussion begins with *Apprendi v New Jersey*. There the United States Supreme Court invalidated a law that allowed a judge to increase a sentence beyond the statutory maximum where the judge determined that the proven offense also constituted a hate crime. That statute clearly required that the judge make a finding of fact of an element beyond the scope of the charged crime. The effect of the statute was to take a typical role of the jury away from it and place it in the hands of the

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7. Although defendant was originally charged with the traffic infraction and the possession of burglar's tools, these counts were not considered by the jury. However, the sentencing court stated, "And I would note, of course, the evidence did show, although it didn't go to the jury, the jury didn't have to make a finding of it, that you had some damn good burglar's tools in the van."

judge who would make such findings by the mere preponderance of the evidence.

Judicial factfinding of an element of a crime was not in our opinion the same as determining the appropriateness of enhanced sentencing based on prior felonies. Thus we held in *People v Rosen* (96 NY2d 329 [2001]) that New York's discretionary persistent felony offender statute did not offend *Apprendi*'s notion of Sixth Amendment rights. In doing so, we recognized the longstanding principles of granting judges discretion in sentencing and protecting the public from recidivist felons (*see Rosen*, 96 NY2d at 335). We further found that the statute should be read solely as being triggered by prior convictions (*see id.*). Only after the prior convictions are apparent does the court look to the second part of our discretionary persistent felony offender statute and consider the "history and character" of defendant to determine whether persistent felony offender treatment is warranted (*id.*). I believe that this interpretation is no longer viable in light of recent United States Supreme Court cases which have redefined the purview of the Sixth Amendment.

The year after we decided *Rosen* the United States Supreme Court expanded upon *Apprendi*'s rationale in *Ring v Arizona*, which overruled *Walton v Arizona* (497 US 639 [1990]).[1] The Arizona statute at issue in *Ring* and *Walton* provided that a defendant may not be sentenced to death for first degree murder unless the judge makes further determinations as to the existence of aggravating and mitigating factors, comparable to the "history and character" analysis under our statute. The Court in striking down the statute reiterated that the "dispositive question . . . 'is one not of form, but of effect' " (*Ring*, 536 US at 602, quoting *Apprendi*, 530 US at 494). The Court further made clear the broad scope of the holding by stating that "[i]f a State makes an increase in a defendant's authorized punishment contingent on the finding of a fact, that fact—no matter how the State labels it—must be found by a jury beyond a reasonable doubt" (*Ring*, 536 US at 602). Whereas the maximum

1. In *Walton*, the Court found that Arizona's capital sentencing scheme, allowing a sentencing judge to find an aggravating circumstance, did not violate the Sixth Amendment. However, in light of *Apprendi*, the Court reversed itself when it revisited the issue in *Ring* and found "because Arizona's enumerated aggravating factors [for imposing a death sentence] operate as 'the functional equivalent of an element of a greater offense,' . . . the Sixth Amendment requires that they be found by a jury" (536 US at 609, quoting *Apprendi*, 530 US at 494 n 19).

sentence based on the jury's findings was life imprisonment, the United States Supreme Court found it improper to permit the trial judge to determine other factors that could result in the imposition of a sentence of death.

The Supreme Court spoke again on this issue in *Blakely v Washington*, where it invalidated a statute that permitted the judge to consider the level of ''cruelty'' used in committing the crime for the purposes of enhancing a sentence. The Court stated ''[w]hen a judge inflicts punishment that the jury's verdict alone does not allow, the jury has not found all the facts 'which the law makes essential to the punishment' . . . and the judge exceeds his proper authority'' (*Blakely*, 542 US at 304, quoting 1 J. Bishop, Criminal Procedure § 87, at 55 [2d ed 1872]). Further elucidation on what Supreme Court meant by ''statutory maximum'' came in *Blakely*, where it stated that the '' 'statutory maximum' for *Apprendi* purposes is the maximum sentence a judge may impose *solely on the basis of the facts reflected in the jury verdict or admitted by the defendant*'' (*Blakely*, 542 US at 303, citing *Ring*, 536 US at 602). The Court at great length explained that ''the Sixth Amendment by its terms is not a limitation on judicial power, but a reservation of jury power'' (*Blakely*, 542 US at 308). To the extent that these holdings would likely result in a greater burden on the nation's court systems, the Court stated ''our decision cannot turn on whether or to what degree trial by jury impairs the efficiency or fairness of criminal justice'' but rather turns on the need to preserve the rights enumerated by the Constitution (542 US at 313).

This year, the Supreme Court has once again illustrated the renewed strength of the Sixth Amendment when it struck down parts of the federal sentencing guidelines in *United States v Booker*.[2] The Court held that a judicial determination of any factor that elevates the maximum possible sentence above the range authorized by a jury finding of guilt of a particular offense or a defendant's admission violates the Sixth Amendment

2. The Court found 18 USC § 3553 (b) (1) (providing that a judge must follow the sentencing guidelines unless it is determined that there exists an aggravating or mitigating factor that warrants a different sentence) and 18 USC § 3742 (e) (providing a standard of review for section 3553 sentences) to be unconstitutional. After excising these portions, the Court ruled that the guidelines should be used in an advisory fashion and sentences should be ''tailor[ed] . . . in light of other statutory concerns'' (*Booker*, 543 US at 245-246).

(543 US at 232). As in its prior cases, the Court reiterated that there is nothing wrong with judicial discretion within a sentence range that was authorized by the jurors' verdict or admitted by defendant, but once that range changes based on factfinding by the court, the jurors' role has been diminished and the Sixth Amendment is invoked (543 US at 235). The Court further noted that the increasing reliance on judicial factfinding for purposes of sentencing has increased the judge's power while reducing that of the jury. ''It became the judge, not the jury, that determined the upper limits of sentencing, and the facts determined were not required to be raised before trial or proved by more than a preponderance'' (543 US at 236).

Thus, the United States Supreme Court has aggressively redrawn the parameters of Sixth Amendment rights to counterattack what it perceives as a systematic gradual erosion of the role of the juror; which is alarming because it removes the jury from shielding defendants from the State as guaranteed by our Constitution.

Today, we are faced with a renewed challenge to Penal Law § 70.10 and its procedural sister CPL 400.20. Our earlier analysis under *Rosen* that it is merely a recidivist statute—which alone is acceptable under *Apprendi* and *Almendarez-Torres v United States* (523 US 224 [1998])[3] —is no longer apt. The *Apprendi* court framed this exception as one of narrow scope stating ''[o]ther than the fact of a prior conviction, any fact that increases the penalty for a crime beyond the prescribed statutory maximum must be submitted to a jury, and proved beyond a reasonable doubt'' (530 US at 490). However, contrary to the majority's analysis here, our inquiry does not end at recidivism. Instead recidivism is one of two material findings that must be made before an enhanced sentence can be imposed. Although the majority wishes now to separate itself from this second prong and its explicit role in determining an enhanced sentence, we did acknowledge its existence in *Rosen*. We held that after finding the requisite prior felonies ''the court must consider other enumerated factors to determine whether it 'is of the

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3. While the recidivist exception as set forth in *Almendarez-Torres* is presently good law, its viability has been called into question. In his concurring opinion in *Shepard v United States* (544 US 13, —, 125 S Ct 1254, 1264 [2005]), Justice Thomas, who was part of the 5-4 majority opinion in *Almendarez-Torres*, has expressly denounced his vote and feels that the holding is no longer viable in that case in light of the Court's post-*Apprendi* holdings.

opinion that a persistent felony offender sentence is warranted' '' (96 NY2d at 335, quoting CPL 400.20 [9]).

To read Penal Law § 70.10 and CPL 400.20 as solely a recidivist statute disregards its plain language. The second prong explicitly requires a judge to review facts that exceed the scope of those found by a jury or admitted by the defendant, to formulate an opinion as to the ''history and character'' of the defendant and the ''nature and circumstances of his criminal conduct'' and to determine whether ''life-time supervision will best serve the public interest'' (Penal Law § 70.10 [2]; *see also* CPL 400.20 [1] [b]). A record of the basis for the sentencing court's findings must also be set forth (*see* Penal Law § 70.10 [2]; CPL 400.20 [3] [b]). For the majority to state that prior felonies alone are a sufficient basis for sentencing under Penal Law § 70.10 is thus contrary to plain language of the statute (*see* majority op at 67, 68). This is where, in my opinion, the majority's rationale fails, as it attempts to fit the discretionary persistent felony offender statute within the narrow recidivism exception of *Apprendi* and effectively reads out the second prong of the statute.

The statutory scheme described by the majority is simply not that enacted by the Legislature. Had the Legislature intended for the inquiry to end at recidivism, it could, for example, have replicated the language of Penal Law § 70.08, which mandates sentencing for persistent violent felony offenders based solely on recidivism, or it could have used the language of Penal Law § 70.04 or § 70.06 as it relates to second felony offenders and second violent felony offenders. Those statutes do not require, as do Penal Law § 70.10 and CPL 400.20, that to fall subject to an enhanced sentence there needs to be further factual findings by the sentencing judge beyond that of determining the existence and constitutionality of prior convictions beyond a reasonable doubt nor that such further factual findings such as ''history and character'' be made upon the preponderance of the evidence.[4]

We can no longer distinguish our statute as it bears too much of a resemblance to the statutes struck down in *Ring* and

4. CPL 400.20 reads in part:
''Matters pertaining to the defendant's history and character and the nature and circumstances of his criminal conduct may be established by any relevant evidence, not legally privileged, regardless of admissibility under the exclusionary rules of evidence, and the standard of proof with respect to such matters shall be a preponderance of the evidence'' (CPL 400.20 [5]).

Blakely. Where a statute, like ours, considers facts beyond recidivism that were neither proven to the jury beyond a reasonable doubt nor admitted by a defendant for the purpose of enhancing a sentence beyond the statutory maximum, then that statute runs counter to the United States Supreme Court's current interpretation of the Sixth Amendment.

Nor do I agree with the majority that the federal guidelines that survived *Booker* mimic our persistent felony offender statute (majority op at 68). Our system of sentencing is based on statutory minimums and maximums that do not come into play in the federal sentencing scheme. Furthermore, the United States Supreme Court held that the guidelines as applied to *Booker* were unconstitutional and remanded for resentencing (543 US at 267). Nothing in the *Booker* decision changed the fact that judges cannot impose higher sentences than that of the range supported by the facts found by the jury or admitted by defendant.

The test as articulated by the United States Supreme Court is first to look to whether the sentence imposed exceeds the maximum sentence permissible based solely on the jury's findings or defendant's admissions.[5] If the sentence exceeds the scope of the jury's findings or a defendant's guilty plea, the court looks next to see if the increase in sentencing is based solely on the fact of a prior conviction (*see Almendarez-Torres*, 523 US at 235). If the increased sentence is based on any facts beyond that of a prior conviction, then such facts must be found by a jury beyond a reasonable doubt or else the sentence runs contrary to the Sixth Amendment.

Here, defendant Rivera was subject to a CPL 400.20 persistent felony offender hearing that well exceeded the scope of the jury's findings and was unquestionably based on more than only recidivism. Rivera was convicted of a class E nonviolent felony, unauthorized use of a vehicle in the second degree, which would have subjected him to an indeterminate period of imprisonment of a minimum of two years and a maximum of four years based on the jury's findings (and a prior felony conviction) (*see* Penal Law § 70.06 [3] [e]; [4] [b]). Instead, Rivera received a sentence of 15 years to life in prison based on

5. The majority argues that the test should be left to the Appellate Division as one of abuse of discretion (majority op at 68-69). However, the United States Supreme Court specifically questioned that approach as related to sentencing in *Blakely* as too subjective and "manipulable" (542 US at 308).

the judge's application of the discretionary persistent felony offender statute which required additional factual findings made by the judge sitting without a jury and employing a preponderance of the evidence standard. Thus, a defendant, having two prior nonviolent, auto-theft related felonies, upon the conviction of a third such felony, can now be subject to an almost identical sentence as a persistent *violent* felon under Penal Law § 70.08 (3). That is not what the Legislature provided.

The trial judge in imposing sentence here relied in part on what he determined to be perjury on defendant's part as well as uncharged marijuana use while in jail. Equally as damaging was the judge's inference that Rivera was guilty of crimes not charged or not considered by the jury.[6] The judge stated:

> ''I saw the complainant in this case, somebody who I would describe as a working man, . . . had been a painter with the tools of his trade in his van. It was taken from him. Was it taken by the defendant? The People couldn't prove that. They certainly did prove beyond a reasonable doubt that the defendant used the vehicle . . . .''

The judge further stated:

> ''But I also look at the circumstances of that crime, and what struck me is what kind of man Mr. Rivera is . . . [T]his drugged individual was only arrested because he doesn't give a damn about the law [a reference to defendant going through a red light].''

Even more objectionable was this comment:

> ''And I would note, of course, the evidence did show, although it didn't go to the jury, the jury didn't have to make a finding of it, that you had some damn good burglar's tools in the van.''

These are facts that, if relevant, must be found by a jury if they will result in a life sentence.

In conclusion, *Rosen* was the right decision in terms of the constitutional landscape at the time (*see Brown v Greiner*, 409 F3d 523, 534 [2d Cir 2005] [holding that our interpretation of *Rosen* was a reasonable application of *Apprendi* ''as understood at the

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6. The grand jury issued an indictment for criminal possession of stolen property in the fourth and fifth degrees; however the jury did not consider these charges.

time'']). I joined in that decision and do not retreat from it. However, I must now defer to the United States Supreme Court's interpretation of the Federal Constitution that has developed since our decision in *Rosen*. The majority fails to recognize that the Supreme Court holdings in *Ring*, *Blakely* and *Booker* represent a significant shift in Sixth Amendment jurisprudence. It is thus evident that a *Rosen* analysis is no longer appropriate. It is also evident that our discretionary persistent felony offender sentencing statute contravenes the Sixth Amendment to the United States Constitution as it requires additional factfinding—''the functional equivalent of an element of a greater offense'' (*Apprendi*, 530 US at 494 n 19)—beyond that found by a jury or admitted by a defendant.

Accordingly, I would modify the judgment by vacating the sentence and remanding for resentence.

Judges G.B. SMITH, GRAFFEO, READ and R.S. SMITH concur with Judge ROSENBLATT; Chief Judge KAYE dissents in a separate opinion in which Judge CIPARICK concurs; Judge CIPARICK dissents in another opinion in which Chief Judge KAYE concurs.

Order affirmed.

[833 NE2d 210, 800 NYS2d 67]

In the Matter of NEWSDAY, INC., Respondent, v STATE DEPARTMENT OF TRANSPORTATION, Appellant.

Argued April 27, 2005; decided June 9, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 1, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (George B. Ceresia, Jr., J.; op 1 Misc 3d 321), entered in a proceeding pursuant to CPLR article 78, which had (1) granted petitioner's application to annul a determination of respondent denying petitioner's Freedom of Information Law request, and (2) denied petitioner's application for costs and attorney's fees.

Matter of Newsday, Inc. v State Dept. of Transp., 10 AD3d 201, affirmed.

HEADNOTE

Records — Freedom of Information Law — Traffic Safety Records

A federal statute, 23 USC § 409, which provides that certain documents relating to traffic safety shall not be subject to discovery in lawsuits arising out of traffic accidents, does not exempt these documents from disclosure under the Freedom of Information Law (FOIL). Although FOIL provides that an agency need not disclose records that ''are specifically exempted from disclosure by state or federal statute'' (Public Officers Law § 87 [2] [a]), 23 USC § 409 does not provide such an exemption. The possibility that a tort plaintiff could indirectly obtain the information at issue does not justify requiring nondisclosure of the documents for all purposes.

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By the Publisher's Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 74, 75, 104.

CARMODY-WAIT 2d, Disclosure § 42:167; CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:636.

MCKINNEY'S, Public Officers Law § 87 (2) (a).

NY JUR 2d, Disclosure § 110.9; NY JUR 2d, Records and Recording §§ 36, 38.

ANNOTATION REFERENCE

See ALR Index under Freedom of Information Acts.

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POINTS OF COUNSEL

Eliot Spitzer, Attorney General, Albany (*Robert M. Goldfarb, Caitlin J. Halligan, Daniel Smirlock* and *Nancy A. Spiegel* of counsel), for appellant. I. Materials covered by 23 USC § 409 are exempt from Freedom of Information Law disclosure under Public Officers Law § 87 (2) (a). (*Matter of John P. v Whalen,* 54 NY2d 89; *Anonymous v Bureau of Professional Med. Conduct/State Bd. for Professional Med. Conduct,* 2 NY3d 663; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.,* 79 NY2d 106; *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.,* 73 NY2d 92; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75; *Matter of Daily Gazette Co. v City of Schenectady,* 93 NY2d 145; *Matter of Newsday, Inc. v Sise,* 71 NY2d 146, 486 US 1056; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse,* 65 NY2d 294; *Light v State of New York,* 149 Misc 2d 75.) II. To the extent that the Freedom of Information Law (FOIL) requires disclosure of the materials, 23 USC § 409 preempts FOIL because the state law stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress. (*Crosby v National Foreign Trade Council,* 530 US 363; *Gade v National Solid Wastes Mgt. Assn.,* 505 US 88; *Jones v Rath Packing Co.,* 430 US 519; *Michigan Canners & Freezers Assn., Inc. v Agricultural Mktg. & Bargaining Bd.,* 467 US 461; *Drattel v Toyota Motor Corp.,* 92 NY2d 35; *Shaw v Delta Air Lines, Inc.,* 463 US 85; *Savage v Jones,* 225 US 501; *Pierce County v Guillen,* 537 US 129; *California v Federal Energy Regulatory Commn.,* 495 US 490.)

Stephanie S. Abrutyn, New York City, and *McNamee, Lochner, Titus & Williams, P.C.,* Albany (*Michael J. Grygiel* and *William A. Hurst* of counsel), for respondent. I. The Appellate Division and Supreme Court correctly determined that 23 USC § 409 does not specifically exempt the intersection data from disclosure to Newsday under the Freedom of Information Law. (*Matter of Fink v Lefkowitz,* 47 NY2d 567; *Matter of Newsday, Inc. v Empire State Dev. Corp.,* 98 NY2d 359; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562; *Pierce County v Guillen,* 537 US 129; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75; *Matter of Daily Gazette Co. v City of Schenectady,* 93 NY2d 145; *Harrison* *v Burlington N. R.R. Co.,* 965 F2d 155; *Bowman v Norfolk S. Ry. Co.,* 66 F3d 315; *Matter of John P. v Whalen,* 54 NY2d 89; *Anonymous v Bureau of Professional Med. Conduct/State Bd. for Professional Med. Conduct,* 2 NY3d 663.) II. 23 USC § 409 does not preempt New York's Freedom of Information Law. (*Anonymous v Bureau of Professional Med. Conduct/State Bd. for Professional Med. Conduct,* 2 NY3d 663; *Doe v Office of Professional Med. Conduct of N.Y. State Dept. of Health,* 81 NY2d 1050; *Matter of John P. v Whalen,* 54 NY2d 89; *Pierce County v Guillen,* 537 US 129; *Air Transp. Assn. of Am. v Professional Air Traffic Controllers Org.,* 667 F2d 316.)

Michael A. Cardozo, Corporation Counsel, New York City (*Stephen J. McGrath* and *Victoria Scalzo* of counsel), for City of New York, amicus curiae. I. The Appellate Division's interpretation of 23 USC § 409 and Public Officers Law § 87 (2) (a) would, as a practical matter, render section 409's statutory prohibition against disclosure meaningless. (*Taylor v St. Louis Southwestern Ry. Co.,* 746 F Supp 50; *Coniker v State of New York,* 181 Misc 2d 801; *Pierce County v Guillen,* 537 US 129; *Matter of John P. v Whalen* 54 NY2d 89; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75; *Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.,* 73 NY2d 26; *Anonymous v Bureau of Professional Med. Conduct/State Bd. for Professional Med. Conduct,* 2 NY3d 663.) II. Assuming, arguendo, that the Freedom of Information Law (FOIL) requires disclosure of the materials, FOIL is preempted by 23 USC § 409 because the state law stands as an obstacle to the accomplishments and execution of the full purposes and objectives of the federal statute.

OPINION OF THE COURT

R.S. SMITH, J.

We hold that 23 USC § 409, which provides that certain documents relating to traffic safety shall not be subject to discovery in lawsuits arising out of traffic accidents, does not exempt these documents from disclosure under the Freedom of Information Law (FOIL).

Facts and Procedural History

A Newsday reporter submitted a FOIL request to the State Department of Transportation, asking for its "priority list of hazardous intersections and locations" for the Long Island and New York City regions, "which the Department of Transportation must maintain as part of the federally mandated Hazard Elimination Program.'' The Department rejected the request on the ground that these ''federally-mandated safety analyses . . . are exempt from disclosure under Federal Law,'' specifically 23 USC § 409. After an internal Department appeal, Newsday brought this CPLR article 78 proceeding to compel disclosure. Supreme Court granted Newsday's petition, and the Appellate Division affirmed, as do we.

Discussion

23 USC § 409 provides:

> ''Notwithstanding any other provision of law, reports, surveys, schedules, lists, or data compiled or collected for the purpose of identifying, evaluating, or planning the safety enhancement of potential accident sites, hazardous roadway conditions, or railway-highway crossings, pursuant to sections 130, 144, and 152 of this title or for the purpose of developing any highway safety construction improvement project which may be implemented using Federal-aid highway funds shall not be subject to discovery or admitted into evidence in a Federal or State court proceeding or considered for other purposes in any action for damages arising from any occurrence at a location mentioned or addressed in such reports, surveys, schedules, lists, or data.''

FOIL provides that, with certain exceptions, ''all records'' of state agencies are subject to public disclosure (Public Officers Law § 87 [2]). One exception is that an agency need not disclose records that ''are specifically exempted from disclosure by state or federal statute'' (Public Officers Law § 87 [2] [a]). Thus the issue in this case is whether 23 USC § 409 provides such an exemption.

Section 409 was enacted in 1987, in response to a problem the United States Department of Transportation had encountered in administering several programs designed to encourage and fund highway improvements by the states. The federal programs subsidized improvements to the most dangerous sections of state roads; states seeking funding were required to submit lists of the sections deemed most dangerous. Some states, fearing the lists would be devastating weapons in the hands of personal-injury plaintiffs, were reluctant to provide them. To overcome this reluctance, Congress passed section 409 in its original form, providing that the lists and similar documents ''shall not be admitted into evidence . . . or considered for other purposes'' in damages actions ''arising from any occurrence at a location mentioned'' (*see Pierce County v Guillen*, 537 US 129, 134 [2003]).

Cases decided under the original version of section 409 differed as to whether it prohibited only admission of the documents into evidence, or also barred pretrial discovery (*see id.* at 134-135). Congress resolved this issue in 1991 by amending section 409 to provide expressly that the materials shall not be ''subject to discovery.'' Congress was evidently persuaded that even the prospect of discovery might deter states from gathering information about dangerous locations, since such information, once discovered, can be useful to tort plaintiffs even if it is inadmissible in evidence; it can be used as a guide in questioning witnesses, or in seeking other discovery.

Newsday argues that section 409 has no application here, since it prohibits only ''discovery . . . in any action for damages'' and says nothing about FOIL requests. The Department responds that if section 409 is not read to apply to FOIL requests its prohibition on discovery can be rendered meaningless, for a litigant seeking the documents need only substitute a FOIL request for a discovery demand. The Department's concern is legitimate, but we conclude that it does not warrant going beyond the clear words of section 409.

The premise of FOIL is ''that the public is vested with an inherent right to know and that official secrecy is anathematic to our form of government'' (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). This premise applies with full force to documents that show what the government is doing to make roads safer. The policy underlying section 409, to encourage states to collect information bearing on road safety, is important also, but Congress has not directed that the former policy give way entirely to the latter: section 409 does not say that lists of dangerous locations ''shall be confidential,'' but only that they shall not be discoverable in certain litigations.

If the documents Newsday seeks here are disclosed to it, the protection offered by section 409 may be diminished, but it will not be eliminated. A tort plaintiff will not have access to the information except to the extent Newsday chooses to publish it. If the information is published, some tort plaintiffs may obtain the equivalent of discovery, but section 409 will continue to exclude the documents from evidence. Congress evidently did not think that the possibility that some plaintiffs would indirectly obtain information justified requiring nondisclosure of the documents for all purposes. If it had wanted to achieve that result, it could have said so.

This is not a case in which a tort plaintiff is using a FOIL request to avoid section 409's prohibition on discovery. No one disputes that Newsday's purpose in making its FOIL request was simply to gather news. Where a FOIL request for materials subject to section 409 is made by a tort plaintiff, or by someone acting on such a plaintiff's behalf, perhaps denial of the request will be justified (*cf. Ex parte Alabama Dept. of Transp.*, 757 So 2d 371 [Ala 1999]; *Seaton v Johnson*, 898 SW2d 232 [Tenn 1995] [both relying on section 409 in rejecting attempts to invoke state freedom of information statutes on behalf of injured plaintiffs]). We see no need to decide that question before it comes up.

The Department argues that a restriction on discovery may imply an exemption from FOIL, relying on cases involving the confidentiality of records in physician disciplinary proceedings. Those cases are distinguishable. It is true that we have interpreted Public Health Law § 230, which says in subdivision (9) that records of a Committee on Professional Conduct shall be exempt from "disclosure under article thirty-one of the civil practice law and rules," as exempting the same records from FOIL (*Matter of John P. v Whalen*, 54 NY2d 89 [1981]). Section 230, however, is concerned with protecting the reputations and the privacy of physicians whose conduct is being scrutinized. Examining several of section 230's subdivisions, we found a "clear . . . legislative policy to protect the confidentiality of all records and proceedings of the State Board for Professional Medical Conduct and of a Committee on Professional Conduct in relation to a disciplinary inquiry or proceeding" (*id.* at 97). Section 409 has a narrower purpose; it is designed to prevent the use of certain documents to obtain an advantage in litigation against the State. We see no justification for finding in section 409 the same broad requirement of confidentiality we found in the Public Health Law.

We thus hold that section 409 does not render the documents sought by Newsday in this case exempt from disclosure under FOIL. Our holding agrees with that of the Supreme Court of Kansas, applying that state's Open Records Act (*Telegram Publ. Co., Inc. v Kansas Dept. of Transp.*, 275 Kan 779, 69 P3d 578

[2003]). To the extent that the reasoning in the Alabama and Tennessee decisions cited above goes beyond the facts of those cases, and suggests that state freedom of information statutes may never be applied to documents within the scope of section 409, we respectfully disagree.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, with costs.

[833 NE2d 223, 800 NYS2d 80]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NEIL PATTERSON, JR., Appellant.

Argued April 28, 2005; decided June 14, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Niagara County Court (Sara S. Sperrazza, J.), entered June 29, 2004. The County Court affirmed a judgment of the Town of Wilson Justice Court (Robert J. Botzer, J.), which had convicted defendant of violating 6 NYCRR 10.4 (a) (7).

HEADNOTE

Native Americans — Treaty Rights — Off-Reservation Fishing Rights

The Treaty of Canandaigua of 1794 (7 US Stat 44) does not vest members of the Tuscarora Nation with off-reservation fishing rights on former Seneca lands, the boundaries of which are demarcated by article III of the Treaty. Accordingly, defendant, an enrolled member of the Tuscarora Indian Nation who was ice fishing in a state park outside the Tuscarora reservation, on former Seneca lands, without an identifying tag on his ice fishing tip-up, was properly convicted of violating 6 NYCRR 10.4 (a) (7), which provides that all "tip-ups must be marked with the name and address of the operator while . . . in the water." Inasmuch as the Tuscarora—and, derivatively, defendant—have no right under the 1794 Treaty of Canandaigua to engage in off-reservation fishing on former Seneca lands, 6 NYCRR 10.4 (a) (7) may be applied to members of the Tuscarora fishing off-reservation, just as it applies to everyone else who ice fishes within the state, without regard to whether the regulation constitutes a reasonable and necessary conservation measure. The Tuscarora Nation's fishing rights on the land in question were wholly contingent on continued ownership of the land by the Seneca. When the Seneca divested themselves of their interest in the land by the Treaty of Big Tree of 1797 (7 US Stat 601), the Tuscarora right to free use and enjoyment ended.

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By the Publisher's Editorial Staff

AM JUR 2d, Indians §§ 56, 57, 66.
6 NYCRR 10.4 (a) (7).
NY JUR 2d, Indians §§ 22, 27.

ANNOTATION REFERENCE

See ALR Index under Indians.

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POINTS OF COUNSEL

Christopher A. Amata, Albany, *Joseph J. Heath*, Syracuse, and *Kendra E. Winkelstein,* Grand Island, for appellant. I. The court below erred in failing to follow and apply the conservation necessity doctrine. (*Fellows v Blacksmith,* 19 How [60 US] 366; *United States v Forty-Three Gallons of Whiskey,* 93 US 188; *Antoine v Washington,* 420 US 194; *Minnesota v Mille Lacs Band of Chippewa Indians,* 526 US 172; *Oneida County v Oneida Indian Nation of N.Y. State,* 470 US 226; *Rice v Olson,* 324 US 786; *Tulee v Washington,* 315 US 681; *Puyallup Tribe v Department of Game of Wash.,* 391 US 392; *Department of Game of State of Wash. v Puyallup Tribe,* 414 US 44; *United States v State of Wash.,* 384 F Supp 312, 520 F2d 676, 423 US 1086.) II. The People failed at trial to preserve the treaty rights issue for appeal, and the court below therefore improperly decided the issue. (*People v Jones,* 81 AD2d 22; *Sega v State of New York,* 60 NY2d 183; *People v Mucciolo,* 104 AD2d 905; *Shepardson v Town of Schodack,* 83 NY2d 894; *Matter of Richardson v Fiedler Roofing,* 67 NY2d 246.) III. Even if the treaty rights issue was preserved for appeal, the ruling of the court below that the Tuscarora Nation retains no fishing rights in Wilson-Tuscarora State Park under the Treaty of Canandaigua ignores the plain language of the treaty, violates fundamental canons of treaty construction, and fails to follow binding Supreme Court precedent. (*Cherokee Nation v Georgia,* 5 Pet [30 US] 1; *Worcester v Georgia,* 6 Pet [31 US] 515; *Seneca Nation of Indians v New York,* 206 F Supp 2d 448, 382 F3d 245; *People ex rel. Ray v Martin,* 294 NY 61; *Oneida Indian Nation of N.Y. v State of New York,* 860 F2d 1145, 493 US 871; *FPC v Tuscarora Indian Nation,* 362 US 99; *People v Redeye,* 78 Misc 2d 834; *Minnesota v Mille Lacs Band of Chippewa Indians,* 526 US 172; *Menominee Tribe of Indians v United States,* 391 US 404; *Oneida Indian Nation of N.Y. v City of Sherrill, N.Y.,* 337 F3d 139.) IV. The court below erred in finding that enforcement of the subject regulation against defendant did not violate the Department of Environmental Conservation's policy concerning enforcement of hunting and fishing regulations against Indians. (*People ex rel. Kennedy v Becker,* 241 US 556; *United States v State of Wash.,* 384 F Supp 312.)

Eliot Spitzer, Attorney General, Albany (*Andrew D. Bing, Caitlin J. Halligan, Robin A. Forshaw* and *Peter H. Schiff* of counsel), and *Matthew J. Murphy III, District Attorney,* Lockport (*Thomas H. Brandt* of counsel), for respondent. I. The Supreme Court's decision in *FPC v Tuscarora Indian Nation* (362 US 99 [1960]) establishes that defendant had no federal treaty right exempting him from compliance with New York's tip-up regulation while fishing outside the Tuscarora reservation. (*Mescalero Apache Tribe v Jones,* 411 US 145; *Oklahoma Tax Commn. v Chickasaw Nation,* 515 US 450; *Oklahoma Tax Commn. v Citizen Band Potawatomi Indian Tribe of Okla.,* 498 US 505; *Minnesota v Mille Lacs Band of Chippewa Indians,* 526 US 172; *Menominee Tribe of Indians v United States,* 391 US 404; *Oregon Dept. of Fish & Wildlife v Klamath Indian Tribe,* 473 US 753; *People ex rel. Kennedy v Becker,* 241 US 556; *Cooper v Aaron,* 358 US 1; *State Oil Co. v Khan,* 522 US 3; *Rodriguez de Quijas v Shearson/American Express, Inc.,* 490 US 477.) II. Defendant's procedural arguments in support of reversal are meritless. (*People v Jones,* 81 AD2d 22; *People ex rel. Kennedy v Becker,* 241 US 556; *Mescalero Apache Tribe v Jones,* 411 US 145; *Acor Plasticover Co. v Wonderful Plastics Indus. Co.,* 73 AD2d 541, 57 NY2d 669; *FPC v Tuscarora Indian Nation,* 362 US 99.) III. The Department of Environmental Conservation memo did not excuse defendant from compliance with 6 NYCRR 10.4 (a) (7). (*Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.,* 2 NY3d 249.)

OPINION OF THE COURT

ROSENBLATT, J.

On this appeal, we consider whether the Treaty of Canandaigua of 1794 (7 US Stat 44) vests members of the Tuscarora Nation with off-reservation fishing rights on former Seneca lands, the boundaries of which are demarcated by article III of the Treaty. We hold that it does not.

I.

Defendant, Neil Patterson, is an enrolled member of the Tuscarora Indian Nation, one of the Six Nations of the Iroquois Confederacy. In February 2003, a state environmental conservation officer saw him ice fishing in Wilson-Tuscarora State Park without an identifying tag on his ice fishing tip-up.[1] The park, located in Niagara County, is near the shore of Lake Ontario,

1. A tip-up is a device, designed to be left unattended, that supports a fishing line suspended through a hole in the ice. When a fish takes the bait, it triggers a flag or other signal to alert the ice fisher.

outside the Tuscarora reservation, on former Seneca lands. The officer issued defendant a citation for violating 6 NYCRR 10.4 (a) (7), which provides that all ''tip-ups must be marked with the name and address of the operator while . . . in the water.''

Before the Town of Wilson Justice Court, defendant pleaded not guilty and requested a trial. The conservation officer prosecuted the case and testified that defendant's tip-up had no identification tag. Defendant responded that, under the Treaty of Canandaigua, he had a federally-protected treaty right to fish in Wilson-Tuscarora State Park and that, because section 10.4 (a) (7) does not represent a reasonable and necessary conservation measure, the State lacked the power to enforce the regulation against him. The court found defendant guilty and imposed a $25 fine.

Defendant appealed to County Court, which affirmed. Relying on the United States Supreme Court's opinion in *FPC v Tuscarora Indian Nation* (362 US 99, 121 n 18 [1960]), the court determined that members of the Tuscarora Nation enjoy no treaty right to engage in off-reservation fishing on former Seneca lands. A Judge of this Court granted defendant leave to appeal, and we now affirm.

II.

It is basic to our system of governance that ''all Treaties made . . . shall be the supreme Law of the Land'' (US Const art VI [2]).[2] This principle applies with full force to treaties with the Native American nations (*see Settler v Lameer*, 507 F2d 231, 238 n 16 [9th Cir 1974] [''The various Indian treaties constitute the Supreme Law of the Land'']). It is also fundamental that states have sovereign power to regulate hunting and fishing within their borders.[3]

In its ''conservation necessity'' line of cases, the United States Supreme Court has long experience in mediating between these two vying interests. In *Tulee v Washington* (315 US 681, 683-

2. *See also Missouri v Holland*, 252 US 416, 434 (1920) (''No doubt the great body of private relations usually fall within the control of the State, but a treaty may override its power'').

3. *See Lacoste v Department of Conservation of La.*, 263 US 545, 549 (1924) (''The wild animals within its borders are, so far as capable of ownership, owned by the state in its sovereign capacity for the common benefit of all of its people. Because of such ownership, and in the exercise of its police power the state may regulate and control the taking, subsequent use and property rights that may be acquired therein'').

684 [1942]), the defendant, a member of the Yakima Nation, was charged with violating a state law requiring a license fee to catch salmon with a net, in spite of treaty language providing that the Yakima retained an ''exclusive right of taking fish in all the streams, where running through or bordering said reservation'' (*id.* at 683). The treaty also secured the Yakima's right of ''taking fish at all usual and accustomed places'' (*id.*). The Supreme Court held that the State's attempt to impose a license fee on members of the Yakima was unconstitutional. Critical to the decision was the existence of a treaty fishing right in conflict with the State's regulatory scheme. The Court held that, in the face of this treaty right, the State retained only certain regulatory powers. It could impose on the Yakima, ''equally with others such restrictions of a purely regulatory nature concerning the time and manner of fishing outside the reservation as are necessary for the conservation of fish'' (*id.* at 684).

Similarly, in *Puyallup Tribe v Department of Game of Wash.* (391 US 392 [1968] [*Puyallup I*]), the tribe had an off-reservation treaty right to take fish ''at all usual and accustomed grounds and stations . . . in common with all citizens of the Territory'' (*id.* at 395). In light of this treaty, the Supreme Court determined that a state regulation prohibiting fixed net fishing could not be enforced against members of the Puyallup Nation absent a finding that the ban represented a '' 'reasonable and necessary' conservation measure'' (*id.* at 402 [citation omitted]). It remanded for consideration of this question, as well as for findings on ''the issue of equal protection implicit in the phrase 'in common with' '' (*id.* at 403; *see also Department of Game of Wash. v Puyallup Tribe*, 414 US 44 [1973] [*Puyallup II*]).

Echoing its opinion in *Tulee*, however, the Court emphasized that, confronted with a treaty off-reservation fishing right, the State may nevertheless regulate ''the manner of fishing, the size of the take, . . . and the like . . . in the interest of conservation, provided the regulation meets appropriate standards and does not discriminate against the Indians'' (391 US at 398). Most recently, in *Antoine v Washington* (420 US 194 [1975]), the Court held that, in regulating Native American off-reservation treaty fishing rights, the ''State must demonstrate that its regulation is a reasonable and necessary conservation measure and that its application to the Indians is necessary in the interest of conservation'' (*id.* at 207 [citations omitted]).

Essentially, this line of cases stands for the proposition that a state law or regulation may impair an off-reservation treaty fishing right only when (1) it represents a reasonable and necessary conservation measure and (2) does not discriminate against the Native American treaty rightholders. The existence of, first, a treaty right and, second, a conflict between the treaty right and a state statute or regulation is the sine qua non of the Supreme Court's conservation necessity jurisprudence. Absent a treaty fishing right, the State enjoys the full run of its police powers in regulating off-reservation fishing.

Today, we hold that the Tuscarora—and, derivatively, defendant—have no right under the Treaty of Canandaigua of 1794 to engage in off-reservation fishing on former Seneca lands.[4] Therefore, we need not consider whether 6 NYCRR 10.4 (a) (7) constitutes a reasonable and necessary conservation measure under *Tulee* and its progeny. The regulation may be applied to members of the Tuscarora fishing off-reservation, just as it applies to everyone else who ice fishes within the state. In reaching this result, we are influenced by the plain language of the Treaty of Canandaigua, along with the history of the land in question and the Supreme Court's opinion in *FPC v Tuscarora Indian Nation* (362 US 99, 121 n 18 [1960]).

Article III of the Treaty first demarcates the lands of the Seneca Nation. It then provides,

> "Now, the United States acknowledge all the land within the aforementioned boundaries, to be property of the Seneka nation; and the United States will never claim the same, nor disturb the Seneka nation, nor any of the Six Nations, or of their Indian friends residing thereon and united with them, in the free use and enjoyment thereof: but it shall remain theirs, until they choose to sell the same to the people of the United States, who have the right to purchase."

Article IV states that,

> "The United States having thus described and acknowledged what lands belong to the Oneidas,

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4. Defendant argues that his invocation of the "conservation necessity" doctrine represents a challenge to the jurisdiction of New York courts and that the courts below wrongly treated it as a defense of justification pursuant to Penal Law § 35.05 (1) ("conduct which would otherwise constitute an offense is justifiable and not criminal when . . . [s]uch conduct is required or authorized by law"). We need not consider this question. Neither a jurisdictional challenge nor a justification defense can be premised on a nonexistent treaty right.

> Onondagas, Cayugas and Senekas, and engaged never to claim the same, nor to disturb them, or any of the Six Nations, or their Indian friends residing thereon and united with them, in the free use and enjoyment thereof: Now, the Six Nations, and each of them, hereby engage that they will never claim any other lands within the boundaries of the United States; nor ever disturb the people of the United States in the free use and enjoyment thereof.''

In 1797, three years after signing the Treaty of Canandaigua, the Seneca surrendered their ownership of the land to the United States by the Treaty of Big Tree (7 US Stat 601). Defendant argues, however, that the ''free use and enjoyment'' language in articles III and IV grants the Tuscarora, as one of the Six Nations, a separate, usufructuary[5] fishing right on Seneca lands independent of the Seneca's possessory interest in the land. The Treaty of Canandaigua, he maintains, constitutes an official recognition of the Iroquois tradition of communal hunting and fishing rights for all members of the Six Nations throughout the territory of the Confederacy. We are sensitive to the historical customs and values of the Six Nations, but we are not persuaded by defendant's reading of the Treaty. Although, as defendant claims, a treaty may provide for usufructuary fishing rights that survive the conveyance of the original possessor's title to the land (*see generally Minnesota v Mille Lacs Band of Chippewa Indians*, 526 US 172 [1999]), the Treaty of Canandaigua does not create such a right.

We are mindful of the bedrock principle of Native American treaty interpretation that any possible ambiguities be resolved in favor of the Native American signatories (*see Worcester v Georgia*, 6 Pet [31 US] 515, 582 [1832] [M'Lean, J., concurring]; *Jones v Meehan*, 175 US 1, 11 [1899]). Further, we appreciate that, where the scope of a treaty right is unclear, we must look ''beyond the written words to the larger context that frames the [t]reaty, including 'the history of the treaty, the negotiations, and the practical construction adopted by the parties' '' (*Mille Lacs*, 526 US at 196). Articles III and IV, however, admit of no ambiguity. They clearly contemplate that the Seneca and the other Six Nations would have a right to free use and enjoyment

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5. A usufructuary right is a right to ''use and enjoy the fruits of another's property for a period without damaging or diminishing it'' (Black's Law Dictionary 1580 [8th ed 2004]).

of Seneca land until such time as the Seneca ceded it to ''the people of the United States.'' In short, the Tuscarora Nation's fishing rights on the land in question were wholly contingent on continued ownership of the land by the Seneca. When the Seneca divested themselves of their interest in the land by the Treaty of Big Tree of 1797, the Tuscarora right to free use and enjoyment ended.[6]

The Supreme Court's opinion in *FPC v Tuscarora Indian Nation* (362 US 99 [1960]) confirms this view. As relevant here, that case addressed the question whether the New York State Power Authority could, pursuant to the Federal Power Act (16 USC § 796 *et seq.*), use eminent domain to seize off-reservation land owned by the Tuscarora in fee simple for use in a hydroelectric dam project. Among other things, the Tuscarora argued that their land, which was situated within the same former Seneca tract as Wilson-Tuscarora State Park, was protected from condemnation by the Treaty of Canandaigua.

In footnote 18 of its opinion, the Supreme Court rejected the Tuscarora's claim (*id.* at 121). The Court concluded, as do we, that the Treaty of Canandaigua covers the lands in question. Nevertheless, it determined that by conveying these lands pursuant to the Treaty of Big Tree of 1797, the Seneca ''freed them from the effects of the Treaty of Canandaigua of 1794'' (*id.*). Tracing the history of Tuscarora migration to the Niagara frontier, the Court explained that the Tuscarora interest in the Seneca lands was contingent on Seneca beneficence. The Tuscarora tenure on Seneca lands was, the Court observed, as ''guests or tenants at will or by sufferance'' (*id.*).

The Treaty of Canandaigua did not transform the Tuscarora's status on Seneca lands: ''[b]y the Treaty of Canandaigua of 1794 . . . it was recognized that the Senecas alone had possessory rights to the western New York area here involved'' (*id.*). Moreover, any treaty interest the Tuscarora had in Seneca land was terminated by the Treaty of Big Tree of 1797, which, the Supreme Court determined, swept away any Tuscarora treaty rights to lands in Western New York. ''[T]he lands in question,'' the Court noted, ''were entirely freed from the effects of all

6. The terms of the Treaty of Big Tree of 1797, which followed the Treaty of Canandaigua by three years, suggest that the express reservation of usufructuary fishing rights was not outside the ken of Native American negotiators in the 1790s. In the Treaty of Big Tree, the Seneca retained for themselves the ''privilege of fishing and hunting on the said tract of land hereby intended to be conveyed.''

then existing treaties with the Indians'' (*id.*). Since the Treaty of Big Tree, the former Seneca lands have ''never since been subject to any treaty between the United States and the Tuscaroras'' (*id.*).

Both the Supreme Court's thorough treatment of the subject and our own study of the pertinent language satisfy us that the Tuscarora enjoy no right under the Treaty of Canandaigua to free use and enjoyment of former Seneca lands. Defendant's other contentions are without merit.

Accordingly, the order of County Court should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[833 NE2d 228, 800 NYS2d 85]

In the Matter of JAMES HUGHES et al., on Behalf of Themselves and All Other Similarly Situated Members of the INTERNATIONAL UNION OF OPERATING ENGINEERS LOCAL 14-14B and LOCAL 15, 15A, 15C, 15D, AFL-CIO, Respondents, et al., Intervenors, v JOHN J. DOHERTY, as Commissioner of the New York City Department of Sanitation, Appellant.

Argued May 4, 2005; decided June 16, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 29, 2004. The Appellate Division affirmed so much of a judgment of the Supreme Court, New York County (Faviola A. Soto, J.), entered in a proceeding pursuant to CPLR article 78, as had granted the petition to the extent of finding respondent's failure to place the title of ''oiler'' in the line of promotion to the titles of ''crane operator'' and ''tractor operator'' to be arbitrary and capricious and directed that respondent place petitioners in such positions now held by provisional oilers.

Matter of Hughes v Doherty, 9 AD3d 327, reversed.

HEADNOTE

Civil Service — Classification — Line of Promotion

In a proceeding brought by and on behalf of crane and tractor operators formerly employed by the New York City Department of Sanitation (DOS) challenging DOS's refusal to allow them to replace provisional oilers after the facility where they worked downsized and they were laid off, DOS, through the New York City Department of Citywide Administrative Services (DCAS), acted within its discretion in finding that an oiler was not in the direct line of promotion to the position of crane operator or tractor operator. Although the classification for ''portable oiler'' had, in the past, listed crane engineman and tractor operator as promotional lines, the reclassified job title of ''oiler'' was not presently classified as a lower grade title in the line of promotion to tractor or crane operator. The positions of crane operator, tractor operator, and oiler are all based on open competitive examinations, and the duties and skills of each title do not entirely overlap. Had DCAS permitted the tractor and crane operators to displace provisional oilers, petitioners would have been assigned to the oiler positions based solely on seniority, with no consideration given to their actual skills, and without the benefits and safeguards of a probationary period. Moreover, not putting oilers in the direct line of promotion to crane or tractor operators opens up the operator jobs to competitive application, thereby expanding the pool of skilled applicants to fill the positions.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service § 57.
NY JUR 2d, Civil Servants and Other Public Officers and Employees § 381.

ANNOTATION REFERENCE

See ALR Index under Civil Service.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: direct /2 line /3 promotion /s oiler

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Dona B. Morris, Francis F. Caputo* and *Blanche Greenfield* of counsel), for appellant. I. Petitioners are not entitled to any relief because the City of New York's actions respecting the layoffs of the Department of Sanitation employees at the Fresh Kills landfill were in all respects lawful, reasonable and proper. In particular, the City's determination that the title of oiler was not a lower grade in direct line of promotion to the tractor operator or crane operator titles, as pertinent to establishing the preferred list under Civil Service Law § 81, was a proper exercise of discretion and was not arbitrary or capricious. (*Matter of City of New York v City Civ. Serv. Commn.,* 60 NY2d 436; *Matter of Sullivan County Harness Racing Assn. v Glasser,* 30 NY2d 269; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County,* 34 NY2d 222; *Matter of Johnson v Joy,* 48 NY2d 689; *Matter of Howard v Wyman,* 28 NY2d 434; *Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *Matter of Pagano v New York State Civ. Serv. Commn.,* 170 AD2d 733; *Matter of Piekielniak v Axelrod,* 92 AD2d 968; *People ex rel. Schau v McWilliams,* 185 NY 92; *Matter of Wirzberger v Watson,* 305 NY 507.) II. The courts below abused their discretion by effectively amending the petition to add a time-barred claim when they reached out to overrule the line of promotion determinations in effect for almost three decades although petitioners had not directly challenged those determinations as arbitrary and capricious in their pleadings. (*New York City Health & Hosps. Corp. v McBarnette,* 84 NY2d 194; *Matter of Lubin v Board of Educ. of City of N.Y.,* 60

NY2d 974; *Matter of Edmead v McGuire,* 67 NY2d 714; *Mundy v Nassau County Civ. Serv. Commn.,* 44 NY2d 352; *Rosenthal v City of New York,* 283 AD2d 156; *Matter of Federation of Mental Health Ctrs. v DeBuono,* 275 AD2d 557; *Matter of New York State Rehabilitation Assn. v State of N.Y., Off. of Mental Retardation & Dev. Disabilities,* 237 AD2d 718; *Matter of Stearns v Office of Ct. Admin.,* 260 AD2d 900; *Matter of Lacosse v McCauley,* 229 AD2d 890; *Sutherland v Village of Suffern,* 139 AD2d 728.)

Brady McGuire & Steinberg, P.C., Hastings-on-Hudson (*James M. Steinberg* of counsel), for respondents. I. Both the trial court and Appellate Division properly applied the correct standard of review based upon the testimony proffered at the hearing and reviewed in the appellate record. (*Matter of City of New York v City Civ. Serv. Commn.,* 60 NY2d 436; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County,* 34 NY2d 222; *Matter of Canava v Keyes,* 62 AD2d 997; *Matter of Chapin v Schechter,* 23 Misc 2d 190; *Matter of Walters v Clark,* 53 AD2d 1012; *Matter of Wirzberger v Watson,* 305 NY 507.) II. The lower courts properly found that respondent-appellant failed to articulate a rationale basis why petitioners-respondents were supposedly not entitled to fill positions held by provisional oilers. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County,* 34 NY2d 222; *Matter of Gavigan v McCoy,* 37 NY2d 548; *Matter of McDermott v New York State Off. of Mental Health,* 195 AD2d 932; *Matter of Jones v Carey,* 55 AD2d 260; *Abbott v City of Poughkeepsie,* 98 Misc 2d 601; *Matter of Sullivan County Harness Racing Assn. v Glasser,* 30 NY2d 269; *Matter of Morrison v Hoberman,* 26 NY2d 150; *Matter of Hedeman v County of Dutchess,* 234 AD2d 294; *Matter of Cahill v Casey,* 180 AD2d 680; *Matter of Pesce v Reuter,* 262 AD2d 648.) III. The Appellate Division properly found that respondent-appellant waived its right to raise the statute of limitations defense. (*Szigyarto v Szigyarto,* 64 NY2d 275; *Reilley v City of New York,* 273 App Div 1014, 298 NY 710; *Faburn v Dimon,* 20 App Div 529; *Rosenthal v City of New York,* 283 AD2d 156, 97 NY2d 654; *Matter of Lubin v Board of Educ. of City of N.Y.,* 60 NY2d 974; *Matter of Martin v Ronan,* 44 NY2d 374; *Matter of Edmead v McGuire,* 67 NY2d 714; *Sutherland v Village of Suffern,* 139 AD2d 728; *Matter of Stearns v Office of Ct. Admin.,* 260 AD2d 900; *Matter of Lacosse v McCauley,* 229 AD2d 890.)

OPINION OF THE COURT

CIPARICK, J.

The sole issue before this Court is whether the New York City Department of Sanitation (DOS) acted irrationally in determining that the title "oiler" is not in the direct line of promotion to the job titles "crane operator" and "tractor operator" when it refused to allow laid-off DOS crane and tractor operators to replace provisional oilers. We conclude that DOS, through the New York City Department of Citywide Administrative Services (DCAS), acted rationally and within its authority, and we reverse the order of the Appellate Division and dismiss the petition.

James Hughes and Joseph Konczynski commenced this CPLR article 78 proceeding on behalf of themselves and similarly situated members of International Union of Operating Engineers Local 14-14B and Local 15, 15A, 15C, 15D, AFL-CIO[1] (collectively petitioners) against John J. Doherty as DOS Commissioner. Among other relief, the petition sought a recision of layoffs, back pay and reassignment to their former positions.

Petitioners were employed by DOS at the Fresh Kills landfill in Staten Island. In 1996, the State Legislature declared that Fresh Kills would be prohibited from accepting solid waste after January 1, 2002. Although the landfill effectively ceased operations in early 2001, the site was briefly reopened when it became an integral part of the post-September 11 recovery operation. However, after the recovery operation slowed down, the facility began to downsize.

The titles targeted for layoffs included crane and tractor operators. Prior to the layoffs, DCAS reviewed the proposed layoffs to determine if anyone was eligible for special transfers or whether there was another way to salvage the positions. Of the 12 crane operators at Fresh Kills, one was retained on site and the other 11 were scheduled for layoffs after it was determined that there were no other vacant or provisional crane operator titles. Of the 71 permanent tractor operators, 14 of the most senior operators were retained by DOS and six were transferred to other city agencies. The remaining 51 were also subject to layoff. On December 6, 2002, the layoffs were implemented.

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1. Local 333, United Marine Division, ILA, AFL-CIO was permitted to intervene on behalf of displaced launch operators. Its claims, however, were dismissed by order of Supreme Court and are not the subject of this appeal.

Petitioners argued that the position of oiler falls within the direct line of promotion for tractor and crane operator or, in the alternative, that the positions should be considered comparable for layoff purposes. Supreme Court rejected the alternative argument but agreed with petitioners that the position of oiler was a ''de facto'' lower grade title in direct line of promotion for both crane operator and tractor operator. The court stated, ''[t]he decision not to consider the oiler as such has no basis in reason or fact.'' Supreme Court directed that the laid-off crane and tractor operators be placed on a preferred list and that they replace individuals holding provisional oiler positions pursuant to Civil Service Law § 81. The Appellate Division affirmed, holding that the agency acted arbitrarily and capriciously in not finding a direct line of promotion from oiler to crane and tractor operators. We granted leave to appeal and now reverse.

Civil Service Law § 81 provides that after abolition of a position, the individuals who are subject to layoffs are placed on a preferred list. That list is used to fill vacancies ''first, in the same or similar position; second, in any position in a lower grade in line of promotion; and third, in any comparable position'' (Civil Service Law § 81 [1]). As no vacant or provisional tractor or crane operator positions were available, the issue was narrowed to whether there existed a lower grade in line of promotion to crane operator or tractor operator, or whether there were any comparable positions.

A review of the respective job title classifications issued by DCAS reveals that since 1974 the primary duties of an oiler have been described as ''the lubrication of power plant, pumping and/or construction equipment.'' There is a multiple choice examination for the position and the direct lines of promotion are listed as only stationary engineer and electric stationary engineer, not crane or tractor operator.

A tractor operator, on the other hand, is described as one who ''operates and does minor maintenance on refuse haulers . . . at landfills and other projects of the City of New York.'' A practical examination is required and the title states that no current direct line of promotion in either direction exists for the title. The crane operator is listed as one who ''operates, maintains and makes such minor repairs as are necessary to ensure continued operation of cranes.'' A practical examination is also required for this title and although there is no direct line of promotion to the position of crane operator, there is a promotional line leading to supervisor crane operator.

When promotional series exist—that is, certain job titles are in a line of promotion to other job titles—the higher title is open only to employees being promoted from the lower grade job, based on a required promotional examination. Otherwise, jobs are filled by a competitive examination open to everyone who fits the specified qualifications. Here it is undisputed that the job title ''oiler'' is not currently classified as a lower grade title in the line of promotion to tractor or crane operator. The positions of crane operator, tractor operator and oiler are all based on open competitive examinations. The relevant aspects of the present classification system have been in place for over 30 years. Indeed, petitioners have benefitted from the very job classification system whose propriety they now seek to challenge, inasmuch as the open competitive system has enabled those who were not then employed by the City as oilers to apply for jobs that would otherwise have been closed to them.

Nevertheless, Supreme Court found that the oiler title was a ''de facto'' lower grade title in the line of promotion to crane and tractor operator, based primarily on the prior classification of a now superseded job title. The court determined that DCAS had failed to establish that the elimination of the oiler title from the relevant line of promotion after reclassification in 1974 was rational and therefore overruled the agency's determination. That was error.

DCAS maintains both policy-making authority and functional responsibility for civil service matters in New York City (*see* NY City Charter § 813; *see also Matter of City of New York v City Civ. Serv. Commn.*, 60 NY2d 436, 442 [1983]). As an administrative agency, DCAS is afforded discretion in its actions. Accordingly, judicial review of DCAS's classification system and determinations are limited to whether there was a rational basis for the agency's conclusion (*see* CPLR 7803 [3]; *see also Matter of Sullivan County Harness Racing Assn. v Glasser*, 30 NY2d 269, 277-278 [1972]). Unless the administrative agency's determinations were arbitrary or capricious, a court should not undermine its actions (*see Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]).

We hold that DCAS acted within its discretion in finding that an oiler was not in the direct line of promotion to the position of crane operator or tractor operator. Furthermore, the fact, relied on by Supreme Court, that the 1964 classification for ''portable oiler''[2] listed crane engineman and tractor operator as promotional lines does not make DCAS's analysis irrational. It is within the agency's power to make and adjust any such classifications (*see generally* Civil Service Law § 52). Indeed, there were several rational bases on which DCAS could have decided that the oiler job should not be in the direct line of promotion to tractor or crane operator.

First, in investigating petitioners' grievances, DCAS asked an engineer to evaluate the roles of the tractor and crane operators compared to that of the oilers. The engineer found that, as a class, the duties and skills of each title do not entirely overlap and thus DCAS reasonably concluded that it would be in the City's interest not to extend a promotional line where one did not then exist. If the agency had permitted the tractor and crane operators to displace provisional oilers, petitioners would have been assigned to the oiler positions based solely on seniority, with no consideration given to their actual skills. In addition, petitioners would have taken on the new positions without the benefits and safeguards of a probationary period.

Second, by declining to place oilers in the direct line of promotion to crane or tractor operators, the City opened up the operator jobs to competitive application—not limited to current oilers—thereby expanding the pool of skilled applicants available to fill the positions to include those noncity employees who might be most skillfully able to handle the machinery. Further, even if oilers had once been in the direct line of promotion, nothing prevented DCAS from later reevaluating the situation and acting to fulfill its responsibility to provide the City with the most qualified and skilled personnel.

Third, the superseded ''portable oiler'' job title, which had been in the direct line of promotion to crane engineman and tractor operator, specified in its job description that among the typical tasks to be performed by a worker serving in this title, was that the employee ''[m]ay drive truck cranes.'' When the specifications were redrawn for the reunified oiler title in 1974, however, there was no reference to any duties, responsibilities or typical tasks that involved the operation or driving of any portable construction equipment.

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2. In 1964 the oiler title was split into two titles, portable oiler and stationary oiler. We invalidated the title change in *Matter of Morrison v Hoberman* (26 NY2d 150 [1970]). Subsequently, the titles were reclassified as one in 1974. In doing so, however, DCAS also removed the promotional line to crane engineman and tractor operator that had existed in 1964 for portable oiler.

In rejecting the rationality of DCAS's approach to establish lines of promotion, Supreme Court improperly substituted its judgment for the expertise of the agency. ''The judicial function is exhausted when there is to be found a rational basis for the conclusions approved by the administrative body'' (*Matter of Sullivan County*, 30 NY2d at 277-278 [citations omitted]). DCAS should be afforded discretion in the performance of its duties, and the classification system at issue was implemented and followed rationally. DCAS's failure to find a line of promotion from oiler to crane and tractor operators was neither arbitrary nor capricious, but well reasoned in light of the actual roles of the titles and the public policy encouraging competitive and qualified personnel.

We need not reach the issue of whether DOS properly raised a statute of limitations defense.

Accordingly the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge Kaye and Judges G.B. Smith, Rosenblatt, Graffeo, Read and R.S. Smith concur.

Order reversed, etc.

[833 NE2d 248, 800 NYS2d 105]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v THOMAS HANLEY, Appellant.

Argued June 2, 2005; decided June 29, 2005

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 30, 2003. The Appellate Division modified, on the law and the facts, a judgment of the Supreme Court, New York County (Edwin Torres, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree (three counts) and menacing in the third degree. The modification consisted of vacating defendant's conviction of robbery in the first degree under the second count of the indictment and dismissing that count, and reducing defendant's sentence on the menacing conviction. As modified, the judgment was affirmed.

People v Hanley, 2 AD3d 333, reversed.

HEADNOTE

Crimes — Witnesses — Reputation for Truth and Veracity

In a robbery prosecution, the trial court's failure to allow defendant to present testimony that key prosecution witnesses had a bad reputation in the community for truth and veracity was reversible error. The element of the display of what appeared to be a weapon was essential to proving the crime charged, and the credibility of the witnesses who testified about the weapon was critical to the jury's ultimate determination of whether the People had proved each element of the crime beyond a reasonable doubt. A party has a right to call a witness to testify that a key opposing witness, who gave substantive evidence and was not called for the purposes of impeachment, has a bad reputation in the community for truth and veracity. The trial court must allow such testimony, once a foundation has been laid, so long as it is relevant to contradict the testimony of a key witness and is limited to general reputation for truth and veracity in the community. Here, as the proposed reputation witness worked in a close setting with the complainants, defendant established a proper foundation for this evidence. Because the prosecution's case rested largely on the complainants' testimony, the failure to allow the reputation testimony was highly prejudicial as it deprived the jury of a tool to properly assess the credibility of the prosecution's two key witnesses. Defendant was further prejudiced by the prosecution's summation which consisted not only of improper bolstering but also exploited the trial court's ruling disallowing the reputation evidence. Because the reputation evidence would have been relevant and material to the issue of the reliability and credibility of the complainants' testimony, it could reasonably have altered the jury's decision.

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AM JUR 2d, Criminal Law § 1170; AM JUR 2d, Trial §§ 322, 700; AM JUR 2d, Witnesses § 861.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2733, 172:2734, 172:3405–172:3407, 172:3421.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.7.

NY JUR 2d, Criminal Law §§ 2031, 2195, 2383, 3176.

ANNOTATION REFERENCE

See ALR Index under Arguments of Counsel; Confrontation of Witnesses; Criminal Procedure Rules.

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Database: NY-ORCS

Query: reversible /2 error & right /s veracity /s testimony evidence

POINTS OF COUNSEL

Gary T. Kelder, Manlius, for appellant. I. Appellant was deprived of a fair trial by the trial court's refusal to allow a defense witness to testify that the prosecution's two key witnesses had a bad reputation in the community for truth and veracity. (*People v Bouton,* 50 NY2d 130; *People v Pavao,* 59 NY2d 282; *People v Nieves,* 67 NY2d 125; *People v LaFontaine,* 92 NY2d 470; *People v Rosario,* 298 AD2d 244; *People v Streitferdt,* 169 AD2d 171; *People v Hinksman,* 192 NY 421; *People v Carroll,* 95 NY2d 375; *People v Hudy,* 73 NY2d 40; *Carmell v Texas,* 529 US 513.) II. Appellant was deprived of a fair trial by the trial court's admission of inadmissible, unreliable, bolstering and otherwise highly prejudicial hearsay. (*People v Vasquez,* 88 NY2d 561; *People v Brown,* 80 NY2d 729; *People v Kello,* 96 NY2d 740; *People v Demand,* 268 AD2d 901; *People v Watson,* 299 AD2d 735; *Brown v Keane,* 355 F3d 82; *People v Johnson,* 1 NY3d 302; *People v Marks,* 6 NY2d 67; *People v McDaniel,* 81 NY2d 10; *People v Nieves,* 67 NY2d 125.) III. Appellant was denied his statutory and constitutional rights to a fair trial by an impartial jury by the trial court's denial of a challenge for cause of a prospective juror who gave less-than-unequivocal assurances of her ability to be impartial. (*People v Chambers,* 97 NY2d 417; *People v Johnson,* 94 NY2d 600; *People v Culhane,* 33 NY2d 90; *People v Blyden,* 55 NY2d 73; *People v Greene,* 290

AD2d 349; *People v Thorn,* 269 AD2d 756; *People v Burdo,* 256 AD2d 737; *People v Brzezicki,* 249 AD2d 917; *People v Webster,* 177 AD2d 1026; *People v Smith,* 8 AD3d 965.)

Robert M. Morgenthau, District Attorney, New York City (*Sandra E. Cavazos* and *Gina Mignola* of counsel), for respondent. I. The trial court correctly denied defendant's request to present a purported reputation witness, since defendant failed to establish an adequate foundation for such testimony. In any event, any error was harmless. (*People v Hinksman,* 192 NY 421; *People v Pavao,* 59 NY2d 282; *People v Bouton,* 50 NY2d 130; *People v Van Gaasbeck,* 189 NY 408; *People v Lopez,* 266 AD2d 239; *People v Starostin,* 265 AD2d 267; *People v Barber,* 74 NY2d 653; *People v Colantone,* 243 NY 134; *People v Carlo,* 46 AD2d 764; *People v Loris,* 131 App Div 127.) II. Defendant's evidentiary claims are largely unpreserved and entirely meritless. (*People v Boyd,* 58 NY2d 1016; *People v Lewis,* 69 NY2d 321; *People v Brensic,* 70 NY2d 9; *People v Davis,* 58 NY2d 1102; *People v Buie,* 86 NY2d 501; *People v Seit,* 86 NY2d 92; *People v McDaniel,* 81 NY2d 10; *People v Craig,* 293 AD2d 351; *People v Massie,* 2 NY3d 179; *People v Rojas,* 97 NY2d 32.) III. The court correctly denied defendant's challenge for cause lodged against a prospective juror. (*People v Chambers,* 97 NY2d 417; *People v Arnold,* 96 NY2d 358; *People v Williams,* 63 NY2d 882; *People v Feliciano,* 285 AD2d 371; *People v Lucas,* 297 AD2d 568; *People v Turner,* 6 AD3d 1190.)

OPINION OF THE COURT

CIPARICK, J.

The issue here is whether defendant had a right to present testimony that a key prosecution witness had a bad reputation in the community for truth and veracity. We conclude that the trial court's failure to allow such evidence was reversible error.

Defendant was no stranger to Wilson's Bar in Manhattan. He lived in the neighborhood and was a frequent patron. He knew the bartenders and had on numerous occasions borrowed money from them which he usually repaid. However, when he walked into the bar on October 29, 1997, according to the People, he did not show up merely for a drink but instead commenced a series of three armed robberies. On that day James McEnroe was the bartender on duty. He testified that defendant came in at 2:30 A.M., near closing time, and asked for money. After telling him that the day's receipts had already been placed in the safe, defendant insisted that McEnroe give him money. McEnroe testified that defendant placed his hand near his waistband and he saw "what I think was something black in his hand," which he believed was a gun. McEnroe then gave defendant $100 from his own pocket, and defendant left. A patron, over McEnroe's objection, called the police, though McEnroe declined to make a statement when the officers responded.

McEnroe testified that at about 9:00 P.M. on November 5, 1997, defendant again entered the bar and asked for a drink. After McEnroe denied the request, defendant lifted his shirt to show what "possibly looked like the handle of a gun" and purportedly said "give me a screwdriver or I'll blast you." McEnroe gave him the drink and defendant then placed $50 on the bar, paying for drinks for himself and other patrons.

The third incident occurred on January 20, 1998 while Brendan Sean Byrne was tending bar at Wilson's. Byrne testified that at about 3:15 P.M. defendant walked in and asked for a drink. Having heard from McEnroe about the prior incidents, Byrne testified that he told defendant he could not drink at the bar. Byrne further testified that defendant also asked for $90 which he said he did not have, at which point defendant put his hand in his pocket and pointed at Byrne. Byrne then gave defendant $45 of his own money. McEnroe showed up minutes after defendant left. Both bartenders were later interviewed by the officers who responded after a patron called the police. No complaint was filed and no mention of armed robbery appeared in the police report.

McEnroe testified that defendant again returned to the bar on January 24, 1998, complaining that the police had been called. He stated that defendant approached him with his hand at his waistband and declared "I'll do you right here in front of everybody," though McEnroe did not see a gun. Defendant was then ushered out of the bar by a group of customers and McEnroe called the police. Shortly thereafter, defendant was apprehended in the neighborhood. No gun was recovered from defendant or found in the area.

Defendant was charged with three counts of robbery in the first degree for the October 29, 1997, November 5, 1997 and January 20, 1998 incidents and one count of menacing in the third degree for the January 24, 1998 incident. During the trial, defendant attempted to call a witness, a third bartender at Wilson's, to impeach McEnroe and Byrne. The witness purportedly would have testified that both complainants had a bad reputation in the community for truth and veracity. The court refused to allow the testimony. Defendant was convicted on all counts, and sentenced to concurrent terms of 10 years imprisonment on each robbery count and one year on the menacing count.

The Appellate Division modified the judgment by vacating defendant's conviction for robbery in the first degree on the second count.* The Court also reduced the sentence for the menacing conviction to three months—the maximum sentence for that crime. Two Justices dissented solely on the ground that the failure to allow defendant to call a witness who would have testified that McEnroe and Byrne had a bad reputation in the community for truthfulness and veracity deprived the defendant of a fair trial as it excluded material and relevant evidence. A Justice of the Appellate Division granted leave to appeal and we now reverse.

Analysis

It is well settled that a party cannot call a witness to contradict an opposing witness' answers on cross-examination solely for the purpose of impeaching that person's credibility (*see People v Zabrocky*, 26 NY2d 530, 535 [1970]). However, this rule is inapplicable where a party seeks to show that a witness generally has a bad reputation in the community for truth and veracity (*see People v Hinksman*, 192 NY 421, 432 [1908]). Hence, "a party has a right to call a witness to testify that a key opposing witness, who gave substantive evidence and was not called for the purposes of impeachment, has a bad reputation in the community for truth and veracity" (*People v Pavao*, 59 NY2d 282, 290 [1983]).

The trial court must allow such testimony, once a foundation has been laid, so long as it is relevant to contradict the testimony of a key witness and is limited to general reputation for truth and veracity in the community; the weight given to such evidence should be left in the hands of the jury (*see id.*). Applying this rule ensures that the jury is afforded a full picture of the witnesses presented, allowing it to give the proper weight to the testimony of such witnesses.

Materially at issue here was the veracity of the key prosecution witnesses, McEnroe and Byrne. Both bartenders knew de-

* The Appellate Division found that the charges based on the November 5, 1997 incident could not be sustained as a matter of law and dismissed the count.

fendant as a difficult customer who often borrows money. The bartenders further admitted to drinking alcohol while working and neither could conclusively state that he saw defendant with a gun, though they both made repeated references to the existence of a gun. The presence of a concealed firearm, or display of what appears to be a firearm is essential to the charge of first degree robbery (*see* Penal Law § 160.15 [2], [4]). The defense theory was that McEnroe and Byrne fabricated the gun, or what appeared to be a gun, in an effort to keep defendant and his aggressive panhandling away from the bar. To support this theory, defendant sought to introduce evidence that both bartenders were known in the community to exaggerate and lie. The proposed witness—described as a coworker who knew both witnesses—supposedly would have testified that McEnroe and Byrne had a bad reputation in the community for truth and veracity. Defendant's request to put forth the reputation witness was denied by the trial court on the grounds that such evidence was too ''nebulous'' and could result in an endless number of reputation witnesses.

Defendant had a right to present to the jury a witness with personal knowledge of complainants' bad reputation for truthfulness and veracity in the community. The element of the display of what appeared to be a weapon was essential to proving the crime charged, and the credibility of the witnesses who testified about the weapon was critical to the jury's ultimate determination of whether the People had proved each element of the crime beyond a reasonable doubt.

We conclude, moreover, that defendant did establish a proper foundation for this evidence. Defense counsel specifically asserted that he was calling the witness to testify that McEnroe and Byrne ''have [a] bad reputation in their community for truth and veracity.'' He stated further that the witness ''knows him'' and ''worked with them'' and ''knows who they are.'' Without examining whether the witness was in fact qualified to offer such testimony, Supreme Court flatly rejected the request.

A witness' reputation among coworkers can be probative and reliable. Indeed, an individual ''might be better known in the community of his employment and in the circle of his vocational fellows, where opportunities to evidence the traits at stake may occur with greater frequency than in the environs of his dwelling place, nestled in the anonymity of a large city or suburb'' (*People v Bouton*, 50 NY2d 130, 139 [1980]). As the proposed reputation witness worked in a close setting with McEnroe and

Byrne and regularly interacted and communicated with the same group of people, he was well situated to offer such testimony.

Further, the prosecution's case rested largely on Byrne and McEnroe's testimony. The defense theory was that this was nothing more than an aggressive panhandler who had borrowed money in the past. Defendant argued that when the complainants grew tired of his antics they concocted a story that he had a gun in the hope that it would keep him away from the bar. The failure to allow the fellow bartender to testify that Byrne and McEnroe were known in the community to be dishonest was highly prejudicial to defendant as it deprived the jury of a tool to properly assess the credibility of the prosecution's two key witnesses.

Defendant was further prejudiced by the prosecution's summation which consisted not only of improper bolstering but also exploited the trial court's ruling disallowing the reputation evidence. While discussing the credibility of its witnesses, the prosecutor asked the jury ''[d]id you hear anything, or did you see anything about those witnesses that would in any way lead you to believe that those were the types of people [liars devoid of character] that Mr. McEnroe was or that Sean Byrne was?'' The jury was never provided with the basis for answering that question.

Supreme Court incorrectly analyzed the admission of the proposed testimony as purely discretionary. As we made clear in *Pavao*, a party may introduce reputation testimony as a matter of right if a proper foundation has been established. The court's discretion arises only when a party seeks to rebut that testimony. It is at that point that the judge may determine whether the admission of further testimony or the calling of additional witnesses is proper (*see Pavao*, 59 NY2d at 290). This assures that the court will not be inundated with competing witnesses that will cause undue delay in bringing a trial to conclusion.

Finally, since admission of the reputation evidence would have been relevant and material to the issue of the reliability and credibility of the complainants' testimony, it could reasonably have altered the jury's decision. As there exists a significant probability that the jury—if it found that McEnroe and Byrne's accounts about the display of a weapon were exaggerated—would have acquitted defendant of robbery in the first degree, the conviction should be reversed (*see People v Crimmins*, 36 NY2d 230, 242 [1975]). Having found reversible error on the reputation evidence question, we need not reach the remaining issues in this case.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge Kaye and Judges G.B. Smith, Rosenblatt, Graffeo, Read and R.S. Smith concur.

Order reversed, etc.

[832 NE2d 1179, 799 NYS2d 763]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v THOMAS KELLY, Appellant.

Argued June 2, 2005; decided June 29, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 19, 2004. The Appellate Division (1) affirmed a judgment of the Supreme Court, New York County (Bruce Allen, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, and (2) affirmed an order of that court which had denied defendant's motion pursuant to CPL 440.10 (1) (h) to vacate his conviction.

People v Kelly, 11 AD3d 133, affirmed.

HEADNOTE

Crimes — Jurors — Court Officer's Jury Room Demonstration Not Reversible Error

In the second degree murder prosecution of defendant for fatally stabbing his victim with a bayonet, an action defendant claimed was done in self-defense after the victim had seized the bayonet from a sheath hanging on defendant's belt, a court officer's unauthorized jury room demonstration of pulling the bayonet from the sheath at the jury's request did not amount to a "mode of proceedings" error that could be raised on appeal even though not preserved. A judge who delegates away an essential judicial function compromises the very organization of the court and the lawful mode of proceedings, and such an error is immune from the requirement of preservation. Here, however, the judge delegated nothing, but rather took hold of the proceedings and summoned the lawyers to discuss the options upon learning of the unauthorized demonstration. The court, not the court officer, had the last word, and defendant was given but declined the opportunity to object to the court officer's demonstration.

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By the Publisher's Editorial Staff

AM JUR 2d, Trial §§ 1569, 1637–1639.
CARMODY-WAIT 2d, Criminal Procedure § 172:3769.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.9.
NY JUR 2d, Criminal Law §§ 2511, 2512, 2524.

ANNOTATION REFERENCE

Communication between court officials or attendants and jurors in criminal trial as ground for mistrial or reversal—post–Parker cases. 35 ALR4th 890.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Abigail Everett* and *Robert S. Dean* of counsel), for appellant. The trial court—despite being on notice that the deliberating jurors had asked the court officer ‘‘to do something with the bayonet and sheath beyond the mere viewing of them’’—abdicated its obligation to supervise jury deliberations when it simply instructed the jurors to ‘‘disregard’’ ‘‘any demonstrations by court officers in the jury room with the evidence,’’ without responding, in the presence of defendant, to the jurors’ original request to hold the exhibit and test it for themselves. (*People v Ahmed,* 66 NY2d 307; *Cancemi v People,* 18 NY 128; *People v Mehmedi,* 69 NY2d 759; *People v Bayes,* 78 NY2d 546; *People v Bonaparte,* 78 NY2d 26; *People v Torres,* 72 NY2d 1007; *People v Khalek,* 91 NY2d 838; *Allen v United States,* 164 US 492; *Snyder v Massachusetts,* 291 US 97; *People v Harris,* 76 NY2d 810.)

Robert M. Morgenthau, District Attorney, New York City (*Eleanor J. Ostrow* and *Hilary Hassler* of counsel), for respondent. The trial court did not abdicate its obligation to supervise the trial proceedings, and defendant’s right to be present was not violated. (*People v Agramonte,* 87 NY2d 765; *People v Ahmed,* 66 NY2d 307; *People v Torres,* 72 NY2d 1007; *People v Khalek,* 91 NY2d 838; *People v Bonaparte,* 78 NY2d 26; *People v Gomez,* 273 AD2d 160; *People v Maragh,* 94 NY2d 569; *People v Cahill,* 2 NY3d 14; *People v Velasco,* 77 NY2d 469; *People v DeRosario,* 81 NY2d 801.)

OPINION OF THE COURT

ROSENBLATT, J.

While alone with the jury during deliberations, a court officer conducted an unauthorized demonstration on the weapon involved in a murder trial. Defendant argues that this amounted to a ‘‘mode of proceedings’’ error that can be raised on appeal, even though he did not preserve it. We disagree and affirm the Appellate Division order sustaining the conviction.

I.

Defendant was charged with murder in the second degree for fatally stabbing his ex-girlfriend's father with a 12-inch-long bayonet. At trial, the jury heard conflicting accounts of the killing. The People claimed the stabbing was deliberate and unprovoked. Testifying on his own behalf, defendant claimed he was acting in self-defense after the deceased had seized the bayonet from a sheath hanging on defendant's belt. Accordingly, the trial court charged the jury on justification.

At the start of jury deliberations, the parties consented to allow trial exhibits to be given to the jurors whenever they asked for them. In response to a written request on the third day of deliberations, a court officer brought the bayonet and sheath into the jury room. The jurors wanted to handle the bayonet, but the court officer refused, out of concern for their safety. While in the jury room, however, he agreed to the jury's request that he place the bayonet in his waistband (as the defendant had worn it) and draw it from its sheath. The jurors watched the court officer conduct this demonstration and asked him whether the bayonet had slid out of the sheath easily. He replied that it had. All of this took place without the court's knowledge or approval.

When the court officer told the court what had happened, the court promptly advised both sides, and an off-the-record discussion ensued. After consulting with defendant, his counsel agreed that the appropriate recourse would be for the court to instruct the jury to disregard the court officer's demonstration. The court had the jurors return to the courtroom and, in wording that satisfied defendant, instructed them that "[a]ny demonstrations by court officers in the jury room, with the evidence, must be disregarded by you and must play no part whatsoever in your deliberations." The jury continued its deliberations and ultimately found defendant guilty of intentional murder.

Following sentencing, defendant made a CPL 440.10 motion to vacate the judgment because of the court officer's jury room demonstration. After holding an evidentiary hearing, the court denied the motion. It found that, by agreeing to the curative instruction, the defense had waived any issue as to the demonstration. The court further rejected defendant's contention that a mode of proceedings error had occurred.

Defendant appealed from the judgment of conviction and the order denying CPL 440.10 relief. The Appellate Division affirmed as to both, concluding that the court officer's refusal to let the jurors experiment with the bayonet was a ministerial act and that his conduct did not amount to a usurpation of the trial court's supervision of or control over the proceedings. The court also noted that the trial judge conferred with the parties about how to deal with the court officer's impropriety and that, instead of asking for a mistrial or even protesting the jury room demonstration, defendant opted for a curative instruction and the continuation of deliberations. A Judge of this Court granted defendant leave to appeal, and we now affirm.

II.

Defendant argues that the court officer's conduct deprived him of his constitutional right to trial by jury, an integral component of which is supervision by a judge. He asserts that the court officer's unsupervised demonstration constituted an error that need not be preserved and cannot be waived (except by a defendant in writing, in the court's presence and with its approval). Further, defendant asserts that the court abdicated its supervisory responsibility when it instructed the jurors to disregard the court officer's demonstration.

Defendant relies principally on *People v Ahmed* (66 NY2d 307 [1985]). There, we held that a judge who delegated away an essential judicial function compromised the very organization of the court and the lawful mode of proceedings. The error in *Ahmed*, although unprotested, presented a question of law enabling this Court to review the claim.[1] Because the ailing trial judge directed his law secretary to answer questions posed by a deliberating jury, this Court reversed the conviction, even though Ahmed had consented to the procedure.

Ordinarily, preservation is essential to the exercise of this Court's jurisdiction, which is limited to the review of questions of law (NY Const, art VI, § 3 [a]; *see also* Karger, Powers of the New York Court of Appeals § 137, at 787 [3d ed]). Nevertheless, in a very narrow category of cases, we have recognized so-called ''mode of proceedings'' errors that go to the essential validity of the process and are so fundamental that the entire trial is ir-

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1. By contrast, the Appellate Division has jurisdiction to review any unpreserved error in the interests of justice (*see* CPL 470.15 [1] [authorizing intermediate appellate courts to ''consider and determine any question of law or issue of fact involving error or defect in the criminal court proceedings which may have adversely affected the appellant'']; *see e.g. People v Cona*, 49 NY2d 26 [1979]; *People v Robinson*, 36 NY2d 224 [1975]).

reparably tainted (*see generally People v Agramonte*, 87 NY2d 765, 770 [1996]). Errors within this tightly circumscribed class are immune from the requirement of preservation. Outside the context described by these cases, however, we have repeatedly held that a court's failure to adhere to a statutorily or constitutionally grounded procedural protection does not relieve the defendant of the obligation to protest.[2]

In contrast to *Ahmed*, there was no mode of proceedings error in the case before us. Here, the judge delegated nothing. The very opposite took place. The court officer's demonstration to the jury was unauthorized, and when learning of it, the court took hold of the proceedings and summoned the lawyers to discuss the options.

The People argue, correctly, that the case before us is far closer to *People v Bonaparte* (78 NY2d 26 [1991]) than it is to *Ahmed*. In *Bonaparte*, a court officer, directed by the trial court, told a deliberating jury that it would be sequestered and should stop deliberating. The court, however, failed to instruct the jurors not to deliberate while sequestered. We affirmed the conviction, concluding that the court officer's communication was ministerial and that the court's failure, unprotested, did not present an issue of law for the Court's review. The case before us argues even more strongly for affirmance. In *Bonaparte*, the court officer was acting based on authority given him by the court. Here, he was not.

The Appellate Division correctly rejected defendant's assertion that the court officer ''usurped'' the court's authority. *People v Khalek* (91 NY2d 838 [1997]), on which defendant relies, does not support his position. In *Khalek*, a court officer usurped the court's authority by telling the jury that it would have to be sequestered overnight even though it had reached a verdict. Because of the court officer's improper instruction, the

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2. *See e.g. Pierson v People*, 79 NY 424 (1880) (involving a formal irregularity in drawing jurors); *People v Gray*, 86 NY2d 10 (1995) (allegation that prosecution failed to prove each element of the crime charged); *People v Webb*, 78 NY2d 335 (1991) (failure to sequester the jury); *People v Irizarry*, 83 NY2d 557 (1994) (dual juries, with failure to seal first jury's verdict until second verdict was returned); *People v Buford*, 69 NY2d 290 (1987) (excusal of sworn juror as ''grossly unqualified''); *People v Cosmo*, 205 NY 91 (1912) (juror lacked property qualifications required by statute); *People v Hernandez*, 94 NY2d 552 (2000) (trial judge's absence during readback proceedings did not impair the judge's performance of a nondelegable judicial function); *see generally People v Thomas*, 50 NY2d 467 (1980) (noting that, in many instances, constitutional rights are waived if not preserved).

jury did not report its verdict (evidently a complete acquittal) and resumed deliberations the following morning, ultimately convicting defendant of one of the charges. Here, by way of contrast, the court officer did not have the last word; the court did, after it continued to exercise full and proper control of the trial. By airing the problem, the trial court gave defendant an opportunity to object to the court officer's demonstration. The record is devoid of an objection; instead, defendant obviously wanted the case to go to verdict, and was satisfied with a curative instruction. In all, the impropriety was protestable but unprotested, curable and cured.

We find defendant's other contentions without merit. Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[833 NE2d 239, 800 NYS2d 96]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KENNETH J. PAULMAN, Appellant.

Argued June 2, 2005; decided June 29, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 1, 2004. The Appellate Division affirmed a judgment of the Ontario County Court (Craig J. Doran, J.), which had convicted defendant, upon a jury verdict, of sodomy in the first degree, sexual abuse in the first degree (two counts), sodomy in the second degree, rape in the second degree (two counts), sexual abuse in the second degree (two counts), forcible touching and endangering the welfare of a child (four counts).

People v Paulman, 11 AD3d 878, affirmed.

HEADNOTES

Appeal — Court of Appeals

1. In a criminal prosecution, the issue of whether a suspect has been subjected to custodial interrogation presents a mixed question of law and fact over which the Court of Appeals has limited powers of review. The determination of the Appellate Division must be affirmed unless there is no record basis for the conclusion it reached.

Crimes — Confession — Custodial Interrogation

2. Defendant was subjected to custodial interrogation when, after bringing him to the barracks, the investigating trooper produced a notepad and told defendant to write down his ‘‘best recollection’’ of what had occurred. These circumstances supported the inference that defendant's resulting handwritten statement was not spontaneous but was induced by the trooper, who should have known that her actions were likely to elicit an incriminating response. Accordingly, defendant's handwritten statement was properly suppressed because it was elicited without *Miranda* warnings.

Crimes — Confession — Custodial Interrogation

3. Despite the error in obtaining an unwarned, handwritten statement from defendant prior to his interrogation by a state police investigator, defendant's subsequent Mirandized statements were admissible under state and federal constitutional standards because there was a sufficiently definite, pronounced break in the interrogation that dissipated the taint from the *Miranda* violation. There was a change in police personnel involved in the successive interrogations, which took place in different locations, and there were significant differences in the methods of eliciting information. Once the investigator commenced his interrogation, a reasonable suspect in defendant's position would have perceived a marked change in the tenor of his engagement with police. Moreover, from the inception of his encounter with the police, defendant

exhibited a willingness to provide an explanation of his conduct. Defendant's decision to provide information did not flow as part of a ''single continuous chain of events'' from the trooper's failure to give *Miranda* warnings prior to eliciting the handwritten statement at the barracks.

Crimes — Harmless and Prejudicial Error

4. The error in admitting into evidence the unwarned, handwritten statement obtained by the investigating trooper from defendant prior to his interrogation by a state police investigator was harmless. The handwritten statement was cumulative of concededly admissible oral admissions defendant made earlier to the investigating trooper. Moreover, based on the trial testimony of three of defendant's victims, and defendant's detailed admissions in the oral admissions and two statements given after *Miranda* warnings, the proof of guilt was overwhelming. There was no reasonable possibility that the admission of the unwarned statement affected the verdict.

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AM JUR 2d, Appellate Review §§ 232, 711–717, 719, 752, 753; AM JUR 2d, Criminal Law §§ 986, 988; AM JUR 2d, Evidence §§ 719, 723, 730, 749.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:560, 172:561, 172:565, 172:566, 172:568, 172:613, 172:3292, 172:3300, 172:4438, 172:4490, 172:4493.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.6, 9.3–9.5.

NY JUR 2d, Criminal Law §§ 562–567, 3176, 3180, 3286, 3291, 3292.

ANNOTATION REFERENCE

What constitutes ''custodial interrogation'' within rule of Miranda v. Arizona, requiring that suspect be informed of his federal constitutional rights before custodial interrogation. 31 ALR3d 565.

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POINTS OF COUNSEL

John E. Tyo, Shortsville, for appellant. I. The actions of Trooper Oliver in directing defendant to write a statement were intended or likely to elicit an incriminating response; it was ''interrogation'' requiring the *Miranda* warnings. The statement should be suppressed and Mr. Paulman's conviction reversed. (*People v Yukl,* 25 NY2d 585; *Rhode Island v Innis,* 446

US 291; *People v Lanahan,* 55 NY2d 711; *People v Ferro,* 63 NY2d 316; *People v Velasquez,* 68 NY2d 533; *People v Kollar,* 305 AD2d 295; *People v Stoesser,* 53 NY2d 648; *Miranda v Arizona,* 384 US 436; *People v Maerling,* 46 NY2d 289; *People v Tanner,* 30 NY2d 102.) II. The error in allowing the handwritten statement into evidence was not harmless. (*Chapman v California,* 386 US 18; *Fahy v Connecticut,* 375 US 85; *People v Crimmins,* 36 NY2d 230.) III. The statements given to Investigator Baldwin should have been suppressed, because although they were made after the *Miranda* warnings, the questioning was too close in sequence to the prior un-Mirandized statement given to Trooper Oliver and there was no attenuation between the two. (*People v Gomez,* 192 AD2d 549; *Miranda v Arizona,* 384 US 436; *People v Bethea,* 67 NY2d 364; *People v Chapple,* 38 NY2d 112; *People v Tanner,* 30 NY2d 102; *People v Bolus,* 185 AD2d 1007; *People v Jones,* 87 AD2d 761.) IV. The error allowing into evidence the statements made to Investigator Baldwin was not harmless. (*People v Hamlin,* 71 NY2d 750; *People v Almestica,* 42 NY2d 222; *Fahy v Connecticut,* 375 US 85; *Chapman v California,* 386 US 18; *People v Crimmins,* 36 NY2d 230; *People v Mees,* 47 NY2d 997.)

R. Michael Tantillo, District Attorney, Canandaigua (*James B. Ritts* of counsel), for respondent. I. The trial court properly determined that the statement given by defendant was not the product of interrogation or its functional equivalent. (*People v Yukl,* 25 NY2d 585; *People v Bryant,* 59 NY2d 786; *People v Lynes,* 49 NY2d 286; *Rhode Island v Innis,* 446 US 291; *People v Ferro,* 63 NY2d 316; *People v Lanahan,* 55 NY2d 711; *People v Prochilo,* 41 NY2d 759; *People v Rivers,* 56 NY2d 476.) II. Assuming arguendo, the trial court erred in denying the suppression of defendant's unwarned handwritten statement, the subsequent statements to Investigator Baldwin after *Miranda* warnings were properly admitted. (*People v Gomez,* 192 AD2d 549, 82 NY2d 806; *People v Kaufman,* 288 AD2d 895, 97 NY2d 684; *Oregon v Elstad,* 470 US 298; *People v Chapple,* 38 NY2d 112; *People v Gary,* 31 NY2d 68; *People v Nisbett,* 225 AD2d 801, 88 NY2d 939; *People v Samuels,* 11 AD3d 372; *People v Smith,* 275 AD2d 951, 96 NY2d 739.) III. Assuming, arguendo, the trial court erred in admitting any or all of defendant's final three statements, any such error was harmless. (*People v Crimmins,* 36 NY2d 230; *People v Schaeffer,* 56 NY2d 448; *People v Harris,* 57 NY2d 335; *People v Eastman,* 85 NY2d 265; *People v Hamlin,* 71 NY2d 750.)

OPINION OF THE COURT

GRAFFEO, J.

During a child sexual abuse investigation, defendant made four incriminating statements to the police in successive interrogations spanning a period of several hours. The Appellate Division ruled that one of the statements was inadmissible because it had not been preceded by *Miranda* warnings. The primary issue presented in this case is whether two statements defendant made after he was given *Miranda* warnings and waived his right to remain silent should have been suppressed due to the prior, unwarned statement. Under the circumstances of this case, we conclude the subsequent statements were properly received in evidence.

In the spring of 2002, defendant Kenneth Paulman resided with his girlfriend in an apartment complex in Canandaigua, New York. The People offered evidence at the suppression hearing that, just after midnight on May 4, 2002, the police were contacted by the mother of Ashlyn, a four-year-old girl, who stated that she had information relating to a child sexual abuse investigation. That same night, defendant had called the police and reported that he had been threatened by members of Ashlyn's family. After speaking to Ashlyn's mother, New York State Trooper Jean Oliver and her partner went to defendant's apartment. Defendant answered the door and invited Trooper Oliver inside. Trooper Oliver told defendant that she was there to investigate some allegations of sexual abuse. Defendant spoke freely about the allegations, telling her that his girlfriend frequently babysat Ashlyn and Tiffany, an eight-year-old girl who also lived in the complex. He described an incident when he tickled the naked girls, who had just stepped out of their bath. During this incident, he claimed that he had accidentally slipped a finger into Ashlyn's vagina. Defendant also detailed other occasions when he and Ashlyn had been in bed and he had rubbed Ashlyn against his penis. When he was advised that Ashlyn had some redness near her vagina, defendant explained that this could have been from his finger or belt buckle. During this conversation, defendant took Trooper Oliver around the apartment and showed her the locations where the various incidents had occurred. Toward the end of their discussion, defendant mentioned the name of another girl from the complex, remarking that "[t]he only mistake I made was with Autumn." When asked what he meant, defendant admitted that he had engaged in sexual intercourse with Autumn, who defendant believed to be 12 years old (the police later established that Autumn was 13 years old).

Trooper Oliver next asked defendant to accompany her to the barracks to speak to an investigator. Defendant agreed and rode with the troopers in their patrol car. Upon arrival at the barracks, defendant was seated in the patrol room, an area with two open doors. Defendant was told that another State Police officer—Investigator Christopher Baldwin—would arrive shortly. In the meantime, Trooper Oliver gave defendant a notepad and said: ''Why don't you just start taking some notes then as to, you know, your best recollection as to what has happened.'' Defendant composed a statement in which he repeated the admissions previously made concerning his physical contact with Ashlyn and Tiffany. As he was working on the statement, defendant told Trooper Oliver that he was hungry, and she brought him pizza and soda.

When Investigator Baldwin arrived at the barracks at about 3:00 A.M., he saw that defendant was in the patrol room writing on a notepad. Defendant finished the handwritten statement at about 3:30 A.M. He remained in the patrol room consuming his meal until approximately 4:00 A.M., at which time the investigator took defendant to his office at the back of the barracks. Investigator Baldwin read defendant his *Miranda* rights and defendant acknowledged that he understood them but wished to give a statement. The investigator then began questioning defendant concerning his contact with Ashlyn, Tiffany and Autumn. Defendant made a series of oral admissions, repeating what he had told Trooper Oliver and adding further details pertaining to the incidents. After defendant was again given *Miranda* warnings at 5:40 A.M., he signed a *Miranda* waiver and Investigator Baldwin began typing a written statement, recording defendant's answers to specific questions. Defendant initialed each page and signed the typewritten, question-and-answer statement, which was completed at 7:40 A.M. In this statement, in addition to the sexual contact he had earlier described, defendant admitted having engaged in oral sex with Ashlyn and Autumn and acknowledged incidents involving his girlfriend's two-year-old son and another 12-year-old girl in the complex. At the conclusion of the interrogation, defendant was formally placed under arrest.

Defendant was charged in a 22-count indictment with sexual misconduct involving five children who resided in the complex.[1] Prior to trial, he moved to suppress all four of the statements made to the police: the oral statements to Trooper Oliver made in his apartment; the handwritten statement he wrote in the patrol room; the oral statements to Investigator Baldwin elicited in Baldwin's office; and the typewritten statement that followed. Defense counsel argued that the first two statements should be suppressed because they were not preceded by *Miranda* warnings. Although the last two statements were obtained after *Miranda* warnings, defendant claimed they were also inadmissible because they were tainted by the prior, unwarned custodial interrogation.

The suppression court concluded that all of the statements were admissible at trial. With respect to the initial admissions made at defendant's apartment, the court held that *Miranda* warnings were not necessary because defendant was not in police custody. The court found that defendant was in custody when he made the handwritten statement in the patrol room but that the statement was admissible because defendant was not subjected to interrogation. Having rejected defendant's argument that the first two statements were improperly elicited in violation of the *Miranda* rule, the court also rejected defendant's claim that the third and fourth statements—concededly made after defendant was advised of his *Miranda* rights—should be suppressed.

At trial, all four of defendant's statements were received in evidence. In addition, three of the child victims testified against defendant. The four-year-old victim did not testify, but defendant's abuse of that child was described by another victim. At the close of proof, defendant was convicted of 13 counts of the 22-count indictment.[2] A determinate sentence of 17 years was imposed for the most serious charge of sodomy in the first

1. Defendant was charged with four counts of sexual abuse in the first degree; three counts of sexual abuse in the second degree; five counts of endangering the welfare of a child; one count of sodomy in the first degree; one count of sodomy in the second degree; two counts of rape in the first degree; two counts of rape in the second degree; three counts of forcible touching; and one count of course of sexual conduct against a child in the first degree.

2. Defendant was convicted of one count of sodomy in the first degree, two counts of sexual abuse in the first degree, and one count of endangering the welfare of a child relating to incidents involving Ashlyn; two counts of rape in the second degree, two counts of sexual abuse in the second degree, one count

(n. cont'd)

degree, a consecutive sentence of 2 to 6 years was imposed for one count of rape in the second degree and lesser concurrent sentences were ordered for the other offenses.

On appeal, the Appellate Division affirmed the conviction. The Court disagreed with the suppression court's analysis with respect to the handwritten statement, finding that it should have been suppressed because Trooper Oliver's suggestion that defendant write down his thoughts was the functional equivalent of interrogation, thereby requiring *Miranda* warnings. Despite this error, the Court concluded that reversal was not warranted because the first, third and fourth statements were properly received in evidence and the improper admission of the second statement amounted to harmless error. Although our analysis differs in some respects from that of the Appellate Division, we also affirm.

In this Court, defendant has abandoned his argument that the first statement—the oral admissions he made to Trooper Oliver in his apartment—should have been suppressed. Conceding that these initial comments were admissible at trial, defendant now contends that the remaining three statements should have been suppressed because the police error in failing to give *Miranda* warnings prior to eliciting the second, handwritten statement tainted each of the subsequent statements, even though they were preceded by *Miranda* warnings.

The People continue to argue that defendant was not subjected to custodial interrogation when he made the handwritten statement and, as such, there was no *Miranda* violation. In the alternative, the People submit that even if the handwritten statement was inadmissible as the Appellate Division determined, the subsequent Mirandized statements were nonetheless admissible because they were not part of an unbroken, continuous chain of events flowing from the prior, unwarned statement. Since the admissions in the handwritten statement were the same as those in the other statements, the People maintain that its receipt into evidence at trial was harmless error.

I.

[1] Because the People assert that the Appellate Division erred in concluding that the handwritten statement should have

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of sodomy in the second degree, one count of forcible touching and one count of endangering the welfare of a child for incidents involving Autumn; one count of endangering the welfare of a child for an incident involving a 12 year old; and one count of endangering the welfare of a child for an incident involving Tiffany.

been suppressed, our first task is to address the custodial interrogation issue. Whether a suspect has been subjected to custodial interrogation presents a mixed question of law and fact over which this Court has limited powers of review (*People v Cruz*, 90 NY2d 961 [1997]; *People v Harrison*, 82 NY2d 693 [1993]; *People v Harrison*, 57 NY2d 470, 477 [1982]). The determination of the Appellate Division must be affirmed unless there is no record basis for the conclusion it reached.

The *Miranda* rule protects the privilege against self-incrimination and, "because the privilege applies only when an accused is 'compelled' to testify, the safeguards required by *Miranda* are not triggered unless a suspect is subject to 'custodial interrogation' " (*People v Berg*, 92 NY2d 701, 704 [1999]). The standard for assessing a suspect's custodial status is whether a reasonable person innocent of any wrongdoing would have believed that he or she was not free to leave (*see People v Harris*, 48 NY2d 208, 215 [1979]; *People v Yukl*, 25 NY2d 585, 589 [1969], *cert denied* 400 US 851 [1970]). "The term 'interrogation' under *Miranda* refers not only to express questioning, but also to any words or actions on the part of the police (other than those normally attendant to arrest and custody) that the police should know are reasonably likely to elicit an incriminating response" (*People v Ferro*, 63 NY2d 316, 322 [1984], *cert denied* 472 US 1007 [1985], quoting *Rhode Island v Innis*, 446 US 291, 301 [1980]).

[2] Based on this record, we cannot say that the Appellate Division erred in ruling that defendant was subjected to custodial interrogation when, after bringing defendant to the barracks, Trooper Oliver produced a notepad (which defendant had not requested) and told defendant to write down his "best recollection" of what had occurred. These circumstances support the inference that the handwritten statement was not spontaneous but was induced by Trooper Oliver, who should have known that her actions were likely to elicit an incriminating response. That being so, there is no basis to disturb the Appellate Division's conclusion that the handwritten statement should have been suppressed because it was elicited without *Miranda* warnings.

II.

Having upheld the determination that an improper, unwarned statement was obtained prior to Investigator Baldwin's interrogation, we turn to whether this error rendered the subsequent statements inadmissible. Although the *Miranda* rule was developed by the United States Supreme Court under the Fifth Amendment, New York courts have embraced the rule as consistent with article I, § 6 of the New York Constitution, which ensures that "[n]o person shall . . . be compelled in any criminal case to be a witness against himself or herself." In cases involving successive interrogations where a Mirandized statement was preceded by an improper, unwarned admission, our Court has recognized that the State Constitution may provide rights broader than those guaranteed under the Fifth Amendment (*People v Bethea*, 67 NY2d 364, 368 [1986]).

In *Oregon v Elstad* (470 US 298 [1985]), the Supreme Court suggested that, once *Miranda* warnings were given, the "taint" of a prior, unwarned statement was dissipated, rendering the subsequent statement admissible at trial. The Court reasoned:

> "[A] careful and thorough administration of *Miranda* warnings serves to cure the condition that rendered the unwarned statement inadmissible. The warning conveys the relevant information and thereafter the suspect's choice whether to exercise his privilege to remain silent should ordinarily be viewed as an 'act of free will' " (*id.* at 310-311).

Concerned that *Elstad* could be interpreted as holding that the mere fact that warnings were uttered would be sufficient to justify the admission of subsequent statements, this Court held in *People v Bethea* (67 NY2d 364 [1986]) that more was required under article I, § 6 of the New York Constitution. Adhering to the rule articulated in *People v Chapple* (38 NY2d 112, 114 [1975]), we clarified that where an improper, unwarned statement gives rise to a subsequent Mirandized statement as part of a "single continuous chain of events," there is inadequate assurance that the *Miranda* warnings were effective in protecting a defendant's rights, and the warned statement must also be suppressed.

To determine whether there is a "single continuous chain of events" under *Chapple*, New York courts have considered a number of factors, including the time differential between the *Miranda* violation and the subsequent admission; whether the same police personnel were present and involved in eliciting each statement; whether there was a change in the location or nature of the interrogation; the circumstances surrounding the *Miranda* violation, such as the extent of the improper questioning; and whether, prior to the *Miranda* violation, defendant had indicated a willingness to speak to police.[3] No one factor is determinative and each case must be viewed on its unique facts. The purpose of the inquiry is to assess where there was a sufficiently ‘‘definite, pronounced break in the interrogation’’ to dissipate the taint from the *Miranda* violation (*Chapple*, 38 NY2d at 115). If so, the Mirandized statement is admissible at trial despite the prior, unwarned statement.[4]

[3] Applying the *Chapple* analysis, in this case there was a change in police personnel involved in the successive interrogations, which took place in different locations, and there were significant differences in the methods of eliciting information. Although prompted by Trooper Oliver, the handwritten statement was crafted by defendant without further involvement by the authorities. After defendant consumed a meal for about a half hour, Investigator Baldwin took him to his office, gave him *Miranda* warnings, and engaged in traditional, intensive interrogation, recording defendant's admissions in a structured question-and-answer format. Under these circumstances, once Investigator Baldwin commenced his interrogation, a reasonable suspect in defendant's position would have perceived a marked change in the tenor of his engagement with police.

It is also significant that, from the moment defendant encountered the police (who were, in part, responding to his telephone call for assistance), defendant exhibited a willingness to provide an explanation of his conduct and, once at the police barracks, he never expressed any reluctance to discuss the allegations. Moreover, the *Miranda* violation occurred *after* defendant had freely chosen to answer police questions in a noncustodial setting. Regardless of whatever motivated defendant to speak to police at his apartment and, later, to make the Miran-

3. *See e.g., People v Samuels* (11 AD3d 372 [1st Dept 2004], *lv denied* 4 NY3d 802 [2005]); *People v Cowell* (11 AD3d 292 [1st Dept 2004], *lv denied* 4 NY3d 743 [2004]); *People v Kollar* (305 AD2d 295 [1st Dept 2003], *appeal dismissed* 1 NY3d 591 [2004]); *People v Smith* (275 AD2d 951 [4th Dept 2000], *lv denied* 96 NY2d 739 [2001]); *People v Nisbett* (225 AD2d 801 [2d Dept 1996], *lv denied* 88 NY2d 939 [1996]); *People v Gomez* (192 AD2d 549 [2d Dept 1993], *lv denied* 82 NY2d 806 [1993]); *People v Bolus* (185 AD2d 1007 [3d Dept 1992], *lv denied* 81 NY2d 785 [1993]).

4. In support of their respective arguments, the parties have cited rules developed in search and seizure cases (e.g., the attenuation doctrine) as well as New York right-to-counsel cases. We caution that the *Chapple* rule is tailored to safeguard the right against self-incrimination—it is not to be confused with the approaches taken in other contexts where different constitutional principles are at stake.

dized statements, his decision to provide information did not flow as part of a ‘‘single continuous chain of events’’ from Trooper Oliver’s failure to give *Miranda* warnings prior to eliciting the handwritten statement at the barracks.

Defendant contends that our decision in *Bethea* mandates suppression in this case. In *Bethea*, after learning about an attempted burglary by two men whose appearance matched that of defendant and his companion, the police stopped them on the street in the vicinity of the crime and questioned them about the contents of a bag they were carrying. Upon discovering that the bag contained a revolver, the police arrested defendant. While transporting him to the police station, one of the officers asked defendant where he had obtained the gun, eliciting an incriminating response. At the precinct, the same officer gave defendant *Miranda* warnings, and then resumed the interrogation, at which point defendant repeated what he had said in the vehicle. This Court concluded that the Mirandized statement should have been suppressed because it was elicited as part of a single continuous chain of events flowing from the improper, unwarned custodial interrogation in the police car.

In contrast to this case, in *Bethea* the defendant was arrested, placed in the police vehicle and interrogated while being transported to the police station—the initial incriminating statements were clearly obtained in violation of *Miranda* requirements. Here, defendant initiated the arrival of police at his home and made incriminating statements while showing Trooper Oliver around his apartment. His first admissions were therefore not the product of police misconduct. Furthermore, in *Bethea*, there was no significant break in time between the inquiry in the car and the interrogation at the police station, nor was there any change in the nature or tenor of the questioning, while here there was a cessation of interrogation while defendant ate and significant differences in the tenor and method of inquiry. In *Bethea*, the Mirandized statement was elicited by the same police officer who had accosted defendant on the street, arrested him, and obtained the unwarned statement. Therefore, a reasonable suspect in defendant’s position would not have perceived a distinction between the interrogation in the car and the interrogation at the station. Moreover, the defendant had not previously expressed a desire to talk to the police. The same is not true here, where there was a change in police personnel and a defendant who, from the inception of his encounter with police, expressed a willingness to give a statement.

Defendant's reliance on the Supreme Court's recent decision in *Missouri v Seibert* (542 US 600 [2004]) is similarly misplaced. In *Seibert*, the Court assessed the constitutional propriety of a police protocol—the ''question first'' technique—whereby the authorities conducting custodial interrogation would intentionally withhold *Miranda* warnings until they extracted an incriminating statement from the suspect. There, defendant—later convicted of murder for the arson-related death of a teenage charge—was arrested and brought to the police station where she was questioned without *Miranda* warnings until she admitted that she knew the victim was to die in the fire. At the suppression hearing, the interrogating officer testified that, although defendant had been formally arrested, he intentionally withheld *Miranda* warnings, employing the ''question first'' protocol. After defendant made the incriminating statements, he administered *Miranda* warnings, obtained a waiver of rights, and resumed the interrogation, convincing defendant to repeat the prior statements.

A majority of the Court found that the ''question first'' practice was an impermissible end run around the *Miranda* rule, necessitating suppression of the Mirandized statement unless the People could show, notwithstanding the police misconduct, that the *Miranda* warnings were effective. Employing a multifactored test,[5] the *Seibert* plurality concluded that the Mirandized statement was inadmissible because ''[t]he un-

5. The plurality's multifactored test considers ''the completeness and detail of the questions and answers in the first round of interrogation, the overlapping content of the two statements, the timing and setting of the first and the second, the continuity of police personnel, and the degree to which the interrogator's questions treated the second round as continuous with the first'' (*Seibert*, 542 US at 615). In his concurring opinion, Justice Kennedy—who cast the fifth vote—did not endorse the multifactored test, holding that he would adhere to the *Elstad* analysis, except when the police deliberately employ the ''question first'' protocol. In that instance, under Justice Kennedy's rationale the admissibility of the subsequent statement turns on a ''narrower test,'' which focuses on whether there was ''a substantial break in time and circumstances between the prewarning statement and the *Miranda* warning'' or ''[c]urative measures . . . designed to ensure that a reasonable person in the suspect's situation would understand the import and effect of the *Miranda* warning and of the *Miranda* waiver'' (542 US at 622 [Kennedy, J., concurring]). Because the statements in this case are admissible under the plurality's more stringent test, they are necessarily admissible under Justice Kennedy's analysis. Since Justice Kennedy's narrower test is triggered only when the police have intentionally employed a ''question first'' practice—which did not occur here—we need not address it further.

warned interrogation was conducted in the station house, . . . the questioning was systematic, exhaustive, and managed with psychological skill'' and ''[t]he warned phase of questioning proceeded after a pause of only 15 to 20 minutes, in the same place as the unwarned segment'' (542 US at 616). The plurality reasoned that, under these circumstances, ''[i]t would have been reasonable to regard the two sessions as parts of a continuum'' (542 US at 616-617).[6] The police error in this case was not comparable to the ''question first'' protocol condemned in *Seibert*, nor was the unwarned statement elicited through a process of systematic, exhaustive or psychologically coercive questioning. And given the break in questioning, change in location and police personnel, and distinctions in the nature of the interrogation, the ''continuum'' present in *Seibert* was absent here.

For all of these reasons, we conclude as a matter of law that the Mirandized statements in this case were admissible under state and federal constitutional standards.

III.

[4] Although the two statements given after *Miranda* warnings were properly introduced at trial, the fact remains that the earlier, unwarned statement, also introduced by the People at trial, should have been suppressed. Defendant argues that reversal of his conviction is warranted because the admission of this statement was not harmless error. The Appellate Division rejected this argument, as do we.

The handwritten statement was cumulative of the oral admissions defendant made earlier at his apartment to Trooper Oliver. Moreover, based on the trial testimony of three of the victims, and defendant's detailed admissions in the first, third and fourth statements, the proof of guilt was overwhelming. There is no reasonable possibility that the admission of the unwarned statement affected the verdict.

Accordingly, the order of the Appellate Division should be affirmed.

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6. There are similarities between the *Seibert* plurality's ''continuum'' analysis and the ''single continuous chain of events'' test long employed by this Court in successive interrogation cases. We emphasize, however, that our rule does not depend on the presence of intentional police misconduct, but is applied whenever a Mirandized statement follows an unwarned statement.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed.

[833 NE2d 255, 800 NYS2d 112]

In the Matter of Donald Harner, Respondent, v County of Tioga, Appellant.

Argued June 8, 2005; decided June 30, 2005

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 21, 2004. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Tioga County (Phillip R. Rumsey, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition to set aside a tax foreclosure sale of real property, and (2) granted the petition.

Matter of Harner v County of Tioga, 11 AD3d 792, reversed.

HEADNOTE

Taxation — Tax Liens, Tax Sales and Tax Titles — Notice of Foreclosure Proceeding — Due Process

Respondent County provided a property owner constitutionally adequate notice of a foreclosure proceeding upon a tax delinquency notwithstanding that the County used a mailing address that allegedly had improperly been changed without the owner's knowledge. The notices of foreclosure sent to the owner's address appearing in the tax rolls by certified mail pursuant to RPTL 1125 (1) (a) were returned "unclaimed," but the ordinary mailings to that address were not, and the County took no steps to obtain an alternative address. Petitioner was listed as record owner of the property on the relevant tax rolls for eight years preceding the foreclosure action without any question ever having been raised about the accuracy of his mailing address. As record owner, petitioner bore the responsibility of updating his address to protect his ownership interests. His failure to fulfill this duty did not render the County's procedures constitutionally infirm.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, State and Local Taxation §§ 825, 826, 837.

Carmody-Wait 2d, Foreclosure of Tax Lien on Real Property §§ 99:51, 99:55.

McKinney's, RPTL 1125 (1) (a).

NY Jur 2d, Taxation and Assessment § 694.

New York Real Property Service §§ 63:6, 63:21.

ANNOTATION REFERENCE

See ALR Index under Tax Sales.

FIND SIMILAR CASES ON WESTLAW®
Database: NY-ORCS
Query: notice /4 foreclosure /s tax /3 delinquen! & mail

POINTS OF COUNSEL

Levene Gouldin & Thompson, LLP, Binghamton (*Jason M. Carlton* of counsel), for appellant. I. The Appellate Division's decision below misapplied the prior holdings of this Court and improperly analyzed the question of whether the Due Process Clause in the New York and United States Constitutions had been satisfied. (*Mullane v Central Hanover Bank & Trust Co.,* 339 US 306; *Dusenbery v United States,* 534 US 161; *Kennedy v Mossafa,* 100 NY2d 1; *Matter of Zaccaro v Cahill,* 100 NY2d 884.) II. When the proper balancing test is conducted in the instant case, the County of Tioga's actions were reasonable and due process certainly was achieved. (*Kennedy v Mossafa,* 100 NY2d 1.) III. The Appellate Division's holding as to what constitutes a reasonable search of the public record places an unreasonable burden upon county governments and in most cases such requirements will not yield the location of a correct address for the property owner. (*Kennedy v Mossafa,* 100 NY2d 1; *Mullane v Central Hanover Bank & Trust Co.,* 339 US 306.) IV. The Appellate Division's determination that there is no difference for purposes of due process between mail which is returned to a county as ''undeliverable'' and mail which is returned to the county and marked ''unclaimed'' is patently incorrect for the reason that it ignores the important difference between these two labels; moreover, the Appellate Division's holding that there is no difference for purposes of due process calls into question the constitutionality of another important state statute. (*Kennedy v Mossafa,* 100 NY2d 1; *Cummins-Allison Corp. v Bargarnik,* 146 Misc 2d 1042; *Cohen v Banks,* 160 Misc 2d 159; *Matter of Ageloff,* 274 AD2d 179.)

Holmberg, Galbraith, Van Houten & Miller, Ithaca (*Dirk A. Galbraith* of counsel), for respondent. I. Respondent failed to provide petitioner with notice of the tax foreclosure proceeding as required by Real Property Tax Law § 1125. (*Kennedy v Mossafa,* 100 NY2d 1; *Akey v Clinton County, N.Y.,* 375 F3d 231; *Mullane v Central Hanover Bank & Trust Co.,* 339 US 306; *Matter of Zaccaro v Cahill,* 100 NY2d 884.) II. A reasonable search of the public record would have revealed petitioner's address. (*Kennedy v Mossafa,* 100 NY2d 1; *Matter of City of Newburgh [Chase Mtge. Co.—W.],* 291 AD2d 405; *Sendel v Diskin,* 277 AD2d 757; *Akey v Clinton County, N.Y.,* 375 F3d 231.) III. Respondent is obligated to conduct a search of the public record for petitioner's correct address when the notice of foreclosure is returned as ''unclaimed.'' (*Kennedy v Mossafa,* 100 NY2d 1; *Prisco v County of Greene,* 289 AD2d 681.) IV. The failure of petitioner to investigate the status of his tax bills is no defense to this proceeding. (*Matter of Zaccaro v Cahill,* 100 NY2d 884; *Kennedy v Mossafa,* 100 NY2d 1; *Mennonite Bd. of Missions v Adams,* 462 US 791; *Seine Bay Realty v Jones,* 112 AD2d 573; *Prisco v County of Greene,* 289 AD2d 681.)

OPINION OF THE COURT

CIPARICK, J.

Once again we consider whether a county provided a property owner constitutionally adequate notice of a foreclosure proceeding upon a tax delinquency. Applying the test set forth in *Kennedy v Mossafa* (100 NY2d 1 [2003]), we conclude that due process was satisfied in this case where the notices of foreclosure sent by certified mail pursuant to RPTL 1125 (1) (a)[1] were returned ''unclaimed,'' but the ordinary mailings were not, and the County took no steps to obtain an alternative address.

In 1982, petitioner Donald Harner purchased the property at issue, a single family residence located at 34 West Tioga Street, Town of Spencer, Tioga County. Approximately eight years later, in 1990, Harner agreed to convey the subject property to George and Glenda Winnie by land contract, which obligated the Winnies to pay all real property taxes and assessments levied on the premises. Harner remained owner of record on the relevant tax rolls of the Town of Spencer.

In 1993, the tax rolls demonstrated that Harner's mailing address for purposes of the subject property was 105 Auburn Road, Town of Lansing, Tompkins County. In 1994, the tax rolls were amended to change his address to ''Harner, Donald, c/o Glenda

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1. Section 1125 (1) provides in pertinent part:

> ''The enforcing officer shall on or before the date of the first publication of the notice above set forth cause a notice to be mailed to (a) each owner by certified mail and any other person by ordinary first class mail whose right, title, or interest was a matter of public record as of the date the list of delinquent taxes was filed, which right, title or interest will be affected by the termination of the redemption period, and whose name and address are reasonably ascertainable from the public record . . . .''

Former RPTL 1125 (1) (a), which was effective at the time of the *Kennedy* decision, required service by first class mail, not certified mail.

Winnie, 34 West Tioga St, PO Box 505, Spencer, NY 14883.'' Both Harner and Mrs. Winnie deny requesting this address change. However, as it appeared in the tax rolls, the County of Tioga subsequently mailed all tax bills and notices regarding the property to the Town of Spencer address.

In 1996 and again in 1998, the County commenced tax foreclosure proceedings against the subject property sending all notices to Harner care of the Winnies at 34 West Tioga Street, Spencer, New York. While Harner denies knowledge of those proceedings, the property was redeemed on both occasions.[2] In December 2002, the County instituted a third tax foreclosure proceeding. The County mailed notice, by certified mail, and ordinary first class mail to Harner at the Spencer address, which appeared on the tax rolls. In addition, the County published notice of the foreclosure proceeding in a local newspaper and posted notice in the Tioga County Courthouse and the offices of the County Clerk and County Treasurer (*see* RPTL 1124).

The County later amended its petition and notice of foreclosure, and similarly mailed the amended notice by both certified and first class mail. It also published and posted public notices. Eventually, however, the post office returned both certified mailings of the original notice and the amended notice, each stamped with the notation ''unclaimed.'' The County mailed another copy of the amended petition as well as subsequent notices regarding the foreclosure to the Town of Spencer address via first class mail. The first class mailings were never returned to the County.

In May 2003, upon the failure of anyone to redeem the property, the County acquired title to the premises. Thereafter, Harner commenced this CPLR article 78 proceeding for a judgment setting aside the tax deed and declaring him the owner of the property with the right to redeem it. Supreme Court dismissed the petition on the ground that the County satisfied the notice requirements of RPTL 1125 and due process. The Appellate Division reversed, on the law, and granted the petition holding that the notice failed to satisfy due process requirements. By analogy to returned mail that is marked ''undeliverable,'' the Court reasoned that the ''unclaimed'' notation on the certified mailings alerted the County to the possibility of inadequate notice and thereby required it to conduct a reasonable search of the public record beyond the relevant tax rolls. We granted leave, and now reverse.

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2. The record is silent as to who redeemed the property.

Under both the federal and state constitutions, the State may not deprive a person of property without due process of law (US Const 14th Amend; NY Const, art I, § 6). It is well settled that the requirements of due process are satisfied where ''notice [is] reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections'' (*Mullane v Central Hanover Bank & Trust Co.*, 339 US 306, 314 [1950]; *see also Kennedy v Mossafa*, 100 NY2d 1, 9 [2003]). Due process is a flexible concept, requiring a case-by-case analysis that measures the reasonableness of a municipality's actions in seeking to provide adequate notice. A balance must be struck between the State's interest in collecting delinquent property taxes and those of the property owner in receiving notice (*see Kennedy*, 100 NY2d at 9; *see also Matter of Zaccaro v Cahill*, 100 NY2d 884, 890 [2003]). In striking such balance, the courts may take ''into account the status and conduct of the owner in determining whether notice was reasonable'' (*Kennedy*, 100 NY2d at 11, citing *Matter of ISCA Enters. v City of New York*, 77 NY2d 688, 700 [1991]).

Applying these principles, we recently held that notice in a tax foreclosure proceeding was sufficient where the county mailed notice to the address on the tax roll but did not search the public record after the notice was returned as '' 'not deliverable as addressed unable to forward' '' (*Kennedy*, 100 NY2d at 5). We recognized that generally the municipality should conduct a reasonable search of the public record when the notice is returned undeliverable. However, we concluded that there ''the attempted personal notice, coupled with posting and publication, satisfied due process'' (*id.* at 11). There, among other things, the plaintiff's failure to update her address—and her payment of previous bills delivered to the challenged address—gave the county reason to believe that it had her correct contact information.

Considering all the relevant factors, the instant facts present an even stronger case for a finding that the notice procedure employed satisfied due process. The County was not required to do more. Here, pursuant to RPTL 1125 (1) (a), the County mailed notices to Harner by certified mail. The County also mailed notices by first class mail, and both published and posted public notices of the foreclosure proceeding. Only the certified mailings were returned as ''unclaimed,'' which for purposes of the Postal Service means that the ''[a]ddresee abandoned or failed to call for [the] mail'' (United States Postal Service Domestic Mail Manual part 507, exhibit 1.4.1 <http://pe.usps.gov/text/dmm300/507.htm> [last updated June 9, 2005], cached at <http://www.courts.state.ny.us/reporter/webdocs/USPS_DMM_part507.htm>). Given the implication of such endorsement—which does not on its face indicate that an address is invalid as the notation ''undeliverable'' implies—and that none of the first class mailings were returned, the County reasonably believed that Harner was attempting to avoid notice by ignoring the certified mailings.

Harner was listed as record owner of the property on the relevant tax rolls for eight years preceding this foreclosure action without any question ever having been raised about the accuracy of his mailing address. To be sure, the subject premises had twice before been redeemed upon notice delivered to the address appearing therein. Further, the unrecorded land contract provided that the Winnies were to be held responsible for the taxes levied on the subject property. However, Harner's reliance on the Winnies in this manner had no effect on his status as record owner of the premises. Clearly, the private contract—absent the recording of a deed or other public filing—did not apprise the County that it no longer had the proper address for tax collection purposes.

Harner's contention—that he was unaware that his mailing address on the tax rolls was improperly changed from his residential address in Lansing to the Spencer address—is of no consequence under the circumstances presented. He certainly can be said to have acquiesced in this address change. The address change occurred in 1994, and from that time until 2002—when this tax foreclosure proceeding was instituted—Harner made no attempt to verify his mailing address with the County. This despite his claim not to have received any tax bills during the relevant period.

As record owner, Harner bore the responsibility of updating his address to protect his ownership interests. His failure to fulfill this duty does not render the County's procedures constitutionally infirm as it attempted personal notice through both certified and first class mailings, fully complying with RPTL 1125 (1) (a), and published and posted public notices as also required by statute (RPTL 1124). Thus, under the circumstances of this case, the notice procedures satisfied due process.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[833 NE2d 213, 800 NYS2d 70]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CARLOS CABAN, Appellant.

Argued May 4, 2005; decided June 14, 2005

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 26, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (John S. Moore, J.), which had convicted defendant, upon a jury verdict, of conspiracy in the second degree.

People v Caban, 4 AD3d 274, affirmed.

HEADNOTES

Crimes — Conspiracy — Admissibility of Coconspirators' Statements — Necessity of Establishing Prima Facie Case of Conspiracy

1. In the prosecution of defendant arising out of the murder of a rival drug dealer in which it was alleged that defendant told his coconspirators that the victim ''needed . . . to be killed,'' to which one coconspirator responded, ''I'll do it,'' while another offered to provide a gun, the coconspirators' statements were nonhearsay with respect to the conspiracy charge, and the People had no obligation to establish a prima facie case of conspiracy in order for the statements to be admissible. The first coconspirator's acceptance of defendant's solicitation to murder the victim was relevant not for its truth, but rather as evidence of an agreement to commit the underlying crime, which is itself an essential element of the crime of conspiracy. Similarly, the second coconspirator's statement that he would provide the gun for a later homicide, even if ultimately untrue, was admissible for the fact that it was said, inasmuch as its utterance provided evidence of his unlawful agreement with defendant and the first coconspirator.

Crimes — Conspiracy — Admissibility of Coconspirators' Statements — Prima Facie Case of Conspiracy

2. In the prosecution of defendant arising out of the murder of a rival drug dealer in which it was alleged that defendant told his coconspirators that the victim ''needed . . . to be killed,'' one coconspirator offered to do it, and another offered to provide a gun, the statement made by the latter coconspirator to a prosecution witness on the day of the murder that ''It's time'' was hearsay with respect to the conspiracy charge, and the People were obligated to establish a prima facie case of conspiracy in order for the statement to be admissible. The statement was offered for its truth, and was therefore hearsay. It was properly admitted, however, as the People met their burden of establishing a prima facie case independent of any hearsay statements. They offered defendant's statements that he would pay to have the victim murdered, evidence of the one coconspirator's acceptance of defendant's proposal and another's offer to procure a gun, evidence that both the shooter and the

person who allegedly provided the gun and notified the shooter of the victim's whereabouts on the day of the murder were present at the meeting when defendant solicited the murder, and circumstantial proof that the participants in the shooting were acting on behalf of defendant to protect the economic interests of the drug business from which they all benefitted.

Crimes — Trial — Order of Proof

3. In the prosecution of defendant arising out of the murder of a rival drug dealer resulting in defendant's conviction for conspiracy in the second degree, the trial court did not err in conditionally admitting hearsay statements of coconspirators subject to later proof of a prima facie case of conspiracy. Although any statements admitted pursuant to the coconspirator's exception had to have been made after the formation of the conspiracy, testimony establishing the prima facie case did not have to precede testimony about the hearsay statements. Inasmuch as the order of proof at trial is committed to the sound discretion of the trial court, a coconspirator's statements are admissible as long as the People independently establish a conspiracy by the close of their case.

Crimes — Right to Counsel — Effective Representation

4. In the prosecution of defendant arising out of the murder of a rival drug dealer resulting in defendant's conviction for conspiracy in the second degree based largely on the testimony of a prosecution witness who worked for defendant, defense counsel's failure to request that the jury be charged that the witness was an accomplice as a matter of law, which would require his testimony to be corroborated, did not constitute ineffective assistance of counsel. The evidence adduced at trial did not establish that the witness was an accomplice as a matter of law. Although the witness was present both at a meeting when defendant and his coconspirators proposed the murder and on the day of the murder, and was involved in a prior, unsuccessful attempt on the victim's life which may or may not have predated defendant's meeting, that was insufficient to render him an accomplice as a matter of law, although it may have been sufficient to raise a factual issue as to his accomplice status. Moreover, although the witness may have been an accomplice to a separate, uncharged drug conspiracy involving defendant, and the elimination of the victim as a competitor may have furthered the ends of the uncharged conspiracy, that was insufficient to render the witness, a nonparticipant in the murder, an accomplice as a matter of law.

Crimes — Right to Counsel — Effective Representation

5. In the prosecution of defendant arising out of the murder of a rival drug dealer resulting in defendant's conviction for conspiracy in the second degree based largely on the testimony of a prosecution witness who worked for defendant, defense counsel's failure to move to dismiss the conspiracy count for lack of corroboration of accomplice testimony did not constitute ineffective assistance of counsel. Even if the witness had been found by the jury to be an accomplice, there was sufficient independent evidence of corroboration to satisfy the minimal requirements of CPL 60.22 (1), which prohibits a conviction upon the testimony of an accomplice "unsupported by corroborative evidence tending to connect the defendant with the commission of such offense." The victim's girlfriend supported the witness's testimony regarding defendant's motive for killing the victim, the fact that the coconspirator identified by the witness as the person who volunteered to murder the victim for the defendant was arrested for the murder supported the witness's testimony, and independent evidence from the police and medical examiner as

to the location of the victim's body at the scene of the murder and the location of the gunshot wounds corresponded with the details that the witness provided.

Crimes — Right to Counsel — Effective Representation — Federal Constitution

6. In the prosecution of defendant, who claimed ineffective assistance of counsel under both the Federal and State Constitutions (*see* US Const Amend VI; NY Const, art I, § 6), the determination that defendant was not denied meaningful representation under the State Constitution necessitated a determination that he was also not denied meaningful representation under the Federal Constitution. The state standard of meaningful representation, which does not require a defendant to demonstrate that counsel's deficient performance prejudiced the defendant, offers greater protection than the federal test, which does require such a demonstration.

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By the Publisher's Editorial Staff

Am Jur 2d, Conspiracy §§ 44, 45; Am Jur 2d, Criminal Law §§ 1205, 1214, 1223–1227; Am Jur 2d, Evidence §§ 831–833, 842, 846–854; Am Jur 2d, Trial §§ 354–357.

Carmody-Wait 2d, Criminal Procedure §§ 172:1824–172:1837, 172:1917, 172:1942, 172:2839–172:2841, 172:2992, 172:3169, 172:3170, 172:3362–172:3364.

LaFave, et al., Criminal Procedure (3d ed) §§ 11.1, 11.10.

McKinney's, CPL 60.22 (1); NY Const, art I, § 6.

NY Jur 2d, Criminal Law §§ 710, 711, 772, 810, 815–818, 824, 861, 1927, 1928, 2042, 2043, 2046–2048, 2320, 2321.

US Const 6th Amend.

ANNOTATION REFERENCE

Necessity and sufficiency of independent evidence of conspiracy to allow admission of extrajudicial statements of coconspirators. 46 ALR3d 1148.

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POINTS OF COUNSEL

Robert J. Boyle, New York City, and *Lynne F. Stewart* for appellant. I. The lower court committed reversible error in admitting, over appellant's objection, the hearsay declarations of Derrick Garcia and Pello Torres. (*People v Rastelli,* 37 NY2d 240, 423 US 995; *People v Salko,* 47 NY2d 230; *People v Ardito,* 86

AD2d 144, 58 NY2d 842; *People v Bell,* 48 NY2d 913; *People v Green,* 188 AD2d 662; *People v Bac Tran,* 80 NY2d 170; *People v Elias,* 163 AD2d 230, 76 NY2d 985; *People v Crimmins,* 36 NY2d 230.) II. Appellant was denied effective assistance of counsel when counsel failed to (1) move to dismiss the conspiracy count on the ground that George Castro was an accomplice as a matter of law and (2) request that the jury be instructed that Castro was an accomplice as a matter of law and that his testimony required corroboration. (*Strickland v Washington,* 466 US 668; *People v Baldi,* 54 NY2d 137; *People v Benevento,* 91 NY2d 708; *People v Hobot,* 84 NY2d 1021; *People v Vataj,* 121 AD2d 756, 69 NY2d 985; *People v Berger,* 52 NY2d 214; *People v Sweet,* 78 NY2d 263; *People v Cobos,* 57 NY2d 798; *People v Cruz,* 291 AD2d 1; *People v Velasquez,* 76 NY2d 905.) III. The prosecutor's misconduct during summation denied appellant due process of law. (*Donnelly v DeChristoforo,* 416 US 637; *People v Ashwal,* 39 NY2d 105; *People v Diaz,* 170 AD2d 202; *People v Steinhardt,* 9 NY2d 267; *People v McReynolds,* 175 AD2d 31; *People v Hicks,* 102 AD2d 173; *People v Baily,* 58 NY2d 272; *People v Walters,* 251 AD2d 433; *People v Tolbert,* 198 AD2d 132; *People v Brazzeal,* 172 AD2d 757.)

Robert T. Johnson, District Attorney, Bronx (*Peter D. Coddington* of counsel), for respondent. I. Appellant has not preserved his claim that the coconspirators' statements were inadmissible because there was no proof that the conspiracy existed at the time they were uttered; in any event, Justice Moore correctly admitted the evidence because the People proved the conspiracy without recourse to the statements by the close of the prosecution's case. (*People v Liccione,* 50 NY2d 850; *People v Seit,* 86 NY2d 92; *People v Damiano,* 87 NY2d 477; *People v Olivo,* 52 NY2d 309; *People v Kinchen,* 60 NY2d 772; *People v Ramos,* 99 NY2d 27; *People v Lyons,* 81 NY2d 753; *People v Berkowitz,* 50 NY2d 333; *People v McKane,* 143 NY 455; *People v Miles,* 123 App Div 862.) II. Appellant's attorney provided a meaningful and effective defense. (*People v Rivera,* 71 NY2d 705; *Strickland v Washington,* 466 US 668; *People v Brown,* 45 NY2d 852; *People v Taylor,* 1 NY3d 174; *People v Benevento,* 91 NY2d 708; *People v Basch,* 36 NY2d 154; *People v Besser,* 96 NY2d 136; *People v Cobos,* 57 NY2d 798; *People v Vataj,* 69 NY2d 985; *People v Stultz,* 2 NY3d 277.) III. The prosecutor properly commented on the evidence and fairly responded to the defense arguments and ad hominem attacks. (*People v Rivera,* 73 NY2d 941; *People v Ashwal,* 39 NY2d 105; *People v Galloway,* 54 NY2d 396; *People v Balls,* 69 NY2d 641; *People v Medina,* 53 NY2d 951; *People v*

Halm, 81 NY2d 819; *People v Anthony,* 24 NY2d 696; *People v Berg,* 59 NY2d 294; *People v Nuccie,* 57 NY2d 818; *People v Turriago,* 90 NY2d 77.)

OPINION OF THE COURT

Chief Judge KAYE.

Defendant was convicted of conspiracy to commit murder, based largely on the testimony of prosecution witness George Castro. By his own admission, Castro was a street-level drug dealer who, along with several others, worked for defendant, selling crack on Fox Street in the Bronx. Castro resided in defendant's stash house, and was there on March 18, 1995, when the charged conspiracy was allegedly hatched. The object of the conspiracy was to kill Angel Ortiz, a rival drug dealer who also sold crack on Fox Street. Castro testified that he was packaging drugs in the stash house on March 18, along with two of defendant's dealers, Pello Torres and Melvin Butler, and defendant's brother, Derrick Garcia, when defendant informed the group that Ortiz "needed . . . to be killed" because his operations were competing with defendant's drug business, and offered to pay $5,000 for the murder. Castro further testified that Garcia responded, "I'll do it," and Torres offered to provide Garcia with a gun.

On June 1, 1995, Ortiz was murdered in a Fox Street playground, in the presence of three of his drug dealers and his girlfriend's four-year-old daughter. According to Castro's account of the killing, he was in front of the stash house when Torres approached him and said, "It's time." Torres then went into the house, whereupon Garcia came out with a friend. Castro testified that he followed Garcia and the friend to the playground and watched from across the street as Garcia approached Ortiz and argued with him over defendant's drug "spot." As Ortiz turned to walk away, Garcia shot him several times, killing him.

On cross-examination, Castro admitted his involvement in a prior, unsuccessful attempt on Ortiz's life, which took place sometime in mid-March 1995. Although the trial testimony did not establish whether this incident occurred before or after the March 18 meeting, on the date in question Castro, Torres and Butler set out to kill Ortiz. Butler was armed with two guns, while Castro acted as a lookout. The plan was aborted, however, when the police appeared.

Defendant was eventually indicted and tried for murder in the second degree, manslaughter in the first degree, conspiracy in the second degree, and criminal possession of a weapon in the second degree. The jury convicted him of conspiracy, but acquitted him of the substantive crimes, and a divided Appellate Division affirmed.

I. Statements of Coconspirators

Defendant's first claim of error relates to the three statements of Garcia and Torres, as testified to by Castro—Garcia's March 18 ''I'll do it'' and Torres's offer to provide Garcia with a gun, and Torres's June 1 ''It's time.'' Defendant argues that hearsay statements of coconspirators are admissible only when a prima facie case of conspiracy is established independent of the statements, and maintains that the People failed to establish such a case here. We reject that claim.

''A declaration by a coconspirator during the course and in furtherance of the conspiracy is admissible against another coconspirator as an exception to the hearsay rule'' (*People v Bac Tran*, 80 NY2d 170, 179 [1992]). The theory underlying the coconspirator's exception is that all participants in a conspiracy are deemed responsible for each of the acts and declarations of the others (*see e.g. People v Rastelli*, 37 NY2d 240, 244 [1975]; Martin, Capra and Rossi, New York Evidence Handbook § 8.3.2.4, at 720 [2d ed]). The exception ''is not limited to permitting introduction of a conspirator's declaration to prove that a coconspirator committed the crime of conspiracy, but, rather, may be invoked to support introduction of such declaration to prove a coconspirator's commission of a substantive crime for which the conspiracy was formed'' (*People v Salko*, 47 NY2d 230, 237 [1979], *rearg denied* 47 NY2d 1010 [1979]). However, as defendant points out, such declarations may be admitted only when a prima facie case of conspiracy has been established. While the prima facie case of conspiracy ''must be made without recourse to the declarations sought to be introduced'' (*Salko*, 47 NY2d at 238), ''the testimony of other witnesses or participants may establish a prima facie case'' (*People v Wolf*, 98 NY2d 105, 118 [2002]).

A. Relevance of the Challenged Statements

[1] At the outset, we note that the same evidence may be admissible under different theories when offered for different purposes. Here, some of the statements at issue were relevant for different purposes with respect to the different charges for which defendant was tried. Specifically, although the March 18 declarations of Garcia and Torres were hearsay when offered to prove the murder and related charges of which defendant was acquitted, they were nonhearsay when offered to prove the only charge now before us—conspiracy.

A conspiracy consists of an agreement to commit an underlying substantive crime (here, murder), coupled with an overt act committed by one of the conspirators in furtherance of the conspiracy (*see* Penal Law §§ 105.15, 105.20). Thus, with respect to the conspiracy charge, Garcia's acceptance of defendant's solicitation to murder Ortiz was relevant not for its truth, but rather as evidence of an agreement to commit the underlying crime—itself an essential element of the crime of conspiracy. In other words, whether or not Garcia in fact killed Ortiz, his acceptance of defendant's invitation to do so was a verbal act which rendered defendant and his coconspirators culpable for the inchoate crime of conspiracy, even if the planned substantive crime never came to fruition. Indeed, even if Garcia had no genuine intent ever to commit the murder, defendant would be guilty of conspiracy if he believed he had entered into such an agreement.

> ''[T]he 'act' of agreeing is concrete and unambiguous as an expression of each actor's intent to violate the law. . . . The fact of agreement serves only to unequivocally establish a particular actor's intent to commit the object crime by acting with others.
>
> ''The identity and degree of participation by the other persons are wholly irrelevant. Also irrelevant are the niceties of contract law concerning when an agreement is consummated (e.g., meeting of the minds). It is the individual who is prosecuted [for conspiracy] and necessarily it is the individual who must have the prescribed *mens rea*. The requisite intent is to join with others to commit a substantive crime. If an individual believes he has so joined, it is sufficient to establish complicity, regardless of the actual fact of agreement. . . . This is particularly so . . . where . . . it appears that the individual defendant is the originator of the criminal plan and the one most anxious to see the successful completion of the criminal objective'' (*People v Schwimmer*, 66 AD2d 91, 95-96 [2d Dept 1978], *affd for reasons stated in op below* 47 NY2d 1004, 1005 [1979]).

Similarly, Torres's statement that he would provide the gun for a later homicide—even if ultimately untrue—was admissible for the fact that it was said, inasmuch as its utterance provided evidence of Torres's unlawful agreement with defendant and Garcia. Thus, because the March 18 statements were nonhearsay with respect to the conspiracy charge, the People had no obligation to establish a prima facie case of conspiracy in order for the statements to be admissible.

The analysis differs respecting the admissibility of these declarations as relevant proof of the substantive crimes. Garcia's inculpatory offer to "do it," if introduced as evidence that he had in fact committed the June 1 homicide, would—although proffered in that event for its truth—nevertheless be admissible at defendant's trial under the coconspirator's exception to the hearsay rule as evidence of defendant's complicity in the murder. In that event, however, a prima facie case would need to be established independent of the hearsay statement. The same rule applies to Torres's offer to provide the gun, if used to establish the conspirators' collective guilt of murder and weapon possession.

Thus, the same declarations—relevant both to conspiracy and to the substantive crimes whose commission formed the basis of the conspiratorial enterprise—were admissible at defendant's trial under different theories and different rules, depending on which crimes they were offered to prove. Since the statements were nonhearsay with respect to the conspiracy charge—the only charge before us—defendant's challenge to their admissibility concerning that charge is without merit.

B. Prima Facie Case of Conspiracy

[2] The third challenged statement—Torres's June 1 "It's time" remark to Castro—was offered for its truth, and therefore hearsay, whether as to the conspiracy charge or the substantive crimes. In the context of Castro's account, Torres's statement in effect meant, "The time has come to kill Ortiz." Nevertheless, this statement was properly admissible against defendant as a declaration made by a coconspirator in the course or in furtherance of the conspiracy, so long as the People established a prima facie case independent of any hearsay statements.

The Appellate Division majority, in affirming defendant's conspiracy conviction, correctly concluded that the People had met this burden. The prosecution introduced, through Castro, defendant's statements at the March 18 meeting that he would pay $5,000 to have Ortiz murdered,* along with evidence of Garcia's acceptance of defendant's proposal and Torres's offer to procure the murder weapon. Castro further testified that both the shooter and the person allegedly responsible for securing the gun and entering defendant's stash house to notify the shooter that the intended victim was in the playground were present at the March 18 meeting. That these individuals worked as drug dealers for defendant, whose motive for killing Ortiz arose from a desire to eliminate competition, provides further circumstantial proof that the participants in the June 1 shooting were acting on behalf of defendant to protect the economic interests of the drug business from which they all benefitted. In this regard, Castro testified that Garcia argued with Ortiz about defendant's drug "spot" just before he shot him.

C. Order of Proof

[3] We further note that the trial court did not err in conditionally admitting any hearsay statements of coconspirators "subject to connection"—that is, subject to later proof of a prima facie case of conspiracy. Although any statements admitted pursuant to the coconspirator's exception must have been made after the formation of the conspiracy—that is, in the course and in furtherance of it—testimony establishing the prima facie case need not precede testimony about the hearsay statements. Inasmuch as the order of proof at trial is committed to the sound discretion of the trial court (*see e.g. People v Olsen*, 34 NY2d 349, 353 [1974]), a coconspirator's statements are admissible as long as the People independently establish a conspiracy by the close of their case (*see e.g. People v McKane*, 143 NY 455, 473 [1894] [even if the coconspirator's statements were objectionable at the time they were introduced, they were subsequently made competent by proof of the defendant's admissions that the coconspirator was acting under his orders]; *People v Becker*, 215 NY 126, 148-149 [1915]).

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* Plainly, defendant's own statements could be received in evidence as party admissions (*see People v Chico*, 90 NY2d 585, 589 [1997]; *Reed v McCord*, 160 NY 330, 341 [1899] ["admissions by a party of any fact material to the issue are always competent evidence against him, wherever, whenever or to whomsoever made"]; Prince, Richardson on Evidence § 8-201, at 510 [Farrell 11th ed] [defining an admission as "an act or declaration of a party . . . which constitutes evidence against the party at trial"]).

II. Ineffective Assistance of Counsel

During the charge conference, defense counsel requested an instruction that if the jury found as a fact that Castro was an accomplice, his testimony required corroboration. The court so charged the jury over the prosecutor's objection. Defense counsel did not, however, request the court to charge that Castro was an accomplice as a matter of law. Defendant now contends that his trial counsel was ineffective for failing to request the latter instruction, and for failing to move to dismiss the conspiracy count on the ground that the People failed in their obligation to corroborate the testimony of an accomplice. These contentions lack merit.

To prevail on his claim that he was denied effective assistance of counsel, defendant must demonstrate that his attorney failed to provide meaningful representation (*see People v Benevento*, 91 NY2d 708, 712 [1998]; *People v Baldi*, 54 NY2d 137, 147 [1981]). A single error may qualify as ineffective assistance, but only when the error is sufficiently egregious and prejudicial as to compromise a defendant's right to a fair trial (*see People v Hobot*, 84 NY2d 1021, 1022 [1995]; *People v Flores*, 84 NY2d 184, 188 [1994]). Further, to establish ineffective assistance, a defendant must ''demonstrate the absence of strategic or other legitimate explanations'' for counsel's allegedly deficient conduct (*People v Rivera*, 71 NY2d 705, 709 [1988]).

[4] There can be no denial of effective assistance of trial counsel arising from counsel's failure to ''make a motion or argument that has little or no chance of success'' (*People v Stultz*, 2 NY3d 277, 287 [2004]). Because the evidence adduced at trial did not establish that Castro was an accomplice as a matter of law, counsel's failure to request that the jury be charged that he was did not constitute ineffective assistance.

An accomplice is defined as,

> ''a witness in a criminal action who, according to evidence adduced in such action, may reasonably be considered to have participated in . . .
>
> ''[t]he offense charged . . . or . . .
>
> ''[a]n offense based upon the same or some of the same facts or conduct which constitute the offense charged'' (CPL 60.22 [2]).

Where ''the undisputed evidence establishes that a witness is an accomplice, the jury must be so instructed but, if different inferences may reasonably be drawn from the proof regarding complicity . . . the question should be left to the jury for its determination'' (*People v Basch*, 36 NY2d 154, 157 [1975]). In other words, a ''witness is an accomplice as a matter of law only if the jury could reasonably reach no other conclusion but that he participated in the offense charged or an offense based upon the same or some of the same facts or conduct which constitute the offense charged'' (*People v Besser*, 96 NY2d 136, 147 [2001]).

While Castro's role in the initial mid-March attempted murder, which may have occurred prior to the March 18 meeting and thus prior to and apart from the conspiracy, coupled with Castro's presence at the March 18 meeting and June murder, may have been sufficient to raise a factual issue as to his accomplice status respecting the charged conspiracy, this testimony was not sufficient to render Castro an accomplice as a matter of law. If the mid-March attempted murder predated the March 18 meeting at which the conspiracy was formed, Castro's participation in it would have been insufficient to render him an accomplice to the conspiracy as a matter of law, even though its intended victim was the same as the subject of the murder conspiracy (*see People v Cobos*, 57 NY2d 798, 801 [1982] [witness's participation in an assault and attempted robbery did not make him an accomplice as a matter of law to murder of the same victim committed a few hours later by accomplices to the earlier crimes]). Further, Castro testified that he did not help Garcia with the June murder. Thus, the jury could have either found, as defense counsel argued, that Castro was indeed an accomplice to the conspiracy because he participated in a prior attempt on Ortiz's life and attended the March 18 meeting, or credited the prosecutor's contrary argument that Castro's presence at the murder did not make him an accomplice inasmuch as the record contained no evidence showing that he was anything more than a benign spectator at the March 18 meeting and the June murder. That being so, the undisputed evidence did not establish Castro's accomplice status, and the issue was therefore left to the jury as a question of fact.

Defendant's further argument that Castro was an accomplice as a matter of law because he was undeniably an accomplice to a separate, uncharged drug conspiracy involving defendant is also without merit. Although it is undisputed that Castro worked for defendant's drug business, the indictment filed in this criminal action did not allege a conspiracy to sell drugs; rather, the sole charges involved a conspiracy to commit (and the substantive commission of) murder. An accomplice is a witness in a criminal action who may reasonably be considered to have participated in either the offense charged or an ''offense based upon the same or some of the same facts or conduct which constitute the offense charged'' (CPL 60.22 [2] [b]).

Here, the facts and conduct constituting the crimes of murder and conspiracy to commit murder did not involve any sale of drugs in which Castro participated, nor was any sale of drugs alleged in the indictment as an overt act committed in furtherance of the conspiracy. Although the underlying motive for Ortiz's murder reflected a desire to eliminate Ortiz as a competitor of defendant's drug business, motive is not an element of murder or conspiracy. The mere circumstance that the elimination of a competitor may have furthered the ends of the uncharged drug conspiracy is insufficient to confer accomplice-as-a-matter-of-law status on a nonparticipant in the murder (*see e.g. People v McAuliffe*, 36 NY2d 820, 822 [1975] [''To hold, as defendant would have us, that it should suffice to show only that the particular witness was 'in some way implicated' in defendant's criminal activity would be to stretch the statute far beyond the ambit intended by the Legislature'']; *People v Brooks*, 34 NY2d 475, 477-478 [1974]; *People v Fiore*, 12 NY2d 188, 199-200 [1962] [a conspiracy to conceal a prior conspiracy is an independent crime]).

Defendant has, moreover, failed to demonstrate the absence of strategic or other legitimate explanations for counsel's decision to request only that Castro's accomplice status be submitted to the jury as a question of fact. In order to have been entitled to an accomplice-as-a-matter-of-law charge, defendant would have needed to establish that the initial attempted murder involving Castro postdated the birth of the conspiracy at the March 18 meeting. But had defense counsel endeavored to clarify that sequence of events, he would have risked eliciting testimony that the attempted murder predated the March 18 meeting, thereby potentially depriving him of the opportunity to submit even as a question of fact the issue of Castro's status as an accomplice to the conspiracy to murder Ortiz.

[5] We reject defendant's additional claim that counsel was ineffective for failing to move to dismiss the conspiracy count for lack of corroboration of accomplice testimony. ''A defendant may not be convicted of any offense upon the testimony of an accomplice unsupported by corroborative evidence tending to connect the defendant with the commission of such offense''

(CPL 60.22 [1]). However, corroborative evidence need not establish all elements of the offense. ''New York's accomplice corroboration protection . . . requires only enough nonaccomplice evidence to assure that the accomplices have offered credible probative evidence'' that connects ''the accomplice evidence to the defendant'' (*People v Breland*, 83 NY2d 286, 293 [1994]). Indeed, even ''[s]eemingly insignificant matters may harmonize with the accomplice's narrative so as to provide the necessary corroboration'' (*People v Steinberg*, 79 NY2d 673, 683 [1992]).

Even if Castro had been found by the jury to be an accomplice, there was sufficient independent evidence of corroboration to satisfy the minimal requirements of CPL 60.22 (1). Castro's testimony regarding defendant's motive for killing Ortiz—to protect his drug-dealing operation—was supported by Ortiz's girlfriend, who testified that defendant and Ortiz were competing drug dealers on Fox Street. In addition, that Garcia—defendant's brother and one of the street-level dealers present at the March 18 meeting—was arrested for Ortiz's murder supported Castro's testimony. Moreover, independent evidence from the police and medical examiner as to the location of Ortiz's body at the scene of the murder and the location of the gunshot wounds corresponded with the details that Castro provided (*see Breland*, 83 NY2d at 293). Thus, there were sufficient ''standard confirmatory ties'' (*id.* at 294) from which the jury could have concluded that Castro credibly connected defendant to the murder and testified about the events surrounding the June 1 killing. Accordingly, defense counsel was not ineffective for failing to seek dismissal of the conspiracy charge (*see Stultz*, 2 NY3d at 287).

[6] Finally, we note that defendant claims ineffective assistance under both the Federal and State Constitutions (*see* US Const Amend VI; NY Const, art I, § 6). Under the two-pronged test established in *Strickland v Washington* (466 US 668 [1984]), a defendant must, in order to prevail on a federal claim of ineffective assistance, demonstrate both that counsel's performance was deficient and that the deficient performance prejudiced the defendant. Prejudice exists when ''there is a reasonable probability that, but for counsel's unprofessional errors, the result of the proceeding would have been different'' (466 US at 694). Our state standard of meaningful representation, by contrast, does not require a defendant to ''fully satisfy the prejudice test of *Strickland*,'' although we ''continue to regard a defendant's showing of prejudice as a significant but not indispensable element in assessing meaningful representation'' (*Stultz*, 2 NY3d at 284), whose prejudice component focuses on the ''fairness of the process as a whole rather than its particular impact on the outcome of the case'' (*Benevento*, 91 NY2d at 714). Thus, under our State Constitution, even in the absence of a reasonable probability of a different outcome, inadequacy of counsel will still warrant reversal whenever a defendant is deprived of a fair trial. Because our state standard thus offers greater protection than the federal test, we necessarily reject defendant's federal constitutional challenge by determining that he was not denied meaningful representation under the State Constitution.

Defendant's further claim that prosecutorial misconduct in summation warrants reversal is without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Judges G.B. Smith, Ciparick, Rosenblatt, Graffeo, Read and R.S. Smith concur.

Order affirmed.

[833 NE2d 232, 800 NYS2d 89]

RAYMOND CORPORATION et al., Respondents, v NATIONAL UNION FIRE INSURANCE COMPANY OF PITTSBURGH, PA., Appellant.

Argued May 3, 2005; decided June 29, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 1, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Chenango County (Kevin M. Dowd, J.), which had denied plaintiffs' motion for summary judgment, granted defendant's motion for summary judgment dismissing the complaint, and granted defendant judgment on its counterclaim; (2) denied defendant's motion; (3) granted plaintiffs' motion; and (4) declared that plaintiff Arbor Handling Services, Inc. is an additional insured under the insurance policy issued by defendant.

Raymond Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa., 6 AD3d 788, reversed.

HEADNOTE

Insurance — Liability Insurance — Scope of Coverage of Vendor's Endorsement

The vendor's endorsement in the commercial general liability policy that defendant issued to plaintiff manufacturer, which listed plaintiff vendor as an additional insured, covered only those claims stemming from a defective product, and not the underlying personal injury claim caused by plaintiff vendor's independent acts of negligence. The policy covered vendors with respect to bodily injuries ''arising out of [plaintiff manufacturer's products],'' meaning injuries arising out of defects in the products, rather than arising out of the vendor's negligence. The modifying phrase, ''which are distributed, sold, repaired, serviced, demonstrated, installed or rented to others in the regular course of the vendor[']s business,'' described plaintiff vendor's activities with respect to plaintiff manufacturer's products, and did not indemnify plaintiff vendor for its negligent performance of those activities.

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By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 713, 714.
COUCH ON INSURANCE (3d ed) §§ 130:3, 130:4.
NY JUR 2d, Insurance §§ 1567, 1573.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

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POINTS OF COUNSEL

Fiedelman & McGaw, Jericho (*Andrew Zajac* of counsel), *Cozen O'Connor,* Philadelphia, Pennsylvania, and *Mitchell, Goris & Knych*, Cazenovia, for appellant. I. Any arguments raised by Raymond Corporation and Arbor Handling Services, Inc. in support of the Appellate Division's decision would be unpreserved for this Court's review. (*Incorporated Vil. of Cedarhurst v Hanover Ins. Co.,* 89 NY2d 293; *Utica Mut. Ins. Co. v Prudential Prop. & Cas. Ins. Co.,* 64 NY2d 1049; *Arc Eng'g v State of New York,* 293 NY 819; *Lindlots Realty Corp. v County of Suffolk,* 278 NY 45.) II. The Supreme Court properly held that the insuring clause in the vendor's endorsement does not extend to Arbor Handling Services, Inc.'s independent negligence. (*Graphic Arts Mut. Ins. Co. v Bakers Mut. Ins. Co. of N.Y.,* 45 NY2d 551; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.,* 91 NY2d 169; *Basil Dev. Corp. v General Acc. Ins. Co.,* 89 NY2d 1057; *Harris v Allstate Ins. Co.,* 309 NY 72; *Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.,* 92 NY2d 363; *Baughman v Merchants Mut. Ins. Co.,* 87 NY2d 589; *Champion Intl. Corp. v Continental Cas. Co.,* 546 F2d 502; *Hartford Fire Ins. Co. v St. Paul Surplus Lines Ins. Co.,* 280 F3d 744; *Mount Vernon Fire Ins. Co. v Creative Hous.,* 88 NY2d 347; *RJC Realty Holding Corp. v Republic Franklin Ins. Co.,* 2 NY3d 158.) III. The Supreme Court's well-founded findings of fact should be reinstated. (*Matter of Frontier Ins. Co. v Town Bd. of Town of Thompson,* 285 AD2d 953; *G.B. Kent & Sons v Helena Rubinstein, Inc.,* 47 NY2d 561; *Andon v 302-304 Mott St. Assoc.,* 94 NY2d 740; *Friedman v State of New York,* 67 NY2d 271; *Loughry v Lincoln First Bank,* 67 NY2d 369; *Kuehne & Nagel v Baiden,* 36 NY2d 539; *Harrington v Harrington,* 290 NY 126.) IV. The Supreme Court correctly determined that the exclusion for ''any failure to make such . . . adjustments . . . or servicing as the Vendor has agreed to make'' bars Arbor Handling Services, Inc.'s claim for coverage. (*Bretton v Mutual of Omaha Ins. Co.,* 110 AD2d 46, 66 NY2d 1020; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.,* 98 NY2d 208.)

Powers Santola, LLP, Albany (*Michael J. Hutter* of counsel), and *Nixon Peabody LLP,* Rochester (*William S. Brandt* of counsel), for respondents. I. The scope of insurance coverage under a vendor's endorsement is determined by the wording of the vendor's endorsement in issue. (*Stasack v Capital Dist. Physicians' Health Plan,* 290 AD2d 866; *State of New York v Home Indem. Co.,* 66 NY2d 669; *Sanabria v American Home Assur. Co.,* 68 NY2d 866; *Demopoulous v New York Cent. Mut. Fire Ins. Co.,* 280 AD2d 855; *Flynn v Timms,* 199 AD2d 873; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *Caporino v Travelers Ins. Co.,* 62 NY2d 234; *Butler v New York Cent. Mut. Fire Ins. Co.,* 274 AD2d 924; *Moshiko, Inc. v Seiger & Smith,* 137 AD2d 170, 72 NY2d 945; *Speller v Sears, Roebuck & Co.,* 100 NY2d 38.) II. On the basis of its wording, Endorsement 5 is intended to provide coverage to vendors which have repaired, serviced or installed a Raymond Corporation product. (*Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.,* 92 NY2d 363; *County of Columbia v Continental Ins. Co.,* 83 NY2d 618; *Ruttenberg v Davidge Data Sys. Corp.,* 215 AD2d 191.) III. Based on the undisputed facts, Arbor Handling Services, Inc. was a vendor entitled to coverage under Endorsement 5. (*Mount Vernon Fire Ins. Co. v Creative Hous.,* 88 NY2d 347; *New Hampshire Ins. Co. v Jefferson Ins. Co. of N.Y.,* 213 AD2d 325; *Aetna Cas. & Sur. Co. v Ocean Acc. & Guar. Corp., Ltd.,* 386 F2d 413; *Kmart Corp. v Fireman's Fund Ins. Co.,* 88 F Supp 2d 767.) IV. National Union Fire Insurance Company of Pittsburgh, Pa.'s ''one label fits all'' approach to vendor's endorsements defies the wording and intent of Endorsement 5 as well as the case law. (*Frontier Insulation Contrs. v Merchants Mut. Ins. Co.,* 91 NY2d 169; *Basil Dev. Corp. v General Acc. Ins. Co.,* 89 NY2d 1057; *Graphic Arts Mut. Ins. Co. v Bakers Mut. Ins. Co. of N.Y.,* 45 NY2d 551; *RJC Realty Holding Corp. v Republic Franklin Ins. Co.,* 2 NY3d 158; *Continental Cas. Co. v Rapid-American Corp.,* 80 NY2d 640; *Hartford Fire Ins. Co. v St. Paul Surplus Lines Ins. Co.,* 280 F3d 744.) V. The intent of Endorsement 5 cannot be altered by resorting to the terms of Raymond Corporation's independent self-insured indemnification program. (*Matter of Wallace v 600 Partners Co.,* 86 NY2d 543; *Matter of Primex Intl. Corp. v Wal-Mart Stores,* 89 NY2d 594.) VI. National Union Fire Insurance Company of Pittsburgh, Pa. failed to meet its burden to enforce exclusion 1 (D). (*Continental Cas. Co. v Rapid-American Corp.,* 80 NY2d 640.) VII. National Union Fire Insurance Company of Pittsburgh, Pa. improperly raises a claimed failure to preserve argument for the first time before this Court, and, in any event, the argument is meritless. (*Olan v Farrell Lines,* 64 NY2d 1092.)

OPINION OF THE COURT

READ, J.

Plaintiff Raymond Corporation manufactures sideloader forklifts.[1] Defendant National Union Fire Insurance Company of Pittsburgh, Pa. is Raymond's primary liability insurer. At the time of the accident prompting this lawsuit, plaintiff TBS Group, Inc., formerly Arbor Handling Services, Inc., was one of Raymond's vendors. The issue on this appeal is whether the vendor's endorsement in the commercial general liability policy that National issued to Raymond covers personal injury claims caused by the vendor's independent acts of negligence. For the reasons that follow, we conclude that the vendor's endorsement only covers those claims stemming from a defective product.

I.

In 1994, Arbor sold Joseph T. Ryerson & Son, a steel distributor, two new Raymond sideloaders for installation in its Philadelphia facility. Because its new cantilever rack system[2] was put into place months before the sideloaders' anticipated delivery date, Ryerson asked Arbor to secure two rental units for its use in the meantime. Arbor had one rental sideloader in-house in its own fleet, and agreed to "support . . . as if it were its own" any second sideloader that Ryerson might locate either "internally or externally."[3]

Ryerson subsequently located a second Raymond sideloader in Chicago. Ryerson rented this unit, which was disassembled and shipped to its facility in Philadelphia. Arbor sent two service technicians to reassemble and adjust the sideloader, which was configured for use in a rail-guided system where the guide rails were both closer together and higher than at Ryerson's facility.

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1. Sideloader forklifts have forks on the side, and they run on rail systems in the aisles of warehouses.

2. Cantilever racks have arms cantilevered off a vertical column, and loads are placed either directly on the arms or on shelves supported by them. Their long, unobstructed shelves with no uprights are well suited for storage of long and varied loads.

3. When asked what he meant by this representation, Arbor's sales manager explained that Arbor typically would not service a competitor's unit installed in a customer's facility; however, "because of the unusual circumstances, with [Arbor] not being able to acquire a unit, if [Ryerson] . . . acquire[d] the unit, [Arbor] would fix the unit, should it break down, and . . . provide parts. And[ ] not tell [Ryerson] to fly someone in from Chicago to fix the unit that they rented from someone else."

In a rail-guided system, guide rollers are attached to the four corners of a sideloader and engage the rails, which are secured to the floor of the aisles between the racks. With proper adjustment, the guide rollers run against the parallel-facing rails with minimal clearance. A rail-guided system reduces the need for steering and thus the risk of injury to the operator, who does not have to place his head outside the vehicle to look at the wheels.

Arbor's technicians did not properly fit the sideloader's guide rollers within the rails at Ryerson's facility. As a result, the sideloader tended to wobble from side to side and to jam. A Ryerson employee sustained serious head and brain injuries while operating it. The parties do not dispute that Arbor's negligence—not any defect in Raymond's product, the sideloader—caused this accident.

The injured worker sued Raymond and Arbor, among others, for damages. During discovery, one of the two Arbor technicians essentially admitted that he knew the sideloader was unsafe when he placed it into service. Arbor and Raymond settled the action prior to trial for $6 million, and Arbor's primary liability insurer contributed $3 million toward the settlement. Raymond looked to National for the balance, contending that the vendor's endorsement, which listed Arbor as an additional insured, provided coverage. National contested coverage. Ultimately, however, National and Raymond agreed to contribute $2.5 million and $500,000 respectively, while reserving their rights to resolve their coverage dispute in a separate action.

Raymond and Arbor brought this action seeking judgment against National for Raymond's $500,000 contribution towards the settlement of the underlying action. National counterclaimed for judgment against Raymond in the amount of its $2.5 million contribution. After discovery, both parties moved for summary judgment. Supreme Court denied Raymond's motion and granted National summary judgment, dismissing Raymond's complaint and issuing judgment on National's counterclaim. The court concluded that the vendor's endorsement was limited to personal injury claims arising out of a product defect.

The Appellate Division, unlike Supreme Court, read the vendor's endorsement as broad enough to cover claims arising out of the vendor's negligence. Accordingly, the Appellate Division reversed, on the law, denied National's motion, and granted Raymond summary judgment, declaring that Arbor is an additional insured under the policy. National appealed, and we now reverse.

II.

The vendor's endorsement (Endorsement 5 [''Additional Insured—Vendors Schedule'']) in the policy states that,

> '' '[s]ection III—Who is An Insured' is amended to include as an Insured any person or organization (referred to below as 'vendor') shown in the schedule, but only with respect to 'Bodily Injury' or 'Property Damage' arising out of 'Your Products' [Raymond's products] shown in the schedule which are distributed, sold, repaired, serviced, demonstrated, installed or rented to others in the regular course of the vendor[']s business, subject to'' several exclusions.

''In determining a dispute over insurance coverage, we first look to the language of the policy. We construe the policy in a way that affords a fair meaning to all of the language employed by the parties in the contract and leaves no provision without force and effect'' (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208, 221-222 [2002] [internal quotation marks and citations omitted]). We will ''not disregard clear provisions which the insurers inserted in the policies and the insured accepted, and equitable considerations will not allow an extension of coverage beyond its fair intent and meaning in order to obviate objections which might have been foreseen and guarded against'' (*Caporino v Travelers Ins. Co.*, 62 NY2d 234, 239 [1984] [citation omitted]).

Here, the policy covers vendors, such as Arbor,

> ''only with respect to 'Bodily Injury' or 'Property Damage' *arising out of [Raymond's products] . . . which are distributed, sold, repaired, serviced, demonstrated, installed or rented* to others in the regular course of the vendor[']s business'' (emphasis added).

We conclude that bodily injuries ''arising out of [Raymond's products]'' means injuries arising out of defects in the products, rather than arising out of the vendor's negligence. The modifying phrase, ''which are distributed, sold, repaired, serviced, demonstrated, installed or rented to others in the regular course of the vendor[']s business,'' on which Raymond places so much emphasis, is most naturally read to describe Arbor's activities with respect to Raymond's products, not—as Raymond argues—to indemnify Arbor for its negligent performance of those activities.

This phrase reflects that Arbor is not only a vendor of Raymond's products, but also repairs, services, demonstrates, installs and rents them. A vendor's endorsement "extend[s] coverage to distributors of [the vendor's] product who may be sued for breach of warranty or for strict products liability should the product turn out to be defective or unreasonably dangerous and cause an injury" (*Hartford Fire Ins. Co. v St. Paul Surplus Lines Ins. Co.*, 280 F3d 744, 745 [7th Cir 2002]). The vendor's endorsement here also extends coverage for any defective-product suits arising out of all the activities in addition to sale and distribution which Arbor, in fact, performs with respect to Raymond's products.

The dissent would discover coverage for vendor negligence in negative inferences from the policy's exclusions, but "an exclusion from insurance coverage cannot create coverage" (*Continental Cas. Co. v Pittsburgh Corning Corp.*, 917 F2d 297, 300 [7th Cir 1990]; *see also Weedo v Stone-E-Brick, Inc.*, 81 NJ 233, 247, 405 A2d 788, 795 [1979] [it is a "basic principle that exclusion clauses *subtract* from coverage rather than grant it"]). In any event, the exclusions that trouble the dissenters are consistent with our reading of the endorsement.

Exclusion 1 (A) excludes coverage for claims "for which the Insured is obligated to pay 'damages' by reason of the assumption of liability in a contract or agreement." For example, in order to obtain business or other favorable contract terms from a customer, Arbor might agree to assume liability in any product-defect suit brought against the customer by Arbor's employee who installed or repaired Raymond's product, or by the customer's employee. By excluding coverage for "[a]ny Express Warranty unauthorized by [Raymond]," exclusion 1 (B) simply provides that the policy's coverage for product defects is unavailable where the plaintiff's claim is based on an express warranty made by Arbor—for example, in a marketing or sales brochure—when this warranty was unauthorized by Raymond.

Exclusion 1 (D) excludes coverage for Arbor's failure to make promised or normally-performed "inspections, adjustments, tests or servicing . . . in connection with distribution or sale of the products." Thus, this exclusion provides that, while defective-product injuries generally fall within the scope of the endorsement, there is no such coverage if Arbor fails to maintain the product. Contrary to the view expressed by the dissent, this exclusion makes sense because neglect to maintain a product properly may eventually cause it to become defective, or so it might be alleged in a product-defect lawsuit.

Under exclusion 1 (E), the coverage afforded Arbor does not apply to ''[d]emonstration, installation, servicing or repair operations *except such operations performed by the Vendor*'' (emphasis added). Thus, there is no coverage where the defective product causing the injury was being demonstrated, installed, serviced, repaired or rented by someone other than Arbor, Raymond's vendor. This exclusion ensures that Raymond—rather than a nonvendor third party—created the allegedly injury-causing product defect. Exclusions 1 (D) and 1 (E) both supply incentives for Arbor to maintain and demonstrate Raymond's products itself rather than farm out these activities to third parties who may lack Arbor's expertise or knowledge.

The vendor's endorsement has its genesis in products liability law. Accordingly, ''[s]uch an endorsement covers the vendors' liability arising out of their role in passing the manufacturer's product on to customers, but does not cover vendors for their own negligence. Coverage under the vendor's endorsement is limited to injuries arising out of a defect in the manufacturer's product'' (9 Couch on Insurance 3d § 130:3 [1997]).

As the Seventh Circuit Court of Appeals elaborated in *Hartford*,

> ''the purpose of a vendor's endorsement is to protect the vendor (i.e., dealer or other distributor) *against the expense of being dragged as an additional defendant into a lawsuit arising from a defect in a product that it distributes*. It makes sense for the manufacturer to buy the insurance, as he has a better sense of the risk that there will be suits complaining about defects in his products. This assumes, however, that the vendor's role in the distribution of the product is passive. The manufacturer would be unlikely to insure the vendor against defects introduced by the vendor himself, . . . the risk of those defects being better known to the vendor than to the manufacturer. . . .
>
> ''Beyond that, the vendor's endorsement is inappli-

> cable if the vendor, whether by participating in the creation of the product or by altering or repairing it, may be responsible for the alleged defect out of which the products liability suit arises. That at least is the majority view'' (280 F3d at 746-747 [citations omitted and emphasis added]).

The court further remarked upon the ''improbability of supposing that the manufacturer's insurer intends to protect others against the risks that the others create'' (*id.* at 747), and noted the

> ''further consideration . . . that vendor's endorsement policies are cheap add-ons to products liability policies . . . and their cheapness makes the most sense if they're limited to the case in which the vendor, being completely passive in relation to the harm giving rise to liability rather than the active author of the harm, would be entitled to indemnity from the manufacturer in the event that he (the vendor) was sued and held liable and made to pay damages. For in such a case the vendor's endorsement would be unlikely to impose a big loss on the insurance company even if the vendor was hit with a damages judgment'' (*id.* [citation omitted]).

In sum, the vendor's endorsement in this case covers Arbor for defective-product suits arising out of its distribution, sale, repair, servicing, demonstration or rental of Raymond's products. Nothing in the wording of the endorsement (or the exclusions, for that matter) suggests that bodily injuries ''arising out of'' Raymond's products encompasses the vendor's independent acts of negligence. Our interpretation of the endorsement follows its language and comports with the traditional majority view, the origins of the vendor's endorsement as an outgrowth of products liability law, and common and economic sense.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court reinstated.

R.S. Smith, J. (dissenting). I agree that the ''purpose of a vendor's endorsement,'' as it is described in *Hartford Fire Ins. Co. v St. Paul Surplus Lines Ins. Co.* (280 F3d 744, 746 [7th Cir 2002]) and elsewhere, would be served by reading the endorsement in this case the way the majority does. But I cannot reconcile that reading with the language of the endorsement, and I therefore dissent.

The endorsement protects vendors like Arbor against claims for " 'Bodily Injury' or 'Property Damage' arising out of 'Your [Raymond's] Products' . . . which are distributed, sold, repaired, serviced, demonstrated, installed or rented to others in the regular course of the vendors [*sic*] business." The majority reads the words "arising out of 'Your Products' " to mean "arising out of defects in 'Your Products' " (majority op at 162). This reading of the phrase is not an impossible one, though it departs from our usual practice of resolving ambiguities in favor of the insured (*United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229, 232 [1986]); I might accept the majority's reading if the rest of the vendor's endorsement were consistent with it. When I read the exclusions from the vendor's endorsement, however, I cannot believe that the author of the document intended only actions arising out of product defects to be within the endorsement's coverage. If that was the author's intention, the exclusions are largely unnecessary.

The vendor's endorsement contains six exclusions, of which four are rendered pointless by the majority's interpretation. Those four provide:

> "The Coverage afforded the Vendor does not apply to:
>
> "A. 'Bodily Injury' or 'Property Damage' for which the Insured is obligated to pay 'damages' by reason of the assumption of liability in a contract or agreement;
>
> "This exclusion does not apply to liability for 'damage' that the 'Insured' would have in absence of the contract or agreement;
>
> "B. Any Express Warranty unauthorized by 'YOU';
>
> . . .
>
> "D. Any failure to make such inspections, adjustments, tests or servicing as the Vendor has agreed to make or normally undertakes to make in the usual course of business, in connection with distribution or sale of the products;
>
> "E. Demonstration, installation, servicing or repair operations except such operations performed by the Vendor . . . ."

If, as the majority says, the vendor's endorsement applies only in cases arising out of product defects, why did the author bother to write exclusion A, for cases where the claim arises not out of a product defect, but solely out of a ''contract or agreement''? Or exclusion B, for cases arising not out of product defects, but out of express warranties? Or exclusion D, for cases arising from certain failures by the vendor? Exclusion D is a very strange provision if all failures by the vendor are outside the endorsement's coverage to begin with. Perhaps most compelling, exclusion E, which denies coverage for ''[d]emonstration, installation, servicing or repair operations *except such operations performed by the Vendor*,'' necessarily implies that coverage does exist for demonstrations and the like that *are* performed by the vendor.

I find the majority's attempts to give these exclusions some meaning that is consistent with its interpretation of the endorsement completely unpersuasive. It is far-fetched to think that exclusion A was intended to cover the very rare case where a manufacturer would not be liable for a product defect but for its assumption of liability in a contract; I am impressed that the majority can come up with a single example—an agreement to waive workers' compensation protection (majority op at 163)—but I cannot believe that is what the author of the endorsement had in mind. The majority simply restates exclusion B, mentioning that express warranties might be contained ''in a marketing or sales brochure,'' but making no attempt to explain why claims based on such warranties would be excluded from an endorsement that did not cover them in the first place (*id.*). I think the majority is simply wrong in saying that exclusion D ''makes sense because neglect to maintain a product properly may eventually cause it to become defective'' (*id.* at 164); that is not what ''product defect'' means (*see* Black's Law Dictionary 450 [8th ed 2004] [''An imperfection in a product that has a manufacturing defect or design defect, or is faulty because of inadequate instructions or warnings'']). The majority is no doubt right that a product defect caused by poor maintenance, or any other imaginable piece of illogic, ''might be alleged in a product-defect lawsuit'' (majority op at 164), but it is highly unlikely that exclusion D was written to provide against that possibility. The majority's explanation of exclusion E is that it is designed to insure ''that Raymond—rather than a nonvendor third party—created the allegedly injury-causing product defect'' (*id.*). But defects are not product defects unless the manufacturer ''created'' them, and if the endorsement were limited to claims based on product defects, there would be no reason either to exclude any acts by vendors or to distinguish, as exclusion E does, between third-party vendors and Arbor.

Thus, I read the vendor's endorsement here as applicable to a case, like this one, arising out of an injury caused by a Raymond product, whether the product was defective or not. Cases from other jurisdictions support this reading. *Pep Boys v Cigna Indem. Ins. Co. of N. Am.* (300 NJ Super 245, 692 A2d 546 [1997]) and *Sportmart, Inc. v Daisy Mfg. Co.* (268 Ill App 3d 974, 645 NE2d 360 [1994]) are indistinguishable from this case. Both involved vendors that negligently sold products to minors; in neither case was there any claim that there was anything wrong with the products themselves. Both cases involved policy language that, to the extent it is quoted in the decisions, was word-for-word identical to the language at issue here. In both cases, the vendor was held to be covered by the policy.

The majority relies on *Hartford* but, while Judge Posner's opinion contains general remarks about vendor's endorsements that are consistent with the result the majority reaches, *Hartford* was quite a different case. The vendor there had not only sold the product in question—a diet pill—but had ''designed the contents of the label, including the warnings'' (280 F3d at 746). The injured person claimed that the warnings were inadequate (*id.*). The vendor's endorsement contained ''an express exception for cases in which a claim of products liability is based on the labeling or relabeling of the product by the vendor'' (*id.* at 747)—so that the result in *Hartford* seems to have been compelled by clear policy language. Nor do any of the cases cited by the *Hartford* court for what it called the ''majority view'' (*id.*) turn on an interpretation of language similar to that at issue here.

The majority also relies on Couch's treatise, which says that coverage under vendor's endorsements ''is limited to injuries arising out of a defect in the manufacturer's product'' (9 Couch on Insurance 3d § 130:3 [1997], quoted at majority op at 164). But the treatise does not offer this comment as an interpretation of any particular policy language. The treatise, I believe, must be read as describing what vendor's endorsements often say, or what its author believes they ought to say. This one does not say it.

I therefore conclude that the Appellate Division correctly held that the claim against Arbor was within the coverage provided by the vendor's endorsement, and I would affirm the Appellate Division's order.

Chief Judge KAYE and Judges G.B. SMITH and CIPARICK concur with Judge READ; Judge R.S. SMITH dissents and votes to affirm in a separate opinion in which Judges ROSENBLATT and GRAFFEO concur.

Order reversed, etc.

[833 NE2d 252, 800 NYS2d 109]

In the Matter of JAKE BELLO, Ph.D., et al., Respondents, v ROSWELL PARK CANCER INSTITUTE et al., Appellants.

Argued June 1, 2005; decided June 29, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 19, 2004. The Appellate Division order, insofar as appealed from, affirmed an amended judgment of the Supreme Court, Erie County (John A. Michalek, J.), entered in a proceeding pursuant to CPLR article 78, to the extent that it awarded petitioners predecision interest at the rate of 9% per annum on their awards of back pay.

Matter of Bello v Roswell Park Cancer Inst., 5 AD3d 1017, reversed.

HEADNOTE

Interest — Prejudgment Interest — Award of Back Pay to Reinstated State Employee

Petitioners, who were awarded back pay pursuant to Civil Service Law § 77, were not entitled to predecision interest. The statute provides that a state employee who is unlawfully removed from his or her position and then reinstated to that position by court order ''shall be entitled to receive . . . the salary or compensation which he would have been entitled by law to have received in such position but for such unlawful removal.'' Interest is unavailable in such a case because the statute makes no mention of it. To the extent that section 77 waives the State's sovereign immunity, such waiver is to be strictly construed, and an implicit provision for interest will not be found in a statute that makes no mention of it. In addition, petitioners were not entitled to interest under CPLR 5001 (a) because their action to enforce the right to back pay contained in Civil Service Law § 77 was not an action for breach of contract or for injury to or interference with property.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service § 101; AM JUR 2d, Interest and Usury §§ 42, 44.

CARMODY-WAIT 2d, Judgments § 63:72.

MCKINNEY'S, CPLR 5001 (a); Civil Service Law § 77.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 539, 540; NY JUR 2d, Damages § 118; NY JUR 2d, Interest and Usury § 35.

SIEGEL, NY PRAC § 411.

ANNOTATION REFERENCE

See ALR Index under Backpay; Civil Service; Interest on Money.

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POINTS OF COUNSEL

Eliot Spitzer, Attorney General, Albany (*Robert M. Goldfarb, Caitlin J. Halligan, Daniel Smirlock* and *Wayne L. Benjamin* of counsel), for appellants. I. A reinstated state civil service employee is not entitled to predecision interest on a back pay award recovered under Civil Service Law § 77 as damages incidental to a judgment in a CPLR article 78 proceeding annulling his or her termination from employment. (*Matter of Meloni v Goord,* 267 AD2d 977, 94 NY2d 944; *Matter of Transit Cas. Co.,* 223 AD2d 488; *Rust v Reyer,* 91 NY2d 355; *Morris v Snappy Car Rental,* 84 NY2d 21; *Juarez v Wavecrest Mgt. Team,* 88 NY2d 628; *Brown v State of New York,* 89 NY2d 172; *Sharapata v Town of Islip,* 56 NY2d 332; *Krohn v New York City Police Dept.,* 2 NY3d 329; *Matter of Lehigh Val. R.R. Co. v Joseph,* 281 App Div 57, 305 NY 853; *Library of Congress v Shaw,* 478 US 310.) II. Any change in the law to authorize predecision interest on such awards must be effected legislatively. (*Rupert v Sellers,* 50 NY2d 881, 449 US 901; *Purcell v Long Is. Daily Press Publ. Co.,* 9 NY2d 255.)

Offermann, Cassano, Greco, Slisz & Adams, LLP, Buffalo (*Josephine A. Greco* and *Kevin P. Wicka* of counsel), for respondents. The Appellate Division properly affirmed the trial court's granting of predecision interest on the respective awards of back pay. (*Matter of Della Vecchia v Town of N. Hempstead,* 207 AD2d 483; *Matter of Boylan v Town of Yorktown,* 179 AD2d 753; *Matter of Sharkey v Police Dept. of Town of S. Hampton,* 179 AD2d 655; *Matter of Kohler v Board of Educ., S. Huntington Union Free School Dist.,* 142 AD2d 676; *Buric v Safir,* 4 AD3d 160; *Harvey v State of New York,* 281 AD2d 846; *Merritt Hill Vineyards v Windy Hgts. Vineyard,* 61 NY2d 106; *Matter of Lombardi v Supreme Ct. of State of N.Y.,* 20 NY2d 690; *Matter of Caruthers,* 158 NY 131; *Racine v Morris,* 201 NY 240.)

OPINION OF THE COURT

R.S. SMITH, J.

We hold that an award of back pay pursuant to Civil Service Law § 77 may not include predecision interest.

Facts and Procedural History

Petitioners are research scientists who were laid off by the Roswell Park Cancer Institute (RPCI), a state institute under the management and control of the Department of Health. They brought a CPLR article 78 proceeding against RPCI, the Department, and several other state agencies and officials (collectively, the State), challenging the layoffs. Supreme Court held that the layoffs were unlawful and that petitioners were entitled to back pay with interest on each installment ''from the date it was incurred, if such designation is possible or from a single reasonable intermediate date.''

The Appellate Division modified Supreme Court's judgment in a way not relevant here, and otherwise affirmed. The State appeals, pursuant to leave granted by this Court, challenging only the predecision interest award. We now reverse the Appellate Division's order insofar as it is appealed from.

Discussion

Prejudgment or predecision interest generally was not available at common law (*see Monessen Southwestern R. Co. v Morgan*, 486 US 330, 337 [1988]). Before the adoption of the Civil Practice Law and Rules, interest was allowed in New York in certain kinds of cases, sometimes without statutory authority (*see* former Civ Prac Act § 480; *Flamm v Noble*, 296 NY 262 [1947]; *Wilson v City of Troy*, 135 NY 96 [1892]), but today interest is purely a creature of statute (*see* CPLR 5001; *Matter of Meloni v Goord*, 267 AD2d 977, 978 [4th Dept 1999]). The controlling statute in this case is Civil Service Law § 77, which provides:

> ''Any officer or employee who is removed from a position in the service of the state or of any civil division thereof in violation of the provisions of this chapter, and who thereafter is restored to such position by order of the supreme court, shall be entitled to receive and shall receive from the state or such civil division, as the case may be, the salary or compensation which he would have been entitled by law to have received in such position but for such unlawful removal, from the date of such unlawful

> removal to the date of such restoration, less the amount of any unemployment insurance benefits he may have received during such period. Such officer or employee shall be entitled to a court order to enforce the payment of such salary or compensation.''

The State argues that interest is unavailable in this case because section 77 makes no mention of it. Petitioners argue that a right to interest is implicit in the statute's reference to ''compensation''; they say that a claimant who is deprived for a period of time of money that he or she is entitled to cannot be fully compensated unless interest is awarded. We agree with the State, and reject petitioners' argument.

The statute does not just create a general right to ''compensation''; it is specific about what a claimant ''shall be entitled to receive.'' It speaks of ''salary *or* compensation''—indicating that ''compensation'' refers to bonuses or other nonsalary forms of payment. It provides for the deduction of unemployment insurance benefits. Until 1985, it also provided for deduction of ''compensation which [the reinstated employee] may have earned in any other employment or occupation'' (Civil Service Law former § 77), thus adopting the common-law ''mitigation of damages'' rule. When the statute was amended to eliminate the mitigation requirement, the amendment did not contain any provision for interest. We conclude that a legislature giving such careful attention to the components of a back pay award would have added the words ''with interest'' if it had intended interest to be awarded.

In interpreting section 77, we give some weight to the fact that it provides for recoveries against ''the state'' as well as ''any civil division thereof.'' To the extent that it allows recovery against the State, the statute waives the State's sovereign immunity. Such waivers are to be strictly construed, ''waiver of immunity by inference being disfavored.'' (*Sharapata v Town of Islip*, 56 NY2d 332, 336 [1982]; *see Krohn v New York City Police Dept.*, 2 NY3d 329, 338 [2004].) This rule reinforces our reluctance to find an implicit provision for interest in a statute that makes no mention of it.

Petitioners argue that it is unfair to deny them interest on money that has been wrongly withheld from them. There is force in this argument, but we may not rewrite the statute to achieve more ''fairness'' than the Legislature chose to enact. The Legislature did not have to permit recovery of back pay at all; nor did it have to eliminate the mitigation requirement—a feature of the statute that will, in some cases, give wrongly terminated employees a substantial windfall. Having allowed for back pay, and having eliminated the requirement of mitigation, the Legislature did no more.

Finally, petitioners argue that they are entitled to interest under CPLR 5001 (a), which says: ''Interest shall be recovered upon a sum awarded because of a breach of performance of a contract, or because of an act or omission depriving or otherwise interfering with title to, or possession or enjoyment of, property.'' We find this argument to be without merit. Petitioners are not suing for breach of contract or for injury to or interference with any property. They are suing to enforce the right to back pay given to them by Civil Service Law § 77, and that statute does not provide for predecision interest.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the case remitted to Supreme Court with directions to delete the award of predecision interest.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order, insofar as appealed from, reversed, etc.

[833 NE2d 261, 800 NYS2d 118]

DAVID L. THORNTON et al., Respondents-Appellants, v SHLOMO BARON et al., Defendants, and 390 WEST END ASSOCIATES, L.L.C., Appellant-Respondent.

Argued June 7, 2005; decided June 30, 2005

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 26, 2004. The Appellate Division affirmed an order of the Supreme Court, New York County (Marylin Diamond, J.), which had denied defendant landlord's motion for summary judgment dismissing plaintiffs' claims against it and for judgment on its counterclaims, and granted plaintiffs' cross motion for summary judgment on its claims and dismissing all counterclaims against them to the extent of ruling that the legal regulated rent for the subject apartment be determined by using a certain default formula developed by the New York State Division of Housing and Community Renewal. The following question was certified by the Appellate Division: ''Was the order of Supreme Court, as affirmed by this Court, properly made?''

Thornton v Baron, 4 AD3d 258, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Improper Removal of Apartment from Rent Stabilization — Establishment of Legal Regulated Rent

The legal regulated rent for an apartment improperly removed from rent stabilization should be established based on the default formula used by the Division of Housing and Community Renewal (DHCR) to set the base date rent in overcharge cases where no reliable rent records are available. The Rent Regulation Reform Act of 1997 (L 1997, ch 116) clarified and reinforced the four-year statute of limitations applicable to rent overcharge claims by limiting examination of the rental history of housing accommodations prior to the four-year period preceding the filing of an overcharge complaint. Reflecting an attempt to circumvent the Rent Stabilization Law in violation of the public policy of New York, the lease at issue, which purported to exempt an apartment from rent regulation in exchange for an agreement not to use the apartment as a primary residence, was void at its inception. Further, because the rent it purported to establish was therefore illegal, the rent registration statement listing this illegal rent was also a nullity.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 1069, 1072, 1073, 1075.

Dolan, Rasch's New York Landlord and Tenant including Summary Proceedings (4th ed) § 2:40.
NY Jur 2d, Landlord and Tenant §§ 421, 429, 491.
New York Real Property Service § 74:73.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: rent /2 stabiliz! & default /3 formula

POINTS OF COUNSEL

Belkin Burden Wenig & Goldman, LLP, New York City (*Magda L. Cruz, Sherwin Belkin, Howard Wenig* and *Jay H. Berg* of counsel), for appellant-respondent. I. The legal regulated rent for the new rent stabilized prime lease to the subtenants was properly calculated in accordance with ''the four year rule.'' (*Matter of Gilman v New York State Div. of Hous. & Community Renewal,* 99 NY2d 144; *Myers v Frankel,* 292 AD2d 575; *Zafra v Pilkes,* 245 AD2d 218; *Matter of Silver v Lynch,* 283 AD2d 213; *Matter of McCarthy v New York State Div. of Hous. & Community Renewal,* 290 AD2d 313; *Matter of Sessler v New York State Div. of Hous. & Community Renewal,* 282 AD2d 262; *Matter of Hatanaka v Lynch,* 304 AD2d 325; *Matter of Kandemir v New York State Div. of Hous. & Community Renewal,* 4 AD3d 122; *Matter of AVJ Realty Corp. v New York State Div. of Hous. & Community Renewal,* 8 AD3d 14; *Matter of Brinckerhoff v New York State Div. of Hous. & Community Renewal,* 275 AD2d 622, 96 NY2d 712.) II. The uncodified ''default formula'' has no applicability to this case. (*Myers v Frankel,* 184 Misc 2d 608; *Matter of Greenthal Co. v State Div. of Hous. & Community Renewal,* 126 Misc 2d 795; *Matter of Miller v Division of Hous. & Community Renewal,* 289 AD2d 20; *Matter of Spariosu v New York State Div. of Hous. & Community Renewal,* 285 AD2d 649; *Matter of Century Tower Assoc. v State of N.Y. Div. of Hous. & Community Renewal,* 83 NY2d 819; *Matter of Lavanant v State Div. of Hous. & Community Renewal,* 148 AD2d 185; *Matter of Clear Holding Co. v State Div. of Hous. & Community Renewal,* 268 AD2d 430.) III. If a ''default formula'' is to apply, then the Court should adopt the *codified* default formula at Rent Stabilization Code (9 NYCRR) § 2522.6 (b) and remand the matter to the Division of Housing and Community Renewal. (*Matter of Cabrini Realty v New York State Div. of Hous. & Com-*

munity Renewal, 6 AD3d 280; *390 W. End Assoc. v Zouker,* 302 AD2d 227.)

Vernon & Ginsburg, LLP, New York City (*Darryl M. Vernon* and *Michael T. Yonker* of counsel), for respondents-appellants. I. The prospective rent should be set as of the commencement of the void illusory lease. (*Simcuski v Saeli,* 44 NY2d 442; *General Stencils v Chiappa,* 18 NY2d 125; *Glus v Brooklyn Eastern Dist. Terminal,* 359 US 231; *390 W. End Ave. Assoc. v Youngstein,* 221 AD2d 292; *Matter of Brinckerhoff v New York State Div. of Hous. & Community Renewal,* 275 AD2d 622; *Matter of Sessler v New York State Div. of Hous. & Community Renewal,* 282 AD2d 262; *390 W. End Assoc. v Baron,* 274 AD2d 330; *Mondello v New York Blood Ctr.—Greater N.Y. Blood Program,* 80 NY2d 219; *Brock v Bua,* 83 AD2d 61; *Buran v Coupal,* 87 NY2d 173.) II. Because of 390 West End Associates, L.L.C.'s evasion of rent regulation, and to deter similar attempts by other landlords, the prospective rent should be set by the default formula articulated below or, alternatively, at the last lawful rent. (*390 W. End Assoc. v Harel,* 298 AD2d 11; *Matter of Cabrini Realty v New York State Div. of Hous. & Community Renewal,* 6 AD3d 280.) III. If this Court does not set the rent as of the inception of the void lease, then the lower courts' application of the default formula should be affirmed. (*390 W. End Assoc. v Baron,* 274 AD2d 330; *Diocese of Buffalo v McCarthy,* 91 AD2d 213; *Rivertower Assoc. v Chalfen,* 167 AD2d 309; *Myers v Frankel,* 292 AD2d 575; *Matter of Sessler v New York State Div. of Hous. & Community Renewal,* 282 AD2d 262; *Matter of Kandemir v New York State Div. of Hous. & Community Renewal,* 4 AD3d 122; *Matter of Muller v New York State Div. of Hous. & Community Renewal,* 263 AD2d 296; *Matter of Pechock v New York State Div. of Hous. & Community Renewal,* 253 AD2d 655; *Matter of Hatanaka v Lynch,* 304 AD2d 325; *Matter of McCarthy v New York State Div. of Hous. & Community Renewal,* 290 AD2d 313.)

OPINION OF THE COURT

Chief Judge KAYE.

We are asked in this appeal to establish the legal regulated rent for an apartment improperly removed from rent stabilization.

Defendant 390 West End Associates is the owner of the Apthorp, a residential apartment building on the Upper West Side of Manhattan. In the early 1990s, the owner hit upon a scheme to remove a number of its apartments from the protections of rent regulation by taking advantage of the statutory exemption for nonprimary residences (*see* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-504 [a] [1] [f]). Having included in its leases a provision that the tenants would not use the apartments as primary residences, 390 offered at least six such leases charging rent far in excess of the legal stabilized rent. Several of these apartments were immediately subleased to third parties who would also agree not to primarily reside in the apartment. In nearly every case, however, either the tenant or subtenant—despite representations to the contrary—used the apartment as a primary residence.

In December 1992, defendant Shlomo Baron entered into such a lease. Under its terms, Baron agreed to rent a four-room apartment—for which the previous tenant had paid a stabilized rent of $507.85 per month—for an initial monthly rent of $2,400, with increases beginning after three years. Baron then immediately subleased the apartment to Cynthia and David Thornton for $3,250 per month, increasing to $3,500 after two years and then to $3,750 after three.

Baron was represented in these transactions by his daughter and son-in-law, Zipora and Bernard Weber, themselves rent-stabilized tenants at the Apthorp. Indeed, the Webers acted as agents for at least two other tenants—one of them Baron's son—who similarly conspired with the owner to circumvent rent stabilization by leasing apartments as nonprimary residences above the regulated rent, so as then to sublease the apartments at even higher rents. In this way, both the owner and the prime tenants earned profits far above what the Rent Stabilization Law allowed.

In an effort to obtain judicial sanction of these arrangements, in 1993 the owner sought and won declaratory judgments that these apartments, as nonprimary residences, were exempt from rent stabilization. In each case the owner, as plaintiff, filed an action against its tenant (named as defendant) seeking declaratory relief. Filing no answer, the purported defendant instead quickly entered into a stipulation with the plaintiff agreeing to the entry of a consent judgment upholding the terms of the parties' bargain. Although no justiciable controversy actually existed, the parties thus endeavored to use the courts to achieve their joint purpose of freeing the apartments from regulation. Further, having obtained judicial endorsement of the leases, the owner then filed annual rent registration statements setting forth the agreed-upon rents and listing the apartments as temporarily exempt from rent stabilization (*see* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-517 [a]).

A lease provision purporting to exempt an apartment from rent regulation in exchange for an agreement not to use the apartment as a primary residence is against public policy and void (*see Draper v Georgia Props.*, 94 NY2d 809 [1999]; Rent Stabilization Code [9 NYCRR] § 2525.3 [b]; § 2520.13). In 1999, the owner moved to vacate the Baron consent judgment and restore the subject apartment to rent stabilization. Although the parties differ with respect to 390's motive for bringing this motion—the owner claims that it sought simply to comply with the law, while the subtenant ascribes more nefarious purposes—the judgment was ultimately vacated (*see 390 W. End Assoc. v Baron*, 274 AD2d 330 [1st Dept 2000]).

Meanwhile, in 1996, the Thorntons commenced the present action against Baron and the Webers, claiming rent overcharges under the Rent Stabilization Law. Although the Thorntons made false written statements to the contrary at the time they signed their sublease, the record reveals that they have used the subject apartment as their primary residence since the commencement of their subtenancy. Supreme Court thus determined that Baron's tenancy was illusory and that the Thorntons were the actual tenants of the apartment, which should never have been removed from rent stabilization.

In November 2000, the Thorntons amended their complaint to name the owner as a defendant, adding a cause of action to compel the owner to offer them a rent-stabilized lease at $507.85 per month—the regulated rent immediately preceding Baron's illusory tenancy. In response, the owner conceded that the apartment was subject to rent stabilization, but contended that the legal rent was to be calculated from a base date rent of $2,496—the rent reflected in the annual registration statement filed in 1996, four years before plaintiffs filed their amended complaint. Supreme Court, however, adopted neither view. Rather, the court ruled that the legal rent must be fixed based on the default formula used by the Division of Housing and Community Renewal (DHCR) to set the base date rent in overcharge cases where no reliable rent records are available.[1] The Appellate Division split over this question, with the majority endorsing Supreme Court's methodology and the dissent accepting plaintiffs' view that the legal regulated rent should be that in effect at the commencement of the illegal Baron lease in 1992 ($507.85). We now affirm.

Only one question is before us: How is the legal regulated rent of the apartment to be established? As the courts below recognized, the Rent Regulation Reform Act of 1997 (RRRA) (L 1997, ch 116) clarified and reinforced the four-year statute of limitations applicable to rent overcharge claims (*see* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-516 [a]) by limiting examination of the rental history of housing accommodations prior to the four-year period preceding the filing of an overcharge complaint (*see Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]; L 1997, ch 116, § 33). ''Where the amount of rent set forth in the annual rent registration statement filed four years prior to the most recent registration statement is not challenged within four years of its filing, neither such rent nor service of any registration shall be subject to challenge at any time thereafter'' (Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-516 [a]).

Here, plaintiffs filed their amended complaint—which named 390 as a defendant for the first time—in November 2000.[2] This is not a situation where an order issued prior to the limitations period imposed a continuing obligation on a landlord to reduce rent, such that the statute of limitations would be no defense to an action based on a breach of that duty occurring within the limitations period. Thus, the apartment's rental history before November 1996 may not be examined, and the $507.85 rent in effect in 1992 is of no relevance.[3] That being so, the owner contends that the legal regulated rent should be established by

1. This formula uses the lowest rent charged for a rent-stabilized apartment with the same number of rooms in the same building on the relevant base date.

2. We reject plaintiffs' contention that their amended complaint against 390 should relate back to the original complaint filed against Baron and the Webers in October 1996, because defendants were not united in interest within the meaning of CPLR 203 (b) (*see Buran v Coupal*, 87 NY2d 173 [1995]).

3. Because defendants' fraudulent scheme to evade the Rent Stabilization Law did not induce plaintiffs to refrain from filing a timely action, the owner is not equitably estopped from invoking the statute of limitations (*see Simcuski v Saeli*, 44 NY2d 442, 448-449 [1978]).

simple reference to the rental history as of November 1996, by which time an annual registration statement had been filed listing the $2,496 rent charged to Baron.[4] We disagree.

Reflecting an attempt to circumvent the Rent Stabilization Law in violation of the public policy of New York, the Baron lease was void at its inception. Further, because the rent it purported to establish was therefore illegal, the 1996 rent registration statement listing this illegal rent was also a nullity. Under those circumstances, we agree with Supreme Court and the Appellate Division majority that the default formula used by DHCR to set the rent where no reliable rent records are available was the appropriate vehicle for fixing the base date rent here.[5]

The dissent would ignore defendants' fraudulent conduct and fix the rent at an amount likely soon to result in the apartment's permanent removal from rent stabilization, thereby rewarding the owner's wrongdoing. Under the dissent's rule, a landlord whose fraud remains undetected for four years—however willful or egregious the violation—would, simply by virtue of having filed a registration statement, transform an illegal rent into a lawful assessment that would form the basis for all future rent increases. Indeed, an unscrupulous landlord in collusion with a tenant could register a wholly fictitious, exorbitant rent and, as long as the fraud is not discovered for four years, render that rent unchallengeable. That surely was not the intention of the Legislature when it enacted the RRRA. Its purpose was to alleviate the burden on honest landlords to retain rent records indefinitely (*see Gilman*, 99 NY2d at 149), not to immunize dishonest ones from compliance with the law.

Although the subtenants who brought the overcharge complaint themselves had unclean hands, the principle we establish here will apply equally to innocent renters looking to succeed illusory tenancies. The dissent's contrary rule would bring about the rapid removal of many apartments from rent

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4. Once the legal regulated rent reaches $2,000, an apartment will be removed altogether from rent stabilization if either the apartment becomes vacant (*see* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-504.2 [a]) or the tenants' total annual income exceeds $175,000 in each of the two preceding calendar years (*see* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-504.3 [b]).

5. Although 390 proposes that we adopt the default formula of Rent Stabilization Code (9 NYCRR) § 2522.6 (b), that provision by its plain terms applies only to judicial sales, bankruptcy proceedings and mortgage foreclosure actions.

stabilization—at least six such illusory leases have come to light in the Apthorp alone—undermining the statute's very purpose of preserving a stock of affordable housing. We cannot agree that the Legislature intended such a result.

We reach this conclusion not "so that one wrongdoer may benefit at the expense of another" (dissenting op at 183), but so that no wrongdoer may benefit at the expense of the public.

Accordingly, the order of the Appellate Division should be affirmed, without costs, and the certified question answered in the affirmative.

R.S. SMITH, J. (dissenting). The Rent Regulation Reform Act of 1997 amended the Rent Stabilization Law of 1969 to provide: "Where the amount of rent set forth in the annual rent registration statement filed four years prior to the most recent registration statement is not challenged within four years of its filing, neither such rent nor service of any registration shall be subject to challenge at any time thereafter" (Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-516 [a]). Today, the majority upholds a challenge to the amount of rent set forth in a registration statement, although the challenge was brought more than four years after the registration statement was filed. If I had written the statute, I would now be wondering what words I could possibly have used to make my meaning clearer.

The majority tries to reconcile its holding with the statute on the theory that the lease containing the challenged rent (entered into more than seven years before the challenge was brought) was in violation of public policy and "void at its inception" (majority op at 181). Therefore, the majority reasons, "the rent . . . was . . . illegal, [and] the 1996 rent registration statement listing this illegal rent was also a nullity" (majority op at 181). This approach destroys the effectiveness of the four-year time limitation, which has no point unless it protects illegal rents against challenge. If a rent is not illegal, a challenge will fail anyway and the four-year limit is unnecessary.

Plainly, the true basis for the majority's holding is the outrageousness of the landlord's conduct in this case. This is apparent from the torrent of adjectives—"fraudulent," "willful," "egregious," "unscrupulous," "fictitious," "exorbitant," "dishonest"—that the majority finds room for in a single paragraph (majority op at 181). Every one of the adjectives is deserved, but none of them justifies ignoring the statute. Statutes of limitations and similar enactments must, by their very nature, sometimes protect outrageous conduct. Many wrongs greater than the one done in this case have gone unremedied because the victim did not seek a remedy promptly enough. Here, the subtenants' remedy was to challenge the rent established by the 1992 lease within four years, and nothing prevented them from doing so. If the landlord had somehow tricked them into delaying their lawsuit, the landlord might be equitably estopped from relying on the lapse of time, but nothing of that sort happened.

Indeed, the subtenants who brought this case are less the landlord's victims than its coconspirators. The subtenants agreed to pay some six times the legal rent for the apartment in question, and to make the false representation that it was not their primary residence, for the obvious reason that they could not get this highly desirable apartment any other way. The real victim of the conspiracy was the unknown person who, but for the misconduct of all the parties to this case, could have rented an apartment in the Apthorp in 1992 for a bit more than $500 per month.

I acknowledge that the subtenants, despite their unclean hands, were entitled to challenge the unlawful rent that they agreed to pay—but they had four years to do so and no more. I see no good reason for the majority's decision to ignore the four-year limitation so that one wrongdoer may benefit at the expense of another. I would therefore modify the Appellate Division's order and would hold that the $2,496 rent set forth in the 1996 registration statement may not be challenged.

Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur with Chief Judge KAYE; Judge R.S. SMITH dissents in a separate opinion in which Judge READ concurs.

Order affirmed, etc.

[833 NE2d 259, 800 NYS2d 116]

FRANK B. IACOVANGELO, as Administrator of the Estate of GOLDIE GILCHRIST, Also Known as GOLDY BOND, Deceased, Appellant, v DAVID SHEPHERD et al., Respondents.

Argued June 7, 2005; decided June 30, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 1, 2004. The Appellate Division affirmed an order of the Supreme Court, Monroe County (Harold L. Galloway, J.), which had granted defendants' motion for summary judgment dismissing the amended complaint for lack of jurisdiction.

Iacovangelo v Shepherd, 11 AD3d 986, affirmed.

HEADNOTE

Pleading — Affirmative Defense — Addition of Jurisdictional Defense to Answer by Amendment as of Right

A defendant who omitted from an answer a defense based on lack of personal jurisdiction did not waive the defense where the omission was corrected before the time to amend the answer without leave of court had expired. Permitting a defendant to add a jurisdictional defense to an answer by an amendment as of right is consistent with CPLR 3211 (e), and advances the purpose of CPLR 3025 (a). CPLR 3025 (a) gives a party 20 days after serving a pleading to correct it or improve upon it, and the addition of a jurisdictional defense is no less proper a correction or improvement than any other. A party who adds such a defense by an amendment as of right ''raise[s] such objection in the responsive pleading'' within the meaning of CPLR 3211 (e).

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AM JUR 2d, Pleading §§ 249, 271, 747, 749, 799.

CARMODY-WAIT 2d, Amendment of Pleadings §§ 34:9, 34:12, 34:15, 34:50.

MCKINNEY'S, CPLR 3025 (a); 3211 (e).

NY JUR 2d, Pleading §§ 226, 228, 230, 253.

SIEGEL, NY PRAC § 236.

ANNOTATION REFERENCE

See ALR Index under Amendment of Pleadings.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: amend /3 answer /p lack /3 personal /2 jurisdiction /s waive*

POINTS OF COUNSEL

Gallo & Iacovangelo, LLP, Rochester (*Joseph B. Rizzo* of counsel), for appellant. Defendants waived any defense sounding in lack of personal jurisdiction. (*Addesso v Shemtob,* 70 NY2d 689; *DeFilippis v Perez,* 148 AD2d 490; *Sanchez v L.L.H. Recycled Aggregates,* 147 Misc 2d 41; *Urena v NYNEX, Inc.,* 223 AD2d 442.)

Bivona & Cohen, P.C., New York City (*Michael P. Lagnado, Harold J. Derschowitz* and *Ian H. Kaufman* of counsel), for respondents. Since defendants did not move for CPLR 3211 dismissal prior to interposing their amended answer as of right, the court's lack of personal jurisdiction was properly raised as an affirmative defense in their subsequent answer. (*Abrams v Community Servs.,* 76 AD2d 765; *Addesso v Shemtob,* 70 NY2d 689; *DeFilippis v Perez,* 148 AD2d 490; *Sanchez v L.L.H. Recycled Aggregates,* 147 Misc 2d 41.)

OPINION OF THE COURT

R.S. SMITH, J.

We hold that a defendant who omits from an answer a defense based on lack of personal jurisdiction has not waived the defense if the defendant corrects the omission before the time to amend the answer without leave of court has expired.

Facts and Procedural History

Goldie Gilchrist, a New York resident, was walking on a highway in Georgia when she was hit by a truck owned by David Shepherd and driven by Thomas Rouse. Shepherd and Rouse are residents of Georgia. Gilchrist died several months later, and her administrator sued Shepherd and Rouse in New York, alleging that both of them negligently injured Gilchrist and caused her death, and also that Shepherd was vicariously liable for Rouse's negligence.

On November 8, 2002, defendants served an answer to the complaint that did not challenge the court's jurisdiction over them. Plaintiff served an amended complaint dated November 14, 2002. On November 21, 2002, 13 days after serving the original answer, defendants served a ''Verified Amended Answer'' alleging that ''the Court lacks jurisdiction over the persons of the answering defendants.''

Defendants moved to dismiss the action for lack of personal jurisdiction. Plaintiff, opposing the motion, argued that defendants had waived this defense by failing to assert it in their original answer. Supreme Court granted the motion, holding that ''the defendants did not waive their jurisdictional defense.'' The Appellate Division affirmed, as do we.

Discussion

CPLR 3211 (a) (8) permits a defendant to move to dismiss a complaint on the ground that ''the court has not jurisdiction of the person of the defendant.'' CPLR 3211 (e) provides in relevant part:

> ''An objection based upon a ground specified in paragraphs eight or nine of subdivision (a) is waived if a party moves on any of the grounds set forth in subdivision (a) without raising such objection or if, having made no objection under subdivision (a), he does not raise such objection in the responsive pleading.''

In *Addesso v Shemtob* (70 NY2d 689 [1987]), we applied CPLR 3211 (e) in a case where defendants had moved to dismiss the complaint without raising a jurisdictional defense in the motion. We found ''no reason to depart from the statute's plain language'' (*id.* at 690), and held that the defense was waived. Here, we face an issue on which CPLR 3211 (e) is not explicit: whether a waiver occurs when a party does not raise the defense in his or her first ''responsive pleading,'' but does raise it in a pleading permitted by CPLR 3025 (a), which says that ''[a] party may amend his pleading once without leave of court within twenty days after its service . . . .''*

This issue was decided by Supreme Court in *Solarino v Noble* (55 Misc 2d 429 [Sup Ct, NY County 1967, Spiegel, J.]), a case in which a defendant amended his answer two days after serving it to add a defense of lack of personal jurisdiction. The

* Strictly speaking, the ''Verified Amended Answer'' in this case was not served pursuant to CPLR 3025 (a), because plaintiff amended his complaint after the original answer was served; defendants were entitled to serve a new answer even without relying on CPLR 3025 (a). No party argues, however, that this technical distinction is material. If, in the absence of an amendment to the complaint, defendants would have had a right to add a jurisdictional defense by amending their answer pursuant to CPLR 3025 (a), it would obviously be unfair to hold that plaintiff deprived them of that right by amending his complaint.

court held the defense was not waived. Justice Spiegel referred to " 'the general rule that an amendment relates back to the service of the original pleading' " (*id.* at 430, quoting *Blatz v Benschine*, 53 Misc 2d 352, 354 [Sup Ct, Queens County 1967]), to the absence of prejudice to the plaintiff, and to "the general principle that cases should be determined on the merits, rather than on the basis of the procedures followed" (*id.*). Several Appellate Division decisions also support the idea that a pleading amended as of right "relates back to and speaks as of the time of the filing of" the original pleading (*Abrams v Community Servs., Inc.*, 76 AD2d 765, 766 [1st Dept 1980]; *see also Naccarato v Kot*, 124 AD2d 365, 365 [3d Dept 1986, Levine, J.] [distinguishing *Solarino* where the amendment is not "taken as of right" but is by leave of court]; *Boulay v Olympic Flame, Inc.*, 165 AD2d 191 [3d Dept 1991] [same]).

In *DeFilippis v Perez* (148 AD2d 490, 491 [2d Dept 1989]), the Appellate Division referred to *Solarino* and similar decisions as "cases decided prior to the *Addesso* . . . decision" and reversed a ruling that it said "erroneously" relied on them. These comments were not necessary to the decision in *DeFilippis*—a case essentially identical to *Addesso*—and we think that, as Professor Siegel has suggested, the *DeFilippis* court erred in implying that *Solarino* and *Addesso* were inconsistent (*see*, Siegel, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C3211:62). *Addesso* involved waiver by omission of a defense from a motion, not from an answer, and the two are not the same. There is no statutory right to amend a motion that is comparable to the right to amend an answer afforded by CPLR 3025 (a).

We agree with the *Solarino* court that permitting a defendant to add a jurisdictional defense to an answer by an amendment as of right is consistent with CPLR 3211 (e), and advances the purpose of CPLR 3025 (a). CPLR 3025 (a) gives a party 20 days after serving a pleading to correct it or improve upon it, and the addition of a jurisdictional defense is no less proper a correction or improvement than any other. We hold that a party who adds such a defense by an amendment as of right "raise[s] such objection in the responsive pleading" within the meaning of CPLR 3211 (e).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, with costs.

[833 NE2d 266, 800 NYS2d 123]

C.S.A. CONTRACTING CORP., Appellant, v NEW YORK CITY SCHOOL CONSTRUCTION AUTHORITY, Respondent.

Argued June 8, 2005; decided July 6, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 7, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Orin R. Kitzes, J.), to the extent that it had, upon granting defendant's motion pursuant to CPLR 4401, dismissed the complaint.

C.S.A. Contr. Corp. v New York City School Constr. Auth., 10 AD3d 589, affirmed.

HEADNOTE

Public Authorities — Claims against Public Authorities — Notice of Claim

In a breach of contract action seeking payment for asbestos abatement removal performed by plaintiff contractor at a New York City school, the notice of claim purportedly served by plaintiff upon defendant New York City School Construction Authority (SCA) five months after the work was completed and an invoice was submitted, but only one month after defendant refused to remit payment, was not timely. Pursuant to Public Authorities Law § 1744 (2), a notice of claim is a condition precedent to maintaining an action against SCA relating to the repair of educational facilities, and it must be served within three months after the accrual of the claim. A contractor's claim accrues when its damages are ascertainable, which generally occurs once the work is substantially completed or a detailed invoice of the work performed is submitted. Here, the time for filing a notice of claim for nonpayment actually expired before defendant refused payment. Plaintiff's claim, however, could not be deemed to have accrued on the date payment was denied in the absence of a statutory amendment to that effect.

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AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 640, 643.

CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:71, 144:73, 144:89.

MCKINNEY'S, Public Authorities Law § 1744 (2).

NY JUR 2d, Government Tort Liability § 395; NY JUR 2d, Schools, Universities, and Colleges §§ 851, 854, 857.

ANNOTATION REFERENCE

See ALR Index under Asbestos; Notice of Claim; Schools and Education.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: notice /3 claim /s accrual & asbestos /s remov! abatement

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POINTS OF COUNSEL

Martin S. Dorfman, Woodbury, for appellant. The notice of claim herein was properly and timely served and, therefore, the trial court erred in dismissing appellant's complaint. (*New York City Constr. Auth. v Kallen & Lemelson,* 290 AD2d 497; *Koren-DiResta Constr. Co. v New York City School Constr. Auth.,* 293 AD2d 189; *Scantron Corp. v New York City Bd. of Educ.,* 3 Misc 3d 1042; *Philson Painting Co. v William Floyd Union Free School Dist.,* 202 AD2d 653, 84 NY2d 850; *Popular Constr. v New York City School Constr. Auth.,* 268 AD2d 467; *Shalman v Board of Educ. of Cent. School Dist. No. 1 of Towns of Thompson, Bethel, Forestburg, Mamakating & Fallsburgh,* 31 AD2d 338; *Matter of Board of Educ. of Enlarged Ogdensburg City School Dist. [Wager Constr. Corp.],* 37 NY2d 283; *P & C Giampilis Contr. Co. v New York City School Constr. Auth.,* 211 AD2d 524; *Matter of SBR Roofing v Richfield Springs Cent. School Dist.,* 303 AD2d 886; *Vines v New York City Tr. Auth.,* 107 Misc 2d 283.)

Michael A. Cardozo, Corporation Counsel, New York City (*Janet L. Zaleon* and *Kristin M. Helmers* of counsel), for respondent. The Appellate Division properly affirmed the dismissal of the complaint. Plaintiff did not adduce sufficient evidence that it served a timely notice of claim on the New York City School Construction Authority within three months after plaintiff had substantially completed its work and submitted its invoice to the Authority for payment. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.,* 60 NY2d 539; *O'Brien v City of Syracuse,* 54 NY2d 353; *Matter of Board of Educ. of Enlarged Ogdensburg City School Dist. [Wager Constr. Corp.],* 37 NY2d 283; *Popular Constr. v New York City School Constr. Auth.,* 268 AD2d 467; *Poppe Gen. Contr. v Town of Ramapo,* 280 AD2d 667; *Nicholas v City of New York,* 130 AD2d 470; *Cappadonna v New York City Tr. Auth.,* 187 AD2d 691, 81 NY2d 704; *New York City School Constr. Auth. v Kallen & Lemelson,* 290 AD2d 497; *Koren-*

DiResta Constr. Co. v New York City School Constr. Auth., 293 AD2d 189; *G.A. Contrs. v Board of Educ. of City of N.Y.,* 176 AD2d 856.)

OPINION OF THE COURT

GRAFFEO, J.

The issue here is whether plaintiff C.S.A. Contracting Corp. timely filed a notice of claim pursuant to Public Authorities Law § 1744 (2) in this breach of contract action seeking payment from defendant New York City School Construction Authority for work it performed. Under the facts and circumstances of this case, we conclude that the notice of claim was not timely because it was not submitted within three months of the accrual of the claims.

In 1993, the New York City School Construction Authority (SCA) and plaintiff entered into a contract in which SCA agreed to pay plaintiff $1 million to perform asbestos abatement work at various city schools. The project included asbestos removal at PS 29 in Staten Island. On December 3, 1993, plaintiff submitted a request for payment for extra work performed at PS 29 in the amount of $151,994.96. SCA apparently approved the request in February 1994, but two months later informed plaintiff that it would not remit payment for the PS 29 job because it determined that plaintiff had overcharged for abatement work at another work site—Bushwick High School.

On May 9, 1994, plaintiff purportedly served a notice of claim on SCA seeking monies it contended were owed under its contract. Plaintiff subsequently issued a notice of dispute on June 30, 1994 requesting to mediate its payment claim with SCA. After mediation failed to resolve the conflict, plaintiff submitted a notice of claim dated September 21, 1994. This notice of claim sought the payment of $595,850 for three categories of work performed by plaintiff: asbestos abatement at PS 29, additional costs incurred in the removal of asbestos from heights in excess of 14 feet, and wet cleaning and encapsulation expenses.

Plaintiff commenced this breach of contract action against SCA in April 1995 to recover damages for the claims outlined in its notice of claim, alleging that it had furnished SCA with notice in June 1994 and again in September 1994. In its answer, SCA interposed an affirmative defense that plaintiff had failed to properly serve a notice of claim. SCA also counterclaimed for the alleged overpayment for work performed at Bushwick High School.

At trial, plaintiff was unable to submit documentary evidence corroborating the service of a notice of claim in May 1994. Its former corporate president testified that all work at PS 29 was completed before December 1993. At the close of plaintiff's case, SCA moved to dismiss the complaint for failure to present a timely notice of claim. Supreme Court granted the motion and dismissed the complaint, holding that plaintiff did not submit a notice of claim within three months of the accrual of its claims. The court also severed SCA's counterclaim. The Appellate Division affirmed. We granted plaintiff leave to appeal and now concur that plaintiff's complaint must be dismissed.

Section 1744 (2) of Public Authorities Law provides, in part:

> "No action or proceeding for any cause whatever, other than the one for personal injury, death, property damage or tort . . . relating to the design, construction, reconstruction, improvement, rehabilitation, repair, furnishing or equipping of educational facilities, shall be prosecuted or maintained against [SCA] . . . unless (i) it shall appear by and as an allegation in the complaint or moving papers, that a detailed, written, verified notice of each claim upon which any part of such action or proceeding is founded was presented to the board within three months after the accrual of such claim . . . ."

A timely notice of claim is a condition precedent to maintaining an action against SCA, and the plaintiff has the obligation to plead and prove that its notice of claim was served within three months after the accrual of its claim (*see generally Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539, 547 [1983]; *Rogers v Village of Port Chester*, 234 NY 182, 185 [1922]).

It is well settled that a contractor's claim accrues when its damages are ascertainable (*see Matter of Board of Educ. of Enlarged Ogdensburg City School Dist. [Wager Constr. Corp.]*, 37 NY2d 283, 290 [1975]). Although the determination of the date on which damages are ascertainable may vary based on the facts and circumstances of each particular case, "it generally has been recognized that damages are ascertainable once the work is substantially completed or a detailed invoice of the work performed is submitted" (*New York City School Constr. Auth. v Kallen & Lemelson*, 290 AD2d 497 [2d Dept 2002] [internal quotation marks and citations omitted]).

Here, plaintiff completed its work at PS 29 some time before December 1993, and finished its rehabilitation project entirely by the close of 1993. Plaintiff also submitted a detailed invoice for work done at PS 29 on December 3, 1993. Therefore, plaintiff's claims were ascertainable and accrued by the end of 1993.* Even assuming plaintiff served a notice of claim in May 1994 or that its June 1994 notice of dispute could be viewed as a proper notice of claim, it failed to present statutorily-mandated notice within three months of the accrual of its claims. Thus, the courts below properly dismissed the complaint.

Plaintiff argues that its claims should be deemed to have accrued, at the earliest, when SCA denied payment in April 1994. In support of this argument, plaintiff notes that the Legislature has adopted this rule in Education Law § 3813 (1), which applies to claims against school districts. In 1992, the Legislature amended Education Law § 3813 (1) to provide: ''In the case of an action or special proceeding for monies due arising out of contract, accrual of such claim shall be deemed to have occurred as of the date payment for the amount claimed was denied'' (L 1992, ch 387). Thus, instead of using the date that damages are ascertainable under the *Wager* analysis, the three-month notice of claim time period is not triggered until the board of education denies payment. Section 1744 (2) of the Public Authorities Law—in existence at the time of the amendment—was not, however, similarly amended, and we decline plaintiff's invitation to engraft such a provision onto that statute. Any such change should come from the Legislature.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

R.S. SMITH, J. (concurring). I join the Court's opinion, but also write separately to express my views on our decision in *Matter of Board of Educ. of Enlarged Ogdensburg City School Dist. (Wager Constr. Corp.)* (37 NY2d 283 [1975]).

In *Wager*, we interpreted Education Law § 3813 (1), which, like Public Authorities Law § 1744 (2), provides that a notice of

* Plaintiff's former corporate president testified that SCA initially refused to pay any contractor for wet cleaning and encapsulation costs, but that, at some point ''[l]ater on,'' it changed its posture in a letter and allowed such costs. Plaintiff did not place this correspondence in evidence or otherwise offer testimony as to the date of this change in position. Even if, as plaintiff suggests, the date of such change in position constituted the accrual date for this category of work claimed, plaintiff failed to satisfy its burden of establishing that its September 1994 notice of claim—the only notice that mentioned wet cleaning and encapsulation costs—was submitted within three months of the alleged modification by SCA regarding work eligible for payment.

claim must be presented ''within three months after the accrual of such claim.'' We held in *Wager* that ''accrual'' of a ''claim'' occurs when a contractor's damages are ascertainable, even if no ''cause of action'' has yet accrued because no one has disputed the amount of the contractor's bill. *Wager* was based on questionable logic, and has led to unfortunate results.

In support of its distinction between accrual of a claim and accrual of a cause of action, *Wager* cited three Appellate Division decisions: *Shalman v Board of Educ. of Cent. School Dist. No. 1* (31 AD2d 338 [3d Dept 1969]), *Waterman v State of New York* (19 AD2d 264 [4th Dept 1963], *affd without op* 14 NY2d 793 [1964], 17 NY2d 613 [1966]), and *Terrace Hotel Co. v State of New York* (19 AD2d 434 [3d Dept 1963]). In each of these cases, the claim was held to have accrued after the cause of action accrued, and the court relied on the distinction between a claim and a cause of action to hold that the contractor's claim was timely. The gist of the holdings in the three Appellate Division cases is that, when a dispute between the parties has arisen and a cause of action has therefore accrued, the contractor should still not have to submit its claim until it can know what its damages are.

But *Wager* relied on the distinction between claim and cause of action to reject a contractor's claim—holding that a contractor must submit a notice of claim within 90 days of determining the amount it is owed, even when the obligation to pay that amount has never been disputed. We did not explain in *Wager*, and so far as I know no one has ever explained, why this result makes sense. It might have been logical to hold that a claim accrues upon the later of the two events—accrual of a cause of action and ascertainment of damages—but we did not discuss that possibility in *Wager*.

The result of the *Wager* holding is that contractors sometimes find themselves in the position of plaintiff in this case, whose claim was time-barred before there was any reason to expect litigation. This anomaly has troubled the courts (*see e.g.*, *Koren-DiResta Constr. Co. v New York City School Constr. Auth.*, 293 AD2d 189 [1st Dept 2002]); indeed, both Supreme Court and the Appellate Division in this case expressed distaste for the result they were forced to reach. The Legislature was troubled too, and in 1992 it amended Education Law § 3813 (1) to provide that ''accrual'' of a claim ''shall be deemed to have occurred as of the date payment for the amount claimed was denied'' (L 1992, ch 387). The sponsors' memorandum in support of this amendment was highly critical of cases applying the rule of *Wager*: ''The courts' interpretation . . . makes no sense'' (Mem in Support, Bill Jacket, L 1992, ch 387). But while *Wager*, insofar as it applies to Education Law cases, was thus legislatively overruled, the Legislature made no corresponding amendment to Public Authorities Law § 1744 (2), the statute involved in this case.

We hold today that *Wager* remains the law. It has stood for 30 years, and the Legislature, while overruling it in the Education Law context, has left the corresponding provision of the Public Authorities Law unaltered. There is no obvious reason, however, why the Legislature should not amend the latter statute in the same way it amended the former, and thus put an end to the *Wager* rule.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur with Judge GRAFFEO; Judge R.S. SMITH concurs in a separate concurring opinion.

Order affirmed, with costs.

[833 NE2d 698, 800 NYS2d 363]

In the Matter of KATHERINE B. et al., Appellants, v JOHN CATALDO et al., Respondents.

Argued June 2, 2005; decided July 6, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 21, 2004, in a proceeding pursuant to CPLR article 78. The Appellate Division dismissed the petition, without prejudice to raising the same or similar arguments on direct appeal from a judgment of conviction.

Matter of Katherine B. v Cataldo, 10 AD3d 544, reversed.

HEADNOTES

Proceeding against Body or Officer — When Remedy Available

1. A CPLR article 78 proceeding was not the proper procedural vehicle to preclude the People from using information obtained from sealed records of prior criminal proceedings involving petitioners in a pending Criminal Court sentencing. Petitioners did not challenge a public official's ministerial acts or actions taken in excess of authority. Petitioners could have properly sought judicial review of the unsealing of their records by timely civil appeal, but the initial unsealing orders were not the proper appealable papers because they were obtained by ex parte application. In order to create an appealable paper, a motion on notice to vacate was needed, and petitioners promptly made such a motion. Accordingly, the CPLR article 78 proceeding was converted into the proper form, which was a civil appeal (*see* CPLR 103 [c]).

Records — Sealing of Records upon Termination of Criminal Action in Favor of Accused — Unsealing of Records for Purposes of Making Sentencing Recommendations Not Authorized

2. CPL 160.50 (1) (d) (ii), which provides that records sealed upon termination of a criminal action in favor of the accused may be made available to a law enforcement agency, does not authorize a superior court to make such records available to a prosecutor for purposes of making sentencing recommendations in a subsequent criminal action involving the accused. The six statutory exceptions to the general proscription against releasing sealed records contained in CPL 160.50 (1) (d) are precisely drawn, underscoring the Legislature's commitment to prohibiting disclosure of sealed records except where the statute explicitly provides otherwise. The ''law enforcement agency'' exception in CPL 160.50 (1) (d) (ii) is not broad enough to encompass an ex parte request by a prosecutor to unseal records for purposes of making sentencing recommendations. The statute's provisions strongly suggest that its primary focus is the unsealing of records for investigatory purposes.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 802; AM JUR 2d, Records and Recording Laws §§ 26, 27.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:380; CARMODY-WAIT 2d, Criminal Procedure § 172:4576.

MCKINNEY'S, CPLR 103 (c); CPL 160.50 (1).

NY JUR 2d, Article 78 and Related Proceedings § 301; NY JUR 2d, Criminal Law §§ 3314, 3318, 3320.

SIEGEL, NY PRAC § 563.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Records and Recording.

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Database: NY-ORCS

Query: unseal! /3 record /p law /2 enforcement /2 agency /s investigat! sentencing

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POINTS OF COUNSEL

Law Offices of Stephen W. Edwards, Brooklyn (*Stephen W. Edwards* of counsel), for appellants. I. Unsealing dismissed cases for sentencing purposes served no interest of justice since dismissed cases are a nullity which the court has held do not become part of an accused's criminal pedigree. (*Matter of Alonzo M. v New York City Dept. of Probation,* 72 NY2d 662; *People v Villanueva,* 144 AD2d 285, 73 NY2d 897; *People v Key,* 45 NY2d 111; *Hollender v Trump Vil. Coop.,* 58 NY2d 420; *People v Smith,* 305 AD2d 432; *People v Ferere,* 294 AD2d 596; *People v Ramsey,* 288 AD2d 240; *People v Innis,* 288 AD2d 236; *People v Santiago,* 277 AD2d 258; *People v Varlack,* 259 AD2d 392.) II. The dismissal of appellants' CPLR article 78 petition was procedural error as the petition fell squarely within article 78 jurisprudence. (*Matter of Lee v County Ct. of Erie County,* 27 NY2d 432; *Matter of Culver Contr. Corp. v Humphrey,* 268 NY 26; *Matter of Blake v Hogan,* 25 NY2d 747; *Matter of Watts v Supreme Ct. of State of N.Y.,* 36 AD2d 17, 28 NY2d 714; *La Rocca v Lane,* 37 NY2d 575, 424 US 968; *People v Hines,* 260 AD2d 646; *Matter of Wiley v Altman,* 52 NY2d 410; *Matter of Barber v Rubin,* 72 AD2d 347; *Matter of Alonzo M. v New York City Dept. of Probation,* 72 NY2d 662.) III. Allowing the unsealing ex parte violated appellants' fundamental right to be present at proceedings affecting guilt or punishment. (*People v Antommarchi,* 80 NY2d 247; *People v Sloan,* 79 NY2d 386; *People v Blount,* 116 Misc 2d 975.)

Robert M. Morgenthau, District Attorney, New York City (*Larry*

A. Glasser, Mark Dwyer and *Sean J. Sullivan* of counsel), for respondents. I. CPLR article 78 is not a proper procedure for petitioners to seek relief. (*Matter of Lipari v Owens,* 70 NY2d 731; *Matter of Legal Aid Socy. of Sullivan County v Scheinman,* 53 NY2d 12; *La Rocca v Lane,* 37 NY2d 575; *Matter of State of New York v King,* 36 NY2d 59; *Matter of Hynes v Karassik,* 47 NY2d 659; *People v Anonymous,* 7 AD3d 309; *People v Public Serv. Mut. Ins. Co.,* 37 NY2d 606; *People v Purley,* 297 AD2d 499; *Matter of Veloz v Rothwax,* 65 NY2d 902; *Matter of Dondi v Jones,* 40 NY2d 8.) II. Regardless of whether petitioners raise these issues in a CPLR article 78 proceeding or on direct appeal, respondents' actions were entirely proper. (*Hollender v Trump Vil. Coop.,* 58 NY2d 420; *Matter of Joseph M.,* 82 NY2d 128; *Matter of Hynes v Karassik,* 47 NY2d 659; *Matter of Alonzo M. v New York City Dept. of Probation,* 72 NY2d 662; *People v Patterson,* 78 NY2d 711; *Matter of Wayne M.,* 121 Misc 2d 346; *People v Villanueva,* 144 AD2d 285; *People v Naranjo,* 89 NY2d 1047; *People v Mason,* 299 AD2d 724; *People v Bratcher,* 291 AD2d 878.) III. Petitioners' arguments that their due process and privacy rights were violated and that CPL 160.50 is unconstitutional are unpreserved and without merit. (*People v Kello,* 96 NY2d 740; *People v Salazar,* 136 Misc 2d 992; *People v Blount,* 116 Misc 2d 975; *People v Antommarchi,* 80 NY2d 247; *People v Sloan,* 79 NY2d 386.)

Legal Aid Society, New York City (*Steven Banks* and *Robert C. Newman* of counsel), amicus curiae. I. The unsealing of the records of appellants' previously dismissed cases, under the circumstances presented by this appeal, clearly violated New York law. (*Matter of Alonzo M. v New York City Dept. of Probation,* 72 NY2d 662; *Matter of Hynes v Karassik,* 47 NY2d 659; *People v Felix,* 58 NY2d 156; *Matter of New York State Police v Charles Q.,* 192 AD2d 142; *Matter of Police Commr. of City of N.Y. v Patrick M.,* 131 Misc 2d 695; *People v Blount,* 116 Misc 2d 975; *People v Castillo,* 80 NY2d 578; *Matter of Joseph M.,* 82 NY2d 128; *Matter of Dondi,* 63 NY2d 331; *People v Perez,* 195 Misc 2d 171.) II. CPLR article 78 is an appropriate vehicle for granting appellants relief from Justice Cataldo's unlawful order unsealing the records. (*Matter of Pirro v Angiolillo,* 89 NY2d 351; *Matter of Alonzo M. v New York City Dept. of Probation,* 72 NY2d 662; *Matter of Rush v Mordue,* 68 NY2d 348; *Matter of Dondi v Jones,* 40 NY2d 8; *People v Michael,* 48 NY2d 1.) III. This Court should hold that the Criminal Court, when sentencing appellants, may not consider any information or allegations derived from the improperly unsealed case files. (*People v*

Naranjo, 89 NY2d 1047; *Matter of Alonzo M. v New York City Dept. of Probation,* 72 NY2d 662; *People v Patterson,* 78 NY2d 711.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to decide whether CPL 160.50 (1) (d) (ii) authorizes a superior court to make sealed records available to a prosecutor for purposes of making sentencing recommendations. In light of the limitations placed by the Legislature on unsealing, we conclude that it does not.

I.

On March 26, 2003, the four petitioners participated in a political demonstration near the intersection of Fifth Avenue and 47th Street in Manhattan, staged at the height of the morning rush hour. Wearing matching shirts with identical, preprinted signs and dabbed with fake blood, 11 demonstrators lay down across Fifth Avenue, their arms yoked together by an elaborate system of custom-cut plastic piping, metal chains, carabiners and handcuffs. A demonstrator at one end of this human chain padlocked his free hand around a fixed garbage can on the sidewalk. The demonstrator at the other end was in the midst of doing the same thing when police arrived. Other demonstrators stood in the street, holding up stop signs in the face of oncoming traffic. Demonstrators also positioned a ''bulldozer'' that they had fabricated out of wood and metal in the center lanes of Fifth Avenue, and one of the petitioners padlocked herself to it.

This eye-catching scene, orchestrated to take New York City officials by surprise, effectively shut down Fifth Avenue, creating massive traffic disruptions in midtown Manhattan and diverting large numbers of police and other public safety officials from their regular duties. In order to clear the street, emergency services officers were forced to use electric saws to cut through the plastic piping linking the human chain.

Nearly a year later, on March 22, 2004, and following a week-long trial in Criminal Court, a jury found each of the four petitioners and 12 fellow demonstrators guilty of one count of obstructing governmental administration in the second degree (Penal Law § 195.05) and two counts of disorderly conduct (Penal Law § 240.20 [5], [6]). Obstructing governmental administration in the second degree is a class A misdemeanor punishable by a sentence of imprisonment not to exceed one year; disorderly conduct is a violation punishable by a sentence of imprisonment not to exceed 15 days.

Criminal Court adjourned sentencing and directed the People to supply it with updated criminal histories or ''rap sheets'' in support of their sentencing recommendations. To comply with Criminal Court's instruction, the assistant district attorney conducted a computer search, which revealed numerous docket numbers for prior criminal cases involving petitioners. The search results, however, included no factual information relating to these cases, and, in fact, indicated that the records were sealed. Accordingly, on March 29 and March 31, 2004, the People moved ex parte in Supreme Court pursuant to CPL 160.50 (1) (d) (ii) and 160.55 (1) (d) (ii) to unseal records corresponding to docket or arrest numbers associated with petitioners.

The People advised Supreme Court that justice required the unsealing of petitioners' records because ''[t]he details of these matters, and their dispositions, [were] pertinent and relevant information for the [Criminal] Court to consider in determining an appropriate sentence,'' citing CPL 380.50 (1) and 390.40 (1). Supreme Court granted the People's motions and issued the unsealing orders. The unsealed records related to convictions for violations, adjournments in contemplation of dismissal and procedural dismissals.

On April 9, 2004, the People submitted sentencing recommendations to Criminal Court for petitioners as well as for the 12 other convicted demonstrators. The People informed the court of more than 20 prior acts of civil disobedience undertaken by petitioners, based principally on allegations taken from complaints filed with Criminal Court at petitioners' arraignments in the unsealed cases. The People argued that, in light of these past experiences, petitioners certainly knew that their actions on March 26, 2003 would disrupt and affect thousands of people and force the police department to expend substantial resources to apprehend them. Accordingly, the People differentiated between petitioners and other convicted demonstrators, recommending an unspecified period of incarceration as part of petitioners' sentences.

By order to show cause, petitioners on April 28, 2004 asked Supreme Court to vacate its unsealing orders, to reseal petitioners' records, and to preclude the People from using information obtained from the sealed records in the pending Criminal Court sentencing. On May 14, 2004, Supreme Court issued a written decision and order rejecting petitioners' contention that CPL 160.50 (1) (d) (ii) and 160.55 (1) (d) (ii) authorize unsealing only "for investigatory purposes rather than to assist a court in a sentencing proceeding upon a subsequent conviction." Supreme Court cautioned, however, that "[i]t remains the domain of the sentencing judge . . . to ascertain . . . whether the factual allegations obtained from the unsealed dockets meet[ ] the test of reliability and accuracy necessary to merit any consideration by that court."

[1] On May 23, 2004, petitioners filed a CPLR article 78 petition[1] in the Appellate Division, which the Court dismissed on September 21, 2004 "without prejudice to raising the same or similar arguments on direct appeal from a judgment of conviction" (10 AD3d 544 [1st Dept 2004]). We subsequently granted leave to appeal,[2] and now reverse.

II.

As relevant to this appeal, CPL 160.50[3] provides that upon termination of a criminal action or proceeding in favor of the

1. CPLR article 78 is not the proper procedural vehicle for the relief sought here because petitioners do not challenge a public official's ministerial acts or actions taken in excess of authority (*see Matter of Crain Communications v Hughes*, 74 NY2d 626 [1989]). As the People acknowledge, petitioners could have properly sought judicial review of the unsealing of petitioners' records by timely civil appeal (*see Matter of Hynes v Karassik*, 47 NY2d 659, 661 n 1 [1979]; *see also People v McLoughlin*, 65 NY2d 687 [1985]). Contrary to the People's position, however, the initial unsealing orders were not the proper appealable papers because they were obtained by ex parte application (*see Sholes v Meagher*, 100 NY2d 333, 335 [2003]). In order to create an appealable paper, a motion on notice to vacate was needed (*see* Siegel, NY Prac § 244, at 412 [4th ed]), and petitioners promptly made such a motion. Petitioners filed their CPLR article 78 petition nine days after Supreme Court issued its decision and order denying their motion to vacate and reseal. Moreover, petitioners served the petition on the same individuals who would have been parties on appeal and included the same materials in the petition as would have comprised the appellate record. In light of these particular circumstances, we have converted this CPLR article 78 proceeding into the proper form, which is a civil appeal (*see* CPLR 103 [c]).

2. The Appellate Division granted petitioners a stay of sentencing pending its decision. The People consented to a continuing stay pending resolution of this appeal.

3. As previously noted, the People also sought and obtained unsealing orders pursuant to CPL 160.55 (1) (d) (ii). CPL 160.55 covers the sealing of arrest and prosecution records related to convictions of petty offenses with some exceptions. Petitioners do not on this appeal contest any unsealing orders issued by Supreme Court pursuant to CPL 160.55 (1) (d) (ii), which is identical to CPL 160.50 (1) (d) (ii).

accused, "the record of such action or proceeding shall be sealed" by the clerk of the court "unless the court has directed otherwise" in the interests of justice upon motion of the district attorney or on its own motion and for reasons stated on the record (CPL 160.50 [1]).[4] The sealing covers "all official records and papers, including judgments and orders of a court but not including published court decisions or opinions or records and briefs on appeal, relating to the arrest or prosecution, including all duplicates and copies thereof, on file with the division of criminal justice services, any court, police agency, or prosecutor's office" (CPL 160.50 [1] [c]; *see Matter of Harper v Angiolillo*, 89 NY2d 761 [1997] [there are no bright-line rules defining those items qualifying as "official records and papers"]).

"The sealing requirement was designed to lessen the adverse consequences of unsuccessful criminal prosecutions by limiting access to official records and papers in criminal proceedings which terminate in favor of the accused" (*Harper*, 89 NY2d at 766). "That detriment to one's reputation and employment prospects often flows from merely having been subjected to criminal process has long been recognized as a serious and unfortunate by-product of even unsuccessful criminal prosecutions. The statute's design is to lessen such consequences" (*Hynes*, 47 NY2d at 662 [citations omitted]).

Consistent with this design and the "plain intendment of the statutory scheme," the "*general proscription* against releasing sealed records and materials [is] subject only to a few narrow exceptions" (*Matter of Joseph M. [New York City Bd. of Educ.]*, 82 NY2d 128, 134 [1993] [confining inherent judicial authority

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4. As originally enacted (*see* L 1976, ch 877), section 160.50 called for sealing unless the district attorney moved to prevent it or another criminal action or proceeding was pending against the accused. When the Legislature amended the statute in 1977 to correct various deficiencies and inconsistencies, the broad authorization for a court sua sponte to prevent sealing was substituted for the exception to sealing where there was a pending criminal action or proceeding (*see* L 1977, ch 905, § 1; Governor's Program Bill Mem, Bill Jacket, L 1977, ch 905 ["The determination of this fact (that another criminal action is pending) is a difficult one and the statute offers no guidance as to who bears the burden of presenting this evidence to the court. As a result, many judges refuse to enter seal and return orders because there may be an action pending against the defendant"]). Vesting courts with discretion to preclude sealing in the interests of justice was not universally applauded (*see* Letter from Assemblyman Richard N. Gottfried to Honorable Judah Gribetz, Counsel to the Governor, July 21, 1977, Bill Jacket; Letter from Milton Beller, Legislative Director, The Legal Aid Society, to Honorable Judah Gribetz, Counsel to the Governor, July 28, 1977, Bill Jacket).

to unseal records, which exists in the absence of statutory authorization and was recognized in *Hynes* and endorsed in *Matter of Dondi* (63 NY2d 331 [1984]), to Appellate Division's responsibility for discipline of attorneys pursuant to Judiciary Law § 90]; *see also Harper*, 89 NY2d at 767 [''CPL 160.50 balances the rights of a former defendant to restrict and obtain access to official records and papers in favorably terminated criminal proceedings, against the interests of various law enforcement agencies and representatives in the same materials,'' and ''strikes the balance by requiring sealing in a wide variety of contexts and providing for the disclosure of sealed files in only limited circumstances'']).

Accordingly, in addition to the accused or his designated agent, a court may make sealed records available only to a ''prosecutor[5] in any proceeding in which the accused'' has moved for an adjournment in contemplation of dismissal in a case involving marijuana charges below felony grade (CPL 160.50 [1] [d] [i]), a benefit that the accused may obtain only once (*see* CPL 170.56, 210.46); to ''a law enforcement agency upon ex parte motion in any superior court, if such agency demonstrates to the satisfaction of the court that justice requires'' disclosure (CPL 160.50 [1] [d] [ii]); to state or local gun licensing agencies when the accused applies for a gun license (CPL 160.50 [1] [d] [iii]); to the New York State Division of Parole when the arrest occurred while the accused was under parole supervision (CPL 160.50 [1] [d] [iv]); to the prospective employer of a police officer or peace officer, provided that the applicant shall be furnished a copy of all records obtained and given an opportunity to explain (CPL 160.50 [1] [d] [v]); and to any probation department responsible for the accused's supervision when the arrest occurred (CPL 160.50 [1] [d] [vi]).

[2] These six statutory exceptions are precisely drawn. This underscores the Legislature's commitment to prohibiting disclosure of sealed records—once initial sealing has not been forestalled by the court in the interests of justice—except where the statute explicitly provides otherwise. Thus, this case boils down to whether the ''law enforcement agency'' exception in CPL 160.50 (1) (d) (ii) is broad enough to encompass an ex parte request by a prosecutor to unseal records for purposes of making sentencing recommendations. We conclude that it is not.

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5. CPL 1.20 (31) defines a ''[p]rosecutor'' as ''a district attorney or any other public servant who represents the people in a criminal action.''

This exception allows sealed records to be made available to a ''law enforcement agency,'' a term undefined in section 160.50 and in CPL 1.20, which includes terms of general usage in the chapter. Within section 160.50 itself, the term ''law enforcement agency'' always appears in conjunction with the terms ''police department'' and/or ''the division of criminal justice services,'' except in subdivision (1) (d) (ii) (*see e.g.* CPL 160.50 [1] [clerk of court must give notice of favorable termination to ''the commissioner of the division of criminal justice services and the heads of all appropriate police departments and *other* law enforcement agencies'' (emphasis added)]; *see also* CPL 160.50 [1] [a], [b]; [3] [h], [i]). The term ''law enforcement agency'' therefore includes law enforcement entities in addition to police departments and the Division of Criminal Justice Services.

The legislative history of section 160.50 (1) (d) confirms that a broad range of law enforcement entities have been viewed as eligible to make ex parte motions to superior courts for unsealing orders for a variety of law enforcement purposes. In fact, the burden of proceeding under CPL 160.50 (1) (d) (ii) is what prompted the Legislature to carve out the exceptions in CPL 160.50 (1) (d) (iv), (v) and (vi).[6] Proponents of these three exceptions successfully argued that they should enjoy automatic exemption because evaluating applicants for police or peace officer positions or keeping tabs on parolees and probationers required routine access to sealed records, and resort to the ''law enforcement agency'' exception was time-consuming and unnecessary (*see e.g.* Mem of Division of Parole, Bill Jacket, L 1981, ch 122 [with responsibility for roughly 19,000 parolees or conditional releasees annually, ''the present provision for obtaining (sealed) records (under CPL 160.50 [1] [d] [ii]) . . . is cumbersome, time-consuming and an unreasonable burden'']; *see also* Letter from Suffolk County Deputy County Executive Howard DeMartini to Gerald C. Crotty, Counsel to the Governor, June 6, 1985, Bill Jacket, L 1985, ch 208, at 24 [''To perform an adequate investigation of the applicant (for a police officer position), all pertinent information should be made available . . . . However, under existing law, an applicant can have sealed court records kept out of the legal reach of the (Suffolk County Police Department Investigation) Unit. If the Unit wishes to see the sealed records, they must get special court authorization for

6. The Legislature amended section 160.50 (1) (d) in 1981 to add clause (iv) (*see* L 1981, ch 122, § 1); in 1985 to add clause (v) (*see* L 1985, ch 208, § 1); and in 1986 to add clause (vi) (*see* L 1986, ch 294, § 1).

each case'']; Letter from Assemblyman Daniel Feldman to Governor Mario M. Cuomo, June 26, 1986, Bill Jacket, L 1986, ch 294, at 10 [''Information contained in these (sealed) records is often relevant to determinations concerning the conduct of the individuals whose supervision is the responsibility of the probation departments, and immediate access would greatly enhance the value to (*sic*) this information. This is especially the case when a 'violation of probation' proceeding is being contemplated'']).

The statute's provisions strongly suggest that its primary focus is the unsealing of records for investigatory purposes. By way of analogy, for example, applications for eavesdropping or video surveillance warrants—always used as investigative tools and always filed prior to commencement of a criminal proceeding—are similarly directed to ''a justice . . . upon ex parte application'' (CPL 700.10 [1]). The same is true for applications for a pen register and trap and trace devices (*see* CPL 705.15 [1]). More to the point for purposes of this appeal is the contrast between CPL 160.50 (1) (d) (i) and CPL 160.50 (1) (d) (ii). The former authorizes disclosure to a ''prosecutor'' in a ''proceeding''; the latter simply to a ''law enforcement agency''; the word ''proceeding'' does not appear in clause (ii). Thus, the Legislature has limited a court's authority to make sealed records available to a prosecutor after commencement of a criminal proceeding to the singular circumstance delineated in CPL 160.50 (1) (d) (i)—where the accused has moved for an adjournment in contemplation of dismissal in a case involving marijuana charges below felony grade, a benefit that an accused may obtain only once.

Accordingly, the order of the Appellate Division should be reversed, without costs, the unsealing orders vacated and the records resealed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order reversed, etc.

[833 NE2d 1204, 800 NYS2d 529]

In the Matter of MICHAEL H. FEINBERG, as Surrogate of Kings County, Petitioner. STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued June 9, 2005; decided June 29, 2005

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated February 10, 2005. The Commission determined that petitioner should be removed from the office of Judge of the Surrogate's Court, Kings County.

HEADNOTE

Judges — Removal from Office

A determination of the State Commission on Judicial Conduct that petitioner Surrogate's Court Judge should be removed from office was accepted. Without any search or interview process, petitioner replaced the law firm that had for several decades served as counsel to the Public Administrator with a long-time friend and law school classmate possessing limited experience in Surrogate's Court practice. For more than five years petitioner never required counsel to submit an affidavit of legal services before approving a fee request, and did not determine fees based on consideration of the statutory factors specified in SCPA 1108 (2) (c) because petitioner was allegedly unaware of the requirement, having only ''skimmed'' through the Surrogate's Court Procedure Act. A judge's systematic failure to conform to legal requirements may form the basis for removal, and here petitioner disregarded the statutory mandates of his office repeatedly over the course of more than five years and 475 proceedings. His failure to abide by the legal requirements of his office, in a manner that conveyed the appearance of impropriety and favoritism, debased his office and eroded public confidence in the integrity of the judiciary.

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By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 17, 20, 22, 27.

CARMODY-WAIT 2d, Officers of Court §§ 3:111, 3:117, 3:119, 3:125, 3:133; CARMODY-WAIT 2d, Temporary or Intestate Administration § 151:159.

MCKINNEY'S, SCPA 1108 (2) (c).

NY JUR 2d, Courts and Judges §§ 341, 342, 355, 367, 435, 440, 443, 460, 461; NY JUR 2d, Decedents' Estates § 1667.

ANNOTATION REFERENCE

Power of court to remove or suspend judge. 53 ALR3d 882.

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Database: NY-ORCS

Query: remov! /s surrogate /s commission & appearance /3 impropriety

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POINTS OF COUNSEL

Greenberg Traurig, LLP, Albany (*Henry Greenberg* and *Cynthia Evans Neidl* of counsel), for petitioner. I. The Court has plenary power to review the facts and the law. (*Matter of Greenfield,* 76 NY2d 293; *Matter of Quinn v State Commn. on Jud. Conduct,* 54 NY2d 386.) II. Surrogate Feinberg's admitted error of law in awarding fees without obtaining affidavits of legal services does not constitute judicial misconduct. (*Matter of Reeves*, 63 NY2d 105; *Matter of Sardino v State Commn. on Jud. Conduct,* 58 NY2d 286; *Matter of Bauer,* 3 NY3d 158; *Matter of Roberts,* 91 NY2d 93; *Matter of Hamel,* 88 NY2d 317; *Matter of Esworthy,* 77 NY2d 280; *Matter of McGee v State Commn. on Jud. Conduct,* 59 NY2d 870; *Matter of LaBelle,* 79 NY2d 350.) III. Surrogate Feinberg's award of uniform fees without case-by-case weighing of statutory factors does not constitute judicial misconduct. (*Matter of LaBelle,* 79 NY2d 350; *People v Mobil Corp.,* 48 NY2d 192; *Matter of Jakobson,* 304 AD2d 579; *Matter of La Corte,* 7 AD3d 909; *Matter of Potts,* 213 App Div 59, 241 NY 593; *Matter of Freeman,* 40 AD2d 397, 34 NY2d 1.) IV. The State Commission on Judicial Conduct erred in finding that Surrogate Feinberg committed misconduct on the ground that his conduct gave rise to an appearance of favoritism and friendship. (*Matter of Going,* 97 NY2d 121; *Matter of Romano,* 93 NY2d 161; *Matter of Duckman,* 92 NY2d 141; *Matter of Lonschein,* 50 NY2d 569.) V. The State Commission on Judicial Conduct erred in finding that Surrogate Feinberg awarded excessive fees. (*Matter of Gelfand,* 70 NY2d 211; *Matter of Shapiro v Board of Regents of Univ. of State of N.Y.,* 16 NY2d 783; *Matter of Benson v Board of Educ. of Washingtonville Cent. School Dist.,* 183 AD2d 996, 80 NY2d 756; *Matter of Brown v Saranac Lake Cent. School Dist.,* 273 AD2d 785; *Matter of Schiff,* 83 NY2d 689; *Matter of LaBelle,* 79 NY2d 350; *Brooklyn Pub. Lib. v City of New York,* 250 NY 495; *City of New York v New York City Ry. Co.,* 193 NY 543.) VI. If Surrogate Feinberg is found to have committed misconduct, he should be admonished or at most censured by this Court. (*Matter of Skinner,* 91 NY2d 142; *Matter of Quinn v State Commn. on Jud. Conduct,* 54 NY2d 386; *Matter of Cohen,* 74 NY2d 272; *Matter of Watson,* 100 NY2d

290; *Matter of LaBelle,* 79 NY2d 350; *Matter of Edwards,* 67 NY2d 153; *Matter of Kelso,* 61 NY2d 82; *Matter of Cunningham,* 57 NY2d 270; *Matter of Rogers v State Commn. on Jud. Conduct,* 51 NY2d 224; *Matter of Rater,* 69 NY2d 208.)

Robert H. Tembeckjian, New York City, and *Alan W. Friedberg* for respondent. I. Petitioner's persistent failure to abide by fundamental provisions of surrogate's law, to the detriment of the estates entrusted to his care, constitutes serious misconduct. (*Matter of Greenfeld,* 71 NY2d 389; *Matter of La Corte,* 7 AD3d 909; *Matter of Freeman,* 40 AD2d 397, 34 NY2d 1; *Matter of Potts,* 213 App Div 59, 241 NY 593; *Matter of Reeves,* 63 NY2d 105; *Matter of VonderHeide,* 72 NY2d 658; *Matter of Bauer,* 3 NY3d 158.) II. Petitioner's award of a flat 8% fee to Louis Rosenthal, and his approval of more than $9 million in fees to Rosenthal in 5½ years, were excessive. III. Petitioner's conduct is permeated with impropriety, the appearance of impropriety and the appearance of favoritism. IV. Petitioner's misconduct is aggravated by his incredible, evasive and uncandid testimony. (*Matter of Mason,* 100 NY2d 56; *Matter of Intemann,* 73 NY2d 580; *Matter of Kiley,* 74 NY2d 364; *Matter of Gelfand,* 70 NY2d 211.) V. Petitioner and amicus make other mistaken or unsubstantiated claims. VI. Petitioner's conduct was egregious and warrants his removal from judicial office. (*Matter of Petrie,* 54 NY2d 807; *Matter of Cooley,* 53 NY2d 64; *Bartlett v Flynn,* 50 AD2d 401; *Matter of Vincent,* 70 NY2d 208; *Matter of Rater,* 69 NY2d 208; *Matter of Cohen,* 74 NY2d 272; *Matter of Sims,* 61 NY2d 349; *Matter of Steinberg,* 51 NY2d 74.)

Whiteman Osterman & Hanna LLP, Albany (*Howard A. Levine* and *James B. Ayers* of counsel), for Surrogate's Association of the State of New York, amicus curiae. The errors of law, if any, committed by the Surrogate were not sufficient to constitute judicial misconduct. (*Matter of LaBelle,* 79 NY2d 350; *Matter of Greenfield,* 76 NY2d 293; *Matter of Duckman,* 92 NY2d 141; *Matter of Esworthy,* 77 NY2d 280; *Matter of Reeves,* 63 NY2d 105; *Matter of Tyler,* 75 NY2d 525; *Matter of Sardino v State Commn. on Jud. Conduct,* 58 NY2d 286; *Matter of McGee v State Commn. on Jud. Conduct,* 59 NY2d 870; *Matter of VonderHeide,* 72 NY2d 658; *Matter of Hamel,* 88 NY2d 317; *Matter of Conti,* 70 NY2d 416.)

OPINION OF THE COURT

Per Curiam.

Michael H. Feinberg, Surrogate of Kings County, asks this

Court to reject the determination of the Commission on Judicial Conduct that he be removed from office on grounds of systematic failure, over a period of more than five years, to apply statutory requirements regarding the award of legal fees to counsel for the Public Administrator, and conduct that conveyed an appearance of impropriety. We accept the Commission's determined sanction.

Background Law

Article VI, § 12 (d) of the New York State Constitution confers upon the elected surrogates of each county jurisdiction over all proceedings and actions ''relating to the affairs of decedents, probate of wills [and] administration of estates.'' Most relevant here, the Surrogate's Court Procedure Act (SCPA)—in an article entitled ''Public Administrators of the Counties Within the City of New York''—provides that each surrogate within the City's five counties can appoint a public administrator to administer the estates of citizens who die intestate without an heir willing and able to do so. The salary of the public administrator, paid by the City, is fixed at two thirds the amount paid to the New York City surrogates (SCPA 1105).

The statute also allows a New York City surrogate to appoint one or more counsels to the public administrator (SCPA 1108 [2] [a]).[1] While the public administrator is a salaried employee paid by the City, counsel is entitled to ''reasonable compensation'' paid out of the estate (SCPA 1108 [2] [b]). The Surrogate's Court Procedure Act offers no schedule or guideline as to what compensation is reasonable.

Over the years, excessive, undocumented fee awards to counsels for New York City public administrators have been the subject of investigation by the New York State Attorney General and the State Comptroller. Their 1992 joint report suggested that, having unsuccessfully ''made repeated attempts to obtain voluntary compliance with our recommendation that legal fees should be charged based on actual services provided for each estate,'' counsel be required to submit affidavits of legal services performed in each estate to support fee requests (New

1. Outside New York City, public administrators can employ counsels of their choice (SCPA 1206). Public administrators' offices exist in New York City, Erie, Monroe, Nassau, Onondaga, Suffolk and Westchester counties. Elsewhere, the function of the public administrator is undertaken by the county's chief fiscal officer (SCPA 1001).

York State Attorney General and State Comptroller, Estate Assets Continue to be at Risk, at 32 [July 1992]; *see also* New York State Attorney General and State Comptroller, New York City Public Administrators: An Operational Review [Nov. 1987]). In addition, the Attorney General twice in the past attempted to rein in counsel fees approved by the Kings County Surrogate, reaching agreements in 1988 and 1994 with then-counsel to limit fee awards to six percent of an estate's value, with additional payment only in special cases.

Responding to the reports and recommendations, and concerned about ''the imposition of questionable fees by the . . . [public administrators'] outside counsel,'' in 1993 the Legislature amended Surrogate's Court Procedure Act § 1108 (2) to require in each case documentation establishing that fees are commensurate with the legal services provided (Assembly Mem in Support, Bill Jacket, L 1993, ch 655). This requirement was, in part, designed to ensure that the beneficiaries—often helpless to challenge, or even to know about, excessive legal fees—were being charged appropriately for work actually done on the estates (*id.*).

The amendment—section 1108 (2) (c) of the Surrogate's Court Procedure Act—applies plainly and pointedly to counsel for the New York City public administrators. In its entirety, the paragraph reads:

> ''Any legal fees allowed by the court pursuant to paragraph (b) of this subdivision shall be supported by an affidavit of legal services setting forth in detail the services rendered, the time spent, and the method or basis by which requested compensation was determined. In fixing the legal fees, the court shall consider the time and labor required, the difficulty of the questions involved, the skill required to handle the problems presented, the lawyer's experience, ability and reputation, the amount involved and benefit resulting to the estate from the services, the customary fee charged by the bar for similar services, the contingency or certainty of compensation, the results obtained, and the responsibility involved.''

The statutory requirements of an affidavit and specification of factors the surrogate must consider when fixing the fee offer assurance that the amount paid out of an estate—and therefore not available as a distribution to beneficiaries—reflects the true and reasonable cost of the services rendered.

In addition, in 1993 the Legislature created an administrative board empowered to ''establish guidelines and uniform fee schedules for the operation of the offices of public administrators'' (SCPA 1128 [2]). While the board has no oversight responsibility with regard to the appointment of counsel or payment of fees for legal services, in October 2002 it recommended a uniform fee schedule for the counsels to the New York City public administrators—setting a sliding scale of maximum legal fees based on six percent of the estate's value for the first $750,000, with decreasing percentages charged for estates in inverse proportion to the estate's size beyond the initial $750,000 (Interim Report and Guidelines of the Administrative Board for the Offices of the Public Administrators [Oct. 2002]). The parties stipulated that, during the period at issue in this proceeding, the other five New York City surrogates calculated counsel fees—capped at six percent—based on a percentage of the total value of the estate. It was also stipulated that prior to approving a fee, in each case the other surrogates reviewed the required affidavits of legal services provided by counsel.

Petitioner as Kings County Surrogate

Petitioner was elected Surrogate in 1996, not long after the 1992 joint report, the 1993 statutory amendment and the Attorney General's 1994 agreement with the Kings County Surrogate, all specifically aimed at ending abuses in documenting fees for counsel to the public administrator. Upon taking office in January 1997, petitioner formed a committee that conducted a public search for a new public administrator. Petitioner also replaced the firm that had for several decades served as counsel to the Public Administrator, but he did so without any search or interview process, appointing his long-time friend and law school classmate Louis Rosenthal to that lucrative position.[2] Rosenthal had helped to raise funds for petitioner's election campaign. His experience in Surrogate's Court practice was limited.

As the record reflects, in the years between January 1997 and mid-May 2002, when an estate came within his purview Rosenthal would generally conduct a review of its assets and liabilities, at which point he would file an initial accounting. Upon filing, the Surrogate's Court chief clerk would calculate

2. In years prior to Rosenthal's appointment, counsel to the Public Administrator was paid $1,126,250 (1994) and $1,482,860 (1995).

eight percent of the anticipated final value of the estate, and petitioner would approve 60% of that sum. After the accounting, the estate would settle its debts, conduct kinship hearings (if necessary) and make initial distributions to heirs. Counsel would then submit a final decree, which included a line for an additional fee request. That additional fee request was also generally calculated by the Surrogate's Court chief clerk, though on many occasions by Rosenthal himself, frequently worked out on a post-it note attached to the final decree. The additional fee was calculated to bring the total awarded to a percentage—generally eight percent—of the total value of the estate.[3]

From January 1997 until mid-May 2002, petitioner never required Rosenthal to submit an affidavit of legal services before approving a fee request, nor did he determine fees based on consideration of the statutory factors specified in SCPA 1108 (2) (c). While petitioner claimed to have coincidentally considered factors similar to those codified in section 1108, he repeatedly acknowledged during these proceedings that prior to May 2002 he was unaware of the statutory requirements. He testified that he only ''skimmed through'' the Surrogate's Court Procedure Act, never reading the entire Act—the statutory basis for his office and jurisdiction—claiming that it was ''quite voluminous'' and characterizing his failure to pay greater attention to the statute as an ''oversight.'' Instead of following the statutory prescription, petitioner relied on the calculations of Rosenthal and the chief clerk as they appeared on the post-it notes. Petitioner did not individually review the estate files himself. In no instance did he reject or reduce a fee request submitted by counsel, and there is no evidence that he ever questioned a request or sought additional information before ruling on it.

As to the application of eight percent, petitioner maintained that he inherited from his predecessor, Surrogate Bernard Bloom, the practice of awarding fees representing a relatively high portion of the estate, because ''that was the way it had been done in the Surrogate's Court for 30 plus years.'' However, he never discussed counsel fees with the surrogates of the other New York City counties, nor did he ask any other counsels how their fees were determined. Further, though the chief clerk

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3. The parties submitted 475 estate files, of which petitioner himself selected 21 to serve as representative. Fifteen of those estates reflected legal fees of between 7.999% and 8%, five were between 7.8% and 7.97% and one was 8.27%. A few of those fees included payment to the firm that had completed work prior to Rosenthal's appointment.

knew of the 1988 and 1994 agreements with the Attorney General limiting fees, petitioner claimed he did not know the content of those agreements.

Between January 1997 and December 2002, petitioner awarded Rosenthal a total of $8,613,009.35 in legal fees. Of that amount, about $1,935,000 was net income to Rosenthal as counsel to the Public Administrator, apart from other estate-related fees (which totaled $458,824.66 between 1997 and 2002) and his law firm earnings.

In the spring of 2002, petitioner learned that the New York Daily News was about to run an exposé of the Kings County Surrogate, revealing petitioner's practice of approving counsel's fee requests without affidavits or individualized review of the cases. In anticipation of the story, petitioner asked Rosenthal to submit affidavits of legal services, retrospectively detailing the work done on each estate. After petitioner received these affidavits, however, not a single fee was adjusted.

Proceedings Below

On March 18, 2003, the State Commission on Judicial Conduct filed a disciplinary complaint against petitioner alleging one charge of misconduct for continuing violations of three Rules of Judicial Conduct: 22 NYCRR 100.3 (B) (1) (a "judge shall be faithful to the law and maintain professional competence in it"); 100.2 (B) (to avoid the appearance of impropriety, a "judge shall not allow family, social, political or other relationships to influence the judge's judicial conduct or judgment"); and 100.3 (C) (3) (a "judge shall not approve compensation of appointees beyond the fair value of services rendered"). The Commission appointed former Justice Felice K. Shea to hear evidence, report findings of fact and make conclusions of law.

Following a seven-day hearing, the Referee first determined that petitioner violated 22 NYCRR 100.3 (B) (1) by awarding legal fees without affidavits of legal services as required by SCPA 1108 (2) (c) and by failing to consider the enumerated statutory factors when fixing counsel fees. Second, she concluded that petitioner violated 22 NYCRR 100.3 (C) (3) by awarding a standard eight percent fee without consideration of the statutory factors when the customary fee in other New York City counties was six percent and when the agreement between prior counsel and the Attorney General set a general limitation on fees of six percent of the estate's value.

The Commission adopted the Referee's findings of fact and conclusions of law, adding the violation of 22 NYCRR 100.2 (B) for conveying an appearance of impropriety and favoritism by awarding fees to his long-time friend without giving each case the statutorily required individualized consideration, failing to ensure that the fee requests were supported by affidavits of legal services and setting fees greater than those granted in the other New York City counties. The Commission determined that removal was the appropriate sanction.

Upon our plenary review of the record and consideration of the evidence and arguments, we agree with the Commission's conclusions that petitioner failed to maintain professional competence in the law and that his conduct conveyed the appearance of impropriety, and we conclude that petitioner's actions constitute misconduct warranting removal.

Analysis

A judge must maintain professional competence in the law (22 NYCRR 100.3 [B] [1]). Petitioner's office and duties are governed by the Surrogate's Court Procedure Act and, whether voluminous or not, he was under an obligation to familiarize himself with the contents of that legislation, the primary authority for practice in the Surrogate's Court. Petitioner's repeated explanation that he ''just read through sections'' or ''skimmed'' the SCPA, and that his failure—over a period of more than five years—to know of and adhere to the single paragraph requirement of affidavits of legal services and individualized consideration of fee requests was an ''oversight,'' demonstrate a shocking disregard for the very law that imbued him with judicial authority.

The purpose of the statutory affidavit and individualized consideration requirements is to ensure that beneficiaries of estates that, by definition, lack interested parties capable of offering independent review are paying only for the actual cost of administering the estates. While we recognize a benefit of a fee structure that protects smaller estates from being depleted by hourly legal fees, petitioner's pro forma practice of awarding eight percent of an estate's value, approved without attention to the actual work done and unsupported by affidavits of legal services, provides no assurance that the estates benefitted in proportion to the amounts they were charged and violates the clear legal requirement and legislative intent of SCPA 1108 (2) (c). Had petitioner additionally briefed himself on the agreements with the Attorney General's office, he would have been aware of the State's concerns about the flat eight percent practice. Disregarding the content of those agreements only further suggests that he did not maintain competence in the responsibilities of his office.

Though petitioner insists that this failure was mere legal error and not misconduct, the two are not necessarily mutually exclusive (*see Matter of Reeves*, 63 NY2d 105, 109-110 [1984]). Indeed, a judge's systematic failure to conform to legal requirements may form the basis for removal (*see Matter of Bauer*, 3 NY3d 158 [2004]). Petitioner disregarded the clear statutory mandates of his office repeatedly over the course of more than five years and 475 proceedings, educating himself on the SCPA requirements only in response to a newspaper's investigatory series. Petitioner's consistent disregard for fundamental statutory requirements of office demonstrates an unacceptable incompetence in the law.[4]

Petitioner's argument that the language of SCPA 1108 (2) (c) stating that a surrogate ''shall consider'' the factors set forth therein cannot mean that a surrogate ''must consider'' those factors is unavailing. While the statute vests discretion in the surrogate to make legal fee determinations, the plain language of SCPA 1108 (2) (c) directs a surrogate to review the statutory factors prior to compensating counsel. ''Shall'' plainly did not mean ''may.'' Considering the statutory factors does not divest the surrogate of discretionary authority to award fees, but it does satisfy the concern that fees are justified by the services rendered.

Petitioner's failure was made all the more egregious by his appointment, without considering other candidates, of a close personal friend and political supporter to whom he summarily awarded, between 1997 and 2002, more than $8.5 million, and who personally took home a substantial portion of that amount without the Surrogate's independent assurance in each case that the compensation was reasonable.

The Rules of Judicial Conduct require that a judge not ''allow family, social, political or other relationships to influence the judge's judicial conduct or judgment'' (22 NYCRR 100.2 [B]). A

4. Petitioner's failure to procure any affidavits of legal services was apparently unique to him—Surrogate Bloom required affidavits starting in 1993, as do the surrogates in the other four New York City counties. Of course, even the fact that petitioner inherited a lax culture from a predecessor would not excuse such misconduct. ''Petitioner was responsible for his own conduct in the discharge of his judicial duties'' (*Matter of Greenfeld*, 71 NY2d 389, 392 [1988]).

judge's conduct is under a sterner microscope than other members of the public, as "there is no higher order of fiduciary responsibility than that assumed by a Judge" (*Matter of Spector v State Commn. on Jud. Conduct*, 47 NY2d 462, 469 [1979]). While appointment of a friend does not itself convey an appearance of impropriety, when, as here, that appointment is coupled with the unsubstantiated award of several million dollars in fees from estates that, by definition, lack adversarial parties to challenge the practice, the taint of favoritism is strong. Here, the record reflects not mere lapses or errors in judgment but a wholesale failure of petitioner's duty, reflecting an indifference if not cynicism toward his judicial office. Petitioner's failure to abide by the legal requirements of his office, in a manner that conveyed the appearance of impropriety and favoritism, debased his office and eroded public confidence in the integrity of the judiciary. We conclude that the proper remedy for this misconduct is removal from office.

Accordingly, the determined sanction should be accepted, without costs, and Michael H. Feinberg removed from the office of Surrogate of Kings County.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur in per curiam opinion.

Determined sanction accepted, etc.

[833 NE2d 1213, 800 NYS2d 538]

CARLO ALBANESE et al., Respondents, v CITY OF NEW YORK et al., Appellants, et al., Defendants.

Argued June 1, 2005; decided July 6, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 23, 2004. Insofar as appealed from, the Appellate Division order, with two Justices dissenting, modified, on the law, so much of an order of the Supreme Court, Bronx County (Alexander W. Hunter, Jr., J.), as had denied defendant City of New York's motion for summary judgment dismissing the complaint, by deeming the City an owner within the meaning of Labor Law §§ 240 and 241. The following question was certified by the Appellate Division: ''Was the order of this Court, which modified the order of the Supreme Court, properly made?''

Albanese v City of New York, 10 AD3d 545, reversed.

HEADNOTE

Labor — Safe Place to Work

Defendant City was not subject to liability under the Labor Law for injuries sustained by plaintiff, who, while working on a New York State-initiated construction project, fell from a scaffold suspended from an expressway ramp in the city. The City was not an ''owner'' of the work site for purposes of Labor Law liability. Although the accident occurred on an arterial highway—a roadway running through the city that connected to a state highway—the State had contracted for the project. The City did not perform any of the work, and its role was largely confined to its regulatory responsibilities arising out of its work permits. That limited involvement could not subject the City to absolute liability under the Labor Law for an injury allegedly resulting from the height of a scaffold placed by state contractors.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 205, 207, 256–258, 269.

MCKINNEY'S, Labor Law § 240 (1); § 241.

NY JUR 2d, Employment Relations §§ 227, 228, 231–233, 235, 237–240.

PROSSER AND KEETON, TORTS (5th ed) § 80.

ANNOTATION REFERENCE

See ALR Index under Occupational Safety and Health; Scaffolds.

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POINTS OF COUNSEL

Smith Mazure Director Wilkins Young & Yagerman, P.C., New York City (*Mark D. Levi* of counsel), for appellants. The Appellate Division, First Department erred in not dismissing plaintiffs-respondents' complaint against defendant-appellant, City of New York, and erred in finding it to be an owner under Labor Law §§ 200, 240 (1) and § 241 (6). (*Deloach v City of New York,* 258 AD2d 384; *Nowlin v City of New York,* 81 NY2d 81; *Gregorio v City of New York,* 246 AD2d 275; *Astin v City of New York,* 278 AD2d 440; *Nunez v City of New York,* 177 AD2d 394; *Michetti v City of New York,* 184 AD2d 263; *Farrell v Town of N. Salem,* 205 NY 453; *People ex rel. Carlisle v Board of Supervisors of Onondaga County,* 217 NY 424; *Willis v City of New York,* 107 AD2d 747; *Allen v Village of Holley,* 226 App Div 294.)

Schneider, Kleinick, Weitz & Damashek, New York City (*Charles J. Nolet, Jr.* of counsel), for respondents. Defendant-appellant is, as a matter of controlling law, an ''owner'' of this arterial highway work site for purposes of the Labor Law. (*Nowlin v City of New York,* 81 NY2d 81; *Matter of City of New York v State of New York,* 98 NY2d 740; *Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *Quigley v Thatcher,* 207 NY 66; *Glielmi v Toys ''R'' Us,* 62 NY2d 664; *Adimey v Erie County Indus. Dev. Agency,* 226 AD2d 1053, 89 NY2d 836; *Kane v Coundorous,* 293 AD2d 309; *Bart v Universal Pictures,* 277 AD2d 4; *Clute v Ellis Hosp.,* 184 AD2d 942; *Sinzieri v Expositions, Inc.,* 270 AD2d 332.)

OPINION OF THE COURT

Chief Judge Kaye.

Plaintiff Carlo Albanese, a carpenter, was at work on a scaffold suspended from a Cross Bronx Expressway ramp over the Bruckner Expressway in the City of New York when a tractor-trailer heading east on the Bruckner struck the bottom of the scaffold. Plaintiff was thrown into the air and fell back down onto the scaffold.

As of the date of the accident, the expressways were under construction as part of a two-year New York State-initiated project that included the comprehensive resurfacing and rehabilitation of the Cross Bronx-Bruckner Interchange, Cross

Bronx Expressway, Throgs Neck Expressway-Hutchinson River Parkway resurfacing, and joint restoration and replacement of the Throgs Neck Expressway Bridge over the Cross Bronx Expressway. Through its Department of Transportation, the State contracted for the project with Defoe Corporation, general contractor, and Haks Engineers, P.C., construction manager. The City was not a signatory to the contracts; it did not participate in the selection of, or negotiation with, the contracting parties; and it did not perform any of the work. The City, however, issued work permits for the project, granting the State the authority to ''enter upon and restrict the flow of traffic on the Cross Bronx/Bruckner [Expressway] Interchange . . . for the purpose of reconstruction, resurfacing, and highway improvement together with all work incidental thereto,'' subject to stipulations imposing conditions on lane closures, traffic flow, storage of materials and the like. The City reserved the right to cancel the permits at any time.

Alleging that the scaffolding was too low, plaintiff and his wife commenced this damages action for violations of Labor Law §§ 200, 240 and 241, as well as common-law negligence, against the City of New York, the Triborough Bridge and Tunnel Authority, Haks Engineers, Haks Construction Management, Inc. and the truck lessors, lessees and driver. (Plaintiffs separately brought a similar action against the State in the Court of Claims.) The City sought summary judgment, arguing that as a matter of law it was not an ''owner'' of the work site for purposes of Labor Law liability.

Supreme Court denied the City's motion for summary judgment, finding issues of fact as to all claims. A divided Appellate Division modified, holding that, as a matter of law, the City was an owner within the meaning of the Labor Law; two dissenting Justices agreed with Supreme Court that the issue was (at the least) one of fact. The Appellate Division granted leave to appeal to this Court on a certified question. We now reverse, concluding that the City was not an owner for purposes of the alleged Labor Law violations.

Labor Law §§ 240 and 241 impose absolute liability on ''[a]ll contractors and owners and their agents'' for any breach of a statutory duty to provide safety measures that proximately cause injury (*see* Labor Law § 240 [1]; § 241). Plaintiffs contend that the City is an owner because the accident occurred on an arterial highway and therefore, under Highway Law article XII-B, the City and State shared responsibility for the work site. Further, plaintiffs argue that the City actually functioned as an owner on the project, by reviewing plans and specifications for the work, attending meetings, inspecting the site, issuing work permits and retaining authority to suspend or terminate the work.

Nowlin v City of New York (81 NY2d 81 [1993]) is a centerpiece of plaintiffs' argument. While an automobile accident (not a Labor Law) case, *Nowlin* also concerned the scope of the City's responsibility on arterial highways—roadways running through the city that connect to state highways. Our analysis began with article XII-B of the Highway Law (Highway Law §§ 349-b—349-f), enacted in 1944 to create a state-wide system for the use of state and federal funds in the construction and modernization of arterial highways.

As we explained in *Nowlin*, arterial highways by definition implicate both state and local interests, and the statute pays deference to both. It provides that the State may expend state or federal funds for the purchase, design, construction or reconstruction of arterial routes and thereby may attain ownership of them (Highway Law § 349-c [1], [5], [6]). The State, however, can proceed with construction only ''after designs, plans, specifications and estimates of cost thereof have been completed and approved by the city and the commissioner of transportation, and the necessary property has been acquired'' (Highway Law § 349-c [3.4]). Once state work is complete, ''the commissioner of transportation shall transfer jurisdiction to the city of New York'' (*id.*).

The separation between city and state responsibility, however, is not absolute, even during construction. Recognition of city authority—both the power to regulate its affairs, and the obligation to maintain its property—is a theme sounded throughout the history of article XII-B (*see Nowlin*, 81 NY2d at 87-88). For example, during state work, the City may itself initiate construction projects and thus take on the function of an owner (Highway Law § 349-c [3.6]); by the same token, the State may—as in *Nowlin*—retain maintenance responsibilities even after transferring jurisdiction to the City.

Two related, significant facts distinguish this case from *Nowlin*, where we sustained a damages award against the City for an automobile accident on an arterial highway, the Henry Hudson Parkway. In *Nowlin*, years before the accident, the State had completed construction and transferred jurisdiction to the

City. Here, state construction was ongoing at the time of plaintiff's injury. In *Nowlin*, moreover, where negligent placement of warning signs allegedly created a traffic hazard that caused plaintiff's injury, it was the City that had actually planned and placed the signage on the parkway. Here, the City exercised no comparable function with respect to the scaffolding that was part of the State's rehabilitation of the Cross Bronx Expressway-Bruckner Interchange. The State was in charge of the project, and the City had no say as to which contractor or consultants were hired. The City did not perform any of the work. The City's role was largely confined to its regulatory responsibilities arising out of its work permits. That limited involvement cannot subject the City to absolute liability under the Labor Law for an injury allegedly resulting from the height of a scaffold placed by state contractors.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, the certified question answered in the negative, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order, insofar as appealed from, reversed, etc.

[833 NE2d 1197, 800 NYS2d 522]

COURTROOM TELEVISION NETWORK LLC, Appellant, v STATE OF NEW YORK et al., Respondents.

Argued April 27, 2005; decided June 16, 2005

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 22, 2004. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Shirley Werner Kornreich, J.; op 1 Misc 3d 328), which had denied plaintiff's motion for partial summary judgment, granted the motions by defendants State of New York, George E. Pataki, and Eliot Spitzer for summary judgment, searched the record and granted summary judgment to defendant Robert Morgenthau, declared that Civil Rights Law § 52, on its face, is not unconstitutional under the United States Constitution First Amendment, and declared that Civil Rights Law § 52, on its face, is not unconstitutional under New York Constitution, article I, § 8.

Courtroom Tel. Network LLC v State of New York, 8 AD3d 164, affirmed.

HEADNOTE

Courts — Audiovisual Coverage of Judicial Proceedings — Ban against Coverage Not Unconstitutional

Civil Rights Law § 52, which bans audiovisual coverage of most courtroom proceedings, does not violate either United States Constitution First Amendment or New York Constitution, article I, § 8. The First Amendment guarantees the press and the public a right of access to trial proceedings, but not the right to televise those proceedings. Although the public acquires information about trials chiefly through the press and electronic media, the press is not imbued with any special right of access. Civil Rights Law § 52 does not prevent the press, including television journalists, from attending trials and reporting on the proceedings; it merely restricts the means that can be used in order to gather news. Nor is there any additional or broader protection under New York Constitution, article I, § 8, than under the First Amendment insofar as access to court proceedings is concerned. Rather, the authority to decide whether or not to permit cameras in the courtroom has been constitutionally delegated to the Legislature.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 1009; AM JUR 2d, Trial §§ 212–214.

McKinney's, Civil Rights Law § 52; NY Const, art I, § 8.
NY Jur 2d, Criminal Law § 2218; NY Jur 2d, Trial § 332.
US Const 1st Amend.

ANNOTATION REFERENCE

Validity, propriety, and effect of allowing or prohibiting media's broadcasting, recording, or photographing court proceedings. 14 ALR4th 121.

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POINTS OF COUNSEL

Boies, Schiller & Flexner LLP, Armonk and Washington, D.C. (*David Boies, Jonathan Sherman, David A. Barrett* and *George F. Carpinello* of counsel), and *Douglas P. Jacobs,* New York City, for appellant. I. The per se ban set forth in Civil Service Law § 52 is unconstitutional. (*Estes v Texas,* 381 US 532; *Westmoreland v Columbia Broadcasting Sys., Inc.,* 752 F2d 16, 472 US 1017; *Chandler v Florida,* 449 US 560; *Republican Party of Minn. v White,* 536 US 765; *Butterworth v Smith,* 494 US 624; *Burson v Freeman,* 504 US 191; *Richmond Newspapers, Inc. v Virginia,* 448 US 555; *Wood v Georgia,* 370 US 375; *Craig v Harney,* 331 US 367; *Bridges v California,* 314 US 252.) II. Under article I, § 8 of the New York State Constitution, the public and press are presumptively entitled to view trial court proceedings by audiovisual means. (*Richmond Newspapers, Inc. v Virginia,* 448 US 555; *Matter of Westchester Rockland Newspapers v Leggett,* 48 NY2d 430; *Immuno AG. v Moor-Jankowski,* 77 NY2d 235, 500 US 954; *People ex rel. Arcara v Cloud Books,* 68 NY2d 553; *Bellanca v New York State Liq. Auth.,* 54 NY2d 228, 456 US 1006; *People v Ferber,* 57 NY2d 256; *Matter of Ruben R.,* 219 AD2d 117; *Matter of Johnson Newspaper Corp. v Melino,* 77 NY2d 1; *People v P.J. Video,* 68 NY2d 296.) III. The per se ban in Civil Service Law § 52 is unconstitutional under the First Amendment and the broader protections of New York Constitution, article I, § 8. (*Richmond Newspapers, Inc. v Virginia,* 448 US 555; *Press-Enterprise Co. v Superior Court of Cal., County of Riverside,* 478 US 1; *Matter of Westchester Rockland Newspapers v Leggett,* 48 NY2d 430; *Globe Newspaper Co. v Superior Court, County of Norfolk,* 457 US 596; *Matter of Associated Press v Bell,* 70 NY2d 32; *Chandler v*

Florida, 449 US 560; *Matter of Oliver v Postel,* 30 NY2d 171; *Nebraska Press Assn. v Stuart,* 427 US 539; *Stroble v California,* 343 US 181; *Waller v Georgia,* 467 US 39.)

Eliot Spitzer, Attorney General, New York City (*Caitlin Halligan* and *Gregory Silbert* of counsel), for State of New York and others, respondents. I. There is no First Amendment right to televise trial proceedings. (*Estes v Texas,* 381 US 532; *Chandler v Florida,* 449 US 560; *Richmond Newspapers, Inc. v Virginia,* 448 US 555; *Nixon v Warner Communications, Inc.,* 435 US 589; *Waller v Georgia,* 467 US 39; *Press-Enterprise Co. v Superior Court of Cal., County of Riverside,* 478 US 1; *New State Ice Co. v Liebmann,* 285 US 262; *Globe Newspaper Co. v Superior Court, County of Norfolk,* 457 US 596; *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.,* 464 US 501; *United States v Yonkers Bd. of Educ.*, 747 F2d 111.) II. There is no state constitutional right to televise trial proceedings. (*Richmond Newspapers, Inc. v Virginia,* 448 US 555; *Matter of United Press Assns. v Valente,* 308 NY 71; *Matter of Westchester Rockland Newspapers v Leggett,* 48 NY2d 430; *People ex rel. Arcara v Cloud Books,* 68 NY2d 553; *Matter of Johnson Newspaper Corp. v Melino,* 77 NY2d 1; *McGowan v Burstein,* 71 NY2d 729; *People v P.J. Video,* 68 NY2d 296; *SHAD Alliance v Smith Haven Mall,* 66 NY2d 496; *Matter of Santiago v Bristol,* 273 AD2d 813.) III. Section 52 of the Civil Rights Law passes constitutional muster. (*Perry Educ. Assn. v Perry Local Educators' Assn.,* 460 US 37; *Cornelius v NAACP Legal Defense & Ed. Fund, Inc.,* 473 US 788; *Huminski v Corsones,* 396 F3d 53; *United States v Grace,* 461 US 171; *Richmond Newspapers, Inc. v Virginia,* 448 US 555; *Estes v Texas,* 381 US 532; *Globe Newspapers v Superior Court, Norfolk County,* 457 US 596; *Heffron v International Socy. for Krishna Consciousness, Inc.,* 452 US 640; *Chandler v Florida,* 449 US 560; *Westmoreland v Columbia Broadcasting Sys., Inc.,* 752 F2d 16.)

Michael A. Cardozo, Corporation Counsel, New York City (*Janet L. Zaleon, Kristin M. Helmers* and *Jane R. Goldberg* of counsel), for Robert Morgenthau, respondent. The dismissal of plaintiff Courtroom Television Network LLC's (Court TV) complaint against the District Attorney of New York County should be affirmed for the reasons given by the Appellate Division and, moreover, because Court TV has no justiciable controversy against the District Attorney. Court TV failed to show that it has been threatened with prosecution for televising court proceedings. (*Fox Wander W. Neighborhood Assn. v Luther*

Forest Community Assn., 178 AD2d 871; *Parochial Bus Sys. v Board of Educ. of City of N.Y.,* 60 NY2d 539; *Cherry v Koch,* 126 AD2d 346, 70 NY2d 603; *Lang v Hanover Ins. Co.,* 3 NY3d 350; *Bolt Assoc. v Diamonds-In-The-Roth, Inc.,* 119 AD2d 524; *James v Alderton Dock Yards,* 256 NY 298; *People v Zimmer,* 51 NY2d 390; *People v Di Falco,* 44 NY2d 482; *People v Eboli,* 34 NY2d 281.)

Mickey H. Osterreicher, Buffalo, and *Covington & Burling,* Washington, D.C. (*Timothy L. Jucovy* of counsel), for National Press Photographers Association and others, amici curiae. I. Cameras in the courtroom are necessary to maintain the public's historic right of access to the courts. (*Richmond Newspapers, Inc. v Virginia,* 448 US 555; *ABC, Inc. v Stewart,* 360 F3d 90; *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.,* 464 US 501.) II. Due to significant technological advances in the field of audiovisual coverage since 1952, a video camera's physical and psychological presence in the courtroom is unobtrusive. (*Ward v Rock Against Racism,* 491 US 781; *Estes v Texas,* 381 US 532; *ABC, Inc. v Stewart,* 360 F3d 90; *Katzman v Victoria's Secret Catalogue,* 923 F Supp 580; *Members of City Council of City of Los Angeles v Taxpayers for Vincent,* 466 US 789; *Simon & Schuster, Inc. v Members of N.Y. State Crime Victims Bd.,* 502 US 105; *Richmond Newspapers, Inc. v Virginia,* 448 US 555; *National Assn. for Advancement of Colored People v Button,* 371 US 415.)

Chadbourne & Parke LLP, New York City (*Thomas E. Riley, Philip Pfeffer* and *Jennifer Wilson* of counsel), for New York State Association of Criminal Defense Lawyers, amicus curiae. I. The Appellate Division properly affirmed the Supreme Court's decision upholding Civil Rights Law § 52. II. Under the content-neutral standard of review, this Court should consider the impact of cameras in the courtroom on the trial participants. (*Estes v Texas,* 381 US 532; *People v Rosario,* 9 NY2d 286, 368 US 866.) III. The Court should consider the negative impact of programming choices like Courtroom Television Network LLC's. (*Estes v Texas,* 381 US 532.)

Richard Sexton, New York City, amicus curiae. I. The Supreme Court in *Estes v Texas* (381 US 532 [1965]) had fundamental concerns about the televising of court proceedings for transmission to remote mass audiences and its impact on the fairness of trials, the rights of participants in the proceedings and the integrity of the judicial process, and such concerns still apply today. (*Chandler v Florida,* 449 US 560.) II. In enacting section 52 of the Civil Rights Law, the Legislature had fundamental concerns about the televising of court proceedings for transmission to remote mass audiences and its impact on the fairness of trials, the rights of participants in the proceedings and the integrity of the judicial process, and the reasonableness of such concerns still applies today and militates against the claim of a new constitutional right of television access under New York Constitution, article I, § 8. (*Estes v Texas,* 381 US 532.)

Kenneth G. Standard, Albany, *Slade R. Metcalf, Kevin W. Goering, Edward J. Klaris* and *Aimee E. Saginaw* for New York State Bar Association, amicus curiae. I. The New York State Bar Association supports cameras in the courts. (*Littlejohn v Bic Corp.,* 851 F2d 673.) II. The New York State Bar Association conducted extensive fact-gathering before supporting cameras in courts. III. Jurisprudence supports allowing television access to New York courts. (*Richmond Newspapers, Inc. v Virginia,* 448 US 555; *Matter of Raab,* 100 NY2d 305.)

Jonathan E. Gradess, Albany, and *Stephanie J. Batcheller* for New York State Defenders Association, amicus curiae. Civil Rights Law § 52, prohibiting television cameras in court proceedings, is constitutionally supported by the demands of due process and fair and independent administration of justice. (*Estes v Texas,* 381 US 532; *Sheppard v Maxwell,* 384 US 333; *Chandler v Florida,* 449 US 560; *Westmoreland v Columbia Broadcasting Sys., Inc.,* 752 F2d 16; *Nixon v Warner Communications, Inc.,* 435 US 589; *People v Walker,* 81 NY2d 661; *People v Davis,* 43 NY2d 17; *United States v Salerno,* 481 US 739; *People v Tichenor,* 89 NY2d 769.)

McNamee, Lochner, Titus & Williams, P.C., Albany (*Michael J. Grygiel* and *Morgan A. Costello* of counsel), for Clear Channel Communications, Inc., amicus curiae. I. This appeal implicates fundamental legal—not policy—issues which should be determined as a matter of state constitutional law. (*Alliance of Am. Insurers v Chu,* 77 NY2d 573; *Matter of Wood v Irving,* 85 NY2d 238; *Marbury v Madison,* 1 Cranch [5 US] 137; *People v LaValle,* 3 NY3d 88; *Landmark Communications, Inc. v Virginia,* 435 US 829; *SHAD Alliance v Smith Haven Mall,* 66 NY2d 496; *McRae v Califano,* 491 F Supp 630; *Schieffelin v Komfort,* 212 NY 520; *Boryszewski v Brydges,* 37 NY2d 361; *Richmond Newspapers, Inc. v Virginia,* 448 US 555.) II. A mandatory, absolute ban on audiovisual coverage of in-court proceedings abridges the rights of the press and public protected under article I, § 8 of the New York State Constitution. (*Richmond Newspapers, Inc. v Virginia,* 448 US 555; *Globe Newspaper Co. v Superior Court, County of Norfolk,* 457 US 596; *People v Harris,* 57 NY2d 335, 460 US 1047; *Matter of Associated Press v Bell,* 70 NY2d 32; *Matter of New York Times Co. v Demakos,* 137 AD2d 247; *Coopersmith v Gold,* 156 Misc 2d 594; *O'Neill v Oakgrove Constr.,* 71 NY2d 521; *Matter of Beach v Shanley,* 62 NY2d 241; *Matter of Westchester Rockland Newspapers v Leggett,* 48 NY2d 430; *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.,* 464 US 501.)

Patterson, Belknap, Webb & Tyler LLP, New York City (*Saul B. Shapiro* of counsel), for ABC, Inc. and others, amici curiae. I. As courts anticipated, courtroom camera technology has advanced and the public has embraced television. (*Estes v Texas,* 381 US 532; *Westmoreland v Columbia Broadcasting Sys., Inc.,* 752 F2d 16; *Cable News Network, Inc. v American Broadcasting Cos., Inc.,* 518 F Supp 1238; *Katzman v Victoria's Secret Catalogue,* 923 F Supp 580; *People v Boss,* 182 Misc 2d 700.) II. Constitutional jurisprudence adapts with the progress of technology. (*Olmstead v United States,* 277 US 438; *Kyllo v United States,* 533 US 27; *Denver Area Educ. Telecom. Consortium, Inc. v Federal Communications Commn.,* 518 US 727; *Red Lion Broadcasting Co. v Federal Communications Commn.,* 395 US 367; *Federal Communications Commn. v Pacifica Found.,* 438 US 726; *Joseph Burstyn, Inc. v Wilson,* 343 US 495; *Columbia Broadcasting System, Inc. v Democratic National Committee,* 412 US 94; *Turner Broadcasting Sys., Inc. v Federal Communications Commn.,* 512 US 622; *United States v Playboy Entertainment Group, Inc.,* 529 US 803; *Sable Communications of Cal., Inc. v Federal Communications Commn.,* 492 US 115.) III. New York's ban on courtroom cameras violates the constitutional presumption that courtrooms are open to the public and press. (*Matter of Beach v Shanley,* 62 NY2d 241; *O'Neill v Oakgrove Constr.,* 71 NY2d 521; *Matter of United Press Assns. v Valente,* 308 NY 71; *Richmond Newspapers, Inc. v Virginia,* 448 US 555; *People ex rel. Arcara v Cloud Books,* 68 NY2d 553; *People v Boss,* 182 Misc 2d 700; *Katzman v Victoria's Secret Catalogue,* 923 F Supp 580; *Blanco v American Tel. & Tel. Co.,* 90 NY2d 757; *People v Bialostok,* 80 NY2d 738; *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.,* 464 US 501.)

OPINION OF THE COURT

G.B. SMITH, J.

The primary issue on this appeal is whether Civil Rights Law

§ 52, which bans audiovisual coverage of most courtroom proceedings,[1] violates the Federal or State Constitution. We agree with the Supreme Court and the Appellate Division that there is no First Amendment or New York Constitution, article I, § 8 right to televise a trial.

On September 5, 2001, Courtroom Television Network LLC (Court TV) filed a complaint against the State and Robert Morgenthau in his official capacity as District Attorney of New York County seeking a declaratory judgment that Civil Rights Law § 52 is unconstitutional and enjoining the prosecutor's office from enforcing it.[2] On July 15, 2003, Supreme Court granted summary judgment to defendants stating:

> "the court declines to establish a constitutional rule in New York granting the media a right to televise court proceedings. The record is consistent with the traditional approach of New York courts to public access questions, giving great weight to fair trial concerns. The record also is consistent with New York's statutory scheme which guarantees public trials, but gives primacy to fair trial rights. Moreover, to the extent any changes to the statutory scheme have been put into experimental use, these were initiated and reviewed by the Legislature. A state constitutional rule expanding the rights of the media in New York to include the right to photograph and broadcast court proceedings would derail what is, and always has been, a legislative process." (1 Misc 3d 328, 375 [2003].)

The Appellate Division affirmed. Court TV appeals as of right on constitutional grounds pursuant to CPLR 5601 (b) (1).

Court TV asserts that section 52 denies it the right of access to trials guaranteed by the First Amendment to the United States Constitution and article I, § 8 of the New York State Constitution. Court TV argues further that most states permit televised trials, that New York stands alone in having an

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1. Civil Rights Law § 52 provides in part: "No person, firm, association or corporation shall televise, broadcast, take motion pictures or arrange for the televising, broadcasting, or taking of motion pictures within this state of proceedings, in which the testimony of witnesses by subpoena or other compulsory process is or may be taken, conducted by a court, commission, committee, administrative agency or other tribunal in this state . . . ."

2. Since there is no pending action by the District Attorney of New York County against Court TV, there is no justiciable issue before us, and the case against the District Attorney should be dismissed.

"absolute ban" on televised trials and that the evidence supporting access to information for the general public far outweighs any attendant problems of having cameras in the courtroom. New York State counters that there is no First Amendment right to televised trials, and that the concerns of Court TV are more appropriately directed to the Legislature than to the courts. The State additionally argues that allowing cameras in the courtroom is a discretionary policy determination that may be made by the Legislature.

I. First Amendment

The First Amendment to the United States Constitution guarantees the press and the public a right of access to trial proceedings. Without the right to attend trials, "which people have exercised for centuries, important aspects of freedom of speech and 'of the press could be eviscerated' " (*Richmond Newspapers, Inc. v Virginia*, 448 US 555, 580 [1980]; *see also Globe Newspaper Co. v Superior Court, County of Norfolk*, 457 US 596, 605 [1982]; *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty*., 464 US 501, 510 [1984] [*Press Enterprise I*]; *Press-Enterprise Co. v Superior Court of Cal., County of Riverside,* 478 US 1, 9 [1986] [*Press Enterprise II*]).

Though the public acquires information about trials chiefly through the press and electronic media, the press is not imbued with any special right of access. Rather, the media possesses "the same right of access as the public . . . so that they may report what people in attendance have seen and heard" (*Richmond Newspapers*, 448 US at 573). Thus, the press has "no right to information about a trial superior to that of the general public" (*Nixon v Warner Communications, Inc.*, 435 US 589, 609 [1978]), nor any right to information greater than the public (*see Houchins v KQED, Inc.*, 438 US 1, 15 [1978]).

Civil Rights Law § 52 does not prevent the press, including television journalists, from attending trials and reporting on the proceedings. What they cannot do under the statute is bring cameras into the courtroom. This is not a restriction on the openness of court proceedings but rather on what means can be used in order to gather news. The media's access is thus guaranteed. But it does not extend to a right to televise those proceedings (*Westmoreland v Columbia Broadcasting Sys., Inc.*, 752 F2d 16, 23 [2d Cir 1984]). "There is a long leap . . . between a public right under the First Amendment to attend trials and a public right under the First Amendment to see a given trial televised" (*id.*).

Estes v Texas (381 US 532 [1965]) is the seminal case on televising a trial. Five Justices concurred in the Court's holding that the petitioner had been denied due process because of the televising and broadcasting of his trial and held there was no constitutional right of the press to have access to the courtroom during a trial. The Court listed a number of concerns about the presence of cameras at the trial, including the prejudicial impact of pretrial publicity on the jurors, the impact on the truthfulness of the witnesses, responsibilities placed on the trial judge to assure a fair trial and the impact on the petitioner. The Court wrote, ''A defendant on trial for a specific crime is entitled to his day in court, not in a stadium, or a city or nationwide arena'' (381 US at 549; *see also Sheppard v Maxwell*, 384 US 333, 355 [1966]). The Court did acknowledge that ''the ever-advancing techniques of public communication and the adjustment of the public to its presence may bring about a change in the effect of telecasting upon the fairness of criminal trials'' (381 US at 551-552).

Today, television has become a ''commonplace . . . affair in the daily life of the average person'' (*id.* at 595 [Harlan, J., concurring]). While the Supreme Court has revisited the effects of televised coverage of trials, concluding that such broadcasts are not a per se violation of fair trial rights, it has never deviated from its holding that '' 'there is no constitutional right to have [live witness] testimony recorded and broadcast' '' (*Chandler v Florida*, 449 US 560, 569 [1981], quoting *Nixon v Warner Communications, Inc.*, 435 US 589, 610 [1978]).[3]

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3. We note that after *Chandler*, no Federal Circuit Court has opined that the Federal Constitution guarantees the media a right to televise trials (*see e.g. Westmoreland v Columbia Broadcasting Sys., Inc.*, 752 F2d 16, 24 [1984]; *Whiteland Woods, L.P. v Township of W. Whiteland*, 193 F3d 177, 181 [3d Cir 1999] [press has no absolute right of access to a criminal trial]; *United States v Edwards*, 785 F2d 1293, 1295 [5th Cir 1986] [First Amendment does not guarantee a positive right to televise or broadcast criminal trials]; *Conway v United States*, 852 F2d 187, 188-189 [6th Cir 1988] [no First Amendment right to televise judicial proceedings]; *United States v Kerley*, 753 F2d 617, 621 [7th Cir 1985] [''exclusion of cameras from federal courtrooms is constitutional'']; *Rice v Kempker*, 374 F3d 675, 678 [8th Cir 2004] [''the First Amendment does not protect the use of video cameras or any other cameras or, for that matter, audio recorders in the execution chamber'']; *California First Amendment Coalition v Woodford*, 299 F3d 868, 877 [9th Cir 2002] [reaffirms First Amendment right of access to attend executions]; *Combined Communications Corp. v Finesilver*, 672 F2d 818, 821 [10th Cir 1982] [''The First Amendment does not guarantee the media a constitutional right to televise inside a courthouse'']; *United States v Hastings*, 695 F2d 1278, 1280 [11th Cir 1983] [right of access does not extend

(n. cont'd)

Thus, it is clear that the Federal Constitution does not require courtrooms to be open to televise court proceedings.

II. The New York State Constitution

The New York State Constitution, similarly, does not provide a right to televise trials. Article I, § 8 states, ''Every citizen may freely speak, write and publish his or her sentiments on all subjects, being responsible for the abuse of that right; and no law shall be passed to restrain or abridge the liberty of speech or of the press.'' Court TV argues that Civil Rights Law § 52 is an unlawful ''restraint on the press.'' It concedes, however, that this Court has not ''explicitly'' recognized ''a state constitutional right to public and press access to trial court proceedings.'' While we have in certain circumstances interpreted article I, § 8 more broadly than its federal counterpart (*see O'Neill v Oakgrove Constr.*, 71 NY2d 521, 530-532 [1988] [then Judge Kaye concurring]), we decline to do so here.

In New York, the press, like the public, has a right of access to criminal proceedings (*see Matter of Westchester Rockland Newspapers v Leggett*, 48 NY2d 430, 437-438 [1979]; *Matter of Gannett Co. v De Pasquale*, 43 NY2d 370, 376 [1977]; *Matter of Associated Press v Bell*, 70 NY2d 32, 38 [1987]). This includes access to pretrial hearings (*id.* [''We conclude, therefore, that the public and the press may have a First Amendment right of access to pretrial suppression hearings'']). Any exception to a public trial should be narrowly construed (*Westchester Rockland Newspapers v Leggett*, 48 NY2d at 443; *People v Hinton*, 31 NY2d 71, 75-76 [1972] [''While we reaffirm today the inherent discretionary power of the trial court to close the courtroom, we need only point out that the discretion be sparingly exercised and then, only when unusual circumstances necessitate it'' (citation omitted)]).

Court TV relies on courtroom closure cases to suggest that New York has granted the press broader rights than those provided under the First Amendment. But even if the right to access was the equivalent of a right to televise courtroom proceedings, which it is not, our cases do not support appellant's assertions.

Even prior to *Estes*, New York did not recognize any independent right of the press beyond that of the public to have access to the court. In *Matter of United Press Assns. v Valente* (308 NY

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to ''the right to televise, photograph, record, and broadcast federal criminal trials'']).

71, 84-85 [1954]), this Court held that the press had no independent right to request that the courtroom remain open separate from defendant's right to make either a request for the court to remain open or closed. In fact, our approach to courtroom closure has been comparable to the federal analysis. In imposing such a restraint on the press, the government must show that there is a legitimate governmental interest which outweighs any constitutional right of access by the press and public (*see New York Times Co. v United States*, 403 US 713, 715 [1971] [Black, J., concurring] [government has the burden of proving that governmental interest outweighs the constitutional right]).

The primary governmental interest, both state and federal, is guaranteeing that the defendant receives a fair trial (*see Estes v Texas, supra*; *Westchester Rockland Newspapers v Leggett, supra*). Consistent with that interest, the court must be concerned with the defendant, jurors, witnesses, attorneys and the public at large (*see Waller v Georgia*, 467 US 39, 45-46 [1984]; *People v Ramos*, 90 NY2d 490, 497-498 [1997]).

In *Westchester Rockland Newspapers v Leggett*, this Court stated, ''All court proceedings are presumptively open to the public, but when this would jeopardize the right of the accused to a fair trial, the competing interests must be balanced and reconciled as far as possible'' (48 NY2d 430, 438 [1979], *supra*). The governmental interests of the right of a defendant to have a fair trial and for the trial court to maintain the integrity of the courtroom outweigh any absolute First Amendment or article I, § 8 right of the press or the public to have access to trials.

This Court has clearly and unequivocally held that the state constitutional right of the press to attend a trial is the same as that of any citizen. ''The fact that petitioners are in the business of disseminating news gives them no special right or privilege, not possessed by other members of the public. Since the only rights they assert are those supposedly given 'every citizen' to attend court sessions (Judiciary Law, § 4[4]), they are in no position to claim any right or privilege not common to 'every

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4. Judiciary Law § 4:

''Sittings of courts to be public

''The sittings of every court within this state shall be public, and every citizen may freely attend the same, except that in all proceedings and trials in cases for divorce, seduction, abortion, rape, assault with intent to commit rape, criminal sexual act, bastardy or filiation, the court may, in its discretion,

(n. cont'd)

[other] citizen' " (*see Matter of United Press Assns. v Valente*, 308 NY 71, 85 [1954]). The *Valente* court held that the press had no independent right to request that the courtroom remain open separate from defendant's right to make either a request for the court to remain open or closed. Thus, under New York State law the press has no right separate from the public to challenge the judge's order to close the courtroom.

In *Matter of Johnson Newspaper Corp. v Melino* (77 NY2d 1, 8 [1990]), this Court held that there is no broader protection for the press under State Constitution, article I, § 8, than under the United States Constitution with respect to right of access to judicial proceedings. Even though *Johnson* specifically addressed disciplinary proceedings which are traditionally closed, and Court TV petitions this Court for a ruling on trials which are presumptively open, *Johnson* does guide this Court in that it addressed whether or not article I, § 8 gives greater rights than the First Amendment. *Johnson* also refused to find that there was a greater protection for the press than for the public to have access to the court.

Together, *Valente* and *Johnson* hold that there is no additional or broader protection under State Constitution, article I, § 8, than under the First Amendment insofar as access to court proceedings is concerned.[5] Thus, we conclude that Civil Rights Law § 52 withstands state constitutional challenge.

III. <u>The Legislative Prerogative</u>

In New York State, the decision whether or not to permit cameras in the courtroom is a legislative prerogative. The Legislature may and has, under our State Constitution, experimented with rules regarding audiovisual broadcasts of trial proceedings.

Beginning in 1987 with the enactment of Judiciary Law § 218, the Legislature has on four occasions temporarily permitted

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exclude therefrom all persons who are not directly interested therein, excepting jurors, witnesses, and officers of the court."

5. Because we conclude that Civil Rights Law § 52 does not affect a federal or state constitutional right, we need not consider Court TV's argument that the State's law should be analyzed under a strict scrutiny standard. Even if we were to consider section 52 under a constitutional lens, however, it would pass constitutional muster. This Court concludes that the statute is narrowly tailored to serve the governmental interests at issue, namely insuring that criminal defendants receive fair trials (*see Sheppard v Maxwell, supra*), that witnesses are forthcoming in their testimony (*see People v Hinton, supra*), that the trial court has control of the courtroom and that the integrity of the trial is maintained (*see People v Ramos*, 90 NY2d at 504).

certain courtroom broadcasts. Specifically, Judiciary Law § 218 (1) permitted the Chief Judge of the State to ''authorize an experimental program in which presiding trial judges, in their discretion, may permit audio-visual coverage of civil and criminal court proceedings, including trials'' subject to certain conditions and restrictions.[6] Judiciary Law § 218 contained sunset provisions upon which the statute, if not extended, would automatically expire. It also required a committee to review audiovisual coverage to hold public hearings on audiovisual coverage and to issue reports ''evaluating the efficacy of the program [of audiovisual coverage] and whether any public benefits accrue from the program, [and] any abuses that occurred during the program,'' with recommendations for future legislation (Judiciary Law § 218 [9] [c], as amended by L 1995, ch 8). After each experiment, lasting approximately two to three years, the Legislature reviewed the findings and reports on audiovisual equipment in the courtroom, all of which recommended cameras in the courtroom, and, after each review, rejected the recommendation. On June 30, 1997, the Legislature and Governor allowed Judiciary Law § 218 to sunset. Thus, the ban on televised trials contained in Civil Rights Law § 52 resumed as of July 1, 1997, a ban which continues to the present. Despite the technological improvements to audiovisual equipment, which renders its presence in courtrooms less obtrusive, the Legislature has not seen fit since 1997 to amend section 52 or reenact section 218.

We will not circumscribe the authority constitutionally delegated to the Legislature to determine whether audiovisual coverage of courtroom proceedings is in the best interest of the citizens of this state. ''A state constitutional rule expanding the rights of the media in New York to include the right to photograph and broadcast court proceedings would derail what is, and always has been, a legislative process'' (1 Misc 3d 328, 375 [2003], *supra*).

For all of the foregoing reasons, we hold that Civil Rights Law § 52 is constitutional under both the First Amendment to the United States Constitution and article I, § 8 of the New York State Constitution.

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6. When Judiciary Law § 218 was in effect, the court system itself exercised control over the means of access to proceedings made available to broadcast media under Rules of the Chief Administrator of the Courts (22 NYCRR) part 131.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[833 NE2d 1210, 800 NYS2d 535]

In the Matter of Metro Enviro Transfer, LLC, Appellant, v Village of Croton-on-Hudson et al., Respondents.

Argued June 8, 2005; decided July 6, 2005

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 10, 2004. The Appellate Division order, insofar as appealed from, (1) reversed, on the law and the facts, so much of a judgment of the Supreme Court, Westchester County (Francis A. Nicolai, J.), entered in a proceeding pursuant to CPLR article 78 to review a determination of the Village Board of Trustees of the Village of Croton-on-Hudson that had denied petitioner's application for renewal of a special use permit to operate a construction and demolition debris waste transfer station, as had (a) granted the petition, (b) annulled the determination, and (c) remitted the matter to the Village of Croton-on-Hudson to renew the special permit upon such reasonable conditions as it may deem appropriate, (2) confirmed the determination, and (3) dismissed the proceeding on the merits.

Matter of Metro Enviro Transfer, LLC v Village of Croton-on-Hudson, 7 AD3d 625, affirmed.

HEADNOTE

Municipal Corporations — Zoning — Special Use Permit

The Village Board's decision not to renew a special use permit for a solid waste transfer facility was supported by substantial evidence where, over the three-year period covered by the permit, the permit holder repeatedly and intentionally violated conditions of the permit. Although inconsequential violations would not justify nonrenewal, the many violations here, and their willful nature, sufficiently supported the Board's decision. The Board did not have to show substantial evidence of actual harm. It was enough that the Board found the violations potentially harmful. Even if no single violation was dangerous in itself, the Board was entitled to conclude that the history of repeated, willful violations created an unacceptable threat of future injury to health or the environment.

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Am Jur 2d, Zoning and Planning §§ 857–859, 911, 912.

Carmody-Wait 2d, Proceeding Against a Body or Officer § 145:1450.

NY Jur 2d, Buildings, Zoning, and Land Controls §§ 377, 382, 383, 386, 388, 408.

New York Real Property Service §§ 48:72, 48:75.

ANNOTATION REFERENCE

See ALR Index under Zoning.

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POINTS OF COUNSEL

Zarin & Steinmetz, White Plains (*David S. Steinmetz, Daniel M. Richmond* and *Jody T. Cross* of counsel), for appellant. I. Substantial evidence of a genuine threat to public health, safety and welfare is required before a municipality can deny the renewal of a special permit and permanently close an existing business. (*Matter of Retail Prop. Trust v Board of Zoning Appeals of Town of Hempstead,* 98 NY2d 190; *Matter of Ifrah v Utschig,* 98 NY2d 304; *Matter of P.M.S. Assets v Zoning Bd. of Appeals of Vil. of Pleasantville,* 98 NY2d 683; *300 Gramatan Ave. Assoc. v State Div. of Human Rights,* 45 NY2d 176; *Matter of Framike Realty Corp. v Hinck,* 220 AD2d 501, 88 NY2d 803; *Matter of Markowitz v Town Bd. of Town of Oyster Bay,* 200 AD2d 673, 84 NY2d 802; *Matter of Atlantic Cement Co. v Williams,* 129 AD2d 84; *Matter of Twin County Recycling Corp. v Yevoli,* 90 NY2d 1000; *Matter of Village of Hudson Falls v New York State Dept. of Envtl. Conservation,* 158 AD2d 24, 77 NY2d 983; *Matter of Scenic Hudson v Jorling,* 183 AD2d 258.) II. Substantial injustice is inflicted where a business is closed and a land use is terminated, even though permit violations are cured, fines are paid and corrective measures are implemented. (*Rummel v Estelle,* 445 US 263.)

Arnold & Porter LLP, New York City (*Michael B. Gerrard* and *Richard Webster* of counsel), for respondents. I. The Croton-on-Hudson Village Board of Trustees' decision was entitled to great deference. (*Matter of Retail Prop. Trust v Board of Zoning Appeals of Town of Hempstead,* 98 NY2d 190; *Matter of Ifrah v Utschig,* 98 NY2d 304; *Matter of P.M.S. Assets v Zoning Bd. of Appeals of Vil. of Pleasantville,* 98 NY2d 683; *Matter of Pecoraro v Board of Appeals of Town of Hempstead,* 2 NY3d 608; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County,* 34 NY2d 222;

Matter of All-Weather Carting Corp. v Town Bd. of Town of Islip, 137 Misc 2d 843; *Matter of Chilson v Board of Educ. of City of N.Y.,* 34 NY2d 222; *Matter of Featherstone v Franco,* 95 NY2d 550.) II. The Croton-on-Hudson Village Board of Trustees' refusal to renew Metro Enviro Transfer, LLC's expired permit was rational and based on substantial evidence. (*Matter of Bell v Szmigel,* 171 AD2d 1032; *Matter of Village of Hudson Falls v New York State Dept. of Envtl. Conservation,* 158 AD2d 24, 77 NY2d 983; *Matter of Atlantic Cement Co. v Williams,* 129 AD2d 84; *Matter of Eastern Transfer of N.Y. v Cahill,* 268 AD2d 131; *Matter of Aprile v Lo Grande,* 89 AD2d 563, 59 NY2d 886; *Matter of All-Weather Carting Corp. v Town Bd. of Town of Islip,* 137 Misc 2d 843; *Matter of B. Manzo & Son v New York State Dept. of Envtl. Conservation,* 285 AD2d 504; *Matter of Albany-Greene Sanitation v Town of New Baltimore Zoning Bd. of Appeals,* 263 AD2d 644; *Matter of Toys "R" Us v Silva,* 89 NY2d 411; *Matter of Stork Rest. v Boland,* 282 NY 256.) III. Metro Enviro Transfer, LLC's appeal relies on several invalid grounds. (*Wiggins v Town of Somers,* 4 NY2d 215; *Town of Islip v Zalak,* 165 AD2d 83; *Town of LaGrange v Giovenetti Enters.,* 123 AD2d 688; *New York Coalition of Recycling Enters. v City of New York,* 158 Misc 2d 1; *Matter of 4M Holding Co. v Town Bd. of Town of Islip,* 185 AD2d 317, 81 NY2d 1053; *Town of Islip v Clark,* 90 AD2d 500; *State of New York v Brookhaven Aggregates,* 121 AD2d 440; *Incorporated Vil. of Freeport v Jefferson Indoor Mar.,* 162 AD2d 434; *Matter of Featherstone v Franco,* 95 NY2d 550; *Matter of Yarbough v Franco,* 95 NY2d 342.)

Donna M.C. Giliberto, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. Public policy recognizes the authority of local governments to adopt laws that protect the health, safety, welfare and property of their inhabitants. (*Matter of Validation Review Assoc.,* 223 AD2d 134; *Haag v Barnes,* 11 AD2d 430; *Melodies, Inc. v La Pierre,* 4 AD2d 982; *Town of Hempstead v Goldblatt,* 9 NY2d 101; *Carollo v Town of Smithtown,* 20 Misc 2d 435; *New York ex rel. Lieberman v Van De Carr,* 199 US 552; *Lane v City of Mount Vernon,* 38 NY2d 344; *Matter of Wulfsohn v Burden,* 241 NY 288; *People ex rel. Armstrong v Warden of City Prison of City of N.Y.,* 183 NY 223; *Matter of Molnar v Curtin,* 273 App Div 322.) II. The fact that no injury is known to have occurred is not determinative as to the validity of the regulation enacted to safeguard the health and safety of the residents of the municipality. (*Town of Southport v Ross,* 284 App Div 598; *Wiggins v Town of Somers,* 4 NY2d 215; *City of Rochester v West,* 164 NY 510; *Lighthouse*

Shores v Town of Islip, 41 NY2d 7; *Stuart v Palmer,* 74 NY 183; *Sheldon v Town of Highlands,* 73 NY2d 304; *Gilman v Tucker,* 128 NY 190; *Gulest Assoc. v Town of Newburgh,* 25 Misc 2d 1004; *Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor,* 40 NY2d 158; *Springfield, L.I., Cemetery Socy. v City of New York,* 271 NY 66.)

OPINION OF THE COURT

ROSENBLATT, J.

The question in this appeal is whether a village board's decision not to renew a special use permit was supported by substantial evidence. We hold that it was.

In 1998, Croton-on-Hudson's Village Board of Trustees approved a three-year special use permit for a solid waste transfer facility operated by Metro Enviro, LLC.[1] The permit contained 42 special conditions, including capacity limitations. Other conditions included delineating types of waste that were not allowed in the facility and specifying training required of facility personnel.

Over the three-year period covered by the permit, Metro repeatedly and intentionally violated conditions of the permit. Metro not only exceeded capacity limitations at least 26 times, but also falsified records by rigging software to reallocate the dates of waste intake, deceptively giving the impression that there were no excesses. Further, on at least 42 occasions, the operators accepted prohibited types of industrial waste. Other violations included the inadequate training of facility personnel, insufficient record keeping and inappropriate storage of tires on the site.

Undeniably, there is overwhelming proof of these violations. Indeed, Metro admitted them. It paid fines in connection with several violations and, as a direct result of its capacity excesses, lost its bid to increase the facility's capacity.

In March 2001, Metro applied to renew the permit, due to expire in May 2001. The Board granted more than 10 temporary extensions and held extensive hearings in which it heard evidence and opinion testimony for and against renewal. Metro presented extensive sworn expert testimony and submitted additional written evidence and legal arguments. On January 27, 2003, the Board voted not to renew the permit.

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1. Metro Enviro, LLC is an entity distinct from appellant Metro Enviro Transfer, LLC. Metro Enviro Transfer acquired Metro Enviro's assets in March 2000.

The Board released a 14-page statement of findings detailing its rationale, including a three-page chart summarizing Metro's violations. In its statement, the Board credits the report of the Village's consultant, in whose opinion the violations were substantial. He concluded they "signify a facility that continually promises to improve but nonetheless persistently violates regulations that are designed to protect health and the environment." The Board's statement reflects its doubts about Metro's credibility and its concern that Metro had not been forthright in its dealings with the Village. The Board expressed a belief that, but for a federal monitor's presence, Metro might have concealed information about its operations.

Seeking to annul the Board's decision, Metro brought this CPLR article 78 proceeding. Supreme Court granted the petition, reasoning that the Board's decision was "impermissibly based, in part, upon generalized opposition, which remains uncorroborated by any empirical data." The Appellate Division reversed and dismissed Metro's petition, concluding that Supreme Court "erroneously substituted its own judgment for that of the Village" (7 AD3d 625, 627 [2d Dept 2004]). We granted Metro leave to appeal to this Court, and now affirm.

Metro argues that because it has admitted its violations, paid fines and taken action to conform with the permit conditions in the future, the Board was wrong in denying renewal of the special permit. In essence, Metro asserts that to justify nonrenewal, the Board must show substantial evidence not only of violations, but of violations that actually harmed or endangered health or the environment. We disagree. Although inconsequential violations would not justify nonrenewal, the many violations here, and their willful nature, sufficiently support the Board's decision.

In *Matter of Twin County Recycling Corp. v Yevoli* (90 NY2d 1000, 1002 [1997]), we recognized that a board is not without discretion in deciding whether to grant a special use permit.[2] Scientific or expert evidence is not necessary, but a board may not base its determination on "generalized community objections" (*id.*). In *Matter of Market Sq. Props. v Town of Guilderland Zoning Bd. of Appeals* (66 NY2d 893, 895 [1985]), we held that "expert opinion . . . may not be disregarded in favor of

2. *See also* 2 Anderson, New York Zoning Law and Practice § 24.15, at 294 (3d ed 1984) (boards apply "common-sense judgments" to resolve special use permit disputes).

generalized community objections,'' but nevertheless affirmed the board's denial of a special use permit because there were other grounds in the record.[3] The same principle applies to renewal of a special use permit. This is not to say that denials and nonrenewals may always be based on identical grounds. Where a facility is already in operation and its owner has made an investment, the board should take those facts into account. That said, the board's decision remains a discretionary one that will not be overturned if it has a proper basis.

As the Appellate Division correctly explained, the Board did not have to show substantial evidence of actual harm. It is enough that the Board found the violations potentially harmful.[4] Here, Metro claims that none of the violations in question created a significant threat of harm. But even if no single violation was dangerous in itself, the Board was entitled to conclude that the history of repeated, willful violations created an unacceptable threat of future injury to health or the environment.

There may, of course, be instances in which an applicant's violation is so trifling or de minimis that denying renewal would be arbitrary and capricious. In this case, however, the Board reviewed volumes of evidence and opinions from both Metro's expert and its own. Metro's expert said the violations were inconsequential. The Board's expert, however, stated, and the Board was entitled to conclude, that despite Metro's assurances that it would comply, the facility persistently violated permit conditions designed to protect health and the environment. The Board weighed the evidence and concluded it ''[could] no longer rely'' on Metro's assurances of future compliance. A reviewing court ''may not substitute its own judgment for that of the board, even if such a contrary determination is itself supported by the record'' (*Matter of Retail Prop. Trust v Board of Zoning Appeals of Town of Hempstead*, 98 NY2d 190, 196 [2002]). Here, the quantity and character of Metro's violations would have

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3. In this realm, board determinations are not popularity contests and will be set aside on judicial review when based solely on generalized community opposition. Conversely, if a board determination is based on substantial evidence, it would be perverse for a court to vacate it merely because the community opposed the proposal. Here, where the Board had substantial evidence for its determination, the courts need not look to the role of community opposition to (or support for) the permit renewal.

4. *See e.g. Matter of Atlantic Cement Co. v Williams*, 129 AD2d 84, 88 (3d Dept 1987) (''Generally, in the absence of a material change in conditions or evidence of a violation of the terms of the permit, a renewal should be granted'').

constituted sufficient grounds to deny Metro's renewal application on their own, with or without expert testimony.

Accordingly, the Appellate Division's order should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[835 NE2d 1180, 802 NYS2d 72]

Joseph Dalton et al., Appellants-Respondents, v George Pataki, as Governor of the State of New York, et al., Respondents-Appellants, et al., Respondents. (Action No. 1.)

Mrs. Lee Karr, Appellant-Respondent, v George Pataki, as Governor of the State of New York, et al., Respondents-Appellants, et al., Respondents. (Action No. 2.)

Argued March 21, 2005; decided May 3, 2005

SUMMARY

Cross appeals, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 7, 2004. The Appellate Division modified, on the law, an order of the Supreme Court, Albany County (Joseph C. Teresi, J.), which had (1) denied plaintiffs' motions for summary judgment, (2) granted defendants' cross motions for summary judgment, (3) declared parts B, C and D of chapter 383 of the Laws of 2001 constitutional, and (4) dismissed plaintiffs' complaints. The modification consisted of reversing so much of the order as declared part C of chapter 383 of the Laws of 2001 constitutional and declaring part C of chapter 383 of the Laws of 2001 unconstitutional. The Appellate Division affirmed the order as modified.

Dalton v Pataki, 11 AD3d 62, modified.

HEADNOTES

Constitutional Law — Validity of Statute — Casino Gaming on Indian Lands Pursuant to Federal Indian Gaming Regulatory Act

1. Legislation authorizing the Governor to enter into compacts with Indian tribes pursuant to the federal Indian Gaming Regulatory Act of 1988 (IGRA) (25 USC §§ 2701-2721; 18 USC §§ 1166-1168) allowing class III casino gaming on Indian lands within the state (L 2001, ch 383, part B) did not violate the commercial gambling prohibitions of NY Constitution, article I, § 9. IGRA, which has preempted the field in the governance of gaming activities on Indian lands, permits type III gaming, the most highly regulated class of gaming, when "located in a State that permits such gaming for *any* purpose by *any* person, organization, or entity" (25 USC § 2710 [d] [1] [B] [emphasis added]). Because New York permits some forms of class III gaming—for charitable purposes—such gaming may lawfully be conducted on Indian lands if authorized by a tribal ordinance and carried out pursuant to a tribal-state compact (*see* 25 USC § 2710 [d] [1]). While IGRA does not require states to enter into a tribal-state compact with Indian tribes, it may be to the state's benefit to do so since, pursuant to IGRA, class III gaming will be permitted on Indian land with or without the state's involvement. Further, class III gaming

is permitted on land held in trust for the benefit of an Indian tribe upon a determination that such gaming would not be detrimental to the surrounding community. It was not an improper delegation of legislative authority to authorize the Governor to execute tribal-state compacts with respect to such land.

Lotteries — Video Lottery Gaming — Operation of Video Lottery Terminals at Pari-Mutuel Racetracks

2. Legislation authorizing the operation of video lottery terminals (VLTs) at certain pari-mutuel racetracks (L 2001, ch 383, part C; Tax Law § 1617-a) was constitutional. The video lottery is a valid lottery under NY Constitution, article I, § 9 (1), which expressly permits lotteries when operated by the State. A constitutional lottery requires the use of tickets and multiple participation, as opposed to a single player competing against a single machine, and the video lottery authorized by part C is consistent with this definition. It is of no constitutional significance that the tickets are electronic instead of paper. Rather than constitutionally forbidden slot machines, VLTs are simply mechanical devices for the implementation of the video lottery. Because it would have been rational for the Legislature to determine that certain racetrack communities were in greater need of the potential revenue that would be generated by the video lottery than others and, as a result, not require those areas to get prior local approval, there was no equal protection violation.

Appeal — Academic and Moot Questions — Video Lottery Terminals at Pari-Mutuel Racetracks — Revenue Distribution

3. The issue of whether certain revenue distribution provisions of legislation authorizing the operation of video lottery terminals at particular pari-mutuel racetracks (L 2001, ch 383, part C; Tax Law § 1617-a) were constitutional was not moot. The repeal of those revenue distribution provisions requiring reinvestment in breeding funds and for the enhancement of purses (L 2005, ch 61, part CC, § 6) was prospective only. As a result an actual controversy remained as to the constitutional validity of the reinvestment provisions of part C of chapter 383 of the Laws of 2001 with respect to payments that had already been made under Tax Law § 1612 (c) (1).

Lotteries — Video Lottery Gaming — Operation of Video Lottery Terminals at Pari-Mutuel Racetracks — Revenue Distribution

4. Revenue distribution provisions of legislation authorizing the operation of video lottery terminals at particular pari-mutuel racetracks (L 2001, ch 383, part C; Tax Law § 1617-a) that required reinvestment in breeding funds and for the enhancement of purses were constitutional. The Constitution requires that the net proceeds from the sale of lottery tickets "shall be applied exclusively to or in aid or support of education in the state as the legislature may prescribe" (NY Const, art I, § 9 [1]). "Net proceeds" means gross proceeds less any appropriate charges and expenses. Here, the Legislature prescribed that net proceeds consisted of all money remaining after the payment of administrative expenses, including the amount paid to the racetracks as a vendor fee, and the reinvested funds were a portion of the vendor fee. The Legislature's decision to regulate the racetracks in this way reflected a policy determination constitutionally within its purview.

Lotteries — Validity of Multistate Lotteries

5. Legislation authorizing the Division of the Lottery to operate and administer a multistate lottery in cooperation with a government-authorized group of one or more other jurisdictions (L 2001, ch 383, part D, § 3; Tax Law

§ 1617) permitted New York's participation in the multistate Mega Millions lottery since it fell within the constitutional exception to the prohibition on lotteries for lotteries ''operated by the state'' (NY Const, art I, § 9 [1]). Although several jurisdictions were involved, New York retained sufficient control over the sale of Mega Millions tickets so that it operated the lottery within the state. Further, the net proceeds from Mega Millions were ''applied exclusively to or in aid or support of education in this state'' as required by NY Constitution, art I, § 9 (1). The necessary net proceeds, less the required administrative expenses, remained in New York and were appropriately dedicated to education within the state.

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Am Jur 2d, Appellate Review §§ 640, 645; Am Jur 2d, Gambling §§ 5, 6, 11, 16, 22; Am Jur 2d, Indians §§ 34, 47–49.

McKinney's, Tax Law § 1612 (c) (1); § 1617; NY Const, art I, § 9 (1).

NY Jur 2d, Appellate Review § 637; NY Jur 2d, Constitutional Law § 157; NY Jur 2d, Gambling §§ 9, 10, 16, 21–23; NY Jur 2d, Indians § 6.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Casinos; Gambling; Indians; Lotteries; Moot and Abstract Matters.

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POINTS OF COUNSEL

O'Connell and Aronowitz, Albany (*Cornelius D. Murray* and *James A. Shannon* of counsel), for appellants-respondents in the first above-entitled action. I. Part B of chapter 383 of the Laws of 2001, empowering the Governor to enter into compacts with Indian tribes authorizing them to operate commercialized gambling casinos, violates article I, § 9 of the New York State Constitution. (*Matter of King v Cuomo,* 81 NY2d 247; *Settle v Van Evrea,* 49 NY 280; *People v Rathbone,* 145 NY 434; *Anderson v Regan,* 53 NY2d 356; *Santa Clara Pueblo v Martinez,* 436 US 49; *Cherokee Nation v Georgia,* 5 Pet [30 US] 1; *Worcester v Georgia,* 6 Pet [31 US] 515; *United States v Cook,* 922 F2d 1026, *cert denied sub nom. Tarbell v United States,* 500 US 941; *Catskill Dev., L.L.C. v Park Place Entertainment Corp.,* 217 F Supp 2d 423; *Blue Cross & Blue Shield of Cent. N.Y. v McCall,* 89 NY2d 160.) II. Part D of chapter 383 of the Laws of 2001, authorizing New York State's participation in a multistate lottery, violates article I, § 9 of the New York State Constitution. (*Ramesar v State of New York,* 224 AD2d 757, 88 NY2d 811; *Molina v Games Mgt. Servs.,* 58 NY2d 523; *United States v Grezo,* 566 F2d 854; *Hess v Port Auth. Trans-Hudson Corp.,* 513 US 30; *John Grace & Co. v State Univ. Constr. Fund,* 44 NY2d 84; *Collins v Manhattan & Bronx Surface Tr. Operating Auth.,* 62 NY2d 361; *Braun v State of New York,* 203 Misc 563.) III. Parts B, C and D of chapter 383 of the Laws of 2001 were adopted in violation of article III, § 14 of the New York State Constitution. (*People ex rel. Hatch v Reardon,* 184 NY 431, 204 US 152; *Franklin Natl. Bank of Long Is. v Clark,* 26 Misc 2d 724; *Winner v Cuomo,* 176 AD2d 60; *Silver v Pataki,* 96 NY2d 532; *Matter of Schneider v Rockefeller,* 31 NY2d 420; *Rathbone v Wirth,* 150 NY 459; *Newell v People,* 7 NY 9; *Matter of Smith v Board of Supervisors of St. Lawrence County,* 148 NY 187; *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207; *Flushing Natl. Bank v Municipal Assistance Corp. for City of N.Y.*, 40 NY2d 731.)

Eliot Spitzer, Attorney General, Albany (*Caitlin J. Halligan, Daniel Smirlock, Gregory Silbert* and *Marcus J. Mastracco* of counsel), for State respondents-appellants in the first above-entitled action. I. The court below correctly dismissed plaintiffs' challenges to the provision of part B of chapter 383 of the Laws of 2001 authorizing Indian gaming. (*New Mexico v Mescalero Apache Tribe,* 462 US 324; *California v Cabazon Band of Mission Indians,* 480 US 202; *Washington v Confederated Tribes of Colville Indian Reservation,* 447 US 134; *Matter of Orens v Novello,* 99 NY2d 180; *Griffin v Oceanic Contrs., Inc.,* 458 US 564; *Consumer Prod. Safety Commn. v GTE Sylvania, Inc.,* 447 US 102; *Mashantucket Pequot Tribe v State of Conn.,* 913 F2d 1024; *Coeur d'Alene Tribe v State,* 842 F Supp 1268; *United States v Gabriel,* 125 F3d 89; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801.) II. The video lottery terminal lottery authorized by part C of chapter 383 of the Laws of 2001 is a constitutionally valid lottery. (*Matter of Big Apple Food Vendors' Assn. v Street Vendor Review Panel,* 90 NY2d 402; *Whitman v American Trucking Assns., Inc.,* 531 US 457; *LaValle v Hayden,* 98 NY2d 155; *Harris v Economic Opportunity Commn. of Nassau County,* 171 AD2d 223; *Solon v Meurer,* 141 Misc 2d 993; *People v Hines,* 284 NY 93; *Hull v Ruggles,* 56 NY 424; *Trump v Perlee,* 228 AD2d 367; *People v Kim,* 154 Misc 2d 346.) III. The requirement that racetracks reinvest a portion of their vendor fee in track purses and breeding funds is constitutional. (*Matter of Boerner,* 58 Misc 2d 144; *Matter of von Seidletz,* 6 Misc 2d 583; *Saratoga Harness Racing Assn. v Agriculture & N.Y. State Horse Breeding Dev. Fund,* 22 NY2d 119; *Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.,* 2 NY3d 524; *Matter of Moran Towing Corp. v Urbach,* 99 NY2d 443; *Cohen v State of New York,* 94 NY2d 1; *United States v Salerno,* 481 US 739; *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207, 409 US 1031; *People ex rel. Alpha Portland Cement Co. v Knapp,* 230 NY 48; *Matter of Westinghouse Elec. Corp. v Tully,* 63 NY2d 191.) IV. The multistate lottery authorized by part D of chapter 383 of the Laws of 2001 is constitutional because the State of New York operates the lottery within its borders and all net proceeds are used in aid of education in New York. (*Hess v Port Auth. Trans-Hudson Corp.,* 513 US 30; *John Grace & Co. v State Univ. Constr. Fund,* 44 NY2d 84; *Collins v Manhattan & Bronx Surface Tr. Operating Auth.,* 62 NY2d 361; *Braun v State of New York,* 203 Misc 563.) V. Chapter 383 of the Laws of 2001 was enacted in compliance with article III, § 14 of the New York State Constitution. (*Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207, 409 US 1031; *Matter of Schulz v Silver,* 212 AD2d 293, 86 NY2d 835, 87 NY2d 916; *Norwick v Rockefeller,* 70 Misc 2d 923, 40 AD2d 956, 33 NY2d 537; *Matter of King v Cuomo,* 81 NY2d 247; *Settle v Van Evrea,* 49 NY 280*; Matter of Schneider v Rockefeller,* 31 NY2d 420; *Matter of Joslin v Regan,* 63 AD2d 466, 48 NY2d 746; *Matter of Campaign for Fiscal Equity v Marino,* 87 NY2d 235.)

Bleakley Platt & Schmidt, LLP, White Plains (*Frederick J. Martin, Robert D. Meade* and *Susan E. Galvão* of counsel), for Yonkers Racing Corporation, respondent-appellant in the first above-entitled action. I. Video lottery gaming, as envisioned by part C of chapter 383 of the Laws of 2001, constitutes a valid lottery under the unambiguous language of article I, § 9 of the New York State Constitution. II. Video lottery is a constitutional lottery under the unambiguous provisions of article I, § 9 of the New York State Constitution. (*People ex rel. Henderson v Board of Supervisors of County of Westchester,* 147 NY 1; *People ex rel. Carter v Rice,* 135 NY 473; *Matter of Sherrill v O'Brien*, 188 NY 185; *Matter of Burns,* 155 NY 23; *Association for Protection of Adirondacks v MacDonald,* 253 NY 234; *Matter of King v Cuomo,* 81 NY2d 247; *People v Carroll,* 3 NY2d 686; *Pink v Alden,* 260 App Div 564, 285 NY 800; *Matter of Van Berkel v Power,* 16 NY2d 37.) III. The Karr brief fails to establish that the video lottery terminal legislation is not a lottery or is unconstitutional. (*People v Schuler,* 93 Misc 2d 684; *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207, 946.) IV. The Appellate Division, Third Department improperly crossed the line fixed by the constitutional separation of powers to legislate. V. The court below erred in refusing to sever and uphold the remainder of the statute. (*Teeval Co. v Stern,* 301 NY 346; *People v Mancuso,* 255 NY 463; *People ex rel. Alpha Portland Cement Co. v Knapp,* 230 NY 48, 256 US 702; *Williams v Standard Oil Co. of La.,* 278 US 235; *Di Paola v Reilly,* 22 AD2d 910; *People ex rel. Stafford v Travis,* 231 NY 339.)

Jay Goldberg, P.C., New York City (*Jay Goldberg* and *Faith A. Friedman* of counsel), for appellant-respondent in the second above-entitled action. I. The court below erred when it failed to hold that under the New York State Constitution, the Legislature may not authorize the Governor to act for and bind the State of New York to a compact providing for commercialized casino-type class III gaming on tribal lands. (*Artichoke Joe's Cal. Grand Casino v Norton,* 353 F3d 712; *Saratoga Chamber of Commerce v Pataki*, 293 AD2d 20, 100 NY2d 801; *Seminole Tribe of Fla. v Florida,* 517 US 44; *California v Cabazon Band of Mission Indians,* 480 US 202; *Citizen Band Potawatomi Indian Tribe of Okla. v Oklahoma,* 995 F2d 179; *Mashantucket Pequot Tribe v State of Conn.,* 913 F2d 1024, 499 US 975; *Cheyenne Riv. Sioux Tribe v South Dakota,* 3 F3d 273; *Rumsey Indian Rancheria of Wintun Indians v Wilson,* 64 F3d 1250.) II. The court below erred in holding that video lottery terminals themselves constitute a valid lottery within the meaning of article I, § 9 of the New York State Constitution. (*New York Pub. Interest Research Group v Steingut,* 40 NY2d 250; *Trump v Perlee,* 228 AD2d 367; *Harris v Economic Opportunity Commn. of Nassau County,* 171 AD2d 223.) III. The court below erred in holding that New York's participation in the multistate lottery was not in violation of article I, § 9 of the New York State Constitution. IV. The court below erred in holding that the whole of the legislation was enacted in compliance with article III, § 14 of the New York State Constitution.

Hodgson Russ LLP, Buffalo (*Kevin M. Kearney* and *Kathleen Sellers* of counsel), for Finger Lakes Racing Association, Inc., respondent-appellant in the first and second above-entitled actions. I. Legislative enactments must be given appropriate deference. (*Pringle v Wolfe,* 88 NY2d 426; *LaValle v Hayden,* 98

NY2d 155; *Cohen v State of New York,* 94 NY2d 1; *Dunlea v Anderson,* 66 NY2d 265; *Matter of Klein [Hartnett],* 78 NY2d 662, 504 US 912; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.,* 46 NY2d 358; *Paterson v University of State of N.Y.,* 14 NY2d 432; *Matter of Wolpoff v Cuomo,* 80 NY2d 70; *Bourquin v Cuomo,* 85 NY2d 781; *Saratoga County Chamber of Commerce v Pataki,* 293 AD2d 20, 100 NY2d 801.) II. Video lottery terminal gaming will be a lottery, and video lottery terminals are not slot machines. (*Matter of American Tel. & Tel. Co. v State Tax Commn.,* 61 NY2d 393; *Matter of Nelson v New York State Civ. Serv. Commn.,* 96 AD2d 132; *Marsh v Brady,* 152 Misc 2d 990; *Trump v Perlee,* 228 AD2d 367; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *Chance Mgt., Inc. v South Dakota,* 97 F3d 1107; *Club Assn. of W. Va. v Wise,* 293 F3d 723.) III. Part C of chapter 383 of the Laws of 2001 properly allocates revenues and directs all net proceeds to education. (*Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207; *Matter of Hapletah v Assessor of Town of Fallsburg,* 79 NY2d 244; *Matter of Town of New Castle v Kaufmann,* 72 NY2d 684; *Matter of Westinghouse Elec. Corp. v Tully,* 63 NY2d 191; *Matter of Hynes v Tomei,* 92 NY2d 613; *Town of Islip v Caviglia,* 141 AD2d 148, 73 NY2d 544.) IV. The video lottery terminal provisions do not violate equal protection. (*City of New York v State of New York,* 76 NY2d 479; *Matter of Roosevelt Raceway v County of Nassau,* 18 NY2d 30, 385 US 453; *Nordlinger v Hahn,* 505 US 1; *Tilles Inv. Co. v Gulotta,* 288 AD2d 303; *McGowan v Maryland,* 366 US 420; *Von Kerssenbrock-Praschma v Saunders,* 121 F3d 373; *Burdick v Takushi,* 504 US 428; *Matter of Rosenstock v Scaringe,* 40 NY2d 563; *Town of Lockport, N.Y. v Citizens for Community Action at Local Level, Inc.,* 430 US 259; *Affronti v Crosson,* 95 NY2d 713, 534 US 826.)

Gibson, Dunn & Crutcher LLP, New York City (*Randy M. Mastro* of counsel), for intervenor-respondent in the second above-entitled action. I. Federal law mandates that New York permit Indian gaming. (*McClanahan v State Tax Commn. of Arizona,* 411 US 164; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *Matter of New York Racing Assn. v Hoblock,* 270 AD2d 31; *Ramesar v State of New York,* 224 AD2d 757; *Intercontinental Hotels Corp. [Puerto Rico] v Golden,* 18 AD2d 45, 15 NY2d 9; *Mashantucket Pequot Tribe v State of Conn.,* 913 F2d 1024; *Lac du Flambeau Band of Lake Superior Chippewa Indians v State of Wis.,* 770 F Supp 480; *American Greyhound Racing, Inc. v Hull,* 146 F Supp 2d 1012, 305 F3d

1015; *United States v Sisseton-Wahpeton Sioux Tribe,* 897 F2d 358; *Artichoke Joe's Cal. Grand Casino v Norton,* 353 F3d 712.) II. This legislation constitutes a proper delegation of authority by the New York State Legislature to the Governor. (*Saratoga Chamber of Commerce v Pataki,* 100 NY2d 801; *Matter of Levine v Whalen,* 39 NY2d 510; *Dorst v Pataki,* 90 NY2d 696; *Bourquin v Cuomo*, 85 NY2d 781; *Matter of Citizens for Orderly Energy Policy v Cuomo,* 78 NY2d 398; *Clark v Cuomo,* 66 NY2d 185; *Boreali v Axelrod,* 71 NY2d 1; *Under 21, Catholic Home Bur. for Dependent Children v City of New York,* 65 NY2d 344.) III. This legislation's enactment fully complied with the New York State Constitution's procedural requirements. (*Silver v Pataki,* 96 NY2d 532; *Heimbach v State of New York,* 59 NY2d 891; *Saxton v Carey,* 44 NY2d 545; *People v Ohrenstein,* 153 AD2d 342, 77 NY2d 38; *Matter of Straniere v Silver,* 218 AD2d 80, 89 NY2d 825; *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207; *Norwick v Rockefeller,* 70 Misc 2d 923, 40 AD2d 956, 33 NY2d 537; *Matter of Schneider v Rockefeller,* 31 NY2d 420; *People ex rel. Hatch v Reardon,* 184 NY 431; *Franklin Natl. Bank of Long Is. v Clark,* 26 Misc 2d 724.)

Daniel T. Warren, West Seneca, amicus curiae pro se in the first above-entitled action. I. New York is not compelled to allow class III gaming under the Indian Gaming Regulatory Act of 1988. (*Rumsey Indian Rancheria of Wintun Indians v Wilson,* 64 F3d 1250; *In re Indian Gaming Related Cases,* 331 F3d 1094; *Pipefitters Local Union No. 562 v United States,* 407 US 385; *United States v Tynen,* 11 Wall [78 US] 88; *Traynor v Turnage,* 485 US 535; *Morton v Mancari,* 417 US 535; *United States v Sforza,* 326 F3d 107; *People v Kin Kan,* 78 NY2d 54; *Flanagan v Prudential-Bache Sec.,* 67 NY2d 500; *United States v Cook,* 922 F2d 1026, 500 US 941.) II. The Legislature exceeded its authority in enacting Laws of 2001 (ch 383, part B). (*Thatcher v Morris,* 11 NY 437; *Holberg v Westchester Racing Assn.,* 184 Misc 581; *Moskowitz v Cohen,* 158 Misc 489; *Intercontinental Hotels Corp. [Puerto Rico] v Golden,* 18 AD2d 45; *People v World Interactive Gaming Corp.,* 185 Misc 2d 852; *People v Rathbone,* 145 NY 434; *Anderson v Regan,* 53 NY2d 356; *Ball v Allstate Ins. Co.,* 81 NY2d 22; *Debevoise & Plimpton v New York State Dept. of Taxation & Fin.,* 80 NY2d 657; *Settle v Van Evrea,* 49 NY 280.) III. The Third Department erroneously decided this case and its order should be reversed. (*Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *California v Cabazon Band of Mission Indians,* 480 US 202; *Spokane Tribe* *of Indians v Washington,* 28 F3d 991; *Seminole Tribe of Fla. v Florida*, 517 US 44; *Rhode Island v Narragansett Indian Tribe,* 19 F3d 685, 513 US 919; *Narragansett Indian Tribe v National Indian Gaming Commn.,* 158 F3d 1335; *Intercontinental Hotels Corp. [Puerto Rico] v Golden,* 15 NY2d 9; *Citizen Band Potawatomi Indian Tribe of Okla. v Green,* 995 F2d 179; *American Greyhound Racing, Inc. v Hull,* 146 F Supp 2d 1012; *Rumsey Indian Rancheria of Wintun Indians v Wilson,* 64 F3d 1250.)

Law Offices of Neal Brickman, New York City (*Neal Brickman* of counsel), *Mintz & Gold, LLP* (*Vito J. Titone, Jr.* of counsel), and *Meyer, Suozzi, English & Klein, P.C.,* Mineola (*Michael A. Ciaffa* of counsel), for Standardbred Owners Association, Inc. and others, amici curiae in the first and second above-entitled actions. The Appellate Division adopted an erroneously restrictive view of the kind of the ‘‘expenses’’ that may be deducted from video lottery terminal ‘‘proceeds’’ under article I, § 9 of the New York State Constitution. (*Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207; *Matter of Boerner,* 58 Misc 2d 144; *Matter of von Seidlitz,* 6 Misc 2d 583; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *Saratoga Harness Racing Assn. v Agriculture & N.Y. State Horse Breeding Dev. Fund,* 22 NY2d 119.)

Featherstonhaugh, Wiley, Clyne & Cordo, LLP, Albany (*Randall J. Ezick* of counsel), for New York Thoroughbred Horsemen's Association, Inc., amicus curiae in the first and second above-entitled actions. I. The statutory requirement that a percentage of the racetrack vendor fee revenues be allocated to breeding funds and enhanced purses is consistent with other statutory regulation of the racing industry. (*Matter of Boerner,* 58 Misc 2d 144; *Matter of von Seidlitz,* 6 Misc 2d 583; *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207; *Saratoga Harness Racing Assn. v Agriculture & N.Y. State Horse Breeding Dev. Fund,* 22 NY2d 119.) II. Funds allocated for a vendor fee are not part of the net proceeds and there is no constitutional limitation as to how those monies are thereafter allocated by either the vendor or the Legislature. III. The Legislature and the Division of the Lottery have the discretion to establish the vendor fees to operate the lottery system and the record fails to establish an abuse of discretion in setting the video lottery terminal vendor fee.

OPINION OF THE COURT

Ciparick, J.

In 2003, we addressed whether the Governor had the authority to enter into compacts with Indian tribes pursuant to the federal Indian Gaming Regulatory Act of 1988 (IGRA) (25 USC §§ 2701-2721; 18 USC §§ 1166-1168) allowing casino gaming on Indian lands within the state (*see Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801 [2003]). We determined that the Governor's actions in unilaterally negotiating and entering into such tribal-state compacts violated separation of powers principles because such actions involved policy decisions within the power of the Legislature. Since the compacts were invalidated on this ground, we did not reach the questions whether casino gaming permitted by such tribal-state compacts violated the commercial gambling prohibitions of article I, § 9 of the New York State Constitution and whether IGRA preempts in this area. Those issues are now squarely presented for our review. Also presented is the constitutional validity of video lottery gaming and New York's participation in the multistate Mega Millions lottery.

Chapter 383 of the Laws of 2001 was introduced in the Senate and the Assembly on the evening of October 24, 2001, and the early morning of October 25, 2001. The 81-page bill contained a wide range of provisions aimed, in part, at countering the anticipated negative economic effects of the terrorist attacks of September 11th and at generating revenue. The Governor submitted a message of necessity, certifying the need for an immediate vote on the bill, which had not been on the legislators' desks in final form for the required three calendar days (*see* NY Const, art III, § 14). The Legislature enacted the bill immediately and the Governor signed it into law shortly thereafter.

The provisions at issue on this appeal are parts B, C and D of chapter 383. Adding a new Executive Law § 12, part B authorized the Governor to enter into "a tribal-state compact with the Seneca Nation of Indians pursuant to the [federal] Indian Gaming Regulatory Act of 1988 . . . consistent with a memorandum of understanding between the [parties]" (L 2001, ch 383, part B, § 2). The memorandum of understanding permitted the parties to negotiate a compact to allow class III gaming in up to three casinos.[1] The compact would be deemed adopted by the Legislature when the Governor certified that the agreement provided for, among other things, reasonable access to the gam-

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1. Class III gaming is the most heavily regulated type of gaming under IGRA. The federal regulations give examples of class III gaming "including but not limited to . . . [a]ny house banking game" such as baccarat or black-

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ing facilities by labor unions, a satisfactory system for civil recovery and adequate liability insurance. Part B also authorized the Governor to enter into tribal-state compacts with unnamed tribes to allow up to three additional class III gaming facilities in Ulster and Sullivan counties. Those compacts would likewise be deemed adopted by the Legislature when the Governor certified they met the requisite labor union, civil recovery and liability insurance requirements.

Part C authorized the use of video lottery terminals (VLTs)—under Tax Law § 1617-a—at several racetracks, including Aqueduct, Monticello, Yonkers, Finger Lakes and Vernon Downs (*see* L 2001, ch 383, part C, § 1). The bill also amended Tax Law § 1612 to include a revenue distribution scheme for the VLT proceeds (*see* L 2001, ch 383, part C, § 2). Between 12% and 25% of the total revenue was designated a vendor's fee. The legislation provided that a portion of the vendor's fee must be reinvested in the racing industry by applying it to enhancing purses and to the appropriate breeding fund. Finally, part D amended Tax Law §§ 1604 and 1617 to authorize the State's participation in a multijurisdictional lottery (*see* L 2001, ch 383, part D, §§ 1, 3).

Plaintiffs are a group of citizen taxpayers, state legislators and not-for-profit organizations ''opposed to the spread of gambling.'' They commenced this action in January 2002. Plaintiffs moved for summary judgment declaring parts B, C and D of chapter 383 unconstitutional. Defendants and intervenor-defendant (Park Place) each cross-moved for summary judgment dismissing the complaint. Supreme Court granted the cross motions, denied plaintiffs' motion for summary judgment and declared the challenged portions of chapter 383 of the Laws of 2001 constitutional.

The Appellate Division modified, in a comprehensive opinion, by reversing the portion of Supreme Court's order that declared part C constitutional, declared part C unconstitutional and, as so modified, affirmed (*see* 11 AD3d 62 [2004]). The Court determined that the Governor's message of necessity was sufficient to meet the requirements of article III, § 14 of the State Constitution. It further found that since the State allows the type of gaming at issue, with certain limitations, the gaming was ''properly the subject of a tribal-state compact and part B''

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jack, casino games including roulette or keno, slot machines, sports betting and lotteries (*see* 25 CFR 502.4).

was constitutional (11 AD3d at 83). Similarly, the Appellate Division found that part D, authorizing the multistate lottery, was constitutional—finding that the State ‘‘retains sufficient supervision over the multistate lottery . . . to satisfy the constitutional requirement that a lottery be ‘operated by the state’ ’’ (11 AD3d at 105 [citations omitted]). The Court also determined that the net proceeds from the multistate lottery were properly dedicated to education in the state (*see* 11 AD3d at 106).

As to part C—authorizing the operation of video lottery terminals—the Appellate Division concluded that the VLTs were components of lotteries rather than slot machines and, as such, were constitutionally permitted (*see* 11 AD3d at 94). However, the Court determined that the portion of the legislation directing that certain percentages of the vendor fees be reinvested for enhancing purses and in an appropriate breeding fund did not meet the constitutional requirement that lottery proceeds be dedicated exclusively to the support of education within the state (*see* 11 AD3d at 99). The Appellate Division found the revenue distribution defect was not severable because severance would result in ‘‘either an inflated vendor fee or no fee at all’’ (11 AD3d at 102). Thus, the Appellate Division declared part C unconstitutional in full. Plaintiffs now appeal, and defendants cross-appeal, as of right pursuant to CPLR 5601 (b) (1). We modify the Appellate Division and declare that parts B, C and D of chapter 383 of the Laws of 2001 are in all respects constitutional.

New York State Constitution

While our State Constitution generally prohibits gambling, this broad prohibition is subject to limited exceptions. For example, the Constitution provides that

> ‘‘no lottery or the sale of lottery tickets, pool-selling, bookmaking, or any other kind of gambling, except lotteries operated by the state and the sale of lottery tickets in connection therewith as may be authorized and prescribed by the legislature, the net proceeds of which shall be applied exclusively to or in aid or support of education in this state as the legislature may prescribe, and except pari-mutuel betting on horse races as may be prescribed by the legislature and from which the state shall derive a

> reasonable revenue for the support of government, shall hereafter be authorized or allowed within this state'' (NY Const, art I, § 9 [1]).

The Constitution further allows individual municipalities to authorize, by vote at a general or special election, certain ''games of chance''—such as bingo, lotto or other types of games where a winner is determined on the basis of a winning number, color or symbol (*see* NY Const, art I, § 9 [2]). These types of games are further restricted by the Constitution, which requires that only certain religious, charitable or nonprofit organizations will be authorized to conduct these types of games (*see* NY Const, art I, § 9 [2] [1]). In addition, only ''bona fide'' members of the particular organization are permitted to ''participate in the management or operation of such game'' and are not permitted to receive any remuneration for their participation (*see* NY Const, art I, § 9 [2] [3]-[4]). Further, the entire net proceeds from these games must be dedicated to the lawful purposes of the organization (*see* NY Const, art I, § 9 [2] [2]). The Constitution also restricts the prizes that can be awarded—allowing no more than $250 for a single prize and a maximum total of $1,000 for ''any series of prizes on one occasion'' (NY Const, art I, § 9 [2]).

Plaintiffs argue that because the State Constitution prohibits commercial gambling, subject to specifically stated exceptions, the Legislature may not authorize the Governor to enter into tribal-state compacts, nor may it allow video lottery terminals or permit the State to participate in a multistate lottery.

Legislative enactments are entitled to ''a strong presumption of constitutionality'' (*see Schulz v State of New York*, 84 NY2d 231, 241 [1994]). ''While the presumption is not irrefutable, parties challenging a duly enacted statute face the initial burden of demonstrating the statute's invalidity 'beyond a reasonable doubt' '' (*LaValle v Hayden*, 98 NY2d 155, 161 [2002], quoting *People v Tichenor*, 89 NY2d 769, 773 [1997]). With respect to parts C and D of the legislation, plaintiffs have failed to rebut that strong presumption. However, the inquiry is different as to part B, given that the State Constitution expressly prohibits commercial gambling. For part B, we must instead determine whether IGRA preempts this constitutional proscription because the State allows class III gaming for certain charitable and other purposes.

Background of IGRA

Necessary to our determination is an analysis of the federal Indian Gaming Regulatory Act of 1988 (25 USC §§ 2701-2721; 18 USC §§ 1166-1168). Contrary to plaintiffs' assertion, IGRA has preempted the field in the area of Indian gaming but permits states to negotiate with tribes to regulate gaming. IGRA was enacted, in part, to promote the self-sufficiency and economic development of Indian tribes (*see* 25 USC § 2701 [4]; § 2702 [1]). Congress determined that "Indian tribes have the exclusive right to regulate gaming activity on Indian lands if the gaming activity is not specifically prohibited by Federal law and is conducted within a State which does not, as a matter of criminal law and public policy, prohibit such gaming activity" (25 USC § 2701 [5]).

IGRA separates the types of gaming into three classes—classes I, II and III—each subject to a different degree of regulation. Class I gaming consists of "social games solely for prizes of minimal value or traditional forms of Indian gaming engaged in by individuals as a part of, or in connection with, tribal ceremonies or celebrations" (25 USC § 2703 [6]; *see also* 25 CFR 502.2). This type of gaming is solely within the jurisdiction of the tribes and is not subject to IGRA (*see* 25 USC § 2710 [a] [1]). Class II gaming includes bingo, lotto and certain types of card games—specifically excluding banking card games such as baccarat (*see* 25 USC § 2703 [7] [A], [B]; 25 CFR 502.3 [a]-[c]). Class II activity is permissible on Indian land,[2] subject to the tribe's jurisdiction, if located in a state that otherwise permits such gaming for any purpose and if the Indian tribe passes a resolution that is approved by the Chair of the National Indian Gaming Commission (*see* 25 USC § 2710 [b] [1]).

Class III gaming includes all remaining types of gaming not within class I or II (*see* 25 USC § 2703 [8]). This type of gaming is the most highly regulated. In addition to the requirements for class II gaming—a Chair-approved tribal ordinance and location in a state that otherwise permits such gaming—the class III gaming must also be conducted according to a valid tribal-state compact (*see* 25 USC § 2710 [d] [1] [C]). A tribe seeking to

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2. Indian lands are defined as "all lands within the limits of any Indian reservation; and . . . any lands title to which is either held in trust by the United States for the benefit of any Indian tribe or individual or held by any Indian tribe or individual subject to restriction by the United States against alienation and over which an Indian tribe exercises governmental power" (25 USC § 2703 [4]).

conduct class III gaming on Indian land must request that the state negotiate with the tribe in an attempt to develop a tribal-state compact to regulate gaming activity (*see* 25 USC § 2710 [d] [3] [A]). ‘‘Upon receiving such a request, the State shall negotiate with the Indian tribe in good faith to enter into such a compact’’ (25 USC § 2710 [d] [3] [A]). Any such compact is subject to the approval of the Secretary of the Interior (*see* 25 USC § 2710 [d] [3] [B]).

Prior to the enactment of IGRA, the United States Supreme Court addressed the applicability of state law to Indian gaming within the state of California (*see California v Cabazon Band of Mission Indians*, 480 US 202 [1987]). *Cabazon* dealt with a federal statute giving California, along with certain other states, criminal and limited civil jurisdiction over Indian land within the state. California sought to enforce a penal statute prohibiting bingo—unless conducted by certain charitable organizations—against two Indian tribes. The Court observed ‘‘that Indian tribes retain ‘attributes of sovereignty over both their members and their territory’ and that ‘tribal sovereignty is dependent on, and subordinate to, only the Federal Government, not the States’ ’’ (*Cabazon*, 480 US at 207 [citations omitted]). However, the Court also noted that, if authorized by Congress, state laws would be applicable to tribal lands.

In determining whether the law at issue could be enforced on Indian land, the Supreme Court recognized a distinction between whether the law was prohibitory or regulatory in nature (*see Cabazon*, 480 US at 209). If the purpose of the law is to prohibit specific conduct, it is considered prohibitory and can be enforced on Indian land. If, on the other hand, the law allows the conduct ‘‘subject to regulation,’’ the law is regulatory and not enforceable on Indian land (*see Cabazon*, 480 US at 209). ‘‘The shorthand test is whether the conduct at issue violates the State’s public policy’’ (*Cabazon*, 480 US at 209). Because the State allowed ‘‘a substantial amount of gambling activity, including bingo,’’ the Court determined that the statute at issue was regulatory rather than prohibitory (*see Cabazon*, 480 US at 211). The Court then went on to decide that California’s interest in regulating bingo was insufficient as compared with the significant tribal interests.

Congress enacted IGRA in response to *Cabazon* (*see* S Rep No. 100-446, 100th Cong, 2d Sess, reprinted in 1988 US Code Cong & Admin News, at 3071). The legislative history indicates that Congress intended that ‘‘unless a tribe affirmatively elects to have State laws and State jurisdiction extend to tribal lands, the Congress will not unilaterally impose or allow State jurisdiction on Indian lands for the regulation of Indian gaming activities'' (S Rep No. 100-446, 100th Cong, 2d Sess, at 5-6, reprinted in 1988 US Code Cong & Admin News, at 3075). The tribal-state compact was designed as a way to reconcile tribal and state interests concerning class III gaming (*see* S Rep No. 100-446, 100th Cong, 2d Sess, at 6, reprinted in 1988 US Code Cong & Admin News, at 3076).

Significantly, IGRA was ''intended to expressly preempt the field in the governance of gaming activities on Indian lands. Consequently, Federal courts should not balance competing Federal, State, and tribal interests to determine the extent to which various gaming activities are allowed'' (S Rep No. 100-446, 100th Cong, 2d Sess, at 6, reprinted in 1988 US Code Cong & Admin News, at 3076). Congress expected that the courts would apply the prohibitory/regulatory distinction when deciding whether gaming was permitted in a state, but in a different way than it was applied in *Cabazon* (*see* S Rep No. 100-446, 100th Cong, 2d Sess, at 6, reprinted in 1988 US Code Cong & Admin News, at 3076). Specifically, rather than determining the degree to which a state's laws would apply to Indian lands, ''the courts will consider the distinction between a State's civil and criminal laws to determine whether a body of law is applicable, as a matter of Federal law, to either allow or prohibit certain activities'' (S Rep No. 100-446, 100th Cong, 2d Sess, at 6, reprinted in 1988 US Code Cong & Admin News, at 3076).[3]

Following the enactment of IGRA, the Second Circuit addressed a similar situation to that presented here (*see Mashantucket Pequot Tribe v State of Conn.*, 913 F2d 1024 [2d Cir 1990]). The court determined that since Connecticut allowed certain class III gaming—although it was highly restricted by statute—the State only regulated rather than prohibited this type of gaming (*see Mashantucket*, 913 F2d at 1031-1032; *see*

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3. Although the portion of the legislative history specifically discussing the prohibitory/regulatory distinction was referring to class II gaming, the applicable language in IGRA is virtually identical with respect to both class II and class III gaming (*see* 25 USC § 2710 [b] [1] [A]; [d] [1] [B] [gaming is located in a state that otherwise ''permits such gaming for any purpose by any person, organization or entity'']). There is no persuasive reason to treat the language in these two subsections differently.

also Northern Arapaho Tribe v Wyoming, 389 F3d 1308, 1312 [10th Cir 2004]).[4]

Tribal-State Compacts

[1] Plaintiffs assert that although the Constitution allows for certain types of regulated gaming, it still completely prohibits *commercial* gaming. However, IGRA does not allow the state to consider the purpose behind the gaming. The language of the statute is clear that class III gaming will be permitted when ''located in a State that permits such gaming for *any* purpose by *any* person, organization, or entity'' (25 USC § 2710 [d] [1] [B] [emphasis added]). This language is intentionally broad and includes the limited gaming permitted by the New York State Constitution under the supervision and authority of the New York State Racing and Wagering Board (*see* General Municipal Law art 9-A; 9 NYCRR 5600.1 *et seq.*). Through IGRA, Congress has preempted the states in this area. Since New York allows some forms of class III gaming—for charitable purposes—such gaming may lawfully be conducted on Indian lands provided it is authorized by a tribal ordinance and is carried out pursuant to a tribal-state compact (*see* 25 USC § 2710 [d] [1]).

We likewise reject the argument that IGRA specifically provides that state laws prohibiting gambling will apply on Indian lands. Plaintiffs argue that 18 USC § 1166 allows for the constitutional ban on commercial gambling in article I, § 9 to be applied to Indian lands. That section states that ''all State laws pertaining to the licensing, regulation, or prohibition of gambling, including but not limited to criminal sanctions applicable thereto, shall apply in Indian country in the same manner and to the same extent as such laws apply elsewhere in the State'' (18 USC § 1166 [a]). However, the statute further provides that class III gaming conducted pursuant to an approved tribal-state compact will not be considered ''gambling'' for purposes of that section (*see* 18 USC § 1166 [c] [2]). Thus, the state constitutional prohibition against commercial gambling does not apply to Indian lands that are in compliance with IGRA and governed by a valid tribal-state compact.

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4. The *Northern Arapaho* court noted that there is a conflict in the interpretation of IGRA—whether a state must negotiate with tribes concerning all forms of class III gaming when it allows any type of class III gaming, or whether it must only negotiate for the specific games permitted in the state (*see Northern Arapaho*, 389 F3d at 1310-1311). We do not address this issue as the plaintiffs have challenged the authority to enter into tribal-state compacts in general, rather than the authority to negotiate for particular games.

Plaintiffs state that IGRA does not require states to enter into a tribal-state compact with Indian tribes, arguing that, as a matter of state sovereignty, ''[t]he Federal Government may not compel the States to enact or administer a federal regulatory program'' (*New York v United States*, 505 US 144, 188 [1992]). However, it may be to the state's benefit to do so. Through IGRA the states are granted a certain degree of authority over class III gaming that they otherwise would not have due to the sovereignty of Indian nations (*see Seminole Tribe of Fla. v Florida*, 517 US 44, 58 [1996]; US Const, art I, § 8 [3]). Thus, through the compacting process, IGRA confers a benefit on the state by allowing it to negotiate and to have some input into how class III gaming will be conducted.

However, this authority is limited in that if the state either does not negotiate with a tribe or does not do so in good faith, the tribe may bring suit in Federal District Court (*see* 25 USC § 2710 [d] [7] [B]).[5] If the court determines the state has not negotiated in good faith, the court will order the parties ''to conclude such a compact within a 60-day period'' (25 USC § 2710 [d] [7] [B] [iii]). If an agreement is not reached within that time, the court will appoint a mediator, who ''shall select from the two proposed compacts [from the tribe and the state] the one which best comports with the terms of this Act and any other applicable Federal law and with the findings and order of the court'' (25 USC § 2710 [d] [7] [B] [iv]). If the state timely agrees, that compact will become the tribal-state compact (*see*

5. The G.B. Smith dissent suggests that the State was not required to negotiate in good faith as the Legislature was without authority to legislate in this area (*see* G.B. Smith dissenting op at 285). The constitutional ban on commercial gambling, according to this dissent, cannot be preempted by federal statute and can only be affected through a constitutional amendment. Certainly, if commercial gambling were to be extended to non-Indian lands, the dissent's proposition would be correct, but here we are dealing with the extension of commercial gambling to Indian lands, or lands held in trust by the United States Department of the Interior, to which Congress has seen fit to extend this benefit. This was done with the express intent of protecting Indian sovereignty. The Supremacy Clause of the United States Constitution specifically states that ''[t]his Constitution, and the Laws of the United States which shall be made in Pursuance thereof . . . shall be the supreme Law of the Land; and the Judges in every State shall be bound thereby, any Thing in the Constitution or Laws of any State to the contrary notwithstanding'' (US Const art VI [2]). Federal law thus preempts even our constitutional ban. This is particularly true in the context of Indian matters, where a traditional exemption from state law will be ''lifted only when Congress has made its intention to do so unmistakably clear'' (*Montana v Blackfeet Tribe*, 471 US 759, 765 [1985] [referring to Indian exemption from state taxes]).

25 USC § 2710 [d] [7] [B] [vi]). If the state does not agree (or invokes sovereign immunity under the Eleventh Amendment to the United States Constitution), the Secretary of the Interior and the tribe will decide upon procedures for conducting class III gaming (*see* 25 USC § 2710 [d] [7] [B] [vii]). Thus, if class III gaming is permitted in the state for any purpose, including a strictly charitable purpose, it will be permitted on Indian land with or without the state's involvement. Given the consequence, obviously state involvement and regulation is to be favored.

In the alternative, plaintiffs argue that even if IGRA requires that class III gaming be permitted on Indian lands, the same result is not required on land that is not Indian land. This argument is directed to the portion of part B that authorizes the Governor to enter into tribal-state compacts allowing up to three casinos in Sullivan and Ulster counties (*see* L 2001, ch 383, part B, § 2, codified at Executive Law § 12 [b]). With a few exceptions, gaming is generally prohibited on lands acquired by the Secretary of the Interior after the enactment of IGRA and held ''in trust for the benefit of an Indian tribe'' (25 USC § 2719 [a]). Gaming, however, will be permitted when

> ''the Secretary, after consultation with the Indian tribe and appropriate State and local officials, including officials of other nearby Indian tribes, determines that a gaming establishment on newly acquired lands would be in the best interest of the Indian tribe and its members, and would not be detrimental to the surrounding community, but only if the Governor of the State in which the gaming activity is to be conducted concurs in the Secretary's determination'' (25 USC § 2719 [b] [1] [A]).

Here, plaintiffs urge that both the constitutional provision and New York's public policy against commercial gambling prevent the Governor from agreeing that there would not be a detrimental effect on the communities at issue if casinos were located in those areas. The constitutional provision is relevant to the determination under 25 USC § 2710 (d) (1) (B) only—whether class III gaming is permitted for any purpose and thus whether gaming should be allowed on Indian lands. Section 2719 (b) (1) (A) does not call for the Governor to make a determination as to the legality of gaming. Rather, the determination whether gaming would be detrimental to the surrounding community entails an analysis of the potential negative consequences presented by the presence of the casinos, such as social or economic consequences. The Constitution plainly does not prevent the Governor from determining that there would be no detrimental effect on a particular community.[6]

Plaintiffs' last argument pertaining to part B is that it was an improper delegation of legislative authority for the Legislature to authorize the Governor to execute tribal-state compacts in Sullivan and Ulster counties (*see* L 2001, ch 383, part B, § 2, codified at Executive Law § 12 [b]). In *Saratoga*, we determined that the Governor did not have the authority to "unilaterally . . . negotiate and execute tribal gaming compacts under IGRA" (100 NY2d at 824). The Court observed that the issues that would be covered by a tribal-state compact involved policy decisions that were within the province of the Legislature (*see Saratoga*, 100 NY2d at 823).

Here, the Legislature authorized the Governor to execute the tribal-state compacts and specified that such agreements would be "deemed ratified by the legislature upon the governor's certification" that the compacts contained certain provisions (L 2001, ch 383, part B, § 2, codified at Executive Law § 12 [b]). For example, the Legislature required that the compacts contain assurances that the tribe would provide access to labor unions, an adequate civil recovery system and sufficient liability insurance (*see* L 2001, ch 383, part B, § 2, codified at Executive Law § 12 [b]). The Legislature has thus made the necessary policy determinations as to what the tribal-state compacts must contain and has authorized the Governor to implement those policy determinations by executing the compacts to their specifications. This is a permissible delegation of authority. That the legislation does not specify the names of the tribes or where the casinos will be located does not change this determination (*see Bourquin v Cuomo*, 85 NY2d 781, 785 [1995] ["there need not

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6. We note that the United States Supreme Court recently addressed whether the Oneida Indian Nation was responsible for property taxes on certain property purchased on land that was once an Oneida reservation (*see City of Sherrill v Oneida Indian Nation of N.Y.*, 544 US 197, —, 125 S Ct 1478, 1482-1483 [2005]). The Court determined that the Oneidas could not "unilaterally reassert sovereign control and remove these parcels from the local tax rolls" and that the Tribe would have to follow the procedure set forth in 25 USC § 465, which "authorizes the Secretary of the Interior to acquire land in trust for Indians and provides that the land 'shall be exempt from State and local taxation' " (*City of Sherrill*, 544 US at —, 125 S Ct at 1493). This holding is consistent with our interpretation of IGRA, allowing the Secretary and the Governor to authorize gaming on lands held in trust by the Secretary after determining such gaming would not be detrimental to the surrounding community (*see* 25 USC § 2719 [b] [1] [A]).

be a specific and detailed legislative expression authorizing a particular executive act as long as 'the basic policy decisions underlying the regulations have been made and articulated by the Legislature' " (citation omitted)]).

Video Lottery Gaming

Plaintiffs next challenge the constitutionality of part C of chapter 383 of the Laws of 2001. That section authorized "the operation of video lottery gaming at Aqueduct, Monticello, Yonkers, Finger Lakes and Vernon Downs racetracks," and at certain other racetracks that are licensed pursuant to article III of the Racing, Pari-Mutuel Wagering and Breeding Law and located within a county that has approved video lottery gaming (L 2001, ch 383, part C, § 1).

The video lottery is played using video lottery terminals, which are each connected to a central system through the use of "site controllers"—computers that connect several VLTs both to each other and to the central system. In the most common form of video lottery gaming, participants at individual VLTs play against each other by purchasing electronic instant tickets from a finite pool. In order to play, individuals place cash or other currency into the VLT to purchase an electronic instant ticket. The player then determines the "game identifier" and the price of the electronic ticket to be purchased. The VLT receives the next ticket from the site controller and displays the predetermined outcome—win or loss. If the player wins, the VLT will print an "electronically encoded instrument" which can be used to play additional video lottery games or can be redeemed for value.[7]

Plaintiffs argue that because video lottery gaming is played using VLTs, which they contend resemble slot machines, the video lottery is not a lottery at all, but rather state-sponsored slot machine gambling forbidden by the Constitution. But whereas slot machines are not mentioned in the Constitution, lotteries are, and they are expressly permitted when operated by the State. Thus, if the video lottery is a lottery, the statute providing for it is constitutional regardless of whether the

7. The only other game offered for video lottery play is electronic keno, which is modeled after the current Lotto and Quick Draw lotteries and involves multiple players selecting a series of numbers, colors or symbols in hopes of matching their selections to those later randomly drawn by the central system.

terminals used to play the lottery also look like, or even meet the Penal Law definition of, slot machines.[8]

Since the Constitution does not define the term "lottery," we must first determine what constitutes a lottery within the meaning of article I, § 9. The Penal Law definition of lottery—consisting of consideration, chance and prize (*see* Penal Law § 225.00 [10]; *People v Hines*, 284 NY 93, 101 [1940], *overruled on other grounds People v Kohut*, 30 NY2d 183, 190-191 [1972]; *Trump v Perlee*, 228 AD2d 367, 368 [1st Dept 1996])—provides little guidance, because, as the Court below recognized, this definition applies equally to all forms of gambling or games of chance. Clearly, the limited constitutional exception for state-run lotteries cannot be read to allow any casino game (such as poker, blackjack or roulette) to constitute a valid lottery if operated by the State. Thus, we agree with the Appellate Division (*see* 11 AD3d at 92) that a constitutional lottery requires something more—specifically, the use of tickets and multiple participation, as opposed to a single player competing against a single machine.

It is clear from the language of the Constitution that an authorized lottery requires the sale of tickets (*see* NY Const, art I, § 9 [1] ["no lottery or the sale of lottery tickets . . . except lotteries operated by the state and the sale of lottery tickets in connection therewith . . . shall hereafter be authorized or allowed within this state"]). The Senate debates concerning the 1966 amendment to article I, § 9—allowing state-run lotteries as an exception to the general prohibition against gambling—reflect the same understanding (*see e.g.* New York State Senate Debate Transcripts, 1965 New York Constitution, June 14, 1965, at 4776, 4778, 4798). In addition, the constitutional history reflects that the Senate considered multiple participation an additional element of the definition of a lottery (*see* New York State Senate Debate Transcripts, 1965 New York Constitution, June 14, 1965, at 4808).

[2] The video lottery authorized by part C is consistent with this definition. As noted above, players tender consideration

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8. Indeed, although plaintiffs contend that VLTs fit within the Penal Law definition of a slot machine, as "a gambling device which, as a result of the insertion of a coin or other object, operates, either completely automatically or with the aid of some physical act by the player, in such manner that, depending upon elements of chance, it may eject something of value" (Penal Law § 225.00 [8]), the definition of "[g]ambling device" specifically excludes lottery tickets and other items used to play a lottery (*see* Penal Law § 225.00 [7]).

(cash or other currency) to purchase electronic tickets and receive a prize in the form of compensation or chances to play additional games. Multiple participation is satisfied in that the VLTs are linked through the site controllers to a central system, and players compete against one another for prizes by purchasing tickets from a finite depleting pool of electronic instant lottery tickets, with a set number of predetermined winners randomly distributed, or by choosing a series of keno numbers, colors or symbols from a finite pool in the hope that they, as opposed to other players, will have matched those colors, numbers or symbols later drawn, thus satisfying the element of chance. It is of no constitutional significance that the tickets are electronic instead of paper. The particular methods of conducting the lottery are subject to change with time. The language of the Constitution is not so rigid as to prevent this type of update and modernization. Thus, we conclude that the video lottery is a valid lottery under article I, § 9 (1), and that, rather than slot machines, VLTs are simply mechanical devices for the implementation of the video lottery (*see e.g.* Tax Law § 1604 [a] [8]).[9]

Plaintiffs also argue that part C violated their rights to equal protection because it allows only certain local legislatures to vote to give prior approval for installation of VLTs. They argue that strict scrutiny should be applied because the issue involves the denial of the right to vote. However, as the Appellate Division noted, ''[e]ven in voter classification, a State is not prohibited from recognizing the distinctive interests of the residents of its political subdivisions'' (*City of New York v State of New York*, 76 NY2d 479, 486 [1990] [holding that it was reasonable to permit Staten Island residents, but no other New York City residents, to vote on the issue of secession]). Thus, rather than strict scrutiny, we use a rational basis standard of review. When reviewing using a rational basis standard, ''a classification must be upheld against an equal protection challenge

9. The Attorney General opinions relied on by plaintiffs in support of their argument that the video lottery is not a lottery are inapposite (*see* 1981 Ops Atty Gen 68; 1984 Ops Atty Gen No. 84-F1). The 1981 opinion addressed and found unconstitutional proposed video games, such as computer poker and blackjack, that did not involve multiple participation, electronic tickets, or predetermined identification of winning tickets based on random selection. Rather, those games involved a single player pitting his or her skill against a machine. The 1984 opinion involved a proposal by the Division of the Lottery to permit betting on the outcome of professional sports events, which involves an element of skill in picking the winning team or predicting the outcome of the game.

if there is any *reasonably conceivable* state of facts that could provide a rational basis for the classification . . . [I]ndeed, a court may even *hypothesize* the motivations of the State Legislature to discern any conceivable legitimate objective promoted by the provision under attack'' (*Port Jefferson Health Care Facility v Wing*, 94 NY2d 284, 290-291 [1999] [citations and internal quotation marks omitted]). Here, it would have been rational for the Legislature to determine that certain racetrack communities were in greater need of the potential revenue that would be generated by the video lottery than others and, as a result, not require those areas to get prior local approval.

Reinvestment of Video Lottery Revenues

Defendants cross-appeal, arguing that part C is constitutional in all respects. Specifically, they assert that the revenue distribution provision requiring reinvestment in breeding funds and for the enhancement of purses is constitutional and, even if it is not, that the reinvestment provision is severable.

Part C provided for the allocation of revenue from the video lottery. The funds used to pay out prizes must be no less than 90% of video lottery sales (L 2001, ch 383, part C, § 2). Fifteen percent of the remaining revenue—after the prizes were paid—was allocated to the Division of the Lottery for administrative and operating expenses (L 2001, ch 383, part C, § 2, codified at Tax Law § 1612 [a] [5] [A]). The legislation also authorized a vendor's fee for the track operator of between 12% and 25% of the revenue remaining after prizes (L 2001, ch 383, part C, § 2, codified at Tax Law § 1612 [a] [5] [A]).[10] Further, a portion of the vendor's fee was required to be reinvested to enhance purses and for distribution to an appropriate breeding fund (L 2001, ch 383, part C, § 2, codified at Tax Law § 1612 [a] [5] [B]). Specifically, 35% of the vendor's fee for the first year, and 45% beginning the second year, was allocated to enhance purses, and no less than 5% of the vendor's fee was apportioned to an appropriate breeding fund.

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10. This section was amended in 2003 to change the distribution of revenue to allot 10% to the Division and 29% to the track operator as a vendor's fee. The portion of the vendor's fee dedicated to enhancing purses was changed to 25.9% for the first three years, 26.7% for the next two years and 34.5% for each year after that. The percentage of the vendor's fee contributed to the breeding fund was also changed to 4.3% for the first five years and 5.2% for each subsequent year (L 2003, ch 63, part W, §§ 2, 3).

[3] The statute has been very recently amended (L 2005, ch 61, part CC, § 2).[11] The repeal of the reinvestment provisions, however, does not render our consideration of this issue moot. This new legislation is prospective only, in that it ''shall take effect immediately'' (L 2005, ch 61, part CC, § 6). As a result, an actual controversy remains as to the constitutional validity of the reinvestment provision of part C of chapter 383 of the Laws of 2001, for the payments that have already been made under Tax Law § 1612 (c) (1).

[4] We hold that the reinvestment provision of part C is constitutional. The Constitution requires that the net proceeds from the sale of lottery tickets ''shall be applied exclusively to or in aid or support of education in the state as the legislature may prescribe'' (NY Const, art I, § 9 [1]). ''Net proceeds'' means gross proceeds less any appropriate charges and expenses. It is for the Legislature to determine the necessary expenses incurred in operation of the lottery and, thus, what remaining portion of the total lottery revenue will constitute net proceeds. Here, the Legislature has prescribed that net proceeds consists of all money remaining after the payment of administrative expenses, including the vendor fee.

Plaintiffs misapprehend the nature of the reinvested funds. These moneys are not a separate deduction, beyond other costs and expenses, from the amount paid to the racetracks as a vendor fee. Rather, they constitute simply a part of the vendor fee itself—but a part whose use the State has decided to regulate. Thus, with respect to the fees earned by the racetracks, the State, which heavily regulates the racing industry, has made a policy determination that the tracks cannot simply retain as profit their entire fee after payment of costs, but must reinvest a percentage back in the industry itself. Placing such restrictions on the use of the tracks' earned profits is a common practice in the racing industry. Many statutes that allow for revenues to the racetracks from various activities require that a

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11. The recent amendment removes the revenue distribution provisions that required portions of the vendor's fee to be allocated to enhancing purses and an appropriate breeding fund. The new statute increases the vendor's fee to ''thirty-two percent for the first fifty million dollars annually, twenty-nine percent for the next hundred million dollars annually, and twenty-six percent thereafter'' (L 2005, ch 61, part CC, § 2, amending Tax Law § 1612 [b]). The legislation further provides for ''an additional vendor's marketing allowance . . . to be used by the vendor track for the marketing and promotion and associated costs of its video lottery gaming operations'' (L 2005, ch 61, part CC, § 2).

specified portion of those permitted revenues be reinvested in this way (*see e.g.* Racing, Pari-Mutuel Wagering and Breeding Law § 229 [1] [b] [50% of compensation received by nonprofit racing association or corporation from simulcasting or wagering outside New York to be distributed to purses]; § 318 [1] [a] [ii] [percentages of total pool resulting from on-track harness racing bets to be used exclusively for purses]; § 527 [3] [a] [50% of portion of retained commission on off-track pools distributed to racing associations and corporations to be used exclusively for increasing purses]; § 527 [1] [20% of ''breaks'' derived from bets on off-track bets on harness races and 50% of ''breaks'' of other races to be paid to breeders' funds]).

The revenue to be reinvested belongs to the racetracks in the first instance. Since the vendor fee that must be paid to the tracks is a cost to the State, the reinvestment requirement imposes an administrative cost on the racetracks, not on the State Division of the Lottery. But net proceeds of the lottery are proceeds remaining after costs to the Division, not to the racetracks.

The Legislature's decision to regulate the racetracks in this way reflects a policy determination constitutionally within its purview. The Legislature was entitled to determine first, that mandatory reinvestment of a certain percentage of the racetracks' profits in enhanced purses and breeding funds would improve the health of the racing industry, declining in recent years,[12] and second, that a revitalized racing industry would attract more visitors to the racetracks—where VLTs were to be located—who would in turn participate in increased video lottery gaming, thus raising additional revenue for education.

A vendor's fee, offered not only as reimbursement but also as an incentive for the vendor to offer lottery tickets for sale on

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12. In this regard, defendants contend that in recent years, since the New York racetracks, facing declining revenues, have been unable to offer large enough purses to attract quality horses, the top horses have been drawn instead to races in other states. Because high-quality horses lead to better-quality racing which in turn attracts more spectators, fewer people have been coming to the New York tracks to bet, resulting in less money spent from which to pay purses, attracting fewer players still. Similarly, breeding funds are used in part to improve the quality of the horses that are bred, and therefore raced, here in New York (*see Saratoga Harness Racing Assn. v Agriculture & N.Y. State Horse Breeding Dev. Fund*, 22 NY2d 119, 123 [1968] [breeding funds are ''the instrument through which the Legislature has chosen to effectuate (the) legitimate public interest and purpose'' of applying a portion of the revenues from racing to the ''general improvement of the sport and the facilities used'']).

the vendor's premises, is a necessary administrative cost of operating the lottery, because if there is no one to sell tickets (or operate VLTs), there will be no lottery, and ultimately no money earned for education. Indeed, part C expressly contemplated that the vendor's fee to be established would "ensure the maximum lottery support for education while also ensuring the effective implementation of [Tax Law § 1617-a (authorizing the operation of the video lottery)] through the provision of reasonable reimbursements and compensation to vendor tracks for participation in such pilot program" (L 2001, ch 383, part C, § 2). The policy determination by the Legislature that the enacted allocation of funds would result in the greatest benefit to education was properly its to make.

It is generally not for the courts to determine whether a particular vendor's fee set by the Legislature is reasonable. While we can perhaps imagine a case where a "fee" was so excessive as to constitute nothing more than a flagrant end run around the requirement that the net proceeds of the lottery be applied exclusively to education, the fee at issue here does not begin to approach that standard. Every lottery ticket agent in the state receives a fee of 6% of total ticket sales (*see* 21 NYCRR 2805.10), far higher than the fee paid to the racetracks under part C. Indeed, as originally enacted, the vendor fee was to be fixed by the Division of the Lottery at between 1.2% and 2.5%.[13] After conducting a study and comparing the rates with those fixed by other states, the Division set the rate at the highest permissible level—2.5%. At that level, however, not a single racetrack signed up to participate in the video lottery pilot program.[14] The Legislature therefore amended the statute to allow for a fixed percentage of 2.9% (a portion of which was to be reinvested).[15] Still, New York's vendor fee remains significantly lower than

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13. Part C set the vendor's fee at between 12% and 25% of the total revenue wagered less the amount paid for prizes (*see* L 2001, ch 383, part C, § 2). Since the prize payout is to be no less than 90% of total sales (*see* L 2001, ch 383, part C, § 2), the fee amounts to between 1.2% and 2.5% of gross sales.

14. The initial capital investment and continued operating costs of offering video lottery gaming can be significant. The vendor must provide space for the terminals, install and maintain them, and provide increased staff, parking and security for the VLT area. Finger Lakes Racetrack, for example, anticipated its costs of construction, new employees and a variety of other improvements to be nearly $11 million, none of which would be incurred by the State.

15. The 2003 amendment increased the vendor's fee to 29% of total revenue wagered less the amount paid for prizes—or 2.9% of gross sales (*see* L 2003, ch 63, part W, § 3). The 2005 amendment has increased the vendor's fee

(n. cont'd)

that of other states offering VLTs at racetracks. Thus, we disagree with the Appellate Division that the vendor's fee set by the Legislature was ''inflated,'' and find part C of chapter 383 of the Laws of 2001 constitutional in its entirety.

Mega Millions

Finally, plaintiffs challenge the constitutionality of part D of chapter 383 of the Laws of 2001. Pursuant to this legislation, authorizing the Division of the Lottery to ''enter into an agreement with a government-authorized group of one or more other jurisdictions providing for the operation and administration of a joint, multi-jurisdiction, and out-of-state lottery'' (L 2001, ch 383, part D, § 3, codified at Tax Law § 1617). New York entered into an agreement with nine other states to participate in Mega Millions.[16] As noted above, the State Constitution prohibits lotteries in general, but makes an exception for lotteries ''operated by the state'' (NY Const, art I, § 9 [1]).

The Mega Millions agreement specifically provides that the revenue generated by the lottery within each state remains in that state for distribution according to that jurisdiction's relevant requirements. The states agreed to operate the lottery jointly—including sharing start-up costs and operating expenses. As for the responsibility of paying out prize money, each state is liable for a percentage of its sales proportionate to the total amount of sales. The agreement further provides that the laws of the state will control in the event of any conflict between state law and the Mega Millions agreement. Any claims or litigation involving tickets sold in New York must be determined under New York law. No state will be held accountable for the negligent actions or omissions of the agents or employees of another state lottery. Each state is also permitted to withdraw from the Mega Millions agreement either upon six months' notice or immediately if the withdrawal is by operation of law.

Plaintiffs make two arguments in support of their position. First, they argue that the multistate lottery is not ''operated by the state'' as required by the Constitution (NY Const, art I, § 9 [1]). Next, they assert that the net proceeds are not ''applied exclusively to or in aid or support of education in this state'' (NY Const, art I, § 9 [1]). We address these arguments in turn.

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to between 2.6% and 3.2% of gross sales, varying as the revenue increases (*see* L 2005, ch 61, part CC, § 2).

16. The other states are Georgia, Illinois, Maryland, Massachusetts, Michigan, Virginia, New Jersey, Ohio and Washington.

Although several jurisdictions are involved, New York retains sufficient control over the sale of Mega Millions tickets so that it operates the lottery within the state. According to both the terms of the Mega Millions agreement and the Tax Law, New York retains the authority to specify where and in what manner the lottery tickets may be sold (*see* Tax Law § 1604 [a] [6], [7]). The Division of the Lottery also has the power to license ticket agents and determine the manner and amount of compensation due to such agents (*see* Tax Law § 1604 [a] [9]; [b]). The Mega Millions procedures comply with New York law and, if at any time they no longer comply, the State is free to withdraw from the agreement.

[5] That other states share in certain administrative costs and functions does not change our conclusion. The Division of the Lottery regularly contracts with outside vendors and other entities for various equipment and services to assist in the operation of the state lottery. Although different states operate different aspects of the multistate lottery,[17] that does not change New York's operation of Mega Millions within the state. While the State may not have exclusive control over every aspect of the Mega Millions lottery, it operates the multistate lottery within New York as required by the Constitution (*see* art I, § 9 [1]).[18]

Next, we address whether the net proceeds from Mega Millions are ''applied exclusively to or in aid or support of education in this state'' (NY Const, art I, § 9 [1]). Net proceeds are reasonably understood as the amount of revenue remaining after the distribution of prize money and necessary administra-

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17. For example, the Virginia Lottery maintains the grand prize funds and the Georgia Lottery Corporation conducts the actual drawing.

18. Other courts have addressed the constitutionality of a state's participation in a multistate lottery (*see State ex rel. Ohio Roundtable v Taft*, 2003 WL 21470307, 2003 Ohio App LEXIS 3042 [2003], *appeal not allowed* 100 Ohio St 3d 1484, 798 NE2d 1093 [2003]; *Tichenor v Missouri State Lottery Commn.*, 742 SW2d 170 [Mo 1988]). *Ohio Roundtable* specifically addressed the propriety of the Mega Millions agreement against a state constitutional provision allowing ''an agency of the state to conduct lotteries'' (Ohio Const, art XV, § 6; *see Ohio Roundtable*, 2003 WL 21470307, *3, 2003 Ohio App LEXIS 3042, *9). The court did not find any significant difference between the State contracting with private entities to implement its in-state lottery games and contracting with other states to implement Mega Millions (*Ohio Roundtable*, 2003 WL 21470307, *6, 2003 Ohio App LEXIS 3042, *18). Ohio retained a sufficient amount of control over the lottery—since it was conducted in accordance with the State's regulations—to satisfy the Ohio Constitution (*see Ohio Roundtable*, 2003 WL 21470307, *8, 2003 Ohio App LEXIS 3042, *21; *see also Tichenor*, 742 SW2d at 174).

tive expenses (*see* Tax Law § 1619 [j] [2]). The Mega Millions agreement specifies that the states will share equally in any joint start-up and operating costs. As the Appellate Division determined, the expenses paid by New York are used to satisfy the actual administrative costs of operating the multistate lottery. There is no indication that the funds are used to advance the governmental purposes of other states (*see Dalton*, 11 AD3d at 106). Thus, the necessary net proceeds, less the required administrative expenses, remain in New York and are appropriately dedicated to education within the state. Thus, we reject plaintiffs arguments that part D is unconstitutional.

Plaintiffs' final argument that the Governor's message of necessity was unconstitutional under New York Constitution, article III, § 14 is without merit (*see Maybee v State of New York*, 4 NY3d 415 [2005]).

In conclusion, we hold parts B, C and D of chapter 383 of the Laws of 2001 to be constitutional. Plaintiffs have failed to meet their burden of proving beyond a reasonable doubt the invalidity of the legislation. As to Indian gaming compacts, since "as a matter of criminal law and public policy" class III gaming activity is not prohibited in New York, and although heavily regulated, it is permitted for charitable and other purposes, IGRA's mandate allows the State to play an important and essential role in regulating gambling on Indian lands. Allowing video lottery terminals and participation in Mega Millions further promotes the State's public policy to increase funding for education via state-sponsored lotteries. We find no constitutional infirmity in the legislation. Although some may argue the wisdom of the policy choice, the Legislature has made a valid legislative judgment.

Accordingly, the order of the Appellate Division should be modified, with costs to defendants, by declaring part C of chapter 383 of the Laws of 2001 constitutional and, as so modified, affirmed.

G.B. SMITH, J. (dissenting in part). Article I, § 9 of the New York State Constitution prohibits the Legislature from enacting legislation authorizing commercialized gambling and directs the Legislature to pass laws preventing such gambling. In light of article I, § 9, the main issue in this case is whether the Indian Gaming Regulatory Act (IGRA) (Pub L 100-497, codified at 25 USC §§ 2701-2721 and 18 USC §§ 1166-1168) authorizes the Legislature to enact legislation, e.g., part B of chapter 383 of the Laws of 2001, empowering the Governor to negotiate and enter into compacts with Indian tribes for the establishment and operation of commercialized gambling casinos in New York State where such casinos would ordinarily be impermissible. Based on a review of the relevant law, IGRA does not authorize the New York State Legislature to enact such legislation. Accordingly, the Legislature had absolutely no authority to enact part B of chapter 383 of the Laws of 2001. Because the Legislature does not have the authority to enact such legislation, that purported legislation has no effect. From this it follows that the Governor, who pursuant to *Saratoga County Chamber of Commerce v Pataki* (100 NY2d 801 [2003], *cert denied* 540 US 1017 [2003]) must have valid legislative approval in order to bind New York State to a tribal-state gaming compact, does not have the power to even enter into compact negotiations with Indian tribes for the establishment of ''for-profit'' casino gaming in New York State. Moreover, IGRA does not and cannot require or authorize the Governor to enter into such negotiations.

The majority's conclusion, that part B is constitutional, fails to adequately consider the plain language of article I, § 9, New York's statutory scheme (e.g., the General Municipal Law and Penal Law) which prohibits commercialized gambling, and New York's strong, long-standing public policy against such gambling as reflected in making article I, § 9 a part of the Bill of Rights of the New York State Constitution. Most importantly, the majority's conclusion bypasses the citizens of New York State who have expressed their opposition to commercial gambling and who have not had their say, one way or the other, via the amendment process, as to whether the Legislature should be given the authority to enact legislation allowing for the type of commercialized, casino gambling contemplated under part B. I, therefore, dissent and would hold that: (1) part B of chapter 383 is unconstitutional; (2) any compact(s), entered into pursuant to part B of chapter 383, are void and unenforceable; (3) casinos opened and now operating pursuant to such a compact should be declared illegal;[1] and (4) the Governor and other New York State officials should be declared unauthorized to enter into

1. In August 2002, pursuant to part B of chapter 383, a compact was purportedly entered into by New York State and the Seneca Nation of Indians, resulting in the establishment of the Seneca Niagara Casino and Seneca Allegany Casino. Because the subject legislation authorized the Governor to negotiate and enter into a compact, on behalf of New York State, resulting in the establishment of casinos that conduct gaming prohibited under New York

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activities in furtherance of part B of chapter 383 (e.g., any compact negotiations should cease immediately) unless and until the New York State Constitution is amended.

Facts

Background

The case at bar has its origins in *Saratoga County Chamber of Commerce v Pataki* (*supra*). In 1993, then Governor Mario Cuomo, under the auspices of IGRA but without legislative authorization, entered into a tribal-state compact with the St. Regis Mohawk Tribe allowing the Tribe to establish a class III commercialized gambling casino at its Akwesasne reservation in upstate New York. This Court initially held that "IGRA does not preempt state law governing which state actors are competent to negotiate and agree to gaming compacts" (*Saratoga County*, 100 NY2d at 822).[2] Additionally, this Court (1) concluded that the negotiation of tribal-state compacts involves issues affecting the health and welfare of state residents, implicating policy choices within the power of the Legislature; (2) ruled that the Governor, by acting without legislative authorization, had violated the separation-of-powers doctrine; and (3) declared the 1993 compact void and unenforceable. *Saratoga County* specifically left open the following question: would such a compact, assuming that the Governor had authorization to enter into it, violate article I, § 9 of the New York State Constitution (*see Saratoga County*, 100 NY2d at 824-825). However, the first question that must be answered is whether the Legislature, in light of the limitations on legislative power set forth in article I, § 9 of the New York State Constitution, has the authority to pass a law (e.g., part B of chapter 383) empowering the Governor to negotiate and enter into compacts for the establishment of gaming prohibited under the State Constitution.[3] As indicated above, that question must be answered in the negative.

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law, this compact must be deemed unenforceable. Moreover, in the absence of a valid compact, the class III casino-style gaming conducted at these facilities is not lawful (*see* 25 USC § 2710 [d] [1] [C]; *Seminole Tribe of Fla. v Florida*, 517 US 44 [1996]). Thus, the casinos would have to cease operations with respect to the unlawful gaming activity.

2. This Court noted that IGRA "identifies no particular state actor who shall negotiate the compacts; that question is left up to state law (*see Pueblo of Santa Ana v Kelly*, 104 F3d 1546, 1557 [10th Cir 1997], *cert denied* 522 US 807 [1997])" (*id.*).

3. The *Saratoga County* court never reached that question.

Part B of Chapter 383 of the Laws of 2001

In October 2001, the State Legislature met in an emergency session to consider measures to assist those devastated by the September 11, 2001 World Trade Center disaster, promote economic development in the state and generate revenue. Late in the session, each branch of the Legislature considered an omnibus, 81-page bill containing 27 distinct parts, including three parts relating to gambling (2001 NY Senate-Assembly Bill S 5828, A 9459).[4] During the Senate and Assembly debates on these bills, legislators discussed a number of items, including, but not limited to, (1) the process by which the bills came before them (each bill was accompanied by a message of necessity and an immediate vote was required after the debate), (2) the relatively short time that they had to consider the important and wide-sweeping bills, the proposed gambling provisions, especially part B, which were touted as a means of generating revenue and criticized both generally as a drastic departure from New York's policy against commercial gambling and specifically regarding the evils associated with such gambling,[5] (3) the fact that many rank and file legislators were left in the dark regarding the decision-making process on these provisions (e.g., some legislators commented that there were no public hearings or conference committees for the proposed gambling measures), and (4) the fact that a number of legislators indicated that they would vote to pass the bills because, although they did not necessarily agree with the proposed gambling measures, they fully supported other proposed measures, including those which provided for low cost electricity to businesses dislocated as a result of the destruction of the World Trade Center, an expansion of the Child Health Plus system, Urban Development Corporation loan guarantees, and the creation of liberty zones for the World Trade Center Disaster Area.

On October 24 and 25, 2001, the Legislature passed these bills, which became chapter 383 of the Laws of 2001. This case

4. Under part B of the proposed legislation, the Governor would receive the authority to enter into tribal-state compacts for the establishment of up to six new casinos on Indian lands. Under part C, the Division of the Lottery (Division) would be permitted to license the operation of video lottery terminals at pari-mutuel racetracks. Under part D, the Division would be allowed to participate in any joint, multijurisdiction, out-of-state lottery game adopted in accordance with the existing statutory requirements for lottery planning and reporting.

5. For example, Senator Duane referred to gambling as a ''tax on the poor.''

involves a challenge to the constitutionality of parts B, C and D of chapter 383. However, for purposes of this opinion, I focus on part B of chapter 383 of the Laws of 2001 which: (1) provides that the Governor ''may execute a tribal-state compact with the Seneca Nation of Indians pursuant to [IGRA] consistent with a memorandum of understanding [MOU] between the governor and the president of the Seneca Nation of Indians executed on June [20, 2001]'' (Executive Law § 12 [a]);[6] (2) permits the Governor to execute tribal-state gaming compacts ''authorizing up to three class III gaming facilities in the counties of Sullivan and Ulster'' (Executive Law § 12 [b]);[7] and (3) provides that, ''[p]ossession of a slot machine shall not be unlawful where such possession and use is pursuant to a gaming compact, duly executed by the governor and an Indian tribe or Nation, under [IGRA] . . .'' (Penal Law § 225.30 [b]).

On August 18, 2002, the Seneca Nation of Indians entered into a compact with New York State.[8] To date, two casinos have been built pursuant to this compact. On or about December 31, 2002, the Seneca Niagara Casino in Niagara Falls, New York opened for business (*see* Brief for Park Place Entertainment Corporation, at 24; Seneca Gaming Corporation Company Overview, <http://www.senecagamingcorporation.com/companyoverview.html>, cached at <http://www.courts.state.ny.us/reporter/webdocs/SenecaGamingCorpCoOverview.htm>). On or about May 1, 2004, the Seneca Allegany Casino in Salamanca, New York opened for business (*see* Seneca

6. Under the MOU, up to three ''Class III'' casinos were provided for. One was to be located in Niagara County in the City of Niagara Falls. One was to be located in Erie County in the City of Buffalo. Finally, the MOU provided for ''the establishment of Class III gaming on current reservation territory, should the Nation at some point in the future decide to pursue such a facility, with the precise location to be determined by the Nation at such later date'' (Record on Appeal, at 156-157).

7. Here, the Indian tribes have not been determined and the casino locations were not specified.

8. The Tribal-State Compact states, in pertinent part:

> ''This Compact is made and entered into between the Seneca Nation of Indians, a sovereign Indian nation ('Nation') and the State of New York ('State') pursuant to the provisions of [IGRA]
> . . .
> ''NOW, THEREFORE, the NATION and the STATE, consistent with the Memorandum of Understanding between the State Governor and the President of the Seneca Nation of Indians executed on June 20th 2001, and in consideration of the undertakings and agreements hereinafter set forth, hereby enter into this Class III Gaming Compact.''

Gaming Corporation Company Overview). Both casinos are currently operating.

Procedural History and Parties

On January 29, 2002, the instant declaratory judgment actions were filed in Supreme Court, Albany County.[9] Plaintiffs in both actions allege that: (1) parts B, C and D of chapter 383 violate article I, § 9, which basically provides that the only permissible forms of gambling in New York are state-operated lotteries to raise funds for education, pari-mutuel betting on horse races, and certain games of chance operated by religious, charitable or nonprofit organizations; and (2) chapter 383 was enacted in violation of article III, § 14 of the New York State Constitution. Plaintiffs seek a declaration that parts B, C and D of chapter 383 of the Laws of 2001 are illegal, unconstitutional, and null and void, and a permanent injunction enjoining state officials and others from implementing this legislation.

After the actions were commenced, Park Place Entertainment Corporation (now known as Caesars Entertainment, Inc.) (Park Place) sought to intervene as a defendant in Action No. 1. Park Place, which described itself as "one of the world's largest gaming companies," argued that it has a substantial interest in ensuring that part B is upheld as constitutional, and that it would be adversely affected and bound by any judgment invalidating part B of chapter 383.[10] Regarding its substantial interest, Park Place asserted that in April 2000, it entered into

9. The *Dalton* action (Action No. 1) was commenced on behalf of a broad coalition of citizen taxpayer-voters (Joseph Dalton, Reverend Duane Motley, Mr. Lee Karr, G. Stanford Bratton, Reverend John Ekman and Chaskiel Rozenburg), state legislators (Senator Frank Padavan and Assembly Member William Parment) and organizations (New Yorkers for Constitutional Freedoms, Ltd., the Coalition Against Casino Gambling and the Presbyterian and New England Congregational Church) opposed to the spread of gambling throughout New York State. The *Karr* action (Action No. 2) was brought on behalf of Mrs. Lee Karr, a citizen taxpayer-voter opposed to the spread of gambling throughout New York State.

The defendants in both actions were: Governor George Pataki, the State of New York, the New York State Racing and Wagering Board, Arthur J. Roth, as Commissioner of Taxation and Finance of the State of New York, the Division of the Lottery, New York State Comptroller H. Carl McCall, New York State Racing Association, Finger Lakes Racing Association, Yonkers Racing Corporation, Mid-State Raceway, Inc. and Monticello Raceway Management, Incorporated.

Note, by stipulation of discontinuance dated November 21, 2002, both actions were discontinued with prejudice only as to defendant H. Carl McCall.

10. When asked about its interest in this matter during oral argument, Park Place noted that under IGRA, Indian tribes may enter into management

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an agreement with the St. Regis Mohawk Tribe under which Park Place secured exclusive development and management rights for the Tribe's future casinos in New York State. Further, Park Place asserted that it entered into an agreement for an option to acquire property (i.e., Kutsher's Resort Hotel and Country Club) in Sullivan County, New York in order to build a casino at that location.[11] Finally, Park Place claims to have ''expended millions of dollars in preparation for the construction and operation of this project that it expects to manage on behalf of the [Tribe].''[12] By stipulation and order dated February 15, 2002, the parties to Action No. 1 and the attorneys of Park Place agreed that Park Place may intervene in this action and shall serve a pleading answering or responding to the complaint.

In April 2002, the state defendants and Park Place each brought preanswer motions to dismiss pursuant to CPLR 3211. The state defendants moved to dismiss the complaint in its entirety and Park Place moved to dismiss the first three causes of action relating to part B of chapter 383 of the Laws of 2001. By order dated October 30, 2002, Supreme Court dismissed the motions in their entirety as premature. Further, on that date, Action Nos. 1 and 2 were consolidated and the parties were permitted to cross-move for summary judgment.

On July 17, 2003, Supreme Court granted summary judgment in defendants' favor. The court upheld the constitutionality of parts B, C and D of chapter 383, and dismissed the complaints in their entirety. The court held that the State Constitution po-

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contracts with experienced companies, like Park Place, to assist in managing the Indian gaming operations. Park Place also noted that a stated purpose of IGRA is to promote the economic development of the tribe, that the monies generated from the gaming activities are used towards that end, and that it is in the tribes' interest to affiliate themselves with experienced management companies.

11. Park Place asserted that in March 2001, ''the Mohawks filed a Land-Into-Trust application with the Bureau of Indian Affairs of the U.S. Department of the Interior to have 66 acres of the Kutsher's land under option to Park Place taken into trust for the Mohawks to be used for Indian gaming purposes'' (Record on Appeal, at 312). According to the record, this application is still pending.

12. It is telling that one of the largest casino developers/operators/managers has intervened in this suit. Companies, like Park Place, who have or are in the process of developing Indian casinos in New York State stand to lose quite a bit of money if part B of chapter 383 is struck down and they are unable to: (1) recoup their initial investment in the development of the casinos; and (2) reap the benefits (e.g., management fees) for operating and/or managing the open casinos.

ses no bar to Indian casino gaming in New York because ''New Yorkers have adopted a public policy that permits considerable gambling, although regulated.'' In so holding, the court adopted the Second Circuit's holding in *Mashantucket Pequot Tribe v State of Conn.* (913 F2d 1024 [2d Cir 1990] [ruling that states that allow charities to conduct class III gaming must negotiate in good faith with a tribe wishing to do the same]) and the analysis from Judge Read's dissent in *Saratoga County*.[13]

On July 7, 2004, the Appellate Division, Third Department modified the Supreme Court's order. The Court affirmed the Supreme Court's ruling regarding the constitutionality of parts B and D of chapter 383 of the Laws of 2001; however, it declared that part C was unconstitutional. Regarding part B, the Court determined that,

> ''pursuant to IGRA, a state may enter into tribal-state compacts permitting particular class III, casino-type gaming activities on tribal lands if the state permits any person to conduct those particular gaming activities for any purpose, including a charitable purpose. That a compact permits a certain game to be conducted in a manner that is otherwise inconsistent with state law will not render it invalid if the game is not completely prohibited. Because New York permits the gaming activities at issue here for charitable purposes, subject to heavy regulation, the gaming is properly the subject of a tribal-state compact'' (*Dalton v Pataki*, 11 AD3d 62, 67 [3d Dept 2004]).

Moreover, the Court held that the Governor would be able to negotiate tribal-state compacts with Indian tribes to conduct casino-style gaming on lands that were not ''Indian lands'' at the time of IGRA's enactment if the Governor concurs with the Secretary of the Interior's determination that casino gambling would be in the best interest of the Indian tribe and not detrimental to the surrounding communities.

Plaintiffs and defendants appeal and cross-appeal, respectively, pursuant to CPLR 5601 (b) (1).

Discussion

By holding that part B of chapter 383 of the Laws of 2001 is constitutional, the majority of this Court and the lower courts

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13. According to Judge Read, ''IGRA mandates that, if a state allows *any* class III gaming by *any* person, a tribe may seek to conduct the same games on its lands'' (*Saratoga County*, 100 NY2d at 842).

have basically held that Congress can require the New York State Legislature to pass a law it ordinarily could not, i.e., a law empowering the Governor to enter an agreement for the establishment of gambling activity that does not comport with this State's Constitution. Since the gambling activity at issue here has not been put before and approved by the citizens of New York as an exception to the general prohibition against gambling set forth in article I, § 9 of the New York State Constitution, the Legislature cannot pass legislation authorizing the Governor to enter into agreements for the establishment of commercial gambling facilities. Therefore, part B of chapter 383 must be set aside as unconstitutional.[14]

Background and Purpose of the Indian Gaming Regulatory Act

Congress passed IGRA on October 17, 1988, pursuant to its power to regulate commerce ''with the Indian Tribes'' (US Const, art I, § 8 [3]) and in response to the United States Supreme Court's decision in *California v Cabazon Band of Mission Indians* (480 US 202 [1987]). In *Cabazon*, which was decided about a year before IGRA was enacted, the Supreme Court held that a state which regulates rather than prohibits gambling must permit Indian tribes to conduct gambling on their lands (*see*, *Cabazon*, 480 US at 209). The Court further held that Indian tribes would be forbidden from conducting gambling if a particular state prohibits such gambling altogether (*id.*). To deal with this regulatory/prohibitory distinction, the *Cabazon* court stated: ''The shorthand test is whether the conduct at issue violates the State's public policy.'' (*Cabazon*, 480 US at 209.) The primary purpose of IGRA is ''to provide a statutory basis for the operation of gaming by Indian tribes as a means of promoting tribal economic development, self-sufficiency, and strong tribal governments'' (25 USC § 2702 [1]).[15]

IGRA divides gaming on Indian lands into three classes.[16] Class I games, defined as social games for minimal prizes and

14. That is, Executive Law § 12 and the amendments to Penal Law § 225.30 (a) (1) and (b) must be set aside as unconstitutional.

15. IGRA also attempts to regulate the gaming so as to avoid ''corrupting influences'' and seeks to ensure that the Indian tribes are the primary beneficiaries of the gaming (*see* 25 USC § 2702 [2]).

16. ''The term 'Indian lands' means—

> ''(A) all lands within the limits of any Indian reservation; and
>
> ''(B) any lands title to which is either held in trust by the United States for the benefit of any Indian tribe or individual or held by

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traditional Indian or ceremonial games, are within the exclusive jurisdiction of the Indian tribes and shall not be subject to the provisions of IGRA (*see* 25 USC § 2703 [6]; § 2710 [a] [1]). Class II games, such as bingo, lotto, pull tabs, tip jars, punch boards and card games, but not banking card games (e.g., chemin de fer, baccarat and blackjack), fall within tribal jurisdiction but are subject to the provisions of IGRA (*see* 25 USC § 2703 [7]; § 2710 [a] [2]). Class III gaming, which is defined as ''all forms of gaming that are not class I or class II gaming'' (25 USC § 2703 [8]) and includes banking cards, horse racing, slot machines and the commercialized, casino gambling at issue here, is subject to the terms and conditions of tribal-state compacts.

Requirements for Class III Gaming

IGRA provides,

> ''Class III gaming activities shall be lawful on Indian lands only if such activities are—
>
> ''(A) authorized by an ordinance or resolution that—
>
> ''(i) is adopted by the governing body of the Indian tribe having jurisdiction over such lands,
>
> ''(ii) meets the requirements of subsection (b) of this section, and
>
> ''(iii) is approved by the Chairman,
>
> ''(B) located in a State that permits such gaming for any purpose by any person, organization, or entity, and

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> any Indian tribe or individual subject to restriction by the United States against alienation and over which an Indian tribe exercises governmental power'' (25 USC § 2703 [4]).

Generally, gaming on lands acquired after October 17, 1988 by the Secretary of the Interior and held ''in trust for the benefit of an Indian tribe,'' except for ''lands . . . located within or contiguous to the boundaries of [an Indian] reservation,'' is not permitted (25 USC § 2719 [a] [1]). However, IGRA authorizes gaming on Indian lands acquired after October 17, 1988 if the Secretary of the Interior,

> ''after consultation with the Indian tribe and appropriate State and local officials, including officials of other nearby Indian tribes, determines that a gaming establishment on newly acquired lands would be in the best interest of the Indian tribe and its members, and would not be detrimental to the surrounding community, but only if the Governor of the State in which the gaming activity is to be conducted concurs in the Secretary's determination'' (25 USC § 2719 [b] [1] [A]).

> ''(C) conducted in conformance with a Tribal-State compact entered into by the Indian tribe and the State under paragraph (3) that is in effect'' (25 USC § 2710 [d] [1]).[17]

In determining whether class III gaming will be allowable on Indian lands, the tribal-state compacting requirement is of primary importance under IGRA. However, before discussing this requirement, it is necessary to examine IGRA's legislative history regarding compacts because this history makes clear that Congress: (1) considers a state and Indian tribe engaged in compact negotiations to be equal sovereigns; (2) considers the state's interest, in ensuring that its law and public policy are adhered to, important to the compacting process; and (3) does not require a state to abandon its own constitution or laws in order to have or regulate class III gaming. The Senate Report, which accompanied the bill (US Senate Bill S 555) that eventually became IGRA and sets forth IGRA's legislative history, provides, in pertinent part:

> ''*Class III—tribal-State compacts*. . . . [T]he [Select Committee on Indian Affairs (Committee)] concluded that the use of compacts between tribes and states is the best mechanism to assure that the interests of both sovereign entities are met with respect to the regulation of complex gaming enterprises such as pari-mutuel horse and dog racing, casino gaming, jai alai and so forth. The Committee notes the strong concerns of states that state laws and regulations relating to sophisticated forms of class III gaming be respected on Indian lands where,

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17. According to its legislative history, IGRA ''is intended to expressly preempt the field in the governance of gaming activities on Indian lands'' (S Rep No. 100-446, 100th Cong, 2d Sess, Statement of Policy, at 6). However, with regard to class III gaming, Congress contemplated that such gaming on Indian lands would only be permissible if states and Indian tribes employed a system of compacts for the regulation of such gaming (*id.*). Under this system of compacts, the federal government cedes regulatory oversight authority as to class III gaming conducted on Indian lands and permits states and Indian tribes to jointly regulate such gaming. This system exists so that the respective interests of the state and tribe (i.e., two equal sovereigns) will be taken into account. Moreover, there can be no class III gaming on Indian lands without a valid tribal-state compact (*see* 25 USC § 2710 [d] [1] [C]) in a state that permits the specific gaming, set forth in the compact, for any purpose by any person, organization, or entity (*see* 25 USC § 2710 [d] [1] [B]). Thus, through tribal-state compacts, states maintain ''some measure of authority over gaming on Indian lands'' (*Seminole Tribe*, 517 US at 58).

> with few exceptions, such laws and regulations do not now apply. The Committee balanced these concerns against the strong tribal opposition to any imposition of State jurisdiction over activities on Indian lands. The Committee concluded that the compact process is a viable mechanism for setting various matters between two equal sovereigns'' (S Rep No. 100-446, 100th Cong, 2d Sess, Explanation of Major Provisions, at 13).

The Senate Report further provides that:

> ''both State and tribal governments have significant governmental interests in the conduct of class III gaming. *States and tribes are encouraged to conduct negotiations within the context of the mutual benefits that can flow to and from tribe and States. This is a strong and serious presumption that must provide the framework for negotiations*. A tribe's governmental interests include raising revenues to provide governmental services for the benefit of the tribal community and reservation residents, promoting public safety as well as law and order on tribal lands, realizing the objectives of economic self-sufficiency and Indian self-determination, and regulating activities of persons within its jurisdictional borders. *A State's governmental interests with respect to class III gaming on Indian lands include the interplay of such gaming with the State's public policy, safety, law and other interests, as well as impacts on the State's regulatory system*, including its economic interest in raising revenue for its citizens'' (*id.* [emphasis added]).

Regarding the Committee's intent, the Senate Report provides that:

> ''It is the Committee's intent that the compact requirement for class III not be used as a justification by a State for excluding Indian tribes from such gaming or for the protection of other State-licensed gaming enterprises from free market competition with Indian tribes'' (*id.*).

Further, *''States are not required to forgo any State governmental rights to engage in or regulate class III gaming except whatever they may voluntarily cede to a tribe under a compact''* (*id.* at 14 [emphasis added]).

With respect to the tribal-state compact requirement, IGRA provides that an Indian tribe, seeking to conduct class III gaming on its land, may initiate the compacting process by asking the state in which the proposed activity is to take place to engage in negotiations for the purpose of entering a tribal-state compact (*see* 25 USC § 2710 [d] [3] [A]). When the tribe requests a state to enter into compact negotiations, both the tribe and the state shall negotiate in good faith (*id.*).[18] However, IGRA does not require that a state accept or enter into a compact. Moreover, class III gaming shall not be imposed on states where such gaming is forbidden. 25 USC § 2701 (5) provides:

> ''Indian tribes have the exclusive right to regulate

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18. IGRA provides that, ''The United States district courts shall have jurisdiction over . . . any cause of action initiated by an Indian tribe arising from the failure of a State to enter into negotiations with the Indian tribe for the purpose of entering into a Tribal-State compact under [25 USC § 2710 (d) (3) (A)] or to conduct such negotiations in good faith'' (25 USC § 2710 [d] [7] [A] [i]). Note, the United States Supreme Court has held that the Indian Commerce Clause does not grant Congress the power to abrogate the states' sovereign immunity from suit through 25 USC § 2710 (d) (7), ''and therefore § 2710 (d) (7) cannot grant jurisdiction over a State that does not consent to be sued'' (*Seminole Tribe*, 517 US at 47).

Further, where an Indian tribe introduces evidence that it requested a state to enter compact negotiations more than 180 days before, no tribal-state compact was entered into, and the state did not respond to the Indian tribe's request for compact negotiations or did not respond in good faith, the burden of proof shifts to the state to prove that it negotiated in good faith (*see* 25 USC § 2710 [d] [7] [B] [i], [ii]).

''[I]f . . . the court finds that the State has failed to negotiate in good faith . . . , the court shall order the State and [ ] Indian [t]ribe to conclude such a compact within a 60-day period'' (25 USC § 2710 [d] [7] [B] [iii]). Further, ''If a State and an Indian tribe fail to conclude a Tribal-State compact . . . [after 60 days], the Indian tribe and the State shall each submit to a mediator appointed by the court a proposed compact that represents their last best offer for a compact. The mediator shall select . . . the one which best comports with [IGRA and other applicable federal law]'' and submit the selected compact to the state and Indian tribe. (25 USC § 2710 [d] [7] [B] [iv], [v].) ''If a State consents to [the] proposed compact [within 60 days of the mediator's submission of the proposed compact to the State], the proposed compact shall be treated as a Tribal-State compact'' (25 USC § 2710 [d] [7] [B] [vi]). However,

''If the State does not consent . . . [within 60 days], the mediator shall notify the Secretary [of the Interior] and the Secretary shall prescribe, in consultation with the Indian tribe, procedures . . .

''consistent with the proposed compact selected by the mediator . . . , [IGRA], and the relevant [state law], and . . .

''under which class III gaming may be conducted on the Indian lands over which the Indian tribe has jurisdiction'' (25 USC § 2710 [d] [7] [B] [vii]; *see* 25 CFR part 291).

> gaming activity on Indian lands if the gaming activity is not specifically prohibited by Federal law *and is conducted within a State which does not, as a matter of criminal law and public policy, prohibit such gaming activity*'' (emphasis added).

Based on the foregoing, as long as the proposed class III gaming activity is not prohibited by a state's criminal law and public policy, an Indian tribe can initiate the tribal-state compacting process under which a state is obligated to negotiate in good faith, subject to 25 USC § 2710 (d) (7). However, in the instant case, the commercialized casino gaming contemplated is prohibited under New York law and public policy.[19]

Because the proposed casino gaming is prohibited under the New York State Constitution and Penal Law, and such gaming conflicts with New York State's strong public policy against commercialized gambling, the Legislature did not have the power to enact the instant legislation authorizing the Governor to negotiate and enter into compacts with Indian tribes for the establishment of ''for-profit'' casino gaming in New York State. Moreover, IGRA does not and cannot force or require the Legislature to pass a law authorizing the Governor to execute agreements for the establishment of activity that is violative of New York State's laws and public policy. As indicated above, without valid legislative approval, the Governor can neither negotiate nor bind the State by entering into a compact.

New York's Prohibition Against Commercialized Gambling

New York prohibits commercialized gambling, including the for-profit, casino gaming contemplated herein. This prohibition is set forth in the ''Bill of Rights'' of the New York State Constitution (*see* NY Const, art I, § 9). Article I, § 9 was adopted to ''protect[ ] . . . the family man of meager resources from his own imprudence at the gaming tables'' (*see International Hotels Corp. [Puerto Rico] v Golden*, 15 NY2d 9, 15 [1964], citing Carter and Stone, Reports of Proceedings and Debates of the Convention of 1821, at 567 [Hosford 1821]). Article I, § 9 (1) of the New York State Constitution reads, in pertinent part:

> ''except as hereinafter provided, *no lottery or the sale of lottery tickets, pool-selling, bookmaking, or any other kind of gambling, except* lotteries operated by the state and the sale of lottery tickets in con-

19. Because the instant gaming activity is prohibited, the State is under no obligation to negotiate in good faith.

> nection therewith as may be authorized and prescribed by the legislature, the net proceeds of which shall be applied exclusively to or in aid or support of education in this state as the legislature may prescribe, and except pari-mutuel betting on horse races as may be prescribed by the legislature and from which the state shall derive a reasonable revenue for the support of government, *shall hereafter be authorized or allowed within this state; and the legislature shall pass appropriate laws to prevent offenses against any of the provisions of this section.*'' (Emphasis supplied.)

Article I, § 9 (2) provides:

> ''any city, town or village within the state may by an approving vote of the majority of the qualified electors in such municipality voting on a proposition therefor submitted at a general or special election authorize, subject to state legislative supervision and control, the conduct of one or both of the following categories of games of chance commonly known as: (a) bingo or lotto, in which prizes are awarded on the basis of designated numbers or symbols on a card conforming to numbers or symbols selected at random; (b) games in which prizes are awarded on the basis of a winning number or numbers, color or colors, or symbol or symbols determined by chance from among those previously selected or played, whether determined as the result of the spinning of a wheel, a drawing or otherwise by chance.''

Subdivision (2) further provides:

> ''If authorized, such games shall be subject to the following restrictions, among others which may be prescribed by the legislature: (1) only bona fide religious, charitable or non-profit organizations of veterans, volunteer firefighter and similar non-profit organizations shall be permitted to conduct such games; (2) the entire net proceeds of any game shall be exclusively devoted to the lawful purposes of such organizations; (3) no person except a bona fide member of any such organization shall participate in the management or operation of such game; and (4) no person shall receive any remuneration

> for participating in the management or operation of any such game.''

Additionally, with respect to subdivision (2):

> ''Unless otherwise provided by law, no single prize shall exceed two hundred fifty dollars, nor shall any series of prizes on one occasion aggregate more than one thousand dollars. The legislature shall pass appropriate laws to effectuate the purposes of this subdivision [and] ensure that such games are rigidly regulated to prevent commercialized gambling.''

Consistent with this provision, the Legislature has outlawed commercialized gambling (*see* Penal Law art 225).[20]

In order to give effect to article I, § 9 of the New York State Constitution, the Legislature enacted article 9-A of the General Municipal Law, New York's ''Games of Chance Licensing Law'' (*see* General Municipal Law § 185 *et seq.*). The stated purpose of article 9-A is consistent with New York's legal prohibition and strong public policy against commercialized gambling. General Municipal Law § 185, which sets forth the purpose of article 9-A, provides, in pertinent part:

> ''The legislature hereby declares that the raising of funds for the promotion of bona fide charitable, educational, scientific, health, religious and patriotic causes and undertakings, where the beneficiaries are undetermined, is in the public interest. It hereby finds that, as conducted prior to the enactment of this article, games of chance were the subject of exploitation by professional gamblers, promoters, and commercial interests. *It is hereby declared to be the policy of the legislature that all phases of the supervision, licensing and regulation of games of chance and of the conduct of games of*

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20. For example, Penal Law § 225.05 provides, ''A person is guilty of promoting gambling in the second degree when he knowingly advances or profits from unlawful gambling activity.'' Moreover, pursuant to Penal Law § 225.00 (4), ''A person 'advances gambling activity' when, acting other than as a player, he engages in conduct which materially aids any form of gambling activity. Such conduct includes but is not limited to conduct directed toward the creation or establishment of the particular game, contest, scheme, device or activity involved, toward the acquisition or maintenance of premises, paraphernalia, equipment or apparatus therefor, toward the solicitation or inducement of persons to participate therein, toward the actual conduct of the playing phases thereof, toward the arrangement of any of its financial or recording phases, or toward any other phase of its operation.''

> *chance, should be closely controlled and that the laws and regulations pertaining thereto should be strictly construed and rigidly enforced; that the conduct of the game and all attendant activities should be so regulated and adequate controls so instituted as to discourage commercialization of gambling in all its forms, including the rental of commercial premises for games of chance, and to ensure a maximum availability of the net proceeds of games of chance exclusively for application to the worthy causes and undertakings specified herein; that the only justification for this article is to foster and support such worthy causes and undertakings, and that the mandate of section nine of article one of the state constitution, as amended, should be carried out by rigid regulations to prevent commercialized gambling*, prevent participation by criminal and other undesirable elements and prevent the diversion of funds from the purposes herein authorized'' (General Municipal Law § 185 [emphasis added]).

Similarly, the activities of the body charged with the administration of New York's Games of Chance Licensing Law, the New York State Racing and Wagering Board (Board), are consistent with New York's legal prohibition and strong public policy against commercialized gambling. General Municipal Law § 188-a (1) provides that the Board shall:

> ''*Supervise the administration of the games of chance licensing law and [ ] adopt, amend and repeal rules and regulations governing the issuance and amendment of licenses thereunder and the conducting of games under such licenses, which rules and regulations shall have the force and effect of law and shall be binding upon all municipalities issuing licenses, and upon licensees of the board, to the end that such licenses shall be issued to qualified licensees only, and that said games shall be fairly and properly conducted for the purposes and in the manner of the said games of chance licensing law prescribed and to prevent the games of chance thereby authorized to be conducted from being conducted for commercial purposes or purposes other than those therein authorized*, participated in by criminal or other undesirable elements and the funds derived from the games being diverted from

> the purposes authorized, and to provide uniformity in the administration of said law throughout the state, the board shall prescribe forms of application for licenses, licensees, amendment of licenses, reports of the conduct of games and other matters incident to the administration of such law'' (General Municipal Law § 188-a [1] [emphasis added]).

Likewise, General Municipal Law, article 9-A, § 186 (4), pertaining to the types of organizations authorized to conduct games of chance in New York State, reflects New York's strong public policy against commercialized gambling. General Municipal Law § 186 (4) provides that:

> '' 'Authorized organization' shall mean and include any bona fide religious or charitable organization or bona fide educational, fraternal or service organization or bona fide organization of veterans or volunteer firemen, which by its charter, certificate of incorporation, constitution, or act of the legislature, shall have among its dominant purposes one or more of the lawful purposes as defined in this article, provided that each shall operate without profit to its members, and provided that each such organization has engaged in serving one or more of the lawful purposes as defined in this article for a period of three years immediat[e]ly prior to applying for a license under this article.''

It has been argued that the State Legislature had authority to enact part B of chapter 383 of the Laws of 2001 because: (1) since New York allows what is ostensibly class III gaming for charitable and other purposes, New York must allow the commercialized, for-profit casino gaming at issue here; and (2) the citizens of New York State, by approving gambling for charitable and other purposes, have thereby approved class III commercialized casino gaming. This argument is unavailing because instead of focusing on whether the New York State Constitution authorizes the Legislature to pass a law authorizing the Governor to agree to bring about unconstitutional, commercialized gambling, this argument incorrectly focuses on the noncommercial gambling New York State permits as justification for the contention that New York State can enter compacts for the establishment of commercialized gambling facilities on Indian lands. Put another way, this argument fails to consider the plain language of article I, § 9 of the State Constitution[21] and how this constitutional provision affects the Legislature's authority, or lack thereof, to enact legislation related to commercialized gambling.

As noted above, article I, § 9 generally proscribes gambling except for lotteries where the net proceeds are applied towards education, pari-mutuel betting on horse races,[22] and games of chance to be engaged in by certain types of organizations (e.g., nonprofit organizations) and conducted for specific, limited purposes (e.g., charitable). Under article I, § 9, these games of chance are strictly regulated to ensure that they are not commercialized. For example, article I, § 9 dictates where net proceeds go, who manages or operates the game, that no person shall be paid for participating in the management or operation of the game, and prize amounts. Further, article I, § 9 (2) provides that, ''The legislature shall pass appropriate laws to effectuate the purposes of this subdivision [and] ensure that such games are rigidly regulated to prevent commercialized gambling.'' The legislation passed, pursuant to this constitutional directive, i.e., the Games of Chance Licensing Law, similarly seeks to ''discourage commercialization of gambling in all its forms, including the rental of commercial premises for games of chance, and to ensure a maximum availability of the net proceeds of games of chance exclusively for application to [ ]

21. ''When language of a constitutional provision is plain and unambiguous, full effect should be given to 'the intention of the framers . . . as indicated by the language employed' and approved by the People'' (*Matter of King v Cuomo*, 81 NY2d 247, 253 [1993] [citations omitted]).

While it is true that ''[t]he legislative power of this state shall be vested in the senate and assembly'' (NY Const, art III, § 1), this Court has stated:

> ''It needs no citation of authorities to sustain the postulate, that except as restrained by the Constitution, the legislative power is untrammeled and supreme, and that a constitutional provision which withdraws from the cognizance of the legislature a particular subject, or which qualifies or regulates the exercise of legislative power in respect to a particular incident of that subject, leaves all other matters and incidents under its control. Nothing is subtracted from the sum of legislative power, except that which is expressly or by necessary implication withdrawn'' (*Matter of Thirty-Fourth St. R.R. Co.*, 102 NY 343, 350-351 [1886]).

22. Under IGRA, this activity would be categorized as class III gaming. Because this specific activity is a constitutional exception set forth in article I, § 9, the Legislature could enact a law authorizing the Governor to negotiate and ultimately enter into a compact with an Indian tribe only for the establishment of a facility where pari-mutuel betting on horse races would be conducted.

worthy causes and undertakings'' (General Municipal Law § 185). Based on the foregoing, article I, § 9 of the New York State Constitution clearly prohibits gaming for commercialized purposes and commercialized games of chance, and further, acts as a limitation on the power of the Legislature to enact laws pertaining to such gaming and games of chance.[23]

Here, the Legislature, by enacting part B of chapter 383, authorized the Governor to execute tribal-state compacts for the establishment of up to six class III, for-profit casino gaming facilities on Indian lands and ''after-acquired'' lands pursuant to 25 USC § 2719 (b) (1) (A). There is no dispute, and the majority agrees, that the gaming facilities contemplated under this legislation (and the gaming and games to be engaged in at these facilities) are commercial in nature and fall squarely within the type of commercial gambling activity prohibited under article I, § 9.[24] Moreover, the provisions authorizing the execution of tribal-state compacts for the establishment of the above-mentioned prohibited facilities do not comport with article I, § 9.[25] Thus, in view of the limitation on the Legislature's power set forth in article I, § 9, and the axiom that where a constitu-

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23. Because article I, § 9 prohibits these activities, the Legislature is restrained from passing laws allowing such activities (*see e.g.*, *Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160 [1996]). Further, since article I, § 9 does not set forth a procedure authorizing the Legislature to add further exceptions to it, it must be concluded that no such practice exists under this constitutional provision (*see e.g.*, *Matter of King*, 81 NY2d at 252). If no such practice exists, the Legislature may not legislate as if such practice does exist (*id.*).

24. The types of gaming and games (games) to be conducted at the for-profit casinos provided for under part B of chapter 383 are reflected in Appendix A to the instant Tribal-State Compact. As indicated above, the compact was to be consistent with the June 20, 2001 MOU. According to the MOU, the types of gaming to be conducted are ''those types of games already included in the Mohawk and Oneida gaming compacts.'' Thus, some of the games listed in the instant Tribal-State Compact, including baccarat, blackjack, craps and roulette are the same as those listed in the Mohawk Compact.

Regarding the games authorized under the Mohawk Compact, the Third Department stated ''*that the commercialized Las Vegas style gambling authorized by the compact is the antithesis of the highly restricted and 'rigidly regulated' (NY Const, art I, § 9 [2]) forms of gambling permitted by the [New York State] Constitution and statutory law and New York's established public policy disfavoring gambling*'' (*Saratoga County Chamber of Commerce v Pataki*, 293 AD2d 20, 24 [3d Dept 2002] [emphasis added and citations omitted]).

25. Since article I, § 9 limits the Legislature's ability to pass legislation to establish a prohibited commercialized gambling facility, it necessarily limits the Legislature's ability to pass legislation authorizing the State to enter into

(n. cont'd)

tional limitation on the Legislature's power exists, a legislative enactment that seeks to exercise such power in spite of the limitation has no effect, the Legislature did not have the authority to enact part B of chapter 383 of the Laws of 2001.

In light of this conclusion, that the Legislature had no power to enact the legislation, the next question that must be answered is whether IGRA somehow grants the Legislature the authority to enact part B of chapter 383. Respondents' main argument that the Legislature had the authority to enact part B of chapter 383 is that because the New York State Constitution permits charitable and other organizations to conduct noncommercial casino-style gaming in New York State, IGRA requires that New York must negotiate with Indian tribes to give them the opportunity to conduct commercial casino-style gaming. In support of this argument, respondents rely primarily on IGRA's legislative history regarding the ''for any purpose by any person'' provision relating to class II gaming (S Rep No. 100-446, 100th Cong, 2d Sess, Explanation of Major Provisions, at 12),[26] and *United States v Sisseton-Wahpeton Sioux Tribe* (897 F2d 358, 365 [8th Cir 1990] [cited for the proposition that IGRA's ''legislative history reveals that Congress intended to permit a particular gaming activity, even if conducted in a manner inconsistent with state law, if the state merely regulated, as opposed to completely barred, that particular gaming activity'']). Based on the foregoing, respondents concluded that ''a State may not invoke state law prohibiting commercialized Class III gaming outside Indian lands to justify a refusal to undertake compact negotiations under IGRA. To the contrary, as long as a State permits class III gaming 'for any purpose by any person,' IGRA expressly requires States to 'negotiate . . . in good faith to enter into . . . a compact' and provides specific remedies where they fail to do so'' (*see* Brief for State Respondents, at 44; regarding the remedies, *see* 25 USC § 2710 [d]).[27]

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an agreement for the establishment of a prohibited commercialized gambling facility.

26. According to IGRA's legislative history, ''The phrase 'for any purpose by any person, organization or entity' makes no distinction between State laws that allow class II gaming for charitable, commercial, or governmental purposes, or the nature of the entity conducting the gaming. If such gaming is not criminally prohibited by the State in which tribes are located, then tribes, as governments, are free to engage in such gaming.'' (*Id.*)

27. Respondents' argument, although supported by IGRA's legislative history, leads to an odd result. In *Cabazon*, the Supreme Court upheld a similar

(n. cont'd)

The IGRA provisions and case law cited by respondents do not provide authorization for this State's Legislature to enact laws like part B of chapter 383. IGRA presupposes that the New York State Legislature has the authority to enact such laws.[28] However, nothing in IGRA, not the fact that IGRA preempts the field in the area of gaming on Indian lands, not the IGRA-defined role of states in the regulation of gaming on Indian lands,[29] not the requirement that states negotiate compacts in good faith, not the fact that the compact requirement is meant to take into account the interests of the tribe and state, not the fact that the Secretary of the Interior has the power to impose commercialized casino gambling if a compact is not entered into, counters the article I, § 9 limitation to the Legislature's power to enact legislation authorizing the State, through the Governor, to execute an agreement for the establishment of unconstitutional, illegal commercialized gambling. Put another

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argument. However, Justice Stevens had reservations akin to my own, i.e., that the argument makes little sense. In a dissenting opinion, written by Justice Stevens and joined by Justices O'Connor and Scalia, Justice Stevens wrote that:

> "Today the Court seems prepared to acknowledge that an Indian tribe's commercial transactions with non-Indians may violate 'the State's public policy.' . . . The Court reasons, however, that the operation of high-stakes bingo games does not run afoul of California's public policy because the State permits some forms of gambling and, specifically, some forms of bingo. I find this approach to 'public policy' curious, to say the least. The State's policy concerning gambling is to authorize certain specific gambling activities that comply with carefully defined regulation and that provide revenues either for the State itself or for certain charitable purposes, and to prohibit all unregulated commercial lotteries that are operated for private profit. To argue that the tribal bingo games comply with the public policy of California because the State permits some other gambling is tantamount to arguing that driving over 60 miles an hour is consistent with public policy because the State allows driving at speeds of up to 55 miles an hour" (*Cabazon*, 480 US at 224-225).

28. One problem with IGRA presupposing that a particular state has the authority to enact legislation similar to part B is that no two states have exactly the same history regarding gambling or motivations behind why all, some or no gambling is proscribed, or why a particular state chose to prohibit gambling via statute, city ordinance or bill of rights provision.

29. Indian nations are sovereign and IGRA allows states, through the compacting process, to gain a measure of control over gaming on Indian lands (*see Seminole Tribe*, 517 US 44 [1996]).

way, state law, not federal law, necessarily governs the exercise of the Legislature's power to enact legislation.[30]

IGRA states that ''Class III gaming activities shall be lawful on Indian lands only if such activities are . . . located in a State that permits such gaming for any purpose by any person, organization, or entity'' (25 USC § 2710 [d] [1] [B]). Applying Justice Stevens' reasoning to the instant case, it does not follow that if a state permits class III gaming for charitable purposes, it must permit commercial gambling on Indian lands by way of a compact in violation of a state's own constitutional provision (*Cabazon*, 480 US at 222-227 [Stevens, J., dissenting]). At most, the state would be required to permit class III gaming on Indian lands for charitable purposes. Such an interpretation would not violate the New York State Constitution. Nothing in IGRA requires the contrary. Moreover, the Constitution can be amended by the People of the State of New York.

Mashantucket Pequot Tribe v State of Conn. (737 F Supp 169 [1990], *affd* 913 F2d 1024 [1990]) and *California v Cabazon Band of Mission Indians* (480 US 202 [1987]), two cases heavily relied on by respondents, do not change this conclusion because these cases are neither controlling nor applicable. In *Mashantucket*, the Pequot Tribe sought to enter into negotiations with the State of Connecticut to conduct casino-type games of chance on its reservation. Connecticut's statutory scheme generally prohibited commercial gambling but permitted nonprofit organizations to conduct ''Las Vegas nights'' and games of chance to raise funds for the organizations. At the heart of the *Mashantucket* decision was the conclusion of both the District Court and the Second Circuit that Connecticut regulated rather than prohibited gambling and thus Connecticut was required to negotiate a compact with the Pequot Tribe. On the other hand, the instant case involves article I, § 9 of the New York State Constitution, a provision which reflects New York's longstanding policy against the type of commercialized gambling sought to be permitted here *and* acts as a limitation on the Legislature's authority to enact legislation like part B of chapter 383. (See discussion of New York's long constitutional history of prohibiting gambling in *Saratoga County Chamber of Commerce*

30. IGRA's focus is on the compact requirement, not on a legislature's power, or lack thereof, to enact legislation in a given area. Similarly, this Court's decision in *Saratoga County* (100 NY2d 801 [2003]) focused on whether the Governor had authority to compact, rather than on whether the Legislature's ability to legislate was thwarted by a constitutional limitation.

v Pataki, 100 NY2d 801, 826-828 [2003] [G.B. Smith, J., concurring in part and dissenting in part].) The antigambling provision is part of the supreme law of the State and can only be repealed by the People of New York State by amending the constitution (*see* NY Const, art XIX, § 1). The New York State Constitution should be accorded significantly more deference than the statutes at issue in *Mashantucket*, statutes which did not reflect as strong an antigambling policy as New York's and have since been repealed.

With respect to *Cabazon*, it should be noted that while IGRA has adopted *Cabazon* language pertaining to class II and class III gaming, on the facts and primary issue to be resolved, *Cabazon* can be distinguished from the instant case. First, unlike the instant case, *Cabazon* involved a state (i.e., California) that did not have as clear an antigambling policy as New York. Second, *Cabazon* involved an Indian tribe's attempt to operate bingo parlors which, under IGRA, falls under class II gaming and within tribal jurisdiction with oversight regulation by the National Indian Gaming Commission. Moreover, the Senate Report which accompanied the bill that eventually became IGRA (i.e., IGRA's legislative history) links language from *Cabazon*, i.e., the regulatory/prohibitory distinction, to class II gaming while remaining silent as to class III gaming, the gambling activity at issue here. Given this and the fact that class II and class III gaming are regulated in very different ways, Congress contemplated different treatment for class II and class III gaming. Third, *Cabazon* involved an analysis of: (1) whether a statute and county ordinances addressing gambling were criminal (i.e., prohibitory) or civil (i.e., regulatory); and (2) whether California could enforce its gambling laws on Indian land. The instant case considers whether the Legislature has the authority to enact legislation that is in direct contravention to the New York State Constitution.

Thus, in view of the plain and unambiguous limitation on legislative authority set forth in article I, § 9 of the New York State Constitution, the State Legislature did not have the authority to enact part B of chapter 383 of the Laws of 2001. Further, neither IGRA nor any reading of *Mashantucket* and *Cabazon* could grant the Legislature such authority. Accordingly, part B of chapter 383 must be set aside as void and unconstitutional, including Executive Law § 12 (regarding Governor's authority to enter into tribal-state compacts) and the amendments to Penal Law § 225.30 (a) (1) and (b) (regarding the legalization of slot machines for class III gaming purposes).

In affirming the lower court's holding regarding part B of chapter 383, and thereby disregarding the article I, § 9 limitation on the Legislature, the majority has essentially concluded that IGRA provides a means for the Legislature to circumvent this State's constitutional limitations and pass legislation that it normally could not. This conclusion suggests, at least with regard to gaming on Indian lands, that IGRA exerts control over how legislation is passed and even supplants this State's Constitution. In view of New York State's status as a sovereign state and the fact that New York State's Constitution is the supreme law of the State, this notion is incorrect.

Moreover, effectively extending power to IGRA, with regard to the State's Constitution, is improper because the people of New York State, not Congress or the Secretary of the Interior or the State Legislature, approve the State Constitution and any amendments thereto (*see* NY Const, art XIX, § 1). Thus, if the people are not permitted to consider and vote on a subject covered under the State Constitution, their constitutional rights have been violated.

For example, the people have approved certain exceptions to the State's general ban on gambling, as well as highly regulated, noncommercial games of chance authorized under article I, § 9 of the New York State Constitution and article 9-A of the General Municipal Law.[31] However, the high-stakes commercialized gaming and games contemplated under part B of chapter 383

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31. General Municipal Law § 186 (3) provides:

> " 'Games of chance' shall mean and include only the games known as 'merchandise wheels', 'coin boards', 'merchandise boards', 'seal cards', 'raffles', and 'bell jars' and such other specific games as may be authorized by the board, in which prizes are awarded on the basis of a designated winning number or numbers, color or colors, symbol or symbols determined by chance, but not including games commonly known as 'bingo or lotto' which are controlled under article fourteen-H of this chapter and also not including 'bookmaking', 'policy or numbers games' and 'lottery' as defined in section 225.00 of the penal law. No game of chance shall involve wagering of money by one player against another player."

The Board has authorized other "games of chance" including: (1) craps; (2) roulette; (3) blackjack; (4) big six; (5) big nine; (6) money wheel; (7) color wheel; (8) chuck-a-luck; (9) hazard; (10) under and over seven; (11) beat the dealer; (12) bang; (13) joker seven; (14) horse race wheel; (15) best poker hand; (16) fruit wheel; (17) card wheel; and (18) raffles (*see* 9 NYCRR 5620.3-5620.22).

were not approved by the people.[32] In other words, the Legislature, by purporting to make a policy decision within its power, i.e., enacting part B, delegated to the Governor the authority to execute tribal-state compacts, authority that, pursuant to the limitation on legislative power set forth in article I, § 9, the Legislature does not have. Accordingly, part B is not an improper delegation of legislative authority as plaintiffs contend. This implies that the Legislature had the authority to enact part B. Instead, because the Legislature does not have the authority to empower a state official to enter into an agreement for the establishment of commercialized gambling, the Legislature's ''delegation'' was an action without consequence.

Although under General Municipal Law § 186 (3), other games of chance may be authorized by the Board, the following games, included in the instant Tribal-State Compact, have not been authorized as ''games of chance'' under New York law: (1) baccarat; (2) carribean stud poker; (3) keno; (4) let it ride poker; (5) minibaccarat; (6) pai gow poker; (7) pai gow tiles; (8) red dog; (9) sic bo; (10) super pan; (11) casino war; (12) spanish blackjack; (13) multiple action blackjack; and (14) three card poker. These games are not permitted to be engaged in for any purpose by any person, organization or entity (*see* 25 USC § 2710 [d] [1] [B]). Accordingly, even if New York State could legally enter into a tribal-state compact, it could refuse to negotiate with the Seneca Nation of Indians regarding the tribe's operation of these unauthorized games (*see e.g., Cheyenne Riv. Sioux Tribe v State of S.D.*, 3 F3d 273 [8th Cir 1993]). Note also that New York State can refuse to negotiate if the Seneca Nation of Indians wants to operate a game that is a variation of the authorized game (*id.*). Moreover, in light of the article I, § 9 limitation to the Legislature's power, the subject matter of part B of chapter 383 clearly falls within the ban on commercialized gaming.

This legislation, specifically the portions authorizing the execution of compacts, should first have been put through the

32. For example, blackjack, a regulated, ''authorized game[ ] of chance'' (*see* 9 NYCRR 5620.5), that was approved by the people of New York, is materially different from the game played at the Seneca Niagara Casino. One major difference is the maximum bet amount. The maximum bet for the ''authorized'' game is $5 or its equivalent in chips (*id.*). Meanwhile the maximum bet for the ''same'' game at the Seneca Niagara Casino is $2,500, 500 times the amount of the regulated, ''authorized'' game (*see* Brief for Park Place, at 24). It is clear that the people of New York State did not approve ''this'' game of blackjack.

amendment process so that the people of New York State could decide whether such compacts for the establishment of high-stakes games or gaming should become permissible under the State Constitution and whether the Legislature can enact legislation authorizing the execution of such compacts. Because the high-stakes commercialized gaming and games, and the provisions regarding the compacts were not put before the people through the amendment process, the rights of New York's citizens have been violated.

Affirming part B presents another problem regarding the ability of the people to exercise their collective voice. During oral argument, state respondent conceded that theoretically, there would be no legal impediment to having casinos placed in New York City and Albany as long as the requirements regarding after-acquired Indian lands held in trust for an Indian tribe (25 USC § 2719 [b] [1] [A]) are met. Specifically, if the Secretary of the Interior: (1) purchases land in, for example, New York City and Albany and holds it in trust for Indian tribes; and (2) determines that a gaming establishment(s) on the newly acquired lands would be in the best interest of the Indian tribe and its members, and would not be detrimental to the surrounding community; and (3) the Governor concurs, there could be commercialized Indian gaming in New York City and Albany without the required approval, via the amendment process, of the people of the State of New York.

Conclusion

Contrary to the majority's position, part B of chapter 383 is not a duly enacted statute because, given the article I, § 9 limitation on the Legislature's ability to enact legislation empowering the Governor to enter an agreement for the establishment of commercialized gambling, the Legislature did not have the authority to enact part B. Put another way, since New York's Legislature does not have the constitutional or statutory authority to enact legislation to establish commercialized gambling, it certainly cannot enact legislation empowering the Governor to execute compacts for the sole purpose of establishing casinos where commercialized gambling will take place.

The majority made a number of points pertaining to the control a state can exert on Indian lands and the validity of games under a gaming compact, i.e., it noted that, under IGRA, state laws prohibiting commercialized gambling do not apply on Indian lands, that a state enjoys more regulatory control over

Indian casino gaming than it would ordinarily, and further, that regarding such gaming, "state involvement and regulation is to be favored." (Majority op at 261.) However, these points do not consider the step that necessarily precedes the Governor's negotiation and entering of Indian gaming compacts, i.e., the legislative authorization held to be necessary under *Saratoga County*. Regarding this step, the majority states that under *Saratoga County*, negotiating and entering compacts involve policy decisions within the power of the Legislature (*see* majority op at 262; *Saratoga County*, 100 NY2d at 823). However, this decision did not consider that the Legislature is subject to a constitutional limitation that prohibits it from enacting the type of legislation at issue here. In other words, it is clear, given the constitutional and statutory limitations on the Legislature's power to enact laws in furtherance of commercial gambling, that passing laws in that area cannot be considered an example of a policy decision within the power of the Legislature. Since passing laws establishing commercialized gambling is not a policy decision within the power of the Legislature, the Legislature's enactment of part B of chapter 383 cannot stand.[33] Also, as New York State is sovereign in its own right, Congress, through IGRA, cannot dictate what areas the Legislature can legislate in or direct the Legislature to take action that it could not ordinarily take, especially when the legislation that results from such dictation or direction would be in direct contravention with a constitutional limitation on the Legislature's authority to act in a given area. Moreover, article I, § 9 was approved by the people of the State of New York as a general prohibition against gambling, with certain exceptions, and as a limitation on the Legislature's general right to legislate. IGRA cannot supplant that constitutional provision because that would necessarily mean the rights and interests that IGRA is most concerned with protecting, i.e., those of the Indian tribes, outweigh the will of the people of New York State.

Finally, in *Alden v Maine* (527 US 706, 748, 758 [1999]), a case which held that Congress could not require that a state be sued in a state court, the Supreme Court stated:

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33. IGRA was meant to preempt the field regarding the governance of gaming activities on Indian lands. Further, a main thrust of IGRA is that if a state allows a certain type of gaming conduct for any purpose, a state must allow Indian tribes to engage in such gaming conduct on Indian lands for any purpose. These key concepts speak to whether a state law prohibition against a certain kind of conduct can apply on Indian lands, not whether the Legislature may pass laws in a given area.

> "Although the Constitution grants broad powers to Congress, our federalism requires that Congress treat the States in a manner consistent with their status as residuary sovereigns and joint participants in the governance of the Nation. . . .
>
> "Congress has vast power but not all power. When Congress legislates in matters affecting the States, it may not treat these sovereign entities as mere prefectures or corporations. Congress must accord States the esteem due to them as joint participants in a federal system, one beginning with the premise of sovereignty in both the central Government and the separate States. Congress has ample means to ensure compliance with valid federal laws, but it must respect the sovereignty of the States."

According to the *Alden* decision, Congress could not negate a New York State constitutional policy that goes back over three centuries. Moreover, Congress, through IGRA, did not negate or intend to negate that policy. Rather than submit to such an interpretation, until the Supreme Court rules otherwise, this Court should adhere to the clear mandate of the New York State Constitution.

Based on the foregoing, part B of chapter 383 should be held as void, illegal and unconstitutional, any compact(s), entered into pursuant to part B of chapter 383, should be held as void and unenforceable, any casinos opened and operating pursuant to such a compact should be declared unable to continue operations and the Governor and other New York State officials should be declared unable to engage in activities in furtherance of part B of chapter 383. Further, I would reverse the lower court decision granting summary judgment on that portion of appellants' complaints pertaining to part B of chapter 383 and reinstate those causes of action.

In this case, the Governor and the Attorney General, as is their right, have seen their duty as requiring them to forgo the New York State Constitution and apply a federal statute. Normally they would be advocates for the State Constitution. The result is to leave the people of the State of New York without a state advocate for a provision in its Bill of Rights. Perhaps, this Court or the Attorney General should have appointed one. In any case, while it is clear that the federal government has preempted the field in how gaming is to be conducted on Indian lands, it does not follow that preemption forces New

York to have its Governor and Legislature approve commercial gambling in spite of the New York State Constitution. Nothing in IGRA requires New York to set up commercial gambling on Indian lands or on lands acquired by Indians.

Because I do not agree with the majority's holding regarding part B of chapter 383 of the Laws of 2001, I dissent.

R.S. SMITH, J. (dissenting). I dissent from the majority's holding that part C of chapter 383 of the Laws of 2001 is constitutional, and would affirm the Appellate Division's holding that it is not. The requirement of article I, § 9 (1) of the New York Constitution that the net proceeds of a lottery ''shall be applied exclusively to or in aid or support of education'' can be too easily evaded if the Legislature may require vendors to spend a portion of the funds they receive from the lottery for noneducational purposes of the Legislature's choosing.

The statute as originally enacted provided for a ''vendor's fee'' to racetracks of between 12% and 25% of the revenue remaining after payment of prizes, and required the vendors to ''reinvest'' between 35% and 45% of that fee in enhanced purses and a breeding fund. In other words, the Legislature required that between 4.2% and 11.25% of after-prize revenue be devoted to increasing racetrack prizes and breeding horses—not to the ''aid or support of education.'' The Legislature could not have appropriated lottery funds for racetrack purses or horse breeding, and should not be allowed to accomplish the same end by directing vendors to ''reinvest.''

To me, the issue is that simple. It is not relevant that, as the majority notes, other statutes direct racetracks to divert some of their income to purses and breeding funds (majority op at 267-268); the income to which those statutes apply is not lottery income and is not subject to the ''exclusively to . . . education'' restriction of article I, § 9. Nor is it relevant that the maximum vendor's fee under part C was increased from 25% to 29% of revenue remaining after prizes (majority op at 269); the reinvestment was included in both fee levels, so the increase proves nothing about whether the reinvestment had the effect of inflating the fee.

The essence of the majority's position is that plaintiffs have not proved that the reinvestment is a device to thwart the constitutional limitation. The majority suggests that the vendor's fee called for by the statute is not inflated by the required reinvestments—that the fee may be the lowest a vendor would take in any event, and that the reinvestments may be expenditures the racetracks would make anyway. The majority also says that ''[t]he Legislature was entitled to determine'' that the reinvestment expenditures are a reasonable way to enhance racetrack attendance, and that increased attendance will in turn increase lottery revenues (majority op at 268).

I agree that plaintiffs have not proved that the reinvestment provisions of part C were designed to evade the constitutional requirement; it is very hard to prove such evasion, or to disprove it. I also agree with the majority that ''[i]t is generally not for the courts to determine whether a particular vendor's fee . . . is reasonable'' (majority op at 269); indeed, it will usually be impossible for courts to do so. That is precisely why a ''reinvestment'' requirement offers a temptation to a Legislature that wants to escape the constitutional restriction. Indeed, in saying that it ''can perhaps imagine'' a case where a ''flagrant end run'' around the constitutional requirement would be invalidated (majority op at 269), the majority seems to sanction in advance any end run that falls short of being flagrant. I find this too lax an approach to the enforcement of article I, § 9, and I think we should hold simply that no legislatively-directed diversions of funds from lottery vendor's fees to noneducational purposes are allowed.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO and READ concur with Judge CIPARICK; Judge G.B. SMITH dissents in part and votes to modify by declaring part B of chapter 383 of the Laws of 2001 unconstitutional in a separate opinion; Judge R.S. SMITH dissents in part and votes to affirm in another opinion in which Judge G.B. SMITH concurs in so much thereof as pertains to part C of chapter 383 of the Laws of 2001.

Order modified, etc.

[835 NE2d 643, 801 NYS2d 783]

In the Matter of KSLM-COLUMBUS APARTMENTS, INC., Respondent, v NEW YORK STATE DIVISION OF HOUSING AND COMMUNITY RENEWAL, Appellant, and WESTGATE TENANTS ASSOCIATION et al., Intervenors-Appellants.

Argued May 4, 2005; decided June 14, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 26, 2004. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Sheila Abdus-Salaam, J.), which, in a proceeding pursuant to CPLR article 78, had denied the petition to review a determination of respondent New York State Division of Housing and Community Renewal that, following their exit from the Mitchell-Lama program, petitioner's buildings became subject to rent stabilization by virtue of the Rent Stabilization Law of 1969, rather than the Emergency Tenant Protection Act of 1974, and dismissed the proceeding, (2) granted the petition, and (3) remanded the matter to the Division of Housing and Community Renewal for consideration of petitioner's application for adjustment of initial rent pursuant to Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-513 (a).

Matter of KSLM-Columbus Apts. v New York State Div. of Hous. & Community Renewal, 6 AD3d 28, modified.

HEADNOTE

Landlord and Tenant — Rent Regulation — Buildings Previously Constructed and Operated Pursuant to Mitchell-Lama Program

The apartments in buildings previously constructed and operated by petitioner pursuant to the Mitchell-Lama program (Private Housing Finance Law art II) were made subject to rent stabilization, upon petitioner's withdrawal from the program, by the Rent Stabilization Law (RSL) of 1969 (Administrative Code of City of NY § 26-501 *et seq.*) if they had been inhabited continuously since before July 1, 1971, and by the Emergency Tenant Protection Act (ETPA) of 1974 (L 1974, ch 576, § 4, as amended) if they had a vacancy on or after July 1, 1971. Petitioner's buildings are pre-1969 buildings, which, if they had not been regulated under the Private Housing Finance Law, would have been regulated under the RSL, and would not have needed the ETPA to bring them under stabilization. Nor did the enactment of the Urstadt Law (L 1971, ch 372, as amended by L 1971, ch 1012 [McKinney's Uncons Laws of NY § 8605]), intended to prevent any new tightening of rent regulation after 1971, prevent application of the RSL once the Private Housing Finance Law exemption from the RSL ended. The RSL did not apply, however, to those apartments that became vacant on or after July 1, 1971, and they instead became subject to the provisions of the ETPA by virtue of the Vacancy Decontrol Law (L 1971, ch 371, as amended by L 1974, ch 576, § 2).

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Landlord and Tenant § 1069.

Dolan, Rasch's New York Landlord and Tenant including Summary Proceedings (4th ed) § 2:40.

NY Jur 2d, Landlord and Tenant § 421.

New York Real Property Service §§ 30:87–30:91.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Eliot Spitzer, Attorney General, New York City (*Oren L. Zeve, Caitlin J. Halligan* and *Michael S. Belohlavek* of counsel), for appellant. I. The Division of Housing and Community Renewal correctly concluded that KSLM-Columbus Apartments, Inc.'s 1968 buildings were regulated under the Rent Stabilization Law of 1969 when their Private Housing Finance Law/Mitchell-Lama status terminated. (*Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal,* 87 NY2d 325; *Matter of Lord Mgt. Corp. v Weaver,* 11 NY2d 180; *Matter of Oteri v Temporary State Hous. Rent Commn.,* 9 AD2d 529, 8 NY2d 810; *La Guardia v Cavanaugh,* 53 NY2d 67; *Matter of Gilman v New York State Div. of Hous. & Community Renewal,* 99 NY2d 144; *Matter of Royal Realty Co. v New York State Div. of Hous. & Community Renewal,* 161 AD2d 404; *Department of Welfare of City of N.Y. v Siebel,* 6 NY2d 536; *Matter of Nelson v Roberts,* 304 AD2d 20; *Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal,* 3 NY3d 337; *Matter of Gaines v New York State Div. of Hous. & Community Renewal,* 90 NY2d 545.) II. The Rent Stabilization Law of 1969 applies because neither the Emergency Tenant Protection Act nor *Matter of Zeitlin v New York City Conciliation & Appeals Bd.* (56 AD2d 805 [1977]) directs the application of the Emergency Tenant Protection Act once KSLM-Columbus Apartments, Inc.'s Private

Housing Finance Law status terminated. (*La Guardia v Cavanaugh,* 53 NY2d 67; *Carney v Philippone,* 1 NY3d 333; *Matter of Long v Adirondack Park Agency,* 76 NY2d 416; *Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal,* 87 NY2d 325; *Matter of Oteri v Temporary State Hous. Rent Commn.,* 9 AD2d 529; *Matter of Lord Mgt. Corp. v Weaver,* 11 NY2d 180; *Arbegast v Board of Educ. of S. New Berlin Cent. School,* 65 NY2d 161.) III. KSLM-Columbus Apartments, Inc.'s other arguments do not demonstrate that the Division of Housing and Community Renewal erred in applying the Rent Stabilization Law of 1969 to its buildings. (*DeMuria v Hawkes,* 328 F3d 704; *Riley v County of Broome,* 95 NY2d 455.)

Himmelstein, McConnell, Gribben, Donoghue & Joseph, New York City (*Serge Joseph, Kevin R. McConnell* and *William J. Gribben* of counsel), for intervenors-appellants. I. The Appellate Division's decision departs from well-settled precedents. (*Matter of Lord Mgt. Corp. v Weaver,* 11 NY2d 180; *Matter of Bayview Hotel v Temporary State Hous. Rent Commn.,* 12 NY2d 423; *Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal,* 87 NY2d 325; *Minton v Domb,* 63 AD2d 36; *Matter of Cornerstone Baptist Church v Rent Stabilization Assn.,* 55 AD2d 952; *Towers Hotel Invs. Corp. v Davis,* 54 AD2d 730; *Wilson v One Ten Duane St. Realty Co.,* 123 AD2d 198; *Matter of Vindigni v Altman,* 40 AD2d 707; *La Guardia v Cavanaugh,* 53 NY2d 67; *Museum of Modern Art v Kirk,* 111 Misc 2d 1074.) II. Section 3 of the Emergency Tenant Protection Act and the City Council resolution do not require a different result. (*Matter of 89 Christopher v Joy,* 35 NY2d 213; *Matter of Zeitlin v New York City Conciliation & Appeals Bd.,* 46 NY2d 992; *Matter of Cornerstone Baptist Church v Rent Stabilization Assn.,* 55 AD2d 952; *La Guardia v Cavanaugh,* 53 NY2d 67.) III. *Matter of Zeitlin v New York City Conciliation & Appeals Bd.* (56 AD2d 805 [1977]) is distinguishable. IV. The Appellate Division should not have reached the issue of whether the owner is entitled to use Administrative Code of the City of New York § 26-513 (a) as a basis to adjust the initial rent since this was never addressed by the Division of Housing and Community Renewal or the Supreme Court. (*Skinner v Paramount Pictures,* 294 NY 474.) V. This Court should remand this matter to the Division of Housing and Community Renewal for a determination of whether there exists ''unique'' or ''peculiar'' circumstances. (*Matter of Gruber,* 89 NY2d 225; *Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.,* 83 NY2d 353; *Helmsley-Spear, Inc. v Winter,* 74 AD2d 195, 52 NY2d 984; *Mat-*

ter of Meko Holding v Joy, 107 AD2d 278; *Matter of Dworman v New York State Div. of Hous. & Community Renewal,* 94 NY2d 359; *Vink v New York State Div. of Hous. & Community Renewal,* 285 AD2d 203.) VI. Alternatively, this Court should decide that voluntary participation in the Mitchell-Lama program, the willing acceptance of the benefits of the program, voluntary departure from the Mitchell-Lama program and the attendant relinquishment of the benefits do not constitute ''unique or peculiar'' circumstances under Administrative Code of City of New York § 26-513 (a). (*Matter of Steinbeck v Gerosa,* 4 NY2d 302; *Matter of Manhattan Pizza Hut v New York State Human Rights Appeal Bd.,* 51 NY2d 506; *Matter of Town Bd. of Town of Huntington v Zoning Bd. of Appeals of Town of Huntington,* 161 AD2d 647; *207 Realty Assoc. v New York State Div. of Hous. & Community Renewal,* 297 AD2d 569; *Matter of D.K.M. Realty Corp. v Gabel,* 23 AD2d 637; *Matter of Bleecker St. Mgt. Co. v New York State Div. of Hous. & Community Renewal,* 284 AD2d 174; *Pajak v Pajak,* 56 NY2d 394; *Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal,* 76 NY2d 325; *Matter of Nicholas v Kahn,* 47 NY2d 24; *Matter of VR Equities v New York City Conciliation & Appeals Bd.,* 118 AD2d 459.)

Rosenberg & Estis, P.C., New York City (*Gary M. Rosenberg, Jeffrey Turkel* and *Nicholas Kamillatos* of counsel), for respondent. I. This Court need not defer to the Division of Housing and Community Renewal's interpretation of the governing statutes. (*Matter of Mounting & Finishing Co. v McGoldrick,* 294 NY 104; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.,* 72 NY2d 166; *Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills,* 4 NY3d 51; *Matter of Polan v State of N.Y. Ins. Dept.,* 3 NY3d 54; *Matter of Belmonte v Snashall,* 2 NY3d 560; *Matter of Gruber,* 89 NY2d 225; *Matter of Dworman v New York State Div. of Hous. & Community Renewal,* 94 NY2d 359; *Matter of Missionary Sisters of Sacred Heart, Ill. v New York State Div. of Hous. & Community Renewal,* 283 AD2d 284; *Matter of Eastern Pork Prods. Co. v New York State Div. of Hous. & Community Renewal,* 187 AD2d 320.) II. The KSLM-Columbus Apartments, Inc. (KSLM) apartments became subject to stabilization by virtue of the Emergency Tenant Protection Act; as such, KSLM was eligible to file for unique or peculiar rent adjustments under Administrative Code of the City of New York § 26-513 (a). (*City of New York v New York State Div. of Hous. & Community Renewal,* 97 NY2d 216; *La Guardia v Cavanaugh,* 53 NY2d 67; *Matter of 1605 Book Ctr. v Tax Appeals Trib. of State of N.Y.,* 83 NY2d 240; *Doctors Council v New York City Employees' Retirement Sys.,* 71 NY2d 669; *Matter of Excellus Health Plan v Serio,* 2 NY3d 166; *Matter of Theroux v Reilly,* 1 NY3d 232; *Matter of Oteri v Temporary State Hous. Rent Commn.,* 9 AD2d 529, 8 NY2d 810; *Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal,* 87 NY2d 325; *Pajak v Pajak,* 56 NY2d 394.) III. The Division of Housing and Community Renewal repeatedly—and correctly—represented to Department of Housing and Urban Development officials that all owners of pre-1974 buildings coming out of Private Housing Finance Law regulation could apply for unique or peculiar rent adjustments under Administrative Code of the City of New York § 26-513 (a). IV. Any KSLM-Columbus Apartments, Inc. apartment that became vacant on or after July 1, 1971 necessarily became subject to rent stabilization by virtue of the Emergency Tenant Protection Act. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Pajak v Pajak,* 56 NY2d 394; *Matter of Eastern Pork Prods. Co. v New York State Div. of Hous. & Community Renewal,* 187 AD2d 320.) V. The Division of Housing and Community Renewal's Commissioner, Deputy Commissioner and the Appellate Division correctly held that emergence from a more stringent regulatory program to rent stabilization qualifies as a ''unique or peculiar'' circumstance that may entitle an owner to rent adjustments under Administrative Code of the City of New York § 26-513 (a).

Patterson, Belknap, Webb & Tyler LLP, New York City (*Karl E. Seib, Jr.* and *Laura J. Wood* of counsel), *Community Service Society of New York (Juan Cartagena* and *Risa E. Kaufman* of counsel) and *Legal Services for New York City Legal Support Unit (Raun Rasmussen* and *David Robinson* of counsel) for Community Service Society of New York and others, amici curiae. I. The Appellate Division's decision threatens to exacerbate New York City's housing crisis by eliminating a critical source of affordable housing. II. The Appellate Division's decision threatens to place an enormous burden on financially strapped families.

Emery Celli Brinckerhoff & Abady LLP, New York City (*Matthew D. Brinckerhoff* and *Katherine Rosenfeld* of counsel), for New York State Tenants & Neighbors Coalition, Inc. and others, amici curiae. I. The ''unique or peculiar'' ruling must be vacated because it was made improvidently, without legal briefing or a factual record. (*Davis v Waterside Hous. Co.,* 274 AD2d

318; *Capers v Giuliani,* 253 AD2d 630, 93 NY2d 868; *Flacke v Onondaga Landfill Sys.,* 69 NY2d 355.) II. An owner's voluntary exit from the Mitchell-Lama program does not constitute "unique or peculiar circumstances" justifying steep rent increases for current tenants. (*Matter of D.M.K. Realty Corp. v Gabel,* 23 AD2d 637; *Matter of Cornerstone Baptist Church v Rent Stabilization Assn.,* 55 AD2d 952; *Perth Realty Co. v Dovoll,* 79 Misc 2d 514; *La Guardia v Cavanaugh,* 53 NY2d 67; *Matter of 221 W. 16th Realty v New York State Div. of Hous. & Community Renewal,* 277 AD2d 81; *207 Realty Assoc. v New York State Div. of Hous. & Community Renewal,* 297 AD2d 569; *Matter of Bleecker St. Mgt. Co. v New York State Div. of Hous. & Community Renewal,* 284 AD2d 174.) III. The consequences of the decision are devastating.

OPINION OF THE COURT

G.B. SMITH, J.

In this appeal by the Division of Housing and Community Renewal (DHCR), the issue is whether buildings previously constructed and operated pursuant to the Mitchell-Lama program are made subject to the Rent Stabilization Law of 1969 (RSL) by the RSL itself, or by the Emergency Tenant Protection Act of 1974 (ETPA). We conclude that apartments inhabited continuously since before July 1, 1971 were made subject to stabilization by the RSL, and those in which there has been a vacancy on or after July 1, 1971 were made subject to stabilization by the ETPA. In 1967 and 1968, the predecessor of KSLM-Columbus Apartments, the Westgate Housing Corporation (Westgate), constructed three buildings located at West 96th and West 97th Streets in Manhattan. Tenants first moved into these buildings in 1968. Westgate was a limited profit housing company which constructed and financed these buildings through article II of the Private Housing Finance Law, commonly referred to as the Mitchell-Lama Law. Enacted in 1955, the Mitchell-Lama legislation offered financial incentives to landlords to develop low- and middle-income housing. Incentives included long-term, low-interest government mortgage loans and real estate tax exemptions. In return for these financial benefits, developers agreed to regulations concerning rent, profit, disposition of property and tenant selection. Westgate dissolved in March 1979 and was restructured into KSLM.

In March 1998, KSLM withdrew the buildings from the Mitchell-Lama program and they immediately became subject to rent stabilization. The immediately preceding rent for each apartment became the "initial regulated rent" under Rent Stabilization Law (RSL) of 1969 (Administrative Code of City of NY) § 26-512 (b) (3)[1] and Rent Stabilization Code (9 NYCRR) § 2521.1 (j).[2] In 1998, the average initial stabilized monthly rents for the KSLM apartments were $267, $333, $407 and $522 for, respectively, studio, one-bedroom, two-bedroom and three-bedroom apartments. As a result of withdrawal from the Mitchell-Lama program, KSLM began paying full real estate taxes and interest at market rates. KSLM also "enter[ed] the legislative quagmire which encompasses the New York City and New York State rent control laws" (*Matter of KSLM-Columbus Apts. v New York State Div. of Hous. & Community Renewal*, 6 AD3d 28, 30 [1st Dept 2004]).

In May 1998, KSLM made three separate applications to DHCR for "unique or peculiar" rent adjustments under the ETPA pursuant to RSL § 26-513 (a). That section provides:

> "The tenant or owner of a housing accommodation made subject to this law by the emergency tenant protection act of nineteen seventy-four may, within sixty days of the local effective date of this section or the commencement of the first tenancy thereafter, whichever is later, file with the commissioner an application for adjustment of the initial legal regulated rent for such housing accommodation. The commissioner may adjust such initial legal regulated rent upon a finding that the presence of unique or peculiar circumstances materially affecting the initial legal regulated rent has resulted in a rent which is substantially different from the rents generally prevailing in the same area for substantially similar housing accommodations."

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1. Section 26-512 (b) reads:

> "The initial regulated rent for housing accommodations subject to this law on the local effective date of the emergency tenant protection act of nineteen seventy-four or which become subject to this law thereafter, pursuant to such act, shall be . . .
>
> "(3) For housing accommodations other than those described in paragraphs one and two of this subdivision, the rent reserved in the last effective lease or other rental agreement."

2. Section 2521.1 (j) reads in part: "For housing accommodations whose rentals were previously regulated under the PHFL, or any other State or Federal law, other than the RSL or the City Rent Law, upon the termination of such regulation, the initial legal regulated rent shall be the rent charged to and paid by the tenant in occupancy on the date such regulation ends."

KSLM stated in its applications that its rents were "substantially different from the rents generally prevailing in the same area for substantially similar housing accommodations" since its buildings had been governed by the Private Housing Finance Law for over 29 years and were not economically viable without the section 26-513 (a) adjustment of initial rents.

The DHCR Rent Administrator denied KSLM's applications on February 18, 2000, finding that KSLM was ineligible to apply for relief under section 26-513 (a) because "it became subject to the [RSL] not by virtue of the [ETPA] but by virtue of the [RSL] when the building left the Mitchell-Lama program." In January 2001, the Deputy Commissioner denied KSLM's petitions for administrative review and found that KSLM erred in assuming every housing accommodation is made subject to the RSL by the ETPA if it came out of its exempt status after July 1, 1974.

KSLM brought a CPLR article 78 proceeding challenging DHCR's determination. On June 12, 2002, Supreme Court denied the petition and dismissed the proceeding. The Appellate Division unanimously reversed. It concluded that the jurisdiction of the ETPA covered "any class or classes of housing accommodations . . . *exempted from* regulation and control under the provisions of the emergency housing rent control law, the local emergency housing rent control act or *the New York city rent stabilization law of nineteen hundred sixty-nine*" (6 AD3d at 36, quoting ETPA [L 1974, ch 576, § 4, as amended] § 3 [a]). The Appellate Division reasoned that since the buildings in question were clearly exempted from the Rent Stabilization Law, they were covered by ETPA. This Court granted DHCR and the intervenors leave to appeal and we now modify the Appellate Division's holding.

Discussion

The New York City Council enacted the RSL in 1969 (Administrative Code § 26-501 *et seq.*). Rent stabilization is now administered by DHCR, which has promulgated the Rent Stabilization Code. The 1969 RSL regulated,

> "Class A multiple dwellings not owned as a cooperative or as a condominium . . . containing six or more dwelling units which:
>
> "(1) were completed after February first, nineteen hundred forty-seven, except dwelling units . . . (b)

> subject to rent regulation under the private housing finance law or any other state law'' (Administrative Code § 26-504 [a] [1] [b]).

In 1971, the State Legislature determined that new construction had essentially come to a standstill and, in response, enacted three statutes designed to limit local rent regulation, two of which are presently relevant: the Vacancy Decontrol Law (VDL) and the Urstadt Law. The VDL exempted from local rent regulation any housing accommodation that became vacant after June 30, 1971 (L 1971, ch 371). The Urstadt Law barred the adoption of more restrictive regulations on housing accommodations that were already subject to rent regulation (L 1971, ch 372, as amended by L 1971, ch 1012 [McKinney's Uncons Laws of NY § 8605]).

In 1974, the State Legislature recognized the need for rent regulation due to a shortage brought on by high demand. It enacted the ETPA (L 1974, ch 576, § 4), amended the VDL so vacancies on or after July 1, 1971 would be subject to the ETPA, and amended the RSL so owners of units brought under stabilization by ETPA could seek initial legal regulated rent adjustments based on ''unique or peculiar'' circumstances (L 1974, ch 576, § 12, adding Administrative Code § YY51-6.0.2 [a] [now § 26-513 (a)]). Section 3 of the ETPA allowed New York City to extend rent stabilization to nonstabilized housing after a determination that an emergency (five percent or less vacancy rate) existed. Section 5 of the ETPA allowed stabilization coverage to ''all or any class or classes of housing accommodations'' with certain exceptions, including rent-controlled apartments for so long as they maintained that status, and apartments in buildings built on or after January 1, 1974. This effectively allowed New York City to bring apartments in buildings of six or more units within New York City's rent stabilization system, including apartments that had been decontrolled under the VDL, were in buildings constructed after 1969 but before January 1, 1974, or became vacant after 1975.

On this appeal, DHCR and intervenor Westgate Tenants Association contend that once KSLM's Mitchell-Lama buildings ceased being subject to the Private Housing Finance Law, they became subject to stabilization by virtue of the RSL of 1969, and that the ETPA does not govern the status of these buildings. If the argument that the 1969 RSL applies prevails, KSLM must apply for an initial legal regulated rent under a hardship standard pursuant to Rent Stabilization Code § 2522.4 (b) and (c), which base "hardship" increases on the relationship between the annual rent and a calculation of either the annual net income or the annual operating expenses of the building, with an increase limit of six percent.

By contrast, KSLM argues that the buildings are not subject to stabilization by virtue of the 1969 RSL but by virtue of the 1974 ETPA and thus are subject to the initial rent adjustment pursuant to RSL § 26-513 (a). If this argument prevails, then, pursuant to section 26-513 (a), KSLM may file an application with DHCR for an adjustment of the initial legal regulated rent. DHCR would then consider the considerable difference between the market rates for apartments located on Manhattan's Upper West Side and current rates in KSLM's buildings.

The issue before us is one of statutory construction and not of deference to DHCR's determination. Where the interpretation of a statute involves specialized "knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom," the courts should defer to the administrative agency's interpretation unless irrational or unreasonable (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]; *see also*, *Matter of Union Indem. Ins. Co. of N.Y.*, 92 NY2d 107, 114-115 [1998]; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42, 47-48 [1988]). By contrast, where, as here, the question is one of pure statutory interpretation "dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency and its interpretive regulations are therefore to be accorded much less weight" (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d at 459).

We reject petitioner's argument that, but for the 1974 ETPA, the 1969 RSL would be inapplicable to all the apartments in its buildings. It is conceded that all the apartments are subject to rent stabilization, but the question is whether they *would have been* subject to rent stabilization if the ETPA had never been passed. These are pre-1969 buildings, which, if they had not been Mitchell-Lama buildings, would have been regulated under the 1969 law, and would not have needed the ETPA to bring them under stabilization. The 1969 law (Administrative Code § 26-504 [a] [1] [b]) exempts multiple dwellings that are "subject to rent regulation under the private housing finance law." We agree with DHCR that a building no longer subject to rent regulation under the Private Housing Finance Law loses its exemption under this statute and becomes subject to rent stabilization. Thus, petitioner's buildings would be subject to rent stabilization under the 1969 law, even if the ETPA had never been enacted.

The 1969 RSL's exception for Mitchell-Lama buildings provides:

> ''[The RSL] shall apply to . . .
>
> ''Class A multiple dwellings not owned as a cooperative or as a condominium . . . containing six or more dwelling units which:
>
> ''(1) were completed after [February 1, 1947], except dwelling units . . . (b) subject to rent regulation under the private housing finance law or any other state law . . .'' (Administrative Code § 26-504 [a] [1] [b]).

KSLM argues that this language shows the Mitchell-Lama units were never subject to the RSL and could therefore never revert to the RSL. We reject this argument. It is clear that it was the intent of the Legislature that Mitchell-Lama buildings remain in the rent stabilization system after Private Housing Finance Law withdrawal (*see Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal*, 87 NY2d 325 [1995] [holding that a building once rent stabilized which lost its cooperative status again became subject to the RSL]). ETPA was enacted to recapture or include within the rent stabilization system housing accommodations that were never rent regulated or that had been decontrolled. The KSLM buildings, built before March 10, 1969, were already under the RSL system when ETPA was enacted. Therefore, ETPA's language did not apply to KSLM buildings apart from the effect of the VDL discussed below.

Rent Stabilization Code § 2520.11 (c), also relied on by the Appellate Division, states: ''[H]ousing accommodations in buildings completed or substantially rehabilitated prior to January 1, 1974, and whose rentals were previously regulated under the PHFL . . . shall become subject to the ETPA, the RSL and this Code, upon the termination of such regulation.'' While this language might be read as implying that former Mitchell-Lama apartments are ''made subject to'' rent stabilization by the ETPA, we conclude that it means simply that those apartments are ''subject to'' whatever provisions of ETPA, the RSL and the Code are applicable by their terms. In evaluating the Code provision, we must bear in mind that it is only a regulation, and can only interpret the statute. In other words, the pre-ETPA version of the RSL was applicable to former Mitchell-Lama buildings built before 1969 and the Code cannot change that.

KSLM argues that the Urstadt Law, passed in 1971, would prevent former Mitchell-Lama apartments from reverting to rent stabilization—i.e., that no such reversion could take place if the ETPA did not exist. The Urstadt Law says that ‘‘no local law or ordinance shall *hereafter* provide for the regulation and control of residential rents and eviction in respect of any housing accommodations which are . . . presently exempt from such regulation and control . . . .’’ (Emphasis added.) It also says that ‘‘[n]o housing accommodations presently subject to regulation and control pursuant to local laws or ordinances . . . shall *hereafter* be by local law or ordinance . . . subjected to more stringent or restrictive provisions of regulation and control than those presently in effect.’’ (Emphasis added.) The Urstadt Law was intended to prevent any new tightening of rent regulation after 1971, not to prevent the expiration of an exemption from rent stabilization that was already in existence in 1969.

At the time of the Urstadt Law’s enactment, the RSL was the default rent stabilization regulatory scheme. Halting its application to exempt units whose expirations were certain to occur would read too much into the Urstadt Law in that the Legislature was attempting to end rent stabilization in New York City. This simply was not the case. This Court has explained before that the objective of the Urstadt Law was to limit the fear of ‘‘more stringent control [to] encourage owners to invest in the maintenance and improvement of existing housing units and thereby help to stem the tide of abandonment of sound buildings in the City’’ (*City of New York v New York State Div. of Hous. & Community Renewal*, 97 NY2d 216, 226 [2001], quoting *Mayer v City Rent Agency*, 46 NY2d 139, 150 [1978]). Therefore, we reject KSLM’s argument that the enactment of the Urstadt Law prevented the RSL’s application once the Private Housing Finance Law exemption ended.

KSLM argues, in the alternative, that at least as to apartments that became vacant on or after July 1, 1971, the 1969 RSL is inapplicable. The VDL, effective June 30, 1971, provided simply: ‘‘housing accommodations which become vacant shall be exempt from regulations and control . . .’’ (L 1971, ch 371, § 6). But for the ETPA, that would still be the law today, and would apply to former Mitchell-Lama apartments that were vacated after the VDL’s effective date. A 1974 amendment changed the language to read ‘‘housing accommodations which became vacant on or after July first, nineteen hundred seventy-one or which hereafter become vacant shall be subject to the provisions of the emergency tenant protection act of nineteen [hundred] seventy-four.’’ (L 1974, ch 576, § 2.) The apartments described in that section are ‘‘made subject to’’ rent stabilization by the ETPA. Thus, RSL § 26-513 (a) applies to those apartments.

The Appellate Division cites *Matter of Zeitlin v New York City Conciliation & Appeals Bd.* (46 NY2d 992 [1979]), where we held that an apartment originally exempted from prior city rent control provisions was subject to the ETPA, as being particularly instructive. The present case is distinguishable from *Zeitlin* where the prior local provision exempted the housing accommodation from rent control and the tenant argued the unit was therefore subject to the ETPA. We agreed with the tenant that ETPA coverage immediately attached. The apartment in *Zeitlin*, however, was precisely the type of unit the State Legislature wanted included in the rent stabilization system. Since the choice was between no regulation and the ETPA, this Court chose to follow the intent of the State Legislature and the City Council that such an accommodation be regulated. In the present case, the choice is between the RSL, which would have governed the Private Housing Finance Law unit upon withdrawal in the absence of the VDL, and the ETPA, which sought to reverse decontrol legislation and bring more units into the system. The RSL was applicable to KSLM apartments that were inhabited between 1968 and the 1971 enactment of the VDL because it was the purpose of the RSL to regulate such housing.

DHCR concedes that the amended VDL subjects to ETPA coverage all KSLM apartments that became vacant after dissolution in 1998. DHCR maintains, however, that the RSL was suspended between 1971 and 1974 due to the Private Housing Finance Law. Therefore, decontrol did not apply. This argument is inconsistent with DHCR’s other argument that the RSL applied to KSLM’s apartments from the time of its enactment. We agree with the Appellate Division that it is inherently contradictory to argue KSLM apartments are currently ‘‘subject to RSL jurisdiction to the exclusion of ETPA jurisdiction, but not subject to the RSL for the purposes of vacancy deregulation’’ (*Matter of KSLM-Columbus Apts. v New York State Div. of Hous. & Community Renewal, supra*, 6 AD3d at 39). Therefore, we conclude that the KSLM apartments vacated on or after July 1, 1971 are subject to the ETPA and that as to those apartments pursuant to RSL § 26-513 (a), KSLM may apply to DHCR for "unique or peculiar" rent adjustments.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order modified, etc.

[835 NE2d 650, 801 NYS2d 790]

In the Matter of JEFFREY H. MICHAELIS, M.D., Appellant, v DENNIS J. GRAZIANO, as Director of the Office of Professional Medical Conduct, et al., Respondents.

Argued June 1, 2005; decided June 30, 2005

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 14, 2004. The Appellate Division, with two Justices dissenting, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Lewis Bart Stone, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition to annul an order of respondent Director of the Office of Professional Medical Conduct for a comprehensive medical review of petitioner's patient and office records, (2) granted respondents' cross motion for an order directing petitioner to comply with the comprehensive review order, and (3) directed petitioner to turn over all patient records and office records requested and cooperate with respondents' investigation.

Michaelis v Graziano, 14 AD3d 180, affirmed.

HEADNOTES

Physicians and Surgeons — Disciplinary Proceedings — Comprehensive Medical Review Order

1. The Office of Professional Medical Conduct (OPMC) was not required to issue a subpoena in order to undertake a comprehensive medical review (CMR) of a doctor's records. In connection with the investigation of a complaint regarding petitioner physician's care of a patient, the OPMC Director had authority to compel a CMR. Public Health Law § 230 (10) (a) (iv) (A) gives OPMC specific statutory authority to conduct a review of a physician's records. This power is in addition to the authority set forth in the section, including the power of the Executive Secretary of the State Board for Professional Medical Conduct to issue subpoenas (Public Health Law § 230 [10] [k]). Further, the statute provided petitioner with the opportunity for judicial review of OPMC's CMR order (*see* Public Health Law § 230 [10] [*o*]). OPMC was not required to divulge the nature of any new issues identified subsequent to its interview with petitioner before issuing the CMR order (*see* Public Health Law § 230 [10] [a] [iii]).

Administrative Law — Judicial Review — Use of In Camera Material

2. In a CPLR article 78 proceeding seeking to annul an order of the Director of the Office of Professional Medical Conduct (OPMC) directing a comprehensive medical review of petitioner physician's patient and office records, while

much of the information contained in an in camera affidavit submitted to Supreme Court was properly withheld from petitioner because it involved confidential aspects of OPMC's investigation, some of the material—notably OPMC's description of its communications with petitioner himself—should not have been submitted in camera. However, because no information in the latter category was material to the court's decision, any error in allowing material to be submitted without notice was harmless.

Physicians and Surgeons — Disciplinary Proceedings

3. In connection with the investigation of a complaint regarding petitioner physician's care of a patient, the Office of Professional Medical Conduct erred in notifying petitioner that his failure to comply with an order directing a comprehensive medical review of his patient and office records would itself constitute professional misconduct and result in prosecution. Education Law § 6530 (15), in defining misconduct, makes an exception for a timely good faith failure to comply due to a dispute over the availability, scope or necessity of records requested.

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AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 65–70, 89, 96, 97, 102–104.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1247, 145:1248.

McKINNEY'S, Education Law § 6530 (15); Public Health Law § 230 (10).

NY JUR 2d, Physicians, Surgeons, and Other Healers §§ 72, 73, 76.

ANNOTATION REFERENCE

See ALR Index under Discipline and Disciplinary Actions; Disclosure; Physicians and Surgeons; Subpoena.

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POINTS OF COUNSEL

Rende, Ryan & Downes, LLP, White Plains (*Roland T. Koke* of counsel), for appellant. I. The Office of Professional Medical Conduct does not have distinct inspection rights under a comprehensive medical review order, other than ordinary subpoena power. (*Matter of Shankman v Axelrod,* 73 NY2d 203; *Tanner v Dr. A.,* 228 AD2d 238; *Matter of Levin v Murawski,* 59 NY2d 35.) II. The comprehensive medical review ''procedure'' denies appellant due process. (*Matter of Caselnova v New York State Dept. of Health,* 91 NY2d 441; *Matter of Ostad v New York*

State Dept. of Health, 309 AD2d 989; *Matter of Daniels v Novello,* 306 AD2d 644.) III. Alternatively, the comprehensive medical review order is without factual basis and not demonstrably relevant to the investigation. (*Matter of Levin v Murawski,* 59 NY2d 35; *Matter of Levin v Guest,* 112 AD2d 830; *Matter of A-85-04-38,* 138 Misc 2d 786; *Dombroff v State Bd. for Professional Med. Conduct,* 131 Misc 2d 472; *Matter of BU-90-09-2400,* 184 AD2d 1028.) IV. The lower court improperly relied upon an in camera affidavit to resolve legal issues in dispute. (*Matter of Levin v Murawski,* 59 NY2d 35; *Matter of Levin v Guest,* 112 AD2d 830; *Matter of McBarnette v Sobol,* 83 NY2d 333.) V. Respondents should be compelled to give appellant written notice of the issues identified for investigation as required by statute.

Eliot Spitzer, Attorney General, New York City (*Shaifali Puri, Caitlin Halligan* and *Daniel Smirlock* of counsel), for respondents. I. Prohibition is not available to thwart the Office of Professional Medical Conduct's statutorily-authorized order issued in furtherance of the preliminary investigation into the complaint of misconduct against Jeffrey H. Michaelis, M.D. (*Matter of Doe v Axelrod,* 71 NY2d 484; *Matter of Rush v Mordue,* 68 NY2d 348; *Matter of Pirro v Angiolillo,* 89 NY2d 351; *Sega v State of New York,* 60 NY2d 183; *Matter of Town of Huntington v New York State Div. of Human Rights,* 82 NY2d 783; *Matter of Schumer v Holtzman,* 60 NY2d 46; *Matter of McGinley v Hynes,* 51 NY2d 116; *Matter of Lombardo v DeBuono,* 233 AD2d 789.) II. The Legislature expressly authorized the Director of the Office of Professional Medical Conduct to order a comprehensive medical review and did not condition that power on the issuance of a subpoena by the Executive Secretary of the Board for Professional Medical Conduct. (*Rangolan v County of Nassau,* 96 NY2d 42; *Matter of Theroux v Reilly,* 1 NY3d 232; *Matter of Shankman v Axelrod,* 73 NY2d 203; *Matter of Levin v Murawski,* 59 NY2d 35; *Tanner v Dr. A.,* 228 AD2d 238; *Matter of Ostad v New York State Dept. of Health,* 309 AD2d 989; *Matter of Daniels v Novello,* 306 AD2d 644.) III. The procedure for issuing a comprehensive medical review order pursuant to Public Health Law § 230 (10) (a) (iv) comports with due process. (*People v David W.,* 95 NY2d 130; *Matter of New York State Commn. on Jud. Conduct v Doe,* 61 NY2d 56; *Matter of Bell v New York State Dept. of Health,* 291 AD2d 744; *Matter of Daniels v Novello,* 306 AD2d 644; *Matter of Ostad v New York State Dept. of Health,* 309 AD2d 989; *Locurto v Safir,* 264 F3d 154.) IV. The in camera review of the Office of Professional

Medical Conduct's submissions to support the comprehensive medical review order was proper, and those submissions demonstrate the reasonable basis for the order and the relevance of the documents requested. (*Matter of McBarnette v Sobol,* 83 NY2d 333; *Matter of Levin v Guest,* 112 AD2d 830, 67 NY2d 629, 476 US 1171; *Tanner v Dr. A.,* 228 AD2d 238; *Atkins v Guest,* 201 AD2d 411; *Matter of Levin v Murawski,* 59 NY2d 35.)

OPINION OF THE COURT

G.B. SMITH, J.

The central issue on appeal is whether the Office of Professional Medical Conduct (OPMC) was required to issue a subpoena in order to undertake a comprehensive medical review (CMR) of a doctor's records. We conclude that a subpoena was not required.

OPMC, a branch of the Department of Health responsible for investigating and monitoring misconduct, began an investigation of petitioner, Dr. Jeffrey Michaelis, pursuant to Public Health Law § 230 on October 19, 2001, after receiving a complaint regarding petitioner's care of a patient. On October 31, OPMC notified petitioner that it was investigating his medical practice, and ''[t]he issue under investigation is the care and treatment rendered to [the patient].'' During the investigation, OPMC conducted an interview of petitioner on November 28, 2001 pursuant to Public Health Law § 230 (10) (a) (iii).

On August 9, 2002, OPMC informed petitioner, in a letter, that evidence existed of a pattern of inappropriate medical practice and that a CMR of petitioner's patient records would be conducted. The letter notified petitioner that an OPMC staff person would come to his office on a scheduled date to select for copying a number of patient records and such other office records as related to the issues being reviewed. The letter also warned,

> ''Any failure by you to comply with the order would constitute professional misconduct as defined in N.Y. Education Law § 6530 (15) and will result in a recommendation of prosecution for such misconduct. In addition, you may be subject to an enforcement proceeding, in New York State Supreme Court, pursuant to Public Health Law 230 (10) (o) (ii).''

Petitioner challenged the CMR order in a CPLR article 78 proceeding. Supreme Court denied petitioner's claims and a divided Appellate Division affirmed. The two dissenting Justices maintained that, although OPMC had the authority to issue a CMR order, section 230 (10) (a) (iv) did not expressly indicate the process by which records should be made available. They reasoned that section 230 (10) (k), however, did provide for the issuance of subpoenas by the Executive Secretary of the State Board for Professional Medical Conduct upon approval of the committee and this section should govern OPMC's ability to conduct a CMR. Petitioner appeals as of right pursuant to CPLR 5601 (a). We now affirm.

[1] We first address petitioner's argument that the OPMC Director lacked authority to compel a CMR. Section 230 of the Public Health Law governs proceedings involving professional medical misconduct. According to Public Health Law § 230 (10) (a) (iv) (A), when the Director of the OPMC determines, after consultation with an investigation committee, that ''evidence exists of a single incident of negligence or incompetence, a pattern of inappropriate prescribing or medical practice . . . the director, in addition to the authority set forth in this section, shall be authorized to conduct a [CMR] of patient records . . . and such office records of the licensee . . . related to said determination.'' This subparagraph gives OPMC specific statutory authority to conduct a review of petitioner's records. The power, moreover, is *in addition to* the authority set forth in the section, including the power of the Executive Secretary to issue subpoenas (Public Health Law § 230 [10] [k]).[1]

The subpoena power authorized in Public Health Law § 230 (10) (k) is thus separate and distinct from the Director's authority to issue a CMR order under section 230 (10) (a) (iv) (A). It involves the Executive Secretary, not the Director, and does not necessarily relate to a preliminary investigation of a licensee, as a CMR does.

Petitioner's reliance on *Matter of Shankman v Axelrod* (73 NY2d 203 [1989]) is misplaced. *Shankman* involved OPMC's issuance of an ex parte ''inspection'' warrant after it had obtained

1. Public Health Law § 230 (10) (k) states:
''The executive secretary of the board with the specific approval of a committee on professional conduct of the board shall have the power to issue subpoenas requiring persons to appear before the board and be examined with reference to a matter within the scope of the inquiry or the investigation being conducted by the board and produce books, papers, records or documents pertaining thereto.''

authorization to serve a subpoena duces tecum pursuant to Public Health Law § 230 (10) (k) but failed to do so. The inspection warrant gave OPMC the right to inspect premises, question patients and remove records. This Court reasoned that, since OPMC had been expressly given the power to issue subpoenas and had not been given such ex parte ''inspection'' warrant right either by statute or inference, OPMC had no such power. In the present case, however, OPMC has specific statutory authority to issue a CMR order through Public Health Law § 230 (10) (a) (iv). There is no subpoena requirement that should be inferred in this statute. Reading Public Health Law § 230 (10) (a) (iv) in such a manner would inhibit OPMC's ability to investigate through a CMR, authority the Legislature intended OPMC to have.[2]

Further, the statute provided petitioner with the opportunity for judicial review of OPMC's CMR order. Public Health Law § 230 (10) (*o*) provides:

> ''Where the director has issued an order for a comprehensive medical review of patient records and office records . . . and the licensee has refused to comply with the director's order, the director may apply to a justice of the supreme court, in writing, on notice to the licensee, for a court order to compel compliance with the director's order.''

Supreme Court shall not compel compliance unless it finds ''(i) there was a reasonable basis for issuance of the director's order and (ii) there is reasonable cause to believe that the records sought are relevant to the director's order. The court may deny the application or grant the application in whole or in part.''

Accordingly, when a physician refuses in good faith to comply with a CMR order (as petitioner did in this case), OPMC can seek an order compelling compliance pursuant to Public Health Law § 230 (10) (*o*). When a physician makes a good faith objection to the CMR, OPMC will not be able to charge a physician with misconduct arising from the failure to comply with the CMR order unless it has first established the propriety of the CMR in a section 230 (10) (*o*) proceeding (and then only if the

2. *See* Governor's Program Bill Mem, at 3, Bill Jacket, L 1986, ch 266 (stating section 230 [10] [a] [iv] was enacted to ''broaden the investigative authority of the [OPMC]''); Letter from State Dept of Health, July 7, 1986, at 2, Bill Jacket, L 1986, ch 266 (stating that the amendments would ''enhance the State's ability to identify incompetent physicians and monitor their compliance with conditions for continued practice'').

physician continues to refuse to comply). Since the physician has an opportunity to be heard at the section 230 (10) (*o*) proceeding, his or her due process rights are not violated. The good faith exception, coupled with the opportunity for judicial review accorded by Public Health Law § 230 (10) (*o*), are sufficient to protect the physician's rights, as the facts of this case indicate. Upon petitioner's refusal to comply with the CMR order, OPMC cross-moved to enforce the CMR order under section 230 (10) (*o*). Both courts below held that OPMC established the reasonableness and relevance of the CMR order, a conclusion with which we agree.

Petitioner additionally claims that OPMC was required to divulge the nature of any new issues identified subsequent to the interview before issuing a CMR order. We disagree. Public Health Law § 230 (10) (a) (iii) states, ''The licensee shall be given written notice of issues identified subsequent to the interview. The licensee may submit written comments or expert opinion to the office of professional medical conduct at any time.'' This language is designed to protect a licensee's right to respond to substantive allegations. It does not signify that OPMC had an obligation to divulge reasons in order to carry out a CMR. Petitioner was entitled to notice of any ''issues identified'' before charges relating to those issues were brought, but not before producing documents in connection with a CMR.

[2] Petitioner claims that Supreme Court erroneously relied on an in camera affidavit, denying him an opportunity to respond fully to allegations charged within, and thereby denying him due process. This Court has stated, ''If the issuing agency demonstrates the delicacy of a particular investigation or the risk of and consequences attendant on premature disclosure, it may be appropriate to take proof of the threshold foundation *in camera*'' (*Matter of Levin v Murawski*, 59 NY2d 35, 42 n 4 [1983]). We agree with petitioner that the use of in camera submissions should be limited. Here, while much of the material contained in the in camera affidavit was properly withheld from petitioner, because it involved confidential aspects of the OPMC's investigation, some of the material—notably OPMC's description of its communications with petitioner himself—should not have been submitted in camera. It is clear, however, that no information in the latter category was material to the decision here, so any error in allowing material to be submitted without notice was harmless.

[3] Finally, we underscore that OPMC's letter of August 9, 2002 was inaccurate in stating that a physician's failure to comply would itself constitute professional misconduct and result in prosecution. Education Law § 6530 (15) defines as misconduct, "Failure to comply with an order issued pursuant to subdivision seven, paragraph (a) of subdivision ten, and subdivision seventeen of section two hundred thirty of the public health law." This language makes an exception for a timely good faith failure to comply due to a dispute over the availability, scope or necessity of records requested.

Petitioner's remaining claims are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[836 NE2d 528, 802 NYS2d 642]

In the Matter of David Gross.

Decided September 21, 2005

SUMMARY

Consideration, by the Court of Appeals, on its own motion pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44 (8) of whether Honorable David Gross should be suspended with pay from the office of Judge of the Nassau County District Court, Tenth Judicial District.

HEADNOTE

Judges — Suspension from Office

Upon consideration by the Court of Appeals on its own motion, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44 (8), it was determined that a District Court Judge who was administratively removed from the performance of his judicial duties due to his arrest on federal money-laundering charges, was suspended, with pay (*see* Judiciary Law § 44 [8] [c]), effective immediately. The Court's general practice has been to suspend with pay, unless the charged misconduct is directly connected with performance of the judicial office.

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Am Jur 2d, Judges §§ 14, 12.
Carmody-Wait 2d, Officers of Court §§ 3:119, 3:135.
McKinney's, Judiciary Law § 44 (8); NY Const, art VI § 22.
NY Jur 2d, Courts and Judges §§ 383, 460, 461.

ANNOTATION REFERENCE

Power of court to remove or suspend judge. 53 ALR3d 882.

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APPEARANCES OF COUNSEL

Law Office of John F. Carman, Garden City (*John F. Carman* and *James E. Neuman* of counsel), for David Gross.

OPINION OF THE COURT

Per Curiam.

After arrest on federal money-laundering charges, Judge David Gross was administratively removed from the performance of his judicial duties by the Chief Administrative Judge, pending consideration of his suspension by this Court. Judge Gross's suspension is uncontested; the only issue before us is whether his suspension will be with or without pay.

Section 44 (8) (c) of the Judiciary Law prescribes that a "judge or justice who is suspended from office by the court shall receive his judicial salary during such period of suspension, unless the court directs otherwise." The statute creates a presumption in favor of suspension with pay, corresponding to the presumption of innocence that is basic to our justice system. In applying the statute in the context of pending criminal charges lodged against a judge, we must consider the statutory presumption as well as the issues of propriety and public confidence that arise when a judge is accused of wrongdoing. In this situation, the Court's general practice—to which we conform today—has been to suspend with pay, unless the charged misconduct is directly connected with performance of the judicial office (*e.g. Matter of Garson*, 100 NY2d 533 [2003]). Should later information or other circumstances warrant, we may convert the suspension to one without pay (*e.g. Matter of Brennan*, 65 NY2d 564 [1985]).

Accordingly, it is the determination of the Court that Judge David Gross be suspended with pay, effective immediately.

Chief Judge Kaye and Judges G.B. Smith, Ciparick, Rosenblatt, Graffeo, Read and R.S. Smith concur in per curiam opinion.

On the Court's own motion, it is determined that Honorable David Gross is suspended, with pay, effective immediately, from the office of Judge of the Nassau County District Court, Tenth Judicial District, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44 (8).

[840 NE2d 68, 806 NYS2d 99]

CONSUMERS UNION OF U.S., INC., et al., Appellants-Respondents, v STATE OF NEW YORK et al., Respondents-Appellants, and THE CHARITABLE ASSET FOUNDATION, Appellant, et al., Respondents.

Argued April 26, 2005; decided June 20, 2005

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 20, 2004. The Appellate Division affirmed (1) an order of the Supreme Court, New York County (Ira Gammerman, J.), which had granted defendants' motion pursuant to CPLR 3211 and dismissed the complaint insofar as brought by plaintiffs Multiple Sclerosis Society, New York City Chapter, Housing Works, Inc., Disabled in Action of Metropolitan New York, and New York Statewide Senior Action Council, Inc. for lack of standing and, otherwise, for failure to state a cause of action, with leave to the remaining plaintiffs to serve an amended complaint within 30 days, and (2) an order of that Supreme Court which had denied defendants' motions to dismiss the amended complaint, except insofar as it asserted claims against individual members of the board of directors of defendant Empire HealthChoice, Inc., as to whom the amended complaint was dismissed. The following question was certified by the Appellate Division: ''Was the decision and order of this Court, which affirmed the orders of the Supreme Court, properly made?''

Consumers Union of U.S., Inc. v State of New York, 7 AD3d 416, modified.

HEADNOTES

Parties — Standing — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Violation of Fiduciary Duties and Not-For-Profit Corporation Law

1. In an action challenging the validity of legislation that authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, plaintiffs, subscribers to defendant's health plans and certain organizations, were not within any of the classes of parties authorized by the Not-For-Profit Corporation Law to challenge the conduct of defendant's Board (*see* N-PCL 720 [b]), nor could they rely on *Alco Gravure, Inc. v Knapp Found.* (64 NY2d 458 [1985]) for standing to press their claims that defendant's Board of Directors violated fiduciary duties and

the Not-For-Profit Corporation Law. The mission ascribed to defendant by plaintiffs—"high quality, affordable care for as much of the population as possible"—inures to the public as a whole, not to a "particular group of people" with a "special interest in the funds held for a charitable purpose."

Parties — Standing — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Taxpayer Standing — Violation of Individual Constitutional Rights

2. In an action challenging the validity of legislation that authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, plaintiffs, subscribers to defendant's health plans and certain organizations, did not have taxpayer-based standing to enforce alleged violations of their individual constitutional rights as they did not complain that public funds had been misused. Nor was standing available to them under *Alco Gravure, Inc. v Knapp Found.* (64 NY2d 458 [1985]) because their constitutional claims were directed not at the not-for-profit corporation, but at the subject legislation and the government's alleged violation of their constitutional rights. Standing to assert those claims was completely intertwined with the nature of the rights supposedly violated.

Parties — Standing — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Violation of Property Right

3. In an action challenging the validity of legislation that authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, plaintiffs, either as subscribers to defendant's health plans or as members of the public as a whole, did not have an enforceable "property interest" in the value of defendant's assets or in the dedication of those assets to defendant's mission sufficient to confer standing.

Parties — Standing — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Injury in Fact

4. In an action challenging the validity of legislation that authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, plaintiffs, subscribers to defendant's health plans, did not establish injury in fact on account of an anticipated increase in their premiums or reduction in benefits sufficient to confer standing. This supposed injury was flatly contradicted in the final determination of the Superintendent of Insurance approving defendant's conversion plan, and plaintiffs did not challenge that aspect of his determination. Even assuming injury in fact, plaintiffs did not link that purported injury (i.e., increased premiums and/or reduced benefits) to the wrong that they sought to redress—the Legislature's neglect to "dedicat[e] . . . [defendant's] assets to its charitable mission"—or the "principal remedy" that they sought to right that supposed wrong—implementation of defendant's original restructuring plan (i.e., directing 100% of defendant's value to a tax-exempt charitable foundation).

Parties — Standing — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Special Interest Factors

5. In an action challenging the validity of chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services

corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, plaintiffs, subscribers to defendant's health plans, had standing solely for purposes of protecting defendant's not-for-profit assets. Chapter 1 disabled both the Attorney General, the traditional guardian of the public interest and trusts beneficiaries, and defendant's Board of Directors, which had a duty of obedience to honor defendant's not-for-profit mission, from fulfilling their customary roles. These special interest factors justified relaxation of the usual rules of standing in this case where a charitable interest was involved (*see Alco Gravure, Inc. v Knapp Found.*, 64 NY2d 458 [1985]). While plaintiffs were not true beneficiaries, as subscribers they benefitted from whatever vestiges remained from defendant's traditional role as the ''insurer of last resort'' for those New Yorkers otherwise unable to obtain needed health care. Nor could the monetary issues at stake be ignored.

Constitutional Law — Taking of Property — Exaction — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Use of Insurer's Assets for Public Health and Charitable Purposes

6. Chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, did not constitute an illegal taking of defendant's private property by effecting an exaction in violation of NY Constitution, article I, § 7 and US Constitution Fifth Amendment. Exactions are land-use decisions conditioning approval of development on the dedication of property to public use. An exaction is an unconstitutional taking if the condition lacks an ''essential nexus'' with the state interest for which it is imposed, and is not ''roughly proportional'' to the impact of the proposed development. While plaintiffs contended that Chapter 1 imposed an exaction on defendant because conversion was conditioned upon defendant's dedication of its not-for-profit assets to legislatively articulated public and charitable purposes, the exaction analysis will not be extended beyond the realm of land-use regulation. In any event, Chapter 1 passed both the ''essential nexus'' and ''rough proportionality'' tests.

Constitutional Law — Taking of Property — Regulatory Taking — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Use of Insurer's Assets for Public Health and Charitable Purposes

7. Chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, did not constitute an illegal taking of defendant's private property by effecting a regulatory taking in violation of NY Constitution, article I, § 7 and US Constitution Fifth Amendment. Governmental regulation of private property effects a taking if it is so onerous that its effect is tantamount to a direct appropriation or ouster. The compulsion normally present in takings claims was not present since Chapter 1 did not compel defendant to convert. Any duress stemmed from defendant's inability to prosper as a not-for-profit organization, not from pressure exerted by the State. In any event, Chapter 1 did not unduly interfere with defendant's legitimate property interests. The dedication of conversion assets to support public health programs and to recruit and retain health care workers was consistent with defendant's historic mission. Since defendant's Board of Directors

determined that the most feasible way of continuing as a provider of health insurance in New York was through restructuring, it could not be said that Chapter 1's dedication of defendant's not-for-profit assets to public health purposes unduly interfered with defendant's legitimate property interests or "investment-backed expectations."

Constitutional Law — Taking of Property — Per Se Taking — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Use of Insurer's Assets for Public Health and Charitable Purposes

8. Chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, did not constitute an illegal taking of defendant's private property by effecting a per se taking in violation of NY Constitution, article I, § 7 and US Constitution Fifth Amendment. Plaintiffs' claim that the transfer of the stock sale's proceeds to the public asset fund would be a direct physical invasion of defendant's property was without merit. There can be no direct physical invasion where a corporation voluntarily elects to proceed under a statute allowing it to convert from a financially distressed not-for-profit to a new for-profit entity.

Constitutional Law — Due Process of Law — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation

9. Chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, did not deprive defendant of its property interests without due process of law, in violation of NY Constitution, article I, § 6 and US Constitution Fifth Amendment. Although plaintiffs contended that Chapter 1's procedural safeguards did not encompass any input from the public, the Attorney General or Supreme Court into how defendant's not-for-profit assets were to be deployed, Chapter 1 provided defendant with process and plaintiffs with a remedy to grieve many of the determinations of the Superintendent of Insurance. Defendant had to choose to proceed with the conversion; public hearings were required; the Superintendent could only approve the conversion if he determined that it would not adversely affect defendant's subscribers or the delivery of health care benefits and services; and finally, if plaintiffs took issue with the Superintendent's approval of the plan, they had the right to challenge it in a CPLR article 78 proceeding.

Constitutional Law — Contract Clause — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation

10. Chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, did not violate US Constitution, article I, § 10, which barred the states from enacting legislation impairing the obligation of contracts, or NY Constitution, article I, § 6, pursuant to which the State may not deprive a party to a contract of an essential contractual attribute without due process of law. Defendant's certificate of incorporation (COI) was not a contract. There was no indication that the Legislature, in enacting the Not-For-Profit Corporation Law, intended to make the COI a binding

contract between not-for-profit corporations and the public. Chapter 1 did not impair the COI, nor did it change the COI. Actions by defendant and the Superintendent of Insurance changed the COI. Moreover, plaintiffs did not challenge the only ''impairment'' that resulted from Chapter 1, namely, defendant's conversion from not-for-profit to for-profit status. As a not-for-profit corporation, defendant was bound to carry out its not-for-profit purposes, but these purposes did not constitute a contract that Chapter 1 impaired.

Corporations — Not-For-Profit Corporation — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Breach of Fiduciary Duty

11. Chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, superseded all inconsistent common-law and statutory duties (Insurance Law § 7317 [f] [ii]). Accordingly, plaintiffs' contentions that the conversion was required to follow the procedures in N-PCL 510 and 511, and that defendant's Board of Directors breached its fiduciary duty by deciding to convert, were rejected. In any event, the business judgment rule barred plaintiffs' claims. Plaintiffs' objection to action occurring before Chapter 1 was enacted was without merit because the plan of conversion was, in the Board's judgment, necessary to safeguard defendant's continued viability.

Constitutional Law — Privileges and Immunities Clause — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation

12. Chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, did not violate NY Constitution, article III, § 17, which prohibits the Legislature from adopting a ''private or local bill'' ''[g]ranting to any corporation . . . any exclusive privilege, immunity or franchise whatever.'' For a bill to offend article III, § 17, it must be directed at a single entity and it must confer a privilege upon the single entity to the exclusion of all others. Although Chapter 1 is a ''private or local bill'' because it applies only to defendant, Chapter 1 does not confer an exclusive privilege because it does not authorize defendant to prevent others from seeking to convert under similar parameters, or promise defendant that other not-for-profits will not be granted similar rights. Chapter 1 only grants defendant the right to operate as a for-profit insurer, a right that numerous other insurers currently enjoy in New York, and which others may receive upon application to the Superintendent of Insurance.

Corporations — Not-For-Profit Corporation — Conversion of Health Services Corporation from Not-For-Profit to For-Profit Corporation — Use of Not-For-Profit Assets

13. Plaintiff's challenge to chapter 1 of the Laws of 2002 (Chapter 1), which authorized the conversion of defendant health services corporation from a not-for-profit to a for-profit corporation and directed that certain of defendant's assets be used for public health and charitable purposes, was rejected. The Legislature properly directed that defendant's not-for-profit assets be used for funding the recruitment and retention of health care workers. Defendant's mission is to promote affordable and accessible health care coverage. Fidelity

to this purpose did not mandate creation of a charitable foundation devoted to health care funded by the entirety of defendant's not-for-profit assets, nor did it compel neglecting the needs of New York's hospitals. The hospitals and defendant have always played mutually supportive roles in New York's interrelated and complex health care delivery system. Specific programs to be funded with conversion proceeds benefit the uninsured or the underinsured. Chapter 1 designates a range of public health-related uses that fall comfortably within a reasonable interpretation of defendant's historic not-for-profit mission.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Constitutional Law §§ 139, 142–145, 155, 160, 581–588, 594–599, 726–731, 734, 752, 760–762, 874, 875, 890, 894, 899, 902, 905–910; Am Jur 2d, Corporations § 33; Am Jur 2d, Eminent Domain §§ 11, 15, 95; Am Jur 2d, Insurance § 31; Am Jur 2d, Taxpayers' Actions §§ 6, 7, 10.

Carmody-Wait 2d, Parties §§ 19:9, 19:12; Carmody-Wait 2d, Eminent Domain §§ 108:1, 108:5–108:10, 108:17, 108:18, 108:23; Carmody-Wait 2d, Taxpayers' Actions §§ 128:1–128:5.

McKinney's, Insurance Law § 7317 (f) (ii); N–PCL §§ 510, 511, 720 (b); NY Const, art I, §§ 6, 7; art III, § 17.

NY Jur 2d, Business Relationships § 1194; NY Jur 2d, Charities § 84; NY Jur 2d, Constitutional Law §§ 305–325, 327, 381, 387, 422–425; NY Jur 2d, Eminent Domain §§ 5, 6, 21, 34, 78, 80, 81, 93.5; NY Jur 2d, Insurance §§ 272, 274.5; NY Jur 2d, Parties §§ 12, 13, 15, 17.

Siegel, NY Prac § 136.

US Const, art I, § 10; 5th Amend.

ANNOTATION REFERENCE

See ALR Index under Constitutional Law; Due Process; Eminent Domain; Impairment of Contracts; Insurance and Insurance Companies; Nonprofit Organizations; Parties; Taxpayers' Actions.

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POINTS OF COUNSEL

Law Office of Mark Scherzer, New York City (*Mark Scherzer* and *A. Christopher Wieber* of counsel), for appellants-respondents. I. Plaintiffs' allegations state a takings claim.

(*Cranley v National Life Ins. Co. of Vt.,* 318 F3d 105; *Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner,* 96 NY2d 300; *Leon v Martinez,* 84 NY2d 83; *Rovello v Orofino Realty Co.,* 40 NY2d 633; *Ullmann v Norma Kamali, Inc.,* 207 AD2d 691; *Philip Morris, Inc. v Harshbarger,* 159 F3d 670; *Meriden Trust & Safe Deposit Co. v Federal Deposit Ins. Corp.,* 62 F3d 449; *Garelick v Sullivan,* 987 F2d 913, *cert denied sub nom. Garelick v Shalala,* 510 US 821; *Allied Structural Steel Co. v Spannaus,* 438 US 234; *Chicago, B. & Q. R. Co. v Chicago,* 166 US 226.) II. Plaintiffs adequately alleged a due process claim. (*Niagara Recycling v Town of Niagara,* 83 AD2d 316; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York,* 940 F2d 766, 502 US 1058; *Burtnieks v City of New York,* 716 F2d 982.) III. Plaintiffs adequately allege an impairment of contract claim. (*Trustees of Dartmouth Coll. v Woodward,* 4 Wheat [17 US] 518; *Pennsylvania R.R. Co. v State of New York,* 15 AD2d 269; *Matter of Mount Sinai Hosp.,* 250 NY 103.) IV. Plaintiffs' 42 USC § 1983 claims survive with its constitutional claims (fifth cause of action). V. Plaintiffs have adequately alleged Not-For-Profit Corporation Law, breach of fiduciary duty and constructive trusts claims (sixth, seventh and eighth causes of action). (*Henness v Hunt,* 272 AD2d 756.) VI. Plaintiffs state a claim that the legislation violates article III, § 17 of the New York Constitution. (*Matter of New York El. R.R. Co.,* 70 NY 327; *Matter of Union Ferry Co. of Brooklyn,* 98 NY 139; *Matter of Decker v Pouvailsmith Corp.,* 252 NY 1; *19th St. Assoc. v State of New York,* 172 AD2d 380, 79 NY2d 434; *People v Giordano,* 87 NY2d 441; *Bush Term. Co. v City of New York,* 152 Misc 144; *Hermitage Co. v Goldfogle,* 204 App Div 710, 236 NY 554; *Smith v Government of Virgin Islands,* 375 F2d 714; *Matter of Gilbert El. Ry. Co. v Kobbe,* 70 NY 361; *Matter of Mayor of N.Y. [Elm St.],* 246 NY 72.) VII. Plaintiffs' election not to seek a preliminary injunction against the conversion does not entitle defendants to dismissal of the amended complaint. (*Nassau Trust Co. v Montrose Concrete Prods. Corp.,* 56 NY2d 175; *Besicorp Group v Enowitz,* 235 AD2d 761; *Matter of Schulz v State of New York,* 81 NY2d 336; *New York Pub. Interest Research Groups v Levitt,* 62 AD2d 1074; *Burns v Egan,* 117 AD2d 38; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *Consolidated Gold Fields PLC v Minorco, S.A.,* 871 F2d 252; *Sonesta Intl. Hotels Corp. v Wellington Assoc.,* 483 F2d 247.)

Eliot Spitzer, Attorney General, New York City (*Robert H. Easton* and *Caitlin J. Halligan* of counsel), for State of New York and others, respondents-appellants. I. Given Empire HealthChoice, Inc.'s voluntary decision to pursue conversion, plaintiffs' constitutional claims fail for want of state action. (*Sega v State of New York,* 60 NY2d 183; *Cranley v National Life Ins. Co. of Vt.,* 318 F3d 105; *Tancredi v Metropolitan Life Ins. Co.,* 316 F3d 308, 539 US 942; *SHAD Alliance v Smith Haven Mall,* 66 NY2d 496; *City of New York v State of New York,* 94 NY2d 577; *People v Devlin,* 33 NY 269; *FCC v Beach Communications, Inc.,* 508 US 307; *Philip Morris, Inc. v Harshbarger,* 159 F3d 670; *Meriden Trust & Safe Deposit Co. v Federal Deposit Ins. Corp.,* 62 F3d 449; *Garelick v Sullivan,* 987 F2d 913.) II. In the absence of any contract or substantial impairment thereof, plaintiffs' Contracts Clause claim was properly dismissed. (*Energy Reserves Group, Inc. v Kansas Power & Light Co.,* 459 US 400; *Ballentine v Koch,* 89 NY2d 51; *Pennsylvania R.R. Co. v State of New York,* 11 NY2d 504; *Dodge v Board of Ed. of Chicago,* 302 US 74; *Camardo v Board of Educ. of City School Dist.,* 79 AD2d 864, 53 NY2d 795; *Cook v City of Binghamton,* 48 NY2d 323.) III. Plaintiffs' due process claims were properly dismissed. (*Board of Regents of State Colleges v Roth,* 408 US 564; *Town of Orangetown v Magee,* 88 NY2d 41; *Matter of Mount Sinai Hosp.,* 250 NY 103; *Grobe v Erie County Mut. Ins. Co.,* 39 App Div 183, 169 NY 613; *Matter of Manhattan Eye, Ear & Throat Hosp. v Spitzer,* 186 Misc 2d 126; *Phillips v Washington Legal Foundation,* 524 US 156; *College Savings Bank v Florida Prepaid Postsecondary Ed. Expense Bd.,* 527 US 666; *Armstrong v United States,* 364 US 40; *Kane v New York El. R.R. Co.,* 125 NY 164; *Rogin v Bensalem Twp.,* 616 F2d 680.) IV. Plaintiffs' takings claims were properly dismissed. (*Meriden Trust & Safe Deposit Co. v Federal Deposit Ins. Corp.,* 62 F3d 449; *Garelick v Sullivan,* 987 F2d 913; *Illinois Clean Energy Community Found. v Filan,* 392 F3d 934; *Loretto v Teleprompter Manhattan CATV Corp.,* 458 US 419; *Soon Duck Kim v City of New York,* 90 NY2d 1; *Pennsylvania Coal Co. v Mahon,* 260 US 393; *Keystone Bituminous Coal Assn. v DeBenedictis,* 480 US 470; *Ruckelshaus v Monsanto Co.,* 467 US 986; *Monterey v Del Monte Dunes at Monterey, Ltd.,* 526 US 687; *Connolly v Pension Benefit Guaranty Corporation,* 475 US 211.) V. Chapter 1 of the Laws of 2002 comports with the Exclusive Privileges Clause because it confers no rights in the nature of a monopoly. (*Matter of Union Ferry Co. of Brooklyn,* 98 NY 139; *People v Giordano,* 87 NY2d 441; *Matter of Mayor of N.Y. [Elm St.],* 246 NY 72; *Matter of Henneberger,* 155 NY 420; *Farrington v Pinckney,* 1 NY2d 74; *Trustees of Exempt Firemen's Benevolent Fund of City of N.Y. v*

Roome, 93 NY 313; *People ex rel. Tyroler v Warden of City Prison of City of N.Y.,* 157 NY 116; *City of New York v State of New York,* 94 NY2d 577; *People v Devlin,* 33 NY 269; *Proprietors of Charles River Bridge v Proprietors of Warren Bridge,* 11 Pet [36 US] 420.)

Weil, Gotshal & Manges LLP, New York City (*Steven Alan Reiss, Janet L. Horn* and *Adam K. Grant* of counsel), and *Hinman Straub P.C.,* Albany (*Bartley J. Costello, III* and *Kimberly C. Lawrence* of counsel), for Empire HealthChoice, Inc., respondent-appellant. I. The complaint must be dismissed because it implicates a nonjusticiable political question. (*Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo,* 64 NY2d 233; *767 Third Ave. Assoc. v Consulate Gen. of Socialist Fed. Republic of Yugoslavia,* 218 F3d 152; *Kadic v Karadzic,* 70 F3d 232; *Matter of Richmond Hill Block Assn. v Dinkins,* 149 Misc 2d 654; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *Manigault v Springs,* 199 US 473; *T.D. v New York State Off. of Mental Health,* 91 NY2d 860; *Parochial Bus Sys. v Board of Educ. of City of N.Y.,* 60 NY2d 539.) II. Plaintiffs lack standing to assert any of their claims. (*Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Rudder v Pataki,* 93 NY2d 273; *Matter of Sun-Brite Car Wash v Board of Zoning & Appeals of Town of N. Hempstead,* 69 NY2d 406; *Matter of Colella v Board of Assessors of County of Nassau,* 95 NY2d 401; *Matter of Energy Assn. of N.Y. State v Public Serv. Commn. of State of N.Y.,* 273 AD2d 708; *Matter of Lee v New York City Dept. of Hous. Preserv. & Dev.,* 212 AD2d 453; *Matter of Transactive Corp. v New York State Dept. of Social Servs.,* 92 NY2d 579; *Matter of Friends World Coll. v Nicklin,* 249 AD2d 393; *Braker Mem. Home v White,* 121 Misc 2d 544.) III. The courts below properly dismissed plaintiffs' claims against Empire HealthChoice, Inc.'s Board of Directors for violation of the Not-For-Profit Corporation Law and breach of fiduciary duty. (*Rabouin v Metropolitan Life Ins. Co.,* 182 Misc 2d 632, 282 AD2d 381; *Auerbach v Bennett,* 47 NY2d 619; *Levine v Levine,* 184 AD2d 53; *Matter of Breezy Point Coop. [Young],* 123 AD2d 354; *Stuart Silver Assoc. v Baco Dev. Corp.,* 245 AD2d 96; *Gillman v Pebble Cove Home Owners Assn.,* 154 AD2d 508; *Matter of Manhattan Eye, Ear & Throat Hosp. v Spitzer,* 186 Misc 2d 126; *S.H. & Helen R. Scheuer Family Found. v 61 Assoc.,* 179 AD2d 65; *Matter of Vale,* 291 AD2d 353; *Matter of Hahn,* 93 AD2d 583.) IV. The court below properly dismissed plaintiffs' Takings Clause claims. (*Evac, LLC v Pataki,* 89 F Supp 2d 250; *Universal Sanitation*

Corp. v Trade Waste Commn. of City of N.Y., 940 F Supp 656; *Tancredi v Metropolitan Life Ins. Co.,* 149 F Supp 2d 80, 316 F3d 308, 539 US 942; *Board of Regents of State Colleges v Roth,* 408 US 564; *Matter of Cadman Plaza N. v New York City Dept. of Hous. Preserv. & Dev.,* 290 AD2d 344; *Lucas v South Carolina Coastal Council,* 505 US 1003; *Grobe v Erie County Mut. Ins. Co.,* 39 App Div 183, 169 NY 613; *Matter of Mount Sinai Hosp.,* 250 NY 103; *Armstrong v United States,* 364 US 40; *Keefe v Annpaul Realty Co.,* 215 App Div 301, 243 NY 647.) V. Plaintiffs' due process claim fails because the authorizing legislation provides for adequate procedures to contest and challenge the conversion. (*Rudolph v Cuomo,* 916 F Supp 1308, *affd sub nom. Allen v Cuomo,* 100 F3d 253; *Mathews v Eldridge,* 424 US 319; *Sanitation & Recycling Indus., Inc. v City of New York,* 107 F3d 985; *Wegman's Food Mkts. v State of New York,* 76 AD2d 95; *Highland Farms Dairy, Inc. v Agnew,* 300 US 608; *Williamson County Regional Planning Comm'n v Hamilton Bank of Johnson City,* 473 US 172; *Empire Tr. Mix, Inc. v Giuliani,* 37 F Supp 2d 331.) VI. The courts below properly dismissed plaintiffs' claim for violation of the Contracts Clause. (*Tancredi v Metropolitan Life Ins. Co.,* 149 F Supp 2d 80, 316 F3d 308, 539 US 942; *Home Bldg. & Loan Assn. v Blaisdell,* 290 US 398; *United States Trust Co. of N.Y. v New Jersey,* 431 US 1; *Energy Reserves Group, Inc. v Kansas Power & Light Co.,* 459 US 400; *Medical Socy. of State of N.Y. v Sobol,* 192 AD2d 78; *People v Shepard,* 50 NY2d 640; *Lord v Equitable Life Assur. Socy. of U.S.,* 194 NY 212; *Pennsylvania R.R. Co. v State of New York,* 15 AD2d 269; *Matter of Mount Sinai Hosp.,* 250 NY 103; *Methodist Hosp. of Brooklyn v State Ins. Fund,* 117 Misc 2d 178, 102 AD2d 367, 64 NY2d 365, 474 US 801.) VII. The courts below erred in denying defendants' motion to dismiss because the amended complaint fails to state a cause of action under article III, § 17 of the New York Constitution. (*Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.,* 46 NY2d 358; *Matter of Mayor of N.Y. [Elm St.],* 246 NY 72; *Matter of Union Ferry Co. of Brooklyn,* 98 NY 139; *Trustees of Exempt Firemen's Benevolent Fund v Roome,* 93 NY 313; *Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.,* 71 NY2d 313; *City of New York v State of New York,* 94 NY2d 577; *People Devlin,* 33 NY 269; *Farrington v Pinckney,* 1 NY2d 74; *Stapleton v Pinckney,* 293 NY 330; *American Consumer Indus. v City of New York,* 28 AD2d 38.) VIII. The courts below erred in failing to dismiss the amended complaint because there is no relief that may be granted against Empire HealthChoice, Inc. (*Richardson v Coy,* 28 AD2d 640; *Matter of Schulz v State of New York,* 81 NY2d 336; *Burns v Egan,* 117 AD2d 38; *New York Pub. Interest Research Groups v Levitt,* 62 AD2d 1074; *Consolidated Gold Fields PLC v Minorco, S.A.,* 871 F2d 252; *Sonesta Intl. Hotels Corp. v Wellington Assoc.,* 483 F2d 247; *United States v Sperry Corp.,* 493 US 52; *All Terrain Props. v Hoy,* 265 AD2d 87; *McSherry v Giannuzzi,* 717 F Supp 238; *Simon v Safelite Glass Corp.,* 128 F3d 68.)

Proskauer Rose LLP, New York City (*Steven E. Obus* and *Edward S. Kornreich* of counsel), for appellant. I. The dismissal of plaintiffs' complaint should be affirmed. (*Trustees of Dartmouth Coll. v Woodward,* 4 Wheat [17 US] 518; *Lord v Equitable Life Assur. Socy. of U.S.,* 194 NY 212; *Alco Gravure, Inc. v Knapp Found.,* 64 NY2d 458; *Matter of Mount Sinai Hosp.,* 128 Misc 476, 223 App Div 836, 250 NY 103; *Armstrong v United States,* 364 US 40; *Matter of Multiple Sclerosis Serv. Org. of N.Y. [New York City Ch. of Natl. Multiple Sclerosis Socy.],* 68 NY2d 32; *Illinois Clean Energy Community Found. v Filan,* 392 F3d 934; *Webb's Fabulous Pharmacies, Inc. v Beckwith,* 449 US 155; *Phillips v Washington Legal Foundation,* 524 US 156; *Matter of Wolpoff v Cuomo,* 80 NY2d 70.) II. Chapter 1 of the Laws of 2002 comports with article III, § 17 of the New York Constitution. (*Trustees of Exempt Firemen's Benevolent Fund of City of N.Y. v Roome,* 93 NY 313; *Matter of Union Ferry Co. of Brooklyn,* 98 NY 139; *Matter of Gilbert El. Ry. Co. v Kobbe,* 70 NY 361; *Lord v Equitable Life Assur. Socy. of U.S.,* 194 NY 212; *Matter of Montefiore Home v Prendergast,* 159 App Div 644, 211 NY 549; *Grumet v Cuomo,* 90 NY2d 57; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.,* 46 NY2d 358; *Matter of McAneny v Board of Estimate & Apportionment of City of N.Y.,* 232 NY 377; *Fox v Mohawk & Hudson Riv. Humane Socy.,* 165 NY 517; *Bush v New York Life Ins. Co.,* 135 App Div 447.)

OPINION OF THE COURT

READ, J.

The issue in these appeals is whether plaintiffs have stated a viable cause of action to challenge the legislation authorizing the conversion of defendant Empire HealthChoice, Inc., doing business as Empire Blue Cross and Blue Shield (Empire) from a not-for-profit to a for-profit corporation, and directing that certain of Empire's assets be used for various public health and charitable purposes. For the reasons that follow, we conclude that plaintiffs' allegations are legally insufficient to support any cognizable cause of action.

I.

Empire's Origins and Evolution

Empire began as the Associated Hospital Service (AHS), a membership corporation[1] formed in 1934 to provide workers with affordable hospital care. AHS was an outgrowth of ''the Depression and one especially disturbing consequence of it: voluntary hospitals stood on the edge of bankruptcy because they lacked the revenues to stay in business while (the cause of their problems) millions of citizens went without hospital and other needed care because they lacked the money to pay for it'' (Brown, *Capture and Culture: Organizational Identity in New York Blue Cross*, 16 J Health Pol, Pol'y & L 651, 653 [Winter 1991]).[2]

AHS's ''key organizational task'' when founded was to ''build[ ] a financing linkage between people who needed care and hospitals that needed revenue'' (*id.* at 655). AHS did this by offering prepaid ''hospital service plans,'' which channeled revenue to the hospitals and made affordable hospital care available to workers. For a monthly fee, AHS contracted with subscribers for up to 21 days of hospital care a year. AHS ''work[ed] closely with the hospitals, paying them directly instead of indemnifying patients whom the hospitals then billed. [AHS] was, and was intended to be, the hospitals' exchequer, their financial alter ego'' (*id.*).

Hospital service plans were not unique to New York. As they spread throughout the nation, ''[a] number of state departments of insurance had ruled that hospital service contracts, even if issued by one hospital, were a form of insurance and that hospital service policies could be issued only by stock and mutual insurance companies which met the established requirements as to capital stock, reserves, and assessments'' (Rorem, *Enabling Legislation for Non-Profit Hospital Service Plans*, 6 L & Contemp Probs 528, 529 [1939]). This issue ''came to a head'' in New York in 1933, when the Superintendent of Insurance ''advised that such a function, although desirable, could be performed only by a stock or mutual insurance company. New York civic leaders, hospital administrators and trustees, and physicians cooperated in drafting and sponsoring an enabling

1. The Membership Corporations Law was a predecessor of the Not-For-Profit Corporation Law (*see* N-PCL 103).

2. Plaintiffs incorporated this article into their complaint.

act'' (*id*. at 529-530; *see* L 1934, ch 595; *see also* Comment, *Group Health Plans: Some Legal and Economic Aspects*, 53 Yale LJ 162, 173-174 [1943] [discussing legislation adopting statutory controls adapted to group health plans]). The result was article 14 of the Insurance Law. In 1939, the Legislature recodified the Insurance Law and replaced article 14 with article IX-C, which addressed nonprofit medical indemnity corporations as well as hospital service corporations (L 1939, ch 882). These corporations were exempt from state and local taxes and were subject to tailored requirements. Article 43 of the present-day Insurance Law, which governs nonprofit health plans, derives from articles 14 and IX-C.

At the urging of its member hospitals, AHS became the intermediary for Medicare Part A in New York in 1965. In taking on this role, Empire became even more thoroughly enmeshed in the operation of its member hospitals by specifying accounting practices, cost definitions and cost allocations for Medicare.

In 1944, United Medical Service, Inc. (UMS), also a membership corporation, was formed to provide coverage for physician services. AHS and UMS merged in 1974 to form Blue Cross and Blue Shield of Greater New York, a Type B corporation under the Not-For-Profit Corporation Law. This entity merged with Blue Cross of Northeastern New York, Inc. in 1985 and became Empire Blue Cross and Blue Shield.

Empire initially offered only group plans, but later added individual coverage. It fixed premiums according to ''community rating,'' in which all subscribers in a given locality are charged the same rate regardless of health risk, and allowed ''open enrollment,'' accepting all applicants. For many years, commercial insurers did not routinely offer health coverage, which was not viewed as profitable, and so Empire had no competition. Further, the federal government encouraged plans like Empire by granting them tax-exempt status under section 501 (c) (4) of the Internal Revenue Code ([IRC] 26 USC) as social welfare organizations.[3]

Empire experienced financial difficulties almost from its very beginnings because of the high costs of open enrollment and

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3. A social welfare organization has as its exempt function the social welfare of the public (IRC § 501 [c] [4] [A] [provides tax exemption for ''(c)ivic leagues or organizations not organized for profit but operated exclusively for the promotion of social welfare'']). ''Social welfare'' is equated by regulation with the ''common good and general welfare'' and with ''civic betterments and social improvements'' (Treasury Regulations [26 CFR] § 1.501[c][4]-1 [a] [2] [i]). Many organizations with federal tax-exempt status are not charities,

(n. cont'd)

community rating. Further, commercial insurers slowly began entering the health insurance market. By using experience rating, with premiums based on claims experience, and avoiding open enrollment, commercial insurers were able to offer lower premiums to healthier groups and individuals. While Empire also used experience rating for some products, it continued its open-enrollment and community rating policies as the ''insurer of last resort.''

Because of Empire's critical role in New York's health care delivery system and its high costs and continuing financial troubles, the Legislature favored it over its commercial counterparts. For example, Empire was allowed to reimburse hospitals on the basis of actual costs, while commercial insurers were required to reimburse hospital charges. When the Legislature in 1983 enacted the New York Prospective Hospital Reimbursement Methodology (NYPHRM), a system for cost controls and rate-setting at hospitals, Empire was afforded an advantage over commercial insurers, which were required to pay a surcharge over and above the rate paid by Empire. Empire was exempt from ''every state, county, municipal and school tax'' (*see* Insurance Law § 4310 [j]).

In the mid-1980's, Empire suffered a severe blow when the United States General Accounting Office issued a report concluding that the underwriting practices of Empire and other Blue Cross plans were similar to those of commercial insurers. Congress responded by revoking the Blues' tax exemption.[4]

In the early 1990's, Empire was beset with management problems, high administrative expenses and fraud, all causing

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including labor organizations (IRC § 501 [c] [5]), trade associations (IRC § 501 [c] [6]), fraternal societies (IRC § 501 [c] [10]) and social clubs (IRC § 501 [c] [7]).

4. *See* Tax Reform Act of 1986, Pub L 99-514, § 1012 (a), 100 US Stat 2085, 2394 (1986), codified at IRC § 501 (m) (providing that section 501 [c] [4] organizations are exempt from taxation ''only if no substantial part of [their] activities consist[ ] of providing commercial-type insurance,'' unless they subsidize premiums for many low-income enrollees or their activities fall within certain other narrow exceptions; under IRC § 833, the Blues retain certain tax advantages by calculating taxable income in a manner different from that used by commercial insurers); *see also* Singer, *The Conversion Conundrum: The State and Federal Response to Hospitals' Changes in Charitable Status*, 23 Am JL & Med 221, 226 n 24 (''As a result of the Tax Reform Act of 1986, Blue Cross plans were stripped of their federal tax exemption, on the basis that the selling of insurance was not a charitable activity under the Internal Revenue Code § 501 [m]. . . . This left Blue Cross plans without the ability to secure tax-exempt financing and yet unable to sell stock because of their nonprofit structure when first established under enabling legislation'').

significant financial losses. The growth of health maintenance organizations (HMOs) in the 1990's further eroded Empire's subscriber base as healthier groups and individuals switched to more economical managed care plans.

By 1992, Empire's future looked bleak. Upon applying to the Superintendent for significant rate increases, Empire suggested that without them its cash reserves would be exhausted in a matter of months. In January 1993, the Legislature averted this crisis with a $100 million cash infusion (L 1993, ch 1).[5] These funds were supposed to shore up Empire until a series of laws took effect, which were crafted to make Empire more competitive by eliminating the major distinctions between it and commercial insurers. For example, the Legislature required health maintenance organizations and commercial insurers in the small group market to use community rating (L 1992, ch 501); a ''risk adjustment'' process was enacted, which essentially required insurers and HMOs to compensate other providers who offered coverage to higher-risk populations (*id.*); and the Legislature mandated that HMOs offer policies to individuals on an open-enrollment/community rated basis (L 1995, ch 504). These statutes relieved Empire of its unique role as New York's ''insurer of last resort.'' Accordingly, the Legislature soon removed the favorable rate differential that Empire had enjoyed under NYPHRM (L 1996, ch 639).

Empire's Original Restructuring Plan

Notwithstanding state subsidies and other favorable legislative action, Empire lost roughly $800 million and half its subscriber base in the 10-year period from 1986 to 1995. In light of its deteriorating prospects, Empire decided to restructure.

Under Empire's original restructuring plan, substantially all its assets, liabilities and businesses were to be transferred to wholly owned for-profit subsidiaries in exchange for 100% of the subsidiaries' outstanding and newly issued common stock. This transfer was to be followed by an initial public offering in which a portion of the stock would be sold to the public. Proceeds from the offering and all outstanding stock, approximating 100% of the value of the not-for-profit's assets, would then be transferred from ''old'' Empire to a newly formed tax-exempt charitable foundation ''dedicated to promoting the availability and acces-

5. This bailout was contingent upon Empire's discontinuing a lawsuit challenging the State's financing and use of a malpractice insurance fund.

sibility of high quality healthcare and related services to the people of the State of New York.'' ''Old'' Empire would dissolve and ''new'' Empire would continue to offer health insurance, but as a for-profit corporation with greater potential for becoming and remaining competitive. Empire's Board of Directors looked at other options, including dissolving or merging with another entity, but determined that restructuring along these lines was more desirable.[6]

This proposed restructuring was subject to the Not-For-Profit Corporation Law's provisions governing the disposition of a corporation's assets. For example, under N-PCL 510 and 511, Type B not-for-profit corporations may sell all their assets with Supreme Court approval and on notice to the Attorney General. After dissolution,

> ''[a]ssets received and held by the corporation . . . shall be distributed to one or more domestic or foreign corporations or other organizations *engaged in activities substantially similar to those of the dissolved corporation* . . . as ordered by the court to which such plan is submitted for approval under section 1002 (Authorization of plan)'' (N-PCL 1005 [a] [3] [A] [emphasis added]).

Although its financial picture had brightened somewhat by the end of 1998, Empire concluded that its not-for-profit form crippled its chances to attract sufficient capital to compete effectively in New York's health care market. Without restructuring, Empire predicted serious future financial losses, and so actively pursued its restructuring plan with the Department of Insurance.

Public hearings were held in 1999, and Empire formally submitted its proposed plan to the Superintendent later that year. In the fall of 1999, the Attorney General opined that Empire's restructuring would require a change in Insurance Law § 4301 (j) as well as Supreme Court and regulatory approval (*see* Press Release, Sept. 1, 1999, Spitzer Airs Concerns on Blue Cross/Blue Shield Conversion, <http://www.oag.

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6. For example, dissolution would have provided ''no mechanism to unlock the going-concern value of Empire's profitable business lines [and] could entail significant waste of valuable assets'' (Testimony of Ira M. Millstein, outside counsel to Empire, before the New York State Assembly Standing Committees on Insurance and Health, Apr. 11, 1997, at 15). It would also remove Empire as an insurer in New York State, lessening competition to the detriment of consumers.

state.ny.us/press/1999/sep/sep01a_99.html> [last updated Jan. 24, 2003], cached at <http://www.courts.state.ny.us/reporter/webdocs/spitzer_concerns_bluecross_conversion.htm>; *see also* May 1999 Mem to Attorney General, Proposed Conversion to For-Profit Status by Empire Blue Cross and Blue Shield, in Josephson, *Health Care Litigation: What You Need to Know After Pegram; Fiduciary Accountability; Recent Cases and Investigations; Pending Cases*, 1216 PLI/Corp 581, 711).[7] On December 29, 1999, the Superintendent issued an opinion and decision nonetheless approving Empire's reorganization plan.

Disagreeing with the Attorney General about the need for legislative action, the Superintendent opined that section 4301 (j) ''which prohibits the conversion of a not-for-profit health service corporation into a for-profit corporation, [was] not applicable to Empire's restructuring.'' According to the Superintendent, Empire's restructuring was governed under articles 71 and 74 of the Insurance Law, and was not a ''conversion'' as ''Empire will exchange its assets for different assets having equal value and transfer those assets to an independent entity formed to carry out not-for-profit public purposes,'' and would then dissolve.

While Empire secured the Superintendent's approval of its restructuring plan, the Attorney General's endorsement proved more elusive. In a press release dated January 5, 2000, the Attorney General stated that he did ''not oppose *in principle* Empire's wish to convert,'' but was ''legally bound to protect the public interest when an organization that has enjoyed millions in state subsidies seeks to change its mission to earning profits for private owners'' (*see* Statement by Attorney General Eliot Spitzer Regarding the Proposed Empire Blue Cross/Blue Shield Conversion, <http://www.oag.state.ny.us/press/2000/jan/jan05b_00.html> [last updated Jan. 24, 2003], cached at <http://www.courts.state.ny.us/reporter/webdocs/spitzers_statement_

7. In 1999, article 43 of the Insurance Law, the article under which Empire operated, provided at section 4301 (j) that

> ''[n]o medical expense indemnity corporation, dental expense indemnity corporation, health service corporation, or hospital service corporation shall be converted into a corporation organized for pecuniary profit. Every such corporation shall be maintained and operated for the benefit of its members and subscribers as a co-operative corporation.''

Section 7301 of the Insurance Law specifies that ''[n]o insurer organized or licensed under this chapter shall convert to a different type of insurer except as provided in this article.''

bluecross_conversion.htm> [emphasis added]). He then identified several objections to the restructuring plan approved by the Superintendent, first and foremost the legal bar of Insurance Law § 4301 (j).[8] In the end, Empire elected not to pursue reorganization under the 1999 restructuring plan approved by the Superintendent.

Health Care Workforce Recruitment and Retention Act

On January 25, 2002, the Legislature enacted Chapter 1 of the Laws of 2002, the Health Care Workforce Recruitment and Retention Act (Chapter 1). Chapter 1's purposes include ''allow[ing] [Empire] to convert to a for-profit corporation, giving Empire the ability to raise the capital needed to compete effectively in the current health care market''; providing revenue from the conversion ''to help health care providers recruit and retain the staff they need''; and ''increas[ing] and improv[ing] health care access for children, women and the working disabled'' (Senate Mem in Support of L 2002, ch 1, 2002 McKinney's Session Laws of NY, at 1639-1640).

Chapter 1 amends Insurance Law § 4301 (j) by adding five new paragraphs, including paragraph (2) specifically addressing the Attorney General's contention that this provision would otherwise preclude Empire's conversion.[9] Chapter 1 also creates a new section 7317 of the Insurance Law, which directs Empire to submit a proposed plan of conversion (Insurance Law § 7317 [a] [1]) and prohibits the Superintendent from approving this plan until after he has convened public hearings and determined that it

> ''[would] not adversely affect the applicant's contractholders or members, [would] protect the interests of and [would] not negatively impact on

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8. The Attorney General's other principal objections were ''old'' Empire's continued control over the charitable foundation receiving the not-for-profit assets; whether the foundation would receive fair value under such control; and whether ''old'' Empire's continued control over ''new'' Empire would compromise an arm's length valuation of the conversion.

9. Insurance Law § 4301 (j) (2) now provides that

> ''[a]n article forty-three corporation which was the subject of an initial opinion and decision issued by the superintendent on or before December thirty-first, nineteen hundred ninety-nine, as the same may be amended, may be converted into a corporation or other entity organized for pecuniary profit, or into a for-profit organization, in any such case, in accordance with the provisions of section [7317] of this chapter.''

> the delivery of health care benefits and services to the people of the state of New York and results in the fair, equitable and convenient winding down of the business and affairs of the applicant'' (Insurance Law § 7317 [b]).

Section 7317 (f) (i) vests Supreme Court with sole jurisdiction to consider any challenge to the Superintendent's final determination to approve the conversion, sets a 30-day limitations period, and limits judicial review to the question of whether the Superintendent acted in an arbitrary or capricious manner with respect to reaching his determination.

Section 7317 (f) (ii) specifies that ''[t]his section [7317] shall be deemed to supercede all otherwise applicable laws and legal requirements'' and grants Empire's Board immunity for participation in the conversion.[10] Section 7317 (f) (ii) additionally provides that

> ''a transaction approved by the superintendent shall be deemed for all purposes to be a transaction that is fair and reasonable to an applicant and to promote the purposes of that applicant, and the use of proceeds as described herein shall be deemed for all purposes to be a use for a purpose that is consistent with and as near as may be to the purposes for which the applicant was originally organized and subsequently operated.''

The plan of conversion submitted by Empire pursuant to Chapter 1 was similar in many ways to the plan approved by the Superintendent in 1999. This plan accomplishes Empire's conversion through a transfer of assets, the creation of new for-profit corporations and a holding company, and a stock sale. Chapter 1 modifies Empire's original plan in one key respect, however. Rather than dedicating 100% of the assets freed upon conversion to a charitable foundation, Chapter 1 calls for 95% of the fair market value of the for-profit entity to be transferred

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10. Specifically, section 7317 (f) (ii) states that
> ''compliance with this section and subsection (j) of section four thousand three hundred one of this chapter and the use of such funds as provided in such section, and in subsection (k) of this section, shall be deemed to constitute compliance with and shall supercede all such other legal requirements, including, but not limited to, statutory, common law and any other requirements relating to not-for-profit corporations and fiduciary requirements applicable to the board of directors of any company filing a plan pursuant to this section.''

to a ''public asset fund'' (Insurance Law § 4301 [j] [4]; § 7317 [e]). The remaining 5% is to be transferred to a ''charitable organization'' (Insurance Law § 4301 [j] [5]; § 7317 [k] [1]) that shall operate as a tax-exempt organization pursuant to IRC § 501 (c) (3) and whose mission is expansion of access to health care generally.[11]

The public asset fund is to be managed by a board of directors consisting of five members, three appointed by the Governor and one each appointed by the Temporary President of the Senate and the Speaker of the Assembly (Insurance Law § 4301 [j] [4] [B]). The net proceeds in the fund are to be transferred to the preexisting Tobacco Control and Insurance Initiatives Pool (Insurance Law § 4301 [j] [4] [O]; *see also* Public Health Law § 2807-v). Chapter 1 directs that the funds be used for recruiting and retaining nonsupervisory health care workers with direct patient care responsibilities (L 2002, ch 1, part A, §§ 1, 1-b, 2, 7-b); the Elderly Pharmaceutical Insurance Coverage (EPIC) program, a state-sponsored prescription plan for needy senior citizens (*id.* § 29); treatment for breast and cervical cancer (*id.* § 60); Medicaid for disabled persons (*id.* § 69); quality improvement programs for nursing homes (*id.* §§ 5, 26); and assistance for other public health programs.[12] Any residual funds would go to the previously created Health Care Initiatives Pool (Public Health Law § 2807-*l*) and be distributed proportionally among its purposes (L 2002, ch 1, part A, § 23). These purposes include programs benefitting uninsured and underinsured chil-

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11. The Charitable Asset Foundation's mission is stated to be the

''(A) expansion of access to health care by extending health insurance coverage to state residents who cannot afford to purchase their own coverage or who have coverage that is inadequate to meet their needs;

''(B) expansion and enhancement of access to health care by augmenting and creating health care programs that deliver services to populations that are unable to access health care or that improve public health; and

''(C) augmentation of its other program priorities by supporting programs that inform and educate New Yorkers about public health issues and empower communities to address these issues by becoming more effective at identifying and articulating health care needs and implementing solutions.

''Programs or initiatives instituted by the charitable organization shall not neglect the residents or institutions served by the applicant prior to the conversion'' (Insurance Law § 7317 [k] [3]).

12. By our estimation, roughly 65% of the funds from Empire's conversion were directed over three years to employee recruitment and retention.

dren (Child Health Plus), and expanded and catastrophic health care programs, as well as rural health care delivery and access programs (*see* Public Health Law § 2807-*l* [1]).

II.

On August 20, 2002, plaintiffs filed a complaint in Supreme Court challenging Chapter 1. Plaintiffs include Empire subscribers whose premiums and benefits will allegedly be adversely affected by the conversion, and organizations that work with chronically ill individuals whose work will allegedly be made more difficult when Empire's assets are no longer dedicated to not-for-profit purposes. The defendants include the State and various of its entities, and Empire, including the members of its Board.

The complaint consists of eight[13] causes of action. Plaintiffs allege that Chapter 1 violates the Due Process Clause of article I, § 6 of the State Constitution and the Contract Clause of article I, § 10 of the Federal Constitution; Chapter 1 deprives plaintiffs and Empire of property rights without due process of law; Chapter 1 effects an unauthorized taking of Empire's and plaintiffs' private property interests in violation of article I, § 7 of the State Constitution and the Fifth and Fourteenth Amendments of the Federal Constitution; the conversion is invalid because the members of Empire's Board failed to follow the procedures in the Not-For-Profit Corporation Law; and the members of Empire's Board breached their fiduciary duties by agreeing to the conversion authorized by Chapter 1.[14] The supposition common to these causes of action—the heart of

13. Plaintiffs subsequently withdrew a ninth cause of action, which alleged that Empire does not qualify to convert under the terms of Chapter 1. The relief sought by plaintiffs on this cause of action was a declaration that Chapter 1 does not permit Empire's conversion.

14. Plaintiffs also alleged a violation of 42 USC § 1983, and requested a constructive trust (purportedly a cause of action). Section 1983 is a vehicle for enforcing constitutional rights, which presupposes state action (*see Tancredi v Metropolitan Life Ins. Co.*, 316 F3d 308 [2d Cir 2003] [no state action where a state-chartered mutual life insurance company reorganizes into a domestic stock life insurer under provisions of the Insurance Law]). Even if there were state action, plaintiffs' section 1983 claim rises or falls with its constitutional claims. Further, a constructive trust is only imposed upon a finding of "(1) a confidential or fiduciary relation, (2) a promise, express or implied, (3) a transfer made in reliance on that promise, and (4) unjust enrichment" (*Bankers Sec. Life Ins. Socy. v Shakerdge*, 49 NY2d 939, 940 [1980]). Plaintiffs did not allege any of this in the original complaint, and did not renew their request for a constructive trust in their amended complaint.

plaintiffs' grievance—is that assets from the restructuring are not going to be used to further Empire's historic charitable purposes.

Plaintiffs sought judgment declaring that Chapter 1 violates the state and federal constitutions and enjoining defendants ''from taking any action to carry out the unconstitutional directives of the Legislation''; declaring that the members of Empire's Board breached their fiduciary duty; and enjoining the Board from proceeding with any conversion or other disposition of assets without complying with the Not-For-Profit Corporation Law. Plaintiffs summarized the relief sought as ''a permanent injunction prohibiting the conversion or, in the alternative, requiring all conversion proceeds to be paid to a foundation that will carry on Empire's charitable mission.''

This lawsuit and Empire's conversion progressed along parallel paths. Empire submitted the new required plan to the Superintendent in June 2002; in this litigation, Empire and the State filed pre-answer motions to dismiss. In October 2002, the Superintendent approved the plan, and plaintiffs filed their opposition to the motions. In November 2002, plaintiffs requested provisional relief directing that any proceeds from the stock sale be held by the Comptroller in a separate account during the litigation's pendency;[15] they did not seek to block the stock sale, which took place on November 8, 2002.[16] Supreme Court granted plaintiffs the provisional relief that they requested.

On February 28, 2003, Supreme Court granted defendants' motions to dismiss the complaint in its entirety. Preliminarily, the court determined that plaintiffs, who were subscribers to Empire health plans,[17] had demonstrated a threatened injury in fact (anticipated premium increases) and therefore had stand-

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15. In November 2002, plaintiffs also commenced a CPLR article 78 proceeding to contest the Superintendent's final determination approving Empire's plan. Plaintiffs disputed only the distribution to the public asset fund of 100% of the proceeds from a judgment that Empire obtained against seven tobacco companies, arguing that 5% of these proceeds should have been distributed to the charitable organization. They did not contest any other aspect of the Superintendent's final determination, including his conclusion that conversion would not adversely affect subscribers' premiums or benefits.

16. WellChoice, the holding company for Empire, raised $417.5 million in the stock market on the IPO's first day. About 16.7 million shares, or 20.3% of the company's stock, were sold at an initial price of $25, valuing the company at about $2 billion (Freudenheim, *Judge Freezes Proceeds Raised from Health Insurer's Stock Sale*, New York Times, Nov. 9, 2002, at C14).

17. These subscriber plaintiffs include Consumers Union of U.S., Inc., which held a group subscriber contract, and five individuals.

ing. Conversely, the court concluded that organizational plaintiffs did not have standing either because their supposed injury in fact was too speculative, or because the interests that they sought to assert were not germane to their organizational purposes.

Supreme Court dismissed plaintiffs' claim against the State for impairment of contract "for the self-evident reason that there can be no impairment of a contract absent a contractual relationship" (citing *Ballentine v Koch*, 89 NY2d 51 [1996] [benefit program authorized by statute does not involve contract rights]). The court dismissed plaintiffs' due process claim against the State on the ground that statutes "are always vulnerable to subsequent statutory amendment or repeal," and that the alterations here did not amount to a deprivation of due process; and dismissed the takings claims because, "[e]ven if it is assumed, without deciding, that plaintiffs have a property interest in Empire's assets (a highly dubious assumption), the claims . . . must fail because the Statute does not require Empire to convert" (citing *Meriden Trust & Safe Deposit Co. v Federal Deposit Ins. Corp.*, 62 F3d 449, 455 [2d Cir 1995] [where a company "voluntarily subject(s) itself to a known obligation . . . no unconstitutional taking occur(s)"]). In addition, the court dismissed plaintiffs' claims against Empire alleging violation of the Not-For-Profit Corporation Law and breach of fiduciary duty, noting that Chapter 1 "supersedes all inconsistent common-law and statutory duties" (*see* Insurance Law § 7317 [f] [ii]).

Supreme Court, however, also concluded that the facts alleged "clearly suffice to support a cause of action for violation of Article III, § 17 (unnumbered subsection 12) of the State Constitution," the Exclusive Privileges Clause. Accordingly, the court granted plaintiffs permission to serve an amended complaint and left the restraining order in effect.

The amended complaint, filed on March 31, 2003, alleges only that the Legislature violated article III, § 17 of the State Constitution "by specifically applying to and granting the privilege of conversion to only . . . Empire."[18] This time around, plaintiffs sought judgment declaring that Chapter 1 was unconstitutional; declaring that the conversion already undertaken was illegal

18. The amended complaint also added the New York Charitable Asset Foundation, the charitable organization authorized by Chapter 1 (Insurance Law § 7317 [k]), as a defendant.

and requesting rescission of the stock sale; enjoining defendants from "taking any further action to carry out the unconstitutional directives of the Legislation"; enjoining the Board from proceeding with any conversion or other disposition of assets without complying with the Not-For-Profit Corporation Law; and directing the Comptroller to "return all proceeds received from Empire as a result of its conversion . . . to the owners of shares of Empire, proportional to the number of shares owned."

In April 2003, defendants moved to dismiss the amended complaint. On October 2, 2003, Supreme Court granted Empire's unopposed motion to dismiss with respect to the individual members of its Board, but denied the motions with respect to the State and Empire, and denied the motion to vacate the temporary restraining order. The Court held that Chapter 1 violates article III, § 17 of the State Constitution by giving Empire a right otherwise denied to other not-for-profit insurers; that is, the right to convert under Insurance Law § 4301 (j) (1). The parties cross-appealed and the Appellate Division unanimously affirmed both orders. Upon the parties' application, the Appellate Division granted leave to appeal and certified to us the question of whether its decision and order affirming Supreme Court's orders was properly made.

III.

Plaintiffs' Standing

Plaintiffs' claims fall into two distinct categories for purposes of analyzing standing: that Empire's Board violated fiduciary duties and the Not-For-Profit Corporation Law; and that Chapter 1 violates individual constitutional rights (property, contract and due process rights).[19] Plaintiffs have standing to assert these claims only if they have "a sufficiently cognizable stake in the outcome so as to cast[ ] the dispute in a form traditionally capable of judicial resolution" (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148, 155 [1994] [citations and internal quotation marks omitted]).

[1] Plaintiffs are not within any of the classes of parties authorized by the Not-For-Profit Corporation Law to challenge

19. None of the defendants challenged plaintiffs' standing to bring the amended complaint, which alleges only violation of New York Constitution, article III, § 17.

the Board's conduct (*see* N-PCL 720 [b]).[20] Consequently, they rely on *Alco Gravure, Inc. v Knapp Found.* (64 NY2d 458 [1985]) for standing to press their claims against Empire. There, a foundation was established as a New York not-for-profit corporation with the purpose of aiding employees of businesses associated with Joseph P. Knapp. The foundation's trustees sought to amend the certificate of incorporation to promote a broader range of charitable purposes so that they could transfer the foundation's assets to a North Carolina foundation, which did not assist individuals and was tax-exempt. The Attorney General did not object to this amendment; Supreme Court approved it.

Alco Gravure's New York employees sued the foundation seeking to enjoin the transfer. We found standing by applying principles of trust law, noting that while a ''possible beneficiary of a charitable trust'' does not normally have standing to sue for enforcement of the trust (only the Attorney General does), this general rule may yield where ''a particular group of people has a special interest in funds held for a charitable purpose, as when they are entitled to a preference in the distribution of such funds and the class of potential beneficiaries is sharply defined and limited in number'' (*id.* at 465). The *Alco Gravure* plaintiffs had standing because, as employees of a Knapp company, they remained the primary beneficiaries of the foundation's charitable purposes and so could seek to stop the foundation from adding new beneficiaries.

Here, the mission ascribed to Empire by plaintiffs—''high quality, affordable care for as much of the population as possible''—inures to the public as a whole, not to a ''particular group of people'' with a ''special interest in funds held for a charitable purpose.'' As subscribers to Empire's health plans, plaintiffs cannot and do not claim that they have any greater right to Empire's assets than the public as a whole. Plaintiffs are not comparable to Alco Gravure's New York employees, who were beneficiaries of a private trust as potential recipients of loans from the foundation. Plaintiffs are merely purchasers of health insurance, parties to a commercial transaction with Empire.

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20. Under N-PCL 720 (b), an action concerning transfer of the corporation's assets may be brought by the Attorney General, by the corporation or, in the right of the corporation, by a director or officer; receiver, trustee in bankruptcy, or judgment creditor; member; or holder of a subvention certificate or any other contributor to the corporation of cash or property of the value of $1,000 or more.

[2] Next, plaintiffs' standing to enforce alleged violations of their individual constitutional rights cannot be taxpayer-based as they do not complain that public funds have been misused. Standing under *Alco Gravure* is unavailable to them because their constitutional claims are directed not at the not-for-profit corporation, but at Chapter 1 and the government's alleged violation of their constitutional rights. Standing to assert these claims is completely intertwined with the nature of the rights supposedly violated.

[3] The only property right that plaintiffs assert is ''dedication of Empire's assets to its charitable mission.'' Plaintiffs, either as subscribers to Empire's health plans or as members of the public as a whole, however, do not have an enforceable ''property interest'' in the value of Empire's assets or in the dedication of those assets to Empire's mission (*see Soon Duck Kim v City of New York*, 90 NY2d 1, 6 [1997] [''Because the State defines the rights and obligations that constitute property in the absence of any superseding Federal law, the threshold step in a takings inquiry is to determine whether, in light of the existing rules or understandings of State law, plaintiffs *ever* possessed the property interest they now claim has been taken by the challenged governmental action'' (citation and internal quotation marks omitted)]; *see also Board of Regents of State Colleges v Roth*, 408 US 564, 577 [1972] [''To have a property interest in a benefit, a person clearly must have more than an abstract need or desire for it. He must have more than a unilateral expectation of it. He must, instead, have a legitimate claim of entitlement to it'']). Without a property interest to enforce, there can be no standing (*see Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 772, 773 [1991] [standing requires injury in fact, ''an actual legal stake in the matter being adjudicated,'' as well as an injury within the zone of interests, ''tying the in-fact injury asserted to the governmental act challenged'']).

[4] Further, plaintiffs have not established injury in fact on account of an anticipated increase in their premiums or reduction in benefits. This supposed injury is flatly contradicted in the Superintendent's final determination, and plaintiffs chose not to challenge this aspect of his determination in their CPLR article 78 proceeding. Even assuming injury in fact, plaintiffs have not linked this purported injury (i.e., increased premiums and/or reduced benefits) to the wrong that they seek to redress—the Legislature's neglect to ''dedicat[e] . . . Empire's assets to its charitable mission''—or the ''principal remedy'' that they seek to right this supposed wrong—implementation of Empire's original restructuring plan (i.e., directing 100% of Empire's value to a tax-exempt, IRC § 501 [c] [3] charitable foundation). If anything, this alleged injury could only arguably (that is, again ignoring the Superintendent's final determination) be connected to the Legislature's authorization of Empire's changeover from a not-for-profit to a for-profit insurer, not the disposition of the conversion's proceeds. Plaintiffs, however, do not contest Empire's change in corporate form.

In fact, what plaintiffs actually seek here is quasi-derivative standing to vindicate *Empire*'s interests. They argue that Chapter 1 has disabled both the Attorney General, the traditional guardian of the public interest and trust beneficiaries, and the Board, which has a duty of obedience to honor Empire's not-for-profit mission, from fulfilling their customary roles. The Attorney General, they assert, has been ''defrocked'' by virtue of his statutory obligation to defend the Legislature's enactments. Because the statute immunized its actions, the Board has no incentive to jeopardize conversion by questioning whether Chapter 1 diverts Empire's property from its traditional not-for-profit purposes. As a consequence, only the subscribers remain to champion Empire.

[5] This argument is winning. *Alco Gravure* in its particulars does not support plaintiffs' standing, as already discussed. Still, we recognized in *Alco Gravure* that there may be ''special interest'' factors causing us to relax the usual rules of standing in a specific case where a charitable interest is involved (64 NY2d at 465).[21] The Attorney General's and the Board's disability are special interest factors here. Further, while plaintiffs are not true beneficiaries, as subscribers they benefit from whatever vestiges may remain from Empire's traditional role as the ''insurer of last resort'' for those New Yorkers otherwise unable to obtain needed health care. Nor can we ignore the billions of

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21. *Compare* Goldschmid, *The Fiduciary Duties of Nonprofit Directors and Officers: Paradoxes, Problems, and Proposed Reforms*, 23 J Corp L 631 (1998) (suggesting cautiously opening the door for donor, member and beneficiary derivative actions, especially to challenge conversions, which are likely to be one-shot, decisive transactions in the life of a nonprofit entity), *with* Atkinson, *Unsettled Standing: Who (Else) Should Enforce the Duties of Charitable Fiduciaries?*, 23 J Corp L 655 (1998) (pointing out conceptual flaws and practical problems with theories for broadening standing to enforce the duties of charitable fiduciaries); *see also* Blasko and Crossley, *Standing to Sue in the Charitable Sector*, 28 USF L Rev 37 (1993).

dollars at stake. Accordingly, because of the Attorney General's and the Board's unique position after the adoption of Chapter 1, we hold that plaintiff subscribers have standing to prosecute this action solely for purposes of protecting Empire's not-for-profit assets.

Takings

Plaintiffs invoke both article I, § 7 (a) of the State Constitution (''[p]rivate property shall not be taken for public use without just compensation'') and the Fifth Amendment to the Federal Constitution (''nor shall private property be taken for public use, without just compensation'') to support their claims that Chapter 1 constitutes an illegal taking of Empire's private property. They allege that Chapter 1 effected an exaction, a regulatory taking and a per se taking.

1. Exaction

In *Matter of Smith v Town of Mendon* (4 NY3d 1, 10 [2004]), we held that ''[e]xactions are defined as land-use decisions conditioning approval of development on the *dedication of property to public use*'' (citations and internal quotation marks omitted). A condition placed on land use is an exaction, and therefore an unconstitutional taking, if the condition lacks an ''essential nexus'' with the state interest for which it is imposed (*see Nollan v California Coastal Comm'n*, 483 US 825, 837 [1987]), and is not ''rough[ly] proportional[ ]'' to the impact of the proposed development (*see Dolan v City of Tigard*, 512 US 374, 391 [1994]).

In *Town of Mendon*, we rejected the petitioners' claim that the Planning Board's conditioning of site plan approval upon acceptance of a conservation easement was an exaction. We did not reach the ''essential nexus'' and ''rough proportionality'' tests, deciding that exaction analysis does not apply ''where there is no dedication of property to public use and the restriction merely places conditions on development'' (4 NY3d at 12). We have confined our exaction analysis to those cases where the condition affects a property owner's ''right to exclude others,'' and where a fee is imposed ''in lieu of the physical dedication of property to public use'' (*id.*, citing *Twin Lakes Dev. Corp. v Town of Monroe*, 1 NY3d 98 [2003]).

[6] Plaintiffs ask us to find that Chapter 1 imposes an exaction on Empire because conversion is conditioned upon Empire's dedication of its not-for-profit assets to legislatively articulated public and charitable purposes. We decline to accept plaintiffs' invitation to expand our exaction analysis beyond the realm of land-use regulation.[22] Even if we were to do so, however, Chapter 1 passes both the ''essential nexus'' and ''rough proportionality'' tests.

The challenged condition placed on Empire's property is the dedication of not-for-profit assets to the recruitment and retention of health care workers and public health programs. But Empire began as a captive of hospitals, and has always inhabited a borderland between a government-sponsored entitlement program, such as Medicaid, and a commercial insurer. Empire has traditionally functioned as both a financing device for hospitals and a means to make economical health care available to as many New Yorkers as possible. The dedication of conversion assets to support public health programs and to recruit and retain health care workers is wholly consistent with these activities. In short, there is not only a nexus but a direct correlation between the State's interest in enacting Chapter 1—allowing Empire to continue to carry out its dual historic mission—and the condition imposed—that Empire's not-for-profit assets be used for the public health purposes specified in Chapter 1.[23]

The ''essential nexus'' test does not mirror N-PCL 1005 (a) (3) (A), which calls for distribution of a Type B not-for-profit's assets upon dissolution to ''one or more domestic or foreign corporations or other organizations *engaged in activities substantially similar to those of the dissolved corporation*''

22. Judge R.S. Smith in his dissent observes that ''[n]othing in the Supreme Court's exactions decisions suggests that their rationale is limited to real property'' (R.S. Smith dissenting in part op at 380). The Supreme Court, however, has never applied exactions analysis outside the context of land-use regulation. In its recent decision in *Lingle v Chevron U.S.A., Inc.* (544 US 528, —, —, 125 S Ct 2074, 2081, 2087 [2005]), the Court placed *Nollan* and *Dolan* in ''the special context of land-use exactions,'' and referred to a ''land-use exaction violating the standards set forth in *Nollan* and *Dolan*'' as one of four distinct theories that might be pursued by a plaintiff seeking to challenge a government regulation as an uncompensated taking.

23. It is important to note that a far different property interest is at stake here than was the case in *Nollan* and *Dolan*. In those cases, the landowners were required to surrender their right to exclude others from their property—''one of the most essential sticks in the bundle of rights that are commonly characterized as property''—in exchange for land-use permits (*Nollan*, 483 US at 831 [internal quotation marks and citation omitted]). Here, Empire would be required to distribute its not-for-profit assets under any restructuring process, including the one outlined in N-PCL 1005 (a) (3) (A). Thus, this case entails Empire's more limited interest in ensuring that, upon conversion, its assets will be used in accordance with its historic mission.

(emphasis added) (*see also Matter of Multiple Sclerosis Serv. Org. of N.Y. [New York City Ch. of Natl. Multiple Sclerosis Socy.]*, 68 NY2d 32 [1986]).[24] This appeal is not here pursuant to N-PCL 511 and so section 1005's quasi cy pres test does not apply to Empire's conversion. In any event, it does not follow, as plaintiffs seem to assume, that under N-PCL 1005 Empire's not-for-profit assets would have to be distributed entirely to a tax-exempt, IRC § 501 (c) (3) charitable foundation. Indeed, another not-for-profit insurer arguably more nearly qualifies as an entity engaged in substantially similar activities. Although plaintiffs liken Empire to a ''private charity'' and refer to ''donors,'' history does not bear out the analogy. Empire has never relied on philanthropy or carried out an explicitly charitable agenda. As already noted, Empire's former federal tax-exempt status was based on IRC § 501 (c) (4) as a social welfare organization. Empire was never a section 501 (c) (3) charity; Empire did not enroll subscribers for free.[25]

Finally, the condition is ''roughly proportional'' to the impact of Empire's conversion because if Empire were to convert

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24. In *Multiple Sclerosis*, we interpreted this statutory standard as follows:

> ''Under the quasi cy pres standard of the Not-For-Profit Corporation Law, a Supreme Court Justice in determining whether to approve the plan of distribution proposed by the corporation's board, and if not to what other charitable organizations distribution should be made, should consider (1) the source of the funds to be distributed, whether received through public subscription or under the trust provision of a will or other instrument; (2) the purposes and powers of the corporation as enumerated in its certificate of incorporation; (3) the activities in fact carried out and services actually provided by the corporation; (4) the relationship of the activities and purposes of the proposed distributee(s) to those of the dissolving corporation, and (5) the bases for the distribution recommended by the board'' (68 NY2d at 35).

25. For the same reason that the Blues lost federal tax exemption—their activities do not differ fundamentally from those of commercial insurance companies—their conversions fit but awkwardly within the framework of charitable trust law (*see e.g. ABC for Health, Inc. v Commissioner of Ins.*, 250 Wis 2d 56, 640 NW2d 510 [2001], *review denied* 252 Wis 2d 149, 644 NW2d 686 [2002] [Wisconsin Blue Cross/Blue Shield organization not a charity to whose conversion cy pres doctrine applies because not operated exclusively for charitable purposes but for benefit of individuals who paid premiums to become policyholders]; *see also Abbott v Blue Cross & Blue Shield of Tex., Inc.*, 113 SW3d 753 [Tex Ct App, Austin 2003], *review denied* 2004 Tex LEXIS 1158 [2004] [Blue Cross and Blue Shield of Texas not a public charity that must preserve its assets for charitable purposes because corporation provided for group hospital plans for benefit of its members who purchased services, not for general charitable purposes]).

through any other mechanism—i.e., the Not-For-Profit Corporation Law—it would be required to dedicate its not-for-profit assets to purposes similar to those for which it was formed—i.e., promoting hospitals and access to health care. Thus, Chapter 1 places conditions on Empire's property similar to those that could have been imposed in the sale of its assets and dissolution under the Not-For-Profit Corporation Law.

2. Regulatory Taking

Governmental regulation of private property effects a taking if it is ''so onerous that its effect is tantamount to a direct appropriation or ouster'' (*see Lingle*, 544 US at —, 125 S Ct at 2081). To determine whether a regulation is proper or goes ''too far,'' a court must consider the factors identified in *Penn Central Transp. Co. v New York City* (438 US 104 [1978]; *see Lingle*, 544 US at —, 125 S Ct at 2085 [holding, for the first time, that the ''substantially advance legitimate state interests'' test identified in *Agins v City of Tiburon* (447 US 255, 260 [1980]) ''is not a valid method of identifying regulatory takings'']). The primary, but not exclusive *Penn Central* inquiry turns on ''the extent to which the regulation has interfered with distinct investment-backed expectations'' (544 US at —, 125 S Ct at 2082 [quoting *Penn Central*, 438 US at 124]).

[7] First, we note that the compulsion normally present in takings claims is not present in Chapter 1. Chapter 1 does not compel Empire to convert. Rather, Chapter 1 authorizes Empire to convert; conversion only takes place if Empire so chooses (*see Meriden Trust*, 62 F3d at 455 [voluntary action by bank under statute cannot be a regulatory taking]; *Garelick v Sullivan*, 987 F2d 913, 916 [2d Cir 1993] [''where a service provider voluntarily participates in a price-regulated program or activity, there is no legal compulsion to provide service and thus there can be no [regulatory] taking'']).[26]

Plaintiffs contend that Empire had no true choice in the matter, that conversion under Chapter 1 was compelled because it

26. Plaintiffs' reliance on *Illinois Clean Energy Community Found. v Filan* (392 F3d 934 [7th Cir 2004] [*ICECF*]) is misplaced. There, Illinois authorized a $4.8 billion sale of Commonwealth Edison's power plants so long as the utility agreed to fund a new energy conservation foundation with $225 million from the sale's proceeds. Later, after the foundation had been established, the State Legislature amended the authorizing statute to require that the *foundation* give $125 million of its assets to the State. The Seventh Circuit found this a taking of the foundation's property. In *ICECF*, the foundation sued over legislation which was retroactively amended to require it to turn assets over to the State. Here, on the other hand, Empire was given the

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was Empire's only realistic option for survival. But any duress stemmed from Empire's inability to prosper as a not-for-profit organization, not from pressure exerted by the State. From at least as early as 1997, Empire planned to convert, merge or dissolve.

In any event, Chapter 1 does not unduly interfere with Empire's legitimate property interests. As we noted in our exaction discussion, the dedication of conversion assets to support public health programs and to recruit and retain health care workers is wholly consistent with Empire's historic mission. Chapter 1 allows Empire to continue as a for-profit corporation, placing it in a better competitive position than otherwise would have been its lot. Since Empire's Board has determined that the most feasible way of continuing as a provider of health insurance in New York is through restructuring, it cannot be said that Chapter 1's dedication of Empire's not-for-profit assets to public health purposes unduly interferes with Empire's legitimate property interests or ''investment-backed expectations.''

3. Per Se Taking

[8] Plaintiffs allege that the transfer of the stock sale's proceeds to the public asset fund constitutes a per se taking because it is a ''direct physical invasion'' of Empire's property (*see Loretto v Teleprompter Manhattan CATV Corp.*, 458 US 419, 426 [1982]). This claim is without merit. There can be no direct physical invasion where a corporation voluntarily elects to proceed under a statute allowing it to convert from a financially distressed not-for-profit to a new for-profit entity.

Due Process

Plaintiffs allege that Chapter 1 deprives Empire of its property interests without due process of law. This claim is based on article I, § 6 of the State Constitution and the Fifth Amendment of the Federal Constitution, made applicable to the states by the Fourteenth Amendment, which provide that no person shall ''be deprived of life, liberty, or property, without due process of law.''

[9] Plaintiffs contend that process is lacking because Chapter 1's procedural safeguards do not encompass any input from the public, the Attorney General or Supreme Court into how Empire's not-for-profit assets are to be deployed. To the contrary, however, Chapter 1 provides Empire with process and

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choice to convert, knowing that if it did, Chapter 1 directs that its not-for-profit assets will be used for public health purposes.

plaintiffs with a remedy to grieve many of the Superintendent's determinations.

First, Empire had to choose to proceed with the conversion. Second, public hearings were required. Third, the Superintendent could only approve the conversion if he first determined that it would not adversely affect Empire's subscribers or "the delivery of health care benefits and services to the people of the state of New York" (Insurance Law § 7317 [b]). Finally, if plaintiffs took issue with the Superintendent's approval of the plan, they had the right to challenge it in a CPLR article 78 proceeding.

Contract Clause

Plaintiffs contend that Chapter 1 violates article I, § 10 (1) of the Federal Constitution, which provides that "[n]o State shall . . . pass any . . . Law impairing the Obligation of Contracts." This provision "bars the States from enacting legislation impairing the obligation of contracts" (*Patterson v Carey*, 41 NY2d 714, 721 [1977]). Plaintiffs also bring this claim under article I, § 6 of the New York Constitution, which provides that "[n]o person shall be deprived of life, liberty or property without due process of law." Under this provision "the State may not deprive a party to a contract of an essential contractual attribute without due process of law" (41 NY2d at 720).

[10] Plaintiffs assert that Empire's certificate of incorporation (COI) is a contract between Empire and the public, and that this contract was substantially impaired by Chapter 1. The COI is not a contract (*see Cook v City of Binghamton*, 48 NY2d 323 [1979] [while legislation (i.e., N-PCL 403, providing that corporate existence begins with filing of COI) may create contractual rights, presumption is that it does not]). There is no indication that the Legislature, in enacting the Not-For-Profit Corporation Law, intended to make the COI a binding contract between not-for-profit corporations and the public. "[W]here there is no existing contractual agreement regarding the terms changed by the legislation, there is no need to consider whether there was in fact an impairment and whether it was substantial" (*Ballentine*, 89 NY2d at 60).

Chapter 1 does not impair the COI. A COI may be changed in any number of ways (*see* N-PCL 801 [b] [2] [allowing corporation to change its corporate purposes]; NY Const, art X, § 1 [giving Legislature authority to change laws under which corporations are formed]). Chapter 1 did not change the COI; actions by Empire and the Superintendent changed the COI. Moreover, plaintiffs do not challenge the only ''impairment'' that results from Chapter 1; namely, Empire's conversion from not-for-profit to for-profit status. As a not-for-profit corporation, Empire was bound to carry out its not-for-profit purposes, but these purposes do not constitute a contract that Chapter 1 impairs.

Fiduciary Duty/N-PCL

Plaintiffs broadly allege that notwithstanding Chapter 1, the conversion was required to follow the procedures in N-PCL 510 and 511. They also contend that Empire's Board breached its fiduciary duty by deciding to convert. Indeed, plaintiffs allege that even before Chapter 1 was enacted, the Board breached its fiduciary duty by ''invit[ing] the politician-legislators'' to decide how its assets should be used after the conversion rather than making its own determination.

[11] The short response to this claim is that Chapter 1 supersedes all inconsistent common-law and statutory duties (Insurance Law § 7317 [f] [ii]). Even were the Court to somehow overcome this obstacle, the business judgment rule, which we discussed most recently in *40 W. 67th St. v Pullman* (100 NY2d 147 [2003]), bars plaintiffs' claims. To the extent that plaintiffs complain about action occurring before Chapter 1 was enacted (i.e., ''inviting'' the Legislature to decide how to allocate Empire's not-for-profit assets), this claim is without merit because the plan of conversion—whether the one presented to the Superintendent in 1999 or the one presented to him after Chapter 1's enactment—was, in the Board's judgment, necessary to safeguard Empire's continued viability (*see Auerbach v Bennett*, 47 NY2d 619, 629 [1979] [the business judgment rule ''bars judicial inquiry into actions of corporate directors taken in good faith and in the exercise of honest judgment in the lawful and legitimate furtherance of corporate purposes'']).

Exclusive Privileges Clause

Plaintiffs argue that Chapter 1 violates article III, § 17 of the State Constitution by authorizing Empire alone to convert to a for-profit corporation. Article III, § 17 prohibits the Legislature from adopting a ''private or local bill'' falling into 1 of 14 specified categories. The twelfth category encompasses bills ''[g]ranting to any private corporation . . . any exclusive privilege, immunity or franchise whatever.'' Thus, two elements are required in order for a bill to offend article III, § 17. First, the bill must be directed at a single entity (*see Matter of Henneberger*, 155 NY 420, 425-426 [1898] ["the fact that an act operates only upon a limited area, or upon persons within a specified locality and not generally throughout the state, is, in most cases, a reasonably accurate test by which to determine whether the act is general or local" (internal quotation marks omitted)]). Second, the bill must confer a privilege upon the single entity to the exclusion of all others. Both elements—singleness and exclusivity—must be present. Otherwise, all legislation directed at a single entity would be invalid.

[12] Chapter 1 is a "private or local bill" because it applies only to Empire. But Chapter 1 does not confer an exclusive privilege because it does not authorize Empire to prevent others from seeking to convert under similar parameters, or promise Empire that other not-for-profits will not be granted similar rights (*see Trustees of Exempt Firemen's Benevolent Fund of City of N.Y. v Roome*, 93 NY 313, 328 [1883] ["exclusive" means that the privilege the beneficiary receives from the local or private law would be "disturbed or invaded if the State should give to another corporation" the same rights]; *Matter of Union Ferry Co. of Brooklyn*, 98 NY 139, 150 [1885] ["The constitutional prohibition was evidently aimed at monopolies. At granting to corporations or individuals not merely privileges and franchises not possessed by others, but the right to exclude others from the exercise or enjoyment of like privileges or franchises"]).[27] Indeed, Chapter 1 only grants Empire the right to operate as a for-profit insurer, a right that numerous other insurers currently enjoy in New York, and which others may receive upon application to the Superintendent. Because the privilege granted to Empire is not exclusive, Chapter 1 does not violate article III, § 17.

IV.

Plaintiffs do not challenge Empire's actual conversion from a not-for-profit to a for-profit corporation. Instead, they decry the uses to which the conversion's proceeds—Empire's not-for-profit assets—will be put. They particularly object to funding the recruitment and retention of health care workers. They warn that unless we rule in their favor, Chapter 1 will mark "but the

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27. The 1938 Constitutional Convention expressly endorsed *Union Ferry*'s reasoning that the Exclusive Privileges Clause was aimed at monopolies (*see* 7 Report of 1938 NY Constitutional Convention Comm, Problems Relating to Legislative Organization and Powers, at 84).

first step in a progressive cannibalization of New York's non-profit sector'' by the Legislature.[28] These strong words are justified, plaintiffs insist, because the Legislature, after neutralizing the Attorney General's and the Board's capacity or appetite to resist, ignored Empire's not-for-profit purposes when designating uses for Empire's not-for-profit assets.

[13] We cannot agree. Even plaintiffs define Empire's mission as ''promoting affordable and accessible health care coverage,'' a broad expression of purpose. Fidelity to this purpose does not mandate creation of a charitable foundation devoted to health care funded by the entirety of Empire's not-for-profit assets, plaintiffs' preferred policy choice. Fidelity to this purpose surely does not compel neglecting the needs of New York's hospitals. The hospitals and Empire have always played mutually supportive roles in our state's interrelated and complex health care delivery system. Specific programs to be funded with conversion proceeds—such as EPIC and Child Health Plus—benefit the uninsured or the underinsured. In short, Chapter 1 designates a range of public health-related uses that fall comfortably within a reasonable interpretation of Empire's historic not-for-profit mission.

Accordingly, the order of the Appellate Division should be modified, with costs to defendants, by granting defendants' motions to dismiss the amended complaint and, as so modified, affirmed. The certified question should be answered in the negative.

G.B. SMITH, J. (dissenting in part). I join in the dissent of Judge Robert Smith. In addition, because plaintiffs have stated a viable cause of action for breach of a fiduciary duty against the Board of Directors of Empire HealthChoice, Inc. doing business as Empire Blue Cross and Blue Shield (Empire), I dissent from the dismissal of that claim. Because not-for-profit directors that serve charitable entities and administer charitable as-

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28. Although the language in Judge R.S. Smith's dissent is decidedly more tempered, it likewise tends to focus on a ''parade of horribles'' and hypothetical legislative abuses (e.g., legislation ''compel[ling] the use of 95% of an art museum's money for prison construction'' [R.S. Smith dissenting in part op at 377]) far removed from the facts of this case. As Justice Samuel Miller instructed in *United States v Lee* (106 US 196, 217 [1882]): ''Hypothetical cases of great evils may be suggested by a particularly fruitful imagination in regard to almost every law upon which depends the rights of the individual or of the government, and if the existence of laws is to depend upon their capacity to withstand such criticism, the whole fabric of the law must fail.''

sets (e.g., Empire's directors) are fiduciaries, and the fiduciary duties of care, loyalty and obedience govern the conduct of such not-for-profit directors, their fiduciary obligations are far too important to be superceded by statute without an adequate justification or explanation. I would therefore permit the plaintiffs to proceed on this claim.

Facts

Background[1]

Empire was incorporated as a Type B corporation under the Not-For-Profit Corporation Law (N-PCL) and chartered under article 43 of the Insurance Law to provide affordable, prepaid hospital and medical services/insurance coverage to lower and middle income persons statewide. Empire endeavored to accomplish this mission through a combination of initial charitable funding, donations, subscription receipts, tax exemptions, reduced hospital rates, and private and governmental administrative contracts.

In the 1980's and 1990's, a number of events (i.e., the removal of Empire's favorable hospital reimbursement differential; revocation of Empire's tax exempt status [based on the United States General Accounting Office finding that Empire's underwriting practices were similar to those of commercial insurers]; and the fact that hospital and medical costs rose faster than approved subscription rates), and Empire's employment of community rating (a single premium applicable to all subscribers without regard for past medical history or projected use of medical resources) and open enrollment (guaranteed access to coverage) allowed commercial insurers, who could offer lower rates than Empire, to compete for and ultimately siphon off Empire's larger and healthier groups.[2] This increased competition from commercial insurers, coupled with the rapid growth of health management organizations

1. Because this controversy involves motions to dismiss for failure to state a cause of action (*see* CPLR 3211 [a] [7]), the court must assume the truth of the allegations in the pleading, "resolve all inferences which reasonably flow therefrom in favor of the pleader" (*Sanders v Winship*, 57 NY2d 391, 394 [1982]) and "determine . . . whether the facts alleged fit within any cognizable legal theory" (*Morone v Morone*, 50 NY2d 481, 484 [1980]).

2. Empire retained most of the individual and small group markets, which generally contained less healthy subscribers.

(HMOs), caused Empire to suffer a high rate of subscriber attrition.[3]

Between 1993 and 1997, the Legislature eliminated major distinctions between Empire and the commercial insurers with which it competed, requiring that insurers employ community rating and open enrollment and, as previously mentioned, eliminating the hospital reimbursement differential between not-for-profit insurers, like Empire, and commercial insurers. Although Empire started to recover, Empire's directors eventually concluded that it had to restructure as a for-profit corporation in order to remain viable.

In the late 1990's, Empire drafted a restructuring proposal to transform Empire into a newly-organized charitable foundation, funded by the sale of 100% of the stock of a new, for-profit Empire. Under this proposed plan, Empire would transfer its insurance, HMO, and other businesses and assets to two for-profit subsidiaries of Empire Health Care, Inc., a for-profit stock corporation that would be wholly owned by Empire. Empire would then sell a portion of its Empire Health Care, Inc. shares to the public, and Empire Health Care, Inc. would issue and sell new shares of its common stock. The proceeds of these sales, and any unsold shares of Empire Health Care, Inc.'s stock, would be transferred to the new charitable foundation and Empire would dissolve within two years of the plan's implementation.[4]

On December 29, 1999, after the proposed plan went through various revisions and was the subject of a number of Attorney General-sponsored public information sessions, the Superintendent of Insurance issued a final opinion and decision approving

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3. From 1986 to 1995, Empire's net operating losses exceeded $800 million and its subscriber base dwindled from 10 million to less than 5 million.

4. On April 11, 1997, Ira M. Millstein, outside counsel to Empire, testified before the New York State Assembly Standing Committees on Insurance and Health regarding Empire's proposed restructuring plan in light of the responsibilities of Empire's directors, given the economic circumstances of the company and the changing competitive environment in which Empire operates. Millstein discussed at length the duties owed by Empire's directors (i.e., the duty of care, duty of loyalty and duty of obedience). However, regarding the duty of obedience, Mr. Millstein stated, "When the operating environment changes, such that continuing *status quo* operation is uneconomic, not for profit boards face a considerable challenge to protect assets and perpetuate the organization, while meeting the 'duty of obedience.' This is graphically demonstrated in the case of Empire" (Millstein Testimony at 10).

Millstein's testimony was given with the original restructuring plan in mind (100% of Empire's value to a charitable foundation).

the plan for the conversion of Empire into a for-profit corporation. The Superintendent approved the plan in spite of Insurance Law § 4301 (j) which, at that time, barred such conversions. The Superintendent argued that section 4301 (j) was not applicable to Empire's proposed conversion. However, the State Attorney General's Office, which from 1997 to 2001 considered and modified Empire's restructuring plan with a view towards preserving and protecting Empire's value as a charitable asset, disagreed with the Superintendent regarding whether the plan as approved was legal given the existing Insurance Law and N-PCL.

After the Attorney General raised questions as to the validity of the proposed restructuring plan under the existing law, Empire did not restructure under this plan. Instead, Empire sought the legislative changes necessary to effect the plan. This proposed legislation, however, met with strong opposition from two powerful organizations, the Greater New York Hospital Association (GNYHA) and the health and human service union (Local 1199), and initially was not passed.[5] Faced with what they termed ''political stasis,'' Empire's Board of Directors, in August 2001, sent a letter to Governor Pataki, Senate Majority Leader Bruno and Speaker of the Assembly Silver (1) to seek the Legislature's assistance in getting the legislation passed; and (2) to ask the Legislature to substitute its judgment for that of Empire's Board of Directors in determining the disposition of Empire's assets.[6] Plaintiffs suggest that Empire received the assistance it wanted through some political maneuvering,

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5. Plaintiffs alleged, upon information and belief, that GNYHA and Local 1199, in or about June 2001, agreed to drop their opposition to the plan in exchange for Empire's agreement that half of the funds realized would go to the proposed foundation (with the goal of increasing access to health care and coverage) while the other half would go to a foundation ''supporting hospitals' purchases of 'new computer systems or information technology . . . [to] help eliminate medical errors.' ''

6. The August 2001 letter provides, in pertinent part:

> ''We write to call your attention to the fact that failure to enact legislation this year, enabling the corporation to become a for-profit enterprise, will put the viability of Empire at risk—for no explicable reason beyond a political stasis. Failure to act also puts at risk the creation of a foundation worth $1 billion to be used for health care for New York residents.
>
> ''1. Empire has been engaged in the process of seeking to restructure as a for-profit company for five years. Empire's continued viability in a competitive market is compromised without the passage of this legislation. Similar legislation has been enacted in a number of other states, most recently New

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i.e., they allege, upon information and belief, that representatives from Local 1199 and Governor Pataki, in or about November 2001, engaged in secret negotiations/discussions regarding how to use the majority of Empire's assets to fund a labor contract between the union and members of the GNYHA. Shortly thereafter, on or about January 24, 2002, the Governor proposed Chapter 1 of the Laws of 2002. Within a day of the Governor's proposal, the Legislature enacted Chapter 1 of the Laws of 2002.

Chapter 1 added five new paragraphs to Insurance Law § 4301 (j),[7] and created Insurance Law § 7317.[8] While Chapter 1 does not generally amend the law with respect to conversion of not-for-profit insurers, according to the bill sponsor's Memorandum

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> Jersey. Many other Blue Cross Plans including Connecticut Blue Cross have declared their intention to convert. . . .
>
> ''7. There is $1 billion of current value (Empire's worth) on the table ready to be placed in a foundation dedicated to health care, once the legislation is passed.
>
> ''8. *The only significant reason we can see for a delay at this point is an inability to agree on how to divide the foundation's income. This is not an issue Empire can resolve, only you can resolve it. . . .*
>
> ''10. If you cannot agree on how to divide the $1 billion in foundation proceeds, then let the legislation pass, create one or more foundations, and let the foundation boards make the decision.
>
> ''The opportunity to unlock $1 billion in value, to be put to public health care use for the people of New York, is something that should not be wasted.'' (Emphasis added.)

7. For example, Insurance Law § 4301 (j) (1), which sets forth the general rule that medical expense indemnity corporations may not convert to for-profit entities, provides that:

> ''[n]o medical expense indemnity corporation, dental expense indemnity corporation, health service corporation, or hospital service corporation shall be converted into a corporation organized for pecuniary profit. Every such corporation shall be maintained and operated for the benefit of its members and subscribers as a co-operative corporation.''

However, an exception to the above rule is set forth in Insurance Law § 4301 (j) (2). Section 4301 (j) (2) provides that:

> ''[a]n article [43] corporation which was the subject of an initial opinion and decision issued by the superintendent [of insurance] on or before December [31, 1999], as the same may be amended, may be converted into a corporation or other entity organized for pecuniary profit, or into a for-profit organization, in any such case, in accordance with the provisions of section [7317] of this chapter.''

8. For example, Insurance Law § 7317 (a) (1), which sets forth the requirements for the restructuring plan that must be submitted under Chapter 1, provides that:

(n. cont'd)

in Support, one of the purposes of the bill was to ''authorize the conversion of Empire Blue Cross to for-profit status.''[9] (2002 McKinney's Cons Laws of NY, at 1635.)

Contrary to Empire's original restructuring plan, which called for the distribution of 100% of the value of Empire's assets towards charitable purposes, Chapter 1 would require that 95% of the value of Empire's stock be deemed a ''public asset'' and 5% a ''charitable asset'' (*see* Insurance Law § 4301 [j] [3], [5]).[10] Chapter 1 directs that the public asset be turned over to a public asset fund (*see* Insurance Law § 4301 [j] [4]; § 7317 [e]) managed by a five-person board appointed by the Governor, Temporary President of the Senate and the Speaker of the Assembly. The net proceeds of the public asset fund are transferred to the Director of the Budget for deposit into the Tobacco Control and Insurance Initiatives Pool.[11] On the other hand, Chapter 1 directs that the charitable asset (5% of Empire's total anticipated value) be turned over to a charitable organization/foundation (*see* Insurance Law § 4301 [j] [5]; § 7317 [k] [1]) governed by various political appointees.

On or about June 18, 2002, pursuant to Chapter 1, Empire filed an Amended Plan of Conversion with the New York Department of Insurance. Empire filed this Amended Plan knowing that the requirements pertaining to the allocation of its value

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> ''[a]n article [43] corporation which was the subject of an initial opinion and decision issued by the superintendent on or before December [31, 1999], as the same may be amended, which seeks to convert into a corporation or other entity organized for pecuniary profit or into a for-profit organization of any kind shall submit a proposed plan of conversion to the superintendent for approval pursuant to this section.''

Additionally, Chapter 1 supercedes statutory and common law relating to not-for-profit corporations, and fiduciary requirements applicable to the board of directors filing a plan pursuant to section 7317 (a) (1) (*see* Insurance Law § 7317 [f] [ii]).

9. Although the statute is written as applying generally, it has been acknowledged on a number of occasions, including in Supreme Court's February 2003 order, that this legislation was only meant to apply to Empire.

10. Chapter 1 provides for this value allocation even though both the Superintendent of Insurance and the Attorney General had previously recognized that Empire's entire value was a charitable asset.

11. Under Chapter 1, over $700 million, which represents about two thirds of the total anticipated value of Empire (and nearly 75% of the public asset fund), would be used to pay hospitals, nursing homes and certain personal care agencies in order to assist in the recruiting and retention of nonmanagerial health professionals over a three year period, i.e., the monies would be used to fund salaries and raises for these workers during that time.

under the Amended Plan (95% for public uses determined by the State and 5% for a charitable foundation) were drastically different than the allocation provided for in its original restructuring plan (100% for charitable uses).

Procedural History and Parties

On August 20, 2002, plaintiffs commenced the instant action in Supreme Court, New York County, against Empire and various New York State defendants (State defendants).[12] Plaintiffs asserted nine claims, including one for breach of fiduciary duty.[13] Regarding the cause of action for breach of fiduciary duty, plaintiffs alleged that, ''Empire's Directors abdicated and breached their fiduciary duties of care, loyalty and obedience by[ ]: (i) abandoning the [original 1997] Restructuring Plan . . . ; (ii) asking the Legislature to substitute its judgment in determining the disposition of Empire's assets; and (iii) ignoring requests to exercise its fiduciary duty and instead simply acquiescing in the Legislature's taking of Empire's value for purposes other than carrying out Empire's mission.''

On September 20, 2002, both Empire and the State defendants moved to dismiss plaintiffs' complaint in its entirety. By decision and order dated February 28, 2003 (and filed March 7, 2003), Supreme Court found that a number of the plaintiffs lacked standing. As to the remaining plaintiffs, Supreme Court granted defendants' motions and found that each cause of ac-

12. This action was commenced on behalf of: (1) Consumers Union of U.S., Inc. (CU); (2) National Multiple Sclerosis Society, New York City Chapter; (3) Housing Works, Inc.; (4) Disabled in Action of Metropolitan New York; (5) New York Statewide Senior Action Council, Inc.; (6) Jeffrey Friedwald; (7) Betty Sicher and Charles Sicher; (8) Carla Meyer; and (9) Alain Filiz. Of these plaintiffs, only CU and the individual plaintiffs have standing to sue. Their interests in this action follow. CU, which according to the complaint has a group subscriber contract with Empire, alleges that ''[i]ncreased premiums or reduced benefit payments'' resulting from the Empire conversion would increase CU's administrative costs. CU further alleges that this would harm both it and its employees who have elected Empire coverage. The individual plaintiffs (Friedwald, the Sichers, Meyer and Filiz) allege in the complaint that they ''will be harmed when their premiums go up as a result of the conversion and Empire's assets are diverted from promoting greater accessibility and affordability of health coverage and care.''

13. The causes of action consisted of (1) impairment of contract; (2) impairment of vested interests or property rights without due process of law; (3) unreasonable taking of private property for public use; (4) taking of property without just compensation; (5) deprivation of civil rights in violation of 42 USC § 1983; (6) a demand for a declaration that conversion is invalid for failure to comply with N-PCL 510, 511 and/or 1001 *et seq*.; (7) breach of fiduciary duty and enforcement of trust; (8) constructive trust; and (9) a demand for a declaration that Chapter 1 does not permit the instant conversion of Empire.

tion in the complaint failed to state a cause of action upon which relief could be granted.

Although it dismissed all claims asserted by plaintiffs against both Empire and State defendants, Supreme Court, on its own initiative, expressed the view that the ‘‘factual allegations in the complaint clearly suffice to support a cause of action for violation of Article III, § 17 (unnumbered subsection 12) of the State Constitution [i.e., the Exclusive Privileges Clause].’’ With leave of the court, plaintiffs filed an amended complaint, dated March 31, 2003, that alleged one violation of the Exclusive Privileges Clause. Empire and State defendants again moved to dismiss. By decision and order dated October 1, 2003 (and filed October 2, 2003), Supreme Court denied these motions.

On May 20, 2004, the Appellate Division, First Department affirmed: (1) the dismissal of plaintiffs’ August 20, 2002 complaint; and (2) Supreme Court’s decision to sustain plaintiffs’ claim alleging a violation of the Exclusive Privileges Clause. The Appellate Division granted the plaintiffs and defendants leave to appeal.

Discussion

Given the fact that not-for-profit organizations generate and spend billions of dollars, many not-for-profit boards and individual directors rival their for-profit counterparts in terms of influence exerted and power wielded. However, the checks on the power of not-for-profit and for-profit directors are quite different.[14] In New York, the State Attorney General’s Office normally oversees the conduct of not-for-profit directors (*see* New York State Attorney General Charities Bureau, The Regulatory Role of the Attorney General’s Charities Bureau, <http://www.oag.state.ny.us/charities/role.pdf>, cached at <http://www.courts.state.ny.us/reporter/webdocs/role.pdf>). However, in this case, regarding the instant transaction, the Attorney General’s Office, which is also charged with defending the Legislature’s enactments, has a conflict that prevents it from performing its oversight role.[15] Because of this unique situation, it is of paramount importance not only that standing be given to the plaintiffs (a conclusion reached by the majority), but also

14. For example, not-for-profit organizations and their directors are not subject to the disclosure requirements of the Securities and Exchange Commission.

15. In fact, the Attorney General has not commented one way or the other on plaintiffs’ breach of fiduciary duty claim.

that not-for-profit directors adhere to their fiduciary duties and that fiduciary requirements, in general, be strictly enforced.

The fiduciary duties of care, loyalty and obedience are the legal standards that govern the conduct of not-for-profit boards and individual directors in their day-to-day relationship to the organizations they serve.[16] Specifically, N-PCL 717 (a) states in part, ''Directors and officers shall discharge the duties of their

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16. The Attorney General enforces the duties of care, loyalty and obedience (*see* The Regulatory Role of the Attorney General's Charities Bureau, at 3-4). Definitions of these duties are set forth below.

> ''1. The duty of care: The common law duty of care requires that the trustees, directors and officers of charitable organizations be attentive to the organization's activities and finances and actively oversee the way in which its assets are managed. This includes attending and participating in meetings, reading and understanding financial documents, ensuring that funds are properly managed, asking questions and exercising sound judgment. New York has codified the standard for the duty of care in N-PCL § 717, which provides that directors and officers of not-for-profit corporations 'shall discharge the duties of their respective positions in good faith and with the degree of diligence, care and skill which ordinarily prudent [persons] would exercise under similar circumstances in like positions.' *See also* EPTL §§ 11-1.7, 11-2.2 & 11-2.3.
>
> ''2. The duty of loyalty: The common law duty of loyalty requires trustees, directors and officers to pursue the interests and mission of the charitable organization with undivided allegiance. Private interests must not be placed above the charity's interests. The N-PCL addresses certain aspects of this duty. For example, the N-PCL requires directors and officers to act in 'good faith' (N-PCL § 717), contains an absolute prohibition against loans to directors and officers (N-PCL § 716) and contains restrictions on self-dealing transactions (N-PCL § 406 & 715), as does EPTL § 8-1.8.
>
> ''3. The duty of obedience: The common law duty of obedience includes the obligation of directors and officers to act within the organization's purposes and ensure that the corporation's mission is pursued. There is no explicit reference to the duty of obedience in the N-PCL. However, the duty may be inferred by the limitations imposed upon corporate activities as set forth in the purposes clause of the certificate of incorporation (N-PCL §§ 201, 202 & 402 (a) (2)) and the directors' and officers' obligations as the corporate managers of the not-for-profit organization (N-PCL § 701 & 713). EPTL § 11-2.3 (b) (3) (B) explicitly refers to the needs of a trust's beneficiaries'' (*id.* at 4).

Further, the duty of loyalty ''requires a director to have undivided allegiance to the organization's mission when using the power of his position or information he possesses concerning the organization or its property'' (*see* Bjorklund et al., New York Nonprofit Law and Practice: With Tax Analysis § 11-3[a], at 393 [1997]).

respective positions in good faith and with that degree of diligence, care and skill which ordinarily prudent men would exercise under similar circumstances in like positions.'' Proper discharge of these duties ensures that a not-for-profit board's financial decisions are made soundly and legally, that an individual director, when faced with an opportunity that could benefit both the organization and him/herself, acts in the organization's interest first, and that the board prudently manages its assets in furtherance of its organization's stated charitable purpose, among other things. Put another way, these fiduciary duties are the high standards by which not-for-profit boards and individual directors are held accountable for the decisions they make and transactions they engage in. Being held to such a high standard of accountability would seem especially important when not-for-profit directors initiate and follow through with a plan that drastically changes the fundamental character of the corporation, like the instant Amended Plan of Conversion.

Turning to Chapter 1, Insurance Law § 7317 (f) (ii)[17] provides that it supercedes all inconsistent common-law and statutory duties, including fiduciary requirements. Chapter 1 does not set forth an adequate justification or explanation as to why it is appropriate to: (1) eliminate a not-for-profit director's fiduciary responsibilities; and (2) immunize that director from breach of fiduciary duty claims. As discussed above, fiduciary duties govern how a director performs his or her daily functions. Accordingly, the importance of these duties necessitates a rule that

17. Insurance Law § 7317 (f) (ii) provides:

''This section shall be deemed to supercede all otherwise applicable laws and legal requirements and compliance with this section and subsection (j) of section four thousand three hundred one of this chapter and the use of such funds as provided in such section, and in subsection (k) of this section, shall be deemed to constitute compliance with and shall supercede all such other legal requirements, including, but not limited to, statutory, common law and any other requirements relating to not-for-profit corporations and fiduciary requirements applicable to the board of directors of any company filing a plan pursuant to this section. In addition, and not in limitation of the foregoing, a transaction approved by the superintendent shall be deemed for all purposes to be a transaction that is fair and reasonable to an applicant and to promote the purposes of that applicant, and the use of proceeds as described herein shall be deemed for all purposes to be a use for a purpose that is consistent with and as near as may be to the purposes for which the applicant was originally organized and subsequently operated.''

would prevent legislation of this kind in the absence of an adequate justification or explanation. Assessing the facts here, are the duties of care, loyalty and obedience, duties that a not-for-profit director must generally adhere to, so repugnant to Chapter 1 that their survival would deprive it of its efficacy and render its provisions nugatory (*see Woollcott v Shubert*, 217 NY 212, 220 [1916])? If the answer to this question is yes, that might be a proper justification or explanation for eliminating a not-for-profit director's fiduciary responsibility for a particular transaction. However, such a conclusion is not within the realm of contemplation.[18]

As noted above, plaintiffs argue that Empire's Board breached its fiduciary duty to preserve Empire's assets and pursue the corporation's charitable mission when it asked the Legislature to substitute its judgment in determining the disposition of Empire's assets (August 2001 letter) and acquiesced in the Legislature's taking substantially all of Empire's value for purposes other than carrying out Empire's mission (June 2002 Amended Plan of Conversion). According to the majority, ''the heart of plaintiffs' grievance[ ] is that assets from the restructuring are not going to be used to further Empire's historic charitable purposes'' (majority op at 347-348).

The majority counters plaintiffs' contention by making two arguments. First, the majority argues that Chapter 1 ''supersedes all inconsistent common-law and statutory duties'' (*id.* at 360; *see* Insurance Law § 7317 [f] [ii]).[19] Second, the majority argues that, ''Even were the Court to somehow overcome this obstacle, the business judgment rule . . . bars plaintiffs' claims'' (majority op at 360).[20]

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18. In fact, there appears to be no adequate justification or explanation for elimination of the fiduciary obligations of not-for-profit directors.

19. As noted above, I believe this provision should be struck down.

20. See *Auerbach v Bennett* (47 NY2d 619, 629 [1979] [''(The business judgment) doctrine bars judicial inquiry into actions of corporate directors taken in good faith and in the exercise of honest judgment in the lawful and legitimate furtherance of corporate purposes. 'Questions of policy of management, expediency of contracts or action, adequacy of consideration, lawful appropriation of corporate funds to advance corporate interests, are left solely to their honest and unselfish decision, for their powers therein are without limitation and free from restraint, and the exercise of them for the common and general interests of the corporation may not be questioned, although the results show that what they did was unwise or inexpedient' '' (citation omitted)]). Note, *Auerbach* involved a for-profit corporation formed under the Business Corporation Law.

As to the majority's first argument, Chapter 1 not only improperly eliminates the fiduciary responsibility of directors but also seeks to prevent any judicial review of their actions. Chapter 1 is improper not only in eliminating the long-standing fiduciary responsibility imposed upon directors of not-for-profit corporations by N-PCL 717, but also by effecting a taking in violation of both the federal and state constitutions (*see* dissenting in part op of R.S. Smith, J.).

In addition, there are two reasons why the majority's second argument fails. First, the business judgment rule generally applies in commercial contexts; as such, the rule does not apply to Empire or other entities organized under the N-PCL. In *Matter of Levandusky v One Fifth Ave. Apt. Corp.* (75 NY2d 530 [1990]), this Court considered whether the business judgment rule should be applied to a building policy decision made by directors of a residential cooperative corporation governing board. This Court held that a standard of review analogous to the business judgment rule should be applied (*see Levandusky*, 75 NY2d at 537). In so concluding, this Court recognized that cooperative housing corporations function like for-profit entities and that they are formed under the Business Corporation Law.[21] Also, this Court limited this standard of review to the decisions of cooperative and condominium boards (*see Levandusky*, 75 NY2d at 537). The Court did not make a statement as to whether a similar rule would be applied to review the decisions of other types of not-for-profit corporations or organizations.

Second, even if the business judgment rule, or an analogous rule were applicable here, a significant tension between the rule and the not-for-profit directors' fiduciary duties is evident. Under the business judgment rule, courts cannot inquire into actions of corporate directors taken in good faith and in the exercise of honest judgment in the lawful and legitimate furtherance of corporate purposes. However, it is well settled that the business judgment rule does not apply to boards or individual directors who fail to act in good faith or within the scope of their authority (*see Levandusky* at 538; *Board of Mgrs. of 229 Condominium v J.P.S. Realty Co.*, 308 AD2d 314 [1st Dept 2003]). Thus, in order for a not-for-profit director to act in good faith, etc., he or she must necessarily exercise his/her fiduciary responsibilities (e.g., the duties of care, loyalty and obedience).

21. While cooperative housing corporations are formed under the Business Corporation Law, Empire was formed pursuant to the N-PCL.

Relying on the business judgment rule, the majority argues that,

> ''To the extent that plaintiffs complain about action occurring before Chapter 1 was enacted (i.e., 'inviting' the Legislature to decide how to allocate Empire's not-for-profit assets), this claim is without merit because the plan of conversion—whether the one presented to the Superintendent in 1999 or the one presented to him after Chapter 1's enactment—was, in the Board's judgment, necessary to safeguard Empire's continued viability'' (majority op at 360 [citation omitted]).

However, the Empire directors' August 2001 letter ''inviting'' the Legislature to decide how to allocate Empire's not-for-profit assets, as well as the June 2002 conversion plan, activities that are clearly in derogation of Empire's mission and corporate purpose, arguably amount to abdications of responsibility[22] and/or breaches of the fiduciary duties of care, loyalty and obedience. In other words, since there is a question as to whether the Empire directors breached their fiduciary duty, it cannot be presently argued that Empire's directors engaged in the type of actions that would shield them from judicial inquiry under the business judgment, or analogous, rule. Accordingly, it is premature to assert that: (1) the business judgment rule bars plaintiffs' claims; and (2) a court is not able to inquire into the actions of Empire's directors.

In sum, Empire's directors, by seeking to convert from a not-for-profit to a for-profit entity, by seeking the legislation necessary to facilitate such conversion, and by seeking the assistance of the Governor and the Legislature to pass such legislation, essentially sought to be bailed out by the State. In exchange for the bailout, the directors agreed that 95% of the value of Empire's assets would be used for public uses to be determined by the State and 5% for charitable purposes. In addition to agreeing to the asset allocation set forth above, Empire's directors also acceded to the elimination of their fiduciary obligations. Although not specifically stated in the record, apparently Empire's directors wanted to be immunized from challenges

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22. Under N-PCL 701 (a), the ''corporation shall be managed by its board of directors,'' not the Legislature or other government body. Clearly, the board of directors' management responsibility extends to the management of the corporation's assets.

that they breached their fiduciary duties.[23] This immunity was provided for in Chapter 1.[24]

Conclusion

By upholding the portion of Chapter 1 that provides for the elimination of the fiduciary obligations of not-for-profit directors, this Court sets a dangerous precedent. Instead of striking down a measure that weakens the accountability of corporate directors, the majority has upheld it. New York State, like most states, seeks to promote strong corporate governance (accountability) rules. In view of recent scandals involving both for-profit and not-for-profit entities, the majority's holding is a step backwards.

The stated charitable mission and purpose of the organization are of primary importance when the not-for-profit board discharges its fiduciary obligations. The board must not act in contravention of that mission. Adherence to the legal standards that guide the conduct of not-for-profit boards, i.e., the fiduciary duties of care, loyalty and obedience, ensures that the day-to-day functions performed by the board are consistent with the organization's mission and purpose. Here, Chapter 1 annuls the fiduciary obligations of not-for-profit directors for no good reason.[25] Taking this into account, as well as the fact that, here, the Attorney General cannot exercise his normal oversight role over the conduct of Empire's board,[26] there is no way to hold the Empire board accountable for its actions related to the proposed conversion from a not-for-profit to a for-profit entity, a

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23. But recall, Empire's outside counsel alluded to challenges regarding adhering to the duty of obedience (*see* n 4 at 364).

24. While this dissent addresses only the fiduciary responsibilities of the directors of Empire, plaintiffs may also have a valid argument with respect to New York Constitution, article III, § 17, which forbids the Legislature from ''[g]ranting to any private corporation, association or individual any exclusive privilege, immunity or franchise whatever.'' While the majority concludes that the section applies only to monopolies and no monopoly exists here, the logical result of that conclusion is that the Legislature may, in any case involving a not-for-profit corporation, take over the assets of that corporation for public purposes and eliminate any fiduciary responsibility.

25. While Empire's outside counsel did allude to the challenges Empire faced in adhering to the duty of obedience (*see* n 4 at 364), this is not an adequate justification or explanation for the elimination of a not-for-profit director's fiduciary obligations.

26. Under N-PCL 112 (a) (7), the Attorney General normally can institute an action or proceeding ''[t]o enforce any right given under this chapter to members, a director or an officer of a Type B or Type C corporation.'' For purposes of the action or proceeding, the Attorney General has the same

(n. cont'd)

transaction that will change the character of Empire in a significant and fundamental way. Because they are not accountable for their actions, no Empire director has any incentive to mount a challenge to the proposed conversion under Chapter 1. Put another way, there is no one to ensure that the organization's mission and purpose are protected. Based on the foregoing, the portion of Chapter 1 that provides for the elimination of the fiduciary obligations of Empire's board should not stand.

In sum, the plaintiffs have asserted a valid cause of action for breach of a fiduciary duty, a cause of action that should be allowed to proceed in court. Therefore, in addition to joining Judge Robert Smith in his dissent, I dissent from the dismissal of the claim for breach of fiduciary duty.

R.S. SMITH, J. (dissenting in part). Suppose an ordinary private charity—say an art museum—found itself in the position of Empire here: unable to continue operating, but able to realize a large sum by selling its franchise or "going concern" value to private investors. Suppose the charity asked the State to allow the sale so that the charity could dissolve and turn the sales proceeds over to a new charitable entity that would continue to advance the old charity's purposes. Suppose the State answered by saying: "You can do it, but only 5% of the money can go to charity. The rest must be used for public purposes." And suppose further that the public purposes on which the State chose to spend the charity's money were worthy objects quite different from the charity's goals—the construction of a new prison, for example, or the retirement of state debt. Can anyone doubt that, on these hypothetical facts, there would be a taking of private property for public use without just compensation?

This case differs from my hypothetical in two ways: first, Empire is not an ordinary private charity; and secondly, the purposes chosen by the State for the use of Empire's property are not completely remote from the purposes of Empire. I conclude, for reasons I explain below, that these two distinctions do not justify dismissal of plaintiffs' complaint as insufficient on its face, and I therefore dissent from the result the majority reaches.

What troubles me more than the result in this admittedly close case, however, is that the majority, in upholding Chapter 1

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status as such member, director or officer. Actions can also be brought on behalf of the corporation pursuant to N-PCL 720.

of the Laws of 2002, does not rely wholly on the two factors I have mentioned—the peculiar nature of Empire and the uses to which the State is putting Empire's money. Some parts of the majority's reasoning sweep more broadly, and would seem to justify upholding the hypothetical state action I have described. In other words, under the majority's reasoning, the State might, in circumstances like these, compel the use of 95% of an art museum's money for prison construction. I think these parts of the majority opinion are unnecessary to its result, and may cause trouble in future cases.

. . .

To decide the validity of Chapter 1 of the Laws of 2002 under the Takings Clauses of the federal and state constitutions, I find it necessary to address three questions: (1) Is the property of Empire private property? (2) If so, is the State free, under the Takings Clauses, to demand as much of that property as it wants in exchange for allowing Empire to sell its assets to a profit-making entity? (3) If the State is not free to demand all it wants, does Chapter 1 demand more than the Takings Clauses permit? I answer yes to the first question and no to the second. I conclude that the third question cannot be answered definitively on the face of the statute.

I. Is Empire's property private?

As the majority opinion points out, Empire differs in many ways from a typical private charity. One difference is that Empire has had a more intimate relationship with, and has derived more benefit from, the state government than most private, nonprofit entities. The State, recognizing the important purposes that Empire has served, has repeatedly intervened to keep it afloat, allowing it to collect from hospitals at favorable rates, giving it a large outright subsidy, and imposing limits on Empire's competitors (*see* majority op at 340-341). The majority does not assert, however, that these facts make Empire into a public or quasi-public entity, or that they lessen the protection afforded to Empire's property under the Takings Clauses. Thus, for the majority, it seems that Empire's previous relationship with the State is simply background that, while it may make the taking of Empire's property by the State seem less offensive, is not directly relevant to the constitutional issue.

I agree that prior acts of government favoritism to Empire are constitutionally irrelevant; they do not make Empire's property any less private. I know of no authority holding that the private nature of property is destroyed or diluted because of previous government benefits its owner has received, and I think it would be unwise to create, for Takings Clause purposes, a special category of government dependents whose property is not really their own. The State did not have to help Empire in the ways it did, and it could have attached more conditions to the help it gave; it could, for example, have required that the hundred million dollar cash subsidy given in 1993 be paid back if Empire were to dissolve. But the Legislature imposed no such requirement, and it is not free to say to Empire, in effect, ''I am taking your property now because I saved your life back then.'' There may be farmers in this country who have been able to remain in business for years or decades because of government subsidies—but their farms are still their farms, and the government cannot take them without paying just compensation.

The majority mentions some other factors that distinguish Empire from an ordinary private charity, but these seem to me more clearly irrelevant. Surely Empire is not less a private entity because it was, for federal tax purposes, a ''social welfare'' organization under Internal Revenue Code (26 USC) § 501 (c) (4), rather than a ''charitable'' organization under section 501 (c) (3) (majority op at 339, 356). And the fact that Congress stripped Empire of its tax exemption because it found its activities too ''commercial'' (majority op at 340) weighs, if anything, on the side of making Empire that much more private.

In short, I conclude that Empire's property is private, and entitled to the same constitutional protection from uncompensated taking as any other private property.

II. Can the State demand as much of Empire's property as it wants, in exchange for allowing conversion?

The majority opinion implies that Chapter 1 is not problematic because it gives Empire a choice. Empire, the majority notes, was not legally required to ''convert'' to profit-making status (more precisely, to transfer its assets to a profit-making entity in exchange for stock, and then sell the stock to the public and dissolve). ''Chapter 1 does not compel Empire to convert. . . . [C]onversion only takes place if Empire so chooses'' (majority op at 357). The majority acknowledges that Empire may have had no choice as a practical matter, but adds that ''any duress stemmed from Empire's inability to prosper as a not-for-profit organization, not from pressure exerted by the State'' (*id.* at 358).

The United States Supreme Court has made clear, however, that the Takings Clause limits a state's power to acquire private property by inducing the owner to surrender it in exchange for a needed government authorization. *Nollan v California Coastal Comm'n* (483 US 825 [1987]) involved homeowners who needed a permit from the California Coastal Commission to rebuild their home. The Commission granted permission, but only on condition that the Nollans allow the public an easement to pass across their property. The Supreme Court held that this was a taking, relying on the lack of an ''essential nexus'' between the condition attached to the government permit and the purpose that could have been served by refusing permission (483 US at 836-837). In the absence of such a nexus, the Supreme Court said, the State's restriction on the Nollans' right to rebuild their home amounted to '' 'an out-and-out plan of extortion' '' (*id.* at 837, quoting *J.E.D. Assoc., Inc. v Town of Atkinson*, 121 NH 581, 584, 432 A2d 12, 14 [1981]). In *Dolan v City of Tigard* (512 US 374 [1994]), the Supreme Court added a ''rough proportionality'' requirement to the ''essential nexus'' test. Even where a nexus existed, the Court held, the surrender of property that the state demands as a condition to permitting the development of land must be roughly proportional to the adverse impact that can be expected from the development.

These ''exactions'' cases refute the idea that, since the State was free to refuse to allow Empire's conversion, it was also free to allow it on condition that Empire give the State a 95% share of the proceeds. Defendants do not argue here, and the majority does not hold, that such a blatant holdup (more blatant than what actually happened in this case) could pass muster under the exactions cases—but the State does argue, and the majority seems to agree, that exactions analysis has no place outside the land-use context. (Majority op at 355 [''We decline . . . to expand our exaction analysis beyond the realm of land-use regulation''].) The implication, presumably, is that no ''plan of extortion'' by the State, no matter how gross, is invalid under the Takings Clause unless it is an interest in real property that is being extorted. This suggestion seems to me both unacceptable in principle and inconsistent with the Supreme Court's exactions decisions.

It is true that the *Nollan* and *Dolan* cases involve land use; indeed, many, probably most, takings cases involve real property. But the relevant clauses of the state and federal constitutions apply to real and personal property alike (*see e.g. Phillips* *v Washington Legal Foundation*, 524 US 156 [1998]). I know of no precedent suggesting that the cash in a private bank account is subject to less protection under the Takings Clauses than a private house or tract of land. Different kinds of property sometimes call for different rules, of course, and it may well be that in cases not involving land use the details of the *Nollan* and *Dolan* nexus and proportionality tests will be modified, but it is unthinkable that the Constitution provides no protection at all against exactions of personal property.

Nothing in the Supreme Court's exactions decisions suggests that their rationale is limited to real property. Indeed, the *Nollan* case shows that it is not so limited in its discussion of *Ruckelshaus v Monsanto Co.* (467 US 986 [1984]), a case involving not real property but trade secrets. The dissent in *Nollan* argued that *Nollan* was similar to *Monsanto* (*Nollan*, 483 US at 859), while the majority distinguished *Monsanto* (*Nollan*, 483 US at 833 n 2)—but neither suggested that *Monsanto* was inapplicable because it was not a land-use case. Thus, both the majority and the dissent in *Nollan* assumed that like reasoning was applicable to real and personal property. And in *Dolan*, the Court made clear that the rules governing exactions are derived not from any peculiar characteristics of land-use cases but from ''the well-settled doctrine of 'unconstitutional conditions,' '' which limits the government's power to require surrender of a constitutional right ''in exchange for a discretionary benefit conferred by the government'' (*Dolan*, 512 US at 385).

Nor does our decision in *Matter of Smith v Town of Mendon* (4 NY3d 1 [2004]) imply that exactions analysis is inapplicable where no real property is involved. *Town of Mendon* did involve real property, and our discussion in that case focused on whether the Town's invasion of the Smiths' interest in real property was sufficient to trigger exactions analysis. We concluded that it was not because the Town had not required ''the physical dedication of property to public use'' but only ''more modest conditions on development permits'' (*id.* at 12).

I thus conclude that exactions analysis applies here; it would be unconstitutional for the State to require, as a condition to allowing Empire's conversion, that Empire pay 95% of its assets to the State or to whatever recipients the State found worthy. I cannot believe that the majority, despite some of the language in its opinion, would reach a different conclusion. Requiring the turning over of most of a private entity's wealth is not what we called in *Town of Mendon* a ''modest'' condition to a needed governmental permission. The critical question, to which I now turn, is whether what actually happened here is fundamentally different from such a blatant, unconstitutional exaction.

III. Has the State taken Empire's property?

In addressing the question of whether Chapter 1 provides for an unconstitutional exaction, I proceed by successively refining the question. First, I conclude that Chapter 1 is unconstitutional under the Takings Clauses if, but only if, a similar statute that unconditionally compelled the same uses of Empire's property would be unconstitutional. Secondly, I conclude that that question in turn depends on whether the compelled uses destroyed Empire's ''investment-backed expectations.'' Finally, I conclude that the answer to that question turns on whether the uses provided for by the statute are reasonably consistent with the purposes of Empire. To this last restatement of the question, I find no clear answer on the face of Chapter 1, and I would therefore hold that further development of the facts is necessary.

Where a purportedly voluntary transaction is challenged under the Takings Clauses as an unconstitutional exaction, a preliminary step in the analysis is to consider whether the transaction, if involuntary, would be a taking of the property. Thus, in *Nollan* the Supreme Court began by saying that if the State had ''simply required the Nollans to make an easement across their beachfront available to the public . . . we have no doubt there would have been a taking'' (*Nollan*, 483 US at 831); the Court then inquired whether the transaction was a taking in view of its imposition as an exaction in response to a permit request. Here, then, the preliminary step is to consider whether there would have been a taking if the State had simply required Empire to distribute its assets as Chapter 1 provides, without offering Empire even the theoretical possibility of forgoing the conversion and continuing the status quo.

In this case, I believe, this preliminary step turns out to be decisive for the exactions analysis: if an involuntary transaction would have been a taking, the purportedly ''voluntary'' nature of this transaction, i.e., its imposition as an exaction, does not save it. Plaintiffs claim, in essence, that the uses of Empire's assets that Chapter 1 requires are the equivalent of transferring 95% of Empire's assets to the state treasury. If plaintiffs are right in this—or even if the correct percentage is as low as 60%—plaintiffs should win the case. If it is correct that Chapter

1 outside the exactions context would effect so enormous a taking, then the exactions analysis is collapsed. It seems impossible to argue, and no one does argue, that an exaction on such a scale could pass either the ‘‘nexus’’ and ‘‘rough proportionality’’ tests of *Nollan* and *Dolan*, or whatever counterpart to those tests might be applied to an exaction not involving real property. (The majority does offer an exactions analysis, which I discuss below, but that analysis does not accept the premise that the State is effectively acquiring most of Empire’s assets.)

Thus, the dispositive issue is whether it would be a taking of property for the State to compel Empire, quite apart from any conversion plan, to distribute its assets in the way provided for by Chapter 1. The Supreme Court’s recent summary of takings jurisprudence in *Lingle v Chevron U.S.A., Inc.* (544 US 528, 125 S Ct 2074 [2005]) provides a framework for approaching that question. *Lingle* identifies three categories of taking: a per se taking, i.e., a ‘‘direct government appropriation or physical invasion of private property’’ (544 US at —, 125 S Ct at 2081), exemplified by *Loretto v Teleprompter Manhattan CATV Corp.* (458 US 419 [1982]); and two kinds of ‘‘regulatory taking’’— one exemplified by *Lucas v South Carolina Coastal Council* (505 US 1003 [1992]), in which a regulation ‘‘completely deprive[s] an owner of ‘*all* economically beneficial us[e]’ of her property’’ (*Lingle*, 544 US at —, 125 S Ct at 2081, quoting *Lucas*, 505 US at 1019 [emphasis in *Lucas*]); and another involving a regulation that, though not destroying the property’s value to the owner completely, is ‘‘so onerous that its effect is tantamount to a direct appropriation or ouster’’ (*Lingle*, 544 US at —, 125 S Ct at 2081). Regulatory takings challenges in this last category are governed by the standards set forth in *Penn Central Transp. Co. v New York City* (438 US 104 [1978]; *Lingle*, 544 US at —, 125 S Ct at 2081-2082). *Penn Central* lists a number of factors to be used in evaluating claimed regulatory takings; primary among these, the Court noted in *Lingle*, are ‘‘ ‘[t]he economic impact of the regulation on the claimant and, particularly, the extent to which the regulation has interfered with distinct investment-backed expectations’ ’’ (*Lingle*, 544 US at —, 125 S Ct at 2081-2082, quoting *Penn Central*, 438 US at 124).

In *Nollan* and *Dolan*, the Court found that the dedications of landowners’ property, if they had been imposed outside the exactions context, would have been per se takings. In this case, the requirements of Chapter 1, if imposed outside the exactions context, would arguably be a regulatory taking and the issue of what *Penn Central* called ''investment-backed expectations'' should be decisive. The word ''investment'' may seem awkward in discussing the expectations of a not-for-profit entity, but I think the meaning of ''investment-backed expectations'' in this context is simply Empire's reasonable expectations as to the future use of its property. It seems clear that if Chapter 1 does not interfere with Empire's reasonable expectations there has been no taking. On the other hand, if these expectations are contradicted as to a large enough portion of Empire's property, a *Penn Central*-type taking has occurred, even assuming that there is no per se (*Loretto*) or ''total'' regulatory (*Lucas*) taking.

The question thus boils down to whether Chapter 1 is consistent with Empire's reasonable expectations for the use of its property. It is true that, in the situation it faced when Chapter 1 was passed, Empire could not have expected to keep its money in its own bank account—or, indeed, to have continued in existence as a going concern. Empire was no longer viable as a nonprofit health insurance provider. Empire could expect, however, that its assets would be protected by some limitation similar to the ''quasi cy pres'' requirement embodied in Not-For-Profit Corporation Law § 1005 (a) (3) (A). That statute says that assets of a ''Type B'' not-for-profit corporation like Empire shall be distributed after dissolution to ''organizations engaged in activities substantially similar to those of the dissolved corporation.'' (*See also Matter of Multiple Sclerosis Serv. Org. of N.Y. [New York City Ch. of Natl. Multiple Sclerosis Socy.]*, 68 NY2d 32 [1986].) While defendants point out, correctly, that the Legislature was not constitutionally prohibited from altering the N-PCL 1005 standard, it was not free to destroy Empire's expectations entirely. Empire had a right to expect that any assets remaining after its debts were paid would be used in a way reasonably consistent with the purposes for which Empire existed. This is the sense in which the property of a charity or other not-for-profit entity is ''private'' property; although the owner of the property may not use it for personal gain, it has a right to the continuing dedication of the property to certain purposes (*see Illinois Clean Energy Community Found. v Filan*, 392 F3d 934, 937 [7th Cir 2004]) [observing, in a discussion of the taking of a charitable foundation's property, that ''claims of unconstitutional taking are matters of expectation'']).

Empire's purposes are specified in article 43 of the Insurance Law. Under Insurance Law § 4301 (a), Empire existed ''for the purpose of furnishing medical expense indemnity . . . to persons . . . covered under contracts with'' Empire. Under Insurance Law § 4301 (j) (1), Empire was ''maintained and operated for the benefit of its members and subscribers.'' In short, Empire's general purpose was to help meet the public need for affordable health care coverage, and it could reasonably expect that, after its dissolution, its remaining assets would be devoted to that purpose or something reasonably close to it.

In accordance with those expectations, Empire's original restructuring plan called for its existing value, including the proceeds of the public offering, to be transferred to a charitable foundation ''dedicated to promoting the availability and accessibility of high quality health care and related services to the people of the State of New York.'' This plan was approved by the Superintendent of Insurance, but never took effect, at least in part because, in the view of the Attorney General, it could not be accomplished without new legislation (*see* majority op at 341-344).

That new legislation, Chapter 1, alters the proposal to give Empire's existing value to a charitable foundation. The statute divides Empire's assets into a ''public asset,'' consisting of ''assets representing ninety-five percent of the fair market value of the corporation'' and a ''charitable asset,'' consisting of the remaining 5% (Insurance Law § 4301 [j] [3], [5]). The charitable asset is to be turned over to a foundation not dissimilar to the one that, under the original plan, was to receive all the money. The public asset, however, is destined, after expenses, for the Tobacco Control and Insurance Initiatives Pool, from which it is to be distributed by the Commissioner of Health as Chapter 1 directs. From this brief summary, Chapter 1 appears to take 95% of Empire's assets for public use, leaving only 5% to continue Empire's charitable purposes.

Defendants argue, however, that this superficial appearance of a 95%-5% public-to-charitable division is misleading. They argue that, when the specific purposes for which the public asset is to be spent are examined, they bear enough relationship to Empire's charitable mission so that Empire's reasonable expectations as to the use of its property have not been frustrated. The case turns, in my view, on whether defendants can sustain this argument, and I do not rule out the possibility that they can. I do not think, however, that it can be said on the face of Chapter 1 alone that defendants are right.

Most of the public asset—some 65%, by the majority's estimate (majority op at 346 n 12)—will be devoted to what Chapter 1 calls ''[g]eneral hospital recruitment and retention of health care workers'' (L 2002, ch 1, part A, § 1), i.e., to compensation and benefits for hospital employees. Plaintiffs assert that this aspect of the statute is ''special interest legislation'' designed to accomplish ''political goals''—specifically, the funding of a labor contract. But in reviewing the constitutionality of the legislation we are required to assume that the Legislature believed supplementing the income of health care workers to be an important public goal, and the validity of that legislative judgment may not be questioned here (*see Paterson v University of State of N.Y.*, 14 NY2d 432, 438 [1964]; McKinney's Cons Laws of NY, Book 1, Statutes §§ 150, 151). To assume that this expenditure of funds is wise public policy, however, does not establish that Empire's property has not been taken for public use. The property has been taken unless the ''recruitment and retention'' expenditures are a reasonable way of advancing *Empire's* purposes.

Giving due weight to the presumption of validity attaching to legislation, I cannot conclude on this record that the portion of Chapter 1 that devotes Empire's assets to the ''recruitment and retention of health care workers'' should be upheld. There is no indication that the Legislature found that this use of Empire's funds was consistent with Empire's purposes, or that it ever considered the question. Nor has there been any presentation of facts or analysis that would support such a finding. I would insist that, at a minimum, defendants present some analysis supporting the conclusion that this use of funds will advance Empire's aim of making health care coverage more generally available to the citizens of New York. If a reasonable case can be made, I would find the legislation valid, and if not I would find it invalid. On the record we have, I would deny defendants' motion to dismiss the takings claim, and would leave the issue to be determined by summary judgment motions or at a trial if necessary. I would also leave open the validity of the other uses of the public asset directed by the Legislature, though I acknowledge that those uses (listed at pages 346-347 of the majority opinion) seem on their face more consistent with Empire's purposes.

The majority's analysis of Empire's ''investment-backed expectations'' is limited to the conclusory assertion that the distributions directed by Chapter 1 are ''wholly consistent'' with Empire's mission (majority op at 358). The majority assumes, without discussion, that the State is free to spend Empire's money for any ''public health purposes'' it chooses (*id.* at 358), including the supplementing of hospital workers' income. I reject the idea that the constitutional limitations on the taking of private property are of so little force. They must require at least some reasoned demonstration that the expenditures chosen by the State will indeed advance Empire's purposes. That demonstration has yet to be made.

The assumption that Empire's purposes will be advanced by Chapter 1's use of Empire's property is also the basis for the majority's exactions analysis. Though the majority implies, as I mentioned above, that it thinks exactions analysis inappropriate, it concludes, in the alternative, that upon such an analysis this legislation would survive, because the ''essential nexus'' and ''rough proportionality'' called for by the *Nollan* and *Dolan* cases exist. Specifically, the majority finds ''not only a nexus but a direct correlation between the State's interest in enacting Chapter 1—allowing Empire to continue to carry out its dual historic mission—and the condition imposed—that Empire's not-for-profit assets be used for the public health purposes specified in Chapter 1'' (majority op at 355). It also finds that ''the condition is 'roughly proportional' to the impact of Empire's conversion because if Empire were to convert through any other mechanism . . . it would be required to dedicate its not-for-profit assets to purposes similar to those for which it was formed . . .'' (majority op at 356-357). Thus, the majority finds the tests for exactions to be satisfied because, according to the majority, Empire's assets are not being diverted from Empire's ''mission.''

I think the majority's exactions analysis is both unnecessary and wrong. It is unnecessary because, as I explained above, if Empire's assets are being used in a way consistent with Empire's reasonable expectations, the legislation would be valid even if the legislatively-prescribed uses were unconditionally compelled. If that is the case, there is no exaction and no need to do an exactions analysis.

The majority's exactions analysis is also wrong, because what the exactions cases require is not, as the majority assumes, a nexus between the condition imposed by the State and its purpose in enacting the legislation. They hold that there must be a nexus between the conditions attached to a permission given by the State and the grounds on which the State could have withheld that permission. (*See Nollan*, 483 US at 837 [The issue is whether ''the condition substituted for the prohibition . . . further(s) the end advanced as the justification for the prohibition''].) The majority may be implicitly reasoning that the State could have refused Empire permission to convert, and that its grounds for doing so would have been to cause Empire ''to continue to carry out its dual historic mission'' (majority op at 355). If that is the majority's reasoning, I find it unconvincing. Everyone in this case agrees that, if Empire had not been permitted to convert, it would have promptly gone out of existence, not fulfilling its ''dual historic mission'' or any other.

To me, the majority's exactions analysis is one of many aspects of its opinion that tend to obscure the basic question: whether Empire's reasonable expectations as to the use of its property have been respected. Because, to my mind, that question remains in doubt, I dissent from the decision dismissing plaintiffs' takings claims.

Judges CIPARICK, ROSENBLATT and GRAFFEO concur with Judge READ; Judge G.B. SMITH dissents in part in a separate opinion; Judge R.S. SMITH dissents in part in another opinion in which Judge G.B. SMITH concurs; Chief Judge KAYE taking no part.

Order modified, etc.

[838 NE2d 635, 804 NYS2d 719]

GLENBRIAR CO., Appellant, v S. LEE LIPSMAN et al., Respondents.

Argued September 14, 2005; decided October 20, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 21, 2004. The Appellate Division affirmed an order of the Appellate Term of the Supreme Court in the First Judicial Department (op 2002 NY Slip Op 50225[U]), which had (1) reversed a judgment of the Civil Court of the City of New York, Bronx County (Brenda S. Spears, J.), awarding possession to petitioner in a nonprimary residence holdover summary proceeding, and (2) granted a final judgment of possession in favor of respondents dismissing the petition. The following question was certified by the Appellate Division: ''Was the order of this Court, which affirmed the order of the Appellate Term of the Supreme Court, properly made?''

Glenbriar Co. v Lipsman, 11 AD3d 352, affirmed.

HEADNOTE

Appeal — Court of Appeals — Matters Reviewable

In a nonprimary residence holdover summary proceeding where the Appellate Term, affirmed by the Appellate Division, reversed a Civil Court judgment in petitioner landlord's favor upon finding that petitioner had not met its burden of establishing that respondent tenants were not using their rent-stabilized apartment as their primary residence, the finding of the Appellate Term is beyond the power of Court of Appeals to review. Although the Court of Appeals may review the facts to determine which court's determination more closely comports with the evidence when the Appellate Division reverses a trial court, where, as here, there are affirmed findings of fact supported by the record, the Court of Appeals cannot review those facts and substitute its own findings even though the original Civil Court judgment was reversed by the Appellate Term. Moreover, petitioner did not claim that the evidence was insufficient to support the affirmed finding that petitioner failed to meet its burden of showing that New York was not respondents' primary residence, or present any other persuasive claim of legal error.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 675, 690.

CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:96, 71:105.

NY JUR 2d, Appellate Review §§ 184, 663–665, 667, 779; NY JUR 2d, Courts and Judges § 723.

SIEGEL, NY PRAC §§ 10, 543.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error.

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POINTS OF COUNSEL

Mitofsky, Shapiro, Neville & Hazen LLP, New York City (*Terry L. Hazen* of counsel), for appellant. I. Review of the instant case, construed in light of the body of case law dealing with nonprimary residence, requires reversal. II. Case law is replete with decisions indicating that findings of fact made by the trial court should not be disturbed on appeal, especially based on credibility issues. (*Matter of Stork Rest. v Boland,* 282 NY 256; *Matter of 780 P.P. Assoc. v State of N.Y. Div. of Hous. & Community Renewal,* 11 AD3d 392; *Schilt v New York City Tr. Auth.,* 304 AD2d 189; *Corson v City of New York,* 290 AD2d 408; *Hurley v Cavitolo,* 239 AD2d 559; *Nelson v Times Sq. Stores Corp.,* 110 AD2d 691; *Matter of Yovanny G.,* 303 AD2d 336.)

Elizabeth A. Shollenberger, White Plains, for respondents. I. Lillian Lipsman has maintained an ongoing substantial physical nexus with the subject apartment, which she has used and uses for actual living purposes. (*Emay Props. Corp. v Norton,* 136 Misc 2d 127; *Sommer v Ann Turkel, Inc.,* 137 Misc 2d 7; *Berwick Land Corp. v Mucelli,* 249 AD2d 18; *Cox v J.D. Realty Assoc.,* 217 AD2d 179; *East End Temple v Silverman,* 199 AD2d 94; *Briar Hill Apts. Co. v Teperman,* 165 AD2d 519; *Wonko Realty Corp. v Estate of Dreisch,* 150 Misc 2d 1046; *West 157th St. Assoc. v Sassoonian,* 156 AD2d 137.) II. Spouses need not maintain the same legal residence. (*Matter of Rose Assoc. v State Div. of Hous. & Community Renewal, Off. of Rent Admin.,* 121 AD2d 185, 69 NY2d 601; *Peck v Wolf,* 157 AD2d 535; *23 Jones St. Assoc. v Keebler-Beretta,* 284 AD2d 109; *Newport Apts. Co. v Schechter,* 124 Misc 2d 760, 127 Misc 2d 793; *Chelsmore Apts. v Garcia,* 189 Misc 2d 542.) III. The appellate courts' decisions below comport with long-standing precedents involving snowbirds. (*Newport Apts. Co. v Schechter,* 124 Misc 2d 760, 127 Misc 2d 793; *Four Winds Assoc. v Rachlin,* 248 AD2d 352.) IV. Tax filings are not dispositive proof of residence. (*West 157th St. Assoc. v Sassoonian,* 156 AD2d 137; *Village Dev. Assoc. v Walker,* 282 AD2d 369; *300 E. 34th St. Co. v Habeeb,* 248 AD2d 50; *Matter of Rose Assoc. v State Div. of Hous. & Community Renewal, Off. of Rent Admin.,* 121 AD2d 185, 69 NY2d 601; *23 Jones St. Assoc. v Keebler-Beretta,* 284 AD2d 109; *Four Winds Assoc. v Rachlin,* 248 AD2d 352.) V. Temporary justifiable absences from New York—even long absences—do not amount to a change in a tenant's primary residence. VI. The trial court decision herein contains errors of law and of fact and cannot be upheld. (*318 E. 93 v Ward,* 276 AD2d 277; *Peck v Wolf,* 157 AD2d 535; *Matter of Calvi v Knutson,* 195 AD2d 828; *Four Winds Assoc. v Rachlin,* 248 AD2d 352; *Coronet Props. Co. v Brychova,* 122 Misc 2d 212, 126 Misc 2d 946; *Ascot Realty LLC v Richstone,* 10 AD3d 513.) VII. The landlord failed to meet its burden of proof. (*318 E. 93 v Ward,* 276 AD2d 277; *Calvi v Knutson,* 195 AD2d 828; *Acorn Realty v Torres,* 169 Misc 2d 670; *Shuk Ying Sy v Doe,* 4 Misc 3d 139[A].) VIII. Cases cited by landlord are easily factually distinguishable. (*Berwick Land Corp. v Mucelli,* 249 AD2d 18; *Emel Realty Corp. v Carey,* 288 AD2d 163.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue here is whether the petitioner landlord established that respondent tenants of a rent-stabilized apartment were not using the premises as their primary residence as required by the Rent Stabilization Code. The Appellate Term, affirmed by the Appellate Division, found that the landlord had not met its burden, and that finding is beyond our power to review. We, therefore, affirm the order of the Appellate Division.

In 1959, S. Lee Lipsman and his wife, Lillian Lipsman, moved into an apartment in the Bronx. In 1971, the building became subject to the rent stabilization laws and the Lipsmans became rent-stabilized tenants. In 1984, the building became a cooperative, but the Lipsmans did not purchase shares and chose to maintain their rent-stabilized status. The shares associated with the apartment were purchased by petitioner. In 1995, the Lipsmans purchased an apartment in West Palm Beach, Florida for approximately $20,000.

In 1999, the landlord served notice pursuant to the Rent Stabilization Code (9 NYCRR 2524.2 [c] [2]) that it would not renew the Lipsmans' lease because the premises were not being used as their primary residence. Subsequently, a holdover proceeding was brought in the Civil Court of the City of New York seeking to evict the Lipsmans on the ground that the apartment was not being used as their primary residence.

At a hearing on the petition, the landlord presented only one witness from the management company, who claimed never to have seen the Lipsmans in their apartment. However, he did not work full time at the building and could not verify how many people living in the building he knew. The landlord also presented documentary evidence of Mr. Lipsman's Florida driver's license, tax returns filed from the Florida residence signed by Mrs. Lipsman, and statements by Mr. Lipsman that the Florida residence was the primary residence for purposes of receiving the Florida homestead exemption. The Lipsmans asserted that Mr. Lipsman (who died in 2005) had his primary residence in Florida because of his emphysema but argued that Mrs. Lipsman remained a primary resident of New York, spending at least 183 days a year here, and maintaining bank accounts, family possessions (including furniture, china, photographs and clothing) and her voting residence in New York. They further provided evidence that the apartment was never sublet. Mrs. Lipsman testified that she does not drive or have a license.

Civil Court determined that tenants were not using the apartment as their primary residence as required by Rent Stabilization Code § 2524.4 (c) and ordered possession to the landlord. Appellate Term reversed and granted the landlord's motion for leave to appeal to the Appellate Division. On October 21, 2004, the Appellate Division affirmed the Appellate Term order, stating:

> "Mrs. Lipsman has kept a consistent presence at the Bronx apartment, and has continually maintained it as her primary residence. It is well settled that husband and wife may establish two separate primary residences without penalty. The fact that the Lipsmans may have what has been referred to as a 'conventional' marriage does not deprive them of the right to declare separate primary residences under law.
>
> "Further, as aptly stated in the Appellate Term decision, 'this case presents a not uncommon "snowbird" situation' where an elderly tenant purchases a Florida property for use during the winter and/or for vacations. However, the decision to spend winters in Florida with her husband, should not, under the circumstances, have the corollary effect of

> causing Mrs. Lipsman to forfeit her principal residence of long standing in New York.'' (11 AD3d 352, 353-354 [2004] [citations omitted].)

The Appellate Division denied landlord's motion for reargument but granted leave to appeal to this Court, certifying the question, ''Was the order of this Court, which affirmed the order of the Appellate Term of the Supreme Court, properly made?'' We now affirm.

Our review of this case is circumscribed by the manner in which the appeal comes to us. The case was tried in the Civil Court of the City of New York. Subsequently, Appellate Term reversed the judgment and the Appellate Division affirmed. The Court of Appeals is a law court and ordinarily does not review facts except in a limited class of cases (NY Const, art VI, § 3). Where the Appellate Division reverses a trial court, this Court may review the facts to determine which court's determination more closely comports with the evidence. But where, as here, there are affirmed findings of fact supported by the record, even though the original Civil Court was reversed by Appellate Term, this Court cannot review those facts and substitute its own findings. This limitation on our jurisdiction is dispositive here, as the legal sufficiency of the evidence is not before us.

The Rent Stabilization Code (9 NYCRR 2524.4 [c]) requires that a premises be used by a tenant as a primary residence and authorizes a landlord to recover possession of premises when:

> ''The housing accommodation is not occupied by the tenant, not including subtenants or occupants, as his or her primary residence, as determined by a court of competent jurisdiction; provided, however, that no action or proceeding shall be commenced seeking to recover possession on the ground that the housing accommodation is not occupied by the tenant as his or her primary residence unless the owner or lessor shall have given 30 days' notice to the tenant of his or her intention to commence such action or proceeding on such grounds. Such notice may be combined with the notice required by section 2524.2 (c) (2) of this Title'' (9 NYCRR 2524.4 [c]).

The landlord has the burden of showing, by a preponderance of the evidence, that the tenants did not use the apartment as a primary residence. No single factor must be shown for the landlord to prevail. It may do so by presenting evidence such as tax returns filed from another address, drivers' licenses, voting residences and the subletting of an apartment allegedly used as a primary residence (*see* Rent Stabilization Code § 2520.6 [u]).* The tenant may rebut the landlord's evidence and demonstrate that there was a substantial physical nexus to the apartment (*see Draper v Georgia Props.*, 94 NY2d 809, 811 [1999]).

Landlord argues that the tenants maintained the apartment for convenience only and not for a primary residence. Landlord argues further that since the tenants had bank accounts, filed taxes, obtained a driver's license and applied for and received a homestead exemption in Florida, the primary residence was in Florida and not New York. Landlord also maintains that the testimony of the Lipsmans was not credible because there were discrepancies in the evidence as to the time that Mrs. Lipsman left New York each year and the time that she returned.

Landlord points to some troubling facts: Mr. Lipsman (the recipient of all of the couple's income) claimed Florida as his principal residence, and obtained a tax advantage by doing so, while Mrs. Lipsman claimed to reside primarily in New York. Yet the Lipsmans were rarely physically separated; Mrs. Lipsman acknowledged at her deposition that she had spent one week apart from her husband in the preceding calendar year.

In this case, however, no issue is presented to us as to the inferences or legal implications that might follow from these facts. The landlord does not claim that the evidence was insufficient to support the affirmed finding that the landlord failed to meet its burden of showing that New York was not Mrs. Lipsman's primary residence, or present any other persuasive claim

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* The Rent Stabilization Code (9 NYCRR 2520.6 [u]) provides:

> "Primary residence. Although no single factor shall be solely determinative, evidence which may be considered in determining whether a housing accommodation subject to this Code is occupied as a primary residence shall include, without limitation, such factors as listed below:
>
> "(1) specification by an occupant of an address other than such housing accommodation as a place of residence on any tax return, motor vehicle registration, driver's license or other document filed with a public agency;
>
> "(2) use by an occupant of an address other than such housing accommodation as a voting address;
>
> "(3) occupancy of the housing accommodation for an aggregate of less than 183 days in the most recent calendar year, except for temporary periods of relocation pursuant to section 2523.5 (b) (2) of this Title; and
>
> "(4) subletting of the housing accommodation."

of legal error. On this record, we are bound by the finding below, which requires an affirmance of the Appellate Division's order.

Accordingly, the order of the Appellate Division should be affirmed, with costs. The certified question should be not answered on the ground that it is not necessary.

ROSENBLATT, J. (concurring). Because the Appellate Division has affirmed on findings of fact of the Appellate Term, I am constrained to concur in the Court's opinion (*see* majority op at 390, 393-394).

I appreciate the stated desire of the Lipsmans to keep their rent-stabilized apartment so that, among other benefits, their children may maintain ties with the home in which they were raised. On the other hand, I also sympathize with those who cannot afford a similar apartment in which to raise their own families, a plight exacerbated by tenants availing themselves of stabilized or controlled rents for New York apartments while simultaneously maintaining a primary residence in another state.

An apartment should not be decontrolled merely because its tenants are retired and want to spend some of the colder months in a warmer climate. I write separately, however, to highlight the unseemly prospect of spouses living together yet claiming two separate primary residences (here, one in Riverdale and one in West Palm Beach) in order to take advantage of the mutually exclusive benefits of two jurisdictions.

The Lipsmans concede that both Florida's homestead exemption and New York City's rent stabilization laws apply only to a primary residence. Here, the benefits of both were claimed. There are many bona fide arrangements in which one spouse can honestly take advantage of one state's laws and the other spouse the other state's. Spouses need not share a primary residence, and legitimate arrangements of that kind should be recognized. The open possibility, however, of manipulation and gaming of the system—as suggested by this record—is dismaying.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Judge G.B. SMITH; Judge ROSENBLATT concurs in a separate opinion in which Judge R.S. SMITH also concurs.

Order affirmed, with costs. Certified question not answered upon the ground that it is unnecessary.

[838 NE2d 629, 804 NYS2d 713]

TOMÁZ MENDES REGATOS, Respondent, v NORTH FORK BANK et al., Appellants, et al., Defendant.

Argued September 8, 2005; decided October 20, 2005

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: (1) ''Can the one-year statute of repose established by New York U.C.C. [ ] 4-A-505 be varied by agreement? If so, are there any minimum limits on the variation thereof (such as 'reasonable time') that estop CBNY from denying Regatos recovery in this case?'' and (2) ''In the absence of agreement, does New York U.C.C. Article 4-A require actual notice, rather than merely constructive notice? If so, can this requirement be altered by agreement of the parties and was such achieved here?''

HEADNOTES

Banks and Banking — Funds Transfers — One-Year Period of Repose May Not be Modified by Agreement

1. The one-year period of repose in UCC 4-A-505, governing a bank customer's time in which to notify the bank of an unauthorized transfer of funds, may not be modified by agreement. The period of repose in section 4-A-505 is essentially a jurisdictional attribute of the rights and obligations contained in UCC 4-A-204 (1). To vary the period of repose would, in effect, impair the customer's section 4-A-204 (1) right to a refund, a modification that section 4-A-204 (2) forbids. Moreover, the policy behind article 4-A encourages banks to adopt appropriate security procedures, and permitting banks to vary the notice period by agreement would reduce the effectiveness of the statute's one-year period of repose as an incentive for banks to create and follow security procedures. Here, although plaintiff customer did not notify defendant bank of the unauthorized transfers of funds out of his account until well after the 15-day time limit stated in his account, he did notify defendant on the day he received actual notice, and four or five months after the bank statements were available, which was within the year-long period of repose.

Banks and Banking — Funds Transfers — Actual Notice of Improper Transfer Required

2. Both the one-year period of repose in UCC 4-A-505, governing a bank customer's time in which to notify the bank of an unauthorized transfer of funds, and the ''reasonable time'' referred to in UCC 4-A-204 (1), which

determines the customer's ability to recover interest on the misallocated money, begin to run when the customer receives actual notice of the improper transfer. This requirement cannot be varied by a ''hold mail'' agreement. Policy arguments support an actual notice requirement, as it provides a bright line for banks and their customers, bringing reliability and certainty to their dealings. Constructive notice is far less exact, leaving too much room for varying interpretation and disorder. Here, plaintiff customer did not notify defendant bank of the unauthorized transfers of funds out of his account until well after the 15-day time limit stated in his account because he had a hold mail agreement with defendant and had not checked his bank statements as soon as they became available. He did, however, notify defendant on the day he checked his accumulated account statements and received actual notice of the unauthorized transfers, and therefore was entitled to recover the interest on his lost principal (UCC 4-A-204).

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Banks and Financial Institutions §§ 798, 811.

McKinney's, UCC 4–A–204, 4–A–505.

NY Jur 2d, Banks and Financial Institutions §§ 210, 213, 218.

White and Summers, Uniform Commercial Code §§ 24–4, 24–6, 24–8.

ANNOTATION REFERENCE

See ALR Index under Banks and Banking; Uniform Commercial Code.

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Database: NY-ORCS

Query: repose /p transfer /3 unauthorized /p bank

POINTS OF COUNSEL

Wickham, Bressler, Gordon & Geasa, P.C., Melville (*Eric J. Bressler* of counsel), for appellants. I. The one-year statute of repose contained in UCC 4-A-505 may be varied by agreement. II. The Commercial Bank of New York account agreement established a reasonable time within which to raise objections to account statements. (*Parent Teacher Assn., Pub. School 72 v Manufacturers Hanover Trust Co.,* 138 Misc 2d 289; *New York Credit Men's Adj. Bur. v Manufacturers Hanover Trust Co.,* 41 AD2d 912.) III. UCC article 4-A does not require actual notice rather than constructive notice of account transactions. IV. Under UCC article 4-A, the parties to an account agreement may agree to constructive notice rather than actual notice of account transactions. V. The parties in this case agreed to constructive notice of account transactions through a hold mail system.

Lopez Romero & Montelione, P.C., New York City (*Richard J. Montelione* and *Luis Alfredo Romero* of counsel), for respondent. I. The one-year statute of repose established by UCC 4-A-505 may not be varied by agreement where a funds transfer is the result of a payment order that is not authorized or not effective as the order of the customer. (*Kontrick v Ryan,* 540 US 443; *Steel Co. v Citizens for Better Environment,* 523 US 83; *United States v Robinson,* 361 US 220.) II. Although minimum limits, such as ‘‘reasonable time,’’ do not apply to UCC 4-A-505, such limits are allowed by other provisions of UCC article 4-A. (*Grabowski v Bank of Boston,* 997 F Supp 111.) III. The account agreement between Tomáz Mendes Regatos and the bank addresses situations covered by article 4 of the UCC, but does not express the intention of the parties with respect to their rights and obligations concerning funds transfers under UCC article 4-A. (*Sheerbonnet, Ltd. v American Express Bank, Ltd.,* 905 F Supp 127; *Qassemzadeh v IBM Poughkeepsie Empls. Fed. Credit Union,* 167 AD2d 378; *New York Credit Men's Adj. Bur. v Manufacturers Hanover Trust Co.,* 41 AD2d 912.) IV. Article 4-A of the UCC requires actual notice which reasonably identifies the payment order. (*Matter of Chase Manhattan Bank v State of New York,* 40 NY2d 590.) V. Wherever actual notice is required by any section of UCC article 4-A, such requirement may not be varied by agreement. VI. Alternatively, even if the actual notice requirement could be altered by agreement, as a matter of law, the constructive notice contemplated by the account agreement in the form of a ‘‘hold mail’’ agreement is no substitute for the separate notice required for funds transfers. (*Grabowski v Bank of Boston,* 997 F Supp 111.)

Sullivan & Cromwell LLP, New York City (*H. Rodgin Cohen, Bruce E. Clark, Michael M. Wiseman* and *Stacey R. Friedman* of counsel), and *Norman R. Nelson* for Clearing House Association L.L.C., amicus curiae. I. The express terms of the Uniform Commercial Code permit a commercial customer to agree to vary the one-year statutory period established by section 4-A-505. (*Five Towns Coll. v Citibank,* 108 AD2d 420; *Josephs v Bank of N.Y.,* 302 AD2d 318; *Parent Teacher Assn., Pub. School 72 v Manufacturers Hanover Trust Co.,* 138 Misc 2d 289; *Bluebird Partners v First Fid. Bank,* 97 NY2d 456; *Bender v Jamaica Hosp.,* 40 NY2d 560; *Qassemzadeh v IBM Poughkeepsie Empls. Fed. Credit Union,* 167 AD2d 378; *Centre-Point Merchant Bank Ltd. v Amer-*

ican Express Bank Ltd., 913 F Supp 202; *Sheerbonnet, Ltd. v American Express Bank, Ltd.,* 905 F Supp 127; *New York Credit Men's Adj. Bur. v Manufacturers Hanover Trust Co.,* 41 AD2d 912.) II. The 15-day period provided in Tomáz Mendes Regatos's agreement, within which he agreed to discover and report an unauthorized transfer, is not prohibited by UCC article 4-A. III. UCC article 4-A does not require actual notice; constructive notice is sufficient.

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (*Christopher J. Meade* and *Anne K. Small* of counsel), and *Wilmer Cutler Pickering Hale and Dorr LLP,* Washington, DC (*Bruce E. Coolidge* of counsel), for American Bankers Association and others, amici curiae. I. Freedom of contract is a key principle of the Uniform Commercial Code in general and article 4-A in particular. (*Banque Worms v BankAmerica Intl.,* 77 NY2d 362.) II. The 15-day limitation period chosen by the parties applies. (*Kontrick v Ryan,* 540 US 443; *Steel Co. v Citizens for Better Environment,* 523 US 83.) III. Tomáz Mendes Regatos "received notification" when bank statements were made available to him.

OPINION OF THE COURT

ROSENBLATT, J.

The United States Court of Appeals for the Second Circuit, by certified questions, asks us whether a commercial bank customer can recover funds that the bank improperly transferred out of his account, even though he did not notify the bank of the unauthorized transfer until well after the time limit stated in his account agreement. This issue requires us to decide whether the one-year period of repose in our Uniform Commercial Code § 4-A-505 may be modified by agreement. We also resolve whether UCC 4-A-204 (1) requires the bank actually to send the customer notice of an unauthorized transfer in order to trigger the running of a "reasonable time" within the meaning of that section, or whether a private agreement to hold a customer's mail can allow constructive notice to start that period. These are questions of first impression in this Court, and apparently in every other court of last resort in states that have adopted the relevant statutes.

[1, 2] In accord with the United States District Court for the Southern District of New York, we hold for the customer on both questions. The one-year period of repose in UCC 4-A-505, governing the customer's time in which to notify the bank of the unauthorized transfer, may not be modified by contract. Furthermore, both the one-year statute of repose and the ''reasonable time'' referred to in section 4-A-204 (1), which determines the customer's ability to recover interest on the misallocated money, begin to run when the customer receives actual notice of the improper transfer.

I.

Tomáz Mendes Regatos held a commercial account with Commercial Bank of New York, the predecessor to North Fork Bank. His agreement with the bank required him to notify the bank of any irregularity regarding his account within 15 days after the bank statement and items were first mailed or made available to him.[1] The agreement did not provide for notice to him of electronic funds transfers, except to the extent those transfers appeared on his monthly statements. The bank adopted a practice of holding Regatos's bank statements rather than mailing them to him, and expected him to request the statements when he wanted to see them.

On March 23, 2001, the bank received a funds transfer order from someone it believed to be Regatos, but failed to follow agreed security procedures[2] to confirm the order. Without authorization, the bank then transferred $450,000 out of his account. On April 6, 2001, the bank received another transfer order, again failed to follow its security procedures and without authorization transferred an additional $150,000 out of his ac-

1. The relevant part of the account agreement stated that

> ''[t]he depositor will exercise reasonable care and promptness in examining such statement and items to discover any irregularity including, but not limited to, any unauthorized signature or alteration and will notify the Bank promptly in writing of any such discovery, and in no event more than fifteen (15) calendar days subsequent to the time that such statement and items were first mailed or available to the depositor. In those situations in which the depositor has authorized the Bank to hold his correspondence, this section shall apply as if the depositor received such statement on the date shown on the statement.''

2. The security procedures here involved nothing more than checking Regatos's signature against the signature on the faxed transfer order and calling him to confirm (*cf*. UCC 4-A-201 [''Comparison of a signature on a payment order or communication with an authorized specimen signature of the customer is not by itself a security procedure'']). Apparently, the bank did not require any password, even for large sums. Here, the bank compared the signature on the fax to its signature on file, but did not realize that the fax signature had been forged. The jury found that the bank did not telephone Regatos to confirm that the order was legitimate.

count. Together, these transfers represented most of the value of the account.

Regatos did not learn of the unauthorized transfers until he checked his accumulated account statements on August 9, 2001. The transfers were reflected on statements issued on March 23, 2001 and April 25, 2001, but the bank held these statements until he asked for them, following its standard practice in relation to him. He informed the bank of the unauthorized transfers on the day he learned of them, August 9, 2001.

When the bank refused to reimburse Regatos for the lost funds, he sued in the United States District Court for the Southern District of New York. In a comprehensive, well-reasoned opinion, District Judge Shira Scheindlin denied the bank's motion for summary judgment and held that the one-year statute of repose may not be shortened by agreement. The court ruled that, in any event, the 15-day notice period set by the account agreement was unreasonable and invalid. The Federal District Court further held that the UCC 4-A-505 period to notify the bank began to run when Regatos received actual notice of the error on August 9, 2001 (*Regatos v North Fork Bank*, 257 F Supp 2d 632 [SD NY 2003]).

A federal jury found in favor of Regatos. Following UCC 4-A-204, the court awarded him both the principal ($600,000) and the interest from the date the bank improperly transferred the funds.

The bank appealed, and the United States Court of Appeals for the Second Circuit determined that the legal issues necessary to dispose of the case were novel, important questions of New York law.[3] The Second Circuit certified to this Court, and we accepted, the following questions:

> "[1] Can the one-year statute of repose established by New York U.C.C. [ ] 4-A-505 be varied by agreement? If so, are there any minimum limits on the variation thereof (such as 'reasonable time') that estop [the bank] from denying Regatos recovery in this case? . . .
>
> "[2] In the absence of agreement, does New York U.C.C. Article 4-A require actual notice, rather than merely constructive notice? If so, can this require-

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3. The parties do not dispute that New York law governs their relationship.

> ment be altered by agreement of the parties and was such achieved here?'' (*Regatos v North Fork Bank*, 396 F3d 493, 498-499 [2005] [Wesley, J.].)

We answer the first part of the first question ''no,'' rendering the second part academic. We answer the first part of the second question ''yes'' and the second part of the second question ''no.''

II.

UCC 4-A-204 establishes a bank's basic obligation to make good on unauthorized and ineffective[4] transfers and, with one exception, forbids any variation of that obligation by agreement. UCC 4-A-204 reads as follows:

> ''(1) If a receiving bank accepts a payment order issued in the name of its customer as sender which is (a) not authorized and not effective as the order of the customer under Section 4-A-202, . . . the bank shall refund any payment of the payment order received from the customer to the extent the bank is not entitled to enforce payment and shall pay interest on the refundable amount calculated from the date the bank received payment to the date of the refund. However, the customer is not entitled to interest from the bank on the amount to be refunded if the customer fails to exercise ordinary care to determine that the order was not authorized by the customer and to notify the bank of the relevant facts within a reasonable time not exceeding ninety days after the date the customer received notification from the bank that the order was accepted or that the customer's account was debited with respect to the order. The bank is not entitled to any recovery from the customer on account of a failure by the customer to give notification as stated in this section.
>
> ''(2) Reasonable time under subsection (1) may be fixed by agreement as stated in subsection (1) of Section 1-204, but the obligation of a receiving bank to refund payment as stated in subsection (1) may not otherwise be varied by agreement.''

Furthermore, UCC 4-A-505 provides that

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4. Ineffective transfers are those in which the bank has not properly executed security procedures (UCC 4-A-202).

> ''[i]f a receiving bank has received payment from its customer with respect to a payment order issued in the name of the customer as sender and accepted by the bank, and the customer received notification reasonably identifying the order, the customer is precluded from asserting that the bank is not entitled to retain the payment unless the customer notifies the bank of the customer's objection to the payment within one year after the notification was received by the customer.'' (UCC 4-A-505.)

Regatos argues that the one-year statutory period is an integral part of the bank's ''obligation . . . to refund payment'' under UCC 4-A-204 (1) and so, pursuant to UCC 4-A-204 (2), ''may not . . . be varied by agreement.'' The bank and its supporting amici point out that the notice provision is in section 4-A-505, not section 4-A-204 (1), and rely on UCC 4-A-501 (1), which declares that ''[e]xcept as otherwise provided . . . the rights and obligations of a party to a funds transfer may be varied by agreement of the affected party.''[5] The bank maintains that the customer's duty to notify the bank of the error before recovering misallocated funds is an ''obligation'' separate from that created by section 4-A-204 (1) and therefore modifiable.

We agree with Regatos's reading of the statutes. In context, the policy behind article 4-A encourages banks to adopt appropriate security procedures. Only when a commercially reasonable security procedure is in place (or has been offered to the customer) may the bank disclaim its liability for unauthorized transfers (UCC 4-A-202). Permitting banks to vary the notice period by agreement would reduce the effectiveness of the statute's one-year period of repose as an incentive for banks to create and follow security procedures.

While the issue is close, we cannot accept the bank's argument that the customer's responsibility to notify the bank of its error is modifiable. UCC 4-A-204 (1) states that ''[t]he bank is not entitled to any recovery from the customer on account of a failure by the customer to give notification as stated in this sec-

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5. In support of this position, the amici urge that article 4-A is not a consumer protection statute, especially considering that it applies solely to presumably sophisticated commercial parties. While this is true to some extent, the provision in section 4-A-204 refusing to allow parties to modify the bank's basic obligation to refund unauthorized transfer funds contradicts the amici's argument because the provision clearly protects consumers, even commercial consumers, from bearing the burden of this type of bank error.

tion."[6] Accordingly, a bank has an obligation to refund the principal regardless of notice, provided such notice is given within one year in accordance with UCC 4-A-505 (*see* 3 James J. White and Robert S. Summers, Uniform Commercial Code § 22-4 [4th ed]). Moreover, as the District Court pointed out, section 4-A-505 (the one-year notice period) appears in the "Miscellaneous Provisions" part of the article, not the parts touching upon substantive rights and obligations (*Regatos*, 257 F Supp 2d 632, 644 n 19 [2003]). The period of repose in section 4-A-505 is essentially a jurisdictional attribute of the "rights and obligations" contained in UCC 4-A-204 (1). To vary the period of repose would, in effect, impair the customer's section 4-A-204 (1) right to a refund, a modification that section 4-A-204 (2) forbids.

Article 4-A was intended, in significant part, to promote finality of banking operations and to give the bank relief from unknown liabilities of potentially indefinite duration (*see Banque Worms v BankAmerica Intl.*, 77 NY2d 362, 371 [1991]). This legislative purpose does not suggest that those interests alter (or should alter) the statute's fine-tuned balance between the customer and the bank as to who should bear the burden of unauthorized transfers.

[1] Therefore, we hold that the one-year repose period in section 4-A-505 cannot be modified by agreement. By notifying the bank on August 9, 2001, the day he received actual notice, and four or five months after the statements were available, Regatos acted either way within the year-long period of repose. This clearly satisfied the statutory requirement and he is entitled to recover at least his $600,000 principal.

III.

The Second Circuit next asks whether actual notice is required under article 4-A (or whether mere constructive notice will do) and, consequently, whether Regatos is also entitled to recover interest on the misdirected funds.

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6. "A customer that acts promptly is entitled to interest from the time the customer's account was debited or the customer otherwise made payment. . . . But the bank is not entitled to any recovery from the customer based on negligence for failure to inform the bank. Loss of interest is in the nature of a penalty on the customer designed to provide an incentive for the customer to police its account. There is no intention to impose a duty on the customer that might result in shifting loss from the unauthorized order to the customer" (UCC 4-A-204, Comment 2, reprinted in McKinney's Cons Laws of NY, Book 62½, UCC 4-A-204, at 622).

The bank made Regatos's monthly account statements available for his review, but waited for him to request them rather than send them to him. According to its agreed security procedures, the bank was to reach him by telephone immediately after it received a funds transfer order, to confirm that he had actually authorized the transfer. Other than that call, which the jury found was never made, the only notice available to him would come from his own perusal of the account statements.

In his earlier dealings with the bank, Regatos tended to check his statements regularly. By 2001, however, he reviewed the bank's statements only intermittently. In that year, he asked to see his statements some time before the unauthorized transfer on March 23, 2001 and did not ask again until August 9, 2001, after the bank had generated statements on March 23, 2001 and April 25, 2001. These two statements revealed the unauthorized transfers, but the bank continued to hold the statements until Regatos asked for them. As discussed, he immediately notified the bank of its error when he discovered it on August 9, 2001.

[2] The bank argues that Regatos obtained constructive notice of the transfers on March 23, 2001 and April 25, 2001, when the statements disclosing them were first generated. UCC 4-A-204 requires a customer seeking to recover interest on funds lost due to an unauthorized transfer "to notify the bank of the relevant facts within a reasonable time not exceeding ninety days after the date the customer received notification from the bank that the order was accepted." We agree with Regatos that this requirement may not be waived.

Under the bank's reading of the statute, an agreed 15-day notice period could run before a bank statement was even available for the customer's review. If the burden of checking whether the bank has wrongfully transferred funds out of the customer's account were to fall on the customer, as it would under a constructive notice interpretation, the customer's duty to check would presumably arise as soon as the data became available for review. In electronic funds transfers, the bank would be able to inform an inquiring customer of the transfer well before the formal monthly statement is compiled. Conceivably, the crucial information could be sitting in the bank's possession for weeks, awaiting discovery by the customer. If the customer did not inquire, and the agreement's 15-day period ran, the customer would lose the transferred funds even though the error was entirely the bank's. This seems to us both the logical consequence of a constructive notice system and an unreasonable view of actual banking relationships. Because interpretation of the UCC is always conducted with an eye toward business realities and the predictable consequences of legal rules, we reject a statutory interpretation that conflicts with reasonable business practices.

Policy arguments support an actual notice requirement. An invariable statutory rule provides a bright line for banks and their customers, bringing reliability and certainty to these dealings. Constructive notice is far less exact, leaving too much room for varying interpretation and disorder. If the bank had complied with its security procedures, it would have called Regatos the same day it received each purported transfer order, thereby providing him with actual notice of the events.

Even where customers enter ''hold mail'' agreements with their banks, the actual notice rule still applies. Just as the one-year notice limitation is an inherent aspect of the customer's right to recover unauthorized payments, the actual notice requirement provides the bedrock for the exercise of that right. Permitting banks to enforce ''agreements'' to accept constructive notice would defeat article 4-A's guarantee of recovery for unauthorized payments.

In response to the second certified question, we answer that article 4-A requires actual notice, and that this requirement cannot be varied by a ''hold mail'' agreement, neither to begin the statute of repose, nor to begin ''reasonable time'' under the account agreement. Regatos notified the bank of his loss within an indisputably reasonable time after receiving actual notice, and is therefore entitled to recover the interest on his lost principal (UCC 4-A-204).

Accordingly, the first part of certified question 1 should be answered in the negative and the second part not answered as unnecessary, and the first part of certified question 2 should be answered in the affirmative and the second part in the negative.

Chief Judge Kaye and Judges G.B. Smith, Ciparick, Graffeo, Read and R.S. Smith concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered as follows: the first part of question 1 answered in the negative, and the second part of question 1 not answered as academic; and the first part of question 2 answered in the affirmative, and the second part of question 2 answered in the negative.

[838 NE2d 624, 804 NYS2d 708]

In the Matter of PINE KNOLLS ALLIANCE CHURCH, Respondent, v ZONING BOARD OF APPEALS OF THE TOWN OF MOREAU, Appellant.

Argued September 15, 2005; decided October 20, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 13, 2005. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Saratoga County (Thomas D. Nolan, Jr., J.), which had dismissed the petition, in a proceeding pursuant to CPLR article 78, to review a determination of respondent partially denying petitioner's request for a special use permit, and (2) granted the petition.

Matter of Pine Knolls Alliance Church v Zoning Bd. of Appeals of Town of Moreau, 14 AD3d 863, reversed.

HEADNOTE

Municipal Corporations — Zoning — Special Use Permit

So much of the determination of respondent Zoning Board of Appeals (ZBA) as denied petitioner Church permission to construct a secondary driveway in connection with the Church's application for a special use permit to implement its proposed expansion plan was neither arbitrary nor capricious. The ZBA did not impermissibly require the Church to make an affirmative showing of a need to expand as a condition precedent to the issuance of a special use permit. The requirement that petitioner widen its existing driveway (in lieu of constructing a new one) was an appropriate mitigating condition that was neither so costly or extreme that it undermined the efficacy of the expansion plan. Nor did it prohibit the Church's religious use of its newly acquired parcel. The ZBA's determination that the Church could address the congregation's traffic concerns without the construction of a secondary roadway that would have significant negative impacts on the surrounding residential community was supported by substantial evidence.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 357, 857, 884, 885, 889, 893, 894, 913, 958.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:1450.

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 321, 380, 382, 384, 386, 424, 429.

NEW YORK REAL PROPERTY SERVICE §§ 48:67, 48:85.

ANNOTATION REFERENCE

See ALR Index under Zoning.

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Database: NY-ORCS

Query: zoning /2 board /3 appeal & special /3 permit /p driveway & arbitrary

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POINTS OF COUNSEL

Bartlett, Pontiff, Stewart & Rhodes, P.C., Glens Falls (*Martin D. Auffredou* and *Elisabeth B. Mahoney* of counsel), for appellant. I. The Appellate Division improperly applied this Court's holding in *Cornell Univ. v Bagnardi* (68 NY2d 583 [1986]) to the present case. (*Trustees of Union Coll. in Town of Schenectady in State of N.Y. v Members of Schenectady City Council,* 91 NY2d 161; *McGann v Incorporated Vil. of Old Westbury,* 293 AD2d 581; *Matter of Apostolic Holiness Church v Zoning Bd. of Appeals of Town of Babylon,* 220 AD2d 740; *Matter of Diocese of Rochester v Planning Bd. of Town of Brighton,* 1 NY2d 508; *Matter of Assembly of God Church of Bay Shore, N.Y. v Islip Town Bd.,* 228 AD2d 585; *Matter of Holy Trinity Greek Orthodox Church of Hicksville v Casey,* 150 AD2d 448.) II. The Appellate Division improperly directed respondent to issue a permit to petitioner and, instead, should have remitted the application to respondent for reconsideration. (*Cornell Univ. v Bagnardi,* 68 NY2d 583; *McGann v Incorporated Vil. of Old Westbury,* 293 AD2d 581; *Neddermeyer v Town of Ontario Planning Bd.,* 155 AD2d 908.) III. Respondent's determination was supported by substantial evidence. (*Matter of Fuhst v Foley,* 45 NY2d 441; *Matter of Cowan v Kern,* 41 NY2d 591; *Conley v Town of Brookhaven Zoning Bd. of Appeals,* 40 NY2d 309; *Matter of Diocese of Rochester v Planning Bd. of Town of Brighton,* 1 NY2d 508; *Matter of PDH Props. v Planning Bd. of Town of Milton,* 298 AD2d 684; *Matter of Albany-Greene Sanitation v Town of New Baltimore Zoning Bd. of Appeals,* 263 AD2d 644; *Matter of Squire v Conway,* 256 AD2d 771; *Matter of Eddy v Niefer,* 297 AD2d 410.)

FitzGerald Morris Baker Firth P.C., Glens Falls (*William A. Scott* of counsel), for respondent. I. The question of whether substantial evidence was presented to support the Zoning Board of Appeals of the Town of Moreau's decision is not at issue on this appeal. (*Matter of Harrison Orthodox Minyan v Town Bd. of Harrison,* 159 AD2d 572; *Neddermeyer v Town of Ontario Planning Bd.,* 155 AD2d 908.) II. The Appellate Division's ruling is consistent with the prior rulings of this Court. (*Cornell Univ. v Bagnardi,* 68 NY2d 583; *Trustees of Union Coll. in Town of Schenectady in State of N.Y. v Members of Schenectady City Council,* 91 NY2d 161; *Matter of Cornell Univ. v Beer,* 16 AD3d 890; *Matter of Holy Trinity Greek Orthodox Church of Hicksville v Casey,* 150 AD2d 448; *Matter of Assembly of God Church of Bay Shore, N.Y. v Islip Town Bd.,* 228 AD2d 585.) III. The relief afforded by the Appellate Division was appropriate. (*Matter of Sarah Lawrence Coll. v Zoning Bd. of Appeals in City of Yonkers,* 119 AD2d 753; *Cornell Univ. v Bagnardi,* 107 AD2d 398, 68 NY2d 583; *Neddermeyer v Town of Ontario Planning Bd.,* 155 AD2d 908.)

OPINION OF THE COURT

GRAFFEO, J.

In *Cornell Univ. v Bagnardi* (68 NY2d 583, 589 [1986]), our task was to determine how best to balance the needs and rights of educational and religious institutions seeking to expand their facilities in residential neighborhoods against the concerns of local residents who might be harmed or inconvenienced by the proposed construction projects. We approved the special permit application process as an effective means of addressing expansion requests but we annulled the two zoning determinations under review because the zoning officials in both cases had impermissibly required the colleges that sought special permits to prove their need to expand. In this case, we are asked to apply our decision in *Cornell University* to a controversy between a church and a zoning board of appeals.

I.

Since 1974, petitioner Pine Knolls Alliance Church has operated a place of worship on a 5.78 acre parcel of property in a residential district on Route 32 in the Town of Moreau, Saratoga County, pursuant to a special use permit issued by the Town. After purchasing an adjoining 14.3 acres, the Church applied to respondent Zoning Board of Appeals (ZBA) in November 2002 for a modification of its existing special use permit to implement an expansion plan. The Church proposed the construction of a 9,970 square foot addition to its 10,075 square foot main church, a 2,120 square foot addition to its 6,040 square foot youth building, a new 3,780 square foot building for use as a counseling center, relocation and expansion of the playground, relocation of an existing storage shed and trailer, and expansion of the parking lot.

As a final aspect of the plan, although a driveway already connected the parking lot to Route 32, the Church sought to build a second access road about 500 feet to the north of the existing driveway that would assist the flow of traffic between the parking lot and Route 32. The new roadway would be aligned opposite a residential cross street, creating a four-way intersection on Route 32.

The ZBA referred the entire expansion application to the Town Planning Board for a report and recommendation. At the request of the Planning Board, the Church hired Creighton Manning Engineering, LLP to conduct a traffic study. The engineering report concluded that the proposed expansion, including the addition of a new access road, would have no significant impact on traffic in the surrounding neighborhood and that no mitigation was necessary at the affected intersection. Based on the report, the Planning Board issued a ''positive recommendation'' concerning the project, but suggested that plantings be placed to shield neighboring properties from the effects of the expansion.

In the meantime, neighborhood residents retained professional engineer Lawrence M. Levine to conduct a traffic analysis. Levine determined that the proposed secondary access road would create traffic problems both for churchgoers and for nearby residents. Levine cited the potential for increased cut-through traffic that would disrupt the residential neighborhood across from the church property, turning conflicts that could result in accidents at the new four-way intersection and sight-line problems for vehicles exiting the Church. He further opined that construction of the additional driveway would lead to noise and light pollution and create runoff problems for adjoining residential properties. Although he recognized that the entire expansion plan would result in increased church-related traffic, Levine nonetheless concluded that it was not necessary for the Church to construct a second access road. Instead, Levine commented that parking lot congestion could be alleviated by widening the existing driveway to create two lanes (with one dedicated as a left-turning exit lane after services) and applying ''[s]imple traffic management techniques'' to control overlapping arrivals and departures.

In March 2003, the ZBA referred the Church's development proposal to the Saratoga County Planning Board. Like its town counterpart, the County Planning Board generally recommended that the expansion plan be approved, but it expressed reservations about the secondary driveway. It urged the ZBA to examine alternatives that would lessen the impact of the new roadway on neighboring properties, including withholding approval of the access road until all other reasonable traffic control measures were instituted by the applicant. In particular, the County Planning Board suggested that the ZBA consider requiring the Church to widen its existing driveway, eliminate parking adjacent to the existing intersection, employ a traffic control officer during peak usage hours or take other actions to ease traffic congestion.

After conducting a public hearing, the ZBA issued a determination in August 2003 approving every aspect of the development plan except the Church's request to construct the second driveway. Apart from the additional roadway, the ZBA concluded that the project would not result in significant adverse impacts to the public welfare. Crediting the findings in the Levine engineering report, however, the ZBA found that the secondary roadway would "present undue and inconvenient impacts to the public welfare including noise and traffic upon the neighboring properties" and would affect "green space" to the extent that these negative impacts "outweigh any perceived benefit to the Church at this time." The ZBA noted that the new driveway was unnecessary because the Church's traffic needs could be met through minor upgrades to the existing entrance road, such as the removal of a planter, widening the existing driveway to establish two exit lanes and eliminating parking along the exit lanes. The denial of the additional driveway was made without prejudice to the Church renewing its application or submitting a new application at a later time should the recommended measures prove ineffective.

The Church then commenced this CPLR article 78 proceeding challenging that portion of the ZBA determination that denied permission to construct the secondary roadway. The Church argued that the ZBA had impermissibly imposed a requirement that the Church establish a "need" for the access road contrary to this Court's decision in *Cornell University* and the determination was therefore arbitrary and capricious. Supreme Court dismissed the petition, finding that the denial of the secondary driveway was supported by the negative impact evidence in the record and the ZBA had not impermissibly interfered with the Church's religious activities when it disapproved construction of the new driveway. To the contrary, Supreme Court viewed the denial as a permissible condition to the ZBA's grant of a modified special use permit.

On appeal, the Appellate Division reversed, granting the petition and directing the issuance of a special use permit authorizing the second driveway. Opining that the "underlying reason" for the ZBA's denial was the Church's failure to establish that it needed an additional access road and interpreting our decision in *Cornell University* as precluding any consideration of the Church's needs, the Court concluded that the determination was fatally flawed (14 AD3d 863, 864 [2005]). We granted the ZBA permission to appeal to this Court and we now reverse and reinstate the order of Supreme Court confirming the ZBA determination.

II.

"Historically, schools and churches have enjoyed special treatment with respect to residential zoning ordinances and have been permitted to expand into neighborhoods where nonconforming uses would otherwise not have been allowed" (*Cornell Univ. v Bagnardi*, 68 NY2d at 593). Recognizing that educational and religious institutions are presumed to have a beneficial effect on the community, we clarified in *Cornell University* that this presumption can be rebutted "with evidence of a significant impact on traffic congestion, property values, municipal services and the like" (*id.* at 595). We have invalidated ordinances that impose blanket bans on religious or educational uses in particular communities in favor of a case-by-case review, endorsing the special use permit application process as the proper procedure for addressing expansion requests (*see Trustees of Union Coll. in Town of Schenectady in State of N.Y. v Members of Schenectady City Council*, 91 NY2d 161 [1997]). This procedure "affords zoning boards an opportunity to weigh the proposed use in relation to neighboring land uses and to cushion any adverse effects by the imposition of conditions designed to mitigate them" (*Cornell Univ.*, 68 NY2d at 596 [citation omitted]).

After engaging in the appropriate balancing process, zoning officials may conclude that "a particular educational or religious use may actually detract from the public's health, safety, welfare or morals" (*id.* at 595) and may deny a special use permit on that basis. When the negative impacts are not so extreme as to warrant outright denial, mitigating conditions may be imposed to ameliorate the harm ''provided they do not, by their cost, magnitude or volume, operate indirectly to exclude such uses altogether'' (*id.* at 596 [citation omitted]). In assessing a special permit application, zoning officials are to review the effect of the proposed expansion on the public's health, safety, welfare or morals, concerns grounded in the exercise of police power, ''with primary consideration given to the over-all impact on the public welfare'' (*Trustees of Union Coll.*, 91 NY2d at 166). Applications may not be denied based on considerations irrelevant to these concerns.

Thus, in *Cornell University*, we struck down two zoning decisions involving colleges because zoning officials in both cases had required that the educational institutions seeking special permits prove their need to expand as a condition precedent to granting the application—an improper criterion. We reasoned that ''[a] requirement of a showing of need to expand . . . , or even more stringently, a need to expand to the particular location chosen . . . , has no bearing whatsoever upon the public's health, safety, welfare or morals'' and, as such, was impermissible (*Cornell Univ.*, 68 NY2d at 597 [citations omitted]). We made clear in *Cornell University* that it is not the role of zoning officials to second-guess the expansion needs of religious and educational institutions. That being said, however, once those institutions have identified their own needs and presented those interests in a special permit application, zoning officials have the flexibility to consider other means of accommodating those needs if the negative impacts of the proposed use outweigh its beneficial effects.

Unlike in *Cornell University*, the ZBA in this case did not require the Church to make an affirmative showing of a need to expand as a condition precedent to the issuance of a special use permit. Indeed, there was no discussion in the ZBA determination concerning whether the Church needed its comprehensive expansion plan, which included significant additions to existing structures, the erection of a new building, and the relocation and expansion of other facilities. Rather, the inquiry was whether the proposed expansion could be accomplished in a manner that mitigated the negative impacts on the surrounding community. Based on record evidence, the ZBA found that it could and granted all aspects of the application except for the secondary roadway.

Although the Church was denied permission to construct a new access road, this was not a denial of permission to expand. The ZBA acknowledged that the expansion project could result in internal traffic concerns, but found that the Church could address those concerns in ways other than as proposed. Instead of constructing a new roadway off Route 32, the Church was allowed to increase the capacity of its existing driveway. This was the functional equivalent of imposing mitigating conditions on the grant of an application—a practice expressly approved in *Cornell University* as long as such conditions do not ''by their cost, magnitude or volume, operate indirectly to exclude'' the religious or educational use of the parcel. The requirement that petitioner widen its existing driveway (in lieu of constructing a new one) is neither so costly or extreme that it undermines the efficacy of the expansion plan, nor does it prohibit the Church's religious use of the newly acquired parcel. It therefore meets the test articulated in *Cornell University*.

The Church argues that the ZBA's reference to the need for the secondary driveway is indistinguishable from the ''need to expand'' analysis disapproved in *Cornell University*. We disagree. The ZBA never required the Church to prove a need to expand, either in general terms or in relation to the adjoining property the Church had purchased for that purpose. Instead, it determined that there was a means for the Church to address the congregation's traffic concerns (which the Church itself had recognized) without construction of a secondary roadway that would have significant negative impacts on the surrounding residential community. It was only in this sense that the ZBA noted that the Church did not ''need'' the additional access road. Read in context, the discussion of need did not involve an impermissible interference with the internal affairs of the Church but arose out of an appropriate balancing of interests well within the scope of the powers of a ZBA.

In sum, in this case the ZBA found that the expansion could be accomplished in a manner that was less intrusive to neighboring properties. This determination is supported by substantial evidence in the record, particularly the findings in the Levine traffic study and the Saratoga County Planning Board recommendation. Because there was nothing improper, irrational, arbitrary or capricious about the ZBA's analysis or the conclusion it reached, the determination should not have been disturbed.*

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order reversed, etc.

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* As a result of our decision upholding the ZBA determination, we have no occasion to address the ZBA's additional contention that, even if the determination had been erroneous, the Appellate Division erred in granting the petition instead of remitting the matter to the ZBA for further proceedings.

[838 NE2d 1271, 805 NYS2d 24]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FELIX GOMEZ, Appellant.

Argued September 8, 2005; decided October 25, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 19, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael R. Ambrecht, J., at suppression hearing; John A.K. Bradley, J., at plea and sentencing), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the second degree.

People v Gomez, 11 AD3d 333, reversed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Scope of Consent Search of Automobile

Defendant's general consent to search the automobile he was driving did not justify the police officer's actions in prying open the gas tank with a crowbar. A general consent to search alone cannot justify a search that impairs the structural integrity of a vehicle or that results in the vehicle being returned in a materially different manner than it was found. Once a search exceeds the objectively reasonable scope of a voluntary consent, a more specific request or grant of permission is needed, in the absence of probable cause, in order to justify damage to the searched area or item sufficient to require its repair.

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By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 55, 56, 135, 261, 265.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:355, 172:358.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.7, 3.10.

NY JUR 2d, Criminal Law §§ 442, 445.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Search and Seizure.

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POINTS OF COUNSEL

Gayle Pollack, New York City, and *Robert S. Dean* for appellant. A driver's general consent to a car search does not allow the police to engage in a destructive search. (*People v Gonzalez,* 39 NY2d 122; *Bumper v North Carolina,* 391 US 543; *People v Mitchell,* 211 AD2d 553; *Florida v Jimeno,* 500 US 248; *People v Calvo,* 1 AD3d 605; *People v Bryant,* 245 AD2d 1010; *People v Saunders,* 161 AD2d 1202; *United States v Snow,* 44 F3d 133; *People v Andeliz,* 3 Misc 3d 384; *United States v Restrepo,* 890 F Supp 180.)

Robert M. Morgenthau, District Attorney, New York City (*Megan E. Joy* and *Gina Mignola* of counsel), for respondent. The hearing court properly determined that the police lawfully searched defendant's car based on defendant's valid consent and probable cause. (*People v Ingle,* 36 NY2d 413; *People v Mitchell,* 211 AD2d 553; *People v Battaglia,* 86 NY2d 755; *People v Hollman,* 79 NY2d 181; *People v Barreras,* 253 AD2d 369; *People v Rizzo,* 40 NY2d 425; *People v Shabazz,* 99 NY2d 634; *People v Wheeler,* 2 NY3d 370; *People v Valerio,* 95 NY2d 924; *People v Carvey,* 89 NY2d 707.)

OPINION OF THE COURT

Ciparick, J.

The question presented by this appeal is whether a police officer may conduct a destructive search of an automobile based on a suspect's general consent to search. We conclude as a matter of law that the search here exceeded the scope of defendant's consent.

Just past midnight on September 27, 2001, Sergeant William Planeta and his partner, Officer Joseph Agresta, spotted a black 1993 Honda with tinted windows. A computer check on the car failed to turn up any negative information. After following the car for approximately 20 blocks, the officers pulled it over for excessively tinted windows—a violation of Vehicle and Traffic Law § 375 (12-a) (b). While his partner spoke with defendant driver, Planeta approached the vehicle, looked through the passenger window and then, as was his custom in car stops, inspected the undercarriage of the car for evidence of a hidden compartment. As Planeta testified, based on his expertise in narcotics trafficking, the undercarriage of a vehicle can offer telltale signs of secret compartments. Accordingly, he checks the undercarriage of virtually every car he stops.

Planeta, upon his inspection, noticed a fresh undercoating around the gas tank. Meanwhile, defendant handed Agresta the relevant documents which revealed a tampered registration card. The word "Company" had been removed from the name on the registration card so that it read "Anna Teodora Fermin" rather than "Anna Teodora Fermin Company." The darkly tinted windows, fresh undercoating near the gas tank and altered registration led Planeta, who had been involved in other narcotics arrests, to suspect that the vehicle may have been used to transport drugs. Planeta then asked defendant whether he had "[g]uns, knives, cocaine, heroin, [or] marijuana," to which defendant responded "No." Planeta followed this question with a request for consent to search the car, which defendant gave.

Upon obtaining consent to search, Planeta directed defendant and the passenger to the rear of the car, where the two officers patted them down and instructed them to sit on the rear bumper and wait. Planeta immediately went to the rear seat, unlocked it and pulled it back. He observed gray "non-factory" carpet in the location above the area where he earlier spotted fresh undercoating. He then pulled up the glued carpeting and discovered a cut in the floorboard. Planeta used his pocket knife to twist open the sheet metal. After struggling to reach what he thought was a plastic bag, Planeta returned to his cruiser and retrieved a crowbar, which he used to pry open part of the gas tank. The officers ultimately recovered seven bags of cocaine weighing approximately 1½ pounds from the compartment found in the gas tank.

Arrested and issued a summons for illegally tinted windows and an expired inspection sticker, defendant was subsequently indicted for criminal possession of a controlled substance in the first and third degrees and criminal possession of a forged instrument in the second degree.

Defendant moved to suppress the drugs claiming that there had been no voluntary consent to search the car and that, even if there were, the search exceeded the scope of the consent.[1] Supreme Court denied the motion after a hearing, finding that

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1. On this appeal, defendant does not contest the voluntariness of his consent to search the vehicle but contests only the scope of his consent. We

(n. cont'd)

defendant had voluntarily consented to a search and that the search conducted was within the scope of the consent, in that defendant never expressly limited or revoked his permission to search. The court reasoned in the alternative that in the absence of consent, probable cause existed to justify the search.

Defendant was convicted on his guilty plea of criminal possession of a controlled substance in the second degree. In affirming defendant's conviction, the Appellate Division left undisturbed the credibility determinations of the suppression court and agreed that defendant's consent was voluntary. The Court further concluded that the officer did not exceed the scope of defendant's consent in light of "defendant's failure to place any limitations on the search, and his failure to object to the search as it was conducted" (11 AD3d 333, 334 [1st Dept 2004]). The Court did not address the alternative grounds relied on by the suppression court in denying the underlying motion. We now reverse and remit the matter to the Appellate Division to address the remaining issues.

"The standard for measuring the scope of a suspect's consent under the Fourth Amendment is that of 'objective' reasonableness—what would the typical reasonable person have understood by the exchange between the officer and the suspect?" (*Florida v Jimeno*, 500 US 248, 251 [1991] [citations omitted].) In *Jimeno*, the United States Supreme Court held that when an officer explains that he is searching for narcotics, a general consent to search a car permits examination of a folded brown paper bag on the floor of the vehicle (*see Jimeno*, 500 US at 251). The Court noted, however, that "[i]t is very likely unreasonable to think that a suspect, by consenting to the search of his trunk, has agreed to the breaking open of a locked briefcase within the trunk" (*Jimeno*, 500 US at 251-252).

Relying on *Jimeno*, the Second Circuit has held that "[b]ased on the plain meaning of the word 'search,' an individual who consents to a search of his car should reasonably expect that readily-opened containers discovered inside the car will be opened and examined" (*United States v Snow*, 44 F3d 133, 136 [1995]). Here, however, the challenged police action went beyond the inspection of a paper bag or a readily opened container. Here the officer damaged the vehicle by removing attached carpeting and physically altering sheet metal with a crowbar.

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note that the Appellate Division did not disturb the suppression court's finding of consent to search—a finding that is supported by the record.

"The scope of a search is generally defined by its expressed object" (*Jimeno*, 500 US at 251). As both sides here agree, a general consent to search, on its own, does not give an officer unfettered search authority. In the absence of other circumstances indicating that defendant authorized the actions taken by police, a general consent to search alone cannot justify a search that impairs the structural integrity of a vehicle or that results in the vehicle being returned in a materially different manner than it was found. A reasonable person would not have understood the officer's request to search to include prying open a hole in the floorboard and gas tank with a crowbar. Here, the officer clearly crossed the line when he took this action without first obtaining defendant's specific consent.[2]

In determining the scope of consent, a suppression court must look to the exchange between the parties—both the request and the response—and any attendant circumstances to determine whether a suspect was reasonably put on notice that the search would likely cause damage. Once a search exceeds the objectively reasonable scope of a voluntary consent, a more specific request or grant of permission is needed, in the absence of probable cause, in order to justify damage to the searched area or item sufficient to require its repair.

We cannot agree with the dissent that Fourth Amendment jurisprudence must strive to avoid rules. In addition to providing the rationale for resolution of particular cases, rules give necessary guidance to lower courts and to police. Police officers are well served when they are advised, in advance, as to whether their proposed conduct will be lawful. For this reason, we today set forth a standard that both provides guidance and retains flexibility. It is the dissent that insists on brightening this principle into what it characterizes as a "bright-line rule[ ]" (dissenting op at 421).

The dissent, moreover, confuses two completely different questions—the reasonableness of a search and the scope of consent. We do not suggest "that a 'damaging' search is per se unreasonable" (*id.* at 423)—we leave it to the Appellate Division to review the reasonableness of the search under the probable cause standard. We conclude only that it was unreasonable for the police

2. Since the search as a whole, including the use of a crowbar to pry open the gas tank, clearly exceeded the scope of the consent, we need not decide whether pulling up the carpet and twisting a knife in the floorboard opening were in themselves beyond that scope.

officer to interpret defendant's general consent to search as consent to use a crowbar to damage the gas tank.

Although the search here exceeded the scope of defendant's consent, we express no opinion as to whether the search was otherwise supported by probable cause, since regrettably the Appellate Division did not review the factual findings of the suppression court on this issue (*see* CPL 470.15).

Accordingly, the order of the Appellate Division should be reversed and the case remitted to that Court for consideration of issues raised but not determined on the appeal.

READ, J. (dissenting). The majority today holds that a search exceeds the scope of a defendant's consent *as a matter of law* whenever it ''impairs the structural integrity of a vehicle or . . . results in the vehicle being returned in a materially different manner than it was found'' unless there is probable cause or ''a more specific request or grant of permission . . . to justify [any] damage to the searched area or item sufficient to require its repair'' (majority op at 420). Because the Supreme Court has ''consistently eschewed bright-line rules'' (*Ohio v Robinette*, 519 US 33, 39 [1996]) in Fourth Amendment contexts, including consent searches (*see id.*; *see also Florida v Jimeno*, 500 US 248, 250 [1991]), I respectfully dissent.

''[T]he touchstone of the Fourth Amendment is reasonableness,'' not bright-line rules (*Ohio v Robinette*, 519 US at 39, quoting *Florida v Jimeno*, 500 US at 250 [internal quotation marks omitted]). ''Reasonableness, in turn, is measured in objective terms by examining the totality of the circumstances'' (*Ohio v Robinette*, 519 US at 39; *see also United States v Drayton*, 536 US 194, 206-207 [2002]; *Schneckloth v Bustamonte*, 412 US 218, 232-233 [1973]).

The United States Supreme Court's decision in *Jimeno* is the key precedent addressing the permissible scope of consent searches of automobiles, as the majority would seem to acknowledge. In that case, police officers, after having obtained consent to search Jimeno's car for narcotics, found cocaine in a folded paper bag lying on the floor of the front-seat passenger's side (*see Florida v Jimeno*, 500 US at 249-250). The Florida state courts suppressed the narcotics, applying ''a *per se* rule that consent to a general search for narcotics does not extend to sealed containers within the general area agreed to by the defendant'' (*id.* at 250 [internal quotation marks omitted]). Notably, the Supreme Court rejected the per se approach of the Florida courts, an approach indistinguishable from the path taken by the majority today.

In rejecting application of a per se rule, the *Jimeno* court explained that ''[t]he Fourth Amendment is satisfied when, under the circumstances, it is objectively reasonable for the officer to believe that the scope of the suspect's consent permitted him to open a particular container within the automobile'' (*id.* at 249). The scope of a suspect's consent hinges on ''what would the typical reasonable person have understood by the exchange between the officer and the suspect'' (*id.* at 251). Further, ''[t]he scope of a search is generally defined by its expressed object'' (*id.*).

Similar to *Jimeno*, Sergeant Planeta preceded his request to search by asking defendant whether he had any narcotics or weapons in the car. As the *Jimeno* court pointed out, ''[c]ontraband goods rarely are strewn across the trunk or floor of a car'' (*id.* [internal quotation marks omitted]). Because ''[a] reasonable person may be expected to know that narcotics are generally carried in some form of a container,'' it was therefore ''objectively reasonable for the police to conclude that the general consent to search respondent's car included consent to search containers within that car which might bear drugs'' (*id.*).

Parallel considerations apply here. Drug dealers have grown more sophisticated in their efforts to hide contraband since—indeed, perhaps in response to—*Jimeno*. Narcotics are nowadays frequently concealed in compartments hidden within fuel tanks (*see United States v Flores-Montano*, 541 US 149, 153 [2004] [noting ''evidence that smugglers frequently attempt to penetrate our borders with contraband secreted in their automobiles' fuel tank'']). So, just as ''it was objectively reasonable for the police to conclude'' in *Jimeno* that they had consent to search any containers in the car ''which might bear drugs'' (*Florida v Jimeno*, 500 US at 251), it was objectively reasonable in this case for Sergeant Planeta to believe that he had permission to search any area of defendant's car in which narcotics might be secreted. To support its observation that ''[t]he scope of a search is generally defined by its expressed object'' (*id.*), the *Jimeno* court cited *United States v Ross* (456 US 798 [1982]), which held that a warrantless search of a car premised not on consent but instead on probable cause—a comparable exception to the warrant requirement—''justifies the search of every part of the vehicle and its contents that may conceal the object of the search'' (*United States v Ross*, 456 US at 825).

The paper bag in *Jimeno* was far easier to open than the hidden compartment in this case, but this difference does not automatically place discovery of the compartment's contents beyond the scope of general consent. Indeed, just as a reasonable person might be expected to know that narcotics could be concealed in a hidden compartment, that reasonable person would also be expected to know that a searcher might have to probe or exert some degree of force to open a hidden compartment. After all, these apparatuses are designed to evade detection and defeat easy or inadvertent entry.[1] Sounding in reasonableness as it does, the Fourth Amendment should not be read so as to reward the ingenuity of drug traffickers (*compare United States v Snow*, 44 F3d 133, 135 [2d Cir 1995] ["the term 'search' implies something more than a superficial, external examination. It entails 'looking through,' 'rummaging,' 'probing,' 'scrutiny,' and 'examining internally' "]).

Here, Sergeant Planeta initially gained access to the hidden compartment by widening a preexisting (and suspicious) hole in the floorboard enough to allow the insertion of a pocketknife (*compare United States v Flores-Montano*, 541 US at 155 [holding that disassembling gas tank during border search does not contravene the Fourth Amendment because it "involves a brief procedure that can be reversed without damaging the safety or operation of the vehicle" and also leaving open the question of the reasonableness of "potentially destructive drilling" (*id.* at 154 n 2)]; *see also Carroll v United States*, 267 US 132 [1925] [warrantless search of car for liquor based on probable cause allowed federal agent to rip open upholstery of car seat]).

The majority's conclusion that a "damaging" search is per se unreasonable is premised largely, if not entirely, on dictum in *Jimeno* that "[i]t is very likely unreasonable to think that a suspect, by consenting to a search of his trunk, has agreed to the breaking open of a locked briefcase within the trunk" (majority op at 419, quoting *Florida v Jimeno*, 500 US at 251-252). The *Jimeno* court made that remark when distinguishing a case, *State v Wells* (539 So 2d 464 [Fla 1989], *affd on other grounds* 495 US 1 [1990]), "on which the Supreme Court of Florida relied in affirming the suppression order in" *Jimeno* (500 US at 251). Any unreasonableness in *Wells*, however,

1. In this case, the suppression court described the compartment as a separate area welded inside the gas tank with a hinged door operated by a piston attached to the floor with a U-shaped clamp with a belt through it.

stemmed not from ''damage,'' but rather from the greater ''expectation of privacy'' afforded a piece of locked luggage than an automobile (*State v Wells*, 539 So 2d at 467). Also, the police in *Wells* had requested consent to search only a locked trunk, not the briefcase, and they ultimately opened the briefcase hours later, out of the defendant's presence (*see id.* at 470 [Shaw, J., dissenting]).

Thus, *Wells* (and, by extension, the *Jimeno* court's dictum regarding *Wells*) is not relevant to this case. Unlike *Wells*, the consent search here was conducted contemporaneously with defendant's granting of consent and in his presence. The police did not open something in which defendant might argue that he had a potentially greater privacy interest than he had in the car itself.[2]

Even if the culmination of the search (i.e., the officer's use of the crowbar) exceeded defendant's initial expectations, the Fourth Amendment is satisfied under the totality of the circumstances. In other words, the majority is just wrong to conclude that, as a matter of Fourth Amendment principles, a search resulting in ''damage''[3] is per se outside the scope of a general consent. The record of the suppression hearing reveals that de-

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2. The other case cited by the majority, *United States v Snow* (44 F3d 133 [1995], *supra*), is likewise inapposite. The majority apparently reads *Snow* as standing for the proposition that consent to a car search extends only to ''readily-opened'' objects and no further (majority op at 419, quoting *United States v Snow*, 44 F3d at 136). The Second Circuit, however, simply concluded that—despite the *Jimeno* court's observation that a search's scope is defined by its expressed object—the failure to inform a suspect of the object of a search did not place contraband discovered in closed bags in the car outside the scope of the suspect's consent (*see id.* at 134-135). Thus, *Snow* does not address the issue presented on this appeal: whether it is objectively reasonable for a suspect fully aware of the object of a search to expect that the searching officer will search ''every part of the vehicle and its contents that may conceal the object of the search'' (*United States v Ross*, 456 US at 825). Indeed, the *Snow* court pointed out that, in light of the rather uninformed consent there, ''[w]e . . . express no view on whether Snow's consent would have extended to items like locked briefcases'' (*United States v Snow*, 44 F3d at 135). The *Snow* court also noted that ''the term 'search' implies something more than a superficial, external examination. It entails 'looking through,' 'rummaging,' 'probing,' 'scrutiny,' and 'examining internally' '' (*id.*). Subsequent to *Snow*, the Second Circuit held that a suspect's consent to a bag search (premised on not much more of an expressed object than in *Snow*) encompassed allowing a police officer to pull apart a sneaker with a false bottom found in the bag (*United States v Mire*, 51 F3d 349, 351-352 [2d Cir 1995]).

3. The suppression court found that the damage to the car in this case was ''limited and reasonably necessary to gain access to the gas tank area which was the focus of the search.''

fendant watched the search from no more than four feet away. And the suppression court concluded (as factual matters, undisturbed by the Appellate Division and so beyond our review) that defendant had the ability both to communicate with Sergeant Planeta and to see the search as it unfolded. Yet, defendant remained silent as Sergeant Planeta began the search by first folding over the back seat and then pulling up the non-factory installed carpeting. After Sergeant Planeta ceased searching momentarily and walked towards the police car to get a crowbar, defendant maintained his silence. When Sergeant Planeta walked back towards defendant's car with the crowbar, defendant did not speak up. Finally, when Sergeant Planeta reentered defendant's car with the crowbar, defendant still did not ask for the search to be halted.

In light of the totality of the circumstances just described, it was objectively reasonable for Sergeant Planeta to believe that the scope of defendant's consent encompassed the actions he took to search the area of the car above the hidden compartment. As the *Jimeno* court pointed out, ''[a] suspect may of course delimit as he chooses the scope of the search to which he consents'' (*Florida v Jimeno*, 500 US at 252). Here, defendant never did. I therefore agree with both the suppression court and the Appellate Division that defendant's silence in the face of Sergeant Planeta's evolving actions constituted consent to the search as conducted.

Although the majority would require ''a more specific request or grant of permission'' (majority op at 420), that is not what the Fourth Amendment commands. Indeed, the Supreme Court has found ''no basis for adding this sort of superstructure to the Fourth Amendment's basic test of objective reasonableness'' (*Florida v Jimeno*, 500 US at 252). Because defendant's ''consent would reasonably be understood to extend to [what occurred here], the Fourth Amendment provides no grounds for requiring a more explicit authorization'' (*id.*).

Of course, the majority's new rule may have no practical consequences for this particular case. Whether it does or not will depend upon the outcome of the Appellate Division's review of the suppression court's factual findings related to probable cause. I wonder, though, how law enforcement officers will approach the consent search of a vehicle in the future. The majority has fixed the boundary line separating a reasonable from a ''damaging'' search for which more specific consent is required at the point where police actions impair the structural integrity of the vehicle, or would result in the vehicle's being returned in a materially different manner than it was found. The ''structural integrity'' standard seems relatively straightforward, but the ''materially different'' standard is vague and may well prove unworkable in the field. Critically, we live in an age when we should be most reluctant to create hard-to-apply rules that hamstring police officers who reasonably suspect that a vehicle contains a hidden compartment—an alteration with few, if any, innocent purposes—which might conceal far more lethal cargo than narcotics (*compare United States v Cortez-Rocha*, 394 F3d 1115, 1125 [9th Cir 2005], *cert denied* — US —, 126 S Ct 105 [2005] [after citing to portions of 9/11 Commission Report, including section discussing Ahmed Ressam, the thwarted Millennium Bomber, court observed that ''giving special protection to the contents of a spare tire,'' which was cut open during a border search, ''might simply result in making spare tires the smuggler's—and future Ahmed Ressams—container of choice'']).

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and R.S. SMITH concur with Judge CIPARICK; Judge READ dissents in a separate opinion.

Order reversed, etc.

[839 NE2d 357, 805 NYS2d 299]

JOSE RODRIGUES et al., Plaintiffs, v N & S BUILDING CONTRACTORS, INC., Defendant and Third-Party Plaintiff-Appellant, et al., Defendant. CALDAS CONCRETE COMPANY, INC., et al., Third-Party Defendants-Respondents.

Argued September 14, 2005; decided October 20, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 17, 2004. The Appellate Division affirmed an order of the Supreme Court, Ulster County (John G. Connor, J.), which had, among other things, granted a cross motion by third-party defendant Caldas Concrete Company, Inc. for summary judgment dismissing the third-party complaint against it.

Rodrigues v N & S Bldg. Contrs., Inc., 8 AD3d 876, reversed.

HEADNOTE

Indemnity — Contractual Indemnification

In an action by plaintiff, who was injured while working on a construction project, defendant general contractor was entitled to indemnification pursuant to Workers' Compensation Law § 11 from plaintiff's employer, third-party defendant subcontractor, for any judgment obtained by plaintiff against defendant, to the extent that such judgment was not the result of defendant's own wrongdoing. Section 11 prohibits third-party indemnification claims against employers except where the employee has sustained a "grave injury," or the claim is based upon a written agreement by which the employer had expressly agreed to such indemnification. The "Insurance, Indemnification and Safety Agreement" (Agreement) herein explicitly evidenced third-party defendant's promise to assume responsibility for the safety of its employees, procure insurance protecting defendant and indemnify it in the event of an injury arising out of the performance of the subcontracted work. The absence of a written contract for the project at issue did not bar defendant's indemnity claim. The Agreement applied to all jobs for which defendant hired third-party defendant as subcontractor. Furthermore, the Agreement satisfied section 11's requirement of a written contract and the indemnification provision was sufficiently clear and unambiguous.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation § 59.
MCKINNEY'S, Workers' Compensation Law § 11.
NY JUR 2d, Workers' Compensation §§ 112, 113.

ANNOTATION REFERENCE

Effect of state workers' compensation act on right of third person tortfeasor to contribution or indemnity from employer of injured or killed worker. 100 ALR3d 350.

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POINTS OF COUNSEL

Goldberg Segalla LLP, Albany (*Matthew S. Lerner* and *Gary J. O'Donnell* of counsel), for defendant and third-party plaintiff-appellant. I. An oral contract or a contract implied in fact applied to the work site, and the safety agreement that included the applicable indemnification provision was part of that contract. (*Matter of Ahern v South Buffalo Ry. Co.,* 303 NY 545; *Dzek v Desco Vitroglaze of Schenectady,* 285 AD2d 926; *Jemzura v Jemzura,* 36 NY2d 496; *Hooper Assoc. v AGS Computers,* 74 NY2d 487; *Zuckerman v City of New York,* 49 NY2d 557.) II. The clear and unambiguous terms and conditions of the agreement are more than sufficient for a court to determine that Caldas Concrete Company, Inc. agreed to indemnify N & S Building Contractors, Inc. for damages assessed against it in the underlying action. (*Hooper Assoc. v AGS Computers,* 74 NY2d 487; *Tonking v Port Auth. of N.Y. & N.J.,* 3 NY3d 486.) III. Neither Workers' Compensation Law § 11, its legislative history, nor New York case law supports the Third Department's reasoning concerning its interpretation of the agreement. (*Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Dole v Dow Chem. Co.,* 30 NY2d 143; *Boles v Dormer Giant, Inc.,* 4 NY3d 235; *Castro v United Container Mach. Group,* 96 NY2d 398; *Meis v ELO Org.,* 97 NY2d 714; *Secord v Willow Ridge Stables,* 261 AD2d 965; *Hooper Assoc. v AGS Computers,* 74 NY2d 487; *Tonking v Port Auth. of N.Y. & N.J.,* 3 NY3d 486; *Potter v M.A. Bongiovanni, Inc.,* 271 AD2d 918; *Linarello v City Univ. of N.Y.,* 6 AD3d 192.)

Hanlon, Veloce & Wilkinson, Albany (*Thomas J. Wilkinson* of counsel), for third-party defendants-respondents. The court below correctly dismissed appellant's third-party complaint because there was no written contract for the work at 284 Jansen Road. (*Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York,* 41 NY2d 205; *Longines-Wittnauer Watch Co. v Barnes & Reinecke,* 15 NY2d 443; *Tompkins v Hunter,* 149 NY 117; *Dole v Dow Chem. Co.,* 30 NY2d 143; *Castro v United*

Container Mach. Group, 96 NY2d 398; *Meis v ELO Org.,* 97 NY2d 714; *Ferri v 63 Madison Assoc.,* 280 AD2d 419; *Mowczan v Bacon,* 92 NY2d 281; *Guijarro v V.R.H. Constr. Corp.,* 290 AD2d 485.)

Hiscock & Barclay, LLP, Albany (*Mark R. Sonders* and *Colleen D. Galligan* of counsel), for New York State Builders Association, Inc., amicus curiae. I. Workers' Compensation Law § 11 does not require specific language relating to the person covered, the types of losses covered and the specific job covered for the contractual indemnification exception to apply. (*Flores v Lower E. Side Serv. Ctr., Inc.,* 4 NY3d 363; *Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Castro v United Container Mach. Group,* 96 NY2d 398; *Meis v ELO Org.,* 97 NY2d 714.) II. The Third Department's finding that an indemnification agreement under Workers' Compensation Law § 11 must include certain specific language violates the doctrine of stare decisis. (*Hooper Assoc. v AGS Computers,* 74 NY2d 487; *People v Hobson,* 39 NY2d 479; *Heyert v Orange & Rockland Util.,* 17 NY2d 352; *Cenven, Inc. v Bethlehem Steel Corp.,* 41 NY2d 842; *Robertson v Ongley Elec. Co.,* 146 NY 20; *Levine v Shell Oil Co.,* 28 NY2d 205; *Kurek v Port Chester Hous. Auth.,* 18 NY2d 450; *Niagara Frontier Transp. Auth. v Tri-Delta Constr. Corp.,* 107 AD2d 450; *Margolin v New York Life Ins. Co.,* 32 NY2d 149; *Inman v Binghamton Hous. Auth.,* 3 NY2d 137.) III. Affirmation of the Third Department's decision in *Rodrigues v N & S Bldg. Contrs., Inc.* (8 AD3d 876 [2004]), requiring specific language in an indemnification agreement beyond that required by Workers' Compensation Law § 11 and at variance with accepted customs and understandings, will have a profoundly negative effect on the residential construction industry. (*Walter Concrete Constr. Corp. v Lederle Labs.,* 99 NY2d 603; *Trump-Equitable Fifth Ave. Co. v H.R.H. Constr. Corp.,* 66 NY2d 779; *United States v Seckinger,* 397 US 203; *Johnson City Cent. School Dist. v Fidelity & Deposit Co. of Md.,* 226 AD2d 990; *Board of Educ. of Hudson City School Dist. v Sargent, Webster, Crenshaw & Folley,* 146 AD2d 190; *Gordon J. Phillips, Inc. v Concrete Materials,* 187 AD2d 1024; *Eis Group/Cornwall Hill Dev. Corp. v Rinaldi Constr.,* 154 AD2d 429; *Liberty Mgt. & Constr. v Fifth Ave. & Sixty-Sixth St. Corp.,* 208 AD2d 73.)

OPINION OF THE COURT

Chief Judge KAYE.

Workers' Compensation Law § 11 prohibits third-party indemnification or contribution claims against employers, except where the employee sustained a ‘‘grave injury,’’ or the claim is ‘‘based upon a provision in a written contract entered into prior to the accident or occurrence by which the employer had expressly agreed to contribution to or indemnification of the claimant or person asserting the cause of action for the type of loss suffered.’’ This appeal centers on the latter exception, in particular whether the parties’ agreement satisfied statutory requirements for a viable indemnification claim. We conclude that it did.*

Facts

Third-party plaintiff N & S Building Contractors, Inc. was the general contractor for the construction of a single-family house located at 284 Jansen Road in Shawangunk, New York. N & S hired third-party defendant Caldas Concrete Company, Inc. as a subcontractor to erect the concrete foundation. The two companies had a longstanding relationship, having worked together approximately 20 times prior to the Jansen Road project. In February 2000 the parties entered into a one-page ‘‘Insurance, Indemnification and Safety Agreement.’’ The Agreement required Caldas to carry certain insurance, name N & S as an additional insured on its general liability policy and furnish N & S with a certificate from the insurer that insurance was in force. The Agreement further provided that

> ‘‘[t]o the fullest extent permitted by law, Subcontractor [Caldas] shall indemnify and hold harmless N. & S. Building Contractors, Inc. and Owner against any claims, damages, losses, and expenses, including legal fees, arising out of or resulting from performance of subcontracted work to the extent caused in whole or in part by the Subcontractor or anyone directly or indirectly employed by the subcontractor.’’

Finally, the Agreement stated that the ‘‘[s]afety of [Caldas’s]

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* In its answer to third-party complaint, Caldas asserted affirmative defenses and a counterclaim for apportionment, contribution and indemnification against N & S. Those defenses and the counterclaim were not resolved by the summary judgment motions that are the subject of the present appeal. Although we conclude that N & S has established a right to indemnification as a matter of law, we do not consider the facts. N & S, of course, would not be entitled to indemnification from Caldas for losses resulting from its own negligence.

employees, whether or not in common work areas, is the responsibility of [Caldas].''

Caldas president Joaquin Januario signed the Agreement on February 7, 2000—the same date reflected on the certificate of liability insurance naming N & S as an additional insured under Caldas's commercial general liability insurance policy. Approximately four months later, on June 20, 2000, Caldas began work at the Jansen Road site pursuant to an oral agreement with N & S. The following day, Jose Rodrigues, a Caldas employee working at the site, tripped, fell into a trench and was impaled on a piece of rebar. Rodrigues, and his wife derivatively, sued N & S alleging numerous causes of action, all subsequently withdrawn except those alleging violations of Labor Law § 241 (6).

N & S commenced a third-party action against Caldas and its insurer, Transcontinental Insurance Company, seeking indemnification based on the Agreement and claiming that Transcontinental's refusal to defend and indemnify N & S was in bad faith. Supreme Court granted Caldas's motion to dismiss that claim, concluding that, because ''there was no written contract between N&S and Caldas for the work being performed at 284 Jensen [*sic*] Road, the site of the accident,'' N & S's claim could not be sustained. The Appellate Division affirmed, holding that ''the agreement does not unambiguously and expressly provide that Caldas must indemnify N & S for injuries sustained by Caldas employees in the scope of their employment'' (8 AD3d 876, 878 [3d Dept 2004]). The Court added that ''[t]he agreement specifies neither the persons covered nor the types of losses covered, contains no reference to the instant job site and states only that Caldas agrees to indemnify N & S '[t]o the fullest extent permitted by law' '' (*id.* n 2). We granted N & S leave to appeal and now reverse.

Discussion

N & S asks us to grant summary judgment declaring that Caldas must indemnify it for any losses sustained in the underlying personal injury action. Thus, we may grant the relief sought only if N & S has established, as a matter of law, that the Agreement entitled it to indemnity under Workers' Compensation Law § 11 (*see e.g. JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373, 384 [2005]).

At the outset, it is clear that, despite the Workers' Compensation Law shield of employers from liability as joint tortfeasors, a third party may recover against an employer pursuant to contract (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 582 [1998]). Indeed, the statute expressly permits indemnification claims ‘‘based upon a provision in a written contract.’’ Thus, there is no question that the Workers’ Compensation Law allowed N & S and Caldas to enter into an agreement that would indemnify N & S for any losses it might suffer as a result of a personal injury action by a Caldas employee.

Whether the parties did in fact have such an agreement involves a two-part inquiry. First, we consider whether the parties entered into a written contract containing an indemnity provision applicable to the site or job where the injury giving rise to the indemnity claim took place. Second, if so, we examine whether the indemnity provision was sufficiently particular to meet the requirements of section 11.

Caldas argues, and Supreme Court held, that the absence of a written contract explicitly for the Jansen Road project bars N & S’s indemnity claim. We disagree.

The indemnification provision of the parties’ agreement applied to the ‘‘performance of subcontracted work’’ between them. The insurance provision similarly did not specify any particular job site or duration, and the safety provision made Caldas responsible for the safety of its workers, again without reference to any job site or time frame. In addition to the words of the Agreement, N & S vice-president Philip Neidermier testified at his deposition that the Agreement ‘‘refers to all of our sites that [Caldas] would work on . . . [i]ncluding that one [Jansen Road].’’ Caldas did not refute this evidence.

The language of the contract, as well as the testimony, make clear that the Agreement was purposely intended to, and did, apply to all jobs for which N & S hired Caldas as a subcontractor, including Jansen Road. In that no site is mentioned, the argument that the Agreement should not apply here because it does not specifically mention Jansen Road would render it inapplicable to any site or job N & S subcontracted to Caldas. An agreement should not be construed so as to render it meaningless.

The Agreement, moreover, satisfied section 11’s requirement of a ‘‘written contract.’’ Workers’ Compensation Law § 11 requires only that the indemnification claim arise from an indemnification provision in a written contract entered into before the injury. Here, the written agreement contained an indemnification provision, entered into before the injury.

Having concluded that the Agreement was a written contract between the parties applicable to the Jansen Road site, we next consider whether the indemnification provision was sufficiently clear and unambiguous. As we noted in *Hooper Assoc. v AGS Computers* (74 NY2d 487, 491-492 [1989] [citations omitted]),

> ''[w]hen a party is under no legal duty to indemnify, a contract assuming that obligation must be strictly construed to avoid reading into it a duty which the parties did not intend to be assumed. The promise should not be found unless it can be clearly implied from the language and purpose of the entire agreement and the surrounding facts and circumstances.''

Here, the Agreement directly, firmly and explicitly evidenced Caldas's promise to assume responsibility for the safety of its employees, procure insurance protecting N & S and indemnify it in the event of an on-the-job injury. That Caldas arranged for the insurance required by the Agreement is further evidence that Caldas itself recognized that it had undertaken that obligation.

The Appellate Division appears to have interpreted the written-contract exception to Workers' Compensation Law § 11 to require that an indemnification provision specify the sites, persons and the types of losses covered. We are reluctant to impose specificity requirements not in the statute (*see Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363 [2005]). So long as a written indemnification provision encompasses an agreement to indemnify the person asserting the indemnification claim for the type of loss suffered, it meets the requirements of the statute. That standard was satisfied here.

Accordingly, the order of the Appellate Division should be reversed, with costs, defendant and third-party plaintiff N & S Building Contractors, Inc.'s motion for summary judgment as to the third-party action granted and judgment granted declaring that N & S Building Contractors, Inc. is entitled to indemnification from third-party defendant Caldas Concrete Company, Inc. for any judgment obtained by plaintiff against N & S Building Contractors, Inc. in the main action, to the extent that such judgment is not the result of N & S Building Contractors, Inc.'s own wrongdoing.

Read, J. (dissenting). The Legislature adopted the Omnibus

Workers' Compensation Reform Act in 1996 to shield employers from third-party indemnification or contribution claims except in the limited circumstances of a ''grave injury,'' or for a claim ''based upon a provision in a written contract entered into prior to the accident or occurrence *by which the employer expressly agreed* to contribution to or indemnification of the claimant or person asserting the cause of action for the type of loss suffered'' (Workers' Compensation Law § 11 [emphasis added]). Merriam Webster's Collegiate Dictionary defines ''express'' as

> ''**1 a**: directly, firmly, and explicitly stated <my *express* orders> **b**: EXACT, PRECISE
>
> ''**2 a**: designed for or adapted to its purpose **b**: of a particular sort: SPECIFIC <for that *express* purpose>'' (at 410 [10th ed 1997]).

As amicus New York State Builders Association, Inc., points out, however, the language in the indemnification provision of the agreement between the parties in this case ''is substantially similar to that used . . . in form-documents prepared by The American Institute of Architects (AIA) and widely used and accepted throughout the construction industry.'' To be precise, the basis for the provision is A401-1997, issued for publication in October 1997. This type of generic indemnification, drafted for use nationwide in states without any equivalent to our rule in *Dole v Dow Chem. Co.* (30 NY2d 143 [1972]), does not clearly and unambiguously signal an employer's *express* agreement for purposes of section 11. Surely the employer must explicitly agree to indemnify for claims against which it would be safeguarded by section 11 unless there is a grave injury. Otherwise, section 11's promise of relief from third-party actions is illusory for large categories of employers—such as subcontractors—that routinely enter into contracts with standard form indemnifications. The Legislature cannot have intended or contemplated this result when it created an exception from the refuge of section 11 for an express agreement to forgo its protection. Accordingly, I respectfully dissent.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur with Chief Judge KAYE; Judge READ dissents in a separate opinion.

Order reversed, etc.

[842 NE2d 466, 808 NYS2d 568]

In the Matter of Beechwood Restorative Care Center et al., Appellants, v John Signor, as Records Access Appeals Officer of New York State Department of Health, et al., Respondents.

Argued September 13, 2005; decided October 25, 2005

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 1, 2004. The Appellate Division affirmed an order of the Supreme Court, Monroe County (Evelyn Frazee, J.), which had denied petitioners' application for attorneys' fees in a proceeding pursuant to CPLR article 78 to compel respondents to respond to requests under the Freedom of Information Law (Public Officers Law art 6).

Matter of Beechwood Restorative Care Ctr. v Signor, 11 AD3d 987, affirmed.

HEADNOTES

Records — Freedom of Information Law — Attorneys' Fees

1. Petitioners were not entitled to counsel fees under the Freedom of Information Law ([FOIL] Public Officers Law art 6) in a proceeding to compel respondents to respond to requests for documents pertaining to Department of Health (DOH) procedures and petitioner skilled nursing facility's license revocation. A court may award reasonable counsel fees and litigation costs to a party that "substantially prevailed" in the proceeding if the record involved was of clearly significant interest to the general public, and the agency lacked a reasonable basis in law for withholding the record (Public Officers Law § 89 [4] [c]). Here, the public interest in closure of the facility did not by itself establish that any of the records relating to DOH's actions and obtained by petitioners were also of interest to society.

State — Equal Access to Justice Act — Applicability to Freedom of Information Law

2. Petitioners were not entitled to counsel fees pursuant to the Equal Access to Justice Act (CPLR art 86) in a proceeding to compel respondents to respond to requests under the Freedom of Information Law ([FOIL] Public Officers Law art 6) for documents pertaining to Department of Health procedures and petitioner skilled nursing facility's license revocation. CPLR 8601 (a), which provides for an award of counsel fees to a prevailing party in a civil action against the State, unless the position of the State was substantially justified, is applicable only where another statute does not specifically provide for counsel fees. Public Officers Law § 89 (4) (c) is such a statute inasmuch as it contains a counsel fee provision applicable to FOIL proceedings against the government.

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By the Publisher's Editorial Staff

Am Jur 2d, Freedom of Information Acts §§ 580, 589, 592–594.

Carmody-Wait 2d, Proceeding Against a Body or Officer §§ 145:481, 145:650.

McKinney's, CPLR 8601 (a); Public Officers Law § 89 (4) (c).

NY Jur 2d, Records and Recording § 63; NY Jur 2d, State of New York § 184.

Siegel, NY Prac § 414.

ANNOTATION REFERENCE

Construction and application of state freedom of information act provisions concerning award of attorney's fees and other litigation costs. 118 ALR5th 1.

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POINTS OF COUNSEL

McConville, Considine, Cooman & Morin, P.C., Rochester (*Kevin S. Cooman, Jason S. DiPonzio* and *Peter J. Weishaar* of counsel), for appellants. I. Beechwood Restorative Care Center met the Freedom of Information Law's three criteria for an award of attorney's fees, and the courts below improperly denied Beechwood's request for fees. (*Matter of Powhida v City of Albany,* 147 AD2d 236; *Matter of Banchs v Coughlin,* 168 AD2d 711; *Village of Brockport v Calandra,* 191 Misc 2d 718, 305 AD2d 1030; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75; *Matter of Gould v New York City Police Dept.,* 89 NY2d 267; *Matter of John P. v Whalen,* 54 NY2d 89; *Matter of City of Newark v Law Dept. of City of N.Y.,* 305 AD2d 28; *Mitchum v Foster,* 407 US 225; *Monroe v Pape,* 365 US 167; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562.) II. Attorney's fees should be available under the Equal Access to Justice Act to a Freedom of Information Law petitioner. (*Matter of Thomas v Coughlin,* 194 AD2d 281; *Birkland v Rotary Plaza, Inc.,* 643 F Supp 223; *Crooker v E.P.A.,* 763 F2d 16; *Matter of Sutherland v Glennon,* 256 AD2d 984; *Matter of Mitchell v Bane,* 218 AD2d 537, 88 NY2d 1003; *Matter of Cross-Sound Ferry Servs.,* 219 AD2d 346;

Matter of Leeds v Burns, 205 AD2d 540, 84 NY2d 811; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington,* 97 NY2d 86; *Matter of New York State Clinical Lab. Assn. v Kaladjian,* 85 NY2d 346; *Pierce v Underwood,* 487 US 552.)

Eliot Spitzer, Attorney General, Albany (*Frank K. Walsh, Caitlin J. Halligan, Daniel Smirlock* and *Andrea Oser* of counsel), for respondents. I. There is no basis for disturbing the lower courts' discretionary determination to deny petitioners' request for attorney's fees under the Freedom of Information Law. (*Matter of Wurster v LeFevre,* 152 AD2d 810; *Matter of Niagara Envtl. Action v City of Niagara Falls,* 100 AD2d 742, 63 NY2d 651; *Matter of Todd v Craig,* 266 AD2d 626, 94 NY2d 760; *Matter of McAndrew v Board of Educ. for City School Dist. of City of Port Jervis,* 120 AD2d 591; *Holterman v Holterman,* 3 NY3d 1; *O'Brien v O'Brien,* 66 NY2d 576; *Dalton v Educational Testing Serv.,* 87 NY2d 384; *Humphrey v State of New York,* 60 NY2d 742; *Matter of Rothko,* 43 NY2d 305; *Matter of Grace v Chenango County,* 256 AD2d 890.) II. The lower courts correctly rejected petitioners' request for attorney's fees under the Equal Access to Justice Act on the ground that Public Officers Law § 89 (4) (c) is the sole vehicle for the recovery of attorney's fees under the Freedom of Information Law. (*Matter of John P. v Whalen,* 54 NY2d 89; *Matter of Branford House v Michetti,* 81 NY2d 681; *Sanders v Winship,* 57 NY2d 391; *Matter of Lower Manhattan Loft Tenants v New York City Loft Bd.,* 66 NY2d 298; *Delaware Midland Corp. v Incorporated Vil. of Westhampton Beach,* 79 Misc 2d 438, 48 AD2d 681, 39 NY2d 1029; *Alweis v Evans,* 69 NY2d 199; *Matter of Cross-Sound Ferry Servs. v Department of Transp.,* 219 AD2d 346; *Martin v City of Cohoes,* 37 NY2d 162; *Matter of New York, Lackawanna & W. R.R. Co.,* 98 NY 447; *Burke v Crosson,* 85 NY2d 10.)

McNamee, Lochner, Titus & Williams, P.C., Albany (*Michael J. Grygiel* of counsel); *Jerome L. Wilson*; *Stephen Kimatian*, East Syracuse; *Bond, Schoeneck & King, LLP,* Syracuse (*S. Paul Battaglia* of counsel); *Sabin, Bermant & Gould LLP,* New York City (*Richard A. Bernstein* and *Neil M. Rosenhouse* of counsel); *David Tomlin; Anne B. Carroll*; *Eve B. Burton*, *Jonathan R. Donnellan; Kay Murray;* and *David E. McCraw* for New York Newspaper Publishers Association, Inc. and others, amici curiae. I. A de novo standard of review applies to the statutory construction issue raised on this appeal. (*J.C. v Regional School Dist. 10, Bd. of Educ.,* 278 F3d 119; *Doyle v Kamenkowitz,* 114

F3d 371; *Mautner v Hirsch,* 32 F3d 37; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.,* 98 NY2d 575; *Matter of Guido v New York State Teachers' Retirement Sys.,* 94 NY2d 64.) II. Section 89 (4) (c) of the Public Officers Law's dual purposes of encouraging agency compliance with the Freedom of Information Law and providing a remedy to citizens forced to litigate the unlawful withholding of records require an award of attorneys' fees as a matter of law on this appeal. (*Matter of Herald Co. v Feurstein,* 3 Misc 3d 885; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562; *Matter of Fink v Lefkowitz,* 47 NY2d 567; *Village of Brockport v Calandra,* 191 Misc 2d 718; *Matter of William J. Kline & Son v Fallows,* 124 Misc 2d 701; *Matter of Powhida v City of Albany,* 147 AD2d 236; *Matter of Friedland v Maloney,* 148 AD2d 814; *Matter of Cross-Sound Ferry Servs. v Department of Transp.,* 219 AD2d 346; *Miller v U.S. Dept. of State,* 779 F2d 1378; *Anderson v Secretary of Health & Human Servs.,* 80 F3d 1500.)

OPINION OF THE COURT

GRAFFEO, J.

The main issue in this case is whether the courts below erred as a matter of law in denying attorneys' fees to petitioners under the Freedom of Information Law (Public Officers Law art 6). We are also asked whether the counsel fee provision in the New York State Equal Access to Justice Act (CPLR art 86) applies to these proceedings. We conclude that the courts below did not err in denying petitioners' request for counsel fees and hold that the Equal Access to Justice Act is not applicable to Freedom of Information Law proceedings.

Petitioner Beechwood Restorative Care Center is a general partnership that operated a skilled nursing facility in the Rochester area for many years. In June 1999, respondent New York State Department of Health (DOH) commenced a license revocation proceeding against Beechwood based on allegations of substandard care of its residents. A hearing was held before an administrative law judge (ALJ), who sustained DOH's allegations involving a number of residents and determined that Beechwood had committed serious violations of multiple regulations, resulting in a pattern of inadequate care. Upon the Commissioner's adoption of the ALJ's recommendation, in December 1999 DOH revoked Beechwood's operating certificate, closed the facility and imposed a $54,000 civil penalty.

Between August 1999 and January 2001, Beechwood submitted 17 separate Freedom of Information Law (FOIL) requests to

DOH seeking documents pertaining to DOH procedures in general and Beechwood's license revocation in particular. Each of the requests contained numerous itemized demands. In response, DOH produced hundreds of pages of documents, largely relating to five of the requests.

Beechwood and petitioner Brook Chambery, a general partner of Beechwood (collectively Beechwood), commenced this CPLR article 78 proceeding in April 2001 alleging that DOH had failed to respond to 12 of their FOIL requests (containing 78 itemized demands) and seeking attorneys' fees under both FOIL and the New York State Equal Access to Justice Act (EAJA). Before Supreme Court issued its ruling, DOH delivered over 350 pages of additional records to Beechwood and thereafter claimed that the proceeding was moot.

In its first of a succession of orders, Supreme Court held that the proceeding was not moot and directed DOH to provide affidavits by responsible individuals articulating the diligent search efforts undertaken by the Department to locate documents responsive to the FOIL requests and certifying whether the remaining requested records existed. For documents found to exist, the court ordered DOH either to produce them or indicate the reasons they should be exempt from disclosure under FOIL. As a result of this directive, DOH produced the affidavits of three employees explaining their efforts and asserted various exemptions for 90 pages of documents, which were submitted to the court for in camera review.

Supreme Court upheld all of the exemptions claimed by DOH but ordered the Department to further probe for records responsive to 48 demands, concluding that Beechwood had "rebutted [DOH's] certification that a diligent search has been conducted and all responsive documents have been located." Subsequently, DOH filed three additional affidavits that identified close to 400 pages of documents pertaining to 17 of the 48 items sought by Beechwood. The affidavits explained that DOH employees could not locate records in connection with the outstanding 31 requests.

Beechwood then moved to compel DOH to provide further affidavits relating to the procedures it had instigated to locate the requested documents. DOH replied with affidavits from 20 employees from various bureaus, divisions and offices of DOH, who had searched their files and discovered 74 pages of additional documents. Supreme Court directed DOH to search for records pertaining to one final item, which was eventually discovered. After the completion of production of records, Beechwood moved for attorneys' fees premised on both the FOIL and EAJA statutes.

Supreme Court denied Beechwood's application for counsel fees, concluding that Beechwood had failed to meet its burden of establishing that the particular records disclosed were clearly of significant interest to the general public, a prerequisite to recovery of attorneys' fees under FOIL. The court also indicated that it would have denied the request in the exercise of its discretion even if Beechwood had satisfied all of the FOIL counsel fee requirements. Finally, the court denied the fee request under the EAJA, finding that provision inapplicable to FOIL cases.

The Appellate Division affirmed. The Court agreed that Beechwood did not establish that the records obtained were of significant interest to the general public, observing that Beechwood sought to use the documentation in its federal litigation against DOH employees. The Court further determined that Beechwood had failed to show that DOH lacked a reasonable basis for withholding the records. Assuming for the sake of argument that Beechwood had met the FOIL standard, the Court held that Supreme Court did not abuse its discretion in declining to award attorneys' fees based on the voluminous amount of records sought, the need for clarification of various items requested and the fact that Beechwood already possessed a number of documents it had requested. The Court also rejected Beechwood's argument that it could seek legal fees pursuant to the EAJA. We granted Beechwood leave to appeal and now affirm the denial of its request for counsel fees.

"The Legislature enacted FOIL to provide the public with a means of access to governmental records in order to encourage public awareness and understanding of and participation in government and to discourage official secrecy" (*Matter of Alderson v New York State Coll. of Agric. & Life Sciences at Cornell Univ.*, 4 NY3d 225, 230 [2005] [internal quotation marks and citation omitted]). An agency's records "are presumptively open to public inspection, without regard to need or purpose of the applicant" (*Matter of Buffalo News v Buffalo Enter. Dev. Corp.*, 84 NY2d 488, 492 [1994]). When faced with a FOIL request, an agency must either disclose the record sought, deny the request and claim a specific exemption to disclosure, or certify that it does not possess the requested document and that it could not be located after a diligent search (*see* Public Officers Law § 87 [2]; § 89 [3]; *Matter of Corvetti v Town of Lake Pleasant*, 239 AD2d 841, 843 [3d Dept 1997]).

Although DOH acknowledged receipt of the 12 FOIL requests and indicated that it would take approximately 30 to 60 days to process each request and determine the availability of responsive documents, DOH initially supplied documents in connection with only three of them. DOH's failure to follow FOIL's requirements necessitated this lawsuit, a result that could have been avoided had DOH discharged its statutorily-mandated disclosure obligations in a more thorough and timely fashion. DOH's delay in conducting a comprehensive search for the requested records triggered the question whether Beechwood could recover attorneys' fees expended in this litigation.

Pursuant to FOIL's fee-shifting provision, a court may award reasonable counsel fees and litigation costs to a party that ''substantially prevailed'' in the proceeding if the court finds that (1) ''the record involved was, in fact, of clearly significant interest to the general public,'' and (2) ''the agency lacked a reasonable basis in law for withholding the record'' (Public Officers Law § 89 [4] [c]). Only after a court finds that the statutory prerequisites have been satisfied may it exercise its discretion to award or decline attorneys' fees. Where, as here, a court determines that one of the requirements has not been met, we review whether the court erred as a matter of law in reaching that conclusion (*see Matter of Niagara Envtl. Action v City of Niagara Falls*, 63 NY2d 651, 652 [1984]).

Beechwood's principal argument on appeal is that Supreme Court and the Appellate Division erroneously concluded that the general public did not clearly have a significant interest in the records it obtained. Specifically, Beechwood relies on the broad assertion that closure of the facility was significant to the public and, as such, documents relating to that closure meet the statutory test.

[1] The specific language of the statute, however, emphasizes that the records themselves must be of significant interest to the public, not just the event to which they relate (*see* Public Officers Law § 89 [4] [c] [i]). The legislative history underlying this provision further demonstrates that it is not enough that the records be of potential or speculative interest to the public. Governor Hugh Carey vetoed a prior version of this legislation that contained a less stringent public interest test and, in his approval of the current provision, noted that "the bill clarifies and tightens the public interest standard by requiring that the record be of 'clearly significant interest to the general public' and not just 'potentially' so" (Governor's Mem approving L 1982, ch 73, 1982 NY Legis Ann, at 47). Therefore, the public's interest in closure of the facility does not by itself establish that any records relating to DOH's actions are also of interest to society.

Among the hundreds of pages of responsive documents produced here were general agency records such as job descriptions of DOH employees and documents related to employee training, correspondence between DOH and various advocacy groups, portions of both the 1999 State Medicaid Plan and State Operations Manual, a listing of nursing home patient admissions and records from the federal Health Care Financing Agency (HCFA) regarding DOH's survey performance. More specific to Beechwood's license revocation proceeding, DOH also disclosed monitoring sheets and time sheets relating to DOH's on-site activities, documents pertaining to the process of transferring patients from Beechwood, a voucher for the services of an expert witness retained by DOH, a complaint report generated as a result of a patient's allegations, a statement of deficiencies, surveyor notes and worksheets relating to an incident of substandard care at Beechwood, other surveyor notes from monitoring visits in April and May 1999 and documentation regarding DOH's decision to charge Beechwood in an administrative enforcement action. Beechwood offered no reason why the general public would have a significant interest in any of these documents.

Under the circumstances, we agree with the determinations of the courts below that the records Beechwood obtained, which included general agency documents as well as closure-related records, are not "of clearly significant interest to the general public."[1] Inasmuch as the courts below did not err as a matter of law in reaching this conclusion, we have no reason to disturb their denial of counsel fees. Hence, even assuming Beechwood met the other FOIL requirements—it "substantially prevailed" and DOH did not have a reasonable basis for withholding the records—Beechwood's claim for attorneys' fees fails under FOIL.

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1. Although we agree with Beechwood that the use of disclosed documents in litigation against the government does not automatically preclude a finding of public interest, neither does such use necessarily establish public interest.

Beechwood alternatively seeks counsel fees under New York's EAJA. Enacted in 1989, seven years after the adoption of FOIL's attorneys' fee provision, the EAJA authorizes "the recovery of counsel fees and other reasonable expenses in certain actions against the state" (CPLR 8600). As relevant here, CPLR 8601 (a) reads:

> "*except as otherwise specifically provided by statute*, a court shall award to a prevailing party, other than the state, fees and other expenses incurred by such party in any civil action brought against the state, unless the court finds that the position of the state was substantially justified or that special circumstances make an award unjust" (emphasis added).[2]

[2] The introductory proviso of subdivision (a) demonstrates that the EAJA applies to actions against the State only where another statute does not specifically provide for counsel fees. Section 89 (4) (c) of the Public Officers Law is just such a statute—it contains a counsel fee provision applicable to FOIL proceedings against the government. Because FOIL is a statute that "otherwise specifically provide[s]" an attorneys' fee standard to be applied, Beechwood may not seek counsel fees pursuant to the EAJA.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, with costs.

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2. Similar to the FOIL standard, the EAJA only provides fees to "prevailing" parties where the government's actions were not justified. The statutes differ, however, in other critical respects. The EAJA does not include the public interest component that petitioners in FOIL proceedings must satisfy. Moreover, fees under the EAJA are mandatory if a party establishes that it has satisfied the elements; in contrast, fees under FOIL are discretionary even if the statute's prerequisites are met.

[840 NE2d 107, 806 NYS2d 138]

In the Matter of SUSAN MCGUIRE, Respondent, v DAVID GAMACHE et al., Constituting the Dutchess County Board of Elections, Respondents, and ALISON E. MACAVERY, Appellant.

Argued October 20, 2005; decided October 24, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 14, 2005. The Appellate Division affirmed an order of the Supreme Court, Dutchess County (James V. Brands, J.), which had granted a petition to invalidate a petition nominating Alison E. MacAvery as a candidate of the Senior Citizens Party for the public office of member, Dutchess County Legislature, District 16, in the November 8, 2005 general election, invalidated the nominating petition and enjoined and restrained the Dutchess County Board of Elections from placing Alison E. MacAvery's name on the ballot as a candidate of the Senior Citizens Party in that general election.

Matter of McGuire v Gamache, 22 AD3d 614, affirmed.

HEADNOTES

Constitutional Law — Validity of Statute — Election Law § 6-140 (1) (b)

1. Election Law § 6-140 (1) (b), which requires that a subscribing witness to a nominating petition be a resident of the same political subdivision as the office sought by the candidate supported by the nominating petition, violates the First Amendment of the United States Constitution. The residency requirement is an unconstitutional restriction on core political expression. Although the State has a compelling interest in ensuring that subscribing witnesses be residents of New York State, it does not have a compelling justification for insisting that they reside in the political units to which the petitions pertain.

Elections — Nominating Petitions — Alteration of Witness Statement

2. Independent nominating petitions containing witness statements signed by someone who was not a resident of the same political subdivision as the office sought by the candidate, and who had drawn a line through the phrase in the witness statement that read "and I am also duly qualified to sign the petition," were invalid. Although the Election Law § 6-140 (1) (b) requirement that a subscribing witness to a nominating petition be a resident of the same political subdivision as the office sought by the candidate supported by the nominating petition is unconstitutional, during the proceeding to invalidate the petitions there was no proof offered that the witness had struck the

language for that reason and not because he was disqualified for some other reason.

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AM JUR 2d, Constitutional Law §§ 453, 492, 497; AM JUR 2d, Elections §§ 241, 245.

CARMODY-WAIT 2d, Proceedings Under Election Laws §§ 137:45, 137:46, 137:48.

MCKINNEY'S, Election Law § 6–140 (1) (b).

NY JUR 2d, Constitutional Law §§ 256, 261; NY JUR 2d, Elections §§ 324, 326.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting; Freedom of Speech and Press.

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APPEARANCES OF COUNSEL

Feeney Centi & Mackey, Albany (*L. Michael Mackey* of counsel), for appellant.

John Ciampoli, Albany, for respondents.

OPINION OF THE COURT

GRAFFEO, J.

As a candidate for the office of member, Dutchess County Legislature, District 16, petitioner Susan McGuire commenced this Election Law § 16-102 proceeding seeking to invalidate the independent petitions nominating respondent Alison E. MacAvery as a candidate of the Senior Citizens Party for the same office. Finding a defect on several pages of the petitions, Supreme Court invalidated the petitions. The Appellate Division affirmed, as do we.

Independent petitions nominating Alison E. MacAvery as a candidate of the Senior Citizens Party were timely filed with the Dutchess County Board of Elections. Susan McGuire commenced this proceeding asserting, among other claims, that the independent nominating petitions were invalid because several pages of signatures were obtained by a subscribing witness who was not a resident of District 16 and who had struck some of the language in the statement of witness that appears at the bottom of preprinted petition sheets. The signature pages included a witness statement containing language prescribed in Election Law § 6-140 (1) (b).[1] The subscribing witness, John Ballo, struck a phrase that appeared in the witness statement, which read "and I am also duly qualified to sign the petition," by drawing a line through these words, substituting the word "OMIT" and initialing the change. No explanation for the alteration was included on the petitions.

At an appearance before Supreme Court, MacAvery's counsel conceded that Ballo did not reside in District 16, representing that this fact explained the omission of language in the subscribing witness affidavit. MacAvery contended that, despite the fact that Ballo did not live in District 16, he had a constitutional right to circulate independent nominating petitions on behalf of MacAvery based on this Court's decision in *Matter of La Brake v Dukes* (96 NY2d 913 [2001]), which held that nonresidents have a constitutional right to circulate designating petitions (*see Lerman v Board of Elections in City of N.Y.*, 232 F3d 135 [2d Cir 2000], *cert denied* 533 US 915 [2001]). McGuire's counsel argued that the subscribing witness affidavit was nevertheless facially inadequate due to the unexplained alteration of the witness statement.

In *La Brake* we declared the provision in Election Law § 6-132 (2) that required a subscribing witness to a designating petition to be "a resident of the political subdivision in which the office or position is to be voted for" an unconstitutional restriction on core political expression in violation of the First Amendment of the United States Constitution. Although we determined that the State had a compelling interest in ensuring that

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1. Election Law § 6-140 (1) (b) requires that there be appended to each sheet of a nominating petition a signed statement of a witness who is a duly qualified voter of the state and who is qualified to sign the petition. The statement of witness provides:

> "I, _____ (name of witness) state: I am a duly qualified voter of the State of New York and I am also duly qualified to sign the petition. I now reside at _____ (residence address).
>
> "Each of the individuals whose names are subscribed to this petition sheet containing ____ (fill in number) signatures, subscribed the same in my presence on the dates above indicated and identified himself to be the individual who signed this sheet.
>
> "I understand that this statement will be accepted for all purposes as the equivalent of an affidavit and, if it contains a material false statement, shall subject me to the same penalties as if I had been duly sworn" (Election Law § 6-140 [1] [b]).

subscribing witnesses be residents of New York State, it failed to provide a compelling justification for insisting that they reside in the political units to which the petitions pertain. Since the residency mandate prevented out-of-district qualified voters from circulating designating petitions, it impermissibly impeded the rights guaranteed them under the First Amendment.

The residency requirement we struck in *La Brake* also appears in the Election Law statutes governing the circulation of independent nominating petitions. Election Law § 6-140 (1) (b) states that a witness who circulates an independent nominating petition must be ''qualified to sign the petition.'' And an individual cannot sign an independent nominating petition unless he or she is a ''registered voter[ ] of the political unit for which a nomination is made'' (Election Law § 6-138 [1]). Thus, under the statutory scheme, as was the case with witnesses to designating petitions, subscribing witnesses must reside in the same political subdivision as the office sought by the candidates supported by the nominating petitions.[2]

[1] Since the statutory provisions governing subscribing witnesses to nominating and designating petitions are equivalent, the rationale of *La Brake* applies with equal force to the political speech rights of persons circulating independent nominating petitions. A subscribing witness who is otherwise qualified to circulate a nominating petition for independent candidates cannot be disqualified under Election Law § 6-140 (1) (b) because the witness resides outside the political subdivision that corresponds to the office or position sought by the candidate. Our conclusion is consistent with that of the other federal and state courts that have examined this issue (*see Chou v New York State Bd. of Elections*, 332 F Supp 2d 510 [US Dist Ct, ED NY 2004]; *Matter of Bray v Marsolais,* 21 AD3d 1143 [2005]).

We therefore agree with MacAvery that Ballo, a New York resident, was not precluded from circulating the independent nominating petitions at issue by virtue of his residency outside District 16. This conclusion, however, does not end the inquiry in this case. Ballo may have had a legitimate reason for striking the phrase that indicated he was qualified to sign the petition—since he did not live in District 16, he was not qualified to sign MacAvery's Senior Citizens Party petition. But the petition

2. Lest there be any doubt that the Legislature adopted parallel requirements for nominating and designating petitions, Election Law § 6-138 (2) further provides that ''the rules for a nominating petition shall conform to the rules and requirements for designating petitions.''

sheets themselves do not indicate this was actually his motivation, nor was any testimony or affidavit offered during the Supreme Court proceeding establishing that Ballo struck the language in the statement of witness for this reason.

[2] We have long recognized that the witness statement is ''[e]ssential to the integrity of the petition process'' and have ''consistently held that alteration of the statement which is unexplained and uninitialed will result in the invalidation of the petition sheet'' even if the alterations ''resulted in the manifestation of correct information'' (*Matter of Jonas v Velez*, 65 NY2d 954, 955 [1985] [citations omitted]). In this case, MacAvery's argument depended on the assertion that Ballo—an individual MacAvery's counsel did not represent and who was not a party to this proceeding—altered his witness statement purely in the exercise of his First Amendment rights and not because he was disqualified for some other reason. Supreme Court offered to conduct an evidentiary hearing at which MacAvery could have proven why Ballo crossed out the phrase at issue. MacAvery did not avail herself of that opportunity. An assertion by MacAvery's counsel does not constitute admissible evidence. As Supreme Court and the Appellate Division found, no proof was offered to substantiate the candidate's claim. Due to this lack of explanation for the alteration of the witness statement, McGuire's application to invalidate MacAvery's nominating petition was properly granted (*cf. Matter of Roman v Sharpe*, 42 NY2d 986, 987 [1977] [where printed form of statement of subscribing witness failed to implement provision that a newly registered voter could witness petitions in the year of first registration, insertion of the words ''new voter'' in the statement was sufficiently informative to comply with the Election Law]).

The dissent describes the issue before Supreme Court as whether the subscribing witness was entitled to exercise his constitutional right to witness nominating petitions. But the preliminary issue in this Election Law § 16-102 proceeding is whether MacAvery properly interposed a constitutional claim. In answering the petition, MacAvery did not join Ballo as a party respondent or plead any counterclaim or affirmative defense raising a First Amendment issue. McGuire supported her challenge to the independent nominating petition by offering proof—the petition pages themselves—demonstrating an unexplained alteration of the subscribing witness statement. MacAvery failed to rebut this proof with evidence in admissible form explaining Ballo's alteration and substantiating her argument that this alteration stemmed from the exercise of First Amendment rights. In the absence of record evidence, we may not speculate as to what Ballo's motivations were or whether he was or was not otherwise qualified to circulate the independent nominating petition.

We are mindful of the dilemma facing otherwise qualified subscribing witnesses who cannot attest that they are qualified to sign the petition they are circulating because they do not reside in the candidate's district. In light of our holding, the statutorily-mandated subscribing witness statements in Election Law §§ 6-132 and 6-140 need to be revised for nonresident witnesses who wish to circulate designating or nominating petitions. We urge the State Board of Elections to take whatever action is necessary to determine how best to amend the preprinted witness statement and to issue new petition forms.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

G.B. SMITH, J. (dissenting). The issue here is whether a subscribing witness to a nominating petition may be denied his First Amendment rights because he struck an unconstitutional provision from the subscribing portion of the petition before he signed it. Because the deletion was consistent with and even compelled by decisions of this Court and a federal appellate court, I dissent.

This is a proceeding by Susan McGuire, the Republican and Conservative candidate for the office of Dutchess County legislator, to invalidate the independent petition nominating respondent Alison E. MacAvery as a candidate of the Senior Citizens Party for the Dutchess County Legislature. The petition claims that a subscribing witness to a number of petitions made material alterations to the witness statement. Specifically, it claims that John Ballo struck the following phrase in the witness statement: ''and I am also duly qualified to sign the petition.''

Supreme Court granted the application to invalidate the petition and the Appellate Division affirmed. This Court granted leave to appeal.

The requirement of the Election Law that a subscribing witness to a nominating petition live in the district of the candidate on the nominating petition has been declared unconstitutional. Election Law § 6-132 (2) required that a subscribing witness to a designating petition be ''a resident of the political subdivision in which the office or position is to be voted for.'' In the year 2000, the United States Court of Appeals for the Second Circuit declared Election Law § 6-132 (2) unconstitutional as a severe burden on speech (*Lerman v Board of Elections in City of N.Y.*, 232 F3d 135 [2000], *cert denied* 533 US 915 [2001]). In 2001, in *Matter of La Brake v Dukes* (96 NY2d 913 [2001]), this Court, citing the *Lerman* decision, also declared that requirement unconstitutional. This Court stated:

> ''We agree with the courts below and with the United States Court of Appeals for the Second Circuit that the circulation of designating petitions on behalf of a candidate is 'core political speech' . . . and that the residency requirement at issue constitutes a severe burden on such expression'' (*id.* at 914 [citations omitted]).

Election Law § 6-140 (1) (b) requires that a witness who circulates an independent nominating petition must be ''qualified to sign the petition.'' It is undisputed that the subscribing witness, Ballo, does not live in the district. Thus, to swear that he is a person duly qualified to sign the petition, that is that he lives in the district, would amount to perjury. The fact that the Board of Elections or the State Legislature has not changed the form during several years after a declaration that a portion of it is unconstitutional is not an adequate reason to deny the subscribing witness his constitutional rights.

The majority argues that even though the residency requirement for subscribing to a petition has been struck as unconstitutional, the petition must be invalidated because the subscribing witness struck the language without giving a reason. The free speech right to support the candidate of one's choice does not in any way depend upon a statement giving the reasons for striking the phrase. It has not been established on this record that Ballo was disqualified from signing the petition for any reason other than nonresidency. He did not delete from the form the statement ''I am a duly qualified voter of the State of New York,'' and it can hardly be seriously contended that the State had any other valid reason for interfering with the exercise of his First Amendment right. Even if such a reason did exist, it was the State's burden to prove it, not Ballo's to disprove it. He was within his right to strike the unconstitutional provision of the form.

Accordingly, I would dismiss the application to invalidate, declare the nominating petitions valid and permit the candidate's name to appear on the ballot.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT and READ concur with Judge GRAFFEO; Judge G.B. SMITH dissents and votes to reverse in a separate opinion in which Judge R.S. SMITH concurs.

Order affirmed, without costs.

[839 NE2d 878, 805 NYS2d 525]

In the Matter of RED HOOK/GOWANUS CHAMBER OF COMMERCE, Appellant, v NEW YORK CITY BOARD OF STANDARDS AND APPEALS et al., Respondents.

Argued September 8, 2005; decided October 25, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 9, 2005. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Kings County (Yvonne Lewis, J.), which, in a proceeding pursuant to CPLR article 78 to review a determination of the New York City Board of Standards and Appeals granting the application of 160 Imlay Street Real Estate LLC for a use variance, had (a) denied a motion by respondents New York City Board of Standards and Appeals and City of New York to dismiss the proceeding for failure to join a necessary party and (b) granted petitioner's cross motion for leave to serve and file an amended petition adding 160 Imlay Street Real Estate LLC as a necessary party and to establish a schedule for the service of responsive pleadings, (2) granted the motion, (3) denied the cross motion and (4) dismissed the proceeding.

Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals, 18 AD3d 558, reversed.

HEADNOTES

Limitation of Actions — Defendants United in Interest

1. In a proceeding to review a determination granting respondent landowner's application for a use variance, Supreme Court erred in treating the landowner as united in interest with respondent City when it denied the City's motion to dismiss the petition on the ground that petitioner had failed to name a necessary party, the landowner, within the statute of limitations period. The landowner was a necessary party and should have been joined in the proceeding at its inception. Further, the interest of the landowner and the City in maintaining the status of the variance did not create a unity of interest such that an action against the landowner related back to the filing date of the petition. The status of the landowner's property represented a potential loss of millions of dollars, while the City was necessarily concerned with regulatory and administrative consequences. Such divergent long-term interests could not be guaranteed to protect the landowner from future prejudice in the case.

Parties — Necessary Parties

2. The Appellate Division erred in dismissing a proceeding to review a determination granting respondent landowner's application for a use variance,

based on the fact that petitioner had offered no adequate explanation for its failure to name the landowner, a necessary party, as a respondent prior to the expiration of the statute of limitations, where the trial court, having granted petitioner's motion to amend the petition and join the landowner, did not address the discretionary factors in CPLR 1001 (b). When, as here, a necessary party can be joined only by consent or appearance, a court has discretion to determine whether to allow the action to proceed and must consider the five factors enumerated in CPLR 1001 (b). One of those factors—"whether and by whom prejudice might have been avoided" (CPLR 1001 [b] [3])—includes inquiry into why a litigant failed to name a necessary party prior to the expiration of the statute of limitations. While an unexplained expired statute of limitations is very strong indication that an action should be dismissed, it is a factor in, not preclusion of, the requisite analysis. The Appellate Division gave no indication that it had considered all of the CPLR 1001 (b) factors, and it is not for the Court of Appeals in the first instance to weigh the factors. Accordingly, the matter was remitted to the trial court for further proceedings.

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Am Jur 2d, Parties §§ 128–130, 132, 147.

Carmody-Wait 2d, Limitation of Actions §§ 13:382–13:387; Carmody-Wait 2d, Parties §§ 19:55, 19:56, 19:65, 19:86–19:92.

McKinney's, CPLR 1001 (b).

NY Jur 2d, Limitations and Laches §§ 301, 306–308; NY Jur 2d, Parties §§ 93, 94, 113, 117, 119.

Siegel, NY Prac §§ 45, 132, 133.

ANNOTATION REFERENCE

See ALR Index under Joinder of Parties; Limitation of Actions; Necessary or Indispensable Parties; Parties.

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POINTS OF COUNSEL

Weiss & Hiller, PC, New York City (*Michael S. Hiller* and *Nikol A. Gruning* of counsel), for appellant. I. The Second Department committed clear error of law by wrongfully ignoring the statutorily-required five factors of CPLR 1001 (b). (*Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801, 540 US 1017; *Airco Alloys Div., Airco, Inc. v Niagara Mohawk Power Corp.,* 65 AD2d 378; *Peterman v Pataki,* 4 Misc 3d 1028[A]; *Matter of 27th St. Block Assn. v Dormitory Auth. of State of N.Y.,* 302 AD2d 155; *Matter of The Herald Co. v Feurstein,* 3 Misc 3d 885; *Matter of Martin v Ronan,* 47 NY2d 486; *Matter of Basha Kill Area Assn. v Town Bd. of Town of Mamakating,* 302 AD2d 662; *Matter of Cassidy v New York City Dept. of Correction,* 95 AD2d 733; *Spector v Toys "R" Us,* 2 Misc 3d 1006[A]). II. Had the Second Department properly applied the required five factors, as the First Department did in *Matter of 27th St. Block Assn. v Dormitory Auth. of State of N.Y.* (302 AD2d 155 [2002]), dismissal would have been denied. (*Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801.) III. The failure by respondents to seek a stay pending appeal, coupled with their participation in the underlying CPLR article 78 proceeding on the merits, constitutes a waiver of the necessary-party defense. (*Matter of Commerce & Indus. Ins. Co. v Nester,* 90 NY2d 255; *Matter of Buffalo Professional Firefighters Assn. Local 282 [City of Buffalo],* 12 AD3d 1087; *Matter of One Beacon Ins. Co. v Bloch,* 298 AD2d 522; *Lofthouse v Paragon Capital Corp.*, 253 AD2d 365.) IV. The relation-back doctrine should be applied in such a manner that achieves its underlying objective. (*Matter of Commerce & Indus. Ins. Co. v Nester,* 90 NY2d 255; *Buran v Coupal,* 87 NY2d 173; *Shaw v Cock,* 78 NY 194; *Harriss v Tams,* 258 NY 229; *Schiavone v Fortune,* 477 US 21; *Duffy v Horton Mem. Hosp.,* 66 NY2d 473; *Vanderburg v Brodman,* 231 AD2d 146; *Messina v County of Nassau,* 147 Misc 2d 889; *Valmon v 4 M & M Corp.,* 291 AD2d 343; *Pappas v 31-08 Café Concerto,* 5 AD3d 452.) V. The 30-day statute of limitations is unconstitutionally arbitrary, capricious and unreasonably short. (*Wilson v Iseminger,* 185 US 55; *Ross v Artuz,* 150 F3d 97; *M.L. Improvement Corp. v State of New York,* 204 App Div 733; *Kentucky Union Co. v Kentucky,* 219 US 140; *Gilbert v Ackerman,* 159 NY 118; *A. Soloff & Son, Inc. v Asher,* 594 F Supp 724; *Fitzpatrick & Weller v Miller,* 309 AD2d 1273; *Planet Constr. Corp. v Board of Educ. of City of N.Y.,* 7 NY2d 381; *South & Cent. Am. Commercial Co. v Panama R.R. Co.,* 237 NY 287; *Matter of Brown & Guenther [North Queensview Homes],* 18 AD2d 327.)

Michael A. Cardozo, Corporation Counsel, New York City (*Pamela Seider Dolgow, Leonard Koerner* and *Louise Moed* of counsel), for New York City Board of Standards and Appeals and another, respondents. I. The Appellate Division properly dismissed the petition where petitioner failed to name a necessary party to the proceeding before the statute of limitations expired. (*Matter of 27th St. Block Assn. v Dormitory Auth. of State of N.Y.,* 302 AD2d 155; *Matter of Ayres v New York State Commr. of Taxation & Fin.,* 252 AD2d 808; *Matter of Martin v*

Ronan, 47 NY2d 486; *Joanne S. v Carey,* 115 AD2d 4; *Hitchcock v Boyack,* 256 AD2d 842; *Matter of Long Is. Pine Barrens Socy. v Town of Islip,* 286 AD2d 683, 97 NY2d 606; *Matter of Karmel v White Plains Common Council,* 284 AD2d 464; *Matter of Save Our-Open Space v Planning Bd. of Vil. of S. Nyack,* 256 AD2d 581, 93 NY2d 808; *Matter of Artrip v Incorporated Vil. of Piermont,* 267 AD2d 457; *Matter of New York City Audubon Socy. v New York State Dept. of Envtl. Conservation,* 262 AD2d 324.) II. Petitioner's challenge to the constitutionality of the 30-day limitation period contained in Administrative Code of the City of New York § 25-207 is not preserved. In any event, the statute is constitutional in all respects. (*People v Oliver,* 63 NY2d 973; *Matter of Anonymous v Codd,* 40 NY2d 860; *Matter of Shavon H.,* 1 AD3d 123; *Gardner v Continuing Dev. Servs.,* 292 AD2d 838; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.,* 46 NY2d 358; *Matter of Department of Social Servs. v Thomas J.S.,* 100 AD2d 119; *Matter of West Flushing Civic Assn. v New York City Bd. of Stds. & Appeals,* 273 AD2d 17; *Matter of Larabe Realty Co. v Silva,* 234 AD2d 297; *Matter of Eberhart v La Pilar Realty Co.,* 45 AD2d 679; *Matter of Neubourg v Glass,* 41 AD2d 833.)

Bryan Cave LLP, New York City (*Robert S. Davis, Philip E. Karmel* and *Edward D. Greim* of counsel), and *Goldberg & Cohn, LLP,* Brooklyn (*Elliott S. Martin* of counsel), for 160 Imlay Street Real Estate LLC, respondent. I. The Appellate Division properly granted the City of New York's motion to dismiss under CPLR 3211 (a) (10) because petitioner failed to name a necessary party within the limitations period. (*Matter of Mount Pleasant Cottage School Union Free School Dist. v Sobol,* 78 NY2d 935; *Matter of Ferrando v New York City Bd. of Stds. & Appeals,* 12 AD3d 287; *Matter of Cybul v Village of Scarsdale,* 17 AD3d 462; *Matter of East Bayside Homeowners Assn., Inc. v Chin,* 12 AD3d 370; *Matter of Manupella v Troy City Zoning Bd. of Appeals,* 272 AD2d 761; *Matter of O'Connell v Zoning Bd. of Appeals of Town of New Scotland,* 267 AD2d 742; *Matter of Amodeo v Town Bd. of Town of Marlborough,* 249 AD2d 882; *Matter of Llana v Town of Pittstown,* 245 AD2d 968; *Matter of Bianchi v Town of Greece Planning Bd.,* 300 AD2d 1043; *Matter of Spence v Cahill,* 300 AD2d 992.) II. 160 Imlay Street Real Estate LLC did not waive its statute of limitations defense. (*Matter of Commerce & Indus. Ins. Co. v Nester,* 90 NY2d 255; *Matter of Salino v Cimino,* 1 NY3d 166; *State of New York v Wolowitz,* 96 AD2d 47; *Green v County of Fulton,* 123 AD2d 88.) III. The 30-day statute of limitations does not violate due process. (*Mastronardi v Mitchell,* 109 AD2d 825; *Bingham v New York City Tr. Auth.,* 99 NY2d 355; *Matter of Salino v Cimino,* 1 NY3d 166; *Brothers v Florence,* 95 NY2d 290; *Matter of Moran Towing Corp. v Urbach,* 99 NY2d 443; *Matter of West Flushing Civic Assn. v New York City Bd. of Stds. & Appeals,* 273 AD2d 17; *Matter of Larabe Realty Co. v Silva,* 234 AD2d 297; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven,* 78 NY2d 608; *Matter of Kennedy v Zoning Bd. of Appeals of Vil. of Croton-on-Hudson,* 78 NY2d 1083; *Matter of King v Chmielewski,* 76 NY2d 182.)

OPINION OF THE COURT

Chief Judge Kaye.

Petitioner is a nonprofit organization composed of 85 local business owners in the Red Hook and Gowanus neighborhoods of Brooklyn. In 2000, respondent 160 Imlay Street Real Estate LLC, through a predecessor entity, acquired a 220,000 square foot warehouse and manufacturing facility in Red Hook. Claiming that it could not find a sufficient number of commercial tenants, in September 2002 Imlay applied to the New York City Board of Standards and Appeals (BSA) for a variance to permit conversion of the building from industrial to residential use. Following four days of hearings between March and November 2003—petitioner appeared and opposed the variance—on December 24, 2003 the BSA granted Imlay a hardship variance.

Under Administrative Code of the City of New York § 25-207 (a), petitioner had 30 days in which to challenge the decision. On the thirtieth day—January 23, 2004—petitioner filed its CPLR article 78 petition naming only the BSA and the City as respondents, omitting Imlay. On January 27, 2004, petitioner hand-delivered a courtesy copy of the papers to Imlay's attorney.

Three weeks later the City moved to dismiss the petition on the ground that petitioner had failed to name a necessary party within the statute of limitations period. Petitioner cross-moved to amend its petition to add Imlay as a respondent. Supreme Court denied the City's motion to dismiss and granted petitioner's motion to file an amended petition, adding Imlay as an additional party. The Appellate Division reversed ''on the law'' and dismissed the proceeding. In full, its relevant ruling reads: petitioner's ''failure to adequately explain why it did not include the landowner, who was subject to the jurisdiction of the court, as a respondent in a timely manner, despite being aware of its identity, precludes it from proceeding in the landowner's absence'' (18 AD3d 558, 559 [2d Dept 2005] [citations omitted]). We now reverse.

Discussion

Plainly, Imlay was a necessary party, and should have been joined in the proceeding at its inception. Having invested significant resources in pursuing its plan to convert the commercial space to luxury apartments, the developer ''might be inequitably affected by a judgment'' overturning the variance that permitted residential conversion (CPLR 1001 [a]).

[1] Further, while both Imlay and the City had the same immediate purpose in opposing the article 78 petition—maintaining the status of the variance—that, in and of itself, does not create a unity of interest such that an action against Imlay relates back to the filing date of the petition (*see* CPLR 203 [c]; *see also Matter of Emmett v Town of Edmeston*, 2 NY3d 817 [2004]). The status of Imlay's property represented a potential loss of millions of dollars to the developer, while the City is necessarily concerned with regulatory and administrative consequences. Such divergent long-term interests cannot be guaranteed to protect Imlay from future prejudice in the case (*Buran v Coupal*, 87 NY2d 173, 178 [1995]). The trial court therefore erred in treating Imlay as united in interest with the City.[1]

While Supreme Court granted petitioner's request to amend its petition to name Imlay, the Appellate Division rested its decision on CPLR 1001, concluding that the action could not proceed without the necessary party. For the Appellate Division, the fact that petitioner had offered no adequate explanation for its failure to name Imlay prior to expiration of the statute of limitations was as a matter of law determinative. That was error.

Under CPLR 1001 (b), when a necessary party

> ''has not been made a party and is subject to the jurisdiction of the court, the court shall order him summoned. If jurisdiction over him can be obtained only by his consent or appearance, the court, when justice requires, may allow the action to proceed without his being made a party. In determining whether to allow the action to proceed, the court shall consider:

1. Having concluded that Imlay and the City were not united in interest, we need not address whether petitioner's failure to name Imlay was merely mistake or attributable to something else (*see Buran*, 87 NY2d at 181).

> "1. whether the plaintiff has another effective remedy in case the action is dismissed on account of the nonjoinder;
>
> "2. the prejudice which may accrue from the nonjoinder to the defendant or to the person not joined;
>
> "3. whether and by whom prejudice might have been avoided or may in the future be avoided;
>
> "4. the feasibility of a protective provision by order of the court or in the judgment; and
>
> "5. whether an effective judgment may be rendered in the absence of the person who is not joined."

This provision has deep roots in New York statutory law, dating to the Field Code, which declared that "[w]hen a complete determination of the controversy cannot be had without the presence of other parties, the court may order them to be brought in, by an amendment of the complaint, or by a supplemental complaint, and a new summons" (former Code Pro § 102 [1848]). While the joinder provision was amended several times between 1848 and 1963, most recently as part of the adoption of the Civil Practice Law and Rules, the provision for joinder when complete determination of the case required the presence of an additional party remained unaltered (*see* Code Pro §§ 119, 122 [1851]; Civ Prac Act § 193 [1946]; CPLR 1001 [1963]; 1st Preliminary Report of Advisory Comm on Prac and Proc, at 233-256 [1957]).[2] Indeed, bringing necessary parties into the litigation whenever possible has been the common thread of New York's joinder statutes.

Joinder rules serve an important policy interest in guaranteeing that absent parties at risk of prejudice will not be "embarrassed by judgments purporting to bind their rights or interests where they have had no opportunity to be heard" (*First Natl. Bank of Amsterdam v Shuler*, 153 NY 163, 170 [1897]). They also protect against multiple lawsuits and inconsistent judg-

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2. The federal analogue to New York's statute is rule 19 of the Federal Rules of Civil Procedure ("Joinder of Persons Needed for Just Adjudication"). (*See Provident Tradesmens Bank & Trust Co. v Patterson*, 390 US 102, 109 [1968] [under rule 19, dismissal for failure to join a needed party is error unless based on the rule's pragmatic considerations; a court must examine the four elements of the rule "to determine whether, in equity and good conscience, the court should proceed without a party whose absence from the litigation is compelled"].)

ments (3 Weinstein-Korn-Miller, NY Civ Prac ¶ 1001.01 [2d ed]). When enacted in 1963, the CPLR eliminated the Civil Practice Act's distinction between ''indispensable'' and ''conditionally necessary'' parties, affording the courts greater discretion in permitting cases to go forward after weighing the interests of the litigants, the absent party and the public (*see* David Siegel, *Introducing: A Biannual Survey of New York Practice*, 38 St John's L Rev 190, 417 [1964]). Indeed, in its present incarnation, the joinder provision is to be employed to avoid dismissal (3 Weinstein-Korn-Miller, NY Civ Prac ¶ 1001.08 [2d ed]).

While a court, then, must use every effort to join a necessary party, there are situations when such a party may be beyond the reach of the court. CPLR 1001 distinguishes between a necessary party ''subject to the jurisdiction of the court'' and one over whom jurisdiction can be obtained only by consent or appearance. The statute directs that a party subject to the court's jurisdiction *shall be summoned*, while continuance of the action without a necessary party beyond the court's jurisdiction lies within its discretion. Was Imlay, by virtue of the lapsed statute of limitations, subject to, or beyond, the ''jurisdiction'' of the court as the term is used in CPLR 1001 (*compare Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801 [2003])? We do not answer that question in this case because that issue was not timely, or seriously, raised before us. Rather, both the petitioner and the landowner assumed that jurisdiction over Imlay could only have been obtained by consent or appearance. We will do the same.

[2] When a necessary party can be joined only by consent or appearance, a court must engage in the CPLR 1001 (b) analysis to determine whether to allow the case to proceed without that party. Though CPLR 1001 (b) protects the absent party who might be inequitably affected by a judgment in the action, it also treats dismissal for failure to join a necessary party as a last resort (*see* Siegel, NY Prac § 133, at 227 [4th ed]). Thus, under the statute a court has the discretion to allow a case to continue in the absence of a party, as justice requires. To assist in reaching this decision, the Legislature has set forth five factors a court must consider. Of those five factors, no single one is determinative; and while the court need not separately set forth its reasoning as to each factor, the statute directs it to consider all five. One of the factors a court must consider—''whether and by whom prejudice might have been avoided'' (CPLR 1001 [b] [3])—obviously includes inquiry into why a litigant failed to name a necessary party prior to the expiration of the statute of limitations.

Though article 78 challenges generally must be brought within four months, that limitations period may be shortened by law (CPLR 217). In this case, New York City's Administrative Code shortened the limitations period to 30 days. Short limitations periods are not unusual in municipal zoning (*see e.g.* General City Law § 38; Town Law § 195). The City's legislative determination to impose a 30-day period by which to file a challenge to a zoning decision balances powerful competing interests—allowing for citizen challenges on the one hand, while recognizing the urgency of private interests involving substantial financial investment on the other.

Certainly, 30 days is a brief period, but a challenger need only commence the action within that time, awaiting further proceedings to flesh out the parties' positions.[3] Indeed, even here, both sides have impressed on the Court the urgency of the matter, citing the costs involved in a large-scale development project in a desirable Brooklyn waterfront neighborhood. Except in rare cases, CPLR 1001 (b) should not circumvent the balance struck, and protections offered, by the statute of limitations (*Matter of Mount Pleasant Cottage School Union Free School Dist. v Sobol*, 163 AD2d 715, 716 [3d Dept 1990] [joining a necessary party as respondent after expiration of statute of limitations is ''disfavored'' by the courts] [citations omitted], *affd* 78 NY2d 935 [1991]).

Forceful though the concerns underlying the statutory limitations period are, however, a court nonetheless must have the opportunity to exercise its discretion in weighing the statutory factors. Lack of an adequate explanation for failing to timely join a necessary party does not as a matter of law in every case divest a court of the statutory directive to consider the enumerated factors (*see Matter of 27th St. Block Assn. v Dormitory Auth. of State of N.Y.*, 302 AD2d 155 [1st Dept 2002] [proceeding allowed to continue]).

In this case, the trial court granted petitioner's motion to amend and join Imlay, therefore not reaching the CPLR 1001 (b) question whether the action should proceed in Imlay's absence. Having not reached that question, the trial court had

3. As petitioner did not preserve its constitutional challenge to the 30-day statute of limitations by raising it before the trial court, we do not address it here.

no occasion to address the discretionary factors, nor did it. The Appellate Division, similarly, gave no indication that it had considered the CPLR 1001 (b) factors. The Court not only explicitly rested its decision on the law but also found ''preclusive'' petitioner's failure to timely include the landlord without adequate explanation (*see also Matter of East Bayside Homeowners Assn., Inc. v Chin*, 12 AD3d 370 [2d Dept 2004] [same language], *lv denied* 4 NY3d 704 [2005]; *see also Matter of Lodge v D'Aliso*, 2 AD3d 525 [2d Dept 2003] [same language], *lv denied* 2 NY3d 702 [2004]). We thus cannot conclude, as the dissent does, that the Appellate Division really did exercise its discretion, or that it did not abuse its discretion.

While the City and Imlay point to the factual strength of their position under the statute, it is not for this Court in the first instance to weigh the factors. Moreover, we are persuaded by the profusion of cases raising the same or an analogous issue[4] that, for now as well as for the future, it is prudent to reverse and remit this case to the trial court to review the existing record and do what the statute says (*see e.g. Matter of Llana v Town of Pittstown*, 234 AD2d 881, 884 [3d Dept 1996] [''(w)e are consequently faced with a question that was not addressed

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4. *See Matter of East Bayside Homeowners Assn., Inc. v Chin*, 12 AD3d 370 (2d Dept 2004), *lv denied* 4 NY3d 704 (2005); *Matter of Ferrando v New York City Bd. of Stds. & Appeals*, 12 AD3d 287 (1st Dept 2004); *Matter of Lodge v D'Aliso*, 2 AD3d 525 (2d Dept 2003), *lv denied* 2 NY3d 702 (2004); *Matter of Chalian v Malone*, 307 AD2d 619 (3d Dept 2003); *Matter of Basha Kill Area Assn. v Town Bd. of Town of Mamakating*, 302 AD2d 662 (3d Dept 2003); *Matter of Fagelson v McGowan*, 301 AD2d 652 (2d Dept 2003), *lv denied* 100 NY2d 503 (2003); *Matter of Bianchi v Town of Greece Planning Bd.*, 300 AD2d 1043 (4th Dept 2002); *Matter of Spence v Cahill*, 300 AD2d 992 (4th Dept 2002), *lv denied* 1 NY3d 508 (2004); *Matter of Long Is. Pine Barrens Socy. v Town of Islip*, 286 AD2d 683 (2d Dept 2001), *lv denied* 97 NY2d 606 (2001); *Matter of Karmel v White Plains Common Council*, 284 AD2d 464 (2d Dept 2001); *Matter of Ogbunugafor v New York State Educ. Dept.*, 279 AD2d 738 (3d Dept 2001), *lv denied* 96 NY2d 712 (2001); *Matter of Manupella v Troy City Zoning Bd. of Appeals*, 272 AD2d 761 (3d Dept 2000); *Matter of O'Connell v Zoning Bd. of Appeals of Town of New Scotland*, 267 AD2d 742 (3d Dept 1999), *lv denied* 94 NY2d 938 (2000); *Matter of Artrip v Incorporated Vil. of Piermont*, 267 AD2d 457 (2d Dept 1999); *Matter of New York City Audubon Socy. v New York State Dept. of Envtl. Conservation*, 262 AD2d 324 (2d Dept 1999); *Hitchcock v Boyack*, 256 AD2d 842 (3d Dept 1998); *Matter of Amodeo v Town Bd. of Town of Marlborough*, 249 AD2d 882 (3d Dept 1998); *Matter of Mount Pleasant Cottage School Union Free School Dist. v Sobol*, 163 AD2d 715 (3d Dept 1990), *affd* 78 NY2d 935 (1991).

Several of the foregoing cases involve—like the present case—an omitted landowner, a land-use challenge and a lapsed statute of limitations, leading us to conclude with the obvious lesson: omitting the landowner from the litigation may be fatal.

by Supreme Court—whether, because the four-month Statute of Limitations has run, petitioners should be permitted to proceed in the absence of necessary parties pursuant to CPLR 1001 (b). Supreme Court did not consider the factors enumerated in this section, and so we withhold decision on this appeal and remit this case to Supreme Court to undertake an analysis pursuant to CPLR 1001 (b) as to whether petitioner in this case should be permitted to proceed in the absence of necessary parties''], *upon remand* 245 AD2d 968, 969 [3d Dept 1997] [affirming trial court's order dismissing under CPLR 1001 (b)], *lv denied* 91 NY2d 812 [1998]). Thus, while an unexplained expired statute of limitations is very strong indication that an action should be dismissed, it is a *factor* in, not *preclusion* of, the requisite analysis.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court, for further proceedings in accordance with this opinion.

G.B. SMITH, J. (dissenting). CPLR 1001 (b) is a provision that allows judges the discretion to permit litigation to continue without a necessary party, over whom the court lacks jurisdiction, if ''justice [so] requires.'' As the majority says, this statute should not be used except in ''rare cases'' to ''circumvent the balance struck, and protections offered, by the statute of limitations'' (majority op at 460). It is clear, as a matter of law, that this is not one of those ''rare cases.'' The allowed lapse of a statute of limitations by a party that offers no good excuse does not outweigh the prejudice to the missing necessary party, and in such a case, the trial court need not weigh the CPLR 1001 (b) factors to determine whether petitioner's case can proceed.

The Red Hook/Gowanus Chamber of Commerce (Chamber) commenced a proceeding against the New York City Board of Standards and Appeals (Board) on January 23, 2004 challenging the Board's grant of a zoning variance, filed December 24, 2003, to Imlay, the owner of a warehouse that wished to convert the building to residential use. Inexplicably, the Chamber never added Imlay as a respondent in its original suit.

When the Board moved to dismiss the petition pursuant to CPLR 3211 (a) (10), 1001, 1003, and 7804 (f) for failure to join Imlay as a necessary party, the Chamber sought to amend its petition to add Imlay. Supreme Court allowed Imlay's joinder, even though the statute of limitations period had expired. The Appellate Division reversed Supreme Court, citing CPLR 1001

(b) and stating Chamber's failure to adequately explain why it did not include Imlay, which had been subject to the jurisdiction of the court, precluded it from proceeding in Imlay's absence. (*Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals*, 18 AD3d 558 [2d Dept 2005].)

The issue here is whether CPLR 1001 (b) applies when jurisdiction has not been obtained over the necessary party because the statute of limitations expired. Stated another way, did the Appellate Division err, as a matter of law, by refusing to allow the proceeding to continue given petitioner's failure to join landowner/developer Imlay within the statute of limitations without good reason? My conclusion is that there was no error. Indeed, as the Appellate Division implicitly found in reversing Supreme Court ''on the law'' (18 AD3d at 559), it would have been an abuse of discretion to permit the case to proceed.

Compulsory joinder rules exist as ''protection of the opportunity and right to be heard in connection with a judicial determination that may affect a party's personal or property rights'' (1 Weinstein-Korn-Miller, CPLR Manual § 7.01). CPLR 1001 (b) states in part, ''If jurisdiction over him can be obtained only by his consent or appearance, the court, when justice requires, may allow the action to proceed without his being made a party.'' The determination of whether to dismiss or permit the case to continue in the absence of joinder rests within the court's sound discretion (*see Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801 [2003]). CPLR 1001's Advisory Committee Notes explain, ''The considerations enumerated [in CPLR 1001 (b)] are those emphasized in the case law, which, on analysis, indicates that the subject defies definitive statement and that decision must rest in the sound discretion of the court.'' (Reprinted in NY Cons Law Serv, Book 4B, at 267.)

Discretion about how to apply the factors does not imply an obligation to list and discuss them in every case. Courts should not have to go through each CPLR 1001 (b) factor unless there is a good excuse for the allowed lapse of statutes of limitations, i.e., justice requires the court look at the matter further. Applying such a rule to the case at bar, we must ask, ''Does justice require that litigation proceed without a necessary party when the necessary party's identity was known to petitioner, who has no excuse for the party's exclusion?'' The answer is no.

Judicial discretion is ''the exercise of judgment by a judge or court based on what is fair under the circumstances and guided by the rules and principles of law; a court's power to act or not act when a litigant is not entitled to demand the act as a matter of right'' (Black's Law Dictionary 479 [7th ed 1999]). To force the courts to analyze the CPLR 1001 (b) factors when petitioners are plainly not entitled to prevail is to require a purposeless exercise. What petitioner Chamber terms resort to a ''gatekeeper'' question is actually the court using its discretion in the only appropriate way, considering that a primary focus of CPLR 1001 (b) is the protection of absent necessary parties (*see generally* 1 Weinstein-Korn-Miller, CPLR Manual § 7.02 [''the general policy of the (CPLR is) to limit the scope of indispensable parties to those cases and only those cases where the determination of the court will adversely affect the rights of nonparties'']).

> ''Statutes of limitation, like the equitable doctrine of laches, in their conclusive effects are designed to promote justice by preventing surprises through the revival of claims that have been allowed to slumber until evidence has been lost, memories have faded, and witnesses have disappeared. The theory is that even if one has a just claim it is unjust not to put the adversary on notice to defend within the period of limitation and that the right to be free of stale claims in time comes to prevail over the right to prosecute them.'' (*Railroad Telegraphers v Railway Express Agency, Inc.*, 321 US 342, 348-349 [1944].)

Under Appellate Division case law, joinder is greatly disfavored where the statute of limitations has expired (*see Matter of Mount Pleasant Cottage School Union Free School Dist. v Sobol*, 163 AD2d 715, 716 [1990], *affd for reasons stated below* 78 NY2d 935 [1991]; *see also Matter of Fagelson v McGowan*, 301 AD2d 652, 652-653 [2d Dept 2003], *lv denied* 100 NY2d 503 [2003]; *Matter of Ogbunugafor v New York State Educ. Dept.*, 279 AD2d 738, 739-740 [3d Dept 2001], *lv denied* 96 NY2d 712 [2001]). The dismissal of a proceeding will generally be upheld where the petitioner (1) knew of the necessary party's identity prior to the expiration of the statute of limitations (*see Matter of Chalian v Malone*, 307 AD2d 619, 620 [3d Dept 2003]; *Matter of Manupella v Troy City Zoning Bd. of Appeals*, 272 AD2d 761, 763-764 [3d Dept 2000]; *Matter of O'Connell v Zoning Bd. of Appeals of Town of New Scotland*, 267 AD2d 742, 743-744 [3d Dept 1999], *lv denied* 94 NY2d 938 [2000]) or (2) failed to offer any adequate excuse for his or her failure to join a necessary party (*see*

Matter of Lodge v D'Aliso, 2 AD3d 525, 526 [2d Dept 2003]; *Matter of Bianchi v Town of Greece Planning Bd.*, 300 AD2d 1043, 1044 [4th Dept 2002]; *Matter of Spence v Cahill*, 300 AD2d 992, 993 [4th Dept 2002], *lv denied* 1 NY3d 508 [2004]), presumably because, in such cases, the petitioner was in the best position, but failed, to avoid prejudice to the absent party (*see* CPLR 1001 [b] [3]).

If the factors are explicitly weighed, as the majority advocates, the result will not change: the Chamber's case could not proceed. Aside from factor 1, "whether the plaintiff has another effective remedy in case the action is dismissed on account of the nonjoinder" (CPLR 1001 [b] [1]), the remaining factors weigh in Imlay's favor. Factor 2 asks about the prejudice which may accrue from nonjoinder. Imlay would suffer prejudice if it is not joined because it has a proprietary interest in the warehouse and its future development. Factor 3 asks whether and by whom prejudice might have been avoided or may be avoided in the future. The prejudice could have been avoided by the Chamber naming Imlay as a party, or could be avoided in the future if Imlay joined the litigation voluntarily. However, expecting Imlay to voluntarily appear and bear the expense of defending the issuance of its variance is unfair since it is not at fault for petitioner's laxness. Factor 4 questions the feasibility of a protective provision by order or in the judgment. There does not appear to be any purpose to a protective provision by order or in the judgment because if the Chamber wins its suit against the Board, the variance will be repealed and Imlay's economic interests will be directly affected. Factor 5 asks whether an effective judgment may be rendered in the absence of a person who is not joined. It is questionable that an effective judgment could be rendered without Imlay's participation because its interests are directly impacted.

It should not be presumed that in the absence of an explicit weighing of factors, courts from the four appellate departments, over the years, have been abusing their discretion. The majority concludes that Supreme Court must consider all five factors even though jurisdiction was inexcusably lost through petitioner's actions. If a party is necessary but was never subject to the court's jurisdiction, then the court should consider the CPLR 1001 (b) factors before issuing a dismissal. When the statute of limitations has expired without an adequate excuse, however, courts need not recite the CPLR 1001 (b) factors in issuing a dismissal.

Accordingly, I dissent.

Judges CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Chief Judge KAYE; Judge G.B. SMITH dissents in a separate opinion in which Judge R.S. SMITH concurs.

Order reversed, etc.

[839 NE2d 886, 805 NYS2d 533]

MARSHA MARONEY, Individually and as Parent and Natural Guardian of MARK MARONEY, an Infant, Appellant, v NEW YORK CENTRAL MUTUAL FIRE INSURANCE COMPANY, Respondent. (And a Third-Party Action.)

Argued September 15, 2005; decided October 27, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered September 23, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Otsego County (Patrick D. Monserrate, J.), which had (a) granted plaintiff's motion for summary judgment, (b) denied defendant's cross motion for summary judgment, and (c) declared that under the terms and conditions of their contract of homeowners insurance, defendant was obligated to defend and indemnify its insureds, third-party defendants John and Deborah Morris, from the claims being made by plaintiff in the underlying action, (2) denied plaintiff's motion for summary judgment, (3) granted defendant's cross motion, and (4) declared that defendant had no insurance coverage obligations in connection with plaintiff's underlying action.

Maroney v New York Cent. Mut. Fire Ins. Co., 10 AD3d 778, affirmed.

HEADNOTE

Insurance — Exclusions — ''Uninsured Premises'' Exclusion

Defendant homeowners insurer had no obligation to defend or indemnify its insured in the underlying personal injury action to recover for injuries sustained by the infant plaintiff who was kicked by a horse while accompanying the insured as she performed chores in connection with her horse-boarding business at her barn, which had been separately insured after being removed from coverage under defendant's homeowners policy. That policy excluded coverage for personal liability for ''bodily injury or property damage . . . arising out of a premises . . . owned by an insured . . . that is not an insured location.'' The term ''arising out of'' pertained to both the physical condition of the premises and conduct related to the use of the uninsured premises that was causally connected to the injury. Here, the infant plaintiff's injury was causally related to the purpose for which the uninsured premises were being used—the care and boarding of horses in the barn and stable. The homeowners policy was intended to exclude coverage for bodily injury (or property damage) ''arising out of'' the barn and stable premises. As there existed a sufficient causal connection between the injury to the infant plaintiff and the purpose for which the premises were used, the injury ''arose out of'' such premises, and the ''uninsured premises'' exclusion precluded coverage.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 709, 712.
COUCH ON INSURANCE (3d ed) §§ 128:20, 128:21.
NY JUR 2d, Insurance §§ 1555, 1566.

ANNOTATION REFERENCE

See ALR Index under Homeowners' Insurance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: homeowner /2 insur! & exclud! /s barn stable

POINTS OF COUNSEL

Powers & Santola, LLP, Albany (*Michael J. Hutter* of counsel), for appellant. I. New York Central Mutual Fire Insurance Company (NYCM) may properly be found as a matter of law to have a duty to defend and indemnify its insured, the Morrises, with respect to the underlying negligence action on this summary judgment motion as there is no possible factual or legal basis upon which it may be concluded that the underlying incident and claim is encompassed by the policy's ''business pursuits'' and ''owned premises'' exclusions, the only bases upon which NYCM seeks to avoid coverage. (*Continental Cas. Co. v Rapid-American Corp.,* 80 NY2d 640; *Seaboard Sur. Co. v Gillette Co.,* 64 NY2d 304; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.,* 60 NY2d 390; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *Lewis v Ocean Acc. & Guar. Corp., Ltd., of London, England,* 224 NY 18; *Smith v Pennsylvania Gen. Ins. Co.,* 32 AD2d 854, 27 NY2d 830; *Vargas v Insurance Co. of N. Am.,* 651 F2d 838; *Neuwirth v Blue Cross & Blue Shield of Greater N.Y., Blue Cross Assn.,* 62 NY2d 718; *International Paper Co. v Continental Cas. Co.,* 35 NY2d 322; *Prashker v United States Guar. Co.,* 1 NY2d 584.) II. The ''owned premises'' exclusion does not as a matter of law apply. (*State of New York v Home Indem. Co.,* 66 NY2d 669; *New York Dock Co. v Brown, Inc.,* 272 NY 176; *Caporino v Travelers Ins. Co.,* 62 NY2d 234; *Sea Ins. Co., Ltd. v Westchester Fire Ins. Co.,* 849 F Supp 221, 51 F3d 22; *Bianco v Travelers Ins. Co.,* 99 AD2d 629; *Sanabria v American Home Assur. Co.,* 68 NY2d 866; *RJC Realty Holding Corp. v Republic Franklin Ins. Co.,* 2 NY3d 158; *Brabender v Northern Assur. Co. of Am.,* 65 F3d 269; *Eagle Ins. Co. v Butts,* 269 AD2d

558; *Lumbermen's Mut. Cas. Co. v Logan,* 88 AD2d 971.) III. New York Central Mutual Fire Insurance Company has waived any right it may have to disclaim coverage under its policy's ''business pursuits'' exclusion by reason of the Morrises' horse-boarding business. (*General Acc. Ins. Group v Cirucci,* 46 NY2d 862; *Benjamin Shapiro Realty Co. v Agricultural Ins. Co.,* 287 AD2d 389; *2540 Assoc. v Assicurazioni Generali,* 271 AD2d 282; *Appell v Liberty Mut. Ins. Co.,* 22 AD2d 906, 17 NY2d 519; *Allstate Ins. Co. v Moon,* 89 AD2d 804; *Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.,* 92 NY2d 363; *Agoado Realty Corp. v United Intl. Ins. Co.,* 260 AD2d 112, 95 NY2d 141; *Cain v Allstate Ins. Co.,* 234 AD2d 775; *Seaboard Sur. Co. v Gillette Co.,* 64 NY2d 304; *Allstate Ins. Co. v Noorhassan,* 158 AD2d 638.) IV. The ''business pursuits'' exclusion does not as a matter of law apply. (*Velleman v Continental Ins. Co.,* 162 Misc 2d 95; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.,* 91 NY2d 169; *Graphic Arts Mut. Ins. Co. v Bakers Mut. Ins. Co. of N.Y.,* 45 NY2d 551; *Neuwirth v Blue Cross & Blue Shield of Greater N.Y., Blue Cross Assn.,* 62 NY2d 718; *Lamb v Security Mut. Ins. Co.,* 278 AD2d 855; *Baron v Home Ins. Co.,* 112 AD2d 391; *Utica Mut. Ins. Co. v Prudential Prop. & Cas. Ins. Co.,* 103 AD2d 60; *Gulf Ins. Co. v Tilley,* 280 F Supp 60, 393 F2d 119; *Gallo v Grosvenor,* 175 AD2d 454; *Baron v Home Ins. Co.,* 112 AD2d 391.)

Flink Smith LLC, Latham (*Jeffrey D. Wait* and *Edward B. Flink* of counsel), for respondent. I. New York Central Mutual Fire Insurance Company met its burden with respect to both the ''owned premises'' and ''business pursuits'' exclusions. (*Bleckner v General Acc. Ins. Co. of Am.,* 713 F Supp 642; *Seaboard Sur. Co. v Gillette Co.,* 64 NY2d 304; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *Zandri Constr. Co. v Firemen's Ins. Co. of Newark,* 81 AD2d 106, 54 NY2d 999.) II. The ''owned premises'' exclusion applies to the facts presented. (*Bianco v Travelers Ins. Co.,* 99 AD2d 629; *Kappes v Cohoes Bowling Arena,* 2 AD3d 1034; *Stickles v Fuller,* 2 Misc 3d 954; *Sea Ins. Co., Ltd. v Westchester Fire Ins. Co.,* 849 F Supp 221, 51 F3d 22; *St. Paul Fire & Mar. Ins. Co. v Insurance Co. of N. Am.,* 501 F Supp 136; *Murdock v Dinsmoor,* 892 F2d 7; *Aetna Cas. & Sur. Co. v Liberty Mut. Ins. Co.,* 91 AD2d 317; *United States Fire Ins. Co. v New York Mar. & Gen. Ins. Co.,* 268 AD2d 19.) III. The injuries arose out of the insureds' horse-boarding business, thereby triggering the business pursuits exclusion. (*United Food Serv. v Fidelity & Cas. Co. of N.Y.,* 189 AD2d 74.) IV. The exception to the business pursuits exclusion does not apply. (*United*

States Fire Ins. Co. v New York Mar. & Gen. Ins. Co., 268 AD2d 19; *Lamb v Security Mut. Ins. Co.,* 278 AD2d 855; *Gallo v Grosvenor,* 175 AD2d 454; *United Food Serv. v Fidelity & Cas. Co. of N.Y.,* 189 AD2d 74; *Bianco v Travelers Ins. Co.,* 99 AD2d 629; *Bowman v Allstate Ins. Co.,* 238 F3d 468; *Outwater v Ballister,* 253 AD2d 902; *Salimbene v Merchants Mut. Ins. Co.,* 217 AD2d 991; *Kennedy v Lumbermans Mut. Cas. Co.,* 152 Misc 2d 491.) V. New York Central Mutual Fire Insurance Company's disclaimer provided clear and sufficient notice of the grounds for denying coverage. (*Newin Corp. v Hartford Acc. & Indem. Co.,* 62 NY2d 916; *General Acc. Ins. Group v Cirucci,* 46 NY2d 862; *Mutual Redevelopment Houses v Greater N.Y. Mut. Ins. Co.,* 204 AD2d 145; *Waxman v Providence Washington Ins. Co.,* 207 AD2d 882; *John v Centennial Ins. Co.,* 91 AD2d 1104; *Adams v Perry's Place,* 168 AD2d 932; *Hall v Kemper Natl. Cos.,* 208 AD2d 679; *Abreu v Huang,* 300 AD2d 420.) VI. New York Central Mutual Fire Insurance Company did not waive its right to rely on the business pursuits exclusion. (*General Acc. Ins. Group v Cirucci,* 46 NY2d 862; *Lugo v AIG Life Ins. Co.,* 852 F Supp 187; *Matter of Worcester Ins. Co. v Bettenhauser,* 95 NY2d 185; *Waxman v Providence Washington Ins. Co.,* 207 AD2d 882; *John v Centennial Ins. Co.,* 91 AD2d 1104; *Adams v Perry's Place,* 168 AD2d 932; *Hall v Kemper Natl. Cos.,* 208 AD2d 679.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented by this appeal is the meaning of the words "arising out of" in an "uninsured premises" exclusion contained in a homeowners insurance policy. Here we hold that "arising out of" includes use of the premises (as urged by the insurer), and is not limited to the physical condition of the premises (as urged by the insured).

On June 19, 1997, a horse being led by Deborah Morris kicked the six-year-old plaintiff, Mark Maroney, in the forehead. Deborah Morris was an owner of Soft Meadow Stables, a business that boarded horses for a fee. The barn and stable had been built on property owned by the Morrises, located across the road from their residence. Before the establishment of Soft Meadow Stables, that property had been insured as part of a homeowners policy secured from defendant, New York Central Mutual Fire Insurance Company (NYCM). In May 1997, once the Morrises began boarding horses for a fee, the policy was amended to remove coverage for the property where the barn and stable were located. The Morrises obtained a separate property and liability policy covering the barn and stable from Broome County Cooperative Fire Insurance Company (BCC). The agent who placed the insurance was Deborah Morris's mother; she testified that the change was made because of the horse-boarding business on the property, explaining that NYCM does "not do that type of insurance."

Fourteen-year-old Ashley Hoke, daughter of insured Deborah Morris, had agreed to care for the infant plaintiff during the summer of 1997. On the day of his injury, coincidentally the first day Ashley was to care for the child, Mark and his mother arrived at the Morris residence at about 6:30 A.M. While Ashley was getting herself ready for the day, Deborah Morris took the child across the road to the barn and stable where she proceeded to feed and turn out two boarded horses. As Deborah Morris was leading one of the horses to pasture, the horse kicked the infant plaintiff in the forehead, causing serious injury.

After the accident, Deborah Morris notified both BCC and NYCM of the injury. NYCM subsequently disclaimed coverage based on the policy's "business pursuits," "uninsured premises" and "home day care services" exclusions. The infant plaintiff, represented by his mother, Marsha Maroney, initiated a personal injury action against the Morrises. Marsha Maroney then brought suit against NYCM seeking a declaration that NYCM had a duty to defend and indemnify the Morrises in the underlying personal injury action. NYCM counterclaimed and commenced a third-party action against the Morrises, also seeking a declaration of its obligations under the policy.*

Supreme Court held that the exclusions did not apply, and ordered NYCM to defend and indemnify the Morrises. A divided Appellate Division reversed, concluding that the injury "arose out of" the uninsured premises and, therefore, the exclusion was applicable. We granted plaintiffs leave to appeal and now affirm.

Initially, " 'in policies of insurance . . . if any one exclusion applies there can be no coverage' " (*Monteleone v Crow Constr. Co.*, 242 AD2d 135, 140-141 [1st Dept 1998], quoting *Zandri Constr. Co. v Firemen's Ins. Co. of Newark*, 81 AD2d 106, 109 [3d Dept 1981], *affd sub nom. Zandri Constr. Co. v Stanley H.*

* Because the insurer joined the insured in seeking a declaration of its rights, the Maroneys' failure to obtain a judgment in the underlying personal injury action prior to suing the tortfeasor's insurer as required by Insurance Law § 3420 does not preclude consideration of the coverage issues in this case (*see Lang v Hanover Ins. Co.*, 3 NY3d 350 [2004]).

Calkins, Inc., 54 NY2d 999 [1981]). Here, the homeowners policy's ''uninsured premises'' exclusion provides in pertinent part that coverage for personal liability does not apply ''to bodily injury or property damage . . . arising out of a premises . . . owned by an insured . . . that is not an insured location.''

Plaintiff argues that the uninsured premises exclusion applies only to injuries that are causally connected to the physical condition of the premises. Under such a reading, the exclusion would be inapplicable here because the allegedly tortious conduct of Deborah Morris, not the physical condition of the premises, caused plaintiff's injuries. Defendant, by contrast, argues that the term ''arising out of'' is broader and pertains to both the physical condition of the premises and conduct related to the use of the uninsured premises that is causally connected to the injury. In this case of first impression, we agree with defendant insurer.

As used in a homeowners liability policy's automobile exclusion clause, ''[t]he words 'arising out of' have 'broader significance . . . and are ordinarily understood to mean originating from, incident to, or having connection with' '' (*Aetna Cas. & Sur. Co. v Liberty Mut. Ins. Co.*, 91 AD2d 317, 320-321 [4th Dept 1983]; *see also* 8 Couch on Insurance 3d § 119:33, at 50). We conclude that, in the uninsured premises realm, the phrase ''arising out of'' similarly requires only that there be some causal relationship between the injury and the risk for which coverage is provided (*see e.g. St. Paul Fire & Mar. Ins. Co. v Insurance Co. of N. Am.*, 501 F Supp 136, 139 [WD VA 1980]; *see also National Farmers Union Prop. & Cas. Co. v Western Cas. & Sur. Co.*, 577 P2d 961, 963 [Utah 1978]). That interpretation allows an insurer to reasonably define the ''universe of possibilities to which it can apply its risk analysis methods . . . and determine a premium'' (7 Couch on Insurance 3d § 101:40, at 101-127).

An insurer does not wish to be liable for losses arising from risks associated with a premises for which the insurer has not evaluated the risk and received a premium—or, as in this case, for a premises that contained risks the insurer when underwriting the homeowners insurance policy declined to accept. Thus, when injury-causing conduct is causally related to the purposes for which the premises are used, then the injury is deemed to ''arise'' from the premises. If the injurious conduct is so causally related to the use of the premises, and deemed to ''arise'' from the premises, then it is likely that the conduct would be insured by a policy that contemplated the risk.

When reviewing the injurious conduct and its causal relationship to the premises in this case, it is clear that the infant plaintiff's injury, the consequence of a horse's kick, was not a bargained-for risk. This injury was causally related to the purpose for which the uninsured premises were being used—the care and boarding of horses in the barn and stable. The NYCM homeowners policy as amended in May 1997 was intended to exclude coverage for bodily injury (or property damage) ''arising out of'' the barn and stable premises. The Morrises had removed the barn and stable from the NYCM policy and rewrote them into the BCC policy. Only one policy, the BCC policy, covered the risk here, not two, as the plaintiff contends, and we cannot create coverage where none was intended by the insured or insurer. As there exists a sufficient causal connection between the injury to the child and the purpose for which the premises were used, the injury ''ar[ose] out of'' such premises, and the ''uninsured premises'' exclusion precludes coverage.

The narrow interpretation of ''arising out of'' urged by the plaintiff and the dissent would extend coverage beyond the fair intent and meaning of the insurance contract. The lack of supervision of the child, and the injury, all of which gave rise to the underlying claim, occurred on the uninsured premises and were directly related to the activities carried on at premises specifically excluded from coverage.

Nor can the language of the policy be deemed ambiguous. If the insurer intended to limit the exclusion to injury resulting from a condition of the uninsured premises, it could have done so explicitly, as it does in the very same policy's medical payments coverage provisions. There, the policy limits the coverage to injury that ''arises out of a condition'' on the insured location and injury ''caused by the activities of an insured.'' By not identifying ''condition'' and ''activities'' in the liability coverage provisions, NYCM indicated an intent not to limit the term ''arising out of'' but rather give it a broader meaning that would encompass losses incurred as a result of both a condition of the uninsured premises and conduct related to the purpose for which the uninsured premises are utilized. The conduct of Deborah Morris on the uninsured premises—allegedly failing to adequately supervise the child while she was tending to the horses—certainly ''arises out of'' the uninsured premises.

Neither is it significant that the care of the child commenced in the Morris residence, the insured premises. Here there is no direct causal connection between the injury and the insured premises. Rather, the direct connection is between the injury and the uninsured location, the barn and stable (*see Bianco v Travelers Ins. Co.*, 99 AD2d 629, 630 [3d Dept 1984]).

We conclude that no defense or indemnification is owed the insured as the language of the policy exclusion is clear and unambiguous and subject to no other reasonable interpretation. Since the uninsured premises exclusion operates to deny coverage to plaintiffs, we need reach no other issue.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

ROSENBLATT, J. (dissenting). An insurance carrier invoking a policy exclusion must ''establish that the exclusion is stated in clear and unmistakable language, is subject to no other reasonable interpretation, and applies in the particular case'' (*Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640, 652 [1993]). To my mind, the phrase ''arising out of a premises'' does not, without strain, refer to the conduct of the insured. It is more easily read to refer to injuries causally connected to a dangerous *condition* of the premises. While I grant that the issue is debatable, the phrase is at least ambiguous and the exclusion should be construed against the carrier.

In deciding that the ''arising out of'' exclusion applies, the Court does not reach the ''business pursuits'' exclusion that the carrier invokes.* However, I agree with Supreme Court and the dissent of the Presiding Justice at the Appellate Division that the carrier waived the business pursuits exclusion because of its insufficient notice of disclaimer.

The notice of disclaimer, in which a carrier seeks to activate the exclusion, must be highly specific (*General Acc. Ins. Group v Cirucci*, 46 NY2d 862, 864 [1979]). Here, the disclaimer specifically referred only to a home day care business, making no mention of the horse-boarding business. The carrier thus created an ambiguity that could lead an insured to believe that a home day care business was the only basis on which the carrier was relying in order to deny coverage under the business pursuits exclusion. The ambiguity should be construed against the carrier and result in waiver.

Moreover, on the merits of the business pursuits issue, the carrier has also not met its burden of specificity. The business

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* The business pursuits exclusion denies coverage for ''bodily injury or property damage . . . arising out of business pursuits of an insured or the rental or holding for rental of any part of any premises by an insured.''

pursuits exclusion contains an exception for "activities which are usual to non-business pursuits." Here, the plaintiff alleged that Morris was negligent in supervising her child, a nonbusiness activity. Again, where the policy's language could reasonably be interpreted in favor of the plaintiff, it is the carrier rather than the plaintiff who should bear the consequences of ambiguity.

I would therefore reverse the order appealed from and reinstate Supreme Court's order denying summary judgment to NYCM and granting it to Maroney.

Chief Judge KAYE and Judges G.B. SMITH, GRAFFEO, READ and R.S. SMITH concur with Judge CIPARICK; Judge ROSENBLATT dissents and votes to reverse in a separate opinion.

Order affirmed, with costs.

[840 NE2d 123, 806 NYS2d 154]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v HERMAN TURNER, Respondent.

Argued October 20, 2005; decided November 17, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 23, 2004. The Appellate Division (1) granted defendant's application for a writ of error coram nobis; (2) vacated a prior order of the Appellate Division, entered March 19, 2001 (281 AD2d 568), which had affirmed a judgment of the Supreme Court, Kings County (Alan D. Marrus, J.), convicting defendant, upon a jury verdict, of manslaughter in the first degree; (3) reversed, on the law, the judgment of conviction and sentence; (4) dismissed the indictment; and (5) remitted the matter to Supreme Court for the purpose of entering an order in its discretion pursuant to CPL 160.50.

People v Turner, 10 AD3d 458, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Appellate Counsel

Appellate counsel's failure to argue that trial counsel was ineffective for failing to object on statute of limitations grounds to the submission of the lesser-included offense of manslaughter in defendant's murder prosecution deprived defendant of his constitutional right to effective assistance of counsel. Trial counsel could not reasonably have thought that the defense was not worth raising, and appellate counsel could not reasonably have thought that she should not argue trial counsel's ineffectiveness. Appellate counsel argued only one point on appeal, and although it was a substantial and complicated point argued in a lengthy brief, it would have been unreasonable to conclude that the brief would suffer from having a second point, where an argument as strong as the statute of limitations defense was available. The single failing in appellate counsel's otherwise competent performance was so egregious and prejudicial as to constitute ineffective assistance of counsel.

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AM JUR 2d, Criminal Law §§ 1223–1227.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1832–172:1837, 172:1844, 172:1900.

LaFave, et al., Criminal Procedure (3d ed) §§ 11.7, 11.10.

NY Jur 2d, Criminal Law §§ 810, 812, 815–818, 824, 862, 863, 868.

ANNOTATION REFERENCE

Adequacy of defense counsel's representation of criminal client regarding appellate and postconviction remedies. 15 ALR4th 582.

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Database: NY-ORCS

Query: counsel /3 ineffective /p lesser /2 included

POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (*Sholom J. Twersky, Leonard Joblove* and *Victor Barall* of counsel), for appellant. Defendant was not denied the effective assistance of appellate counsel. (*Clark v Stinson,* 214 F3d 315; *People v Satterfield,* 66 NY2d 796; *People v Stultz,* 2 NY3d 277; *People v Baldi,* 54 NY2d 137; *Evitts v Lucey,* 469 US 387; *Jones v Barnes,* 463 US 745; *People v White,* 73 NY2d 468, 493 US 859; *United States ex rel. Roche v Scully,* 739 F2d 739; *Curzi v United States,* 773 F Supp 535, 973 F2d 107, 507 US 954; *Mayo v Henderson,* 13 F3d 528.)

Legal Aid Society Criminal Appeals Bureau, New York City (*Katheryne M. Martone* and *Laura R. Johnson* of counsel), for respondent. As the Appellate Division correctly held, Herman Turner was first denied the effective assistance of counsel at trial when his lawyer failed to assert the time bar, though he was objecting on other grounds, to the submission of the undisputably time-barred offense of which Mr. Turner was eventually convicted, and again on appeal, when appellate counsel failed to apprehend that Mr. Turner's conviction was time-barred but for his lawyer's default at trial, a claim fully and readily cognizable on appeal. (*Strickland v Washington,* 466 US 668; *People v Baldi,* 54 NY2d 137; *Evitts v Lucey,* 469 US 387; *People v Casiano,* 67 NY2d 906; *Jackson v Leonardo,* 162 F3d 81; *Kimmelman v Morrison,* 477 US 365; *People v Stultz,* 2 NY3d 277; *Greer v Mitchell,* 264 F3d 663, 535 US 940; *People v Droz,* 39 NY2d 457; *People v Satterfield,* 66 NY2d 796.)

OPINION OF THE COURT

R.S. SMITH, J.

Very rarely, a single lapse by otherwise competent counsel compels the conclusion that a defendant was deprived of his constitutional right to effective legal representation. This is such a rare case, in which both defendant's trial and appellate lawyers failed to perceive that a statute of limitations defense would have prevented their client's manslaughter conviction. We conclude that this error requires setting the conviction aside, and we therefore affirm the Appellate Division's grant of a writ of error coram nobis.

Facts and Procedural History

In 1982, Donald Holloman was killed by gunshots on a Brooklyn street corner. According to several witnesses, defendant fired the fatal shots, then fled. He was not seen again in the neighborhood for years, and was not arrested until 1998, almost 16 years after the crime.

Defendant was indicted for murder in the second degree, a crime for which there is no statute of limitations (CPL 30.10 [2] [a]). At his trial in 1999, the prosecutor asked the court to instruct the jury that it could convict defendant of manslaughter in the first degree, as a lesser included offense. Defendant's trial counsel opposed the prosecutor's request, saying that defendant ''does not want to give a jury the chance to compromise,'' but did not mention any statute of limitations problem—though manslaughter, unlike murder, is subject to a five-year statute (CPL 30.10 [2] [b]).

The trial judge instructed the jury that, if it found defendant not guilty of murder, it should consider whether he was guilty of manslaughter. The jury acquitted him of murder but convicted him of manslaughter, and defendant appealed. His appellate counsel devoted her brief in the Appellate Division to a single issue: she claimed that a violation of *People v Rosario* (9 NY2d 286 [1961], *cert denied* 368 US 866 [1961]) entitled defendant to a new trial. The argument was a substantial one and the brief presented it well, though unsuccessfully.

The appellate brief was filed in June 2000. Before it was filed, defendant wrote to his appellate lawyer, mentioning the possibility that his manslaughter conviction should have been barred by the statute of limitations. The lawyer replied that the statute of limitations was ''not a strong issue for appeal,'' for two reasons. First, the lawyer said that the defense lacked merit, because defendant's indictment for murder was not time-barred and therefore ''it was not improper for the jury to have considered the lesser included offense of manslaughter.'' Secondly, she said that, because trial counsel had not raised the statute of limitations below, the issue was not preserved for appellate review. She did not mention the possibility of arguing that trial counsel was ineffective for failing to preserve the issue.

The Appellate Division affirmed defendant's conviction (281 AD2d 568 [2d Dept 2001]), and a Judge of this Court denied leave to appeal. Defendant applied to the Appellate Division for a writ of error coram nobis, asserting that his appellate counsel had been ineffective because, among other things, she failed to raise the statute of limitations issue. The Appellate Division denied relief (285 AD2d 659 [2d Dept 2001]), and defendant filed a petition for federal habeas corpus.

The United States District Court for the Eastern District of New York denied defendant relief, but suggested that he might eventually prevail on the claim—not specifically raised in his first coram nobis application—that his appellate counsel should have argued that his trial counsel was ineffective. The District Court held that it could not consider this claim until it had been unsuccessfully presented to the state courts (*Turner v Sabourin*, 217 FRD 136, 146-147 [ED NY 2003]). Taking the hint, defendant returned to the Appellate Division, and filed a second petition for a writ of error coram nobis, which the Appellate Division granted. A Judge of this Court granted the People leave to appeal, and we now affirm.

Discussion

I

The Sixth Amendment to the United States Constitution provides that a defendant shall ''enjoy the right . . . to have the Assistance of Counsel for his defence.'' Similarly, article I, § 6 of the State Constitution provides that ''[i]n any trial in any court whatever the party accused shall be allowed to appear and defend in person and with counsel as in civil actions.'' It is well established that these constitutional rights are violated if a defendant's counsel fails to meet a minimum standard of effectiveness, and defendant suffers prejudice from that failure (*Strickland v Washington*, 466 US 668 [1984]; *People v Baldi*, 54 NY2d 137 [1981]). In *Strickland* the United States Supreme Court adopted a two-pronged test for ineffective assistance, holding that a defendant must show, first, ''that counsel's representation fell below an objective standard of reasonableness'' (466 US at 688) and, secondly, ''that there is a reasonable probability that, but for counsel's unprofessional errors, the result of the proceeding would have been different'' (*id.* at 694). *Strickland* holds that the minimum standard of performance required by the Sixth Amendment is a very tolerant one:

> ''Judicial scrutiny of counsel's performance must be highly deferential. It is all too tempting for a defendant to second-guess counsel's assistance after conviction or adverse sentence, and it is all too easy for a court, examining counsel's defense after it has proved unsuccessful, to conclude that a particular act or omission of counsel was unreasonable.'' (466 US at 689.)

Our ineffective assistance cases have departed from the second (''but for'') prong of *Strickland*, adopting a rule somewhat more favorable to defendants (*see People v Caban*, 5 NY3d 143, 155-156 [2005]; *People v Stultz*, 2 NY3d 277, 284 [2004]; *People v Benevento*, 91 NY2d 708, 713-714 [1998]). Our cases, however, agree with *Strickland* on the first prong. We have said that ''counsel's efforts should not be second-guessed with the clarity of hindsight'' and that our Constitution ''guarantees the accused a fair trial, not necessarily a perfect one'' (*People v Benevento*, 91 NY2d at 712). We have also held that, in general, the issue is whether counsel's performance ''viewed in totality'' amounts to ''meaningful representation'' (*People v Baldi*, 54 NY2d at 147). But our decisions, and the United States Supreme Court's, have recognized that there may be cases in which a single failing in an otherwise competent performance is so ''egregious and prejudicial'' as to deprive a defendant of his constitutional right (*People v Caban*, 5 NY3d at 152; *Murray v Carrier*, 477 US 478, 496 [1986]).

Such cases are rare—indeed, this may be the first one this Court has encountered. Two of our decisions have rejected ineffective assistance claims despite significant mistakes by defense counsel (*People v Hobot*, 84 NY2d 1021 [1995]; *People v Flores*, 84 NY2d 184 [1994]). Those cases hold, and we reaffirm today, that such errors as overlooking a useful piece of evidence (*Hobot*), or failing to take maximum advantage of a *Rosario* violation (*Flores*), do not in themselves render counsel constitutionally ineffective where his or her overall performance is adequate. But neither *Hobot* nor *Flores* involved the failure to raise a defense as clear-cut and completely dispositive as a statute of limitations. Such a failure, in the absence of a reasonable explanation for it, is hard to reconcile with a defendant's constitutional right to the effective assistance of counsel.

II

The ultimate issue here is whether appellate counsel was ineffective for failing to argue that trial counsel was ineffective. That question depends on whether trial counsel was clearly ineffective, and that question in turn depends on how strong defendant's statute of limitations defense was. We conclude that it was a winning argument; that trial counsel could not reasonably have thought that the defense was not worth raising; that appellate counsel could not reasonably have thought that she should not argue trial counsel's ineffectiveness; and that therefore an ''egregious and prejudicial'' error, rising to the level of ineffective assistance, has occurred.

The argument that trial counsel could and should have made in opposing the submission of the manslaughter count to the jury was simple: Manslaughter is subject to a five-year statute of limitations that can be tolled under some circumstances, but for no more than five additional years (CPL 30.10 [2] [b]; [4] [a]); here, defendant was not prosecuted until 16 years after his crime; even with the maximum tolling, the prosecution came some six years too late. While the People did have a possible counterargument, it was a weak one—certainly not one that could justify a decision by defendant's trial counsel to abandon the statute of limitations defense.

The People could have made the argument that defendant's appellate counsel later advanced in her letter to defendant—that, since the indictment for murder was not time-barred, submission of the otherwise time-barred count of manslaughter as a lesser included offense was proper. In her letter, appellate counsel cited only one case that could have supported this argument, *People v Dowling* (1 NY Crim Rep 529 [Oyer and Terminer, Albany County 1884]). *Dowling* was a 116-year-old trial court decision; appellate counsel's letter did not mention a more recent, though still old, Appellate Division decision going the other way, *People v Di Pasquale* (161 App Div 196 [3d Dept 1914]). A later affirmation by appellate counsel says that she was aware of *Di Pasquale*, but thought there were valid reasons, including *Di Pasquale*'s failure to mention *Dowling* and the existence of an alternative basis for the *Di Pasquale* result, for rejecting or distinguishing it.

Appellate counsel's apparent conclusion that *Di Pasquale* was not worth citing was not a reasonable one, even by the undemanding standard we apply in ineffective-assistance cases. *Di Pasquale*, though old, was still a valid precedent, binding on all trial-level courts in the state (*see Mountain View Coach Lines v Storms*, 102 AD2d 663, 664-665 [2d Dept 1984]) and entitled to respect by appellate courts. Neither the failure to cite an 1884 Oyer and Terminer case nor the existence of an alternative holding seriously impaired *Di Pasquale*'s precedential force. The *Di Pasquale* court had carefully considered, and squarely rejected, the only argument that would have been available to the People in the present case, if the People had been confronted with a statute of limitations defense to the manslaughter count. The *Di Pasquale* court explained that the status of a charge (attempted murder, in that case) as a lesser included count of murder could not overcome the statute of limitations: ''[U]nder the indictment [for murder] the defendant could be convicted only of murder, and . . . the lapse of time prevents a conviction for any other crime in connection with the death'' (161 App Div at 198).

More recent authority, though not technically binding, would have strengthened defendant's statute of limitations argument. In *People v Hughes* (220 AD2d 529, 532 [2d Dept 1995]), the Appellate Division relied on *Di Pasquale* for the proposition that ''an uncharged misdemeanor which could not have been timely raised in the accusatory instrument may not be charged as a lesser included offense.'' While *Hughes* is distinguishable from this case, on the ground that in *Hughes* ''the time-barred misdemeanor charge was not a valid lesser inclusory count'' (*id.*), it strongly suggested that *Di Pasquale* was not a dead letter. There was also non-New York authority approving of and following *Di Pasquale* (*Padie v State*, 557 P2d 1138, 1140 [Alaska 1976]; *State v King*, 140 W Va 362, 368, 84 SE2d 313, 316 [1954]; *Drott v People*, 71 Colo 383, 384, 206 P 797, 798 [1922]; *Askins v United States*, 251 F2d 909, 911 [DC Cir 1958]).

It is true that there existed some New York lower court decisions that might have been cited by the People in opposing defendant's statute of limitations defense (*People v Cuddihy*, 170 Misc 2d 592 [Nassau County Ct 1996]; *People v Norman*, 150 Misc 2d 583 [Crim Ct, Bronx County 1991]). Perhaps the law on this point was not definitively settled until 2003, when we observed in *People v Mills* (1 NY3d 269, 272 n 2 [2003]): ''Of course, the People could not have requested that the jury be charged with respect to any of the lesser included offenses, including second-degree manslaughter, because they were time-barred.'' But, as the expression ''of course'' implies, before *Mills* there were strong indications that the defense had the better of the argument. A reasonable defense lawyer at the time of defendant's trial might have doubted that the statute of limitations argument was a clear winner—but no reasonable defense lawyer could have found it so weak as to be not worth raising. Yet defendant's trial counsel did not raise it.

Trial counsel's error should have been apparent to any reasonable appellate counsel, and should have prompted that counsel to make an ineffective assistance argument. It is true that, as defendant's appellate lawyer pointed out in her letter, an attempt to argue the statute of limitations issue on appeal might well have failed because the point had not been raised below. But that in itself should have suggested to defendant's appellate lawyer that defendant had been victimized by his trial lawyer's mistake. Giving due weight to the danger of judging appellate counsel's decisions by hindsight, we think that it should have been obvious that an ineffective assistance argument was called for.

III

The People contend on this appeal that defendant's trial and appellate counsel could both reasonably have believed that the statute of limitations defense was so weak that it could be ignored. We have explained why we think otherwise. But the People also make two other arguments. They say, first, that trial counsel was not ineffective because a reasonable trial attorney might actually have welcomed the submission of the manslaughter count to the jury; and, secondly, that appellate counsel was not ineffective because she could reasonably have thought her *Rosario* argument was stronger than an argument based on the ineffective assistance of trial counsel. Both of these contentions by the People are ill-founded.

It is true that whether to object to the submission of a lesser included offense is often a strategic decision that could reasonably be made either way. A defendant who thinks his chances of acquittal are small may welcome giving the jury an opportunity for a compromise verdict (*see People v Boettcher*, 69 NY2d 174, 182 n 3 [1987] [''the availability of a lesser included offense may be advantageous to the defendant'']). In this case, trial counsel could reasonably have advised his client to consent to the People's request that the jury be allowed to convict defendant of manslaughter. But if such advice was given, it was not followed; defendant decided to gamble on acquittal, as his trial counsel's objection to the submission of the manslaughter charge shows. Once that decision was made, it could not have been rational for trial counsel to abandon a statute of limitations defense that would have prevented the charge from being submitted.

The People rely on our holding in *People v Satterfield* (66 NY2d 796, 799 [1985]) that, in ineffective assistance cases, counsel's ''subjective reasons'' for a decision are irrelevant, so long as ''[v]iewed objectively,'' the course counsel pursued was one ''that might well have been pursued by a reasonably competent attorney.'' But that holding does not apply here. The course defendant's trial counsel pursued was to object to submission of the manslaughter count, without mentioning that the count was barred by the statute of limitations. No competent attorney would do this intentionally. *Satterfield* does not hold, as the People seem to suggest, that any blunder by counsel may be ignored if the result of the blunder (in this case, submission of the manslaughter count to the jury) is one that a reasonably competent attorney might have sought.

In saying that defendant's appellate counsel could reasonably have preferred her *Rosario* argument to an argument based on the ineffective assistance of trial counsel, the People ignore the obvious: Counsel could have made both arguments. It is true that, as we said in *People v Stultz* (2 NY3d at 285), ''[e]ffective appellate representation by no means requires counsel to brief or argue every issue that may have merit. . . . [A]ppellate lawyers have latitude in deciding which points to advance . . . .'' But this does not mean that an appellate lawyer is always justified in omitting an argument that has a good chance to win the case, solely because he or she may reasonably think one other argument is even better.

This might be a different case if defendant's appellate counsel had found herself choosing among half a dozen, or even four or five, substantial arguments, and had decided not to make them all. Certainly, it is often appropriate for an appellate attorney to focus his or her efforts, and the appellate court's attention, on a small number of points, and the attorney's selection of those points should not be second-guessed in a coram nobis proceeding. But here, defendant's appellate counsel raised only one point on appeal. Admittedly, the point was substantial, and it was a complicated one—her brief was 31 pages long, and the length does not seem excessive. But there was no reasonable basis for concluding that the brief would suffer from having a second point, where an argument as strong as the one that she omitted was available.

IV

In short, we agree with the Appellate Division that appellate counsel's failure to argue that trial counsel had been ineffective in failing to assert a statute of limitations defense to the manslaughter charge fell short of an objective standard of reasonableness, even applying the deferential standard that is appropriate in considering issues of this kind. We also agree with the Appellate Division that, if appellate counsel had made the argument she should have made, defendant's conviction would have been reversed. It follows that defendant was deprived of his constitutional right to the effective assistance of appellate counsel, and that the Appellate Division correctly granted his petition for a writ of error coram nobis.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed.

[840 NE2d 115, 806 NYS2d 146]

In the Matter of NEW YORK CITY ASBESTOS LITIGATION.

ELIZABETH HOLDAMPF et al., Respondents, v A.C. & S., INC., et al., Defendants, and PORT AUTHORITY OF NEW YORK AND NEW JERSEY, Appellant.

Argued September 13, 2005; decided October 27, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 2, 2004. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Helen E. Freedman, J.), which had granted the motion of defendant Port Authority of New York and New Jersey for summary judgment dismissing the complaint against it. The modification consisted of reinstating the common-law negligence cause of action. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court, properly made?"

Matter of New York City Asbestos Litig., 14 AD3d 112, reversed.

HEADNOTE

Negligence — Duty — Employers — Secondary Asbestos Exposure Sustained by Spouse of Employee

Defendant, the employer of plaintiff husband, did not owe a duty of care to plaintiff wife, who was allegedly injured from exposure to asbestos dust that plaintiff husband introduced into the family home on soiled work clothes that plaintiff wife laundered. An employer's duty to provide a safe workplace is limited to employees, and defendant's duty did not extend to plaintiff wife simply because she was a beneficiary of her husband's work-related benefits. Nor was a duty of care grounded in defendant's status as a landowner who must exercise reasonable care, with regard to its activities, for the protection of those outside of its premises. The asbestos was not released into the ambient air but was allegedly on plaintiff husband's clothes, and defendant did provide laundry services to plaintiff husband, who chose not to consistently use those services.

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By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship § 409; AM JUR 2d, Premises Liability §§ 688, 701–704; AM JUR 2d, Products Liability § 648.

NY Jur 2d, Employment Relations §§ 207, 217; NY Jur 2d, Products Liability §§ 110, 205.
Prosser and Keeton, Torts (5th ed) § 30.
Weinberger, New York Products Liability 2d, § 17:22.

ANNOTATION REFERENCE

Products liability: inhalation of asbestos. 39 ALR4th 399.

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POINTS OF COUNSEL

Segal McCambridge Singer & Mahoney, Ltd., New York City (*Christian H. Gannon, Dwight A. Kern* and *Robert R. Rigolosi* of counsel), for appellant. I. Under New York law, an employer does not owe a duty to individuals who are neither employees nor employed at a work site. (*Purdy v Public Adm'r of County of Westchester,* 72 NY2d 1; *Di Ponzio v Riordan,* 89 NY2d 578; *Lauer v City of New York,* 95 NY2d 95; *Johnson v Jamaica Hosp.,* 62 NY2d 523; *Hamilton v Beretta U.S.A. Corp.,* 96 NY2d 222; *Palka v Servicemaster Mgt. Servs. Corp.,* 83 NY2d 579; *Tobin v Grossman,* 24 NY2d 609; *Baker v Vanderbilt Co.,* 260 AD2d 750; *D'Amico v Christie,* 71 NY2d 76; *Russin v Louis N. Picciano & Son,* 54 NY2d 311.) II. Any foreseeability of Elizabeth Holdampf's injury did not create a duty to warn Mrs. Holdampf about the hazards of asbestos. (*Eiseman v State of New York,* 70 NY2d 175; *McNulty v City of New York,* 295 AD2d 42, 100 NY2d 227; *Danielenko v Kinney Rent A Car,* 57 NY2d 198; *Tobin v Grossman,* 24 NY2d 609; *McCarthy v Sturm, Ruger & Co., Inc.,* 916 F Supp 366, 119 F3d 148; *Pulka v Edelman,* 40 NY2d 781; *Sanchez v State of New York,* 99 NY2d 247; *Palsgraf v Long Is. R.R. Co.,* 248 NY 339; *Waters v New York City Hous. Auth.,* 69 NY2d 225; *Di Ponzio v Riordan,* 89 NY2d 578.) III. The Port Authority of New York and New Jersey does not owe a duty to plaintiffs under a premises liability theory. (*Church v Callanan Indus.,* 285 AD2d 16; *Strauss v Belle Realty Co.,* 65 NY2d 399; *Waters v New York City Hous. Auth.,* 69 NY2d 225; *Baker v Vanderbilt Co.,* 260 AD2d 750; *Widera v Ettco Wire & Cable Corp.,* 204 AD2d 306; *Massie v Crescent Dry Cleaning Co.,* 241 App Div 831; *Wilson v American Bridge Co.,* 74 App Div 596; *Savage v Mathieson Alkali Works,* 174 Misc 1022, 261 App Div 1053.) IV. Based on legal and policy considerations, this Court should hold that the Port Authority of New York and New Jersey does not owe plaintiffs a duty of care under the circumstances presented in this case. (*McNulty v City of New York,* 295 AD2d 42, 100 NY2d 227; *Strauss v Belle Realty Co.,* 65 NY2d 399; *De Angelis v Lutheran Med. Ctr.,* 58 NY2d 1053; *Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.,* 90 NY2d 606; *Pingtella v Jones,* 305 AD2d 38; *Eiseman v State of New York,* 70 NY2d 175; *Megally v LaPorta,* 253 AD2d 35; *Strauss v Belle Realty Co.,* 65 NY2d 399; *Tobin v Grossman,* 24 NY2d 609; *Widera v Ettco Wire & Cable Corp.,* 204 AD2d 306.)

Weitz & Luxenberg, P.C., New York City (*Erik Jacobs* and *Stephen J. Riegel* of counsel), for respondents. I. The decision below properly interpreted and applied the Court's precedents and relevant factors in reinstating plaintiffs' general negligence claim which alleges that defendant owed and breached a duty of care to Elizabeth Holdampf to prevent her unknowing, deadly secondary exposure to asbestos at home. (*Di Ponzio v Riordan,* 89 NY2d 578; *Sanchez v State of New York,* 99 NY2d 247; *Pulka v Edelman,* 40 NY2d 781; *Palsgraf v Long Is. R.R. Co.,* 248 NY 339; *Waters v New York City Hous. Auth.,* 69 NY2d 225; *Tobin v Grossman,* 24 NY2d 609; *Strauss v Belle Realty Co.,* 65 NY2d 399; *McNulty v City of New York,* 100 NY2d 227; *Hamilton v Beretta U.S.A. Corp.,* 96 NY2d 222; *Eiseman v State of New York,* 70 NY2d 175.) II. The decision below expressly reinstated only plaintiffs' general negligence claim against the Port Authority of New York and New Jersey, not their unsafe workplace or Labor Law claims, and it correctly distinguished or rejected precedents involving the latter claims, such as *Widera v Ettco Wire & Cable Corp.* (204 AD2d 306 [1994]). (*Baker v Vanderbilt Co.,* 260 AD2d 750; *Kowalski v Goodyear Tire & Rubber Co.,* 841 F Supp 104; *Russin v Louis N. Picciano & Son,* 54 NY2d 311; *Allen v Cloutier Constr. Corp.,* 44 NY2d 290; *Palsgraf v Long Is. R.R. Co.,* 248 NY 339; *Tobin v Grossman,* 24 NY2d 609; *Pulka v Edelman,* 40 NY2d 781; *Sanchez v State of New York,* 99 NY2d 247.) III. Alternatively, the decision below correctly denied defendant's summary judgment motion because defendant failed to submit any supporting evidence that it owed no duty of care to plaintiffs, and plaintiffs did submit sufficient evidence in opposition to raise triable issues of fact concerning the existence of that duty. (*Ayotte v Gervasio,* 81 NY2d 1062; *Security Pac. Bus. Credit v Peat Marwick Main & Co.,* 79 NY2d 695; *Assaf v Ropog Cab Corp.,* 153 AD2d 520.)

Shook, Hardy & Bacon, L.L.P., Washington, D.C. (*Victor E. Schwartz* and *Mark A. Behrens* of counsel), *Crowell & Moring*

LLP, Washington, D.C. (*Paul W. Kalish* and *Mark D. Plevin* of counsel), *Karen R. Harned,* Washington, D.C., *Donald D. Evans,* Arlington, Virginia, *Ann W. Spragens* and *Robert J. Hurns,* Des Plaines, Illinois, and *Robin S. Conrad* and *Amar D. Sarwal,* Washington, D.C., for Coalition for Litigation Justice, Inc., and others, amici curiae. I. This Court should hold that employers owe no duty to third-party nonemployees. (*Pulka v Edelman,* 40 NY2d 781, 41 NY2d 901; *Waters v New York City Hous. Auth.,* 69 NY2d 225; *Palka v Servicemaster Mgt. Servs. Corp.,* 83 NY2d 579; *De Angelis v Lutheran Med. Ctr.,* 58 NY2d 1053; *Eiseman v State of New York,* 70 NY2d 175; *D'Amico v Christie,* 71 NY2d 76; *Strauss v Belle Realty Co.,* 65 NY2d 399; *Widera v Ettco Wire & Cable Corp.,* 204 AD2d 306, 85 NY2d 804; *McCarthy v Sturm, Ruger & Co., Inc.,* 916 F Supp 366, *affd sub nom. McCarthy v Olin Corp.,* 119 F3d 148; *Port Auth. of N.Y. & N.J. v Arcadian Corp.,* 189 F3d 305.) II. The Legislature, not the judiciary, should decide whether to provide recovery to nonemployees who come into contact with a substance carried by a worker to locations outside the workplace. (*BMW of North America, Inc. v Gore,* 517 US 559; *Forni v Ferguson,* 232 AD2d 176; *Howell v New York Post Co.,* 81 NY2d 115.)

Michaels & Smolak, P.C., Auburn (*Michael G. Bersani* of counsel), for Asbestos Disease Awareness Organization and others, amici curiae. I. Defendant had a duty to take reasonable measures to prevent the foreseeable risks associated with its use of asbestos, including the risk to a family member exposed to "second-hand" asbestos. (*Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.,* 90 NY2d 606; *Eiseman v State of New York,* 70 NY2d 175; *Amchem Products, Inc. v Windsor,* 521 US 591; *Ortiz v Fibreboard Corp.,* 527 US 815.) II. Sound public policy and concepts of fairness require a finding of duty to plaintiffs in this case. (*Codling v Paglia,* 32 NY2d 330; *Ortiz v Fibreboard Corp.,* 527 US 815.) III. Even as the asbestos industry seeks a legislative solution to the alleged asbestos litigation crisis, the courts are the proper forum for determining questions of foreseeability and duty. (*De Angelis v Lutheran Med. Ctr.,* 58 NY2d 1053; *Woods v Lancet,* 303 NY 349.)

OPINION OF THE COURT

READ, J.

We are asked to decide whether the Port Authority of New York and New Jersey (Port Authority) owes a duty of care to plaintiff wife, who was allegedly injured from exposure to asbestos dust that plaintiff husband, a Port Authority employee, introduced into the family home on soiled work clothes that plaintiff wife laundered. We conclude that there is no duty of care.

I.

Plaintiff John Holdampf was employed by the Port Authority from 1960 to 1996 in various blue-collar positions, working at one time or another in most of the Port Authority's 26 locations. Over the course of his 36-year job tenure, he handled asbestos-containing products. The Port Authority issued five uniforms to John Holdampf and offered a laundry service: soiled uniforms placed in a designated stationary cabinet at the workplace were sent offsite for cleaning. About half of the time, however, he opted to bring dirty work clothes home for cleaning for reasons of "[c]onvenience" and because there were no showers available at work.

John Holdampf married plaintiff Elizabeth Holdampf in 1971. As relevant to this appeal, Elizabeth Holdampf testified at her deposition that her husband told her sometime in the 1970s that he handled asbestos at work, and that she was consequently exposed to asbestos when she washed her husband's soiled uniforms.[1] Elizabeth Holdampf was diagnosed with mesothelioma[2] in August 2001.

1. Elizabeth Holdampf testified to several additional sources of potential asbestos exposure. Specifically, she worked for New York Airways Helicopter Service from 1962 to 1973 as a clerk in offices in two hangers at LaGuardia Airport. She thought that she "could have been" exposed to asbestos during her employment at LaGuardia, but she could not identify any asbestos-containing product present in the workplace. Her father was a mechanic who worked on brake linings, and as a child she often met her father when he arrived at the bus stop after work, and carried his bundled, soiled work clothes home; she also helped her mother launder them. As an adult, she assisted in cleaning up scrap when her husband replaced asbestos shingles on the family home's roof and later, when he replaced asbestos siding with vinyl siding. Further, from some time before 1971 until 1996 John Holdampf moonlighted as a self-employed automobile repairman who worked on roughly 100 cars a year. He "replaced worn-out clutches which they turned to powder when you are working on them, [and] brake shoes constantly," usually in the family home's attached garage with the overhead door closed, but sometimes in the driveway. As he described a "brake job," when he disassembled the brake system, it would be "all full of brake dust, brake powders," and "[y]ou clean it with a solvent or, years ago, it used to be a blow gun," which for "[a] minute or two . . . would create a major dust storm."

2. The most common form of mesothelioma, a rare and deadly cancer, affects the pleura, the membrane or sac lining the lungs. According to the

(n. cont'd)

Plaintiffs sued to recover for injuries allegedly caused by exposure to asbestos and asbestos-containing products and/or equipment and materials, naming asbestos manufacturers or suppliers as defendants. On January 4, 2002, plaintiffs filed a second amended complaint, which added the Port Authority as a defendant.

The second amended complaint, which incorporates plaintiffs' attorneys' ''Amended Standard Asbestos Complaint for Personal Injury No. 6,'' sets out seven causes of action—six claims for direct injury sounding in negligence, breach of warranty, products liability, enterprise liability, and violations of Labor Law §§ 200 and 241 (6), and one derivative claim for loss of services and consortium. The first cause of action, which is at issue on this appeal, alleges that defendants ''negligently failed to warn and failed to provide adequate instructions of any potentially safer handling methods which should have been utilized by users, handlers, or other persons who were reasonably and foreseeably known to come into contact with the asbestos-containing products and/or equipment and materials.''

On December 4, 2002, the Port Authority moved for summary judgment to dismiss the complaint,[3] arguing that Elizabeth Holdampf could not recover for direct injuries because exposure to her husband's work clothes at the family home was ''not connected to [her] employment at any Port Authority site.'' The Port Authority relied on *Widera v Ettco Wire & Cable Corp.* (204 AD2d 306 [2d Dept 1994], *lv denied* 85 NY2d 804 [1995] [infant plaintiff may not recover in negligence from father's employer due to injury caused by in utero exposure to toxic chemicals father brought home on his work clothes because employer owes no duty to individuals who are not employees]).

In response, plaintiffs argued that Elizabeth Holdampf was exposed to asbestos that the Port Authority ''negligently permitted to leave its sites,'' and that the Port Authority owes a duty to protect nonemployees from exposure to asbestos. Plaintiffs cited two cases to support their position. The first case, *Baker v*

National Cancer Institute, a history of asbestos exposure at work is reported in about 70% to 80% of all cases; however, mesothelioma has been reported in some individuals without any known exposure to asbestos (*see* <http://www.cancer.gov/cancertopics/factsheet/Sites-Types/mesothelioma>, cached at <http://www.courts.state.ny.us/reporter/webdocs/nci_mesothelioma.htm>).

3. Plaintiffs' brief indicates that ''[a]ll defendants in this case [which include 30 plus manufacturers and suppliers] other than the Port Authority have already settled Plaintiffs' claims.''

Vanderbilt Co. (260 AD2d 750 [3d Dept 1999] [no appeal]), distinguished *Widera* and found that a mine operator can owe a duty to third parties allegedly injured off the mining site by exposure to airborne asbestos-containing talc. The Court relied on 53A Am Jur 2d, Mines and Minerals § 339 (''mining activities will be found to create a nuisance if they cause excessive smoke, fumes, or dust, resulting in damage to crops and vegetation or discomfort to neighboring residents'') and 85 NY Jur 2d, Premises Liability § 270 (addressing a landowner's violation of a statute or regulation). The second case cited by plaintiffs, *Kowalski v Goodyear Tire & Rubber Co.* (841 F Supp 104 [WD NY 1994] [manufacturer of tires owed duty to employee's spouse who allegedly became ill with cancer after exposure to tire chemicals on husband's work clothes]), is a pre-*Widera* decision of a federal court interpreting New York law. Plaintiffs provided documentary evidence to show that the Port Authority knew, as early as 1969 when it was building the World Trade Center, that the spraying of asbestos fireproofing during construction presented a risk of harm to ''bystanders.''

On January 16, 2003, Supreme Court granted the Port Authority's motion for summary judgment in a one-sentence short-form order, ''based on [the] Widera case and absence of duty to plaintiff.'' On December 2, 2004, the Appellate Division modified Supreme Court's order by reinstating plaintiffs' first cause of action in common-law negligence because the Port Authority, which relied ''almost exclusively on the *Widera* rationale that an employer owes no duty of care to nonemployees outside the workplace'' (14 AD3d 112, 116 [1st Dept 2004]), thereby ''failed to demonstrate a lack of duty as a matter of law'' (*id.* at 121 n 2).

In reaching this conclusion, the Appellate Division distinguished *Widera* ''because it involved the unique question of a tortfeasor's liability to an infant for injuries occurring while in utero'' (*id.* at 117); grounded the Port Authority's duty on its status as a landowner; defined the scope of the Port Authority's duty by reference to decisions in other jurisdictions that have held manufacturers and suppliers of asbestos products liable to injured third parties;[4] and limited its holding to ''members of each employee's household who were exposed at home to

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4. We have never considered whether a manufacturer or supplier of an asbestos-containing product is liable for injuries to third parties, or caused by so-called secondhand exposure.

asbestos dust from an employee's workplace clothes, by washing the clothes or otherwise'' (*id.* at 122). The Appellate Division subsequently granted leave and certified the following question to us: ''Was the order of [the Appellate Division], which modified the order of the Supreme Court, properly made?''

II.

As we recently stated in *Hamilton v Beretta U.S.A. Corp.* (96 NY2d 222, 232 [2001]),

> ''[t]he threshold question in any negligence action is: does defendant owe a legally recognized duty of care to plaintiff? Courts traditionally fix the duty point by balancing factors, including the reasonable expectations of parties and society generally, the proliferation of claims, the likelihood of unlimited or insurer-like liability, disproportionate risk and reparation allocation, and public policies affecting the expansion or limitation of new channels of liability. Thus, in determining whether a duty exists, courts must be mindful of the precedential, and consequential, future effects of their rulings, and limit the legal consequences of wrongs to a controllable degree'' (citations and internal quotation marks omitted).

Further, ''[f]oreseeability, alone, does not define duty—it merely determines the scope of the duty once it is determined to exist'' (*id.*; *see also Pulka v Edelman*, 40 NY2d 781, 785 [1976], *rearg denied* 41 NY2d 901 [1977] [''Foreseeability should not be confused with duty. The principle expressed in *Palsgraf v Long Is. R.R. Co*. . . . is applicable to determine the scope of duty—only after it has been determined that there is a duty'']). A specific duty is required because otherwise, a defendant would be subjected ''to limitless liability to an indeterminate class of persons conceivably injured'' by its negligent acts (*Hamilton*, 96 NY2d at 232 [citation and quotation marks omitted]). ''Moreover, any extension of the scope of duty must be tailored to reflect accurately the extent that its social benefits outweigh its costs'' (*id.*).

Hamilton also emphasizes our reluctance to extend liability to a defendant for failure to control the conduct of others. ''This judicial resistance to the expansion of duty grows out of practical concerns both about potentially limitless liability and about the unfairness of imposing liability for the acts of another'' (*id.* at 233). Generally, such a duty may arise only

> ''where there is a relationship either between defendant and a third-person tortfeasor that encompasses defendant's actual control of the third person's actions, or between defendant and plaintiff that requires defendant to protect plaintiff from the conduct of others. Examples of these relationships include master and servant, parent and child, and common carriers and their passengers'' (*id.*).

The ''key'' consideration critical to the existence of a duty in these circumstances is ''that the defendant's relationship with either the tortfeasor or the plaintiff places the defendant in the best position to protect against the risk of harm''; and that ''the specter of limitless liability is not present because the class of potential plaintiffs to whom the duty is owed is circumscribed by the relationship'' (*id.*).

In this case, plaintiffs begin their analysis of duty with a discussion of foreseeability; however, foreseeability bears on the scope of a duty, not whether a duty exists in the first place (*see* discussion at 493). As ''[o]ther factors'' to support a duty running from the Port Authority to Elizabeth Holdampf, plaintiffs adduce two kinds of relationships: the Port Authority's status as an employer and as a landowner.

According to plaintiffs, the Port Authority's status as an employer placed it in a position ''to control or prevent [John Holdampf] from going home with asbestos-contaminated work clothes,'' or at least to give ''warnings to him and its other employees and through them, to the potential victims in their households.'' Plaintiffs also suggest that ''the Port Authority arguably had a relationship to some extent with Elizabeth Holdampf, through her relation as the spouse of one of its employees, who was the 'carrier' of the endangering risk'' because she ''was the beneficiary of various work-related benefits provided by the Port Authority, such as health care, life insurance and a pension, as well as government-provided benefits based on her husband's employment, such as disability or Social Security benefits.''

At common law, an employer owed a duty to provide ''a safe workplace'' (*see Widera*, 204 AD2d at 307). New York has codified this common-law duty at Labor Law § 200, and the duty is limited to employees (*see Mordkofsky v V.C.V. Dev. Corp.*, 76 NY2d 573 [1990] [Labor Law § 200, which codifies an employer's common-law duty, does not extend to individuals who are not employees]). In *Widera*, the Appellate Division properly refused to recognize a cause of action for common-law negligence against an employer for injuries suffered by its employee's family member, allegedly as a result of exposure to toxins brought home from the workplace on the employee's work clothes (*see also Ruffing v Union Carbide Corp.*, 1 AD3d 339 [2d Dept 2003] [following *Widera*, and finding that wife and child allegedly injured by exposure to chemicals on husband's work clothes had no claim against husband's employer]).

This is not a situation where there is a relationship ''between defendant [the Port Authority] and a third-person tortfeasor that encompasses defendant's actual control of the third person's actions'' (*Hamilton*, 96 NY2d at 233), because there is no third-party tortfeasor in this case (*cf. Pulka* [defendant garage owner and third-party tortfeasor customer]; *Purdy v Public Adm'r of County of Westchester*, 72 NY2d 1 [1988] [defendants residential health care facility and its employee-director and third-party tortfeasor patient]; *D'Amico v Christie*, 71 NY2d 76 [1987] [defendant employer and third-party tortfeasor ex-employee]). Nor is this a situation where there is a relationship ''between defendant [Port Authority] and plaintiff [Elizabeth Holdampf] that requires defendant to protect plaintiff from the conduct of others'' (*Hamilton*, 96 NY2d at 233). Specifically, there is no relationship between the Port Authority and Elizabeth Holdampf—much less that of master and servant (employer and employee), parent and child or common carrier and passenger, the examples cited in *Hamilton*.

Although plaintiffs protest that the Port Authority was ''in the best position to protect against the risk of harm'' (*id.*) to Elizabeth Holdampf because it might have compelled John Holdampf to wear clean clothes home from work or to warn Elizabeth Holdampf about the dangers of washing his soiled uniforms, the Port Authority was, in fact, entirely dependent upon John Holdampf's willingness to comply with and carry out such risk-reduction measures. There is no authority suggesting that the Port Authority owed a duty of care to protect Elizabeth Holdampf against its allegedly negligent acts because she was a beneficiary of her husband's work-related benefits, as plaintiffs maintain is ''arguably'' the case.

Although plaintiffs contend otherwise, the cases that they cite from other jurisdictions lend little or no support for the novel employer's duty that they advance. In *Kowalski*, the Federal District Court denied an employer's motion for summary judgment, finding that plaintiffs had supported their allegations of negligence and an employer's duty of care running from the husband's employer to his wife, who allegedly contracted cancer through exposure to her husband's contaminated work clothes. As already noted, however, the court decided this case before the Appellate Division handed down *Widera*. Even more importantly, this case predates our decision in *Hamilton* (*see Kowalski*, 841 F Supp at 110 [while acknowledging that "(t)he rule set out in *Pulka* that a duty must be found before determining its scope through foreseeability is still good law in New York," the court nonetheless proceeded to follow "the more dialectical approach to duty" by factoring foreseeability into the determination of whether a duty existed]).

In *Zimko v American Cyanamid* (905 So 2d 465 [La Ct App, 4th Cir 2005]), plaintiff sued his father's employer claiming injury from exposure to asbestos dust that his father allegedly brought into the family home on his work clothes. The court summarized the Appellate Division's decision in this case, and, without providing an independent analysis, concluded that the father's employer owed a duty of care to the son.

In *CSX Transp., Inc. v Williams* (278 Ga 888, 608 SE2d 208 [2005]), plaintiffs alleged that they were exposed to asbestos on their fathers' or husband's work clothing and sued the employer in negligence. The Supreme Court of Georgia, answering a certified question from the United States Court of Appeals for the Eleventh Circuit, declined to follow the Appellate Division's decision in this case. Instead, Georgia's highest court followed *Widera*, holding that "an employer's duty to provide a safe workplace does not extend to persons outside the workplace" (278 Ga at 892, 608 SE2d at 210).

Plaintiffs alternatively advocate for a duty of care grounded in the Port Authority's status as a landowner. A landowner generally must "exercise reasonable care, with regard to any activities which he carries on, for the protection of those outside of his premises" (Prosser and Keeton, Torts § 57, at 387 [5th ed]). In this regard, the Appellate Division has recognized that a landowner's duty of reasonable care can run to the surrounding community when mining practices carried out on the landowner's property cause the negligent release of toxins into the ambient air (*see Baker*, 260 AD2d 750 [1999]).

As the Port Authority points out, however, the facts alleged in this case are far different from the facts in *Baker*. Here, the Port Authority did not discharge toxins into the atmosphere.

Rather, plaintiffs allege that the Port Authority was aware that asbestos-containing products handled by John Holdampf at work might result in off-site exposure when he left the workplace wearing soiled work clothes, but failed to warn or to provide him with adequate instructions so that he might communicate information about this risk to his spouse.

Plaintiffs also urge us to adopt the reasoning of *Olivo v Exxon Mobil Corp.* (377 NJ Super 286, 872 A2d 814 [Super Ct, App Div 2005], *certification granted* 185 NJ 39, 878 A2d 855 [2005]). There, plaintiff sued Exxon Mobil, the owner of one of the premises where he worked with asbestos-containing products while employed by other entities as a welder/steamfitter. Plaintiff's wife died from mesothelioma, allegedly as a result of her exposure to asbestos while laundering his work clothes.

The intermediate New Jersey appellate court followed the Appellate Division's decision in this case, concluding that Exxon Mobil owed a duty as a landowner. The court reasoned that under New Jersey law, manufacturers and suppliers of asbestos-containing products owe a duty of care to third parties, and that there was no reason not to extend a similar duty to a landowner. As already noted, however, we have never considered whether manufacturers and suppliers of asbestos-containing products owe a duty of care to third parties. Moreover, ''[o]nce the foreseeability of an injured party is established,'' duty comes down to a question of fairness under New Jersey law (377 NJ Super at 295, 872 A2d at 820). The court concluded that Exxon Mobil was in the best position to prevent harm and could have done so easily by providing laundry and shower services. Thus, it was foreseeable that the wife of a worker would be injured by exposure to her husband's work clothes, and fair to impose a duty (*cf.* Nelson, *From Fairness to Efficiency: The Transformation of Tort Law in New York, 1920-1980*, 47 Buff L Rev 117 [1999] [discussing generally the shift in emphasis in New York's tort law from fairness and moral blameworthiness to efficiency and deterrence]).

Olivo is distinguishable legally in that New Jersey, unlike New York, relies heavily on foreseeability in its duty analysis. Moreover, *Olivo* can be distinguished factually in that the landowner did nothing to prevent workers from bringing asbestos-covered clothing into the family home—an important component of that court's duty analysis—whereas here, the Port Authority provided laundry services to John Holdampf, which is relevant under New York law as to whether the Port Authority breached any duty that it may have owed Elizabeth Holdampf.

In sum, plaintiffs are, in effect, asking us to upset our long-settled common-law notions of an employer's and landowner's duties. Plaintiffs assure us that this will not lead to ''limitless liability'' because the new duty may be confined to members of the household of the employer's employee, or to members of the household of those who come onto the landlord's premises. This line is not so easy to draw, however. For example, an employer would certainly owe the new duty to an employee's spouse (assuming the spouse lives with the employee), but probably would not owe the duty to a babysitter who takes care of children in the employee's home five days a week. But the spouse may not have more exposure than the babysitter to whatever hazardous substances the employee may have introduced into the home from the workplace. Perhaps, for example, the babysitter (or maybe an employee of a neighborhood laundry) launders the family members' clothes. In short, as we pointed out in *Hamilton*, the ''specter of limitless liability'' is banished only when ''the class of potential plaintiffs to whom the duty is owed is circumscribed by the relationship'' (*Hamilton*, 96 NY2d at 233). Here, there is no relationship between the Port Authority and Elizabeth Holdampf.

Finally, we must consider the likely consequences of adopting the expanded duty urged by plaintiffs. While logic might suggest (and plaintiffs maintain) that the incidence of asbestos-related disease allegedly caused by the kind of secondhand exposure at issue in this case is rather low, experience counsels that the number of new plaintiffs' claims would not necessarily reflect that reality.

Accordingly, the order of the Appellate Division should be reversed, with costs; the order of Supreme Court reinstated; and the certified question answered in the negative.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur; Chief Judge KAYE taking no part.

Order reversed, etc.

[840 NE2d 577, 806 NYS2d 465]

In the Matter of VISITING NURSE SERVICE OF NEW YORK HOME CARE, Respondent, v NEW YORK STATE DEPARTMENT OF HEALTH et al., Appellants.

Argued October 18, 2005; decided November 17, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered December 9, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Bernard J. Malone, Jr., J.), which, in a proceeding pursuant to CPLR article 78, had granted the petition to annul a determination of respondent Department of Health (DOH) directing recoupment of Medicaid overpayments made to petitioner to the extent of remanding the matter to DOH with a direction that DOH notify petitioner of the patient cases in which it contended that petitioner did not ''take reasonable measures to ascertain the legal liability of third parties to pay for medical care and services'' and provide petitioner with the opportunity to be heard upon those issues and ordering DOH to cease Medicaid recoupments from petitioner arising out of the subject program until the issuance of its final determination upon completion of the hearing. The following question was certified by the Appellate Division: ''Did this Court err, as a matter of law, in affirming the judgment of Supreme Court, which partially granted petitioner's application, in a proceeding pursuant to CPLR article 78, to annul a determination of respondent Department of Health directing recoupment of Medicaid overpayments made to petitioner?''

Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health, 13 AD3d 745, affirmed.

HEADNOTE

Health — Medicaid Reimbursement Payments — Recoupment of Overpayments — Right to Hearing

Based on regulations promulgated by the State Department of Health (DOH), petitioner home health care provider was entitled to notice and an opportunity to be heard before the State acted to recover Medicaid payments it claimed were improperly paid to the provider. 18 NYCRR 518.5 (a) provides that ''when a determination is made that an overpayment has been made, any person from whom recovery is sought is entitled to a notice of the overpayment and an opportunity to be heard,'' and the funds sought to be recovered by DOH herein fell within the broad definition of ''overpayments'' in 18

NYCRR 518.1 (c). Further, because DOH failed to proceed within 90 days of petitioner's request for a hearing, it was properly ordered to cease recoupment pending the administrative hearing (*see* 18 NYCRR 518.8 [b]).

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Welfare Laws §§ 33, 34, 38, 79.

18 NYCRR 518.1 (c), 518.8 (b).

NY JUR 2d, Public Welfare and Old Age Assistance §§ 159, 382.

ANNOTATION REFERENCE

See ALR Index under Medicaid.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: medicaid /s reimburs! recover! /s notice /s opportunity

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POINTS OF COUNSEL

Eliot Spitzer, Attorney General, Albany (*Victor Paladino, Caitlin J. Halligan, Daniel Smirlock* and *Andrea Oser* of counsel), for appellants. I. Visiting Nurse Service of New York Home Care lacks a protected property interest in payments that are expressly made subject to compliance with third-party billing obligations. (*Matter of Daxor Corp. v State of N.Y. Dept. of Health,* 90 NY2d 89, 937, 523 US 1074; *Matter of Astor Gardens Health Care Ctr. v Novello,* 304 AD2d 961; *Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169, 476 US 1115; *Concourse Nursing Home v State of New York,* 1 AD3d 675, 2 NY3d 704; *Alliance of Am. Insurers v Chu,* 77 NY2d 573; *Matter of Medicon Diagnostic Labs. v Perales,* 74 NY2d 539; *St. Joseph's Hosp. Health Ctr. v Department of Health of State of N.Y.,* 247 AD2d 136, 93 NY2d 803; *Gold v United Health Servs. Hosps.,* 95 NY2d 683; *Calvanese v Calvanese,* 93 NY2d 111; *Cricchio v Pennisi,* 90 NY2d 296.) II. Visiting Nurse Service of New York Home Care received all the process due. (*Matter of Daxor Corp. v State of N.Y. Dept. of Health,* 90 NY2d 89; *Matter of Bronx-Lebanon Special Care Ctr. v DeBuono,* 269 AD2d 195, 95 NY2d 752; *Matter of Medicon Diagnostic Labs. v Perales,* 74 NY2d 539; *Mathews v Eldridge,* 424 US 319; *Matter of Astor Gardens Health Care Ctr. v Novello,* 304 AD2d 961; *Jordan Hosp., Inc. v Shalala,* 276 F3d 72, 537 US 812; *St. Joseph's Hosp. Health Ctr. v Department of Health of State of N.Y.,* 247 AD2d 136; *Matter of A.*

Holly Patterson SNF v Chassin, 196 AD2d 155, 83 NY2d 962; *Matter of Rego Park Nursing Home v Perales,* 206 AD2d 781; *Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169.) III. Even if Visiting Nurse Service of New York Home Care was entitled to a hearing, it was error to enjoin the recoupments because Visiting Nurse was entitled only to a postrecoupment hearing. (*Clove Lakes Nursing Home v Whalen,* 45 NY2d 873; *Matter of Fahey v Perales,* 141 AD2d 934; *Matter of White Plains Nursing Home v Axelrod,* 131 AD2d 24; *Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169.)

Manatt, Phelps & Phillips, LLP, Albany (*James W. Lytle* of counsel), for respondent. I. The courts below properly held that appellants deprived Visiting Nurse Service of New York Home Care (VNS) of property without due process when they denied VNS a hearing to contest the recoupment of Medicaid payments. (*Oberlander v Perales,* 740 F2d 116; *Matter of White Plains Nursing Home v Whalen,* 53 AD2d 926; *Furlong v Shalala,* 156 F3d 384; *Rockland Medilabs, Inc. v Perales,* 719 F Supp 1191; *Matter of Astor Gardens Health Care Ctr. v Novello,* 304 AD2d 961; *Matter of Sylcox v Chassin,* 227 AD2d 834; *Matter of Daxor Corp. v State of N.Y. Dept. of Health,* 90 NY2d 89; *Matter of Medicon Diagnostic Labs. v Perales,* 74 NY2d 539; *Board of Regents of State Colleges v Roth,* 408 US 564; *Plaza Health Labs., Inc. v Perales,* 878 F2d 577.) II. Appellants' own regulations preclude appellants from recouping Medicaid funds from health care providers unless reimbursement is actually received from the liable third-party payor. (*State of New York v Hollander,* 245 AD2d 625; *St. Joseph's Hosp. Health Ctr. v Department of Health of State of N.Y.,* 247 AD2d 136; *Matter of Good Shepherd-Fairview Home v Axelrod,* 171 AD2d 317; *Matter of Buffalo Columbus Hosp. v Axelrod,* 165 AD2d 605; *Wesley Health Care Ctr., Inc. v DeBuono,* 244 F3d 280; *James Sq. Nursing Home, Inc. v Wing,* 897 F Supp 682.) III. Federal regulations and policy directives require appellants to seek recovery of payment directly from liable third-party payors and not from health care providers. (*Matter of New York State Assn. of Homes & Servs. for Aging v Perales,* 179 AD2d 296; *Jewish Home & Hosp. for Aged v Wing,* 91 F Supp 2d 593.)

Phillips Lytle LLP, Buffalo (*Lisa McDougall* and *William P. Keefer* of counsel), for Mercy Hospital of Buffalo and others, amici curiae. I. Providers are entitled to a hearing. (*Clove Lakes Nursing Home v Whalen,* 45 NY2d 873; *Allen v Blum,* 85 AD2d 228, 58 NY2d 954; *Mathews v Eldridge,* 424 US 319; *Board of*

Regents of State Colleges v Roth, 408 US 564; *Matter of Bradley v Whalen*, 58 AD2d 664; *Matter of Park Crescent Nursing Home v Whalen,* 55 AD2d 801; *Crane v Axelrod,* 86 AD2d 923; *Washington Nursing Ctr., Inc. v Quern,* 442 F Supp 23; *Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169; *Goldberg v Kelly,* 397 US 254.)

Gleason, Dunn, Walsh & O'Shea, Albany (*Thomas F. Gleason* of counsel), for Home Care Association of New York State, Inc., amicus curiae. I. The Medicaid Maximization program as implemented by appellants deprives providers of due process of law and violates appellants' own regulations. (*Oberlander v Perales,* 740 F2d 116; *Matter of White Plains Nursing Home v Whalen,* 53 AD2d 926; *Furlong v Shalala,* 156 F3d 384; *Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169; *Matter of Astor Gardens Health Care Ctr. v Novello,* 304 AD2d 961; *United States ex rel. Thompson v Columbia/HCA Healthcare Corp.,* 125 F3d 899.) II. The Medicaid Maximization program as implemented by appellants illegally delegates power to the Center for Medicare Advocacy. (*Matter of Schumer v Holtzman,* 60 NY2d 46; *Greater Poughkeepsie Lib. Dist. v Town of Poughkeepsie,* 81 NY2d 574; *Matter of Saumell v New York Racing Assn.,* 58 NY2d 231; *Matter of Fink v Cole*, 302 NY 216.)

OPINION OF THE COURT

GRAFFEO, J.

The issue in this case is whether a home health care provider is entitled to notice and an opportunity to be heard before the State acts to recover Medicaid payments it claims were improperly paid to the provider. Based on regulations promulgated by the New York State Department of Health, we agree with the courts below that a hearing must be held regarding recoupment of the Medicaid funds in dispute.

Medicare and Medicaid are two primary sources of payment for home health care services rendered by providers such as petitioner Visiting Nurse Service of New York Home Care (VNS). There are, however, significant differences between these government-sponsored programs. Medicare is a federal program that provides reimbursement for the medical expenses of persons eligible for Social Security benefits; it is administered exclusively by the United States Department of Health and Human Services (*see* Social Security Act tit XVIII [42 USC § 1395 *et seq.*]). Providers submit claims to the federal agency's fiscal intermediary for evaluation (*see* 42 CFR 424.32 [a] [1]) and this assessment process uses criteria established by federal law and regulations. Providers can pursue an administrative appeal procedure for rejected claims (*see e.g.* 42 CFR 405.710 *et seq.*; 42 CFR 405.724).

The Medicaid program pays for medical and health services supplied to individuals who fall below a certain income threshold (*see* Social Security Act tit XIX [42 USC § 1396 *et seq.*]). Unlike Medicare, which is fully funded by the federal government, in New York, the State and its counties contribute to the payment of Medicaid-eligible claims (*see* 42 USC § 1396a [a] [2]; §§ 1396b, 1396d [b]). Because of this joint participation, in addition to providing Medicaid coverage for an array of medical and health services specified under federal law, a state may establish its own eligibility criteria, expand the types of services that qualify for coverage and set rates for reimbursement (*see generally* 42 USC § 1396d [a]; § 1396o [c] [1]; [d]; § 1396r-1 [a]; 42 CFR 440.225, 460.2 [b]).

Health care providers file Medicaid reimbursement claims with the New York State Department of Health (DOH) in accordance with state law and regulations (*see* Public Health Law § 201 [1] [v]; Social Services Law § 363-a [1]). Medicaid is referred to as a " 'payor of last resort' " under federal law because other potential sources of payment, such as Medicare, must be exhausted before claims are paid by Medicaid (*Gold v United Health Servs. Hosps.*, 95 NY2d 683, 690-691 [2001], quoting S Rep No. 146, 99th Cong, 2d Sess, at 1, 312, reprinted in 1986 US Code Cong & Admin News, at 42, 279; *see* 42 USC § 1396a [a] [25]). Accordingly, participating providers are required to determine whether health care expenses can be submitted in the first instance to Medicare or some other payor before submission to Medicaid (*see* 18 NYCRR 540.6 [e] [1], [2], [6]). This assessment is particularly critical for persons who are dually eligible for health services under both Medicare and Medicaid.

At the time of Medicaid claim submission, the State does not know what efforts were taken by providers to secure payment from other sources, including Medicare. Medicaid claims are therefore subject to postpayment review through the Medicaid Maximization program (MedMax). New York has contracted with a private entity—the Center for Medicare Advocacy (CMA)—to perform MedMax claim eligibility review. CMA is charged with evaluating whether health care claims that were paid by Medicaid should have been submitted for reimbursement to Medicare or another payor. If CMA identifies improperly disbursed payments, it assists DOH in recovering the funds previously paid to providers.

During the time frame relevant to this appeal (October 1993 to September 1998), VNS billed Medicaid for approximately $1.7 billion in health care services. After conducting the Med-Max review and finding that certain recipients were dually eligible, CMA concluded that $38.2 million of those Medicaid payments should have qualified for reimbursement by Medicare or other third-party payors. Upon resubmission to Medicare, the federal program paid about $28.4 million to VNS and, in turn, VNS refunded an almost identical amount to the State to satisfy the improper Medicaid charges. Medicare did not, however, accept the remaining approximately $10 million of VNS claims because too much time had elapsed from the date the health care services were rendered,[1] or due to errors by the provider. These so-called ''provider liability'' claims—those disputed Medicaid payments for which VNS was not able to receive compensation by Medicare or another payor—are the subject of this dispute.

DOH began to offset the outstanding $10 million in alleged improper Medicaid payments by withholding other Medicaid revenue due VNS. As a consequence, by December 2002, DOH had recouped over $2 million. VNS responded by initiating this CPLR article 78 proceeding challenging the State's withholding of Medicaid funds, asserting that it was not obligated to repay Medicaid unless it had actually received payment for the services provided from Medicare or some other source. VNS also contested DOH's recoupment procedures on the ground that no administrative hearing had been available for VNS to contest DOH's actions.

Supreme Court granted the provider's petition, concluding that VNS had a property interest in the Medicaid payments that was protected by due process and, as such, DOH was required to conduct a hearing before recovering Medicaid funds from VNS. The Appellate Division affirmed, similarly ruling that VNS was entitled to a hearing to determine if reasonable measures had been undertaken to assess whether the disputed claims were eligible for payment by Medicare or other third-

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1. Medicare regulations deem a claim to be timely if it is submitted by the end of the calendar year that follows the fiscal year during which the health care service was provided (i.e., a service provided during fiscal year 2000-2001 had to be submitted by December 31, 2002) (*see* 42 CFR 424.44 [a]).

party payors before submission to Medicaid. State recoupment efforts were stayed by the Court because DOH had failed to comply with its own regulatory time frames for conducting hearings. The Appellate Division did, however, agree with DOH's contention that recoupment of provider liability claims was permissible in those instances where VNS failed to engage in reasonable efforts to ascertain whether services were Medicaid-eligible and to satisfy any conditions of approval by that program. Upon the Appellate Division's certification of a question to us,[2] we conclude that a hearing must be held on the issue of whether VNS took reasonable measures to ensure the proper designation and processing of claims.

DOH argues that notice and an opportunity to be heard need not be provided to VNS before recoupment efforts are undertaken because Medicaid payments to home health care providers are conditional pending postpayment MedMax review. But this contention is inconsistent with the regulatory scheme promulgated by DOH. Nothing in the relevant regulations indicates that payments to home health care providers are contingent on postpayment audits (*see* 18 NYCRR 505.23 [e]; *see also* 18 NYCRR parts 517, 518, 519). DOH's reliance on the regulatory provisions that govern payments to nursing homes is misplaced since those regulations specifically state that reimbursement rates are ''provisional'' until an ''audit is performed and completed'' (10 NYCRR 86-2.7; *see Matter of Cortlandt Nursing Home v Axelrod*, 66 NY2d 169, 178-179 [1985]). A similar condition does not appear in the regulations pertaining to home health care providers (*see* 18 NYCRR 505.23 [e]).

Instead, the regulations that cover home health care providers state that if DOH ''determine[s] that any person has submitted or caused to be submitted claims for medical care, services or supplies for which payment should not have been made, it may require repayment of the amount determined to have been overpaid'' (18 NYCRR 518.1 [b]). ''Overpayment'' is defined as ''any amount not authorized to be paid under the medical assistance program, whether paid as the result of inaccurate or improper cost reporting, improper claiming, unacceptable prac-

2. The Appellate Division, Third Department, asked: ''Did this Court err, as a matter of law, in affirming the judgment of Supreme Court, which partially granted petitioner's application, in a proceeding pursuant to CPLR article 78, to annul a determination of respondent Department of Health directing recoupment of Medicaid overpayments made to petitioner?''

tices, fraud, abuse or mistake'' (18 NYCRR 518.1 [c]). ''[W]hen a determination is made that an overpayment has been made, any person from whom recovery is sought is entitled to a notice of the overpayment and an opportunity to be heard'' (18 NYCRR 518.5 [a]) unless ''the department or its fiscal agent adjusts or denies a claim prior to payment or withholds payment pursuant to a notice of withholding'' (18 NYCRR 518.5 [b]).

DOH contends that its ''overpayment'' definition is a term of art that it has interpreted to exclude provider liability claims and, consequently, VNS does not have a right to a hearing under 18 NYCRR 518.5 (a). Although it is true that an agency's interpretation of its own regulation generally is entitled to deference, courts are not required to embrace a regulatory construction that conflicts with the plain meaning of the promulgated language (*see Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal*, 3 NY3d 337, 342 [2004]). The funds sought to be recovered by DOH fall within the broad definition of ''overpayment'' in 18 NYCRR 518.1 (c) and, therefore, deference to DOH's interpretation is not warranted under the circumstances. As a result, VNS has the right to ''notice of the overpayment and an opportunity to be heard'' on the issue of overpayment recoupment (18 NYCRR 518.5 [a]; *see* 18 NYCRR 519.4 [a]).[3]

We next address whether DOH was properly ordered to cease recoupment pending the administrative hearing. VNS concedes that, as a general proposition, DOH is not required to conduct a hearing prior to seeking recoupment of Medicaid funds (*see Clove Lakes Nursing Home v Whalen*, 45 NY2d 873, 875 [1978]). Departmental regulations permit recoupment efforts to commence prior to a hearing (*see* 18 NYCRR 518.8). Significantly, the same regulation further provides that ''if the department is unable to proceed within 90 days of receipt of [a] request [for a hearing], any recovery . . . will be stayed pending the commencement of the hearing'' and ''any delays . . . occasioned by or attributable to the department will forestall the commencement or continuation of recoupment'' (18 NYCRR 518.8 [b]). In light of DOH's failure to comply with the prescribed 90-day time frame, it was properly barred from continuing to withhold the Medicaid payments in this case pending an administrative hearing.

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3. It is unnecessary for us to address DOH's argument that due process is satisfied by the MedMax review procedure because a distinct administrative hearing is compelled by the cited regulations.

As the courts below also concluded, the purpose of the hearing will be to consider whether VNS should be relieved of its obligation to repay the contested Medicaid claims. A health care provider is not required to reimburse DOH for services that were paid by Medicaid if the provider ''produce[s] acceptable documentation to the department that the provider reasonably attempted to ascertain and satisfy any conditions of approval or other claiming requirements of liable third-party payors'' (18 NYCRR 540.6 [e] [6]). Whether a provider satisfies this test requires examination of both the provider's initial assessment that a claim was not eligible for Medicare or other third-party reimbursement and its actions after being notified that a Medicaid-reimbursed claim should be resubmitted to a different payor. At the hearing, the burden will be on VNS to prove that it acted reasonably when it decided to submit the claims at issue to Medicaid rather than to Medicare or other payors and when it was subsequently notified by CMA that certain claims should be resubmitted for Medicare reimbursement eligibility. Recoupment by DOH is prohibited only with respect to claims for which VNS acted reasonably in both instances.

Finally, VNS asks us to decide whether federal law precludes DOH from seeking reimbursement for provider liability claims. VNS, however, did not cross-move to appeal and therefore may not obtain affirmative relief in this Court (*see 511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144, 151 n 3 [2002]).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the negative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, etc.

[840 NE2d 563, 806 NYS2d 451]

CHRISTOPHER HIRALDO, an Infant, by His Mother and Natural Guardian, ALEXANDRIA HIRALDO, et al., Appellants, v ALLSTATE INSURANCE COMPANY, Respondent, et al., Defendants.

Argued September 15, 2005; decided October 25, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 1, 2004. The Appellate Division affirmed an order of the Supreme Court, Kings County (Lewis L. Douglass, J.), which had denied plaintiffs' motion for summary judgment, deemed defendant Allstate Insurance Company's answer to include collateral estoppel as a defense, and granted defendant Allstate Insurance Company's cross motion for summary judgment dismissing the complaint as against it.

Hiraldo v Allstate Ins. Co., 8 AD3d 230, affirmed.

HEADNOTE

Insurance — Liability Insurance — Noncumulation Clause

In an action to recover from defendant insurer payment of the full $700,000 judgment rendered against its insured in the underlying lead paint exposure litigation, defendant insurer was only obligated to pay $300,000, the liability limit of its one-year policy, even though plaintiff was allegedly exposed to lead paint continuously during the terms of all three one-year policies issued by defendant to its insured. Each policy included a ''noncumulation clause'' which stated that ''[r]egardless of the number of . . . policies involved, [defendant's] total liability under Business Liability Protection coverage for damages resulting from one loss will not exceed the [$300,000] limit of liability.'' Successive policy limits may not be cumulatively applied to a single loss where, as here, the policies clearly provide otherwise.

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By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1524–1526.
COUCH ON INSURANCE (3d ed) §§ 172:12, 201:6.
NY JUR 2d, Insurance §§ 1999, 2043, 2045.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

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Database: NY-ORCS

POINTS OF COUNSEL

Mirman, Markovits & Landau, P.C., New York City (*Ephrem J. Wertenteil* of counsel), for appellants. I. Plaintiff is entitled to the proceeds from each policy period that he continued to be exposed to lead paint. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.,* 98 NY2d 208; *Serio v Public Serv. Mut. Ins. Co.,* 304 AD2d 167; *United States Liab. Ins. Co. v Farley,* 215 AD2d 371; *American Empire Ins. Co. v PSM Ins. Cos.,* 259 AD2d 341; *General Acc. Ins. Co. of Am. v IDBAR Realty,* 229 AD2d 515.) II. The policy intends to limit stacking of the policy limits for only one policy period. III. Reasonable expectation analysis supports appellants' interpretation of the policy. (*Guardian Life Ins. Co. of Am. v Schaefer,* 70 NY2d 888; *Matter of Mostow v State Farm Ins. Cos.,* 88 NY2d 321; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Farmington Cas. Co.,* 1 Misc 3d 671; *Matter of Midland Ins. Co.,* 269 AD2d 50.)

Shapiro, Beilly, Rosenberg, Aronowitz, Levy & Fox, LLP, New York City (*Barry I. Levy* and *Beth Shapiro* of counsel), for respondent. I. Principles involving the trigger of coverage and the allocation of risk are not relevant to the determination of this appeal. (*Greenidge v Allstate Ins. Co.,* 312 F Supp 2d 430; *Matter of Midland Ins. Co.,* 164 Misc 2d 363, 269 AD2d 50; *Northville Indus. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.,* 89 NY2d 621; *Technicon Elecs. Corp. v American Home Assur. Co.,* 74 NY2d 66; *United States Liab. Ins. Co. v Farley,* 215 AD2d 371; *American Empire Ins. Co. v PSM Ins. Cos.,* 259 AD2d 341; *General Acc. Ins. Co. of Am. v IDBAR Realty Corp.,* 229 AD2d 515; *Sybron Transition Corp. v Security Ins. of Hartford,* 258 F3d 595; *Insurance Co. of N. Am. v Forty-Eight Insulations, Inc.,* 633 F2d 1212; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.,* 98 NY2d 208.) II. Appellants' proposed interpretation of the Allstate Insurance Company policy is not consistent with the actual language of the insuring agreement. (*Johnson v Travelers Ins. Co.,* 269 NY 401; *Newmont Mines Ltd. v Hanover Ins. Co.,* 784 F2d 127; *Champion Intl. Corp. v Continental Cas. Co.,* 546 F2d 502; *Uniroyal, Inc. v Home Ins. Co.,* 707 F Supp 1368; *Michaels v Mutual Mar. Off., Inc.,* 472 F Supp 26; *Appalachian Ins. Co. v Liberty Mut. Ins. Co.,* 676 F2d 56; *South Rd. Assoc., LLC v International Bus. Machs. Corp.,* 4 NY3d 272; *Matter of Westmoreland Coal Co. v Entech, Inc.,* 100 NY2d 352; *Matter of Midland Ins. Co.,* 269 AD2d 50; *Greenidge v Allstate*

Ins. Co., 312 F Supp 2d 430.) III. The noncumulation clause within the Allstate Insurance Company policy is clear and unambiguous. (*Seiden Assoc., Inc. v ANC Holdings, Inc.,* 959 F2d 425; *Bethlehem Steel Co. v Turner Constr. Co.,* 2 NY2d 456; *Aetna Cas. & Sur. Co. v Aniero Concrete Co., Inc.,* 404 F3d 566; *Government Empls. Ins. Co. v Kligler,* 42 NY2d 863; *United States Fid. & Guar. Co. v Annunziata,* 67 NY2d 229; *Maurice Goldman & Sons v Hanover Ins. Co.,* 80 NY2d 986; *Greenidge v Allstate Ins. Co.,* 312 F Supp 2d 430; *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.,* 3 NY3d 577; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *County of Columbia v Continental Ins. Co.,* 83 NY2d 618.)

Levy, Phillips & Konigsberg, LLP, New York City (*Philip Monier, III,* of counsel), for Levy, Phillips & Konigsberg, LLP, amicus curiae. I. The subject policy provision is ambiguous and should be construed in favor of coverage. (*Home Ins. Co. v American Home Prods. Corp.,* 75 NY2d 196; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Farmington Cas. Co.,* 1 Misc 3d 671; *Serio v Public Serv. Mut. Ins. Co.,* 304 AD2d 167; *American Home Prods. Corp. v Liberty Mut. Ins. Co.,* 565 F Supp 1485, 748 F2d 760; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.,* 98 NY2d 208; *Greenidge v Allstate Ins. Co.,* 312 F Supp 2d 430.) II. The term ‘‘one accidental loss’’ can either mean all continuous exposure during the policy period or all continuous exposure from the beginning of time. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.,* 98 NY2d 208; *Greenidge v Allstate Ins. Co.,* 312 F Supp 2d 430; *Matter of Midland Ins. Co.,* 269 AD2d 50; *Sincoff v Liberty Mut. Fire Ins. Co.,* 11 NY2d 386; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.,* 60 NY2d 390.) III. Although policy form AU2069 prevents payment of concurrent policies, the policy does not contain a noncumulation clause or other language which would allow Allstate Insurance Company to avoid its obligation to pay successive policies. (*K. Bell & Assoc., Inc. v Lloyd’s Underwriters,* 97 F3d 632; *Readco, Inc. v Marine Midland Bank,* 81 F3d 295; *Alexander & Alexander Servs., Inc. v These Certain Underwriters at Lloyd’s, London,* 136 F3d 82; *Lightfoot v Union Carbide Corp.,* 110 F3d 898; *Seiden Assoc., Inc. v ANC Holdings, Inc.,* 959 F2d 425; *McCostis v Home Ins. Co. of Ind.,* 31 F3d 110; *Morgan Stanley Group, Inc. v New England Ins. Co.,* 225 F3d 270; *Matter of Midland Ins. Co.,* 269 AD2d 50; *Endicott Johnson Corp. v Liberty Mut. Ins. Co.,* 928 F Supp 176; *Champion Intl. Corp. v Liberty Mut. Ins. Co.,* 701 F Supp 409.)

Rivkin Radler LLP, Uniondale (*Evan Krinick, Alan Eagle,* *Cheryl Korman* and *Jason Gurdus* of counsel), for Property Casualty Insurers Association of America and another, amici curiae. The noncumulation clause in the Allstate Insurance Company policies expressly limits coverage to one policy limit. (*Matter of Midland Ins. Co.,* 269 AD2d 50; *Champion Intl. Corp. v Liberty Mut. Ins. Co.,* 701 F Supp 409, 758 F Supp 127; *Uniroyal, Inc. v Home Ins. Co.,* 707 F Supp 1368; *Michaels v Mutual Mar. Off., Inc.,* 472 F Supp 26; *Greenidge v Allstate Ins. Co.,* 312 F Supp 2d 430; *Shared-Interest Mgt. v CNA Fin. Ins. Group,* 283 AD2d 136, 97 NY2d 701; *Endicott Johnson Corp. v Liberty Mut. Ins. Co.,* 928 F Supp 176, 116 F3d 53; *Sybron Transition Corp. v Security Ins. of Hartford,* 258 F3d 595; *Continental Cas. Co. v Rapid-American Corp.,* 80 NY2d 640; *Greater N.Y. Mut. Ins. Co. v Royal Ins. Co.,* 238 AD2d 261.)

OPINION OF THE COURT

R.S. SMITH, J.

Allstate Insurance Company issued a $300,000 liability policy for a term of one year. Upon its expiration, the policy was renewed for another year, and then again for a third. Plaintiff Christopher Hiraldo was allegedly exposed to lead paint continuously during the terms of all three policies. The question is whether, if that allegation is true, the available insurance coverage is $300,000 or $900,000.

The clear language of the policies answers the question: the exposure caused only a single loss, and Allstate's liability is limited to $300,000, even though several policies are involved.

Facts and Procedural History

Christopher was born on August 21, 1990, and lived with his mother, plaintiff Alexandria Hiraldo, at 156 Norwood Avenue in Brooklyn until November 1993. Plaintiffs allege that Christopher was exposed to lead paint throughout the time he lived in the building, and suffered neurological injuries as a result.

Allstate provided the owners of the building with liability coverage. The first of the policies at issue here took effect on February 15, 1991, and its ''policy period'' extended for one year. A second one-year policy became effective on February 15, 1992 and a third on February 15, 1993. Each policy provided $300,000 in liability coverage, and the policies were identical in all other relevant respects. Each policy provided: ''This policy applies only to losses which occur during the policy period, as shown on the declarations page.'' Each also included a so-called ''noncumulation clause,'' as follows:

> "Regardless of the number of insured persons, injured persons, claims, claimants or *policies* involved, our total liability under Business Liability Protection coverage for damages resulting from one loss will not exceed the limit of liability for Coverage X shown on the declarations page. All bodily injury, personal injury and property damage resulting from one accident or from continuous or repeated exposure to the same general conditions is considered the result of one loss." (Emphasis added.)

Christopher and his mother sued their landlords for Christopher's injuries, and obtained judgments totaling approximately $700,000. Allstate paid $300,000 into court, and asserted that that payment discharged its liability. Plaintiffs disagreed and brought this action to recover from Allstate the rest of the landlords' obligation. Supreme Court granted summary judgment dismissing the complaint, and the Appellate Division affirmed. We granted leave to appeal, and now affirm.

Discussion

Christopher's injuries allegedly resulted from "continuous . . . exposure to the same general conditions" and so from "one loss" within the meaning of each policy. Plaintiffs contend, however, that, since the loss occurred during each of three policy periods, and each policy applies "to losses which occur during the policy period," Allstate is liable up to its policy limit under each policy. We disagree.

But for the noncumulation clause in the policies, this would be a difficult case. Intuitively it does not seem right that an insurer that never issued more than $300,000 in coverage could be liable for $900,000 for a single loss. Thus, an Appellate Division case involving claims for exposure to asbestos holds that "the limit of liability, where an insurer has issued renewal policies, shall be the policy limits for one policy" (*Matter of Midland Ins. Co.*, 269 AD2d 50, 60 [1st Dept 2000]). Yet this result is also counterintuitive: If each of the successive policies had been written by a different insurance company, presumably each insurer would be liable up to the limits of its policy. Why should plaintiffs recover less money because the same insurer wrote them all? Some courts have held that successive policy limits may be cumulatively applied to a single loss, where the policies do not clearly provide otherwise. (*National Union Fire Ins. Co.*

of Pittsburgh, Pa. v Farmington Cas. Co., 1 Misc 3d 671 [Sup Ct, NY County 2003]; *Riley v United Servs. Auto. Assn.*, 161 Md App 573, 871 A2d 599 [Ct Spec App 2005].)

But here, the policies do clearly provide otherwise. The noncumulation clause says that ''[r]egardless of the number of . . . policies involved, [Allstate's] total liability under Business Liability Protection coverage for damages resulting from one loss will not exceed the limit of liability . . . shown on the declarations page.'' That limit is $300,000, and thus Allstate is liable for no more. We agree with the recent decisions of three Federal District Court judges, applying New York law and interpreting identical policy language, that the noncumulation clause is fatal to plaintiffs' claim (*see Bahar v Allstate Ins. Co.*, 2004 WL 1782552, 2004 US Dist LEXIS 15612 [SD NY, Aug. 9, 2004]; *Greene v Allstate Ins. Co.*, 2004 WL 1335927, 2004 US Dist LEXIS 10860 [SD NY, June 15, 2004]; *Greenidge v Allstate Ins. Co.*, 312 F Supp 2d 430 [SD NY 2004]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, with costs.

[840 NE2d 565, 806 NYS2d 453]

CHERYL ANDREA et al., Appellants, v ARNONE, HEDIN, CASKER, KENNEDY AND DRAKE, ARCHITECTS AND LANDSCAPE ARCHITECTS, P.C. (HABITERRA ASSOCIATES) et al., Defendants, and TIEDE-ZOELLER, INC., Respondent. (Action No. 1.)

MARK FOSTER et al., Appellants, v JAMESTOWN PUBLIC SCHOOLS et al., Respondents, et al. Defendants. (Action No. 2.)

Argued September 13, 2005; decided October 27, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 14, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Chautauqua County (Joseph Gerace, J.), which had denied the motions and cross motions of defendants Arnone, Hedin, Casker, Kennedy and Drake, Architects and Landscape Architects, P.C. (Habiterra Associates), Atomized Materials Co., Inc., Color Technics Co., Inc., DAP, Inc., Henderson-Johnson, Inc., Hercules Incorporated, Nichter Construction Co., Inc., and Aramark/ServiceMaster Management Services Limited Partnership to dismiss the amended complaints against them, granted plaintiffs' cross motion to extend the time to file proof of service against those defendants, and granted plaintiffs an extension of time to serve defendant Foam Enterprises, Inc., (2) granted the defendants' motions and cross motions, (3) dismissed the amended complaints against them, and (4) vacated the provision in the order granting plaintiffs an extension of time to serve defendant Foam Enterprises, Inc.

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 14, 2004. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 13, 2003. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Chautauqua County (Joseph Gerace, J.), which had denied the motion of defendant Tiede-Zoeller, Inc. and the cross motion of defendant Jamestown Public Schools to dismiss the complaints against them, and granted plaintiffs an extension of time to complete service, (2) granted the defendants' motion and cross motion, and (3) dismissed the complaints against them.

Andrea v Arnone, Hedin, Casker, Kennedy & Drake, Architects & Landscape Architects, P.C., 8 AD3d 1080, affirmed.

HEADNOTE

Limitation of Actions — Commencement of Action after Termination of Prior Action — Dismissal for Neglect to Prosecute — Failure to Comply with Discovery Orders

Plaintiffs were not entitled to commence new actions pursuant to CPLR 205 (a) after the statute of limitations had expired and after their previous actions had been dismissed for their failure to comply with discovery orders. CPLR 205 (a) allows a plaintiff whose action was timely commenced but terminated in any manner other than certain enumerated exceptions to commence a new action upon the same transaction or occurrence even though the statute of limitations has expired. An action that was dismissed ''for neglect to prosecute'' is one of the exceptions, and here the dismissal of plaintiffs' prior actions for failure to comply with discovery orders and a series of discovery defaults over a four-year period constituted a dismissal for neglect to prosecute.

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Am Jur 2d, Limitation of Actions §§ 171, 172, 297.
Carmody-Wait 2d, Limitation of Actions §§ 13:415, 13:430.
McKinney's, CPLR 205 (a).
NY Jur 2d, Limitations and Laches §§ 314, 328.
Siegel, NY Prac § 52.

ANNOTATION REFERENCE

See ALR Index under Discovery; Limitation of Actions.

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POINTS OF COUNSEL

Lewis & Lewis, P.C., Buffalo (*Allan M. Lewis* and *Emily L. Downing* of counsel), for appellants. CPLR 205 (a) grants plaintiffs the right to refile these actions. (*Gaines v City of New York,* 215 NY 533; *Schuman v Hertz Corp.,* 17 NY2d 604; *George v Mt. Sinai Hosp.,* 47 NY2d 170; *Moran v Rynar,* 39 AD2d 718; *Neyra Y Alba v Pelham Foods,* 46 AD2d 760; *Paoli v Sullcraft Mfg. Co.,* 104 AD2d 333; *Carven Assoc. v American Home Assur. Corp.,* 84 NY2d 927; *Maitland v Trojan Elec. & Mach. Co.,* 65 NY2d 614.)

Nixon Peabody LLP, Buffalo (*Laurie Styka Bloom* of counsel); *Sugarman Law Firm, LLP,* Syracuse (*Timothy J. Perry* of counsel); *Elbert Hargesheimer, III,* Hamburg; *Hagerty & Brady,* Buffalo (*Thomas V. Hagerty* of counsel); *Feldman, Kieffer & Herman, LLP* (*Mark S. Nemeth* of counsel); *Quinn, McGarry, Caffery & Patricia, P.C.* (*John P. Quinn, Jr.* of counsel); *Colucci & Gallaher, PC* (*Todd C. Bushway* of counsel); *Brown & Kelly, LLP* (*Mark J. Schaefer* of counsel); *Kenney, Shelton, Liptak & Nowak, LLP* (*Thomas E. Liptak* of counsel) and *Hinshaw & Culbertson,* Chicago, Illinois (*Carlton D. Fisher* of counsel), for Arnone, Hedin, Casker, Kennedy and Drake, Architects and Landscape Architects, P.C. (Habiterra Associates) and others, respondents. I. CPLR 205 (a) does not apply and provides no basis for relief to plaintiffs. (*Poulos v U-Haul Intl.,* 303 AD2d 480; *Schmidt v Merchants Despatch Transp. Co.,* 270 NY 287, 271 NY 531; *Snyder v Town Insulation,* 81 NY2d 429; *Consorti v Owens-Corning Fiberglas Corp.,* 86 NY2d 449; *MacIntosh v Bronzo,* 302 AD2d 434; *Williams v Jian Chu Yu,* 207 AD2d 442; *Ivory v Ekstrom,* 98 AD2d 763; *Alaimo v Velco Enters.,* 234 AD2d 325; *Ginsberg v City of Long Beach,* 191 AD2d 478; *Kelly v Rosenthal,* 176 AD2d 283, 79 NY2d 751.) II. Plaintiffs failed to meet any of the conditions precedent to application of CPLR 205. (*Lehman Bros. v Hughes Hubbard & Reed,* 92 NY2d 1014; *Cheney v National Sur. Corp.,* 256 App Div 1041, 283 NY 603; *Dorst v Eggers Partnership,* 265 AD2d 294; *Pyne v 20 E. 35 Owners Corp.,* 267 AD2d 168; *Slate v Schiavone Constr. Co.,* 4 NY3d 816; *Brill v City of New York,* 2 NY3d 648; *Miceli v State Farm Mut. Auto. Ins. Co.,* 3 NY3d 725.)

Dean Law Firm P.C., Grand Island (*Robert A. Dean* of counsel), for Tiede-Zoeller, Inc., respondent. I. Plaintiffs-appellants are not entitled to reinstitute their actions since their prior actions were dismissed for their willful and repeated refusal to obey court orders directing disclosure. (*Kihl v Pfeffer,* 94 NY2d 118; *Keel v Parke, Davis & Co.,* 50 NY2d 833; *Flans v Federal Ins. Co.,* 43 NY2d 881; *Alaimo v Velco Enters.,* 234 AD2d 325; *Williams v Jian Chu Yu,* 207 AD2d 442; *Kelly v Rosenthal,* 176 AD2d 283; *Ivory v Ekstrom,* 98 AD2d 763; *Carven Assoc. v American Home Assur. Corp.,* 84 NY2d 927; *Schuman v Hertz Corp.,* 17 NY2d 604; *Brill v City of New York,* 2 NY3d 648.) II. Plaintiffs-appellants in any event failed to comply with CPLR 205 by failing to file and serve their refiled complaints within six months after dismissal of the prior actions. (*Pyne v 20 E. 35 Owners Corp.,* 267 AD2d 168; *Silber v Stein,* 287 AD2d 494.)

Hodgson Russ LLP, Buffalo (*Jason E. Markel* of counsel), for

Jamestown Public Schools, respondent. I. Plaintiffs' actions are barred by the statute of limitations. (*Poulos v U-Haul Intl.,* 303 AD2d 480; *Matter of Seekings v Jamestown Pub. School Sys.,* 224 AD2d 942; *Schmidt v Merchants Despatch Transp. Co.,* 270 NY 287, 271 NY 531; *Snyder v Town Insulation,* 81 NY2d 429.) II. CPLR 205 (a) does not permit plaintiffs to refile their previously dismissed actions because they were dismissed for neglect to prosecute. (*Carven Assoc. v American Home Assur. Corp.,* 84 NY2d 927; *MacIntosh v Bronzo,* 302 AD2d 434; *Williams v Jian Chu Yu,* 207 AD2d 442; *Alaimo v Velco Enters.,* 234 AD2d 325; *Ivory v Ekstrom,* 98 AD2d 763; *Kelly v Rosenthal,* 176 AD2d 283, 79 NY2d 751; *Scharlack v Richmond Mem. Hosp.,* 144 AD2d 354; *O'Connell v Pizza Time of N.Y.,* 176 AD2d 1233, 79 NY2d 752; *Flans v Federal Ins. Co.,* 43 NY2d 881; *Keel v Parke, Davis & Co.,* 72 AD2d 546, 50 NY2d 833.) III. CPLR 205 (a) does not permit plaintiffs to refile their previously dismissed actions because plaintiffs' actions are barred by res judicata which constituted dismissals on the merits. (*Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.,* 93 NY2d 375; *Strange v Montefiore Hosp. & Med. Ctr.,* 59 NY2d 737; *Jones v Maphey,* 50 NY2d 971; *Cummings v St. Joseph's Hosp. Health Ctr.,* 130 AD2d 957; *Colon v New York City Health & Hosps. Corp.,* 166 AD2d 291; *Barber v Pfeiffer,* 261 AD2d 495; *Corsini v U-Haul Intl.,* 234 AD2d 107, 90 NY2d 978; *Strange v Montefiore Hosp. & Med. Ctr.,* 59 NY2d 737; *Barrett v Kasco Constr. Co.,* 56 NY2d 830; *Kalkan v Nyack Hosp.,* 227 AD3d 382, 88 NY2d 814.) IV. Plaintiffs failed to meet their burden to establish compliance with CPLR 205 (a). (*Massie v Crawford,* 78 NY2d 516; *Matter of Aronsky v Board of Educ., Community School Dist. No. 22 of City of N.Y.,* 75 NY2d 997; *Siler v Lutheran Social Servs. of Metro. N.Y.,* 10 AD3d 646; *Park Assoc. v Crescent Park Assoc.,* 159 AD2d 460; *Sweet v Austin,* 226 AD2d 942, 88 NY2d 811; *Steo v Cucuzza,* 213 AD2d 624; *Duran v Mendez,* 277 AD2d 348; *Savarese v Shatz,* 273 AD2d 219; *Merriman v Sherwood,* 204 AD2d 998; *Doyon v Bascom,* 38 AD2d 645.) V. Special Term abused its discretion in sua sponte permitting plaintiffs an opportunity to make prima facie submissions in an effort to comply with the disclosure orders in the prior *Andrea* actions. VI. Plaintiffs failed to establish a prima facie case in admissible form. (*Walker v Town of Lockport,* 109 AD2d 1102, 65 NY2d 840; *Jones v First Fed. Sav. & Loan Assn. of Rochester,* 101 AD2d 1005; *Matter of Levenson,* 289 AD2d 577; *Yepez v Damico,* 239 AD2d 412; *Perez v New York City Hous. Auth.,* 182 AD2d 416; *Stokes v McKeithan,* 172 AD2d 1077; *Matter of Kharrubi v*

Board of Educ. of City of N.Y., 133 AD2d 457; *Charlotte Lake Riv. Assoc. v American Ins. Co.,* 130 AD2d 947, 70 NY2d 605; *Oversby v Linde Div. of Union Carbide Corp.,* 121 AD2d 373; *Nitto v Kalisiak,* 107 AD2d 1066.)

OPINION OF THE COURT

R.S. SMITH, J.

We hold that dismissal of an action for failure to comply with discovery orders is a dismissal ''for neglect to prosecute the action'' within the meaning of CPLR 205 (a). Therefore, these actions, filed after the dismissal of previous actions by the same plaintiffs, are not saved by CPLR 205 (a) from the bar of the statute of limitations.

Facts and Procedural History

The Jefferson Middle School in Jamestown was renovated in 1992. In 1994 and 1995, more than 60 plaintiffs brought four lawsuits against more than 20 defendants, alleging that employees and students at the school had been injured by toxic substances released in the course of the renovation.

The first of several scheduling orders in these cases was entered in July 1995. By 1996, plaintiffs were in default in responding to several of defendants' discovery demands. Supreme Court then imposed more deadlines for discovery, but the deadlines were not met, and defendants moved to dismiss. In a December 1998 opinion, Supreme Court wrote that ''plaintiffs' counsel have demonstrated such a disregard for the case management order and scheduling order that one would not believe such orders existed,'' but nevertheless denied the motion, reluctant to penalize ''innocent plaintiffs who may have [a] meritorious case'' for their counsel's conduct. Instead, Supreme Court ordered a hearing on monetary sanctions and imposed a new set of deadlines which, though extended, were again not met. Defendants again moved to dismiss.

In a July 1999 opinion, Supreme Court found ''that the actions of plaintiffs' counsel have been frivolous . . . in that they have been undertaken primarily to delay or prolong resolution of this litigation.'' Supreme Court said that ''dismissal of the actions would not be unfounded,'' but it gave plaintiffs one more chance, permitting them to avoid dismissal if they paid attorneys' fees to defendants and complied with yet another set of deadlines. The attorneys' fees were paid but the deadlines were not met, and on May 19, 2000 Supreme Court dismissed the actions. Plaintiffs appealed, and the Appellate Division affirmed the dismissal on June 8, 2001 (*Andrea v du Pont De Nemours & Co.*, 284 AD2d 921 [4th Dept 2001]).

Meanwhile, on December 19, 2000, 34 of the same plaintiffs brought the present two actions, based on the same events as the four earlier ones, against 13 of the same defendants. Two defendants moved to dismiss the new actions on the ground that they were barred by the statute of limitations. Supreme Court denied the motions, relying on CPLR 205 (a), which permits actions brought after dismissal of a prior action to have, under certain circumstances, the benefit of the earlier filing date. Supreme Court rejected the argument that CPLR 205 (a) was inapplicable because the previous actions were dismissed for neglect to prosecute; Supreme Court said that ''it was never this Court's intention to dismiss the prior actions for failure to prosecute.'' Later, the remaining defendants moved to dismiss, and Supreme Court denied their motions also.

The Appellate Division reversed in two separate decisions, from the first of which two Justices dissented, and ordered that these actions be dismissed. Plaintiffs appeal to this Court, and we now affirm.

Discussion

These actions, begun some eight years after the events on which they are based, are obviously time-barred unless they are rescued by CPLR 205 (a), which provides:

> ''If an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, *a dismissal of the complaint for neglect to prosecute the action*, or a final judgment upon the merits, the plaintiff, or, if the plaintiff dies, and the cause of action survives, his or her executor or administrator, may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period.'' (Emphasis added.)

For purposes of this statute, ''termination'' of the prior action occurs when appeals as of right are exhausted (*Lehman Bros. v*

Hughes Hubbard & Reed, 92 NY2d 1014, 1016-1017 [1998]). Here, termination occurred on June 8, 2001, when the Appellate Division affirmed the dismissal of the prior actions, and thus if CPLR 205 (a) applies the commencement of these actions in December 2000 was not too late. Because the prior actions were, however, dismissed "for neglect to prosecute," CPLR 205 (a) is inapplicable.

Our decisions make clear that the "neglect to prosecute" exception in CPLR 205 (a) applies not only where the dismissal of the prior action is for "[w]ant of prosecution" pursuant to CPLR 3216, but whenever neglect to prosecute is in fact the basis for dismissal (*see Carven Assoc. v American Home Assur. Corp.*, 84 NY2d 927 [1994]; *Laffey v City of New York*, 52 NY2d 796 [1980]; *Keel v Parke, Davis & Co.*, 50 NY2d 833 [1980]; *Flans v Federal Ins. Co.*, 43 NY2d 881 [1978]). In *Carven*, as in this case, the prior action "had been dismissed for [plaintiffs'] willful and repeated refusal to obey court-ordered disclosure" (84 NY2d at 930). We held that dismissal to be within the "neglect to prosecute" exception.

Plaintiffs stress that our memorandum in *Carven* referred to "the singular circumstances presented by this appeal" (*id.*). They say that the more relevant precedent is *Schuman v Hertz Corp.* (17 NY2d 604 [1966]), in which we reversed an Appellate Division decision dismissing a second action as time-barred. We based our decision in *Schuman* on the ground that "the dismissal of the original suit was not intended by the Justice presiding to be a dismissal for neglect to prosecute" (*id.* at 605). Plaintiffs claim that here, as in *Schuman*, the statement by Supreme Court that it did not intend to dismiss the action for neglect to prosecute should be dispositive.

However, *Schuman*, even more than *Carven*, turned on its unique facts. The dismissal of the prior action in *Schuman* came after a complicated, and apparently unrecorded, series of discussions with the justice presiding in a Supreme Court trial part and his law secretary. The trial judge dismissed the case when "plaintiffs' counsel stated he was not ready to comply with the court's direction to pick a jury," but the judge also allegedly said that the dismissal "would not be the end of the lawsuit" because plaintiff could rely on the predecessor statute to CPLR 205 (a). In a situation where the true basis of the dismissal was less than clear, we held it proper to defer to the holding of the Supreme Court Justice "that the original [complaint] had not been dismissed for neglect to prosecute" (17 NY2d at 605-606).

But where, as here, the record does make clear the basis for the prior dismissal, the question of whether it was a dismissal for neglect to prosecute is a question of law on which we need not defer to Supreme Court's judgment.

"Neglect to prosecute" is a correct description of the basis for the dismissal of these plaintiffs' prior actions. A series of discovery defaults beginning in 1996 and never fully cured finally led a patient Supreme Court Justice, who had done his best to protect plaintiffs from the consequences of their counsel's inaction, to dismiss the cases in 2000. Supreme Court's dismissal order refers to plaintiffs' "failure . . . to comply with discovery deadlines," their "delays," their "disregard for the case management order and scheduling order," their lack of diligence, their "inactions" and their "ongoing laxity."

Where a case is dismissed for reasons like this, it is not acceptable to permit plaintiffs to start all over again, after the statute of limitations has expired. To countenance that result would be to convert the dismissal itself into just one more opportunity to try again—and plaintiffs have already had at least as many opportunities to try again as they could reasonably expect. The plain purpose of excluding actions dismissed for neglect to prosecute from those that can be, in substance, revived by a new filing under CPLR 205 (a) was to assure that a dismissal for neglect to prosecute would be a serious sanction, not just a bump in the road.

Supreme Court was of course correct in thinking it undesirable to punish plaintiffs for the failures of their counsel. But what is undesirable is sometimes also necessary, and it is often necessary, as it is here, to hold parties responsible for their lawyers' failure to meet deadlines. Litigation cannot be conducted efficiently if deadlines are not taken seriously, and we make clear again, as we have several times before, that disregard of deadlines should not and will not be tolerated (*see Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725 [2004]; *Brill v City of New York*, 2 NY3d 648 [2004]; *Kihl v Pfeffer*, 94 NY2d 118 [1999]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, with costs.

[840 NE2d 572, 806 NYS2d 460]

In the Matter of ANEUDIS PEREZ et al., Appellants, v CITY UNIVERSITY OF NEW YORK et al., Respondents.

Argued October 19, 2005; decided November 17, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 15, 2004. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Bronx County (Gerald V. Esposito, J.; op 195 Misc 2d 16), entered in a proceeding pursuant to CPLR article 78, which had (a) declared that the Hostos Community College Senate and the Hostos Community College Senate Executive Committee were public bodies performing governmental functions within the meaning of Public Officers Law § 102 (2), that the Hostos Community College Senate and its Executive Committee were agencies performing governmental functions within the meaning of Public Officers Law § 86 (3), that respondents violated the Open Meetings Law by prohibiting petitioners from attending the Hostos Community College Senate meeting of May 24, 2001 and the Executive Committee meeting of September 6, 2001, that respondents violated the Open Meetings Law and Freedom of Information Law by voting by secret ballot at the May 24, 2001 meeting of the College Senate and by failing to record the votes of the members of the College Senate as required by Public Officers Law §§ 106, 87 (3) (a), and that article III, § 2 (d) of the Hostos Governance Charter, which required the College Senate to vote by secret ballot, violated both the Open Meetings Law and the Freedom of Information Law and was therefore null and void; (b) ordered that respondents conduct future meetings of the College Senate and its Executive Committee in accordance with the terms of the Open Meetings Law, and that respondents keep records of the final votes of the Hostos Community College Senate and the Executive Committee as required by the Open Meetings Law and the Freedom of Information Law; (c) denied petitioners' request for attorneys' fees and costs under the Freedom of Information Law; and (d) referred petitioners' request for attorneys' fees and costs under the Open Meetings Law to a special referee; (2) granted respondents' application to dismiss the petition; and (3) dismissed the petition.

Matter of Perez v City Univ. of N.Y., 9 AD3d 310, reversed.

HEADNOTES

Public Officers — Open Meetings Law — What Constitutes Public Body — Community College Senate and its Executive Committee

1. Respondent City University of New York's Hostos Community College Senate, which was comprised of the college's president and deans, full-time faculty members, nonteaching instructional staff, students and classified staff, and was responsible for recommending policy on all college matters, for the formulation of academic policy, and for consultative and advisory functions related to the programs, standards, and goals of the college, was, along with its executive committee, a public body subject to the Open Meetings Law (Public Officers Law art 7). The senate exercised a quintessentially governmental function and was not merely an advisory body. It was charged with a number of the responsibilities delegated by the Legislature to the City University of New York (CUNY) Board, whose meetings are subject to the Open Meetings Law, and functioned as a proxy for the faculty councils authorized by the CUNY bylaws.

Public Officers — Open Meetings Law — Community College Senate and its Executive Committee — Voting by Secret Ballot Prohibited under Freedom of Information Law

2. Respondent City University of New York's Hostos Community College Senate, which, along with its executive committee, was a public body subject to the Open Meetings Law (Public Officers Law art 7), was prohibited under the Freedom of Information Law (Public Officers Law art 6 [FOIL]) from conducting voting by secret ballot. Although the Open Meetings Law does not speak to balloting or voting procedures, requiring only that the final determination of a vote be recorded in the meeting's minutes, FOIL requires that a public agency maintain "a record of the final vote of each member in every agency proceeding in which the member votes" (Public Officers Law § 87 [3] [a]). The requisite record of the final vote of each member would be impossible were the final vote of each member anonymous or secret.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Administrative Law §§ 84, 85, 90; Am Jur 2d, Colleges and Universities § 16.

Carmody-Wait 2d, Proceeding Against a Body or Officer §§ 145:516, 145:706.

McKinney's, Public Officers Law arts 6, 7.

NY Jur 2d, Administrative Law §§ 80, 83, 84, 90, 104; NY Jur 2d, Schools, Universities, and Colleges § 762.

ANNOTATION REFERENCE

See ALR Index under Colleges and Universities; Open or Public Meetings.

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POINTS OF COUNSEL

Ronald B. McGuire, New York City, for appellants. I. The Court of Appeals has construed the Open Meetings Law and Freedom of Information Law broadly, consistent with the manifest public purpose of both statutes. (*Matter of Gordon v Village of Monticello,* 87 NY2d 124; *Matter of Buffalo News v Buffalo Enter. Dev. Corp.,* 84 NY2d 488; *Matter of Orange County Publs., Div. of Ottaway Newspapers v Council of City of Newburgh,* 45 NY2d 947; *Matter of Holden v Board of Trustees of Cornell Univ.,* 80 AD2d 378; *Matter of Smith v City Univ. of N.Y.,* 92 NY2d 707; *Matter of Csorny v Shoreham-Wading Riv. Cent. School Dist.,* 305 AD2d 83; *Matter of Weston v Sloan,* 84 NY2d 462; *Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Kwasnik v City of New York,* 262 AD2d 171.) II. The College Senate is a public body performing a government function under Public Officers Law (Open Meetings Law) § 102 (2). (*Matter of Smith v City Univ. of N.Y.,* 92 NY2d 707; *Matter of Mendez v Reynolds,* 248 AD2d 62; *Matter of Polishook v City Univ. of N.Y.,* 234 AD2d 165, 91 NY2d 867; *Goodson Todman Enters. v Town Bd. of Milan,* 151 AD2d 642, 74 NY2d 614; *Matter of Poughkeepsie Newspaper Div. of Gannett Satellite Info. Network v Mayor's Intergovernmental Task Force on N.Y. City Water Supply Needs,* 145 AD2d 65; *New York Pub. Interest Research Group v Governor's Advisory Commn. [Problems Relating to Liab. Ins.],* 133 Misc 2d 613, 135 AD2d 1149, 71 NY2d 964; *Matter of Syracuse United Neighbors v City of Syracuse,* 80 AD2d 984, 55 NY2d 995; *Matter of MFY Legal Servs. v Toia,* 93 Misc 2d 147; *Matter of American Socy. for Prevention of Cruelty to Animals v Board of Trustees of State Univ. of N.Y.,* 165 AD2d 561, 79 NY2d 927; *Matter of Daily Gazette Co. v North Colonie Bd. of Educ.,* 67 AD2d 803.) III. The College Senate is an agency as defined by Public Officers Law (Freedom of Information Law) § 86 (3). (*Matter of Citizens for Alternatives to Animal Labs v Board of Trustees of State Univ. of N.Y.,* 92 NY2d 357; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale,* 87 NY2d 410; *Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Kwasnik v City of New York,* 262 AD2d 171; *Matter of Stoll v New York State Coll. of Veterinary Medicine at Cornell Univ.,* 94 NY2d 162; *Matter of Buffalo News v Buffalo Enter. Dev. Corp.,* 84 NY2d 488; *Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen,* 69 NY2d 246.) IV. The Open Meetings Law and Freedom of Information Law prohibit the College Senate from voting by secret ballot. (*Smithson v Ilion Hous. Auth.,* 130 AD2d 965.)

Michael A. Cardozo, Corporation Counsel, New York City (*Mordecai Newman* and *Larry A. Sonnenshein* of counsel), for respondents. I. The doctrine that advisory bodies lacking decision-making power are not subject to the Open Meetings Law remains uncontradicted at the appellate level. This doctrine reflects a balance between the competing values of transparent public decision making and the free and unconstrained rendering of advice. (*Matter of Orange County Publs., Div. of Ottaway Newspapers v Council of City of Newburgh,* 45 NY2d 947; *Matter of Poughkeepsie Newspaper Div. of Gannett Satellite Info. Network v Mayor's Intergovernmental Task Force on N.Y. City Water Supply Needs,* 145 AD2d 65; *New York Pub. Interest Research Group v Governor's Advisory Commn. [Problems Relating to Liab. Ins.],* 133 Misc 2d 613, 135 AD2d 1149; *Kingston Assoc. v LaGuardia,* 156 Misc 116, 246 App Div 803; *Matter of Smith v City Univ. of N.Y.,* 92 NY2d 707; *Goodson Todman Enters. v Town Bd. of Milan,* 151 AD2d 642, 74 NY2d 614; *Matter of Daily Gazette Co. v North Colonie Bd. of Educ.,* 67 AD2d 803; *Matter of American Socy. for Prevention of Cruelty to Animals v Board of Trustees of State Univ. of N.Y.,* 165 AD2d 561; *Matter of Syracuse United Neighbors v City of Syracuse,* 80 AD2d 984; *Matter of Polishook v City Univ. of N.Y.,* 234 AD2d 165.) II. Because it is essentially an advisory body with no final decision-making authority on public matters, the Hostos Senate falls outside the scope of the Open Meetings Law. (*Matter of Smith v City Univ. of N.Y.,* 92 NY2d 707; *New York Pub. Interest Research Group v Governor's Advisory Commn. [Problems Relating to Liab. Ins.],* 133 Misc 2d 613, 135 AD2d 1149, 71 NY2d 964; *Matter of Polishook v City Univ. of N.Y.,* 234 AD2d 165; *Matter of Mendez v Reynolds,* 248 AD2d 62; *Matter of Daily Gazette Co. v North Colonie Bd. of Educ.,* 67 AD2d 803.) III. The authority to appoint a panel from which a committee will be chosen is not a sovereign power, particularly when, as here, the committee to be chosen is itself not subject to the Open Meetings Law. (*Matter of Smith v City Univ. of N.Y.,* 92 NY2d 707; *Matter of Mary M. v Clark,* 100 AD2d 41.) IV. Having no decision-making authority, the Senate and Executive Committee are not ''agencies'' subject to the Freedom of Information Law (FOIL). Moreover, even if they are deemed to be agencies, their records would not reflect ''final policy or determinations'' and would not be subject to FOIL. (*Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Matter of Polishook v City Univ. of N.Y.,* 234 AD2d 165.)

OPINION OF THE COURT

Chief Judge KAYE.

Once again we are asked to determine whether certain entities within a public college—in this case, the Hostos Community College Senate and its Executive Committee—are subject to the Open Meetings Law. We also consider whether secret ballots by the College Senate are prohibited by either the Open Meetings Law or the Freedom of Information Law.

I.

Hostos Community College is one of 19 colleges that comprise the City University of New York (CUNY). Pursuant to Education Law § 6204 (1), control of CUNY's educational work resides solely in its Board of Trustees. The Board can, among other things, establish departments, divisions and faculties; establish and conduct courses and curricula; and prescribe conditions of student admission, attendance and discharge (Education Law § 6206 [7] [a]). Under Education Law § 6204 (3) (a), CUNY Board meetings are subject to the Open Meetings Law.

The CUNY Board has enacted its own bylaws to facilitate its mission. Those bylaws govern all CUNY campuses and explicitly allow the individual colleges to implement their own governance plans, which supersede any inconsistent provision contained in CUNY's bylaws (CUNY Bylaws § 8.14). In its bylaws, the Board has delegated its authority under Education Law § 6206 (7) (a) in part to the faculty (or a faculty council) of the individual colleges, making the local faculty (or faculty councils) responsible "for the formulation of policy relating to the admission and retention of students including health and scholarship standards therefor, student attendance including leaves of absence, curriculum, awarding of college credit, granting of degrees" (CUNY Bylaws §§ 8.6, 8.7).

In lieu of the faculty council authorized by the CUNY bylaws, the Hostos Community College Governance Charter established a College Senate composed of full-time faculty members, nonteaching instructional staff, students, classified staff and the President and Deans of the College. The faculty, staff and student members are elected by their respective constituencies, faculty and staff to three-year terms and students to one-year terms. The Senate is to "recommend policy on all College matters . . . [and is] specifically responsible for the formulation of academic policy and for consultative and advisory functions related to the programs, standards and goals of the College" (Hostos Community College Governance Charter, art I, § 1).

The Governance Charter sets forth a noninclusive list of 14 areas of college policy, including curriculum and admission requirements, as to which the Senate is authorized to formulate new policy recommendations and review existing policies. The Charter prohibits additions or alterations to the divisions of Hostos Community College without the College Senate first approving those changes; and it provides that changes to the Charter may be proposed only by a member of the Executive Committee or a written petition signed by 10 members of the College Senate.

The nine members of the Executive Committee and the nine members of the Committee on Committees are elected from the College Senate. The Executive Committee organizes the work of the Senate by scheduling and preparing the agenda for Senate meetings and transacts necessary business between Senate meetings. The Committee on Committees assigns all of the members to the Senate's 13 remaining standing committees, including the Academic Standards Committee (which determines student appeals of academic dismissals or matriculation decisions), the Admissions Committee (which implements college admissions policies) and the Scholarships and Awards Committee (which selects recipients of the Hostos Scholarships and other prizes). Appointments to the standing committees and a number of the decisions issued by the committees are final and nonreviewable.

On May 24, 2001 petitioner Chong Kim, a Hunter College student, was denied entrance to a College Senate meeting during which several changes in the college curriculum were approved by secret ballot. On September 6, 2001 petitioner Aneudis Perez, a Hostos Community College student, was denied entrance to an Executive Committee meeting; Perez tried to hand an Executive Committee member a petition regarding an incident that had arisen months earlier during a political protest on campus. Neither of the two meetings had moved into executive session, though had the Senate or the Executive Committee needed to discuss confidential matters it could have done so (*see* Public Officers Law § 105).

Petitioners initiated a CPLR article 78 proceeding, arguing that the College Senate and the Executive Committee were subject to the Open Meetings Law and the Freedom of Information Law. Supreme Court granted the petition, but the Appellate Division reversed, concluding that the Senate was only an advisory body and thus outside the purview of the Open Meetings Law and the Freedom of Information Law. We agree with Supreme Court and now reverse the Appellate Division order and reinstate the judgment of Supreme Court.

II.

In enacting the Open Meetings Law, the Legislature sought to ensure that ''public business be performed in an open and public manner and that the citizens of this state be fully aware of and able to observe the performance of public officials and attend and listen to the deliberations and decisions that go into the making of public policy'' (Public Officers Law § 100). Similarly, the Legislature intended the Freedom of Information Law to guarantee ''[t]he people's right to know the process of governmental decision-making and to review the documents and statistics leading to determinations'' (Public Officers Law § 84).

Thus, all ''public bodies'' are subject to the Open Meetings Law and all ''public agencies'' are subject to the Freedom of Information Law. Both provisions define, in part, organizations within their ambit as those that perform a ''governmental function'' (Public Officers Law § 86 [3]; § 102 [2]). And in applying these laws, we construe their provisions liberally in accordance with their stated purposes (*see Matter of Gordon v Village of Monticello*, 87 NY2d 124, 127 [1995]; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410, 418 [1995]).

While an entity must be authorized pursuant to state law to be within the ambit of the Open Meetings Law and the Freedom of Information Law, not every entity whose power is derived from state law is deemed to be performing a governmental function. Certainly not all advisory bodies that issue recommendations to state agencies are performing governmental functions for purposes of compliance with the Open Meetings Law. Rather, in each case the court must undertake an analysis that centers on ''the authority under which the entity was created, the power distribution or sharing model under which it exists, the nature of its role, the power it possesses and under which it purports to act, and a realistic appraisal of its functional relationship to affected parties and constituencies'' (*Matter of Smith v City Univ. of N.Y.*, 92 NY2d 707, 713 [1999]).

In *Smith*, for example, this Court concluded that the Fiorello H. LaGuardia Community College Association, Inc.—a group of administrators, faculty members and students authorized to allocate student activity fees to various campus entities—exercised a quintessentially governmental function and was thus subject to the Open Meetings Law. The association not only drew its powers from state law but also was a "formally chartered entity with officially delegated duties and organizational attributes of a substantive nature" (*id.* at 714). The group's governmental function was further evidenced by its operation "under protocols and practices where its recommendations and actions [were] executed unilaterally and finally, or receive[d] merely perfunctory review or approval" (*id.*).

[1] Here, we are persuaded that the College Senate and its Executive Committee similarly are exercising a quintessentially governmental function.

The College Senate's organizational structure is set forth in the Governance Charter, which mandates that the Senate conduct business only if a quorum is present and that the Senate and its committees conduct meetings pursuant to Robert's Rules of Order Newly Revised. The members of the Senate elect representatives to the Committee on Committees, which has sole, nonreviewable authority to select members to the College Senate's other standing committees, some of which exercise nonreviewable power regarding disciplinary findings and punishments, academic disputes and scholarship awards. The Executive Committee schedules regular and special Senate meetings, determines what is appropriate Senate business, sets the agenda for the Senate meetings and conducts all business between Senate sessions.

Key to our conclusion in this case is the record evidence that the College Senate (which includes its Executive Committee) has been charged with a number of the responsibilities delegated by the Legislature to the CUNY Board and that the Senate functions as a proxy for the faculty councils authorized by the CUNY bylaws. The Senate is to recommend policy on all college matters to the Board. The Senate is explicitly imbued with the power to formulate new policy recommendations and review existing policies, forwarding those recommendations to the Board of Trustees in areas as far-reaching as college admissions, degree requirements, curriculum design, budget and finance; it is represented on all committees established by the College President or Deans; it is to review proposals for and recommend the creation of new academic units and programs of study; it must be consulted prior to any additions or alterations to the College's divisions; and it is the only body that can initiate changes to the College Governance Charter.

Under CUNY's comprehensive university governance scheme, the College Senate is the sole legislative body on campus authorized to send proposals to the CUNY Board of Trustees, and although the policy proposals must first be approved and forwarded by the College President, they overwhelmingly are. While the CUNY Board retains the formal power to veto recommendations of the College Senate, that does not in and of itself negate the Senate's policy-making role or render the Senate purely advisory. Realistically appraising the Senate's function, we conclude that the Appellate Division erred in holding that the Senate was only an advisory body (*contrast Matter of Snyder v Third Dept. Jud. Screening Comm.*, 18 AD3d 1100 [3d Dept 2005] [proceedings of Judicial Screening Committee not subject to the Freedom of Information or Open Meetings laws because its role is limited to providing information to appointing authority]). As Supreme Court held, ''the college senate and the executive committee thereof constitute integral components of the governance structure of Hostos Community College. The senate and its executive committee perform functions of both advisory and determinative natures which are essential to the operation and administration of the college'' (195 Misc 2d 16, 33 [Sup Ct, Bronx County 2002]).

Whether the votes of the College Senate may be by secret ballot, however, is a separate question.

The Open Meetings Law does not speak to balloting or voting procedures, requiring only that ''[m]inutes shall be taken at all open meetings of a public body which shall consist of a record or summary of all motions, proposals, resolutions and any other matter formally voted upon and the vote thereon'' (*see* Public Officers Law § 106 [1]). A final determination may easily be recorded in the meeting's minutes without an accounting of each participant's ballot. Though we construe the provisions of the Open Meetings Law liberally, we will not add a requirement to the text of the statute.

[2] Under the Freedom of Information Law, however, a public agency must maintain ''a record of the final vote of each member in every agency proceeding in which the member votes'' (Public Officers Law § 87 [3] [a]). This requirement differs from the summary of a final vote mandated by the Open Meetings Law. The requisite record of the final vote of each member would be impossible were the final vote of each member anonymous or secret. Consequently, under the Freedom of Information Law, voting by the College Senate and the Executive Committee may not be conducted by secret ballot.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[840 NE2d 569, 806 NYS2d 457]

VARSITY TRANSIT, INC., et al., Respondents, v BOARD OF EDUCATION OF THE CITY OF NEW YORK, Appellant.

Argued October 20, 2005; decided November 17, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, New York County (Karla Moskowitz, J.), entered December 15, 2004. The Supreme Court (1) vacated its April 3, 2002 judgment, (2) awarded plaintiff Varsity Transit, Inc. damages against defendant in the total sum of $926,935.40, (3) awarded plaintiff Pioneer Transportation Corp. damages against defendant in the total sum of $367,633.20, (4) awarded plaintiffs Caravan Coach Corp. and Caravan Transit, Inc. damages against defendant in the total sum of $434,839.83, and (5) denied defendant's cross motion for summary judgment. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 8, 2003. The Appellate Division had modified, on the law and the facts, an order and judgment (one paper) of that Supreme Court which granted plaintiffs' motion for summary judgment, denied plaintiffs' motion for leave to file a supplemental complaint, denied defendant's cross motion for summary judgment and awarded plaintiffs damages against defendant in amounts agreed to by the parties. The modification consisted of granting plaintiffs' motion seeking leave to file a supplemental complaint alleging claims for additional damages attributable to defendant's continuing breach of contract.

Varsity Tr. v Board of Educ. of City of N.Y., 304 AD2d 358, reversed.

HEADNOTE

Schools — Notice of Claim — Damages Accruing after Start of Action

Plaintiffs' action alleging that defendant Department of Education had misapplied the formula contained in the parties' contracts for certain cost increases and underpaid plaintiffs did not suffice as a notice of claim for damages that accrued after the start of the action. Pursuant to Education Law § 3813 (1), which provides that no action may be maintained against a board of education in the absence of a written verified claim presented within three months after the accrual of a claim, plaintiffs were required to file new notices of claim even though the action sought an injunction and damages on the same legal theory as the damages that came afterwards. Because plaintiffs failed to continue to file new notices of claim every three months during the litigation to cover the ongoing underpayments, their complaint could not properly be supplemented to cover the period after plaintiffs filed their lawsuit. Education Law § 3813 (1) makes no exception to the notice rule for contract disputes already in litigation.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

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Am Jur 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 664, 665.

Carmody-Wait 2d, Actions By and Against Public Bodies and Public Officers §§ 144:176, 144:196.

McKinney's, Education Law § 3813 (1).

NY Jur 2d, Government Tort Liability §§ 347, 403, 404; NY Jur 2d, Schools, Universities, and Colleges §§ 403, 848, 849, 851.

Siegel, NY Prac § 32.

ANNOTATION REFERENCE

See ALR Index under Notice of Claim; Schools and Education.

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Query: notice /3 claim & contract /s transport! /p bus

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Julian L. Kalkstein* and *Larry A. Sonnenshein* of counsel), for appellant. Plaintiffs failed to file notices of claim with the Board of Education of the City of New York pursuant to Education Law § 3813 (1) as a condition precedent to the commencement of their contract claims for the balance of school year 1996-1997 and for school years 1997-1998, 1998-1999 and 1999-2000 and, therefore, their application to amend their complaint to add such claims more than one year after said claims had accrued should have been denied. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.,* 60 NY2d 539; *Lawrence Constr. Corp. v State of New York,* 293 NY 634; *Babigian v Wachtler,* 181 AD2d 640; *Matter of Judge Rotenberg Educ. Ctr. v Maul,* 91 NY2d 298; *Matter of State of New York v Ford Motor Co.,* 74 NY2d 495; *Dreger v New York State Thruway Auth.,* 81 NY2d 721; *Barchet v New York City Tr. Auth.,* 20 NY2d 1; *Chinatown Apts. v New York City Tr. Auth.,* 100 AD2d 824; *Arol Dev. Corp. v City of New York,* 59 AD2d 883; *Salesian Socy. v Village of Ellenville,* 41 NY2d 521.)

Ruskin Moscou Faltischek, P.C., Uniondale (*Joseph R. Harbeson* of counsel), for respondents. Education Law § 3813 does not require the filing of notices of claim for plaintiffs' postaction claims. (*Matter of Deposit Cent. School Dist. v Public Empl. Relations Bd.,* 214 AD2d 288, 88 NY2d 866; *Parochial Bus Sys. v Board of Educ. of City of N.Y.,* 60 NY2d 539; *Caselli v City of New York,* 105 AD2d 251; *Matter of Hurley v Avon Cent. School Dist.,* 187 AD2d 982; *Koren-DiResta Constr. Co. v New York City School Constr. Auth.,* 293 AD2d 189; *Davidson v Bronx Mun. Hosp.,* 64 NY2d 59; *Matter of Brown v Board of Trustees of Town of Hamptonburg, School Dist. No. 4,* 303 NY 484; *Mercado v New York City Health & Hosps. Corp.,* 247 AD2d 55; *Chinatown Apts. v New York City Tr. Auth.,* 100 AD2d 824; *Barchet v New York City Tr. Auth.,* 20 NY2d 1.)

OPINION OF THE COURT

ROSENBLATT, J.

On this appeal, we resolve whether an action against a municipality can suffice as a notice of claim for damages that accrue after the start of the action. We hold that the relevant statute requires plaintiffs to file new notices of claim even though the action seeks an injunction and damages on the same legal theory as the damages that came afterwards.

Plaintiffs are bus companies that have long-term contracts with defendant New York City Department of Education[1] to transport the Department's students. The contracts require the Department to pay the bus companies more for certain increases in the cost of providing benefits for the bus monitors who supervise children on the buses. The cost increases are calculated according to a formula described in the contracts.

In 1995, a disagreement arose between the bus companies and the Department about how to apply the formula. The companies filed notices of claim against the Department, alleging that it had misapplied the formula and underpaid the companies for the 1995-1996 school year and for the first three months of the 1996-1997 school year. The companies then sued the Department seeking damages for breach of contract and an injunction compelling the Department to apply the formula according to the companies' interpretation.

For the purposes of this appeal, the Department concedes that the initial notices were timely filed according to the strictures of Education Law § 3813 (1). That law declares that

1. At the start of this litigation, the Department of Education was known as the Board of Education, the original named defendant.

> ''[n]o action or special proceeding, for any cause whatever, except as hereinafter provided, . . . involving the rights or interests of any district or any such school shall be prosecuted or maintained against any . . . board of education . . . unless it shall appear by and as an allegation in the complaint or necessary moving papers that a written verified claim upon which such action or special proceeding is founded was presented to the governing body of said district or school within three months after the accrual of such claim, and that the officer or body having the power to adjust or pay said claim has neglected or refused to make an adjustment or payment thereof for thirty days after such presentment. In the case of an action or special proceeding for monies due arising out of contract, accrual of such claim shall be deemed to have occurred as of the date payment for the amount claimed was denied.''

The litigation continued in Supreme Court and in July 2001 the bus companies moved for summary judgment holding that the formula applied by the Department underpaid the companies. Supreme Court agreed in part and granted the companies summary judgment for the school years described in the original notices of claim (covering the periods before the litigation began). Supreme Court did not grant the companies injunctive relief.

Along with their summary judgment motion, the bus companies moved to file a supplemental complaint updating their claims to cover the school years that had elapsed since the start of the litigation. For those years, the Department had applied the same formula that Supreme Court rejected in its partial summary judgment decision. The Department concedes that application of the formula as construed by Supreme Court to the disputed periods would be merely ministerial, a matter of arithmetic.

The companies, however, had failed to continue to file new notices of claim every three months during the litigation to cover the ongoing underpayments. For this reason, the Department argued that the companies' complaint could not properly be supplemented to cover the period after plaintiffs filed their lawsuit. Supreme Court agreed with the Department and refused to permit the supplemental complaint. The Appellate Division modified Supreme Court's judgment to permit the companies to supplement their complaint, holding that the original complaint (including its call for a prospective injunction) gave the Department sufficient notice. Supreme Court thereafter granted judgment awarding damages to plaintiffs, and we granted leave from the judgment of Supreme Court, pursuant to CPLR 5602 (a) (1) (ii), to bring up for review the prior nonfinal order of the Appellate Division. We now reverse.

On its face, Education Law § 3813 (1) makes no exception to the notice rule for contract disputes already in litigation. The companies argue that the request for an injunction was enough to alert the Department about the specific contractual basis for their objection to the Department's calculations, and that the lawsuit itself served as adequate notice of future claims for damages. Especially because the difference between the adversaries' views of the proper formula remained the same for every billing period in question (so that correcting the formula would require nothing more than an arithmetic adjustment), the companies argue that public policy is not served by compelling continuous notices of claim.

The companies' policy-based position, while plausible, is best addressed to the Legislature. As we have long held, ''statutory requirements conditioning suit [against a governmental entity] must be strictly construed'' (*Dreger v New York State Thruway Auth.*, 81 NY2d 721, 724 [1992]).[2] This is true even where the Department ''had actual knowledge of the claim or failed to demonstrate actual prejudice'' (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539, 548 [1983]).

We have repeatedly rejected, and now reject again, proposals to compromise the strict statutory notice of claim requirement, because to do so would lead to uncertainty and vexatious disputes. For example, here the companies argue that the Department was on notice of their future claims because the complaint included a request for injunctive relief. If we accepted this argument, questions would soon arise as to whether a similar but not identical pleading, or an identical pleading in a similar but not identical dispute, was adequate to fulfill the statutory purpose. We decline to start down that road.

To avoid results based on procedural rather than merits adjudication, future plaintiffs, after starting the lawsuit, need

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2. Although *Dreger* concerned a suit against the State, which, unlike the municipal Department, benefits from sovereign immunity, the policy supporting strict application of notice-of-claim provisions applies equally here because the statute protects the public fisc.

only continue to file the notices of claim that they have filed before the lawsuit. This allocation of responsibility is not overly burdensome on plaintiffs and avoids any possible confusion about which acts of the government the plaintiffs find unlawful.

Accordingly, the judgment appealed from and order of the Appellate Division brought up for review should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Judgment appealed from and order of the Appellate Division brought up for review reversed, etc.

[841 NE2d 289, 807 NYS2d 321]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TREVOR GREEN, Appellant.

Argued October 17, 2005; decided November 21, 2005

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 12, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Joseph Rosenzweig, J.), which had convicted defendant, upon a jury verdict, of robbery in the second degree (two counts) and criminal possession of stolen property in the fifth degree.

People v Green, 11 AD3d 559, affirmed.

HEADNOTES

Crimes — Instructions — Claim of Right Instruction Not Available in Robbery Prosecution

1. In the prosecution of defendant for robbery of a compact disc player, defendant was not entitled to a ''claim-of-right'' jury instruction even though he in good faith believed that the disc player was his. The Legislature has limited the availability of the statutory claim-of-right defense to prosecutions for larceny by trespass or embezzlement (*see* Penal Law § 155.15 [1]), and public policy considerations militate against encouraging the use of forcible self-help to recover property. Although a good-faith but mistaken claim of right might defeat a robbery prosecution, and a defendant is free to make that argument to the jury, that defendant is not entitled to such an instruction by the court, which would aid the defendant by underscoring one aspect of the proof, or lack of proof.

Crimes — Appeal — Matters Reviewable—Refusal to Charge Remote Lesser Included Offense

2. Defendant, having been convicted of second-degree robbery after the court had also charged third-degree robbery as a lesser included offense, was foreclosed from challenging the trial court's refusal to charge the more remote lesser included offense of petit larceny.

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By the Publisher's Editorial Staff

AM JUR 2d, Robbery §§ 66, 67.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3699, 172:3731, 172:3736.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

MCKINNEY'S, Penal Law § 155.15 (1).

NY JUR 2d, Criminal Law §§ 4167, 4186, 4223–4226, 4237, 4242–4244.

ANNOTATION REFERENCE

Robbery, attempted robbery, or assault to commit robbery, as affected by intent to collect or secure debt or claim. 88 ALR3d 1309.

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POINTS OF COUNSEL

Lynn W.L. Fahey, New York City, and *Mae C. Quinn* for appellant. I. Appellant was deprived of his due process rights to a fair trial and to present a defense by the court's refusal to: (a) charge that his good-faith belief that he was reclaiming a compact disc player that had been stolen from him minutes earlier would negate the larcenous intent required for robbery; and (b) submit petit larceny, to which the claim-of-right defense unquestionably applied, to the jury as a lesser included offense of robbery. (*People v Reid,* 69 NY2d 469; *Mathews v United States,* 485 US 58; *Chambers v Mississippi,* 410 US 284; *People v Wilson,* 93 NY2d 222; *People v Zinke,* 76 NY2d 8; *People v Miller,* 87 NY2d 211; *People v Smith,* 79 NY2d 309; *People v Alfaro,* 260 AD2d 495; *People v Hubbert,* 212 AD2d 633; *People v Chesler,* 50 NY2d 203.) II. Appellant was denied his due process right to a fair trial when the court failed to respond meaningfully to jury questions by (a) refusing to provide a complete recharge on robbery that included the definitions of key terms at issue in the case; and (b) over defense objection, defining ''aid'' only in layman's terms and telling the jurors that it had ''no special legal meaning.'' (*People v Lourido,* 70 NY2d 428; *People v Almodovar,* 62 NY2d 126; *People v Malloy,* 55 NY2d 296, 459 US 847; *United States v Velez,* 652 F2d 258; *People v Steinberg,* 79 NY2d 673; *People v Cruz,* 272 AD2d 922, 96 NY2d 857; *People v Craig,* 293 AD2d 351; *People v Redd,* 266 AD2d 12; *People v Miller,* 288 AD2d 698; *People v Williams,* 225 AD2d 447.)

Richard A. Brown, District Attorney, Kew Gardens (*Anastasia Spanakos-Orfan* and *John M. Castellano* of counsel), for respondent. I. The trial court properly declined to instruct the jury on the statutory good-faith claim-of-right defense and properly declined to submit the lesser included offense of petit larceny.

(*People v Reid,* 69 NY2d 469; *People v Smith,* 79 NY2d 309; *People v Olah,* 300 NY 96; *Levy v Levy,* 33 NY 97; *Mount v Mitchell,* 31 NY 356, 32 NY 702; *People v Hernandez,* 82 NY2d 309; *People ex rel. McCann v Kilbourn,* 68 NY 479; *People v Shannon,* 89 NY2d 1000; *People v Scunziano,* 140 AD2d 645; *People v Valente,* 129 AD2d 824.) II. The court's responses to the jury's requests for further instructions were proper. (*Johnson v Zerbst,* 304 US 458; *People v Richardson,* 88 NY2d 1049; *People v Ahmed,* 66 NY2d 307; *People v LaValle,* 3 NY3d 88; *People v Gruttola,* 43 NY2d 116; *People v Cohen,* 5 NY2d 282; *People v Gray,* 86 NY2d 10; *People v Padro,* 75 NY2d 820; *People v Laraby,* 92 NY2d 932; *People v Steinberg,* 79 NY2d 673.)

OPINION OF THE COURT

Chief Judge KAYE.

In a prosecution for robbery of a specific chattel, is a defendant who in good faith believed that the property was his entitled to a ''claim-of-right'' jury instruction? Both because the Legislature has limited the availability of the statutory claim-of-right defense to prosecutions for larceny by trespass or embezzlement (*see* Penal Law § 155.15 [1]), and because public policy considerations militate against encouraging the use of forcible self-help to recover property, we conclude that he is not.

Facts

On December 7, 2001, defendant and two acquaintances approached Christian Pabon as he was walking with his friends in Queens, New York. Defendant held out his hand and Pabon, believing that the stranger was attempting to greet him, returned the gesture by slapping him ''five.'' Defendant told Pabon, however, that he did not want a greeting; he made clear that he wanted Pabon's compact disc player. Defendant snatched the player out of Pabon's hand, walked away and allegedly began listening to the ''Busta Rhymes'' CD in the disc player.

Pabon followed defendant, repeatedly asking for his disc player back, at which time one of defendant's acquaintances, codefendant Quentin Jones,[1] approached Pabon and told him to ''run [his] pockets''—meaning, to give Jones his money. Pabon told Jones he did not have any money and then turned to continue following defendant, whereupon Jones repeatedly punched Pabon from behind, causing a laceration on Pabon's ear.

1. Jones pleaded guilty and defendant proceeded to trial alone.

Shortly thereafter, Pabon alerted a passing police car and identified defendant and his acquaintances as having taken his disc player and punched him. The police arrested defendant at the scene and recovered the disc player. Defendant and Jones were charged with two counts of robbery in the second degree—aided by another person actually present, and causing physical injury—as well as criminal possession of stolen property in the fifth degree.

At trial, defendant testified that, shortly before taking the disc player from Pabon, he had borrowed a friend's portable Aiwa compact disc player, containing a ''Busta Rhymes'' CD, which was stolen from him by a group of six or seven members of the Latin Kings gang. Defendant recognized the individuals as Latin Kings because of their customary gang attire—yellow bandanas and yellow and black beads. Defendant also noticed that one of the assailants wore wire-rimmed glasses.

According to defendant, he first approached Pabon because Pabon was holding a disc player and resembled one of the individuals who had taken the disc player from him. Although Pabon was not wearing clothing associated with the Latin Kings, he was wearing wire-rimmed glasses and was holding an Aiwa disc player. Defendant further testified, however, that, after seeing Pabon on the stand, he did not in fact recognize him as one of the individuals who had stolen his disc player, but at the time of the incident he was fairly certain that Pabon was one of them and believed that the disc player was the one that had been taken from him.

The court instructed the jury on the prosecution's burden to prove beyond a reasonable doubt each element of robbery, including that the defendant possessed the requisite intent to commit the crime. Prior to that instruction, however, defendant had requested that the court additionally charge the jury on the claim-of-right defense codified in Penal Law § 155.15 (1). The court denied that request, based on its interpretation of *People v Reid* (69 NY2d 469 [1987]). The jury convicted defendant of both second-degree robbery counts as well as the possession charge. The Appellate Division affirmed, holding that ''[c]ontrary to the defendant's contention, the trial court properly refused to charge the jury on the 'claim of right' defense since such a defense is only available in a larceny prosecution, not in a robbery prosecution'' (*People v Green*, 11 AD3d 559, 559 [2004]). We now affirm.

Discussion

Penal Law § 155.15 (1) provides that ''[i]n any prosecution for larceny committed by trespassory taking or embezzlement, it is an affirmative defense that the property was appropriated under a claim of right made in good faith.'' In *People v Chesler* (50 NY2d 203, 209-210 [1980]), however, we held that section 155.15 was unconstitutional insofar as it made a good-faith claim of right an affirmative defense because to do so impermissibly shifted the burden onto the defendant to disprove the element of intent.

Our holding recognized that a good-faith claim of right negates larcenous intent—otherwise, a claim of right would not impermissibly shift the burden of proving an essential element of the crime and could remain an affirmative defense. Indeed, as we explained in *People v Zinke* (76 NY2d 8, 10 [1990]),

> ''[l]arceny is committed when one wrongfully takes, obtains or withholds 'property from an owner thereof' with intent to deprive the owner of it, or appropriate it to oneself or another. 'Owner' is defined in Penal Law § 155.00 (5) as one 'who has a right to possession [of the property taken] superior to that of the taker, obtainer or withholder' '' (citation omitted).

The current larceny statute provides simply that ''[a] person steals property and commits larceny when, with intent to deprive another of property or to appropriate the same to himself or to a third person, he wrongfully takes, obtains or withholds such property from an owner thereof'' (Penal Law § 155.05 [1]). The statute, however, cannot properly be read to require merely the intent to take property, rather than the intent to take property from a person with a superior right to possession.

Indeed, it is clear that when the Legislature amended the statute and eliminated the reference to the intent to take property from its owner, it meant no substantive change to larceny's intent element but only simplified the definition of larceny and eliminated the distinction among different types of theft (*see* Denzer and McQuillan, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 155.05, at 417 [1967 ed]; L

1942, ch 732, § 1).[2] Moreover, when there is a single mens rea requirement in a criminal statute, it is presumed to apply to every element of the offense. Thus, to commit larceny, a larcenous actor must act with the ''intent'' to take property ''from an owner thereof'' (Penal Law § 155.05 [1]; *see also* Penal Law § 15.15).

Defendant argues that because robbery is a larceny using force the Legislature intended the good-faith claim-of-right defense to apply to certain types of robbery. As we noted in *People v Reid* (69 NY2d 469, 475 [1987]), a tenable argument could be made that ''one who acts under a claim of right lacks the intent to steal and should not be convicted of robbery'' when such person seeks to retake his or her own specific chattel. In *Reid*, however, we chose not to resolve this issue, focusing instead on ''whether a good-faith claim of right, which negates larcenous intent in certain thefts, also negates the intent to commit robbery by a defendant who uses force to recover cash allegedly owed him'' (*id.* at 472 [citation omitted]).

We concluded in *Reid* that a claim-of-right defense was not available, reasoning that the defense was codified in the larceny article, but not in the robbery article. Moreover, the statute limits the availability of the defense only to larceny by trespass or embezzlement. Noting the significance of the Legislature's failure to authorize a general claim-of-right defense for extortion, which ''entails the threat of actual or potential force or some form of coercion'' (69 NY2d at 476), we inferred that the Legislature recognized that an accused should not be permitted to invoke the defense in crimes involving force. Indeed, we assumed ''that if the Legislature intended to excuse forcible taking, it would have said so'' (*id.*). We also explained that, on policy grounds, we were unwilling to expand the area of permissible self-help, finding a meaningful difference between larceny, in which the use of force is a nonissue, and robbery, in which the defendant obtains money allegedly owed to him by threatening or using force.

2. Even beyond our State's earliest codifications of larceny—which made clear that the mental culpability required was the intent to take property from its true owner (*see* Penal Code of 1888 § 528; Penal Law of 1909 § 1290)—at common law the mens rea element of theft included the intent to take property from another with a superior right to possession (*see* 3 Stephen, History of the Criminal Law of England, ch XXVIII, at 132 [1883] [''the definition of the offence (theft) includes an intention to deprive the owner of his property permanently'']).

Reid is distinguishable from the present case. There, the defendant simply could not have had a true claim of right to the fungible cash—the bills themselves—he took to satisfy an alleged debt. When the robbery is of a particular chattel, however, there can be a genuine belief in ownership of the specific property taken. Thus, a good-faith claim that the chattel belonged to the taker, would, if believed by the jury, negate the element of larcenous intent.[3]

Indeed, because the prosecution must prove beyond a reasonable doubt that the defendant intended to take property from someone with a superior right to possession, a good-faith but mistaken claim of right might defeat a robbery prosecution (*see* Model Penal Code and Commentaries § 223.1, Comment 4 [1980] [explaining that, to be guilty of a theft offense, ''the actor must know that the property belongs to another.'' Accordingly, ''(t)he claim-of-right defense . . . can thus be regarded as redundant with respect to these offenses since a proper analysis of their elements requires knowledge of the proprietary interest of the other party and hence would recognize an honest, though unreasonable, mistake as a defense.'']). And, as here, a defendant is, of course, free to make that argument to the jury.

[1] However, simply because a jury might be convinced by a claim-of-right *argument*, it does not follow that a claim-of-right *charge*, derived from a statutory defense limited to certain types of larceny, is also available to defendants in robbery prosecutions. Such an instruction by the court, over and above an instruction on the element of intent, unquestionably aids the defendant by underscoring one aspect of the proof, or lack of proof. The Legislature did not provide that additional assistance where the defendant employs physical force.[4]

Section 155.15 (1), by its terms, applies only to prosecutions for certain types of larceny. Indeed, the statutory claim-of-right defense in New York has been associated with larceny prosecutions since, at the latest, 1882, when the Penal Code provided

3. Even at early common law, a good-faith claim of right to the property taken could negate the element of intent to commit robbery (*see* 2 Wharton, Criminal Law of the United States § 1697, at 115 [5th ed 1861]). Wharton explained that ''[i]f one, under a *bona fide* impression that the property is his own, obtain it by menaces, that is a trespass, but no robbery (*id.*).

4. The New York Legislature's limitation of the claim-of-right defense to certain types of larceny distinguishes our decision from cases such as *People v Tufunga* (21 Cal 4th 935, 987 P2d 168 [1999]). More analogous is *State v McMillen* (83 Haw 264, 925 P2d 1088 [1996]), where the Hawaii Supreme Court concluded that Hawaii's claim-of-right statute was not applicable to robbery.

that "[u]pon an indictment for larceny it is a sufficient defense that the property was appropriated openly and avowedly, under a claim of title preferred in good faith, even though such claim is untenable" (Penal Code of 1882 § 548).

Moreover, a claim-of-right charge in the robbery context encourages forcible self-help in pursuing property. When the Legislature wished to authorize self-help, it has done so explicitly, as in the justification defense (*see* Penal Law § 35.15). Thus, a specific jury instruction on the claim-of-right defense is not available for robbery, regardless of the nature of the property taken.

[2] Addressing defendant's remaining contentions, "[w]here a court charges the next lesser included offense of the crime alleged in the indictment, but refuses to charge lesser degrees than that . . . the defendant's conviction of the crime alleged in the indictment forecloses a challenge to the court's refusal to charge the remote lesser included offenses" (*People v Boettcher*, 69 NY2d 174, 180 [1987]). Here, the jury convicted the defendant of second-degree robbery, even though the lesser included third-degree robbery charge was also available. Hence, defendant is foreclosed from challenging the court's refusal to charge the more remote lesser included offense of petit larceny, if indeed such a charge was available on the facts. Finally, we agree with the Appellate Division that defendant's contentions regarding the court's responses to jury notes are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[840 NE2d 1014, 807 NYS2d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CRAIG LEWIS, Appellant.

Argued October 18, 2005; decided November 21, 2005

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 21, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree and criminal contempt in the first and second degrees.

People v Lewis, 13 AD3d 208, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Failure to Protest — Challenge to Burglary Charge

1. In the second-degree burglary and criminal contempt prosecution of defendant, who had entered the apartment of his former girlfriend in violation of two orders of protection, defendant failed to preserve for appellate review his claim that the trial court improperly refused to instruct the jury that intent to enter the banned premises could not alone satisfy the ''intent to commit a crime therein'' element of burglary (Penal Law § 140.25 [2]). The trial court, in giving its initial charge to the jury, refused defense counsel's request that the jury be instructed that the ''intent to commit a crime therein'' element of burglary could be satisfied only if it were proven that defendant intended to commit some crime in addition to unlawful entry, and instead gave a standard and appropriate jury instruction on second-degree burglary. When the jury later sought supplemental instruction regarding the charge, defense counsel did not protest as before but instead expressly asked the court to tell the jury that a violation of an order of protection can ''be the basis for a burglary charge.'' While an attorney need not repeatedly protest a court's clear ruling, defense counsel's formulation of the supplementary instruction went far beyond mere failure to protest and constituted a forfeiture of appellate review of the issue.

Crimes — Burglary — Intent to Commit Crime in Dwelling — Violation of Order of Protection

2. The ''intent to commit a crime therein'' element of second-degree burglary (Penal Law § 140.25 [2]) may not be satisfied solely by a defendant's intent to violate an order of protection by entering a dwelling that the order of protection declares off-limits, but it may be satisfied by a defendant's intent to engage in other conduct prohibited by the order of protection while in the banned premises. Here, the People established the predicate crimes for the ''intent to commit a crime therein'' element of burglary by presenting legally sufficient evidence to the jury to prove that when defendant entered the apartment of his former girlfriend, from which he had been barred by two

orders of protection, he intended to engage in conduct prohibited by the orders other than his trespass.

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AM JUR 2d, Appellate Review § 614; AM JUR 2d, Burglary §§ 24, 29, 65.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:4342, 172:4343, 172:4360, 172:4362.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

MCKINNEY'S, Penal Law § 140.25.

NY JUR 2d, Criminal Law §§ 3125, 3130, 3135, 4076, 4081, 4087, 4090.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Burglary; Instructions to Jury; Intent or Motive.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Carl S. Kaplan* and *Robert S. Dean* of counsel), for appellant. I. The trial court's charge, as a whole, could have misled the jurors into thinking that when defendant unlawfully enters an apartment in violation of orders of protection, the same act satisfies the intent-to-commit-a-crime-therein element of burglary, thus rendering the charge reversible error. (*People v Gaines,* 74 NY2d 358; *People v Blacknall,* 63 NY2d 912; *People v Clemins,* 158 AD2d 854; *People v Polanco,* 279 AD2d 307; *People v Cahill,* 2 NY3d 14; *People v Martinez,* 83 NY2d 26, 511 US 1137; *Yates v United States,* 354 US 298; *Burks v United States,* 437 US 1; *Stromberg v California,* 283 US 359; *People v Graves,* 76 NY2d 16.) II. The evidence was legally insufficient to prove that appellant intended to commit a crime within the apartment, and there is a reasonable doubt as a matter of law as to that element, where there was no evidence of an intent to commit a "further, and more serious [ ]" violation of the court orders, and appellant merely went to bed after entering the apartment. (*People v Polanco,* 279 AD2d 307; *Jackson v Virginia,* 443 US 307; *Fiore v White,* 531 US 225; *People v Gaines,* 74 NY2d 358; *People v Jones,* 184 AD2d 383; *People v Konikov,* 160 AD2d 146;

People v Barnes, 50 NY2d 375; *People v Castillo*, 47 NY2d 270; *People v Gilligan,* 42 NY2d 969; *People v Lambert,* 232 AD2d 225.)

Robert M. Morgenthau, District Attorney, New York City (*David M. Cohn* and *Mary C. Farrington* of counsel), for respondent. I. The evidence at trial overwhelmingly proved defendant's guilt of burglary. (*People v Schulz,* 4 NY3d 521; *People v Norman,* 85 NY2d 609; *Jackson v Virginia,* 443 US 307; *People v Santi,* 3 NY3d 234; *People v Williams,* 84 NY2d 925; *People v Mahboubian,* 74 NY2d 174; *People v Mackey,* 49 NY2d 274; *People v Gilligan,* 42 NY2d 969; *People v Barnes,* 50 NY2d 375; *People v Folsom,* 252 AD2d 834.) II. The trial court's burglary charge was proper. (*People v Clemins,* 158 AD2d 854; *People v Samuels,* 99 NY2d 20; *People v Hills,* 95 NY2d 947; *People v Coleman,* 70 NY2d 817; *People v Ladd,* 89 NY2d 893; *People v Radcliffe,* 232 NY 249; *People v Polanco,* 279 AD2d 307; *People v Tillman,* 273 AD2d 913; *People v Folsom,* 252 AD2d 834.)

OPINION OF THE COURT

ROSENBLATT, J.

A key element of burglary, which elevates it from trespass, is the defendant's intent to commit a crime inside a building. A defendant who knowingly enters or remains unlawfully in a dwelling is guilty of second-degree trespass, a class A misdemeanor (Penal Law § 140.15). That crime is elevated to second-degree burglary when the defendant intends to commit a crime inside the dwelling (Penal Law § 140.25 [2]).[1]

This appeal implicates whether the violation of an order of protection may serve as the intended crime underlying a burglary. We hold that the ''intent to commit a crime therein'' element of burglary (Penal Law § 140.25) may be satisfied by a defendant's intent to engage in conduct prohibited by an order of protection while in the banned premises. That element, however, is not satisfied solely by a defendant's intent to violate an order of protection by entering the dwelling that the order of protection declares off limits.[2]

We further conclude that the prosecution presented legally sufficient evidence that defendant, at the time he entered,

1. The intent to commit a crime in the dwelling must be contemporaneous with the entry (*People v Gaines*, 74 NY2d 358, 362-363 [1989]).

2. Such conduct is punishable, however, as criminal contempt under article 215 of the Penal Law and criminal trespass under article 140 of the Penal Law.

intended to engage in conduct prohibited by orders of protection in the victim's dwelling after entry.

I.

Defendant was arrested three times in 2001 following incidents at complainant's apartment. In January 2001, he was arrested for damaging her property. Nevertheless, she allowed defendant to move into her apartment, in February 2001, after he lost his job. In April 2001, the Criminal Court of the City of New York issued an order of protection requiring him to stay away from her and from her home until April 25, 2004.[3] However, complainant once more allowed defendant to return to the apartment.

In the early hours of July 24, 2001, defendant and complainant got into an argument at her apartment and defendant struck her over the head with a plate. She was taken to the hospital and received six stitches. Defendant was again arrested. On July 30, 2001, Criminal Court issued another order of protection.[4] Again, she allowed defendant back into her apartment a few days after he got out of jail.

On August 17 or 18, 2001, complainant told defendant to leave her residence, took her apartment keys from him and went to stay with a friend. On August 19, 2001, while both orders of protection were in effect, defendant entered her apartment without her knowledge. The jury heard evidence that the fire escape ladder leading to the apartment was pulled down to street level and that one of her apartment windows showed signs of tampering.

In the early hours of August 20, 2001, complainant returned to her apartment and found defendant there. She told him to get out and, when he refused and began swearing at her, she went downstairs to call the police from a pay phone. Defendant kicked her and continued to swear at her as she went down the steps. Later, the police found her pocketbook and some of her papers scattered on the ground below her apartment windows.

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3. In addition to the stay-away provisions, the order of protection required defendant to "[r]efrain from any contact including mail, telephone, e-mail, voice-mail or other electronic communication with" the complainant and to "[r]efrain from assault, stalking, harassment, menacing, reckless endangerment, disorderly conduct, intimidation, threats or otherwise interfering with" her.

4. This order of protection contained the identical provisions as the extant order (*see* n 3).

Police arrested defendant a third time. With respect to the last incident, defendant was charged with burglary in the second degree (Penal Law § 140.25 [2]) and criminal contempt in the second degree (Penal Law § 215.50 [3]).[5]

During trial, defense counsel asked the trial judge to instruct the jury that the ''intent to commit a crime therein'' element of burglary could be satisfied only if it were proven that, at the time of entry, defendant intended to commit some crime in addition to unlawful entry. The trial court refused the request, and instead gave a standard jury instruction on second-degree burglary, largely based on CJI2d (NY) Penal Law § 140.25 (2) (revised Oct. 25, 2001). The court instructed the jury that there are three elements of second-degree burglary (Penal Law § 140.25 [2]): first that defendant entered a dwelling, second that he knew the entry to be unlawful and, third, and here most critically, that he intended ''to commit a crime *therein*'' (emphasis supplied).

With only the burglary count undecided, the jury returned a partial verdict acquitting defendant of assault (relative to the July 24, 2001 event) but finding him guilty of criminal contempt in the first degree (Penal Law § 215.51 [b] [v]) for the July 24, 2001 event and criminal contempt in the second degree (Penal Law § 215.50 [3]) for the August 20, 2001 episode.[6] As it was about to adjourn for the day, the jury delivered a note asking about the relevance of defendant's criminal contempt to the ''intent to commit a crime therein'' element of burglary.

The prosecutor suggested instructing the jury that criminal contempt can be the basis for the ''intent to commit a crime therein'' element of burglary. Defendant's attorney acquiesced by telling the trial court that he did not ''have to[o] much problem'' with the prosecutor's proposal. Defense counsel then asked for the following formulation: ''you should say, if it is your general question as to whether . . . the crime constitut[ing] contempt can be the basis for a burglary charge, the answer is yes.'' The trial court followed defense counsel's proposal almost to the word. The jury then quickly reached a

5. The indictment and trial also covered the July 24, 2001 incident, for which defendant was charged with assault in the second degree (Penal Law § 120.05 [2]) and criminal contempt in the first degree (Penal Law § 215.51 [b] [v]). This appeal does not involve those crimes. We address only the burglary conviction arising out of the events of August 20, 2001.

6. First-degree criminal contempt is more serious because it contemplates physical contact or attempted or threatened physical contact.

verdict finding defendant guilty of second-degree burglary (Penal Law § 140.25 [2]).

The Appellate Division affirmed and a Justice of that Court granted defendant leave to appeal. We affirm.

II.

Defendant claims that the burglary conviction is flawed because the court had improperly refused to instruct the jury that intent to enter the banned premises cannot alone satisfy the "intent to commit a crime therein" element of burglary. On this record, defendant's claim fails. Appropriately, the court charged the jury as to the three elements of burglary, the third being the intent to commit a crime *therein*. Indeed, the court used the word "therein" five times in its initial instruction regarding burglary. By tracking the statute and the CJI language, the court conveyed to the jury that it could not find defendant guilty unless it concluded that he intended to commit a crime inside the apartment, after having entered it.

[1] When the jury later presented its note seeking supplemental instruction, defense counsel expressly asked the court to tell the jury that a violation of an order of protection can "be the basis for a burglary charge." Defendant therefore forfeited appellate review of the issue of whether the trial court's charge, as a whole, could have misled the jury into thinking that intent to enter an apartment in violation of an order of protection could alone satisfy the "intent to commit a crime therein" element of burglary.

While it is true that an attorney need not repeatedly protest a court's clear ruling, defense counsel's formulation of the supplementary instruction went far beyond mere failure to protest and constitutes a forfeiture. Indeed, the court fully adopted the defendant's language. He cannot now be heard to complain that the court failed to explain to the jury that the "intent to commit a crime therein" element of burglary cannot be satisfied solely by proof that defendant intended to enter the apartment in violation of orders of protection.

III.

[2] Unlawful entry cannot itself be used as the sole predicate crime in the "intent to commit a crime therein" element of burglary. If it could, every violation of a do-not-enter provision of an order of protection would become a burglary the instant defendant knowingly entered upon the banned premises. Here, however, evidence presented to the jury was legally sufficient to prove that when defendant entered the apartment, he intended to commit a crime in the apartment other than his trespass.

The jury heard evidence that defendant was arrested in January 2001 for damaging complainant's property and pleaded guilty to the charge; that, less than a month before the August 20, 2001 incident, defendant got into an argument with the victim in her apartment and struck her over the head with a plate, causing her serious injury; that, at the time of the August 20, 2001 incident, the fire escape ladder leading to the victim's apartment had been pulled down to street level, and one of her apartment windows showed signs of tampering; that, at the time of the August 20, 2001 incident, complainant's pocketbook and some of her papers were strewn on the ground below her apartment windows; that, in the early hours of that day, defendant swore at the victim when she told him to leave her apartment and kicked her as she went downstairs to call the police; and that, as he was being arrested, defendant told her ''You are through'' or ''You're going to pay for this.''

This evidence enabled the jury to infer that defendant intended to commit a crime inside the apartment, by violating the orders of protection in a manner that went beyond trespass. The People were required to allege and prove only defendant's general intent to commit a crime in the apartment (in addition to unlawful entry itself), not his intent to commit a specific crime (*see People v Mackey*, 49 NY2d 274, 278-281 [1980]). ''In order to secure a conviction for burglary, the People need only allege and prove a knowing and unlawful entry coupled with an intent to commit a crime therein. There is no requirement that the People allege or establish what particular crime was intended'' (*People v Mahboubian*, 74 NY2d 174, 193 [1989]).[7]

There was evidence enabling the jury to conclude that, when he entered the apartment, defendant intended to harass, menace, intimidate, threaten or interfere with complainant in her apartment, in express violation of the terms of the orders of protection (other than those barring entry). Those acts are distinct from the trespass element of burglary and, when prohibited by an order of protection or when independently

7. If the People had expressly limited their theory of the ''intent to commit a crime therein'' element to a particular crime, then they would have had to prove that the defendant intended to commit that crime (*People v Barnes*, 50 NY2d 375, 379 n 3 [1980]). They did not.

criminal, can serve as predicate crimes for the ''intent to commit a crime therein'' element of burglary.

IV.

In sum, defendant forfeited his objection to the trial court's jury charge and fails to demonstrate that the evidence presented against him was legally insufficient to prove that he unlawfully entered the victim's apartment intending ''to commit a crime therein.''

Accordingly, the order of the Appellate Division should be affirmed.

R.S. SMITH, J. (dissenting). I agree with the majority that the evidence was sufficient to support defendant's burglary conviction. I also agree that defendant's violation of an order of protection by entry into the complainant's home cannot be a basis for finding the ''intent to commit a crime'' element of burglary in this case. I think the latter holding requires us to reverse defendant's conviction.

Defendant asked for a correct instruction to the effect that the People must show more than unlawful entry. The trial court refused the instruction, and later, in response to a question, told the jury the exact opposite. I do not believe defendant forfeited appellate review of this error, and I therefore dissent.

I

Before I describe my disagreement with the majority, I think my agreement on the sufficiency of the evidence needs a word of explanation. As I understand the Court's holding on this issue, it does not imply that the ''intent to commit a crime'' element of burglary could be satisfied by conduct (beyond entry to the premises) that would be innocuous if the order of protection did not prohibit it.

In the case before us, as the majority correctly says, the jury could have found that defendant entered the apartment intending ''to harass, menace, intimidate, threaten or interfere with complainant'' (majority op at 552). The majority is also correct, I believe, in holding that that intention would be an ''intent to commit a crime'' and thus would support a burglary conviction. It is true, as the majority says, that each of these acts was prohibited by the order of protection, so that in performing any of them defendant would have committed criminal contempt. But it is probably also true (depending on how broadly ''interfere with'' is read) that each of these acts would be criminal even if the order of protection did not exist.

It is easy to imagine a different, more troubling, case. The order of protection here required defendant, among other things, not to ''contact'' complainant. It might be argued that if he entered the apartment with the intention of speaking to her, he entered unlawfully with the intent to commit criminal contempt by an act that went beyond entry. Whether that intention could support a burglary conviction is an issue not now before us, and I do not think the majority addresses it.

II

Defendant asked the trial court to instruct the jury ''that the intent-to-commit-a-crime-therein element of the burglary statute cannot be satisfied merely by showing the defendant's intent to violate the court orders by going to, or entering, the complainant's apartment.'' The People now concede, and this Court unanimously agrees, that that proposed charge would have stated the law correctly. The trial court, however, rejected the proposed charge with the observation: ''I disagree. . . . [Y]ou just don't have to do anything more . . . . [B]eing there in violation of the Order of Protection . . . is a burglary should the jury decide the facts support it.'' The court's view of the law was plainly incorrect.

Though its reasoning was unsound, the trial court may not have erred in refusing to give defendant's proposed charge, and instead simply describing the elements of second-degree burglary. A charge is not necessarily incorrect merely because it follows the statutory language and does not elucidate it ''to the fullest possible extent'' (*People v Samuels*, 99 NY2d 20, 25 [2002]). Thus it might be concluded, as the Appellate Division majority did conclude, that ''the court delivered a correct main charge, even if it did so inadvertently'' (13 AD3d 208, 213 [2004]).

This issue became academic when the jury later asked the very question defendant's proposed charge had been designed to anticipate. As the prosecutor summarized the jury's question, the jury wanted to know whether ''the unlawful entry . . . can be the basis of intending to commit the crime therein.'' Referring to the court's earlier statements on the subject, the prosecutor said: ''I thought we had a lot of discussion in the charge conference, the answer was yes.''

The prosecutor was right in saying that the trial court had already rejected defendant's argument on this issue. No doubt for that reason, defendant did not reargue the point when discussing the jury's note. Implicitly accepting the prosecutor's statement that the court had already ruled, defendant's counsel assumed that the court would give an affirmative answer to the jury's question, and suggested a way of wording it, which the court accepted. In doing this, the majority now holds, defendant forfeited his right to complain of the court's error.

I cannot agree. A waiver or forfeiture may occur when a defendant requests or endorses a ruling of which he later complains (*see People v White*, 53 NY2d 721, 723-724 [1981]). The reason for this rule is that a defendant should not be able to obtain a reversal based on an error for which he was responsible (*see People v Shaffer*, 66 NY2d 663, 665 [1985]; *People v Ford*, 62 NY2d 275, 283 [1984]; *People v Aezah*, 191 AD2d 312, 313 [1st Dept 1993]). But defendant did not lead the trial court into error here—the court had already stated unequivocally its mistaken understanding of the law, and the defendant's attempt to talk the court out of it had already failed. Thus the governing rule here is the one the majority states, but does not apply: "an attorney need not repeatedly protest a court's clear ruling" (majority op at 551) (*see also People v Mezon*, 80 NY2d 155, 160-161 [1992]).

Of course it would have been a good idea for defendant's counsel, in his comment on how to respond to the jury note, to err on the side of caution by restating the position he had already argued. He might have said, for example: "As you know, your Honor, I think the correct answer to the question is no. But since you have already decided the correct answer is yes, I suggest that you answer in the following language." But if he had taken this more prudent course, defense counsel would only have been reciting what everyone in the courtroom knew and the record made clear already. I cannot join the majority in holding that he forfeited his client's right by failing to perform this ritual.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO and READ concur with Judge ROSENBLATT; Judge R.S. SMITH dissents in a separate opinion in which Judge G.B. SMITH concurs.

Order affirmed.

[840 NE2d 1020, 807 NYS2d 7]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES ROBBINS, Appellant.

Argued October 20, 2005; decided November 22, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 28, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Lewis Bart Stone, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree and criminal sale of a controlled substance in or near school grounds.

People v Robbins, 10 AD3d 570, affirmed.

HEADNOTE

Crimes — Controlled Substances — Criminal Sale in or Near School Grounds — Measurement of 1,000-Foot Distance from School Property Line

In the prosecution of defendant pursuant to Penal Law § 220.44 (2) for third-degree criminal sale of a controlled substance within 1,000 feet of a school, the People properly calculated the requisite distance by measuring in a straight line between the point of sale to the real property boundary line of the nearest school. Although existing buildings made it impossible to walk in a straight line between those points, and the shortest actual distance that a pedestrian would have had to travel in order to walk between those points using city streets and publicly accessible locations exceeded 1,000 feet, the ''straight-line method,'' and not the ''pedestrian method,'' is the appropriate method of measurement under the statute. Section 220.00 (14) defines school grounds to encompass both the school property itself and any publicly accessible area located ''within one thousand feet of the real property boundary line'' of the school. The school-grounds law was enacted in order to create a drug-free buffer zone of protection for children coming to and from school, and the intent of the statute was to circumscribe a fixed geographical area, without regard to whether that area might contain obstacles around which people might have to detour.

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AM JUR 2d, Drugs and Controlled Substances § 175.
MCKINNEY'S, Penal Law § 220.00 (14); § 220.44 (2).
NY JUR 2d, Criminal Law §§ 4850, 4853.

ANNOTATION REFERENCE

Validity, construction, and application of state statutes prohibiting sale or possession of controlled substances within specified distance of schools. 27 ALR5th 593.

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POINTS OF COUNSEL

Sheila Fernandez, New York City, *Laura R. Johnson* and *Martin M. Lucente* for appellant. The evidence of sale in or near school grounds was legally insufficient, where the court allowed the People to prove the requisite proximity by use of the Pythagorean theorem, instead of the ''pedestrian'' method that is based on the actual distance travelled in going from one point to the other. (*People v Gaines,* 167 Misc 2d 923; *United States v Henderson,* 320 F3d 92; *United States v Clavis,* 956 F2d 1079; *United States v Ofarril,* 779 F2d 791; *People v Zelaya,* 232 AD2d 261; *People v Andujas,* 79 NY2d 113; *People v Kitching,* 78 NY2d 532; *People v Doshi,* 93 NY2d 499; *People v Baghai-Kermani,* 84 NY2d 525; *People v Cohen,* 50 NY2d 908.)

Robert M. Morgenthau, District Attorney, New York City (*Deborah L. Morse* and *Gina Mignola* of counsel), for respondent. The evidence plainly established that the drug sale occurred within 1,000 feet of a school. (*Jackson v Virginia,* 443 US 307; *People v Norman,* 85 NY2d 609; *People v Malizia,* 62 NY2d 755; *People v Kennedy,* 47 NY2d 196; *People v Robinson,* 95 NY2d 179; *People v Ryan,* 82 NY2d 497; *People v Duggins,* 3 NY3d 522; *People v Versaggi,* 83 NY2d 123; *People v Perez,* 277 AD2d 1; *People v Gaines,* 167 Misc 2d 923.)

OPINION OF THE COURT

Chief Judge Kaye.

It is a class B felony to sell drugs within 1,000 feet of a school. Because we agree with the courts below that this distance is to be measured in a straight line between the nearest school and the point of sale, we uphold defendant's conviction.

Penal Law § 220.44 (2) proscribes the third-degree criminal sale of a controlled substance ''when such sale takes place upon school grounds.'' School grounds, in turn, means not only ''in or on or within'' school buildings or school property, but also ''any area accessible to the public located within one thousand feet of the real property boundary line'' of a school, as well as any vehicle parked within 1,000 feet of such line (Penal Law § 220.00 [14]).[1]

Defendant was charged with selling drugs to an undercover police officer at the northeast corner of 40th Street and Eighth Avenue in Manhattan. At trial, the People offered proof that the nearest school was the Holy Cross grade school, located on 43rd Street between Eighth and Ninth Avenues. It is undisputed that the sale took place within 1,000 feet of the school when measured in a straight line between the sale and the school's boundary line, but that existing buildings made it impossible to walk in a straight line between those two points. It is further undisputed that the shortest actual distance that a pedestrian would have to travel in order to walk from the scene of the crime to the school using city streets and publicly accessible locations exceeded 1,000 feet.

Defendant contends that the statute mandates that the requisite distance be calculated by the ''pedestrian method,'' and that the evidence was therefore legally insufficient to support his conviction. We are unpersuaded, and hold that the proper method of measurement under the statute is the ''straight-line method.''

The school-grounds law was enacted in order to create a drug-free buffer zone of protection—''a corridor of safety for children coming to and from school'' (Mem of State Exec Dept, 1986 McKinney's Session Laws of NY, at 2892). By defining school grounds to encompass both the school property itself and the entire area ''within'' 1,000 feet of the property boundary line, the Legislature effectively extended the boundaries of school grounds outward in order to encompass all public areas within a 1,000-foot radius of the school.

Indeed, the 1,000-foot measurement was chosen because of the high number of narcotics-related arrests that had occurred within a two-block ''radius'' of elementary school grounds[2] (*id.*; *see also* Governor's Mem approving L 1986, ch 280, 1986 McKinney's Session Laws of NY, at 3161 [because many, if not most, sales of drugs to children occur near but not inside school buildings, the bill defines school grounds to include ''the area'' within 1,000 feet of the real property boundary line, providing a ''zone of safety'' for school children]). Thus, the intent of the

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1. An ''area accessible to the public'' means ''sidewalks, streets, parking lots, parks, playgrounds, stores and restaurants'' (*id.*).

2. One thousand feet is ''the equivalent of two city blocks'' (*id.*).

statute was to circumscribe a fixed geographical area, without regard to whether that area might contain obstacles around which people might have to detour.

Other jurisdictions with similar statutes have construed their laws to require a straight-line measurement (*see e.g. Commonwealth v Spano*, 414 Mass 178, 181, 605 NE2d 1241, 1244 [1993]; *State v Georgetown*, 1995 WL 866838, 1995 La App LEXIS 3878 [La Ct App, Dec. 15, 1995]; *State v Wimbs*, 74 Wash App 511, 515, 874 P2d 193, 195 [Ct App 1994]; *State v Vigh*, 871 P2d 1030, 1035 [Utah Ct App 1994]; *Howard v State*, 591 So 2d 1067, 1068 [Fla Dist Ct App 1991]; *State v Ogar*, 229 NJ Super 459, 465, 551 A2d 1037, 1040-1041 [App Div 1989]; *see also Taylor Drug Stores, Inc. v Indiana Alcoholic Beverage Commn.*, 497 NE2d 932, 936 [Ct App 1986] [proximity between a church and a premises seeking a permit to distribute alcoholic beverages should be measured along the shortest straight line connecting the church and the proposed premises, regardless of intervening obstacles]).

Similarly, the federal schoolyard law—which prohibits ''distributing, possessing with intent to distribute, or manufacturing a controlled substance in or on, or within one thousand feet of, the real property comprising'' a school (21 USC § 860)—has been universally interpreted to contemplate the straight-line method of measurement (*see e.g. United States v Henderson*, 320 F3d 92, 103 [1st Cir 2003], *cert denied* 539 US 936 [2003]; *United States v Johnson*, 46 F3d 1166, 1169-1170 [DC Cir 1995]; *United States v Clavis*, 956 F2d 1079, 1088 [11th Cir 1992], *cert denied sub nom. Edwards v United States,* 504 US 990 [1992]; *United States v Watson*, 887 F2d 980, 980-981 [9th Cir 1989]; *United States v Ofarril*, 779 F2d 791, 792 [2d Cir 1985], *cert denied* 475 US 1029 [1986]; *see also* Mem of State Exec Dept, 1986 McKinney's Session Laws of NY, at 2892 [characterizing the federal schoolyard law as ''similar legislation'' to the proposed New York statute]).

Defendant's contrary reading would introduce uncertainty and open the statute to a charge of vagueness. Plainly, guilt under the statute cannot depend on whether a particular building in a person's path to a school happens to be open to the public or locked at the time of a drug sale. At a minimum, ''[r]equiring speculation about pedestrian routes would create uncertainty in a statute which was meant to establish clear lines of demarcation'' (*Watson*, 887 F2d at 980-981).

Further, if the pedestrian method of measurement were used, a drug dealer could take deliberate steps to evade the reach of the statute by putting up obstructions to render the footpath to a nearby school beyond the 1,000-foot limit (*see Clavis*, 956 F2d at 1088). But the intent of the legislation would be defeated ''if dealers were allowed to escape prosecution by creating circuitous routes to their narcotic transactions'' (*Watson*, 887 F2d at 981). Thus, as the courts below properly held, the statutory distance is to be measured ''as the crow flies.''

Defendant's remaining contention is without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[841 NE2d 742, 807 NYS2d 583]

NEIL A. GOLDMAN, on Behalf of Himself and All Others Similarly Situated, Appellant, v METROPOLITAN LIFE INSURANCE COMPANY, Respondent.

ALLEN S. FRANCO et al., Appellants, v THE GUARDIAN LIFE INSURANCE COMPANY OF AMERICA, Respondent.

MICHAEL KATZ, Appellant, v AMERICAN MAYFLOWER LIFE INSURANCE COMPANY OF NEW YORK, Respondent.

Argued October 17, 2005; decided November 21, 2005

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 28, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Ira Gammerman, J.), which had denied defendant's motion to dismiss the complaint, (2) granted the motion, and (3) directed the Clerk to enter judgment in favor of defendant Metropolitan Life Insurance Company dismissing the complaint. The following question was certified by the Appellate Division: ''Was the order of this Court, which reversed the order of Supreme Court, properly made?''

APPEALS, in the second and third above-entitled actions, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from orders of that Court entered December 28, 2004. The Appellate Division affirmed orders of the Supreme Court, New York County (Herman Cahn, J.; op 2003 NY Slip Op 50024[U]), which had granted defendants' motion to dismiss the complaints. The following question was certified by the Appellate Division in each action: ''Was the order of this Court, which affirmed the order of the Supreme Court, properly made?''

Goldman v Metropolitan Life Ins. Co., 13 AD3d 289, affirmed.

Franco v Guardian Life Ins. Co. of Am., 13 AD3d 292, affirmed.

Katz v American Mayflower Life Ins. Co. of N.Y., 14 AD3d 195, affirmed.

HEADNOTE

Insurance — Life Insurance — Policy Date Set Prior to Effective Date — Payment for Days Not Covered

No breach of a life insurance contract occurred where a policy date was set prior to an effective date and the insured, in the first year of the policy, paid for days that were not covered. An insurance contract using the word "annual" to describe premium payments is not ambiguous as to coverage because the insured, in the first year, receives less than 365 days of coverage. There was no evidence that the insurer was not bargaining in good faith and fair dealing with the insured. The application clearly stated the terms and conditions of the insurance policy, and the policy also stated when coverage would begin. Further, there was no unjust enrichment inasmuch as the matter was controlled by contract. Finally, there was no breach of General Business Law § 349, as plaintiffs failed to properly allege any deceptive practices.

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AM JUR 2d, Consumer and Borrower Protection §§ 255, 258–260, 264.

MCKINNEY'S, General Business Law § 349.

NY JUR 2d, Consumer and Borrower Protection §§ 5–7, 14.

ANNOTATION REFERENCE

Coverage of insurance transactions under state consumer–protection statutes. 77 ALR4th 991.

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POINTS OF COUNSEL

Goodkind Labaton Rudoff & Sucharow LLP, New York City (*Ira A. Schochet, Joel H. Bernstein* and *Stacey Fishbein* of counsel), *Goldman Scarlato & Karon, P.C.,* Conshohocken, Pennsylvania (*Mark S. Goldman* and *Brent T. Jordan* of counsel), and *Weinstein Kitchenoff & Asher, LLC,* Philadelphia, Pennsylvania (*David H. Weinstein* of counsel), for appellant in the first above-entitled action. I. The policy documents are ambiguous and misleading. (*Hartol Prods. Corp. v Prudential Ins. Co.,* 290 NY 44; *Bronx Sav. Bank v Weigandt,* 1 NY2d 545; *United States Fid. & Guar. Co. v Annunziata,* 67 NY2d 229; *Sloman v First Fortis Life Ins. Co.,* 266 AD2d 370; *Matter of Ideal Mut. Ins. Co. [Superintendent of Ins. of State of N.Y.—Harbour Assur. Co. of Bermuda],* 231 AD2d 59; *Holmes Protection of N.Y. v National Union Fire Ins. Co. of Pittsburgh,* 152 AD2d 496; *Matter of Mostow v State Farm Ins. Cos.,* 88 NY2d 321; *Janneck v Met. Life Ins. Co.,* 162 NY 574; *Greenfield v Philles Records,* 98 NY2d 562; *Computer Assoc. Intl., Inc. v U.S. Balloon Mfg. Co., Inc.,* 10 AD3d 699.) II. Other courts in New York and elsewhere have upheld claims against insurers in risk-free period cases. (*MDW Enters. v CNA Ins. Co.,* 4 AD3d 338; *Randazzo v Gerber Life Ins. Co.,* 3 AD3d 485, 2 NY3d 704; *Dougherty v William Penn Life Ins. Co. of N.Y.,* 3 AD3d 469, 2 NY3d 704; *Topel v Reliastar Life Ins. Co. of N.Y.,* 6 AD3d 608.) III. Dismissal of appellant's cause of action for breach of contract was improper. (*Lachs v Fidelity & Cas. Co. of N.Y.,* 306 NY 357; *Matter of Mostow v State Farm Ins. Cos.,* 88 NY2d 321.) IV. Dismissal of appellant's cause of action for unjust enrichment was improper. (*Wolf v National Council of Young Israel,* 264 AD2d 416; *Plant City Steel Corp. v National Mach. Exch.,* 23 NY2d 472; *Merrill Lynch, Pierce, Fenner & Smith v Chipetine,* 221 AD2d 284; *Springer v Allstate Life Ins. Co. of N.Y.,* 94 NY2d 645; *Great N. Ins. Co. v Mount Vernon Fire Ins. Co.,* 92 NY2d 682; *North Star Reins. Corp. v Continental Ins. Co.,* 82 NY2d 281; *Caldwell v ABKCO Music & Records,* 269 AD2d 206; *Natimir Rest. Supply v London 62 Co.,* 140 AD2d 261.) V. Dismissal of appellant's cause of action for breach of the implied covenant of good faith and fair dealing was improper. (*Kirke La Shelle Co. v Armstrong Co.,* 263 NY 79; *Dalton v Educational Testing Serv.,* 87 NY2d 384; *White Angel Realty v Asian Bros. Corp.,* 183 Misc 2d 674; *Just-Irv Sales v Air-Tite Bus. Ctr.,* 237 AD2d 793; *Broder v MBNA Corp.,* 281 AD2d 369; *Zurakov v Register.Com, Inc.,* 304 AD2d 176; *Jaffe v Paramount Communications,* 222 AD2d 17; *Sims v First Consumers Natl. Bank,* 303 AD2d 288; *Frydman & Co. v Credit Suisse First Boston Corp.,* 272 AD2d 236.)

Baker & McKenzie, San Francisco, California, New York City (*Christopher Van Gundy* and *Mark R. Winston* of counsel), for respondent in the first above-entitled action. I. Plaintiff's breach of contract claim fails as a matter of law because the policy admittedly disclosed when coverage began, and when the second premium was due. (*Kraft v Sheridan,* 134 AD2d 217; *Atkinson v Mobil Oil Corp.,* 205 AD2d 719; *Klein v Empire Blue Cross & Blue Shield,* 173 AD2d 1006; *MG Ref. & Mktg., Inc. v Knight Enters., Inc.,* 25 F Supp 2d 175; *Nowak v Ironworkers Local 6 Pension Fund,* 81 F3d 1182; *Matter of Mostow v State Farm Ins. Cos.,* 88 NY2d 321; *Greenfield v Philles Records,* 98 NY2d 562; *Doyne v Kerner,* 96 AD2d 523; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *Hunt Ltd. v Lifschultz Fast Frgt., Inc.,* 889 F2d 1274.) II. Plaintiff's breach of the implied covenant of good faith and fair dealing claim fails as a matter of law. (*New York Univ. v Continental Ins. Co.,* 87 NY2d 308; *Bank of N.Y. v Sasson,* 786 F Supp 349; *Holmes Protection of N.Y. v Provident Loan Socy. of N.Y.,* 179 AD2d 400; *Teller v Bill Hayes, Ltd.,* 213 AD2d 141;

Skillgames, LLC v Brody, 1 AD3d 247.) III. Plaintiff's unjust enrichment claim falls as a matter of law. (*State of New York v Barclays Bank of N.Y.,* 76 NY2d 533; *Evans v City of Johnstown,* 96 Misc 2d 755; *Miller v Schloss,* 218 NY 400; *Hornett v Leather,* 145 AD2d 814, 74 NY2d 603; *Joseph Sternberg, Inc. v Walber 36th St. Assoc.,* 187 AD2d 225; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.,* 70 NY2d 382; *Caldwell v ABKCO Music & Records,* 269 AD2d 206; *Greenfield v Philles Records,* 98 NY2d 562.)

Goodkind Labaton Rudoff & Sucharow LLP, New York City (*Ira A. Schochet, Joel H. Bernstein, Louis Gottlieb* and *Stacey Fishbein* of counsel), and *Lowey Dannenberg Bemporad & Selinger P.C.,* White Plains (*Richard Bemporad* and *Vincent Briganti* of counsel), for appellants in the second above-entitled action. I. The only reasonable expectation of an average insured is that an annual premium payment purchases one full year of insurance coverage. (*Hartol Prods. Corp. v Prudential Ins. Co.,* 290 NY 44; *Bronx Sav. Bank v Weigandt,* 1 NY2d 545; *Kosierowski v Madison Life Ins. Co.,* 31 AD2d 930; *Eagle Star Ins. Co. v International Proteins Corp.,* 45 AD2d 637, 38 NY2d 861; *United States Fid. & Guar. Co. v Annunziata,* 67 NY2d 229; *Sloman v First Fortis Life Ins. Co.,* 266 AD3d 370; *Matter of Ideal Mut. Ins. Co. [Superintendent of Ins. of State of N.Y.—Harbour Assur. Co. of Bermuda],* 231 AD2d 59; *Holmes Protection of N.Y. v National Union Fire Ins. Co. of Pittsburgh,* 152 AD2d 496; *Matter of Mostow v State Farm Ins. Cos.,* 88 NY2d 321.) II. Guardian Life Insurance Company of America's policy documents are ambiguous. (*Hartol Prods. Corp. v Prudential Ins. Co.,* 290 NY 44; *Janneck v Met. Life Ins. Co.,* 162 NY 574; *Matter of United Community Ins. Co. v Mucatel,* 69 NY2d 777; *Pichel v Hanover Ins. Cos.,* 155 Misc 2d 746, 192 AD2d 1132; *Greenfield v Philles Records,* 98 NY2d 562; *Computer Assoc. Intl., Inc. v U.S. Balloon Mfg. Co.. Inc.,* 10 AD3d 699; *Guardian Life Ins. Co. v Schaefer,* 70 NY2d 888; *Lavanant v General Acc. Ins. Co. of Am.,* 79 NY2d 623; *Liverpool & London & Globe Ins. Co. v Kearney,* 180 US 132.) III. Other courts in New York and elsewhere have upheld claims against insurers in risk-free period cases. (*MDW Enters. v CNA Ins. Co.,* 4 AD3d 338; *Randazzo v Gerber Life Ins. Co.,* 3 AD3d 485, 2 NY3d 704; *Dougherty v William Penn Life Ins. Co. of N.Y.,* 3 AD3d 469, 2 NY3d 704; *Topel v Reliastar Life Ins. Co. of N.Y.,* 6 AD3d 608.) IV. Dismissal of appellants' cause of action for violation of General Business Law § 349 was improper. (*State of New York v Princess Prestige Co.,* 42 NY2d 104; *People v Apple Health & Sports Clubs,* 206 AD2d 266; *Matter of State of New York v Maiorano,* 189

AD2d 766; *Karlin v IVF Am.,* 93 NY2d 282; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank,* 85 NY2d 20; *Gaidon v Guardian Life Ins. Co. of Am.,* 94 NY2d 330; *Unibell Anesthesia v Guardian Life Ins. Co. of Am.,* 239 AD2d 248; *Taylor v American Bankers Ins. Group,* 267 AD2d 178; *Negrin v Norwest Mtge.,* 263 AD2d 39; *Teller v Bill Hayes, Ltd.,* 213 AD2d 141.) V. Dismissal of appellants' cause of action for breach of contract was improper. (*Lachs v Fidelity & Cas. Co. of N.Y.,* 306 NY 357; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321.) VI. Dismissal of appellants' cause of action for unjust enrichment was improper. (*Wolf v National Council of Young Israel,* 264 AD2d 416; *Plant City Steel Corp. v National Mach. Exch.,* 23 NY2d 472*; Merrill Lynch, Pierce, Fenner & Smith v Chipetine,* 221 AD2d 284; *Springer v Allstate Life Ins. Co. of N.Y.,* 94 NY2d 645; *Great N. Ins. Co. v Mount Vernon Fire Ins. Co.,* 92 NY2d 682; *North Star Reins. Corp. v Continental Ins. Co.,* 82 NY2d 281; *Caldwell v ABKCO Music & Records,* 269 AD2d 206; *Natimir Rest. Supply v London 62 Co.,* 140 AD2d 261.)

Skadden Arps Slate Meagher & Flom LLP, New York City (*Thomas J. Dougherty* of counsel), for respondent in the second above-entitled action. I. The six Appellate Division decisions on virtually identical claims have all been decided against appellants. (*Dougherty v William Penn Life Ins. Co. of N.Y.,* 3 AD3d 469; *Randazzo v Gerber Life Ins. Co.,* 3 AD3d 485; *Topel v Reliastar Life Ins. Co. of N.Y.,* 6 AD3d 608.) II. The courts have long approved Guardian Life Insurance Company of America's practice of providing different dates for the date of coverage and the date premiums are due. (*Travelers Ins. Co. v Castro,* 341 F2d 882.) III. Dismissal of the breach of contract claim was proper because the terms of the policy are unambiguous. (*Randazzo v Gerber Life Ins. Co.,* 3 AD3d 485; *Topel v Reliastar Life Ins. Co. of N.Y.,* 6 AD3d 608; *Belt Painting Corp. v TIG Ins. Co.,* 100 NY2d 377; *Lavanant v General Acc. Ins. Co. of Am.,* 79 NY2d 623; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.,* 60 NY2d 390; *Guardian Life Ins. Co. of Am. v Schaefer,* 70 NY2d 888; *Pichel v Hanover Ins. Cos.,* 155 Misc 2d 746; *Matter of United Community Ins. Co. v Mucatel,* 69 NY2d 777; *Matter of Ideal Mut. Ins. Co. [Superintendent of Ins. of State of N.Y.—Harbour Assur. Co. of Bermuda],* 231 AD2d 59; *Holmes Protection of N.Y. v National Union Fire Ins. Co. of Pittsburgh,* 152 AD2d 496.) IV. Appellants' authority is unpersuasive and does not support their reading of the policy. (*Metropolitan Life Ins. Co. v RJR Nabisco, Inc.,* 906 F2d 884; *Abner, Herrman & Brock,* *Inc. v Great N. Ins. Co.,* 308 F Supp 2d 331; *Ark Bryant Park Corp. v Bryant Park Restoration Corp.,* 285 AD2d 143.) V. The unjust enrichment claim was also properly dismissed. (*Apfel v Prudential-Bache Sec.,* 81 NY2d 470; *Sunrise Plaza Assoc. v International Summit Equities Corp.,* 288 AD2d 300; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.,* 70 NY2d 382; *Moore v Microsoft Corp.,* 293 AD2d 587; *Plant City Steel Corp. v National Mach. Exch.,* 23 NY2d 472; *Merrill Lynch, Pierce, Fenner & Smith v Chipetine,* 221 AD2d 284; *Caldwell v ABKCO Music & Records,* 269 AD2d 206; *Natimir Rest. Supply v London 62 Co.,* 140 AD2d 261.) VI. The General Business Law § 349 claim also was properly dismissed. (*Ludl Elecs. Prods. v Wells Fargo Fin. Leasing,* 6 AD3d 397; *Citipostal, Inc. v Unistar Leasing,* 283 AD2d 916; *Stutman v Chemical Bank,* 95 NY2d 24; *Gaidon v Guardian Life Ins. Co. of Am.,* 94 NY2d 330; *Negrin v Norwest Mtge.,* 263 AD2d 39; *Unibell Anesthesia v Guardian Life Ins. Co. of Am.,* 239 AD2d 248; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank,* 85 NY2d 20; *Taylor v American Bankers Ins. Group,* 267 AD2d 178.)

Wechsler Harwood LLP, New York City (*William R. Weinstein* and *Robert I. Harwood* of counsel), for appellant in the third above-entitled action. I. The lower court decisions dismissing plaintiff's claim for breach of contract are erroneous and should be reversed by this Court. (*Hartol Prods. Corp. v Prudential Ins. Co.,* 290 NY 44; *United States Fid & Guar. Co. v Annunziata,* 67 NY2d 229; *Sloman v First Fortis Life Ins. Co.,* 266 AD2d 370; *Bronx Sav. Bank v Weigandt,* 1 NY2d 545; *Matter of Mostow v State Farm Ins. Cos.,* 88 NY2d 321; *Tri Town Antlers Found. v Fireman's Fund Ins. Co.,* 158 AD2d 908, 76 NY2d 841; *Lachs v Fidelity & Cas. Co. of N.Y.,* 306 NY 357; *Garry v Worldwide Underwriters Ins. Co.,* 120 Misc 2d 91, 101 AD2d 717; *Guardian Life Ins. Co. of Am. v Schaefer,* 70 NY2d 888; *Matter of United Community Ins. Co. v Mucatel,* 127 Misc 2d 1045, 119 AD2d 1017, 69 NY2d 777; *Miller v Continental Ins. Co.,* 40 NY2d 675.) II. The lower courts erred in dismissing plaintiff's alternative claim for unjust enrichment. (*Wolf v National Council of Young Israel,* 264 AD2d 416; *Paramount Film Distrib. Corp. v State of New York,* 30 NY2d 415; *Plant City Steel Corp. v National Mach. Exch.,* 23 NY2d 472; *Limited v McCrory Corp.,* 169 AD2d 605; *Caldwell v ABKCO Music & Records,* 269 AD2d 206; *Natimir Rest. Supply v London 62 Co.,* 140 AD2d 261; *Greenfield v Philles Records,* 288 AD2d 59; *Louros v Cyr,* 175 F Supp 2d 497.)

Sonnenschein Nath & Rosenthal LLP, New York City (*Reid L.*

Ashinoff, Sandra D. Hauser and *Michael S. Gugig* of counsel), for respondent in the third above-entitled action. I. The breach of contract claim was properly dismissed. (*Leon v Martinez,* 84 NY2d 83; *WorldCom, Inc. v Sandoval,* 182 Misc 2d 1021; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514; *Chimart Assoc. v Paul,* 66 NY2d 570; *Teitelbaum Holdings v Gold,* 48 NY2d 51; *Bethlehem Steel Co. v Turner Constr. Co.,* 2 NY2d 456; *Ruttenberg v Davidge Data Sys. Corp.,* 215 AD2d 191; *R & D Maidman Family L.P. v Scottsdale Ins. Co.,* 4 Misc 3d 728; *A. Meyers & Sons Corp. v Zurich Am. Ins. Group,* 74 NY2d 298.) II. There can be no claim for unjust enrichment where an enforceable contract exists. (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.,* 70 NY2d 382; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.,* 192 AD2d 83; *Feigen v Advance Capital Mgt. Corp.,* 150 AD2d 281; *Alamo Contract Bldrs. v CTF Hotel Co.,* 242 AD2d 643; *Tierney v Capricorn Invs.,* 189 AD2d 629; *Strategic Risk Mgt. v Federal Express Corp.,* 174 Misc 2d 383, 253 AD2d 167; *Greenfield v Philles Records,* 288 AD2d 59; *Caldwell v ABKCO Music & Records,* 269 AD2d 206; *Limited v McCrory Corp.,* 169 AD2d 605; *Natimir Rest. Supply v London 62 Co.,* 140 AD2d 261.)

OPINION OF THE COURT

G.B. SMITH, J.

The primary issue in each of these cases is whether there is a breach of an insurance contract when a policy date is set prior to an effective date and the insured, in the first year of the policy, must pay for days that are not covered. We hold that the insurers' CPLR 3211 (a) (1) and (7) motions to dismiss the complaints were properly granted, and we affirm the orders of the Appellate Division.

Facts

Goldman v Metropolitan Life Ins. Co.

On January 30, 2002, plaintiff "submitted an application to MetLife for a yearly renewable term life insurance policy in the amount of $250,000." On May 30, 2002, the policy was delivered and plaintiff paid his annual premium. The insurer set the policy date as May 6, 2002. The total annual premium amount was $217.50.

Goldman brought a putative class action alleging breach of contract, breach of the implied covenant of good faith and fair dealing, unjust enrichment and violations under General Business Law § 349. In the complaint and on this motion to dismiss, plaintiff argues that since he was not covered for the 24 days between May 6 and May 30, 2002, yet was required to pay for that period of time, there was a breach of contract. He argues that the term ''annual premium'' is ambiguous because it leads the average insured to believe that he or she will receive 365 days of coverage. In fact, based upon the delay from the policy date until the date of payment and delivery of the policy, there are fewer than 365 days of coverage in the first year of the policy.

Defendant counters that there is no breach, the policy is not ambiguous and that the dates of coverage are in accordance with the payment of the premiums. Defendant points to the language of the application, which is incorporated into the policy and states ''no insurance will take effect until a policy is delivered to the owner and the full first premium due is paid.'' Further, plaintiff had the option of not accepting the policy and receiving a refund of any premiums already paid. According to defendant, the term ''annual premium'' never referred to the days of coverage but rather to the ''frequency of payment.''

Supreme Court denied MetLife's motion to dismiss based on ambiguity in the contract specifically related to payment for days of coverage without actually receiving coverage. The Appellate Division reversed, granted the insurer's motion and dismissed the complaint, finding ''that the terms of the subject insurance policy, including the initial application, which was incorporated therein, were not ambiguous and clearly set forth when coverage was to begin and when the first and subsequent annual premiums were to be paid by the C.O.D. policyholders.'' (13 AD3d 289, 290 [2004].) The Appellate Division granted plaintiff's motion for leave to appeal and certified the following question to this Court: ''Was the order of this Court, which reversed the order of Supreme Court, properly made?''

Franco v Guardian Life Ins. Co. of Am.

On June 13, 2000, the Francos signed an application for a ''modified premium whole life insurance policy in the amount of $2 million.'' On July 28, 2000, Guardian Life sent a policy to the Francos. On the same day, the Francos completed a second application in order to change the beneficiary from the wife to a trust. The total initial annual premium of $2,790 was paid on August 2, 2000. On August 28, 2000, Guardian Life reissued the policy to plaintiffs with the same policy date of July 20, 2000.

The policy became effective only after the policy was delivered and accepted by the insured. Even though it was permitted by the application, the Francos chose not to purchase interim coverage and receive a conditional receipt for temporary insurance to cover the dates between the date of application and delivery of the policy.

The Franco plaintiffs brought a putative class action for breach of contract, unjust enrichment and violations of General Business Law § 349. They argue that they were required to pay for a period of time in which the insurance company assumed no financial risk and, thus, unjustly collected monies without providing coverage. In addition to the breach of contract and unjust enrichment claims, the Francos argue that Guardian engaged in deceptive business practices in violation of General Business Law § 349. The Francos argue that the term ''annual'' is ambiguous because it does not mean a calendar year which is what the average insured would interpret the word to mean.

Defendant counters that the life insurance policy is clear on its face, that the payment of the premiums is stated on the policy and that the policy is not ambiguous. Also, defendant argues that the date of delivery was July 28, 2000, not October 10, 2000, and that the premiums are due from the policy date, not the date of delivery of the policy. Further, the Francos had an option either to pay at the time of signing the application and have coverage from the policy date or to pay at the time of delivery which would give them the same policy date but no coverage from the policy date until the date of payment.

Katz v American Mayflower Life Ins. Co. of N.Y.

On July 11, 1997, plaintiff signed an insurance application with American Mayflower Life Insurance Company of New York for a term life policy of one million dollars. The policy was issued on September 2, 1997 and delivered on September 24, 1997. On the date of delivery, plaintiff sent in his initial premium for $447.20. His annual premium, as stated on the contract, was $1,720, to be paid in quarterly installments. The policy also stated when each subsequent premium was due until the full premium was paid.

Plaintiff brought a putative class action alleging breach of contract and unjust enrichment. Like the *Goldman* and *Franco* plaintiffs, Katz argues that the insurance contract was breached and that the defendant was unjustly enriched.

Defendant denies that the policy is ambiguous and instead points to the policy language as clearly stating the dates of coverage and when the premiums are due. Defendant argues that all premiums, after the initial premium, were due based on the policy date, not the delivery date, and that plaintiff continued to pay premiums under this policy for four years prior to filing a complaint. In fact, the premium schedule which governed defendant's policy stated that the premiums would be due on the 2nd of March, June, September and December.

While the Goldman and Franco policies provide for a 10-day ''free look'' period, the Katz policy allows for a 20-day ''free look'' period in which the insured can reject the policy and be refunded any previously paid premiums. The policy states that the premiums must be paid in advance of coverage and that the total initial premium must be paid as ''shown in the Schedule on or before policy delivery.''

Supreme Court granted the motion to dismiss brought by Guardian Life against the Francos. On the same date, the Supreme Court granted American Mayflower's motion to dismiss the Katz complaint for the reasons stated in its *Franco* decision. The Appellate Division affirmed Supreme Court in *Katz*, and, based upon its *Katz* decision, affirmed Supreme Court's determination in *Franco v Guardian Life*. In *Katz*, the Appellate Division wrote:

> ''due to plaintiff's selection of the C.O.D. payment option, American Mayflower set different dates for the commencement of coverage and the premium due dates [which] does not constitute a breach of contract since they are, as plaintiff concedes, part of the contract. Thus, any claim that plaintiff paid a premium for a period of time before coverage commenced is contradicted by the express terms of the contract.'' (14 AD3d 195, 198 [2004].)

In *Franco* and *Katz*, the Appellate Division granted plaintiffs' motion for leave to appeal to this Court and certified the following question: ''Was the order of this Court, which affirmed the order of the Supreme Court, properly made?''

Discussion

When determining a motion to dismiss, the court must ''accept the facts as alleged in the complaint as true, accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory'' (*see Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner*, 96 NY2d 300, 303 [2001]; *Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). A CPLR 3211 dismissal ''may be granted where documentary evidence submitted conclusively establishes a defense to the asserted claims as a matter of law'' (*Held v Kaufman*, 91 NY2d 425, 430-431 [1998] [citation and internal quotation marks omitted]).

Breach of Contract

There were two options for payment in each of the insurance agreements. Plaintiffs could pay at the time the application was submitted and receive temporary coverage until the delivery of the policy, or pay at the time of delivery of the policy and have coverage become effective upon receipt of the first initial premium and delivery of the policy. The second option was the cash on delivery (C.O.D.) option. In all three cases, plaintiffs chose the second option.

Goldman, Katz and Franco all argue that their insurance contracts were breached. The basic issue is whether an insurance contract using the word ''annual'' to describe premium payments is ambiguous as to coverage because the insured, in the first year, receives less than 365 days of coverage. The insureds argue that the policy is ambiguous because it is the average insured's understanding that an annual premium purchases a full year of coverage. However, ''[m]ere assertion by one that contract language means something to him, where it is otherwise clear, unequivocal and understandable when read in connection with the whole contract, is not in and of itself enough to raise a triable issue of fact'' (*see Bethlehem Steel Co. v Turner Constr. Co.*, 2 NY2d 456, 460 [1957]).

In each case, the Appellate Division properly held that the contracts could be interpreted only in one manner and granted the CPLR 3211 motions to dismiss.

There is no evidence that MetLife was not bargaining in good faith and fair dealing with the insured (*see Kirke La Shelle Co. v Armstrong Co.*, 263 NY 79, 85 [1933]). The application clearly states the terms and conditions of the insurance policy. Further, the policy also states when coverage will begin. Plaintiff argues that the period in the contract which allows the insured to return the policy and receive a refund of any paid premiums is misleading. Plaintiff cites several lower court cases from foreign jurisdictions that have rejected premiums based on a policy date versus a coverage date (*see Semler v Guardian Life Ins. Co. of Am.*, case No. 990637 [Cal Super Ct 2002]; *Semler v First Colony Life Ins. Co.*, case No. 984902 [Cal Super Ct 1999]; *Burstein v First Penn-Pac. Life Ins. Co.*, case No. 01-985-CIV [US Dist Ct, SD Fla 2002]). Those cases were based on the law of their respective states (*see Semler v Guardian Life Ins. Co., supra*). In other states, courts have permitted premiums that are based upon a policy date rather than a coverage date (*Life Ins. Co. of the Southwest v Overstreet*, 580 SW2d 929 [Tex Ct Civ App 1979]; *Travelers Ins. Co. v Castro*, 341 F2d 882 [1st Cir 1965]).

Plaintiffs have cited no case law in New York State holding that the ''Risk Free'' period is misleading. The fact that the insured can return the contract does not mean that the contract period would otherwise be covered even without a payment. There is nothing in the ''Risk Free'' period suggesting that the coverage will start from the policy date without the payment of a premium.

Unjust Enrichment

Plaintiffs in each case make a claim for unjust enrichment. The theory of unjust enrichment lies as a quasi-contract claim. It is an obligation the law creates in the absence of any agreement (*see State of New York v Barclays Bank of N.Y.*, 76 NY2d 533, 540 [1990]). Here, in each case, there was no unjust enrichment because the matter is controlled by contract (*see Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 388 [1987] [''(t)he existence of a valid and enforceable written contract governing a particular subject matter ordinarily precludes recovery in quasi contract for events arising out of the same subject matter'']). Given that the disputed terms and conditions fall entirely within the insurance contract, there is no valid claim for unjust enrichment.

General Business Law § 349

The Francos' claim that General Business Law § 349 was breached should also be rejected.* That section makes unlawful ''[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service in this state.'' (§ 349 [a].) Plaintiffs have not properly alleged any deceptive practices.

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* Goldman does not pursue his General Business Law § 349 claim in this Court.

Accordingly, in each case, the order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur; Judge READ taking no part.

In each case: Order affirmed, etc.

[841 NE2d 747, 807 NYS2d 588]

ESTELLE GILSON et al., Appellants, v METROPOLITAN OPERA, Respondent, et al., Defendants.

Argued October 19, 2005; decided November 22, 2005

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 11, 2005. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Bronx County (Janice L. Bowman, J.), which, insofar as appealed from, had denied a motion by defendant Metropolitan Opera to dismiss the complaint as against it or in the alternative for summary judgment dismissing the complaint as against it; (2) granted the motion for summary judgment; and (3) dismissed the complaint as against defendant Metropolitan Opera.

Gilson v Metropolitan Opera, 15 AD3d 55, affirmed.

HEADNOTE

Negligence — Duty — No Duty to Escort Infirm Theater Patron

In an action to recover damages for injuries plaintiff sustained while attending an opera performance in defendant's theater when an infirm patron, returning to his seat in plaintiff's row in the darkened theater following intermission, fell into plaintiff as she stood to let him pass by, defendant did not have an affirmative duty to escort the patron to his seat that would have rendered it liable to plaintiff for failing to do so. Such a duty would place undue burden on theater owners beyond the limits of the duty to maintain their premises in a reasonably safe condition. Defendant cannot be an insurer of the safety of its patrons, and its relationship both to plaintiff and the infirm patron did not put it in the best position to protect from the risk of harm posed by the patron's infirmity. Nor did defendant's internal policy requiring patrons to be escorted to their seats with the aid of flashlights when the theater is dark serve as a basis for imposing liability, as those internal guidelines went beyond the standard of ordinary care.

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By the Publisher's Editorial Staff

AM JUR 2d, Entertainment and Sports Law §§ 54, 57–59, 70, 71; AM JUR 2d, Premises Liability §§ 160–162, 757, 766.

NY JUR 2d, Amusements and Exhibitions § 8; NY JUR 2d, Premises Liability § 110.

PROSSER AND KEETON, TORTS (5th ed) §§ 53, 61.

ANNOTATION REFERENCE

Liability of theater owner or operator for injury or death of patron resulting from lighting conditions on premises. 19 ALR4th 1110.

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POINTS OF COUNSEL

Mischel & Horn, P.C., New York City (*Scott T. Horn* of counsel), and *Law Offices of John C. Dearie & Associates* for appellants. The Appellate Division erred as a matter of law in granting defendant's motion for summary judgment dismissing the complaint. (*Di Ponzio v Riordan,* 89 NY2d 578; *Kush v City of Buffalo,* 59 NY2d 26; *Basso v Miller,* 40 NY2d 233; *Rizk v Cohen,* 73 NY2d 98; *Minelli v Good Samaritan Hosp.,* 213 AD2d 705; *Gant v Sparacino,* 203 AD2d 515; *Glick & Dolleck v Tri-Pac Export Corp.,* 22 NY2d 439; *S.J. Capelin Assoc. v Globe Mfg. Corp.,* 34 NY2d 338; *Ferrante v American Lung Assn.,* 90 NY2d 623; *Sillman v Twentieth Century-Fox Film Corp.,* 3 NY2d 395.)

McCabe, Collins, McGeogh & Fowler, LLP, Carle Place (*Patrick M. Murphy* of counsel), for respondent. I. The proof submitted on the motion clearly demonstrated that plaintiffs-appellants had no cause of action against defendant-respondent Metropolitan Opera. (*Lawes v Board of Educ. of City of N.Y.,* 16 NY2d 302; *Grant v Metropolitan Transp. Auth.,* 67 AD2d 611; *Basso v Miller,* 40 NY2d 233; *Alfaro v Wal-Mart Stores, Inc.,* 210 F3d 111; *Newsome v Cservak,* 130 AD2d 637; *Prince v New York City Hous. Auth.,* 302 AD2d 285; *Crosland v New York City Tr. Auth.,* 68 NY2d 165; *Lesser v Manhattan & Bronx Surface Tr. Operating Auth.,* 157 AD2d 352; *Caputo v New York City Tr. Auth.,* 86 AD2d 883; *Clarke v New York City Tr. Auth.,* 174 AD2d 268.) II. Plaintiffs-appellants' newly minted claims of New York City Building Code violations are insufficient to create a triable question of fact. (*Murphy v Conner,* 84 NY2d 969; *Goncalves v Regent Intl. Hotels,* 58 NY2d 206; *Derdiarian v Felix Contr. Corp.,* 51 NY2d 308.) III. Plaintiffs-appellant's claims regarding the violation of rules and New York City Building Code violations which had been withheld from the pleadings and bill of particulars were insufficient to create a triable question of fact. (*Maynard v New York City Tr. Auth.,* 267 AD2d 37; *Spiteri v Chatwal Hotels,* 247 AD2d 297; *Boland v Koppelman,* 251 AD2d 176; *Vine v*

Manville Sales Corp., 175 AD2d 380; *Sanna v Potter,* 179 AD2d 982; *Dodes v North Shore Univ. Hosp.,* 149 AD2d 455; *Ifrach v Neiman,* 306 AD2d 380.)

OPINION OF THE COURT

CIPARICK, J.

According to plaintiffs, on December 3, 2001, plaintiff Estelle Gilson attended a performance at the Metropolitan Opera. She sat in the aisle seat in the same row where Donald Taitt (who suffers from Parkinson's disease and walked unsteadily) and his wife were seated. During the 20-minute intermission, plaintiff left her seat, and returned prior to the second act. The Taitts also left their seats during the intermission, but returned unescorted after the houselights had dimmed and the second act had begun. As the Taitts reached their row, plaintiff rose from her seat and moved down into the stepped aisle to allow the Taitts to pass. Donald Taitt then lost his balance and fell onto plaintiff, causing her to fall down four steps into the balcony railing and injure herself.

Plaintiffs commenced this action alleging that the injuries were caused by the negligence of defendant in the ownership, operation, management, supervision, maintenance and control of its premises. Defendant moved to dismiss the complaint pursuant to CPLR 3211 (a) (7), or in the alternative for summary judgment pursuant to CPLR 3212, arguing that it did not breach any duty owed to plaintiff.* Without commenting on the motion to dismiss, Supreme Court denied defendant's motion for summary judgment holding that issues of fact precluded summary judgment. A divided Appellate Division reversed, concluding that Metropolitan Opera did not breach any recognized duty owed to plaintiff (15 AD3d 55 [1st Dept 2005]). Plaintiffs appeal as of right on the basis of the two-Justice dissent, and we now affirm.

In any negligence action, the threshold issue before the court is whether the defendant owed a legally recognized duty to the plaintiff. As we observed only last month in *Matter of New York City Asbestos Litig.* (5 NY3d 486, 493 [2005]), we make this determination ''by balancing factors, including the reasonable expectations of parties and society generally, the proliferation of claims, the likelihood of unlimited or insurer-like liability,

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* The complaint also named Lincoln Center for the Performing Arts and Donald Taitt as defendants. Supreme Court dismissed the action against Lincoln Center; defendant Taitt did not appear.

disproportionate risk and reparation allocation, and public policies affecting the expansion or limitation of new channels of liability.'' We noted our reluctance to extend the duty of care such that a defendant may become liable for failure to control the conduct of others, imposing such duty only where ''the defendant's relationship with either the tortfeasor or the plaintiff places the defendant in the best position to protect against the risk of harm; and that the specter of limitless liability is not present'' (*id.* at 494 [internal quotation marks omitted]).

Here, plaintiffs argue that in exercising its duty of care to its patrons, defendant had an affirmative duty to escort Taitt to his seat because of his obvious infirmity. Defendant counters that plaintiffs' proposed duty would place undue burden on theater owners beyond the limits of the duty to maintain their premises in reasonably safe condition. We agree with defendant.

Adopting plaintiffs' proposed duty would significantly enlarge the duty of theater owners to their patrons. Defendant cannot be ''an insurer of the safety of [its patrons, and its] duty is only to exercise reasonable care for their protection'' (Prosser and Keeton, Torts § 61, at 425 [5th ed]). Moreover, defendant's relationship both to plaintiffs and Taitt did not put it in the best position to protect from the risk of harm posed by Taitt's infirmity (*see Alfaro v Wal-Mart Stores, Inc.*, 210 F3d 111 [2d Cir 2000]).

Additionally, plaintiffs argue and the dissent concludes that defendant's ''Performance Staff Rules and Guidelines'' provide some independent evidence of negligence. The internal policy upon which plaintiffs rely provided that ''[t]icket holders should be escorted to their seats with the aid of flashlights when the House Lights are low, and particularly requested to watch their step.'' These internal guidelines go beyond the standard of ordinary care and cannot serve as a basis for imposing liability. As we stated in *Sherman v Robinson* (80 NY2d 483, 489 n 3 [1992]), ''[v]iolation of a company's internal rules is not negligence in and of itself, and where such rules require a standard that transcends reasonable care, breach cannot be considered evidence of negligence.''

Accordingly, the order of the Appellate Division should be affirmed, with costs.

G.B. SMITH, J. (dissenting). Because there are material questions of fact as to whether employees of the Metropolitan Opera were negligent when they permitted an infirm patron to enter a darkened auditorium without assistance or lighting, summary judgment should not have been granted. Accordingly, I dissent.

Plaintiff Estelle Gilson attended a performance of the Metropolitan Opera (Met) at Lincoln Center in December 2001, sitting in an aisle seat. An elderly couple with seats inside the row, Donald and Caroline Taitt, returned approximately 10 minutes late from an intermission, after the houselights had gone down, without any assistance from ushers. Donald Taitt suffered from Parkinson's disease and Alzheimer's disease and, allegedly, looked particularly infirm on this night. When plaintiff Gilson got up and stepped into the aisle to give the Taitts room to pass, Donald Taitt lost his balance and fell into her, knocking her down some steps and into the balustrade at the edge of the balcony. These are the alleged facts.

The trial court denied the Met's motion for summary judgment, stating there were "questions of fact including, but[ ] not limited to[,] whether defendant maintained the stair aisles in a dangerous manner thereby causing a dangerous condition which caused the plaintiff's accident" (*Gilson v Metropolitan Opera*, Sup Ct, Bronx County, Apr. 9, 2004, Index No. 6001/02). The Appellate Division reversed the order and dismissed the claim against the Met in a 3-2 decision. The majority reasoned that the facts did not demonstrate that the Met had a duty to provide an escort for Mr. Taitt. The two-Justice dissent disagreed, arguing that there were material issues of fact requiring a trial.

Only the existence of a bona fide issue raised by evidentiary facts and not one based on conclusory or irrelevant allegations will suffice to defeat summary judgment (*Rotuba Extruders v Ceppos*, 46 NY2d 223 [1978]). "Summary judgment is often termed a drastic remedy and will not be granted if there is any doubt as to the existence of a triable issue. . . . It does not deny the parties a trial; it merely ascertains that there is nothing to try" (Siegel, NY Prac § 278, at 459-460 [4th ed]).

In *Longacre v Yonkers R.R. Co.* (236 NY 119, 123 [1923]), this Court held that a jury had the right to determine whether employees of a railroad breached the standard of reasonable care when they failed to recognize the growing danger that two unruly children created for themselves as they ran about the railcar unrestrained. The Court reasoned that although there was no duty to operate railcars for the purpose of safely carrying unruly children, a motorman's failure to do any reasonable thing to prevent an accident could have fallen short of reasonable care. The Court wrote:

> ''The real and full question is whether the [railroad's] employees when they saw two young children escaping from their attendant and running about the car ought to have done some reasonable thing to prevent such an accident as happened. It was not bound to take the particular step of closing the vestibule doors or of closing the doors leading to the platform or of driving the children back into the car or of putting them off of the car. . . . [B]ut we think that a jury had the right to say that when it failed to exercise any of them it fell short of reasonable care. Of course a railroad is not bound to construct or operate its cars for the purpose of safely carrying unruly children or drunken adults.'' (*Id.* at 124.)

Likewise, in the present matter, a jury should be given the opportunity to say that the Met's conduct did or did not fall short of reasonable care when employees let Mr. Taitt into the theater without an usher escorting him with a flashlight, despite the Met's argument that it had no duty to look out for infirm patrons.

In concluding that defendant is entitled to summary judgment, this Court ignores its own precedents. In *Basso v Miller* (40 NY2d 233 [1976]), we held that a defendant has a duty to keep its premises in a reasonably safe condition. This Court stated further that a landowner must act as a reasonable person in maintaining his or her property in a reasonably safe condition in view of all the circumstances, including the likelihood of injury to others, the seriousness of the injury, and the burden of avoiding the risk (*id.* at 241). In *Gallagher v St. Raymond's R.C. Church* (21 NY2d 554, 557 [1968]), this Court stated: ''Whenever the general public is invited into stores, office buildings and other places of public assembly, the owner is charged with the duty of providing the public with a reasonably safe premises, including a safe means of ingress and egress.'' Providing lighting to one's property may be a reasonable response for a private landowner who knows, or should know, that someone visiting his property will confront a hazard that could be reasonably avoided by illumination (*Peralta v Henriquez*, 100 NY2d 139, 144 [2003]). The majority argues that defendant, through its employees, was not in a position to assess the risk posed by Mr. Taitt's ambulation. This argument ignores the Met's basic duty to keep patrons from harm since ''[l]andowners have a duty to maintain their property in a reasonably safe condition whether the property is open to the public or not'' (*id.*). Moreover, the Met's internal policy recognizes the use of a flashlight as being important.* If a trial were allowed, plaintiff could attempt to prove that the Met was negligent in failing to provide a flashlight and to show that the failure was not even in accord with the Met's internal rule since a darkened auditorium is unsafe for an elderly patron with troubled ambulation (*but see Longacre v Yonkers R.R. Co., supra* at 125 [stating that where internal rules transcend reasonable care and the rule had no reference to the prevention of an accident as occurred, breach cannot be considered evidence of negligence]).

The majority grounds its opinion in the belief that the duty to keep the premises safe does not extend to plaintiff Gilson or Mr. Taitt. The defendant had a duty to protect its patrons from harm caused by conditions on its premises. As the dissenting Justices below stated, these facts include whether the ushers should have let Mr. Taitt return to his seat, whether the stairs were lit to a level that fell short of industry standards, whether this created a dangerous condition for other patrons, whether the ushers saw Mr. Taitt walking in an unstable fashion, whether an usher should have accompanied Mr. Taitt, and whether Mrs. Gilson's injury was a foreseeable consequence of the Met's alleged breach of reasonable care. The expert affidavit offered by appellant stated:

> ''The light in the aisle measured below two foot candles which is insufficient lighting and in violation of the New York City Building Code section 27-381.a, (c), (e) (1). . . .
>
> ''It is my opinion with a reasonable degree of

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* The Performance Staff Rules and Guidelines state:

> ''For reasons of safety and because no one is seated once the performance begins, every effort should be made to see that ticket holders do not cluster inside the entrance to the Auditorium prior to or during the performance. All ticket holders should be seated quietly and efficiently, especially when the house lights are down or during a late seating . . . .
>
> ''NO ONE SHOULD BE ADMITTED OR READMITTED TO THE AUDITORIUM WHILE THE PERFORMANCE IS IN PROGRESS EXCEPT WITH DIRECT AUTHORIZATION FROM THE PERFORMANCE MANAGER. . . .
>
> ''Ticket holders should be escorted to their seats with the aid of flashlights when the House lights are low, and particularly requested to watch their step.''

> engineering certainty that the Metropolitan Opera house creates a dangerous and unsafe condition for pedestrians on the aisles of the Dress Circle Section when the house lights are down.''

The Met disputes the relevance of plaintiffs' expert's affidavit, as the area tested was not the same aisle Mrs. Gilson fell in on the night in question. Defendant also questions the relevance of the expert's findings since there is no evidence that the lighting on the night he tested was the same as the night of the accident. The expert affidavit is enough, however, to establish a question of fact of whether the Met exercised reasonable care.

Similar to the dissenting Justices below, I do not rely only on the Met's internal guidelines or the alleged New York City Building Code violations. As patrons, both appellant and Mr. Taitt were owed a duty of maintained safe premises. Employees of the Met made a discrete decision to let Mr. Taitt into the performance once intermission had ended. Therefore, under the totality of circumstances, the question of whether they acted reasonably should be left to the jury.

For the foregoing reasons, I dissent.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Judge CIPARICK; Judge G.B. SMITH dissents and votes to reverse in a separate opinion.

Order affirmed, with costs.

[842 NE2d 471, 808 NYS2d 573]

AG CAPITAL FUNDING PARTNERS, L.P., et al., Plaintiffs, v STATE STREET BANK AND TRUST COMPANY, Defendant and Third-Party Plaintiff-Appellant. SALOMON SMITH BARNEY INC. et al., Third-Party Defendants-Respondents.

Argued October 18, 2005; decided November 17, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 19, 2004. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Helen E. Freedman, J.), which had granted third-party defendants' motions to dismiss the amended third-party complaint to the extent of dismissing the second, fourth, fifth, sixth and seventh causes of action. The modification consisted of granting the motions in their entirety and directing the Clerk to enter judgment dismissing the amended third-party complaint.

AG Capital Funding Partners, L.P. v State St. Bank & Trust Co., 10 AD3d 293, modified.

HEADNOTES

Pleading — Sufficiency of Pleading — Failure to Deliver Registration Statement to Collateral Trustee — Negligence — Contribution

1. In an action brought by investors in certain notes and other debt securities against the secured party representative/indenture trustee, contending that its failure to deliver registration statements to the collateral trustee rendered the secured status of their notes uncertain and induced them to accept a smaller settlement in bankruptcy proceedings involving the notes' issuer, third-party causes of action for negligence and contribution brought by the secured party representative/indenture trustee against the underwriters and the issuer's counsel were sufficiently pleaded. An underwriter or issuer of securities can, by statements and acts interpreted in light of industry custom and practice, assume a duty that may be imposed upon a secured party representative or indenture trustee.

Pleading — Sufficiency of Pleading — Failure to Deliver Registration Statement to Collateral Trustee — Attorney Malpractice — Negligent Misrepresentation

2. In an action brought by investors in certain notes and other debt securities against the secured party representative/indenture trustee, contending that its failure to deliver registration statements to the collateral trustee rendered the secured status of their notes uncertain and induced them to accept a smaller settlement in bankruptcy proceedings involving the notes' is-

suer, third-party causes of action for attorney malpractice and negligent misrepresentation properly were dismissed as against the issuer's counsel. There was neither actual privity between the issuer's counsel and the indenture trustee nor a relationship closely resembling privity, as required for a claim of negligent misrepresentation. The claim for attorney malpractice also failed, as no claim was stated for fraud or collusion or any of the other exceptions to the privity rule.

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Am Jur 2d, Commercial Code §§ 110, 111, 116; Am Jur 2d, Pleading §§ 130, 131, 133.

NY Jur 2d, Investment Securities §§ 174–176, 187, 188; NY Jur 2d, Pleading § 98.

Siegel, NY Prac §§ 208, 215, 216.

ANNOTATION REFERENCE

See ALR Index under Bonds and Securities; Pleadings; Underwriters.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Kelley Drye & Warren LLP, New York City (*Steven P. Caley, John M. Callagy* and *Robert S. Friedman* of counsel), for third-party defendant-appellant. I. The First Department order should be reversed because it is in conflict with long-standing New York law and the provisions of the federal Trust Indenture Act, which strictly limit the predefault duties of an indenture trustee. (*Apfel v Prudential-Bache Sec.,* 81 NY2d 470; *Curtis Props. Corp. v Greif Cos.,* 212 AD2d 259; *Hazzard v Chase Natl. Bank of City of N.Y.,* 159 Misc 57, 257 App Div 950, 282 NY 652; *Elliott Assoc. v J. Henry Schroder Bank & Trust Co.,* 838 F2d 66; *Meckel v Continental Resources Co.,* 758 F2d 811; *LNC Invs., Inc. v First Fid. Bank, N.A.,* 935 F Supp 1333; *New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.,* 163 Misc 2d 551, 216 AD2d 126.) II. The First Department committed legal error in holding that the term "delivering" as used in the additional secured indebtedness registration statement was unambiguous. (*67 Wall St. Co. v Franklin Natl. Bank,* 37 NY2d 245; *Haber v St. Paul Guardian Ins. Co.,* 137 F3d 691; *Pikul v Clough, Harbour & Assoc.,* 190 AD2d 932; *Matter of Aerotech*

World Trade v Excalibur Sys., 236 AD2d 609; *Federated Mut. Ins. Co. v Woodstock '99, LLC,* 140 F Supp 2d 225; *Thomas v Scutt,* 127 NY 133; *Zurakov v Register.Com, Inc.,* 304 AD2d 176.) III. The First Department order, affirming dismissal of State Street Bank and Trust Company's attorney malpractice and negligent misrepresentation claims, affirmed an erroneous legal standard and directly conflicts with decisions of this Court. (*Rovello v Klein,* 304 AD2d 638; *Hudson Riv. Club v Consolidated Edison Co. of N.Y.,* 275 AD2d 218; *Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood,* 80 NY2d 377; *Vereins-Und Westbank, AG v Carter,* 691 F Supp 704.) IV. The First Department's dismissal of State Street Bank and Trust Company's negligence and contribution claims was in error because State Street's amended third-party complaint adequately pleaded that third-party defendants assumed a duty to deliver any additional secured indebtedness registration statement to Bankers Trust Company. (*Heard v City of New York,* 82 NY2d 66; *Nallan v Helmsley-Spear, Inc.,* 50 NY2d 507; *Nolton v Western R.R. Corp.,* 15 NY 444; *Bartels v County of Westchester,* 76 AD2d 517; *Rockwell v State of New York,* 32 Misc 2d 167, 19 AD2d 946.) V. The First Department erroneously dismissed State Street Bank and Trust Company's contribution causes of action. (*Sommer v Federal Signal Corp.,* 79 NY2d 540; *Comi v Breslin & Breslin,* 257 AD2d 754; *Regan v Eight Twenty Fifth Corp.,* 287 NY 179; *Schauer v Joyce,* 54 NY2d 1; *Guzman v Haven Plaza Hous. Dev. Fund Co.,* 69 NY2d 559; *Garrett v Holiday Inns,* 58 NY2d 253; *Trustees of Columbia Univ. v Mitchell/Giurgola Assoc.,* 109 AD2d 449.)

Cleary Gottlieb Steen & Hamilton LLP, New York City (*Mitchell A. Lowenthal, David H. Herrington, Karen Bekker* and *David Lehn* of counsel), for Salomon Smith Barney Inc., third-party defendant-respondent. I. State Street Bank and Trust Company undertook a contractual duty to deliver the additional secured indebtedness registration statement to Bankers Trust Company. (*Nau v Vulcan Rail & Constr. Co.,* 286 NY 188; *This Is Me, Inc. v Taylor,* 157 F3d 139; *Kurz v United States,* 156 F Supp 99, 254 F2d 811; *Ortelere v Teachers' Retirement Bd. of City of N.Y.,* 25 NY2d 196; *Rudman v Cowles Communications,* 30 NY2d 1; *Apfel v Prudential-Bache Sec.,* 81 NY2d 470; *Weiner v McGraw-Hill, Inc.,* 57 NY2d 458; *New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.,* 163 Misc 2d 551, 216 AD2d 126; *W.W.W. Assoc. v Giancontieri,* 77 NY2d 157; *R/S Assoc. v New York Job Dev. Auth.,* 98 NY2d 29.) II. Salomon Smith Barney Inc. had no duty to deliver the additional secured indebtedness registration statement. (*Lauer v City of New York,* 95 NY2d 95; *Espinal v Melville Snow Contrs.,* 98 NY2d 136; *Peters v Veemac El. Co.,* 182 AD2d 534; *532 Madison Ave. Gourmet Foods v Finlandia Ctr.,* 96 NY2d 280; *A.H.A. Gen. Constr. v New York City Hous. Auth.,* 92 NY2d 20; *Board of Educ. of Hudson City School Dist. v Sargent, Webster, Crenshaw & Folley,* 71 NY2d 21; *Hamilton v Beretta U.S.A. Corp.,* 96 NY2d 222; *Pulka v Edelman,* 40 NY2d 781; *Nallan v Helmsley-Spear, Inc.,* 50 NY2d 507; *Heard v City of New York,* 82 NY2d 66.)

Allen & Overy LLP, New York City (*Michael S. Feldberg, Jacob S. Pultman, Kelly A. Berkell, Karen Lee* and *Nicole K. Avallone* of counsel), for Thelen Reid & Priest LLP, third-party defendant-respondent. I. Thelen Reid & Priest LLP owes no legal duty to State Street Bank and Trust Company, and dismissal of State Street's claims for negligence, negligent misrepresentation and attorney malpractice was therefore proper. (*Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood,* 80 NY2d 377; *LNC Invs., Inc. v First Fid. Bank, N.A.,* 935 F Supp 1333; *Alpert v Shea Gould Climenko & Casey,* 160 AD2d 67; *National Westminster Bank v Weksel,* 124 AD2d 144; *Lucas v Lalime,* 998 F Supp 263; *Harz v United States,* 711 F Supp 114; *King v Schonberg & Co.,* 233 AD2d 242; *Weiss v Manfredi,* 83 NY2d 974; *Rovello v Klein,* 304 AD2d 638; *Hudson Riv. Club v Consolidated Edison Co. of N.Y.,* 275 AD2d 218.) II. As indenture trustee, State Street Bank and Trust Company was obligated to deliver the additional secured indebtedness registration statement. (*New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.,* 163 Misc 2d 551, 216 AD2d 126; *Beck v Manufacturers Hanover Trust Co.,* 218 AD2d 1; *Semi-Tech Litig., LLC v Bankers Trust Co.,* 353 F Supp 2d 460; *LNC Invs., Inc. v First Fid. Bank, N.A.,* 935 F Supp 1333; *Hazzard v Chase Natl. Bank of City of N.Y.,* 159 Misc 57, 258 AD2d 950, 282 NY 652; *Elliott Assoc. v J. Henry Schroder Bank & Trust Co.,* 838 F2d 66; *Meckel v Continental Resources Co.,* 758 F2d 811; *United States Trust Co. of N.Y. v First Natl. City Bank,* 57 AD2d 285.) III. Dismissal of State Street Bank and Trust Company's contribution claim was proper because Thelen Reid & Priest LLP did not owe any legal duty to plaintiffs or to State Street. (*LNC Invs., Inc. v First Fid. Bank, N.A.,* 935 F Supp 1333; *Aglira v Julien & Schlesinger,* 214 AD2d 178; *Board of Educ. of Hudson City School Dist. v Sargent, Webster, Crenshaw & Folley,* 71 NY2d 21; *Dormitory Auth. of State of N.Y. v Caudill Rowlett Scott,* 160 AD2d 179.)

Covington & Burling, New York City (*C. William Phillips,* *Jonathan M. Sperling* and *Stephanie Yu* of counsel), for UBS Warburg LLC, third-party defendant-respondent. I. State Street Bank and Trust Company's allegations of industry custom cannot create a duty of care. (*Heard v City of New York,* 82 NY2d 66; *M & E Mfg. Co. v Frank H. Reis, Inc.,* 258 AD2d 9; *De Kwiatkowski v Bear, Stearns & Co., Inc.,* 306 F3d 1293; *Florida Fuels, Inc. v Citgo Petroleum Corp.,* 6 F3d 330; *Klimstra v State Farm Auto Ins. Co.,* 891 F Supp 1329; *Palka v Servicemaster Mgt. Servs. Corp.,* 83 NY2d 579; *Eiseman v State of New York,* 70 NY2d 175; *Phillips v McClellan St. Assoc.,* 262 AD2d 748; *O'Connor v 595 Realty Assoc.,* 23 AD2d 69; *Trimarco v Klein,* 56 NY2d 98.) II. State Street Bank and Trust Company does not state a cause of action against UBS Warburg LLC based on the alleged statements of UBS's counsel. (*Heard v City of New York,* 82 NY2d 66; *Roland Pietropaoli Trucking v Nationwide Mut. Ins. Co.,* 100 AD2d 680; *Kimmell v Schaefer,* 89 NY2d 257; *WIT Holding Corp. v Klein,* 282 AD2d 527; *United Safety of Am. v Consolidated Edison Co. of N.Y.,* 213 AD2d 283; *Williams v State of New York,* 90 AD2d 861; *Eternity Global Master Fund v Morgan Guar. Trust Co.,* 375 F3d 168; *Zelber v Lewoc,* 6 AD3d 1043; *Tradewinds Fin. Corp. v Refco Sec.,* 5 AD3d 229; *Adams v Clark,* 239 NY 403.) III. State Street Bank and Trust Company contractually undertook to deliver the additional secured indebtedness registration statement to the collateral trustee. (*W.W.W. Assoc. v Giancontieri,* 77 NY2d 157; *Michael J. Torpey, Inc. v Consolidated Edison Co. of N.Y.,* 99 AD2d 484; *Chimart Assoc. v Paul,* 66 NY2d 570; *Uribe v Merchants Bank of N.Y.,* 91 NY2d 336; *Merrill Lynch, Pierce, Fenner & Smith v Adler,* 234 AD2d 139; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.,* 63 NY2d 396; *Hallmark Synthetics Corp. v Sumitomo Shoji N.Y.,* 26 AD2d 481; *Sbarra v Totolis,* 191 AD2d 867; *Weiner v McGraw-Hill, Inc.,* 57 NY2d 458; *Apfel v Prudential-Bache Sec.,* 81 NY2d 470.)

Kasowitz, Benson, Torres & Friedman LLP, New York City (*James J. Stricker, Ronald R. Rossi* and *Matthew R. DiBlasi* of counsel), for plaintiffs. I. The question presented by State Street Bank and Trust Company has no bearing on whether State Street has properly stated a claim against the third-party defendants. (*Lunney v Prodigy Servs. Co.,* 94 NY2d 242; *Cuomo v Long Is. Light. Co.,* 71 NY2d 349; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761.) II. Even assuming arguendo that the Court considers State Street Bank and Trust Company's first question, there is no legal or factual basis for any holding by this Court that, as a matter of law, State Street was not obligated to deliver the additional secured indebtedness registration statement to the collateral trustee. (*Beck v Manufacturers Hanover Trust Co.,* 218 AD2d 1; *LNC Invs. v First Fid. Bank,* 935 F Supp 1333; *Semi-Tech Litig., LLC v Bankers Trust Co.,* 353 F Supp 2d 460; *New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.,* 216 AD2d 126; *Hazzard v Chase Natl. Bank of N.Y.,* 159 Misc 57; *Meckel v Continental Resources Co.,* 758 F2d 811; *Elliott Assoc. v J. Henry Schroder Bank & Trust Co.,* 838 F2d 66; *New York Civ. Liberties Union v State of New York,* 4 NY3d 175; *Tango v Tulevech,* 61 NY2d 34; *In re Nucorp Energy Sec. Litig.,* 772 F2d 1486.) III. State Street Bank and Trust Company's unsubstantiated speculation that the First Department's holding will likely lead to disruption and uncertainty in the market for issuance of debt securities is unfounded and without merit. (*Hines v Davidowitz,* 312 US 52; *New York State Med. Care Facilities Fin. Agency v Bank of Tokyo Trust Co.,* 163 Misc 2d 551; *LNC Invs., Inc. v First Fid. Bank, N.A.,* 935 F Supp 1333; *Williams v Continental Stock Transfer & Trust Co.,* 1 F Supp 2d 836; *Semi-Tech Litig., LLC v Bankers Trust Co.,* 353 F Supp 2d 460.)

OPINION OF THE COURT

CIPARICK, J.

Because an underwriter or issuer of securities can, by statements and acts interpreted in light of industry custom and practice, assume a duty that may be imposed upon a secured party representative or indenture trustee, and because such allegations are adequately pleaded in a third-party complaint and supplemental documentary evidence, we reinstate causes of action for negligence and contribution brought by the secured party representative/indenture trustee against the underwriters and the issuer's counsel.

Loewen Group International, Inc. and Loewen Group, Inc. (collectively Loewen), owner and operator of cemeteries and funeral homes throughout the United States, United Kingdom and Canada, issued notes and other debt securities to raise capital in several transactions in the late 1990s. All of the debt securities were to be supported by a single pool of collateral. The transactions at issue in this case involved securities known as pass-through asset trust securities (PATS) and Series 6 and 7 Notes, but the earlier transactions are relevant as background.

The first of the debt securities, consisting of Series 1 and 2 Notes, were already in existence prior to a May 1996 Collateral

Trust Agreement (CTA). The CTA, entered into between Loewen Group and Bankers Trust Company (Bankers Trust), established the pool of assets intended to secure the debt offerings, and provided that Bankers Trust would serve as collateral trustee of the pool. The agreement explicitly secured the Series 1 and 2 Notes, and provided a mechanism for holders of future debt offerings to acquire secured-creditor status. The CTA provides for the delivery by such holders, or their representative—called a secured party representative—of a document called an additional secured indebtedness registration statement (ASIRS) to Bankers Trust. The ASIRS was to be signed by Loewen and the holder or secured party representative. The CTA provided: ''To become a Secured Party Representative hereunder each such representative or Holder must deliver to the Trustee, for acceptance and registration in the Secured Indebtedness Register, an Additional Secured Indebtedness Registration Statement . . . .''

The Series 3 and 4 Notes were the first debt issued by Loewen after the effective date of the CTA. Salomon Smith Barney (Salomon) served as lead underwriter and was represented by Davis Polk & Wardwell (Davis Polk) at the closing. Thelen Reid & Priest LLP (Thelen) served as counsel for Loewen, the issuer. A copy of the executed ASIRS for this transaction was faxed to Bankers Trust, the collateral trustee, by Thelen on October 4, 1996. A predecessor in interest of third-party plaintiff, State Street Bank and Trust Company (State Street), was the indenture trustee under the indenture and the secured party representative as defined in the CTA.

The Series 5 Notes were issued on September 26, 1997. These notes were also secured by the CTA. An executed copy of the ASIRS was delivered by Loewen's Canadian counsel, Russell & DuMoulin, to Bankers Trust at the close of that transaction. State Street was not involved in the Series 5 Notes transaction.

The problem with the transactions involved in this case—the PATS, Series 6 Notes and Series 7 Notes—is that, in each of them, the ASIRS did not find its way to Bankers Trust.

PATS in the amount of $300,000,000 were issued on September 30, 1997. UBS Warburg (UBS) was the lead underwriter in that transaction, represented by Skadden, Arps, Slate, Meagher & Flom LLP (Skadden), who hosted the closing. State Street again served as the indenture trustee and thus was the secured party representative, as defined in the CTA and ASIRS.[1] Thelen, counsel for the issuer, drafted the ASIRS, which was then signed by Loewen and State Street and left at Skadden's office at the closing along with the other closing documents. An attorney from Skadden, UBS's counsel, later said that a Skadden associate had delivered the ASIRS to Bankers Trust, but he thereafter retracted the statement. No record exists of the ASIRS having been delivered to Bankers Trust for the PATS transaction.

The Series 6 and 7 Notes involved essentially the same parties and procedures as the Series 3 and 4 Notes. Salomon served as the lead underwriter on this $450,000,000 transaction, again represented by Davis Polk. Loewen was again represented by Thelen, and State Street again accepted the role of indenture trustee pursuant to the May 28, 1998 indenture and secured party representative under the CTA. The closing took place on May 28, 1998 but Davis Polk, the closing host, failed to place the ASIRS on the closing checklist. Thelen, realizing this omission post-closing, circulated a copy of the ASIRS for signature.[2] Loewen and State Street both signed the document and returned it to Thelen. Thelen then faxed a copy of the executed ASIRS signature page to Davis Polk on June 1, 1998. State Street did not receive a copy of the fully executed ASIRS. Bankers Trust has no record of receiving or recording the ASIRS for the Series 6 and 7 Notes transaction.

In June 1999, Loewen, represented by Jones, Day Reavis & Pogue (Jones Day), filed for chapter 11 bankruptcy. Because no ASIRS had been filed for the PATS and the Series 6 and 7 Notes, there was doubt as to whether the investors and holders of those instruments had the secured-creditor status they had expected. In the reorganization proceeding, investors settled their claims against Loewen by accepting a discounted value for the notes. The investors then commenced this lawsuit against State Street, claiming that State Street's failure to deliver the

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1. The PATS ASIRS dated September 30, 1997 in relevant part states:

> "By executing and delivering this Additional Secured Indebtedness Registration Statement and, upon the acceptance and recordation hereof by the Trustee in accordance with . . . the Collateral Trust Agreement, State Street . . . as trustee under the indenture dated as of September 30, 1997 . . . hereby agrees on behalf of itself and the Holders it represents to be bound by all the terms and provisions of the [CTA] applicable to a Holder and a Secured Party Representative . . . ."

2. The language of the ASIRS associated with the Series 6 and 7 Notes is essentially the same as the language used for the PATS transaction.

ASIRS caused the investors to settle for ''tens of millions of dollars'' less than they would otherwise have received. The investors' action against State Street is still pending and is not directly an issue on this appeal, which only concerns State Street's third-party complaint against UBS, Salomon and Thelen.

In its third-party complaint, State Street asserts that in the event that it is found liable to the investors in the underlying proceeding, it may recover from the underwriters UBS and Salomon under four causes of action: negligence, common-law indemnity, contribution and unjust enrichment. State Street asserted the same four causes of action against Thelen, the issuer's counsel, but added as well claims for negligent misrepresentation and attorney malpractice. Each third-party defendant sought dismissal pursuant to CPLR 3211 (a) (1) and (7). Supreme Court granted the motions in part, dismissing all causes of action except for the contribution and negligence claims against all three third-party defendants.

Third-party defendants appealed. State Street also cross-appealed the dismissal of its attorney malpractice and negligent misrepresentation claims. The Appellate Division modified Supreme Court by dismissing the remaining causes of action (10 AD3d 293 [2004]). We granted leave to appeal and now modify and reinstate the contribution and negligence claims against UBS, Salomon and Thelen.

In deciding this appeal, we express no opinion on the merits of the underlying claims against State Street. We assume for purposes of this appeal that the claims are meritorious and consider whether, on that assumption, State Street has pleaded valid third-party claims.[3]

[1] To the extent that the Appellate Division held that the documentary evidence precluded State Street from prevailing on its contribution and negligence claims, the Court erred. In order to prevail on a CPLR 3211 (a) (1) motion, the moving

3. In dismissing the remaining causes of action the Appellate Division held that ''State Street assumed the contractual obligation to deliver to Bankers Trust a registration statement for any additional secured indebtness'' (10 AD3d at 294). This determination was premature and beyond the scope of the appeal, and may have had the unfortunate consequence of seeming to dictate the outcome of the underlying proceeding. The issue before this Court, as was the issue before the Appellate Division, is whether—assuming State Street had a duty to deliver the ASIRS—State Street has adequately pleaded that the underwriters or issuer's counsel assumed that duty.

party must show that the documentary evidence conclusively refutes plaintiff's (here third-party plaintiff's) allegations (*see Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326 [2002]). Assuming that the controlling documents in this case place the duty to file the ASIRS on State Street, these documents—the CTA, ASIRS and indentures—do not definitively refute State Street's allegations that the duty thereafter was assumed by the third-party defendants.

The Appellate Division also erred to the extent that it dismissed State Street's claims for contribution and negligence under CPLR 3211 (a) (7). When assessing the adequacy of a complaint in light of a CPLR 3211 (a) (7) motion to dismiss, the court must afford the pleadings a liberal construction, accept the allegations of the complaint as true and provide plaintiff (here third-party plaintiff) "the benefit of every possible favorable inference" (*Leon v Martinez*, 84 NY2d 83, 87 [1994]; *see also Goshen*, 98 NY2d at 326). "Whether a [third-party] plaintiff can ultimately establish its allegations is not part of the calculus in determining a motion to dismiss" (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]). Further, any deficiencies in the complaint may be amplified by supplemental pleadings and other evidence (*see Rovello v Orofino Realty Co.*, 40 NY2d 633, 635-636 [1976]). In this instance, for the purposes of assessing the third-party complaint, we are assuming that State Street had a duty to deliver the ASIRS, and need only address the allegations in the complaint that any such duty was assumed by UBS, Salomon and Thelen.

The amended third-party complaint alleges that UBS, by undertaking the role of underwriter for the PATS, and by its counsel agreeing to deliver the ASIRS to Bankers Trust, assumed a duty to "exercise reasonable care in running the closing and to ensure the PATS ASIRS was filed, delivered and/or registered with Banker's Trust."[4] In support of this allegation, State Street proffers an affidavit from William Barrett stating that based on his 40 years of experience in the field of corporate trusts and the over 300 closings involving indenture trusts that he attended he could not recall the indenture trustee ever making any filings. Instead he stated the "custom and practice within the corporate trust industry [is] that the issuer of the

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4. The complaint further alleges that "UBS and Thelen breached their duty of care owed to State Street by, inter alia, failing to file, deliver, and/or register the PATS ASIRS with Banker's Trust" and further by failing to remedy the situation.

debt or its counsel and/or the underwriter or its counsel, file documents to record the security for debt collateral in connection with bond issuances.'' He also opined that the word ''deliver'' in the context of a closing means to leave executed documents at the closing table. State Street further points to a deposition taken as part of the Loewen bankruptcy proceeding of Thelen attorney Michelle Johnson. Ms. Johnson attested that the industry custom is that parties deliver documents to the closing table and the lawyer who is hosting the closing distributes the documents appropriately.

State Street also proffers evidence that a Skadden attorney claimed to have delivered the ASIRS in the PATS transaction. In particular, State Street offers a transcript of a voicemail in which a Skadden attorney discusses in vivid detail how a Skadden associate clearly remembered that he physically delivered the ASIRS to Bankers Trust. The text of the message is further corroborated by notes taken by Loewen's bankruptcy counsel, Jones Day, from its interviews of Skadden attorneys who took part in the transaction. While Skadden's claim that the ASIRS was actually delivered has since been retracted, the documentary evidence of Skadden's admissions is offered by State Street to supplement the allegation of the third-party complaint that UBS, through its counsel, assumed a duty to file the ASIRS.

Likewise, the third-party complaint as against Salomon alleges that Salomon, as lead underwriter of the Series 6 and 7 Notes debt offering, undertook through its counsel's actions the duty to deliver the ASIRS.[5] In addition to allegations of industry custom of placing the duty to distribute documents properly with the host of the closing, the third-party complaint supplemented by documentary evidence alleges Salomon's counsel's failure to include the ASIRS on the closing checklist. When the

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5. The complaint alleges under the third cause of action, among other claims, that Salomon,

> ''by agreeing to act as underwriter for the Series 6 and 7 Notes, owed a duty to all parties to the Series 6 and 7 Notes closing, including State Street, to exercise reasonable care in running the closing and to ensure that the ASIRS for the Series 6 and 7 Notes was filed, delivered and/or registered with Banker's Trust.''

It further states that:

> ''Salomon breached its duty of care owed to State Street by, inter alia, failing to put or have its agents/attorneys put the Series 6 and 7 Notes ASIRS on the Series 6 and 7 Notes closing checklist and thus, failing to have the ASIRS drafted and ready for execution at the closing, and failing to file, deliver and/or register the Series 6 and 7 Notes ASIRS with Banker's Trust.''

error was discovered, Thelen immediately drafted an ASIRS and sent it by fax to the parties for signature. According to the Johnson deposition, after receiving the executed copies, Thelen sent a copy to Davis Polk, counsel for Salomon, with the ‘‘expectation that [it] would have been delivered appropriately.’’ An investigation by Jones Day in the bankruptcy proceeding further verified this version of events as set forth in the Jones Day memorandum that was proffered by State Street in opposition to this motion to dismiss; the Jones Day memorandum reports that the Thelen attorney who drafted the ASIRS sent it to Davis Polk with the ‘‘expectation that Davis Polk would submit the document to the Collateral Trustee.’’

State Street further claims not only that custom and prior practice between the parties placed a duty to deliver the ASIRS on the underwriter, but also that it placed the duty on Thelen, counsel for the issuer. The allegation against Thelen is that it breached its duty of care by failing to register or assure that the ASIRS for the PATS and Series 6 and 7 transactions were duly registered. Third-party plaintiff supports this claim by documents indicating that Loewen’s counsel—Thelen in the Series 3 and 4 transaction, and Russell & DuMoulin in the Series 5 transaction—recorded the ASIRS with Bankers Trust following the close of these transactions. Further, Ms. Johnson testified in her deposition that the Series 6 and 7 transaction had a ‘‘cookie cutter’’ resemblance to the Series 3 and 4 transaction in form and structure. In addition, State Street alleges that it never even received an executed copy of the ASIRS in the Series 6 and 7 transaction, just a blank copy that it was instructed to sign and return to Thelen. It alleges that Thelen made repeated representations that the debt was fully secured and ranked equally with the other Loewen secured debt, pointing to the April 16, 1999 letter from Michelle Johnson, where she states that ‘‘the Series 1 through 4 and 6 and 7 senior notes issued by Loewen Group International, Inc. are secured indebtedness under the Collateral Trust Agreement.’’ All the notes, she continues, are ‘‘Class C Secured Indebtedness.’’

State Street argues that the aforementioned actions in conjunction with industry custom and practice demonstrate how any duty it may have owed to the investors or subsequent holders of the notes was assumed by UBS, Salomon and Thelen. Third-party defendants argue that they never assumed such a duty, nor may custom be used to impose such an obligation. They further state that the Court is precluded from finding a prevailing custom because the custom as alleged is not specific enough to place them on notice. This appeal concerns a motion addressed to the pleadings, prior to discovery; it would therefore be premature to dispense with liability against any of these parties at this time as a nexus of control and obligation to the documents at issue has been adequately set forth in the pleadings. At this point, the Court can only address whether a cause of action exists, not whether it is likely to succeed (*see EBC I, Inc.*, 5 NY3d at 19).

We agree with State Street that its allegations of industry practice give support to its claim (*see e.g. Phillips v McClellan St. Assoc.*, 262 AD2d 748, 749 [3d Dept 1999] [stating that ''evidence of industry practice and standards is admissible to establish a duty of care'']). Further, a course of conduct that induces reliance, as alleged here, may implicate a duty of care (*see e.g. Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507, 522-523 [1980]). The industry custom as set forth in the supplemental evidentiary materials, coupled with the parties' conduct, supports a claim that the third-party defendants together or in part assumed that duty. The pleadings allege that the third-party defendants did not act reasonably in relation to such duty.

Accepting the allegations in the third-party complaint as true, as we must at this preliminary pleading stage, as supplemented by the additional evidence submitted, we conclude that if State Street is found to have breached a duty and is held liable in the underlying action for failure to deliver the ASIRS to Bankers Trust then each of the third-party defendants may be liable as well. The third-party complaint has sufficiently pleaded a cause of action for negligence as it is alleged that all three third-party defendants assumed the duty that State Street may have had to act in relation to the delivery and filing of the ASIRS. Contrary to the dissenting view, we see no basis for treating Thelen differently at this point, as the submissions more than adequately support a cause of action against Thelen for negligence.

We turn next to State Street's cause of action seeking contribution. A claim for contribution rises and falls based on the existence of separate tortfeasors (*see* CPLR 1401, 1403; *see also Sommer v Federal Signal Corp.*, 79 NY2d 540, 557 [1992]). As State Street has sufficiently pleaded a claim of negligence against UBS, Salomon and Thelen, the claim of contribution against those parties also survives the motion to dismiss and may be predicated on a breach of duty to plaintiff or defendant and third-party plaintiff.

[2] As to the allegations against Thelen for attorney malpractice and negligent misrepresentation we agree with the Supreme Court and Appellate Division in their conclusion that no cause of action lies. In assessing the adequacy of a claim of negligent misrepresentation or attorney malpractice, a court must first look to the relationship of the parties. Where the relationship of the parties fails to reveal actual privity or a relationship that otherwise closely resembles privity, no cause of action exists for negligent misrepresentation (*see Ossining Union Free School Dist. v Anderson LaRocca Anderson*, 73 NY2d 417, 424 [1989]). In terms of attorney malpractice, absent privity, plaintiff must set forth a claim of ''fraud, collusion, malicious acts or other special circumstances'' in order to maintain a cause of action (*Estate of Spivey v Pulley*, 138 AD2d 563, 564 [2d Dept 1988]; *see also Good Old Days Tavern v Zwirn*, 259 AD2d 300 [1st Dept 1999]; *Mills v Dulin*, 192 AD2d 1001, 1003 [3d Dept 1993]; *Bluntt v O'Connor*, 291 AD2d 106, 114 [4th Dept 2002]).

Clearly there was no actual privity between Thelen and State Street. Thelen served as counsel for Loewen, who was not by any means unified in interest with State Street, the latter being the agent of the holders. Nor could it be said that the relationship closely resembled privity. As such, no claim for negligent misrepresentation lies. The claim for attorney malpractice also fails as State Street does not set forth a claim for fraud or collusion or any of the other exceptions to the privity rule. This was a rather complex transaction involving sophisticated parties and their counsel. Any misrepresentations or misunderstandings as pleaded do not give rise to a claim of attorney malpractice or negligent misrepresentation absent a showing of a privity-like relationship.

In conclusion, at this early stage of the action, the third-party complaint must be allowed to proceed as third-party plaintiff, State Street, has adequately pleaded causes of action in negligence and contribution against the underwriters and counsel for the issuer for failure to deliver the ASIRS as required to Bankers Trust, the collateral trustee, in the PATS and Series 6 and 7 Notes transactions.

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating the negligence and contribution causes of action in the third-party complaint against all third-party defendants, and as so modified, affirmed.

R.S. SMITH, J. (dissenting in part). I agree with the majority opinion, in result and reasoning, except that I would dismiss the third-party complaint against Thelen, because I think the third-party complaint (as supplemented by documentary evidence) does not adequately allege that Thelen was at fault for the nondelivery of the ASIRS.

As the majority explains, we assume in this case (without deciding) that State Street had a duty to plaintiffs to make sure the ASIRS was delivered to Bankers Trust. The sufficiency of the third-party complaint turns on whether State Street has adequately alleged that the underwriters (UBS and Salomon) and the issuer's counsel, Thelen, undertook by their actions or words to perform this duty on State Street's behalf. To me, the record shows that if anyone made such an undertaking it was the underwriters, not Thelen.

An expert affidavit submitted by State Street says that, according to the custom of the corporate trust industry, documents like the ASIRS are filed by ''the issuer of the debt or its counsel and/or the underwriter or its counsel.'' The affidavit thus provides no basis for saying whether it was Thelen or the underwriters who undertook the duty in these transactions. One indication that it was the underwriters is the simple fact that, in each of the transactions, the ASIRS wound up in the underwriter's counsel's possession. In the PATS transaction, the ASIRS was left with other closing documents at the underwriter's counsel's office. In the Series 6 and 7 Notes transaction, the ASIRS was prepared and signed after the closing, and then faxed by Thelen to the underwriter's counsel.

I agree with the majority that, from these facts, it is possible to infer that all parties, including State Street, were relying on the underwriters to deliver the ASIRS to its proper destination. But these facts cannot support an inference that anyone was relying on Thelen to perform that task. Nor do the later statements by counsel for the underwriter in the PATS transaction, in which counsel seemed to assume that delivery of the ASIRS was something the underwriter's counsel should have taken care of, support an allegation that the delivery was Thelen's responsibility.

The only facts the majority refers to in support of its holding that the claim against Thelen may be maintained are: (1) that the issuer's counsel delivered the ASIRS to the collateral trustee in two prior, similar transactions; and (2) that Thelen signed letters saying that the Series 6 and 7 Notes were properly secured. The first of these facts is, in my view, simply too flimsy to support an inference that Thelen undertook the duty to deliver the ASIRS in later transactions; one is not committed to do something forever, simply because one has done it twice. And Thelen's statements that the debt was secured, even assuming they were wrong, seem to me logically unconnected with the question of who was supposed to deliver the ASIRS.

Accordingly, I would affirm the Appellate Division's order to the extent that it dismissed the third-party complaint against Thelen.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO and READ concur with Judge CIPARICK; Judge R.S. SMITH dissents in part in a separate opinion in which Judge G.B. SMITH concurs.

Order modified, etc.

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